FitchLearning

CISI Regulation & Compliance

Question and Answer Book – Summer 2026

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Most of these questions are recent past real examination questions – either as actually set or adjusted for any subsequent changes in legislation, regulation or market practice.

The answers are either based on the Chief Examiner's Report or they are our suggested answer to cover the areas highlighted as relevant by the examiner. You should note that the Chief Examiner's Report discusses the issues raised in a question; it does not necessarily provide a 'fair copy' answer, and does not therefore reflect an answer that a real candidate could reasonably be expected to produce.

Section B

Quote from the Examiner:

'Section B problems are intended to raise more practical or operational issues that arise in specific factual situations which candidates may have to deal with on a day-to-day basis in professional practice. Factual problems are created using fictional characters to explore the application and operation of particular sets of legal and regulatory provisions. The questions and sub-questions are set to allow candidates to move through the situation and identify and resolve particular problems in order. Structured answers are expected with the degree of detail expected depending upon the mark allocation set for the particular sub-question asked. Candidates are expected to identify and explain the relevant point of law or regulation concerned in each case and then resolve the issue raised. Higher marks are awarded where additional levels of detail are provided and informed and original conclusions produced.

In Section B, the compulsory question (which in practice is always Question 11 in the exam) generally relates to fundamental ethical and regulatory issues.

The compulsory Section B questions that are included in this book are as follows:
B14, B16, B18, B21, B26, B32, B35, B38, B42, B50, B52, B55, B58, B61, B65, B67, B69, B73, B78, B80, B83, B86, B89, B93 and B95.

Section C

Quote from the Examiner:
'In answering section C questions, candidates have to explain the background to the relevant subject concerned. This includes explaining the principal legal and regulatory provisions and requirements that would apply. They then have to comment on the specific issue raised and answer the particular question set. Marking can be flexible with all relevant points of detail being considered. Additional marks are awarded where candidates can demonstrate a strong command of the relevant law and regulation involved and for informed and original opinion'.
It is therefore worth bearing in mind that the answers provided for section C questions are to be used as a revision tool. They rarely reflect an answer that could realistically be prepared in a real exam. It is possible to produce an answer that appears quite different to that provided in this pack, and yet be awarded a strong mark by the marker.
Some of the Section C (essay) questions (for example, those set during the 2007-2009 financial crisis) quickly go out of date. With these questions the date of the exam has been noted, and the question has been left in its original form. This is intended to provide an idea of the type of topical essay question that may be set and of the approach to answering these questions that the examiner would expect candidates to take.

Introductory note

For convenience of reference, the Section A Questions have been grouped into the following categories:

1. UK regulatory structure
2. MiFID regulations and international aspects
3. High level standards
4. Financial promotions
5. Conduct of business
6. Client assets
7. Market conduct
8. Enforcement and discipline
9. Complaints and compensation
10. Takeover Code and Listing Rules
11. Money laundering and other financial crime
12. Markets and exchanges

1. UK regulatory structure

A1.1 Explain the difference between authorisation (s19) and permission (s20) under the Financial Services and Markets Act 2000 (FSMA) as amended.

(2 marks)

All persons are required to be **authorised** or **exempt** if they carry on a regulated activity in the United Kingdom under s 19(1) of the Financial Services and Markets Act (FSMA). This is referred to as the "general prohibition" under s19 (2).

Authorisation is dealt with under s31. The following persons are authorised under FSMA:

a) Persons holding a Part 4A permission;

b) EEA passport firms (under Schedule 3) *[N.B. No passporting rights currently exist, though they could be restored under a future UK-EU trade agreement];*

c) Treaty firms (under Schedule 4); or

d) Any other persons otherwise authorised under FSMA (s31 (1)).

Authorisation constitutes a form of **status** or **condition** for the carrying on of any regulated activity in the UK.

Authorised persons must also hold the relevant **permission** to carry on the specific regulated activity or activities conducted in the UK (s 20(1) FSMA). Applications for permission are made under s 55A and Part 4A generally. Breach is not an offence as such, although it is subject to FCA disciplinary action. Permission is accordingly concerned with the specific **legal right**, **authority or entitlement** to carry on the particular financial activity or activities concerned.

A1.2 Explain the difference between authorisation and exemption under the Financial Services and Markets Act 2000 (FSMA). *(2 marks)*

Under the "General Prohibition" (s19) of FSMA a person carrying on a regulated activity must be either authorised or exempt. Authorisation includes persons holding permission under Part 4A of FSMA. Also Treaty firms (under Schedule 4) and other persons otherwise authorised under FSMA (s31 (1)).)

Exemption is dealt with under s38 and the Financial Services and Markets Act (Exemption) Order 2001. This generally restates the earlier categories of exempt persons under the previous financial legislation in effect in the UK. These include:

a) Appointed Representatives;
b) Members of professions;
c) Members of Lloyd's;
d) Recognised Investment Exchanges and Recognised Clearing Houses;
e) Other persons as listed under the 2001 Exemption Order.

A1.3 List the general functions of the Financial Conduct Authority (FCA). *(2 marks)*

The general functions of the FCA are:

a) Making rules under FSMA;
b) Preparing and issuing codes under FSMA;
c) Giving general guidance under FSMA;
d) Determining the general policy and principles by reference to which it performs its functions.

A1.4 Explain the purpose of the Regulated Activities Order (RAO). *(2 marks)*

The purpose of the RAO is to specify the scope of the regulated activities covered by FSMA including the nature of the investments and the activities covered. The RAO is necessary as the general prohibition applies to regulated activities which are defined as being specified by the Treasury under the RAO.

The general nature of the investments and activities covered by the FSMA are listed in Schedule 2 to the FSMA although these are only indicative or illustrative as the legal meanings are set out in detail in the RAO. The purpose of the RAO is to legally define the scope of the investments and investment activities covered by the general prohibition.

A1.5 Identify the main sanctions imposed for breach of the general prohibition against carrying on regulated activities without being authorised or exempt under the Financial Services and Markets Act (FSMA). *(4 marks)*

Any person who breaches the general prohibition is liable to up to two years imprisonment or a fine or both (on indictment) or six months imprisonment or a fine not exceeding the statutory maximum (on summary conviction) (s23(1)(a) and (b) FSMA). Breach of the general provision is referred to as an authorisation offence (s23 (2)).

Agreements entered into in breach of the general prohibition are also unenforceable against the other party with the other party being entitled to recover any money or property paid or transferred or compensation for loss sustained (s26(2)(a) and (b)).

Reference could also be made to the defence of all reasonable precaution and exercise of due diligence (s23 (3)) or the separate offence of falsely claiming to be an authorised or exempt person (s24 (1)).

A1.6 List the four categories of Authorised Person set out in the FSMA. *(4 marks)*

The four categories of authorised person listed in s 31(1) are:

a) Persons holding a Part 4A permission to carry on one or more regulated activities;
b) EEA firms (authorised under Schedule 3);
c) EU Treaty firms (authorised under Schedule 4); or
d) Any person otherwise authorised under FSMA (s31 (1)).

[N.B. Since Brexit and the loss of passporting rights, category (b) above is now obsolete.]

A1.7 Describe the main requirements that apply to becoming an exempt appointed representative of an authorised person. *(3 marks)*

A person (other than an authorised person) may act as an appointed representative where:

a) They are a party to a contract with an authorised person (the principal);

b) The contract permits or requires the person to carry on business of a prescribed description and complies with any requirements that may be prescribed under relevant Regulations;

c) The principal accepts responsibility in writing for the carrying on of those activities in respect of the whole or part of that business s39 (1) (a) (i) and (ii) and (b)).

A1.8 Outline the strategic and operational objectives of the FCA.

(3 marks)

The FCA has the strategic objective of ensuring that relevant markets function well. It also has three operational objectives (ss 1B, C, D and E FSMA), which are to:

a) secure an appropriate degree of protection for consumers

b) protect and enhance the integrity of the UK financial system, and

c) promote effective competition in the interests of consumers.

An additional continuity objective is inserted under the Financial Services (Banking Reform) Act 2013 in connection with ring fencing (s1EA FSMA2000 as amended).

A1.9 List the various panels that the Financial Conduct Authority (FCA) has a statutory duty to consult. *(2 marks)*

The FCA is required to consider representations that are made to it by any of the four panels set out below:

a) The FCA Practitioner Panel;

b) The Smaller Business Practitioner Panel;

c) The Markets Practitioner Panel;

d) The Consumer Panel.

A1.10 Identify the general functions of the Prudential Regulation Authority (PRA) under FSMA. *(2 marks)*

The general functions of the PRA are:

a) Making rules under FSMA;

b) Preparing and issuing codes under FSMA;

c) Determining the general policy and principles by reference to which it performs particular functions.

A1.11 What is the general objective of the Prudential Regulation Authority (PRA) and how is the PRA required to advance this objective? *(3 marks)*

The PRA's general objective is promoting the safety and soundness of PRA-authorised persons (which include banks, insurers and other systemically important firms).

The PRA is required to advance its general objective primarily by:

a) Seeking to ensure that the business of PRA-authorised persons is carried on in a way which avoids any adverse effects on the stability of the UK financial system; and

b) Seeking to minimise the adverse effect that the failure of a PRA-authorised person could be expected to have on the stability of the UK financial system.

A1.12 Explain the nature and significance of an "authorised person" and an "exempt person" under the FSMA 2000. *(4 marks)*

The general prohibition set out in s19 (1) of FSMA requires that any person carrying on a regulated activity within the UK is either an authorised or an exempt person. The requirements with regard to authorised persons are developed in ss.31-39.

An authorised person is set out in s31 (1). An authorised person generally includes a person holding a Part 4A Permission, a treaty firm (qualifying under Schedule 4) or someone otherwise authorised under the FSMA.

Authorisation refers to the general status of being able to carry on any regulated activity. The need for the separate designation arose as a result of the separate availability for UK

firms and European Treaty and single market firms. Entitlement to carry on a particular activity is conferred under the permission regime (s20 (1)).

Exempt firms are those excluded for public service entities (such as the Bank of England or international financial institutions) which did not carry on commercial business for financial profit alone or other statutory bodies that were separately regulated under the founding Acts.

The list of relevant exemptions is now set out in the "Exemption Order" which is issued under s 38(1) of FSMA.

A1.13 List four of the regulated activities and four of the investments covered by the FSMA 2000.

(2 marks)

The list of "regulated activities" set out in Schedule 2 consists of:

a) Dealing in investments;
b) Arranging deals in investments;
c) Deposit taking;
d) Safeguarding and administration of assets;
e) Managing investments;
f) Investment advice;
g) Establishing collective investment schemes;
h) Using computer-based systems for giving investment instructions;
i) Activities relating to information about persons' financial standing;
j) Activities relating to the setting of benchmarks.

The investments covered consist of:

a) Securities;
b) Investments creating or acknowledging indebtedness;
c) Government and public securities,
d) Instruments giving entitlements to investments;
e) Certificates representing securities
f) Units in collective investment schemes;
g) Options;

h) Futures;
i) Contracts for differences;
j) Contracts of insurance;
k) Participation in Lloyds' syndicates;
l) Deposits;
m) Loans and other forms of credit;
n) Contracts for hire of goods;
o) Rights in investments.

A1.14 List four of the 'relevant persons' who must be represented on the FCA's Markets Practitioner Panel. *(2 marks)*

The FCA must appoint to its Market Practitioner Panel persons to represent the interests of the following 'relevant persons':

a) Authorised firms;
b) Persons who issue financial instruments (e.g. listed companies)
c) Sponsors (of listed companies);
d) RIEs;
e) Primary information providers (PIPs).

A1.15 Explain the content and purpose of the "general prohibition" under the FSMA 2000. *(2 marks)*

The general prohibition in s19 of FSMA creates an offence of undertaking regulated activities unless the person is either authorised or exempt. The penalty for breach is two years imprisonment and/or an unlimited fine. In addition, contracts may be unenforceable. The purpose of the general prohibition is to provide investor protection by making sure that those who conduct regulated activities are fit and proper persons to do so, which will include an assessment of the business's competence.

A1.16 Explain the purpose of permission under the FSMA 2000. *(2 marks)*

To comply with the General Prohibition under s.19 of FSMA a firm may become authorised by seeking permission under Part 4A of the FSMA. To obtain permission to perform one or more regulated activities the person must meet the threshold conditions. This process ensures that those who undertake regulated activities are fit and proper persons and competent to undertake those activities. A business may not undertake activities other than those for which it has permission, which restricts the broad authorisation to comply with s.19 to the more specific activities that an authorised person may undertake.

A1.17 Explain what is meant by the Bank of England's 'financial stability strategy'.

(3 marks)

The Bank of England (the Bank) has been given the objective of protecting and enhancing the stability of the UK financial system. The court of directors of the Bank is required to determine the Bank's strategy in relation to its financial stability objective (known formally as its 'financial stability strategy'). This strategy must be reviewed at least every three years. Before determining or revising the Bank's financial stability strategy, the court of directors must consult the Financial Policy Committee (FPC) and the Treasury. The Bank must also publish its financial stability strategy.

A1.18 Explain the functions of the Financial Policy Committee (FPC).

(4 marks)

The functions of the FPC cover the following range of activities:

- Monitoring the stability of the UK financial system with a view to identifying and assessing systemic risks;
- Giving directions to the Financial Conduct Authority (FCA) or the Prudential Regulatory Authority (PRA), requiring the regulator to achieve the implementation of a specified macro-prudential measure;
- Making recommendations to any of the following:
    - Within the Bank of England (the Bank) (about the provision by the Bank of financial assistance to financial institutions or about the exercise by the

Bank of its functions in relation to payment systems, settlement systems and clearing houses);

- To the Treasury (about the exercise of the Treasury power to make various statutory orders, such as in relation to regulated activities);
- To the FCA or the PRA (about the exercise of their respective functions); or
- To any other person.

- Preparing and publishing two reports each year relating to financial stability.

A1.19 Give eight examples of a regulated activity. *(4 marks)*

- Managing investments
- Advising on investments
- Dealing in investments as principal
- Dealing in investments as agent
- Arranging deals in investments
- Regulated mortgage administration and provision
- Effecting and carrying out contracts of insurance
- Safeguarding and administering investments
- Providing funeral plans
- Accepting deposits
- Lloyd's activities
- Sending dematerialised instructions
- Establishing/operating/winding up a collective investment scheme
- Agreeing to carry on regulated activities
- Activities relating to information about persons' financial standing
- Activities relating to the setting of benchmarks

A1.20 Give FOUR examples of excluded activities. *(2 marks)*

- Acting as a trustee, nominee or personal representative
- Activities in the course of carrying on a profession or business
- Activities in connection with the supply of goods or services

- Groups and joint enterprises
- Activities in conjunction with the sale of a body corporate
- Employee share schemes

A1.21 Give EIGHT examples of specified investments. *(4 marks)*

- Deposits
- Electronic money
- Contracts of insurance
- Shares etc.
- Instruments creating or acknowledging indebtedness
- Government and other public securities
- Instruments giving entitlements to investments
- Certificates representing certain securities
- Units in a collective investment scheme
- Rights under a stakeholder pension
- Options
- Futures
- Contracts for differences
- Lloyd's syndicate capacity and syndicate membership
- Rights to or interests in investments

A1.22 Give a brief description of a collective investment scheme. *(2 marks)*

FSMA defines a collective investment scheme as any arrangement where property of any description is pooled and not managed on a day-to-day basis by the investors.

A1.23 The PRA has the power to restrain a proposed action to be taken by the FCA. What are the three conditions that must be met for the PRA to be able to exercise this power?

(3 marks)

Firstly, the FCA is proposing to exercise one of its regulatory powers in relation to a PRA-authorised person. Secondly, the PRA considers that the exercise of this power by the FCA may threaten the stability of the UK financial system or result in the failure of a PRA-authorised person in a way that would adversely affect the UK financial system.
Thirdly, the PRA considers that the giving of the direction is necessary in order to avoid these possible consequences.

A1.24 List three types of collective investment schemes covered by the FSMA.

(3 marks)

Part XVII FSMA applies with regard to the following types of collective investment schemes:

a) Authorised or unauthorised unit trust schemes;
b) Open-ended investment companies;
c) Recognised overseas schemes including:
    i) Designated country or territory schemes; and
    ii) Individually recognised overseas schemes.

A1.25 Briefly explain how senior manager functions are managed by the appropriate regulator under the FSMA. *(3 marks)*

All authorised persons are required to ensure that any person carrying on a controlled function must be approved by the appropriate regulator (s 59(1) FSMA).

Senior manager functions must be fit and proper before they can be approved (s 61(1) FSMA). In determining whether a senior manager function applicant is fit and proper, regard is had to:

a) Honesty, integrity and reputation;
b) Competency and capability; and

c) Financial soundness.

Reference may also be made to the list of controlled functions maintained by the appropriate regulator (under s 59(4)) or the Conduct Rules (COCON) with which approved persons have to comply. Reference may also be made to SYSC if necessary.

A1.26 List six categories of exempt person under the FSMA *(3 marks)*

Exempt persons are set out in the Exemption Order issued by the Treasury under s 38(1) FSMA. This includes:

a) Government organisations and related bodies (including the Bank of England and National Savings Bank);
b) Other central banks;
c) Supra-national organisations (such as International Monetary Fund and World Bank);
d) Municipal banks and local authorities;
e) Charities;
f) Members of the profession;
g) Members of Lloyd's;
h) Appointed representatives;
i) Recognised Investment Exchanges (RIEs), Recognised Overseas Investment Exchanges (ROIEs) and Recognised Clearing Houses (RCHs).

A1.27 What are the six consumer outcomes of the FTOC initiative? *(3 marks)*

*[Tutor note: The Fair Treatment of Customers (FTOC) initiative initially applied to any business carried out by any firm with any customer – but now is restricted to business which is **out of scope** of the Consumer Duty regulations created because of s9 Financial Services Act 2021, which came into effect in July 2023.]*

The FTOC Consumer Outcomes are as follows;

- Consumers can be confident that they are dealing with firms where the fair treatment of customers is central to the corporate culture.

- Products and services marketed and sold in the retail market are designed to meet the needs of identified consumer groups and targeted accordingly.
- Consumers are provided with clear information and are kept appropriately informed before, during and after the point-of-sale.
- Where consumers receive advice, the advice is suitable and takes account of their circumstances.
- Consumers are provided with products that perform as firms have led them to expect and the associated service is both of an acceptable standard and as they have been led to expect.
- Consumers do not face unreasonable post-sale barriers imposed by firms to change product, switch provider, submit a claim or make a complaint.

A1.28 Explain the general purpose of the FCA's Fair Treatment of Customers initiative and its relationship to the FCA's operational objectives. *(4 marks)*

[Tutor note: The Fair Treatment of Customers (FTOC) initiative initially applied to any business carried out by any firm with any customer – but now is restricted to business which is ***out of scope*** *of the Consumer Duty regulations created as a result of s9 Financial Services Act 2021, which came into effect in July 2023.]*

The purpose of the FTOC initiative is to ensure that firms that are out-of-scope of the Consumer Duty deal with their customers in a fair and appropriate manner at all times. This is based on PRIN 6 under which firms must pay due regard to their customers' interests and treat them fairly.

Fair treatment of customers can be considered to fall within the FCA's integrity objective (protecting and enhancing the integrity of the UK financial system) under FSMA.

Product providers must ensure that all products are properly designed for their target market and sold with clear, understandable information through appropriate distribution channels. Distributors must ensure that customers have all of the information they require, that products are suitable and that post sales services comply with expectations.

A1.29 Briefly explain the different roles and functions of the Prudential Regulation Authority (PRA) and the Financial Conduct Authority (FCA) under the regulatory regime bought into effect under the Financial Services Act 2012. *(3 marks)*

The PRA is responsible for the regulation of banks, insurance companies and large, systemically important investment firms. Operating as the PRA is one of the functions of the Bank of England.
The FCA is responsible for conduct regulation generally as well as the direct regulation of other firms not subject to PRA control and for the recognition and oversight of stock markets and exchanges. It operates as an independent agency, replacing the former Financial Services Authority (FSA).

A1.30 Describe the general relationship between ss19, 20 and 21 FSMA. *(3 marks)*

Any person carrying on a regulated activity in the UK must be authorised (or exempt) under s 19(1) FSMA. Authorised persons are listed in s 31(1) – (a) anyone holding a Part 4A permission, (b) Treaty firms (Schedule 4) and (c) a person otherwise authorised under the FSMA. Authorisation constitutes a form of status or condition for the carrying on of any regulated activity in the UK.

Authorised persons must also hold the relevant permission to carry on the specific regulated activity or activities conducted in the UK (s 20(1) FSMA). Breach is not an offence as such although it is subject to disciplinary action by the appropriate regulator. Applications for permission are made under s 40 and Part 4A generally. Permission is accordingly concerned with the specific legal right, authority or entitlement to carry on the particular financial activity or activities concerned.

Candidates should have referred separately to s 21 of the FSMA and the need for financial promotions to be issued or approved by an authorised person and with such promotions being fair, clear and not misleading.

One mark for each general correct explanation up to three marks although detailed responses are not required. Half market for any other additional correct relevant information where necessary up to three marks in total.

A1.31 Identify six of the Regulatory Guides included within the FCA Handbook of Rules and Guidance. *(3 marks)*

The Regulatory Guides within Block 9 of the Handbook include:

a) the Collective Investment Scheme Information Guide;
b) the Enforcement Guide;
c) Financial Crime: a guide for firms;
d) Financial Crime Thematic Reviews;
e) the Perimeter Guidance Manual;
f) the Responsibilities of Providers and Distributors for the Fair Treatment of Customers;
g) the Unfair Contract Terms Regulatory Guide;
h) Wind-down Planning Guide; and
i) MiFID II Guide.

A1.32 Explain the purpose and importance of macroprudential policy in ensuring the stability of financial markets. *(3 marks)*

Macroprudential policy is concerned with monitoring the build up of risks and exposures across the financial system as a whole and not simply within one or more specific regulated sector.

This was regarded as being a major omission before the recent financial crisis and especially with the failure by the authorities to deal with asset price bubbles, in particular, in the property market and the build of debt and leverage across the financial system.

A number of new bodies have been set up to attempt to develop this form of oversight. These include the Bank of England's Financial Policy Committee (FPC), set up by the Coalition Government to replace the previous Council for Financial Stability (CFS) in the UK, as well as the Financial Stability Oversight Council (FSOC) in the US and European Systemic Risk Board (ESRB) in the EU. Equivalent work is carried out by the Financial Stability Board (FSB) at the international level with the International Monetary Fund (IMF).

A number of issues still remain in developing appropriate forms of information and data collection, assessment and processing and appropriate tools to respond to any identified

difficulties as well as appropriate cooperation mechanisms between all of the other agencies involved at a national and on a cross-border basis.

A1.33 List eight of the Regulated Activity Groups (RAGs) provided for under SUP 16 of the FCA Handbook of Rules and Guidance. *(4 marks)*

The Regulated Activity Groups (RAGs) listed in SUP 16.12.4 of the Handbook consist of:

a) RAG 1 – accepting deposits, meeting of repayment claims and managing dormant account funds
b) RAG 2.1 – effecting contracts of insurance, carrying out contracts of insurance and entering as provider into a funeral plan contract
c) RAG 2.2 – managing the underwriting capacity of a Lloyd's syndicate as a managing agent at Lloyds, advising on syndicate participation at Lloyd's and arranging deals in contracts of insurance written at Lloyd's
d) RAG 3 – dealing in investments as principal, dealing in investments as agent, advising on investments (excluding retail investment activities), and arranging (bringing about) deals in investments (excluding retail investment activities)
e) RAG 4 – managing investments and establishing, operating or winding up a collective investment scheme, a stakeholder pension scheme or a personal pension scheme
f) RAG 5 – home finance administration or home finance providing activity
g) RAG 6 – acting as trustee of an authorised unit trust, safeguarding and administration of assets (without arranging), arranging safeguarding and administration of assets and acting as depositary or sole director of an OEIC
h) RAG 7 – retail investment activities, advising on pensions transfers & opt-outs and arranging (bringing about) deals in retail investments
i) RAG 8 – making arrangements with a view to transactions in investments and operating a multilateral trading facility (MTF)
j) RAG 9 – home finance mediation activity and insurance mediation activity (non-investment insurance contracts)
k) RAG 10 – the activities of an RIE
l) RAG 11 – bidding in emissions auctions
m) RAG 12 – credit-related regulated activity

A1.34 Explain the consequences of breach of s20 FSMA. *(3 marks)*

Breach of s20 is stated not to constitute an offence directly, transactions are not unenforceable and a right of action will not immediately arise unless otherwise specified (s20(2) and (3)). Breach will nevertheless constitute a disciplinary matter subject to FCA enforcement including a fine or censure (public or private) or possibly a restriction or variation of permission.

A1.35 Where are regulated activities defined under the FSMA? Give four examples. *(4 marks)*

The principal regulated activities are listed in **Schedule 2 FSMA** although this does not contain the legal definition of regulated activities. Regulated activities are '**as specified'** (under s 23(4) FSMA) which means by Statutory Instrument. The legal definition of regulated activities is then set in the **Regulated Activities Order** (**RAO**) issued under the FSMA as amended.

A1.36 The Banking Act 2009 created a Special Resolution Regime (SRR) to deal with banks and other depositary institutions at risk of failure. Summarise **three** powers of the SRR when faced by a failing bank. *(3 marks)*

After the great financial crisis, a permanent regulatory framework was established to consider cases of banks and other financial intermediaries at risk of failure. This framework established under the Banking Act 2009 was termed the Special Resolution Regime (SRR). The Banking Act established both objectives to guide decision making by the different bodies involved and a number of powers. These powers (as outlined in the workbook) include:

• To place a bank into temporary public ownership.

• To place a bank into receivership and allow payment to insured depositors.

• To use administration procedures on all or part of the bank.

• To transfer part or all of the bank to a third-party private buyer or as an intermediate step to the Bank of England pending a future sale.

A1.37 Explain the nature of macro-prudential policy and how this is principally managed under the regulatory system in the UK. *(3 marks)*

Macro-prudential policy is concerned with the monitoring of the build up of risks and exposures across the financial system as a whole. This was identified as one of the key failures in the UK, EU and US before the global financial crisis. This has allowed the formation of major asset price bubbles, in particular, in the property market and the build of debt and leverage across the financial system. Macro-prudential policy is managed by the Financial Policy Committee (FPC) within the Bank of England.

A1.38 Identify SIX of the supervisory principles that apply under the FSMA as amended. *(3 marks)*

The supervisory principles set out in s 3B FSMA as amended consist of the following:

a) efficient and economic use of resources;
b) proportionate restrictions;
c) desirability of sustainable growth in the UK economy;
d) consumer responsibility;
e) senior management responsibility;
f) the regulatory authorities take into account the differences in the nature and objectives of the separate businesses carried on by persons under FSMA;
g) information disclosure;
h) transparency.

A1.39 Identify the main types of firms subject to Prudential Regulation Authority (PRA) supervision and control under FSMA. *(3 marks)*

The PRA is responsible for the prudential regulation of banks, building societies and credit unions, insurance businesses (including general insurers, life insurance companies, wholesale firms on the London market and mutual insurers including friendly societies) as well as designated investment firms.

There is no need to specify the types of insurance companies covered.

A1.40 Identify the regulatory activities for which the Financial Conduct Authority (FCA) is responsible under FSMA. *(3 marks)*

The question may either have been answered with reference to the FCA's objectives or residual regulatory activities not conferred on the PRA.
The FCA's strategic objective is protecting and enhancing confidence in the UK financial system and its operational objectives are consumer protection, integrity efficiency and choice.
Reference may alternatively have been made to regulated activities of a specified kind and by order (s22(1) and (5) FSMA) and to Schedule 2 and the RAO 2001/No 544 as amended.
The FCA is strictly responsible for anything not reserved to the PRA under the FSMA 2000 (PRA-regulated Activities) Order 2013 No 556 (s 22A FSMA).

A1.41 Identify FOUR of the principal statutes that govern financial services regulation in the UK. *(2 marks)*

Four of the principal statutes that govern financial services regulation in the UK are:
(a) Financial Services and Markets Act 2000;
(b) Banking Act 2009;
(c) Financial Services Act 2012;
(d) Financial Services (Banking Reform) Act 2013.

A1.42 Identify six of the principal means through which the regulatory authorities are held accountable under FSMA. *(3 marks)*

The regulators may generally be held accountable through any of the following means:

(a) HM Treasury appointments;
(b) Publication of annual report;
(c) Maintenance of appropriate internal governance structure;
(d) Appointment of complaints investigator under FSMA;
(e) Competition scrutiny;
(f) Judicial review;
(g) Consultation with Practitioner Panel;

(h) Consultation with Consumer Panel;
(i) Consultation with Small Business Practitioner Panel;
(j) Upper Tribunal;
(k) Conduct of independent review;
(l) Conduct of formal Treasury enquiry.

A1.43 Explain the role and function of the Upper Tribunal under the FSMA. *(3 marks)*

The role and function of the Upper Tribunal is to consider financial services appeals. The Upper Tribunal was established in 2008 under the Tribunal, Courts and Enforcement Act 2007 and is managed by Her Majesty's Courts and Tribunals Service. This replaced the Financial Services and Markets Tribunal in April 2010 which had originally been set up under s 132 FSMA.

The Upper Tribunal has four Chambers with financial services matters being considered by the Tax and Chancery Chamber. The chamber specifically considers appeals against decision notices issued by the FCA and PRA. This may include decisions to discipline authorised firms or approved persons, withdrawal of approval, vary permission, market abuse or issue prohibition orders.

A1.44 Explain the role and function of the Financial Policy Committee (FPC) within the UK financial and regulatory architecture. *(4 marks)*

The Financial Policy Committee (FPC) was set up under the Financial Services Act 2012 (s 9B Bank of England Act 1998 and s4 FSA 2012).
Macro prudential policy is concerned with the monitoring of the build-up of risks and exposures across the financial system as a whole. This was identified as one of the key failures in the UK, EU and US before the global financial crisis. This has allowed the formation of major asset price bubbles, in particular, in the property market and the build of debt and leverage across the financial system.

The function of the FPC is to examine issues that may affect financial stability with specific reference to the identification and monitoring of systemic risks and taking action to remove

or reduce such risks to protect and enhance the resilience of the UK financial system (s 9C Bank of England Act 1998). The FPC has been given specific powers to manage housing market debt including limiting the proportion of high loan income mortgages that banks can offer or prohibiting new lending above specific loan to income ratios.

The FPC has examined such other issues as sovereign debt exposures, forbearance and provisioning practices, bank capital levels, earnings retention (bonus payments) and opaque funding structures, such as with regard to collateral swaps or similar transactions with exchange traded funds (ETFs).

A1.45 Explain the role and function of the Competition and Markets Authority (CMA).

(4 marks)

The Competition and Markets Authority (CMA) is responsible for strengthening business competition and preventing and reducing anti-competitive practices within the UK. The CMA was set up on 15 March 2012 and was established under Part 3 of the Enterprise and Regulatory Reform Act 2013.
The CMA works to promote competition for the benefit of consumers inside and outside the UK and to ensure that markets work well for consumers, businesses and the economy. The CMA is an independent, non-ministerial government department with around 700 staff.

The CMA specifically investigates mergers that could restrict competition, conducts market studies and investigations, investigates anti-competitive conduct and abuses of dominant positions, enforces consumer protection legislation, cooperates with other sector regulators and considers regulatory references and appeals.

A1.46 Explain the general requirement imposed under s21 FSMA on financial promotions.

(3 marks)

s 21 FSMA requires that a financial promotion, in the form of an invitation or inducement to engage in an investment activity, must be issued by an authorised person or the content approved by an authorised person (s 21(1) and (2)). All financial promotions must be clear,

fair and not misleading (COBS 4.2). This is subject to the exemptions provided for under the Financial Promotion Order (FPO) as amended.

The restrictions on financial promotions do not apply to purely factual communications nor to eligible counterparties with regard to MiFID business.

A person who breaches the restrictions on financial promotions is guilty of an offence and liable for up to two years' imprisonment (six months on summary conviction) or a fine or both (s 25(1)) subject to a reasonable belief or reasonable precautions defence ((s 25(2)).

A1.47 Outline the statutory objectives of the Prudential Regulation Authority (PRA).

(3 marks)

The PRA's general objective is to promote the safety and soundness of PRA authorised persons (s2B(2) FSMA as amended). This is to be advanced by seeking to ensure that the business or failure of a PRA authorised person does not have any adverse effect on the stability of the UK financial system and that the continuity of service of ring-fenced bodies is protected (s 2B(3)(a)-(c) FSMA).

The PRA's insurance objective is to contribute to the securing of an appropriate degree of protection for those who are or may become policyholders (s2C(2) FSMA as amended).

The PRA's general objective was revised in 2013 to ensure that in discharging its general functions, the business of ring-fenced bodies are carried on in a way that avoids any adverse effect on the continuity of the provision of core services in UK and protected from risks that could adversely affect the continuity of core services with the risk that failure of the body, or a member of its group, could affect the continuity of core services (s2B(3)(c) inserted under the Financial Services (Banking Reform) Act 2013).
The PRA was also given a secondary competition objective (SCO) on 1 March 2014 of acting, in so far as reasonably possible, in a way that facilitates effective competition in the markets for authorised firms carrying out regulated activities (s 130 Financial Services (Banking Reform) Act 2013).

A1.48 In a financial regulation context, define what is meant by the term 'financial supervision' and give **three** examples of supervisory principles used to enhance supervision of financial firms. *(4 marks)*

The term financial supervision relates to the monitoring of a firm's behaviour and compliance with financial regulations. There are many supervisory principles introduced to ensure the enhanced supervision of financial firms by financial regulators. These principles (as outlined in the Official Workbook) include:

• Be forward looking and pre-empt poor conduct to limit the effects on markets and customers.

• Focus on strategy and business models to identify any future risks.

• Focus on culture and governance to determine what drives behaviours in the organisation.

• Focus on individual and firm accountability through holding senior managers and firms to account.

• Follow proportionate and risk-based measures in its actions, such as using its wider market knowledge to identify problematic firms and individuals.

• Engage in two-way communication with firms and consumers.

• Clearly communicate the expected behaviours for firms and individuals.

• Apply these principles in a co-ordinated manner, within the FCA and with other appropriate external bodies.

• Rectify any systematic harms identified and work to prevent their reoccurrence.

• Where appropriate refer action/activities to the Enforcement division.

A1.49 Identify and explain three of the key themes within the FCA's Environmental, Social and Governance (ESG) strategy. *(3 marks)*

The FCA's Environmental, Social and Governance (ESG) strategy is based on the 5 following core themes:

(1) Transparency - promoting transparency on climate change and wider sustainability along the value chain.
(2) Trust - building trust and integrity in ESG-labelled instruments, products and the supporting ecosystem.
(3) Tools - working with others to enhance industry capabilities and support firms' management of climate-related and wider sustainability risks, opportunities and impacts.
(4) Transition - supporting the role of finance in delivering a market-led transition to a more sustainable economy.
(5) Team - developing strategies, organisational structures, resources and tools to support the integration of ESG into FCA activities.

[Tutor note: Candidates performed badly on this question. Few could name three of the five themes. Most candidates wrote in very general terms about the FCA's expectations concerning a business's approach to ESG.]

A1.50 Explain the extent to which regulated financial institutions will be subject to a general duty of care to consumers under Section 29 (1) of the Financial Services Act 2021.

(3 marks)

s 29(1) of the Financial Services Act 2021 required the FCA to consult on whether it should make general rules providing that authorised persons owe a duty of care to consumers. A consultation paper titled A New Consumer Duty (CP 21/13) was produced on 14 May 2021. The Consumer Duty came into effect in July 2023. This applies to retail clients, including non-professional customers and small and medium sized enterprises (SMEs), and consists of three key elements:

(a) A new 'Consumer Principle' (a firm must act to deliver good outcomes for retail clients);

(b) Overarching 'Cross-cutting Rules' (a firm must take all reasonable steps to avoid causing foreseeable harm and to enable customers to pursue their financial objectives and to act in good faith); and

(c) Four Outcomes (based on communications, products and services, customer service and price and value).

A1.51 List six principal areas of financial business which are affected by the Financial Services Act 2021. *(3 marks)*

The UK Financial Services Act 2021 was an attempt to re-regulate financial services after the UK's exit from the European Union. A wide range of business areas are affected by this act. These financial business areas include:

- part 4A permissions,
- duty of care,
- money laundering offences,
- forfeiture of money and overseas trustees,
- debt respite schemes,
- help to save,
- buy-now-pay-later products,
- financial collateral,
- payment services, and
- the provision of cash.

A1.52 Outline the role of the Financial Conduct Authority (FCA) in the authorisation and supervision of firms. *(4 marks)*

The FCA has been tasked with maintaining confidence in the UK financial system by regulating the conduct of firms. Two of its core regulatory functions are authorisation and supervision. Authorisation is the gateway through which firms and individuals must pass before they are permitted to carry out regulated activities in the UK. Firms must meet threshold conditions, such as having adequate financial resources, being appropriately organised, and demonstrating that their senior managers are fit and proper. This process helps to ensure that only firms who are capable of acting responsibly and in the interests of consumers are allowed to participate in the market.

Supervision is the FCA's ongoing process of monitoring firms to ensure they continue to meet regulatory standards. The FCA uses a proactive, risk-based approach to supervision, focusing more closely on firms that pose higher potential risks to consumers or market

integrity. Supervision may involve thematic reviews, firm-specific assessments, and routine or targeted communications and inspections. Where necessary, the FCA may intervene, impose restrictions, or take enforcement action.

2. MiFID regulations and international aspects

A2.1 Identify eight activities that may be passported under the Markets in Financial Instruments Directive (MiFID). *(4 marks)*

The following activities that may be passported under the Markets in Financial Instruments Directive (MiFID):

(a) Receiving and transmitting orders;
(b) Execution orders on behalf of clients;
(c) Dealing on own account;
(d) Managing portfolios on a discretionary basis;
(e) Investment advice;
(f) Underwriting financial instruments;
(g) Placing financial instruments;
(h) Operating a Multilateral Trading Facility (MTF).

A2.2 Give a brief description of MiFID. *(2 marks)*

The Markets in Financial Instruments Directive replaced and extended the scope of the Investment Services Directive (ISD). Amongst other things MiFID provides the regime for 'passporting' of financial services firms authorised in one member state to be able to conduct business in other member states. MiFID also extended the scope of ISD core activities to include advising on investments and also included commodity derivatives as well as transferable securities in the enlarged scope.

A2.3 List four financial instruments that are covered by MiFID. *(2 marks)*

MiFID instruments include:

- Transferable securities
- Money market instruments
- Units in collective investment schemes

- Derivatives relating to securities, currencies, interest rates or yields
- Commodity derivatives
- Financial contracts for differences
- Other derivatives (relating e.g. to climate variables or other statistics).

A2.4 List four ancillary services that may be provided by a firm under MiFID. *(2 marks)*

Ancillary services under MiFID include:

- Safekeeping and administration of financial instruments, including custody and related services
- Granting loans to an investor (to carry out a transaction in which the firm is involved)
- Advice to undertakings on capital structure and on mergers and acquisitions
- Foreign exchange services
- Investment research and financial analysis
- Services related to underwriting

A2.5 Explain the general purpose and content of the Capital Requirements Directive (CRD) IV requirements within the UK. *(3 marks)*

The general purpose of the CRD 4 is to restate the core European measures that apply with regard to banks and investment firms. This consists of both a Capital Requirements Directive (CRD) and Capital Requirements Regulation (CRR) and replaces all existing measures in this area. This is supported by the separate Markets in Financial Instruments Directive (MiFID II) for investment firms.

The CRD contains all of the core provisions with regard to definitions, competent authorities, market access, initial capital, freedom of establishment and services, reciprocity, prudential supervision, disclosure and ancillary provisions. The CRR contains the principal measures governing own funds and capital adequacy for credit risk, market risk and operational risk as well as large exposures, liquidity and leverage.

The specific objective of CRD 4 was to impose higher requirements with regard to credit risk, liquidity and leverage following the global financial crisis beginning in 2007-08. These

provisions were implemented under the Basel 3 measures adopted by the Basel Committee on Banking Supervision (BCBS) in 2010. This, in particular, increased Core Equity Tier 1 capital (CET 1) from 2% to 4 ½% and imposed a separate Conservation Buffer (2 ½%), Countercyclical Buffer (0-2 ½%) and Systemic Risk Buffer (0-2 ½%) with a short 1-month Liquidity Coverage Ratio (LCR) and 12-month Net Stable Funding Requirement (NSFR) and 3% leverage ratio.

A2.6 Explain the general purpose and nature of the Basel III and revised capital requirements.

(4 marks)

The Basel Committee on Banking Supervision imposes basic minimum common, international requirements in relation to the capital adequacy position of banks. The Committee's first standards were issued in 1988 (Basel I) with revised provisions in 2004 (Basel II) and following the recent global financial crisis in 2010 (Basel III).

Basel III builds on the three pillars introduced under Basel II with a minimum requirements (pillar one), supervisory review (pillar two) and market disclosure (pillar three).

Basel III revises the basic minimum requirements and imposes two new liquidity ratios and a minimum leverage ratio for the first time. The minimum capital requirements increase core two year one capital (essentially paid-up share capital and retained earnings) from 2% to 4.5% with an additional conservation buffer (2.5%), countercyclical buffer (0-2.5%) and systemically important institution buffer (0-3%).

Basel III was implemented in 2019.

The cumulative effects of imposing these requirements will be to increase the stability of banks by allowing them to absorb additional losses in the event of a major crisis and to withstand short-term lending restrictions through the new liquidity rules with overall debt levels being limited through the new leverage ratio.

A2.7 Identify any TWO of the three European Supervisory Authorities and summarise the types of firms or activities for which they are responsible. *(4 marks)*

The three European Supervisory Authorities consist of:

a) the European Banking Authority (EBA) is responsible for banking policy;
b) the European Securities and Markets Authority (ESMA) is responsible for securities policy; and
c) the European Insurance and Occupational Pensions Authority (EOPIA) is responsible for insurance and pension policy.

A2.8 Explain the role and function of the Financial Stability Board (FSB) at the international level. *(4 marks)*

The Financial Stability Board (FSB) was established at the G20 London Summit in April 2009 following the global financial crisis to extend and replace the earlier Financial Stability Forum (FSF) which had been set up following the Asian financial crisis beginning in Thailand in July 1997. The FSB consists of representatives from national financial ministries, central banks and supervisory authorities as well as other international financial agencies. This includes inter alia the BCBS, the International Organisation of Securities Commissions (IOSC), International Association of Insurance Supervisors (IAIS) and the Committee on Payments and Market Infrastructures (CPMI).

The purpose of the FSB is to coordinate the work of national financial authorities and international standard agencies, and to promote the implementation of effective regulatory, supervisory and other financial sector policies. The FSB has produced a large number of important reports in various policy areas since the global financial crisis beginning in 2007-2008. The FSB has specifically produced an online or virtual Compendium of Standards which is effectively a global financial rulebook/ This includes a specific list of 16 Key Standards (https://www.fsb.org/work-of-the-sb/about-the-compendium-of-standards/key_standards/).

A2.9 How did Brexit affect the ability of UK firms to provide financial services to EU clients?

(3 marks)

Valid points include: an explanation of passporting, transition, the end of passporting, and post-Brexit options for UK firms.

The term passporting arose from the Investment Services Directive (ISD) 1993. In this directive passporting considers situations where a firm authorised to provide investment services in one member state, could provide this same service in other member states without additional authorisation.

Following notice given by the UK government to the EU and various deadline extensions, the UK left the EU on 31 January 2020, but stayed in the EU due to transitional provisions that ended at 11pm on 31 December 2020. During the transitional time period, UK firms had to comply with EU legislation, including implementing new legislation. The government introduced legislation that converted existing directly applicable EU legislation (Regulations) into UK law and preserved existing UK laws which implement EU obligations.

obligations.

Following the end of the transitional period, UK firms lost their ability to access the EU single market on the basis of ‘passporting’; this means that UK firms are limited in their ability to provide financial services to EU clients, likewise for EU firms to UK clients.

UK firms may look to exemptions in local law that allow for access by firms from non-EU countries or apply for permission from the European Commission, or other EU bodies under the access regimes for third countries provided in EU legislation.

3. High level standards

A3.1 Specify four of the threshold conditions which an FCA-regulated firm has to meet to obtain Part 4A permission under FSMA. *(2 marks)*

The threshold conditions consist of:

a) Location of offices;

b) Effective supervision;

c) Appropriate resources;

d) Suitability;

e) Business model.

A3.2 List four of the Principles for Businesses set out in PRIN. *(4 marks)*

The twelve Principles for Businesses are:

1. Integrity

2. Skill, care and diligence;

3. Management and control;

4. Financial prudence;

5. Market conduct;

6. Customers' interests;

7. Communications with clients;

8. Conflicts of interest;

9. Customers and relationships of trust;

10. Clients' assets;

11. Relations with regulators;

12. Consumer Duty.

A3.3 Name two of the sections within the FCA Handbook that set out the key obligations in relation to management functions. *(2 marks)*

Management functions under the FCA Handbook are dealt with in:

1. PRIN
2. SYSC
3. SUP
4. GENPRU and BIPRU

A3.4 List four of the FCA's individual ('tier 1') conduct rules. *(2 marks)*

COCON 2.1.1:

1. You must act with integrity.

2. You must act with due skill, care and diligence.

3. You must be open and co-operative with the FCA, PRA and other regulators

4. You must pay due regard to the interests of customers and treat them fairly

5. You must observe proper standards of market conduct

6. You must act to deliver good outcomes for retail customers.

A3.5 Explain the "senior managers" regime. *(3 marks)*

Before undertaking a senior manager function on behalf of an authorised firm a person must first receive approval from the appropriate regulator to undertake that function. The firm seeks approval for the individual, and before granting approval the regulator must be satisfied that the candidate is fit and proper to perform the senior manager function to which the application relates. The regulator will have regard to a number of things when assessing the fitness and propriety of a person to perform a particular senior manager function. In particular these will include the person's:

- Honesty, integrity and reputation;
- Competence and capability;
- Financial soundness.

Once approved an individual is subject to the provisions of COCON and the conduct rules (both Tier 1 and Tier 2) and is also subject to discipline by the regulator for failing to comply with relevant rules or principles. Penalties for this can include fines and withdrawal of approval.

A3.6 Explain how the FCA ensures that those who seek to become authorised are Fit and Proper. *(4 marks)*

Schedule 6 of FSMA sets out threshold conditions which represent the minimum conditions which a firm is required to satisfy and continue to satisfy, in order to be given and retain Part 4A permission. There are five of these conditions as follows:

- Location of offices
- Effective supervision
- Appropriate resources
- Suitability
- Business model

The FCA will therefore consider where the firm is established, but also who has influence over running the business. The firm must demonstrate through its business plan that it will comply with the requirements of BIPRU and SYSC. The firm must demonstrate that its financial and other resources are appropriate for the likely risks that it will face.

In assessing suitability the FCA must be satisfied by the firm that it is fit and proper person having regard to all of the circumstances, including connections to any person, the nature of the business and the need to ensure that its affairs are conducted soundly and prudently.

The FCA will have regard to whether the firm will conduct its business with integrity and in compliance with proper standards, has competent and prudent management and can demonstrate that it conducts its affairs with due skill, care and diligence.

In addition the FCA will look at whether the governing body of the firm is made up of individuals with an appropriate range of skills and experience to understand, operate and manage the firm's regulated activities. Also that the firm has in place adequate systems of

control to comply with requirements under SYSC. These should include areas such as recruitment of only employees who are honest and competent and committed to high standards of integrity.

A3.7 Give FOUR examples of matters the FCA would have regard to when determining a person's honesty, integrity and reputation. *(2 marks)*

- Whether the person has been convicted of a criminal offence (particularly of fraud, dishonesty or otherwise relevant to financial services).
- Adverse findings or settlement in civil proceedings.
- Whether the person has been the subject of, or interviewed during an investigation by the FCA or other regulatory body.
- Previous contravention of any requirements and standards of a regulatory system.
- Previous justified complaints about the individual.
- Whether they have been dismissed or asked to resign from previous employment.
- Whether they been disqualified from acting as a director or involved with a company that has been refused (or had withdrawn) registration or similar to perform a trade or business, or been involved with a company that has failed within a year of their involvement.

A3.8 Identify six of the key requirements set out in SYSC. *(3 marks)*

The main requirements imposed under SYSC are:

- Senior management arrangements (SYSC 2)
- General organisational requirements (SYSC 4)
- Employees, agents and other relevant persons (SYSC 5)
- Compliance, internal audit and financial crime (SYSC 6)
- Risk control (SYSC 7)
- Outsourcing (SYSC 8)
- Record-keeping (SYSC 9)
- Conflicts of interest (SYSC 10).

A3.9 Explain briefly the general purpose and structure of the High Level Standards contained in the FCA's Handbook of Rules and Guidance. *(4 marks)*

The High Level Standards are set out in Block 1 of the FCA Handbook of Rules and Guidance. The purpose is to establish the general minimum standards of conduct with which regulated firms and their key personnel (approved persons) must comply at all times.

The High Level Standards consist of the:

a) Principles for Businesses (PRIN);
b) Senior Management Arrangements, Systems and Controls (SYSC);
c) Code of Conduct (COCON)
d) Threshold Conditions (COND);
e) Statements of Principle and Code of Practice for Approved Persons (APER);
f) Fit and Proper Test for Approved Persons (FIT);
g) Financial Stability and Market Confidence (FINMAR);
h) Training and Competence (TC); and
i) General Provisions (GEN).

A3.10 List three of the main requirements governing supervision of outsourcing relationships under SYSC. *(3 marks)*

Outsourcing is dealt with as an aspect of operational risk under SYSC 8. Firms must maintain robust governance arrangements and adequate internal control mechanisms over material and non-material outsourcing arrangements. Non-material outsourcing may be dealt with in a manner that is appropriate and proportionate to the firm's operations.

The FCA may also object within one month where an MiFID investment firm intends to outsource portfolio management outside the EEA unless:

a) the other service provider is authorised or registered in its home country to provide the services covered and subject to effective supervision; and
b) an appropriate cooperation agreement has been entered into between the FCA and the overseas authority concerned.

A3.11 List eight of the high level standards in the sourcebooks contained in the FCA Handbook of Rules and Guidance. *(4 marks)*

The manuals or sourcebooks contained within the high level standards are as follows:

(a) Principles for Businesses;	PRIN
(b) Senior Management Arrangements, Systems and Controls;	SYSC
(c) Code of Conduct	COCON
(d) Threshold Conditions;	COND
(e) Statements of Principle and Code of Practice for Approved Persons;	APER
(f) Fit and Proper Test for Approved Persons	FIT
(g) Financial Stability and Market Confidence Sourcebook;	FINMAR
(h) Training and Competence;	TC
(i) General Provisions;	GEN
(j) Fees Manual.	FEES

A3.12 Explain the different ways in which firms can manage conflicts of interest . *(3 marks)*

A firm must manage conflicts of interest fairly between itself and customers and between customers under FCA PRIN 8. Conflicts of interest can generally be dealt with either through declining to act, Chinese walls or maintaining an independence policy and disclosure as a last resort.

Conflicts of interest are dealt with under SYSC 10 with firms being required to take all reasonable steps to identify conflicts between the firm and a client or between clients (SYSC 10.1.3R) with types of conflicts being set out in SYSC 10.1.4R. Firms must maintain and operate effective organisational and administrative arrangements to prevent conflicts creating a material risk of damage to clients (SYSC 10.1.7R) failing which the conflict must be disclosed to the client (SYSC 10.1.8R).

Common platform firms and management companies must maintain an effective conflicts of interest policy (SYSC 10.1.10R) with specific provisions applying with regard to the content of the policy (SYSC 10.1.11R). Firewalls and Chinese walls are dealt with under (SYSC 10.2).

A3.13 List six of the PRA's Fundamental Rules.

(3 marks)

The Fundamental Rules (FRs) imposed under the Prudential Regulation Authority (PRA) Rulebook apply with regard to:

(a) Integrity;

(b) Due skill care and diligence;

(c) Act in a prudent manner;

(d) Maintain adequate financial resources;

(e) Have effective risk strategies and risk management systems;

(f) Organise and control its affairs responsibly;

(g) Deal with regulators in an open and cooperative way;

(h) Prepare for resolution.

A3.14 Explain the principal purpose of the Senior Managers Regime (SMR).

(3 marks)

The objective of the **Senior Managers Regime (SMR)** is to ensure that senior managers are held accountable for any **misconduct** within their specific areas of responsibility. Firms have to prepare **Responsibility Maps** to allocate all relevant Senior Management functions (SMFs) with each manager adding a **Statement of Responsibility (SOR)** (s60(2A) FSMA).

Authorised persons must vet candidates before putting them forward for approval to ensure that they are fit and proper in terms of relevant qualifications, training, competence and personal characteristics (s60A). Conditions such as time limits may be attached to approvals (s61(2B)) and approval can be varied subsequently (s 63ZB). The regime applies to persons approved under s59 FSMA to carry out a designated senior management function (SMF) as provided for under s 59ZA FSMA as amended.

A3.15 Explain the general purpose and content of the Financial Conduct Authority's conduct risk control framework. *(3 marks)*

This question can be answered in a number of different ways. The FCA has generally been made responsible for conduct regulation with the PRA managing prudential regulation

under the revised institutional structure established under the FSA 2012. The FCA is specifically responsible for conduct risk although this is a difficult issue to define precisely. The term conduct risk is not referred to in the FSMA as amended. Conduct risk is not separately defined in the FCA Glossary nor is the term risk separately defined. The objectives of the FCA are referred to under the FSMA in terms of acting as a financial function authority with the specific operational objectives of promoting consumer protection, system integrity and competition (s1B (2) and (3) FSMA). Conduct risk is not separately defined and it would generally appear that this refers to anything that is not of a prudential regulation nature in practice.

The FCA has been developing its approach to conduct risk under its 2013 and 2014 Risk Outlook documents with a series of priority actions being set out in its Business Plans for 2013 and 2014. Reference may also have been made to various speeches.

The new policy risk model is generally made up of two parts with 'Drivers of Risk' (Part A) consisting of Underlying drivers (inherent factors and Structures and business conduct features) and Environmental developments) and 'Evolving risk landscape' (Part B) consisting of Cross-market pressures and related risks and Forward-looking areas of focus (2014 Risk Outlook P7).

Candidates may also have referred to relevant high level regulatory provisions covering conduct risk including PRIN 1 (integrity), 5 (market conduct), 6 (customers' interest), 7 (client communication), 8 (conflicts of interest), 9 (trust), 10 (asset protection) and 12 (consumer duty) as well as COCON 1 (integrity) and 5 (market conduct), SYSC 10 (conflicts of interest) and 19 (remuneration) as well as COND and FIT more generally. Training requirements may also have been referred to under TC as well as the Consumer Duty, Fair Treatment of Customers (FTOC) and the Retail Distribution Review (RDR).

A3.16 Explain the purpose and content of the offence of causing a financial institution to fail, imposed under section 36 of the Financial Services (Banking Reform) Act 2013.

(3 marks)

s36 creates a new offence of causing a financial institution to fail. This applies where the person is a senior manager in relation to an institution and takes (or agrees to take) a

decision (or fails to act) and was aware at the time of the decision that this could cause the failure of a group institution in circumstances where the conduct would fall below that which would be reasonably expected and the decision (or failure to act) led to the failure of the institution (s36(1)).
The person is guilty on summary conviction for up to 12 months imprisonment or seven years on indictment or a fine or both (s36(2)). Relevant terms are defined in s37.

A3.17 Explain the principal purpose of the Certification Regime (CR) established under the Financial Services (Banking Reform) Act 2013. *(3 marks)*

The Certification regime was adopted with the Senior Managers regime following recommendation by the Parliamentary Commission for Banking Standards (PCBS) on 'Changing Banking for Good' in June 2013. The Certification regime was introduced for deposit taking firms (other than credit unions) and applies to personnel other than Senior Managers that may pose a risk of significant harm to the firm or a customer. Firms are to certify the fitness and propriety of staff every year (s 63E FSMA) rather than have pre-approval by the authorities as under the earlier approved persons regime. The same conditions apply with regard to certification as approval including qualifications, training, competence and characteristics (s 63F). A new set of Conduct Rules (COCON) were also adopted (under s 64A FSMA) which replace the earlier APER rules.

A3.18 List eight of the sections within Senior Management Arrangements (SYSC) within the FCA Handbook of Rules and Guidance. *(4 marks)*

SYSC 1 Application & Purpose
SYSC 2 Senior Management Arrangements
SYSC 3 Systems and Controls
SYSC 4 General Organisational Requirements
SYSC 5 Employees, Agents & Other Persons & Electronic Communications
SYSC 6 Compliance, Internal Audit & Financial Crime
SYSC 7 Risk Control
SYSC 8 Outsourcing [Financial Technology]
SYSC 9 Record-Keeping

SYSC 10 Conflicts of Interest
SYSC 10A Recording Telephone conversations
SYSC 11 Liquidity Risk Systems & Controls
SYSC 12 Group Risk Systems & Controls
SYSC 13 Operational risk Systems & Controls
SYSC 14 Risk Management for Insurers
SYSC 18 Whistleblowing
SYSC 19A IFPRU Remuneration Code
SYSC 19B AIFM Remuneration Code
SYSC 19C BIPRU Remuneration Code
SYSC 19D Dual Regulated Firms Remuneration Code
SYSC 19E UCITS Remuneration Code
SYSC 19F Remuneration & Performance Management
SYSC 20 Reverse Stress Testing
SYSC 21 Risk Control: Additional Guidance
SYSC 22 Regulatory References
SYSC 23-27 Senior Managers & Certification
SYSC 28 Insurance Distribution: Specific Knowledge

A3.19 Identify the four Senior Manager Conduct Rules within Financial Conduct Authority (FCA) COCON 2.2. *(2 marks)*

The Senior Manager Conduct Rules set out within FCA COCON (2.2) consist of the following:
(a) You must take reasonable steps to ensure that the business of the firm for which you are responsible is controlled effectively.
(b) You must take reasonable steps to ensure that the business of the firm for which you are responsible complies with the relevant requirements and standards of the regulatory system.
(c) You must take reasonable steps to ensure that any delegation of your responsibilities is to an appropriate person and that you oversee the discharge of the delegated responsibility effectively.
(d) You must disclose appropriately any information of which the FCA and PRA would reasonably expect notice.

A3.20 Explain why it is important for a firm to keep accurate records of past business undertaken (SYSC 9). *(3 marks)*

SYSC 9 stipulates that keeping accurate records of past business is critical for effective regulation and compliance. Often it is required to keep records for seven years. Clear and accurate records allow a regulator to effectively monitor the firms' behaviours, ensure they are compliant and have fulfilled all their obligations to their customers and clients. This involves record keeping both within the firm of internal procedures and of external actions in an accessible manner which may be stored for future reference by any appropriate regulatory authority.
Critically, and to satisfy the demands of UK MiFID (as outlined in the workbook), the firm needs to ensure:

1. The record can be reconstituted into each key stage of the processing of each transaction.
2. It must be possible for any corrections or other amendments, and the contents of the records prior to such corrections and amendments, to be easily ascertained.
3. It must not be possible for the records otherwise to be manipulated or altered.

A3.21 Name and outline three of the principles within the CISI Code of Conduct. *(3 marks)*

The principles are:
• Personal Accountability
• Client Focus
• Conflict of Interest
• Respect for Market Participants
• Professional Development
• Aware of Capabilities
• Respect Others and the Environment
• Speak Up & Listen Up.

A3.22 Firms trading in non-investment products in UK wholesale financial markets are subject to many voluntary codes of conduct. Outline the scope and focus of two such codes. *(3 marks)*

Firms trading in non-investment products in UK wholesale financial markets are subject to many voluntary codes of conduct. This question asked candidates to outline the scope and focus of two such codes. Within a strong answer we expected candidates to outline any two of the following:

• The FX Global Code has no legal or regulatory bearing and covers topics such as ethics, governance, information sharing, as well as risk management and compliance and confirmation and settlement. This code was developed by a partnership between central banks and market participants from 16 jurisdictions around the globe. The Code promotes a robust, fair, liquid, open, and transparent marketplace in which participants can effectively and confidently transact.
a partnership between central banks and market participants from 16 jurisdictions around the globe. The Code promotes a robust, fair, liquid, open, and transparent marketplace in which participants can effectively and confidently transact.

• The UK Money Market Code is a voluntary code, written by market participants which sets out best practice expected from participants in UK deposit, repo and securities lending markets. The code promotes high standards to build trust and certainty.
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• The Global Precious Metals Code was introduced by the London Bullion Market Association and applies to all precious metals market participants. The Code sets out best practice in the market including compliance, governance, risk management and pre- and post-trade execution.

A3.24 Define and explain **one** of the cross-cutting obligations under the Consumer Duty. *(3 marks)*

• Acting in Good Faith Towards Retail Customers – Firms must act with honesty, fairness, and openness in all dealings with retail customers. Actions should align with what customers reasonably expect, and this principle should be embedded at the design stage of products and services to ensure fairness from the beginning.

• Avoiding Foreseeable Harm – Firms are responsible for ensuring that retail customers understand and accept the inherent risks in products and services. They must take proactive

steps to prevent foreseeable harm within their control and must not exploit customers' vulnerabilities, behavioural biases, or lack of financial literacy.

• Enabling and Supporting Retail Customers to Pursue Their Financial Objectives – Firms should provide relevant information and understanding to support customers in making their own financial decisions. This approach empowers customers to take responsibility for their choices, fostering an environment of trust and confidence in the firm's products and services.

A3.25 What is the purpose of the Consumer Credit Sourcebook (CONC), and how does it protect consumers in the credit market? *(3 marks)*

The FCA first introduced the Consumer Credit Sourcebook (CONC) in April 2014. The purpose of CONC is to set out the detailed obligations that are specific to credit-related regulated activities and activities connected to those activities carried on by firms.

CONC protects consumers by making sure that firms carry out affordability checks before offering credit, provide clear information about the costs and terms of loans, and don’t engage in aggressive or misleading sales practices. It also sets rules for dealing with customers in financial difficulty, such as offering appropriate repayment plans instead of taking immediate action like repossession. These rules help prevent consumers from taking on credit they can't afford and ensure that they are treated fairly if they face problems repaying a loan.

A3.26 What steps should firms take to achieve good outcomes for vulnerable customers? *(3 marks)*

To achieve good outcomes for vulnerable customers, firms should take appropriate action to understand the needs of their target market/customer base. Firms should make sure staff have the right skills and capability to recognise and respond to the needs of vulnerable customers. Additionally, firms should respond to customer needs throughout product design, flexible customer service provision and communications; and monitor and assess whether they are meeting and responding to the needs of customers with characteristics of vulnerability, and make improvements where this is not happening.

4. Financial promotions

A4.1 Explain the difference between a “real time” and a “non-real time” financial promotion.

(3 marks)

The meaning of “real time” and “non-real time” is set out in Article 7 of the Financial Promotion Order.

Real time generally refers to instantaneous or immediate forms of financial promotion involving direct contact between the customer and a regulated firm. This will generally include personal meetings as well as telephone or other interactive forms of communication.

Non-real time refers to more static forms of advertisement not involving any immediate contact between the potential customer and the firm. This will generally include mail shots as well as magazine and TV advertising as well as internet promotions to the extent that no direct communication is involved.

Relevant factors to be taken into account in determining whether a communication is non-real time include:

a) More than one person is involved using a standard format;
b) The communication creates a record;
c) It does not require any immediate response.

A4.2 The Financial Promotion Rules on the communication of unsolicited real time financial promotions (cold calls) contain a number of requirements that must be complied with. List three of these requirements. *(3 marks)*

Cold calls may only be made in the following cases:

a) The communication falls within one of the exemptions set out in the Financial Promotions Order (such as certified sophisticated investor);
b) The communication falls within one of the COBS exceptions (such as eligible counterparty or professional client);
c) Existing retail client and the relationship has been agreed;
d) Certain marketable packaged products (such as regulated non-derivative collective investment schemes);
e) Services relating to readily realisable securities other than warrants.

A4.3 Identify six exceptions under the Financial Promotions Order for breach of the restriction on the issuance of financial promotions under s 21 of the FSMA. *(3 marks)*

The main exceptions contained in the FPO include:

a) Generic promotions;
b) Investment professionals;
c) Overseas recipients;
d) Deposits and insurance;
e) One-off communications;
f) Certified high net worth individuals (net income of over £100,000 or net assets of over £250,000);
g) Certified sophisticated investors;
h) High net worth companies.

A4.4 Identify and explain the main regulatory requirements that apply with regard to financial promotions under the FSMA 2000 and the FCA Handbook and the source of the main exemptions available. *(3 marks)*

The main obligation on financial promotion is imposed under s21 (1) and (2) of the FSMA. This requires that a financial promotion must only be communicated by an approved person or have been approved by an authorised person.

This is supported by the exemptions that may be issued under either the Financial Promotions Order (issued by the Treasury) or set out by the FCA in the COBS (Conduct of Business Sourcebook) within the FCA Handbook.

A4.5 Give three examples of financial promotions to which the FCA's Conduct of Business (COBS) Rules do not apply. *(3 marks)*

The Financial Promotions Order provides a number of exemptions, for example, for communications directed at investment professionals, to certified high net worth individuals and certified sophisticated investors. Also excluded are a company's statutory accounts and

directors' reports, and disclosures/announcements required by the listing rules or the rules of an exchange or market.

The COBS Rules do not apply to communications to a person outside the UK made from a place outside the UK.

A4.6 Describe the regime relating to financial promotions. *(4 marks)*

A financial promotion is an invitation or inducement to engage in investment activity. Under section 21 of FSMA 2000 it is an offence in the course of business to communicate an invitation or inducement to engage in investment activity unless either the person doing so is an authorised person or the content of the financial promotion is approved by an authorised person

The Financial Promotions Order sets out a number of exemptions from section 21 for example for promotions directed at authorised persons or certified high net worth or sophisticated investors. There are also exemptions for promotions required by statute such as a company's annual report or by the rules of an exchange or market.

Where a firm issues or approves the content of a financial promotion then it must ensure the person who does so is competent to perform that role and confirms that the promotion complies with the requirements of the rules in COBS 4. Like all communications with clients a financial promotion must be fair, clear and not misleading.

A4.7 Give four examples of exempt financial promotions. *(2 marks)*

The Financial Promotions Order specifies certain exemptions from s21 as follows:

Communications directed at:

- Investment professionals
- Certified high net worth individuals and associations of high net worth individuals

Also the following:

- Company accounts
- Directors' reports
- Listing particulars and prospectuses
- Promotions by overseas persons to overseas persons
- One off non-real time financial promotions and one-off solicited real time promotions
- A financial promotion which contains only one or more of the following, name of the firm, name of an investment, a contact point, a logo, a brief factual description of the firm's activities, fees or investment products, the price or yields of investments and the charges.
- A personal quotation or illustration form
- A financial promotion subject to the Takeover Code
- A financial promotion in the form of a decision tree for a stakeholder pension scheme

A4.8 What is meant by a solicited financial promotion? *(2 marks)*

Where contact is initiated by the customer or the financial promotion takes place in response to an express request from the recipient, then it is described as solicited: if it is initiated by the firm, then it is unsolicited. A person is not treated as having expressly requested a call, visit or dialogue because he either omits to indicate that he does not wish to receive such contact or because he agrees to standard terms that state such visits etc. will take place. Therefore a customer must positively indicate that he wants such contact or specifically request it.

A4.9 In what circumstances may a firm make an unsolicited real time financial promotion ("cold call")? *(2 marks)*

A firm cannot make a cold call unless:

a) the recipient is an existing customer and envisages receiving cold calls; or

b) the financial promotion relates to a generally marketable packaged product (which is not a higher volatility fund); or

c) the financial promotion relates to readily realisable securities other than warrants).

A4.10 What rules apply when a firm communicates to clients, or potential clients, information which contains an indication of the past performance of an investment?

(3 marks)

Where past performance is indicated, the following rules apply:

- That indication must not be the most prominent feature of the communication.
- Performance information must cover at least the last five years (or the whole available period, if less), and must be based on complete 12 month periods.
- The reference period and source of information must be stated.
- There must be a prominent warning that the figures refer to the past and that past performance is not a reliable indicator of future results.
- The currency must be clearly stated (if different from that of the EEA state where the retail client is resident), together with a warning about the effect of currency fluctuations.
- If the indication is based on gross performance, the effect of commissions, fees or charges must be disclosed.

A4.11 Specify the consequences of breach of the restriction on financial promotion imposed under section 21 of the FSMA. *(2 marks)*

The consequences of breach of the restriction on the issuance of unauthorised or unapproved financial promotions are as follows:

a) the person is guilty of an offence and liable for up to six months imprisonment (on summary conviction) or two years (on indictment) or a fine or both (s 25(1));

b) agreements entered into in consequence of an unlawful communication are unenforceable against the other party who is also entitled to recover any money or property paid and compensation for loss sustained (s30(2)(a) and (b));

c) a public or private censure may be imposed (s 205);

d) a general financial penalty may be imposed (s 206(1));

e) an action for damages may possibly be available (s 138D);
f) an injunction may be issued (s 380(1));
g) the FCA may apply for a restitution order (s382(1)).

A4.12 List six of the general requirements that apply with regard to the publication of past performance information under COBS within the FCA Handbook. *(3 marks)*

The FCA requirements with regard to past performance information under COBS 4.6 include the following:

a) information must not be the most prominent feature;
b) information should cover, at least, the five preceding years;
c) information should cover 12 month periods;
d) information should state the reference period and source;
e) a prominent warning should be included against reliance on past information;
f) specify the relevant currency and warn that currencies may fluctuate;
g) disclose the effect of commissions, fees and charges on gross performance.

A4.13 Explain the general requirement imposed under s21 Financial Services and Markets Act (FSMA) on financial promotions. *(3 marks)*

As 21 FSMA requires that a financial promotion, in the form of an invitation or inducement to engage in an investment activity, must be issued by an authorised person or the content approved by an authorised person (s 21(1) and (2)). All financial promotions must be clear, fair and misleading (COBS 4.2). This is subject to the exemptions provided for under the Financial Promotion Order (FPO) as amended.

The restrictions on financial promotions do not apply to purely factual communications nor to eligible counterparties with regard to MiFID business nor to incoming MiFID communications with these regulated in the home EEA state.

A person who breaches the restrictions on financial promotions is guilty of an offence and liable for up to two years imprisonment (six months on summary conviction) or a fine or both (s 25(1)) subject to a reasonable belief or reasonable precautions defence ((s 25(2)).

5. Conduct of business

A5.1 Explain the purpose and content of the aggregation and allocation rule under the Conduct of Business (COBS) section of the FCA Handbook of Rules and Guidance. *(4 marks)*

Aggregation is concerned with the grouping together of customers' orders for execution either with those of other clients or with the firm's. A firm may not aggregate orders unless there is likely to be no disadvantage to the customer and any possible disadvantage has been disclosed to the customer either orally or in writing.

Fair allocation is concerned with ensuring that no unfair preference is given to any one by a firm in its dealings having regard to transaction price and size. Firms must, in particular, ensure that customer orders are prioritised unless the firm can show on reasonable grounds that the transaction could not otherwise have been effected.

A5.2 Explain what is meant by the best execution obligation imposed on firms, and identify the execution factors. *(2 marks)*

When executing an order for a client, a firm must take all sufficient steps to obtain the best possible result for its client taking into account the execution factors.

The execution factors are: the price, costs, speed, likelihood of execution and settlement, size, nature or any other consideration relevant to the execution of an order.

A5.3 What are the best execution criteria, and what are they for? *(2 marks)*

The best execution criteria are used for the purpose of determining the relative importance of the execution factors (such as price, costs, speed, etc).

The best execution criteria are:

- The characteristics of the client (including their categorisation as retail or professional);
- The characteristics of the client order.

- The characteristics of financial instruments that are the subject of the client order.
- The characteristics of the execution venues to which the order can be directed.

(Execution venues include regulated markets, MTFs, OTFs, systematic internalisers, market makers or other liquidity providers.)

A5.4 What is the general rule with regard to the timing of executing client orders? In what circumstances may this rule be varied? *(2 marks)*

In general, the rule on client order handling requires a firm to have in place procedures for the prompt, fair and expeditious execution of client orders. Otherwise comparable client orders should be executed in chronological order of receipt by the firm.

Where client orders are otherwise comparable, they should be carried out sequentially and promptly, unless:

- The characteristics of the order or prevailing market conditions make this impossible; or
- The interests of the client require otherwise.

A5.5 What is the "quantitative test" for elective professional client status? *(2 marks)*

The "quantitative test" (which applies only in relation to MiFID business) requires that at least two of the following criteria are satisfied:

- The client has carried out significant transactions on the relevant market at an average frequency of 10 per quarter over the previous four quarters.
- The size of the client's portfolio exceeds €500,000 (this includes cash deposits as well as financial instruments).
- The client works, or has worked, in the financial sector for at least one year in a professional position, which requires knowledge of the transactions or services envisaged.

A5.6 List six per se eligible counterparties. *(3 marks)*

- An investment firm
- A credit institution

- An insurance company
- A UCITS scheme (or its management company)
- A pension fund (or its management company)
- Another authorised or regulated EEA financial institution
- Certain own account dealers in commodities or commodity derivatives
- A national government (including a body dealing with public debt)
- A central bank
- A supranational organisation

A5.7 What are the general obligations of a firm under the rule on suitability? *(3 marks)*

A firm must take reasonable steps to ensure that a personal recommendation, or a decision to trade, is suitable for its client.

In order to assess suitability, the firm must obtain appropriate information about the client's:

- Investment knowledge and experience;
- Financial situation; and
- Investment objectives.

The firm must obtain this information from the client, and it must be sufficient to give the firm a reasonable basis for believing that a proposed transaction:

- Meets the client's investment objectives;
- Is such that the client is able financially to bear any related investment risks consistent with his investment objectives; and
- Is such that the client has the necessary experience and knowledge to understand those risks.

The firm is entitled to rely on the information provided by the client (unless it is aware that the information is manifestly out of date, inaccurate or incomplete).

A5.8 Explain the FCA's requirements on inducements. *(2 marks)*

Principle 1 (Integrity), Principle 6 (Customers' interests) and PRIN 12 (Consumer Duty) require a firm to conduct its business with integrity, to pay due regard to the interests of its customers and to treat them fairly. The purpose of the rule on inducements is to ensure that

a firm does not conduct business under arrangements that might give rise to a conflict with its clients.

A firm must not pay to, or accept from, a person other than a client any fee, commission or benefit, unless:

- The fee, commission or benefit is designed to enhance the quality of the relevant service to the client and does not impair compliance with the firm's duty to act in the best interests of the client; and
- The firm clearly discloses to the client the existence, nature and amount of the fee, commission or benefit before providing the service.

A5.9 Explain the purpose of a Chinese wall. *(2 marks)*

Chinese walls are used in circumstances where the FCA would consider it appropriate for a firm to withhold or not to use information that would otherwise be disclosed to, or used for the benefit of, a client. A Chinese wall provides an artificial barrier to the flow of information between the parts of a firm (provided that the arrangements remain effective and are adequately monitored). This assists the firm in complying with Principle 8 (Conflicts of interest) which requires a firm to manage a conflict of interest fairly both between itself and its clients and between one client and another.

A5.10 What is the 'qualitative test' for elective professional client status? *(2 marks)*

The 'qualitative test' requires the firm to undertake an adequate assessment of the expertise, experience and knowledge of the client that gives reasonable assurance, in light of the nature of the transactions or services envisaged, that the client is capable of making his own investment decisions and understands the risks involved.

A5.11 Apart from the 'qualitative test', what procedures must a firm follow before it may treat a client as an elective professional client? *(2 marks)*

The procedures require that:

- The client must state in writing that it wishes to be treated as a professional client (either generally or in respect of a particular service or transaction or type of transaction or product);
- The firm must give the client a clear written warning of the protections and investor compensation rights the client may lose; and
- The client must state in writing that it is aware of the consequences of losing such protections.

A5.12 What information must a firm provide to a client about itself, its services and its remuneration? *(4 marks)*

A firm must provide a retail client and (in the case of MiFID business) any client with prescribed information. This includes:

- Information about the firm and its services:
  - Name and address of the firm and appropriate contact details
  - Statement that the firm is authorised (and the name of its competent authority)
  - Whether the firm is acting through an appointed representative (or a tied agent)
  - Details of occasional and periodical reporting
  - Conflicts of interest policy
- Information about safeguarding of designated investments and client money
- Information about costs and associated charges

This information must be provided in a durable medium (or via a compliant website), either before any service is provided or (if this is impossible, as where an agreement is concluded by distance communication) immediately after starting to provide the service.

A firm carrying on MiFID business must also make available information to enable a client to identify any relevant investor compensation scheme.

A5.13 What were the main changes brought in by the Retail Distribution Review (RDR) and when did these become effective? *(2 marks)*

The three main changes brought in by the RDR are as follows:

- When dealing with retail clients, a firm is now required to describe its services as either 'independent' advice or 'restricted' advice;
- For new advice to a retail client commission-based remuneration has been ended. Firms are now required to charge retail clients an agreed fee for the advice they give;
- The professional standards of investment advisers have been increased (to QCF Level 4).

The changes brought in by the RDR became effective on 31 December 2012.

A5.14 What are the two circumstances, in terms of the rule on appropriateness, when a firm may be required to give a warning to its client? *(2 marks)*

A firm is required to give a warning to the client in two circumstances (these warnings may be provided in a standardised format):

- Where the firm considers, on the basis of the information received, that the product or service is NOT appropriate for the client, it must warn the client of that fact.
- Where the client does not provide information to enable the firm to assess appropriateness (or where the client provides insufficient information regarding his knowledge and experience), the firm must warn the client that it is UNABLE TO DETERMINE whether the product or service is appropriate for him.

A5.15 For the purpose of the rule on appropriateness, what are non-complex financial instruments? *(2 marks)*

Non-complex financial instruments must satisfy the following criteria:

- They are not derivatives (or similar products)
- There are frequent opportunities to trade in them at independently determined publicly available prices

- They do not involve a potential liability that exceeds their cost
- There is publicly available information on their characteristics that is likely to be readily understood by the average retail client for the purpose of making an investment decision.

A5.16 Outline the main conduct of business rules in respect of a firm's order execution policy.

(4 marks)

In order to satisfy its obligation to obtain the best possible result for its clients, a firm is required to establish and operate an order execution policy. This policy must include, for each class of financial instrument, information about the different execution venues that the firm will use to execute client orders and the factors affecting the choice of execution venue.

A firm must provide appropriate information to its clients about its order execution policy. In the case of retail client, the firm must provide the following details about its execution policy before executing any transaction:

- An account of the relative importance the firm assigns to the execution factors;
- A list of the main execution venues used by the firm;
- A clear and prominent warning that any specific instructions from the client may prevent the firm from taking the steps that it would otherwise have taken under its order execution policy to obtain the best possible result for the client.

Where the order execution policy provides for the possibility that client orders may be executed outside a regulated market, an MTF or an OTF, the firm must inform its clients about this possibility.

A firm must obtain the prior consent of its clients to its order execution policy.

A firm must obtain the prior express consent of its clients before executing their orders outside a regulated market, an MTF or an OTF. This may be by means of a general agreement or transaction-by-transaction.

A firm must regularly monitor the effectiveness of its order execution arrangements and execution policy, and it must review them annually.
A firm must be able to demonstrate to its clients, at their request, that it has executed their orders in accordance with its execution policy.

A5.17 What are the requirements in respect of a client limit order that is not immediately executed? *(2 marks)*

Where a client places a limit order in respect of shares traded in a regulated market and the order is not immediately executed under prevailing market conditions, then, unless the client expressly instructs otherwise, the firm must make the order public with a view to having it executed as soon as possible. The firm can do this by transmitting the order to a regulated market, an MTF or an OTF that operates an order book trading system.

This obligation to make public a limit order will not apply to a limit order that is large in scale compared with normal market size (large in scale for this purpose is a size greater than approximately 10 per cent of the share's average daily turnover).

A5.18 What information must be included in a periodic statement provided by a firm to a retail client? *(3 marks)*

The information to be included in a periodic statement comprises:

- Name of firm
- Name of retail client's account
- Statement of the contents and the valuation of the portfolio, including:
  - Market value (or fair value) of each investment
  - Cash balance at the beginning and end of the reporting period
  - Performance of the portfolio during the reporting period
- Total fees and charges
- Comparison of performance with benchmark (if any)
- Total of dividends and interest received

- Information about corporate actions (e.g. bonus issues)
- Relevant trade confirmation information (if not provided on a transaction-by-transaction basis)

A5.19 Identify four of the ways in which conflicts of interest can be dealt with under the Conduct of Business Rules (COBS) contained in the FCA's Handbook. *(4 marks)*

A firm must manage conflicts of interest fairly between itself and customers and between customers under PRIN 8.

Conflicts of interest can generally be dealt with either through Disclosure, Declining to act, Chinese Walls or maintaining an Independence policy. Special rules apply with regard to common platform firms under SYSC 10 and investment research under COBS 12. Disclosure is now only to be used as a measure of last resort under SYSC 10.

A5.20 Explain the two different types of professional client covered by the Conduct of Business Rules (COBS) contained in the FCA's Handbook of Rules and Guidance. *(2 marks)*

A client may either a **per se professional client** or an **elective professional client** (under COBS 3.5.1 R).

A **per se professional client** includes any of the following (unless it is an eligible counterparty or is given a different categorisation under the chapter):

1) an entity required to be authorised or regulated to operate in the financial markets;
2) in relation to MiFID or equivalent third country business a large undertaking meeting two of the following size requirements on a company basis: (a) balance sheet total of EUR 20,000,000; (b) net turnover of EUR 40,000,000; and (c) own funds of EUR 2,000,000;
3) in relation to business that is not MiFID or equivalent third country business a large undertaking meeting certain conditions;

4) a national or regional government, a public body that manages public debt, a central bank, an international or supranational institution (such as the World Bank, the IMF, the ECP, the EIB) or another similar international organisation; or
5) another institutional investor whose main activity is to invest in financial instruments (in relation to the firm's MiFID or equivalent third country business) or designated investments (in relation to the firm's other business) including securitisation of assets or other financing transactions entities.

Elective Professional Client

A firm may treat a client as an **elective professional client** if it falls under 1) and 3) or, where applicable, 2):

1) the firm undertakes an adequate assessment of the expertise, experience and knowledge of the client that gives reasonable assurance, in light of the nature of the transactions or services envisaged, that the client is capable of making his own investment decisions and understanding the risks involved **(the 'qualitative test')**;
2) in relation to MiFID or equivalent third country business in the course of that assessment, at least two of the following criteria are satisfied: a) the client has carried out transactions, in significant size, on the relevant market at an average frequency of 10 per quarter over the previous four quarters; b) the size of the client's financial instrument portfolio, defined as including cash deposits and financial instruments, exceeds EUR 500,000; or c) the client works or has worked in the financial sector for at least one year in a professional position, which requires knowledge of the transactions or services envisaged **(the 'quantitative test')**; or
3) the following procedure is complied with: a) the client must state in writing to the firm that it wishes to be treated as a professional client either generally or in respect of a particular service or transaction or type of transaction or product; b) the firm must give the client a clear written warning of the protections and investor compensation rights the client may lose; and c) the client must state in writing, in a separate document from the contract, that it is aware of the consequences of losing such protections.

A5.21 List four ways in which a transaction may be considered unsuitable for a client under COBS 9. *(2 marks)*

The following transactions would be considered unsuitable for a client:

a) A transaction may be unsuitable for a client because of the **risks** of the designated investments involved, the **type** of transaction, the **characteristics** of the order or the **frequency** of the trading.

b) In the case of managing investments, a transaction might also be unsuitable if it would result in an **unsuitable portfolio** (COBS 9.3.1).

Reference may also be to the following to the extent necessary:

a) **Churning and switching –** frequency and agreed investment strategy (COBS 9.3.2);

b) **Income withdrawals and short-term annuities –** all the relevant circumstances (COBS 9.3.3);

c) **Loans and mortgages** - suitability of the overall transaction (COBS 9.3.2).

A5.22 List the three main types of information that must be obtained to comply with the suitability requirement imposed under COBS 9 of the FCA Handbook. *(3 marks)*

To comply with the suitability obligation, firms must obtain information with regard to:

a) Knowledge and experience in the investment field;

b) Investment objectives;

c) Financial situation.

One mark for each correct response up to three marks.

A5.23 List six of the sourcebooks contained in the Business Standards section of the FCA Handbook of Rules and Guidance. *(3 marks)*

The sourcebooks contained the Business Standards section of the FCA Handbook of Rules and Guidance consist of:

a) Conduct of Business sourcebook (COBS);

b) Insurance: Conduct of Business sourcebook (ICOBS);

c) Mortgages and Home Finance: Conduct of Business sourcebook (MCOB);

d) Banking: Conduct of Business sourcebook (BCOBS);

e) Client Assets (CASS);
f) Market Conduct (MAR);
g) Product Intervention and Product Governance sourcebook (PROD).

A5.24 State the three principal client categories under the Financial Conduct Authority (FCA) Handbook and PRA Rulebook. *(3 marks)*

MiFID introduced three classes of client categories:

(a) Eligible counterparty and either per se or elective eligible counterparties;
(b) Professional clients and per se or elective professional clients; and
(c) Retail clients.

A5.25 What information and content needs to be provided within a suitability report when providing a client with investment advice? *(3 marks)*

The suitability report is a central procedure in ensuring appropriate advice is provided to clients. Briefly this report should include details of the client's investment objectives, knowledge, education, profession, experience of investing and the risk tolerance they can bear and be consistent with their investment objectives.
[Tutor note: This is all the examiner's report requires for a 'strong answer'.]

A5.26 Outline three circumstances where a conflict of interest may arise in the provision of financial services. *(3 marks)*

Conflicts of interest in financial services have significant regulatory implications. The workbook defines such conflicts of interest and they include situations where a person:
• is likely to make a financial gain, or avoid a financial loss, at the expense of the client,
• has an interest in the outcome of a service provided to the client,
• has a financial, or other incentive to favour the interest of another client(s) over the interest of the client,
• carries on the same business as the client,

• receives, or will receive, from a person other than the client, an inducement in relation to a service provided to the client.

A5.27 How should a firm charge for investment advice provided to retail customers?

(2 marks)

• Advisers must charge consumers directly for the advice and services they provide. They cannot be remunerated by the product provider for making personal recommendations to consumers. The fee must be agreed upon between the adviser and the consumer prior to the service being provided. Firms must disclose in writing to retail clients the nature of the advice service, whether it is independent or restricted. If providing restricted advice, the firm must explain the nature of the restriction. This disclosure must be made in good time before providing personal recommendations or basic advice related to retail investment products.
• The charging structure should improve the clarity of how firms describe their services to consumers, address potential distortions in consumer outcomes due to adviser remuneration, and increase the professional standards of advisers. This includes the total price, related fees, commissions, charges, expenses, and any taxes payable via the firm. If costs cannot be indicated at the time, the basis on which they will be calculated should be provided to the client so they can verify them.

A5.28 Explain what a 'key investor information document' (KIID) is and the information that must be included within it. *(3 marks)*

A key investor information document (KIID) needs to be issued for each UCITS or mutual fund (Undertakings for the Collective Investment in Transferable Securities) scheme managed by an authorised fund manager (AFM). These documents should include the essential characteristics of the UCITS scheme. These documents should ensure investors understand the risks of the investment product and are able to make investment decisions on an informed basis. This requires that the KIID is fair, clear, not misleading and consistent with relevant parts of the prospectus. The KIID must include:
• identification of the UCITS scheme
• a short description of its investment objectives and investment policy
• past performance or, where relevant, performance scenarios

• costs and associated charges, and the risk/reward profile of the investment
• appropriate guidance in relation to the risks associated with investments in the scheme.

A5.29 What individual requirements must an investment adviser meet in order to be qualified to provide regulated investment advice to retail customers? *(4 marks)*

To provide advice to a retail customer, an investment adviser must possess a valid statement of professional standing (SPS) from an FCA-accredited body. These statements of professional standing confirm that an adviser:
• has successfully completed a Level 4 (or above) qualification listed in the FCA Appropriate Qualification Tables;
• has completed 35 hours of CPD annually;
• be deemed to be 'fit and proper' in accordance with the FCA's APER (Approved Persons in Appointed Representatives) and/or the SM&CR (Senior Management and Certification Regime);
• and has agreed to adhere to a code of ethics.

6. Client assets

A6.1 Describe the main requirements that apply to a firm becoming authorised to provide custody services. *(3 marks)*

Custody is provided for under CASS. The custody rules generally require that assets are held safely and securely.

General rules apply with regard to the following:

a) segregation of safe custody investment from designated investments;
b) registration and recording title in the name of the client, a nominee company, a custodian, the firm or another person subject to the specified rules;
c) firms must hold documents of title to safe custody investments either in the possession of the firm or custodian, the firm or another person subject to specified rules;
d) relevant terms and conditions must be set out in an appropriate client agreement;
e) appropriate risk disclosures must be made;
f) comply with restrictions applicable with regard to stock lending;
g) appropriate reconciliations must be made.

A6.2 The FCA's client money and assets rules require that client money is segregated from a firm's assets. Provide three exceptions to this general rule. *(3 marks)*

Segregation exceptions include:

a) Opt outs by professional clients (for non-MiFID business) or eligible counterparties subject to appropriate disclosure and documentation;
b) Money due and payable to the firm (such as fees and commissions);
c) Money from an affiliated company;
d) Money paid in connection with a delivery versus payment transaction (DVP); and
e) Money held by an approved bank on behalf of a client in an account with itself.

A6.3 Explain the purpose of the ‘client money’ rules. *(2 marks)*

Principle 10 (clients’ assets) requires a firm to arrange adequate protection for clients’ assets when the firm is responsible for them. An essential part of that protection is the proper accounting and handling of client money The rules are designed to restrict the co-mingling of clients’ and firms’ money, to minimise the risk of clients’ money being treated as the firm’s assets in the event of the insolvency of the firm and to minimise the risk of clients’ money being used without the consent of or against the wishes of the clients.

A6.4 Briefly explain the parts of the CASS sourcebook within the FCA's Handbook of Rules and Guidance. *(3 marks)*

CASS is the Client Assets sourcebook which contains the requirements concerning the holding of client assets and client money in the FCA Handbook of Rules and Guidance. This includes specific provision with regard to Collateral (CASS 3), Client money: insurance mediation activity (CASS 5), Custody rules (CASS 6), Client money rules (CASS 7), Client money distribution (CASS 7A) and Mandates (CASS 8).

A6.5 Explain the general purpose and content of the CASS sourcebook within the FCA's Handbook. *(3 marks)*

CASS is the Client Assets sourcebook which contains the requirements concerning the holding of client assets and client money in the FCA Handbook of Rules and Guidance. This includes specific provision with regard to Application and Classification (CASS 1 & 1A), Collateral (CASS 3), Client Money: Insurance Mediation Activity (CASS 5), Custody Rules (CASS 6), Client Money Rules (CASS 7), Client Money distribution (CASS 7A), Mandates (CASS 8), Information to Clients (CASS 9), Cass Resolution Pack (CASS 110), Debt Management Client Money (CASS 11), Commodities Futures Trading Commission Part 30 Exemption Order (CASS 12) and Claims Management: Client Money (CASS 13).

7. Market conduct

A7.1 List any six types of conduct that may constitute market abuse under the UK Market Abuse Regulation (MAR). *(3 marks)*

Types of market abuse behaviour prohibited by MAR are:

(a) engaging and attempting to engage in insider dealing (MAR Art 8(1))
(b) recommending that another engages in insider dealing (MAR Art 8(2))
(c) unlawfully disclosing inside information (MAR Art 10(1))
(d) engaging or attempting to engage in market manipulation which includes:
  (i) false or misleading behaviour
  (ii) securing the price of financial instruments at an abnormal or artificial level
  (iii) deceptive behaviour
  (iv) disseminating false or misleading information through media (e.g. the Internet)
  (v) benchmark manipulation (MAR Art 12(1)).

A7.2 Specify the penalties that apply for breach of the prohibition on market abuse in the UK Market Abuse Regulation (MAR). *(3 marks)*

In the event of breach of MAR, the FCA may:

- impose an unlimited fine or financial penalty (s 123(1) FSMA);
- publish a public censure (s 123(3));
- apply for an injunction (s 381); or
- apply for a restitution order (s 383).

The FCA can also commence other disciplinary proceedings for breach of the High Level Principles or other provisions in the Handbook.

A7.3 Identify **six** pieces of information which need to be included in a transaction report for the purpose of market surveillance. *(3 marks)*

The question asks for the information requirements outlined for transactions reporting within the FCA's Supervision sourcebook. The specific information required is for the case of market surveillance. A wide range of information requirements (reported in the workbook) can be included in such an answer including those listed below.

a) reporting firm's identity – legal entity identifier (LEI)

b) trading venue identifier code

c) executing entity identifier code

d) trading date and time

e) whether the transaction is a buy/sell

f) instrument identification code (name and ISIN of the instrument)

g) trading capacity

h) quantity – number of shares/nominal/amount of stock purchased/sold

i) settlement date

j) identity of the counterparty (other party to the transaction)

k) price and currency

l) unique transaction identifier

m) buyer or seller/decision-maker details and identification code

A7.4 Explain what is meant by a market sounding in the context of the UK Market Abuse Regulation (MAR). *(3 marks)*

A market sounding comprises the communication of information, prior to the announcement of a transaction, in order to gauge the interest of potential investors in a possible transaction and the conditions relating to it such as its potential size or pricing, to one or more potential investors by:

a) an issuer;

b) a secondary offeror of a financial instrument, in such quantity or value that the transaction is distinct from ordinary trading and involves a selling method based on the prior assessment of potential interest from potential investors;
c) an emission allowance market participant; or
d) a third party acting on behalf or on the account of any person referred to above.

A7.5 Outline the principal exemptions available for breach of the provisions on market abuse under FSMA. *(3 marks)*

The FSMA contains two due diligence defences to the imposition of a financial penalty of:
a) believing, on reasonable grounds, that the behaviour did not amount to market abuse; and
b) taking all reasonable precautions and exercising all due diligence to avoid market abuse (s 123).

Additionally, safe harbours include:

a) Acting in conformity with the FCA's rules on buy-back programmes and stabilisation;
b) Acting in conformity with the FCA's rules on Chinese walls;
c) Disclosures in accordance with the FCA Primary Market's Disclosure Guidance and Transparency Rules (DTR);
d) Disclosures in accordance with the Takeover Code's rules on disclosure during a takeover bid;
e) Market soundings.

A7.6 Explain the general purpose and content of sections 89 and 90 of the Financial Services Act 2012 on misleading statements. *(3 marks)*

The Financial Services Act (FSA) 2012 created two offences of making misleading statements (s 89) and misleading impressions (s 90).

s89 applies with regard to the making of a statement with regard to a relevant agreement that is known to be false or misleading in a material respect or being reckless as to whether

it is or not or dishonestly concealing any material facts in connection with the statement or otherwise. Specifically, section 89 of FSA 2012 makes it a criminal offence to engage in market manipulation through:

a) Knowingly making a statement that is false or misleading;
b) Dishonestly concealing any material facts;
c) Recklessly (dishonestly or otherwise) making a false or misleading statement.

s90 applies where a person acts or engages in any course of conduct that creates a false or misleading impression as to the market or the price or value of a relevant investment and intended to create the impression to induce another person to acquire, dispose of, subscribe for or underwrite an investment (or refrain from doing so) or knew that the impression was false or misleading or was reckless as to whether it was or not.

A person guilty of an offence is liable on summary conviction for up to 12 months imprisonment or for up to ten years on indictment or a fine or both (s 92).

A7.7 Define and explain what is meant by the term 'insider dealing'. *(3 marks)*

Insider dealing involves the use of 'inside' or privileged information to trade for profit. Such inside information would include non-public information pertaining directly or indirectly to a financial asset or which may be useful to someone trading: i.e., the information would likely influence the price of the financial asset. There are many types of inside information, be this client trades, or information as to an upcoming corporate transaction. Morally such use of information is a form of theft. Under UK Market Abuse Regulation insider trading is when an individual possesses such inside information and uses this or facilitates (or recommends to) a third party using this information for trading, or limiting, cancelling or altering trading activities.

A 7.8 Provide **three** examples of activities which would be considered market manipulation behaviours. *(3 marks)*

The UK Market Abuse Regulation (UK MAR) provides a number of different situations in which market manipulation is believed to exist. These include and are defined under the MAR legislation as the following.

• A person or persons acting in collaboration, to secure a dominant position over the supply of or demand for a financial instrument.
• Buying or selling of financial instruments, at the opening or closing of the market, which has or is likely to have the effect of misleading investors acting on the basis of the prices displayed.
• The placing of orders to a trading venue, including cancellation and/or modification, by any available means of trading, including by electronic means, such as algorithmic and high-frequency trading strategies having the effects referred to above or by:

• Making it more difficult for other persons to identify genuine orders on the trading system of a trading venue.

• Creating or being likely to create a false or misleading signal about the supply of, or demand for, or price of, a financial instrument.

• Taking advantage of occasional or regular access to electronic media by voicing an opinion about a financial instrument (while having a position in that financial instrument) and profiting from the impact of the price of that instrument without having disclosed the conflict of interest to the public in a proper and effective way.

A7.9 What is meant by the term ‘insider information’? *(3 marks)*

Broadly, the *Market Abuse Regulation* (MAR) defines inside information as information of a precise nature which:
• has not been made public;
• directly or indirectly relates to one or more issuers, or to one or more financial instruments; and

• if it were made public, would be likely to have a significant effect on the prices of those financial instruments, or on the price of related derivative financial instruments.

MAR also sets out specific definitions for inside information for commodity derivatives and emission allowances. (See MAR, Article 7 (Inside Information), Article 7(1)(b) for commodity derivatives and Article 7(1)(c) for emission allowances). There are only a few limited and highly regulated circumstances where insider information may be used legally, such as for market sounding.

A7.10 Explain what is meant by a 'market sounding'. *(2 marks)*

A market 'sounding' is where a firm is hired by an issuer that wishes to raise market funds, yet initially wishes to identify if investors have an appetite for such an issue. This would also include discovering the possible interest rate or price of this fundraising. A sounding can include the disclosure of 'non-public' information which is sensitive and considered to be 'insider information'.

Subsequently the disclosing firm must comply with the following obligations:
• Obtain the consent of the person receiving the market sounding to receive the inside information.
• Inform the person receiving the market sounding that they are prohibited from using that information for acquiring or disposing of financial instruments.
• Ensure the confidentiality of the information.
• Maintain records of all information given and to whom.
• Advise the recipients of the sounding when the information provided ceases to be considered as inside information.

8. Enforcement and discipline

A8.1 List six supervisory tools set out in SUP within the FCA's Handbook of Rules and Guidance. *(3 marks)*

The main supervisory tools set out in SUP include:

- desk based reviews;
- liaison with other agencies and regulators;
- management meetings or representative meetings;
- on-site inspections;
- reviews and analysis of periodic returns and notifications;
- past business reviews;
- transaction monitoring; and
- use of auditors and skilled persons.

Specific risks may also be dealt with through a number of additional tools including:

- making recommendations for preventative or remedial action;
- providing individual guidance;
- imposing requirements; or
- varying a firm's permission including cancellation.

A8.2 List six of the redress or enforcement options available to the FCA under the FSMA against regulated institutions for breach of the FSMA or FCA rules. *(3 marks)*

Disciplinary powers include:

a) Fines;
b) Private or public censure;
c) Injunction;
d) Varying or withdrawing approval;
e) Varying or cancelling permission;

f) Information gathering;
g) Investigations;
h) Reports by skilled persons;
i) Restitution;
j) Bankruptcy or insolvency.

A8.3 Name four types of administrative sanction against a firm available to the FCA under FSMA. *(2 marks)*

The FCA may exercise any of the following administrative sanctions against a firm:

a) Fine;
b) Public censure;
c) Variation, refusal or restriction of permission;
d) Restitution order.

A8.4 Explain the purpose of a warning notice, a decision notice, a final notice and a supervisory notice under the Decision Procedure and Penalties Manual (DEPP). *(4 marks)*

The purpose of the notices is set out in DEPP:

a) Warning Notice – This provides the recipient with details about action the FCA/RDC proposes to take and the recipient's right to make representations.
b) Decision Notice – This provides the recipient with details about action the FCA/RDC has decided to take subject to the RDC complying with its formal procedures.
c) Final Notice – This confirms the terms of the action that the FCA/RDC has decided to take and the date from which it takes effect.
d) Supervisory Notice – This provides the recipient with details about action the FCA/RDC has taken or proposes to take generally with immediate effect and before any formal procedures have been taken.

A8.5 Explain the role of the Regulatory Decisions Committee (RDC).

(3 marks)

When an investigation is launched by the FCA, the process is administered by the RDC. The RDC is accountable to the board of the FCA, but it is outside the FCA management structure. RDC members represent the public interest and are drawn from practitioners and non-practitioners. The only FCA employee is the chairman of the RDC.
The FCA will normally refer more significant disciplinary matters to the RDC. Thus, the RDC will usually take the final decision on the following actions:

- To refuse, restrict or modify a Part 4A permission application;
- To refuse an application for approved person status;
- To make a prohibition order;
- To exercise the FCA's powers to impose financial penalties or public censure;
- To seek a court order against any person.

A8.6 Explain the general purpose and outline content of the DEPP Manual within the FCA's Handbook of Rules and Guidance. *(4 marks)*

The purpose of the FCA's Decision Procedure and Penalties manual (DEPP) is to set out the procedures for issuing decisions with regard to statutory notice, the FCA's policy on the imposition and amount of penalties and the conduct of interviews under s 169(7) FSMA. The FCA enforcement powers are set to under Part XI FSMA and DEPP.

The provisions of DEPP generally apply to:

a) Application and purpose	DEPP 1
b) Statutory notices	DEPP 2
c) Nature and procedure of the Regulatory Decisions Committee (RDC)	DEPP 3
d) Decisions by FCA staff under executive procedures	DEPP 4
e) Settlement decision procedure	DEPP 5
f) Penalties	DEPP 6
g) Power to impose a suspension or restriction	DEPP 6A
h) Statement of policy on interviews conducted on	

behalf of overseas and EEA regulators	DEPP 7
i) Variation of SMF managers' approval	DEPP 8

A8.7 Outline how appeals are conducted against regulatory decisions under the FSMA as amended. *(3 marks)*

The question may have been answered either in terms of appeals against individual decisions or appeals against the conduct of the regulatory authorities.

Hearings and appeals against regulatory decisions are dealt with under Part 9 FSMA as amended under s 23 FSA 2012. Appeals are managed under the Upper Tribunal (under the transfer of Tribunal Functions Order 2010 SI 2010/22). This applies with regard to decisions by the regulators, the Bank of England or in respect of compensation orders under the Banking (Special Provisions) Act 2000 or Banking Act 2009.

Part 9 FSMA contains specific provisions on proceedings, decisions and supervisory notices, offences as well as legal assistance and an appeal on a point of law (ss 132-137).

Appeals against regulatory authorities are dealt with under Part 6 Financial Services Act 2012. The authorities are required to make arrangements for the investigation of complaints in connection with the exercise of relevant functions with an independent investigator being responsible for conducting the investigations under the complaints scheme (s 84 FSA 2012). The FSA 2012 contains further specific provisions on relevant functions, consultation and publication of the complaints scheme, the investigation of complaints, with the investigator being exempt from liability in damages (ss 84 FSA 2012).

A8.8 Explain the principal features of the FCA's Firm Systematic Framework (FSF). *(3 marks)*

The FCA's Firm Systematic Framework (FSF) is provided for under SUP1A.3.4 with the FCA Supervision Model being based on the three pillars of the FSF, Event Driven Work and Issues and Products.

Purpose of the FSF is to assess whether a firm is, currently and prospectively, being run in a manner that results in the fair treatment of customers, minimises risks to market integrity and does not impede effective competition. The FCA asks whether the firm has the interests of customers and the integrity of the market at the core of the way its business is run.

The FSF will identify and mitigate the key drivers of conduct behaviour and ensure that firms behave in a way that minimises the risk that they present to the FCA's objectives.

A8.9 Describe and explain the appeals process following receipt of a decision notice by the FCA. *(3 marks)*

Any person receiving a decision or supervisory notice from the FCA has the right to appeal this decision. This involves a referral to the Upper Tribunal (or the Tax and Chancery Chamber of the Upper Tribunal). The Upper Tribunal is independent of the FCA and is appointed by the government's Ministry.

This appeal must be undertaken in the 28-day grace period provided by the regulator after the notice has been issued. During this period the FCA cannot take the action it has proposed.

An appeal at the Upper Tribunal involves a rehearing of the FCA's decision and can include new evidence that was not available to the FCA at the time. The Tribunal's decision is binding on the FCA.

A8.10 Briefly describe the FCA's approach to enforcement action. *(3 marks)*

The FCA follows a proportionate and risk-based approach to enforcement, which includes credible deterrence by ensuring firms and individuals comply with regulations through disciplinary action. It also emphasises restorative measures by encouraging remediation and cooperation from firms. In addition, the FCA promotes transparency by publicising enforcement actions to maintain market confidence.

9. Complaints and compensation

A9.1 Explain the difference between the Ombudsman Scheme and the Financial Services Compensation Scheme under the FSMA. *(2 marks)*

Both the Ombudsman Scheme and the Financial Services Compensation Scheme are provided for under FSMA (Parts XVI and XV). The objective of each is to provide a single integrated cross sector support mechanism for clients of regulated firms.

The purpose of the Ombudsman Scheme is to provide a mechanism for clients to make complaints concerning the conduct of regulated firms to an independent party. (This is distinct from judicial review with claims being referred to the Upper Tribunal (Tax and Chancery Chamber) under Part IX of the FSMA.) The relevant provisions are now set out within the DISP section of the FCA Handbook.

The purpose of the compensation scheme is to make payment to former clients of regulated firms after the firm has failed and been closed down. This replaces three earlier compensation schemes maintained in the banking, securities and insurance areas. (In practice, the earlier three funds are now operated as sub-funds within the new single scheme arrangements.) The relevant provisions are now set out within the COMP section of the FCA Handbook.

A9.2 Specify the main financial limits on compensation that may be payable to customers in connection with deposit taking and investment business. *(4 marks)*

The compensation limits set out in COMP are as follows:

a) Deposits (£120,000);
b) Investments (£85,000);
c) Long term insurance (100% of value attributed to policy);
d) General insurance (100% of valid claim (compulsory) and 90% of valid claim (non-compulsory)).

A9.3 Outline the time limits that apply in handling client complaints under DISP. *(3 marks)*

The timetables set out in DISP are as follows:

a) Acknowledgement of receipt – prompt notice (formerly five days);

c) Holding or Final response – eight weeks.

d) Notice of 6 months time limit to refer to FOS.

Records of complaints and of the measures taken for their resolution must be retained for:

a) Five years, for MiFID business

b) Three years, for other complaints

A9.4 Explain the role and function of the Office of Complaints Commissioner. *(4 marks)*

The FCA and PRA are required under Part 6 of the Financial Services Act 2012 to maintain a complaints scheme for the investigation of complaints arising in connection with the exercise of, or failure to exercise, any of their relevant functions and to appoint an independent person (referred to as the Complaints Commissioner) to be responsible for the conduct of investigations in accordance with the complaints scheme (the Scheme) (http://www.fscc.gov.uk/). The Scheme came into effect on 1 April 2013.

The Complaints Commissioner considers grievances against the FCA, PRA, the Payment System Regulator and the Bank of England's oversight of clearing houses and settlement systems. Complaints about financial firms rather than one of the regulators, should be referred to the company concerned and then the Financial Ombudsman Service.

Complaints can be made by anyone who is directly affected by the way in which the regulators have carried out their functions, or anyone acting directly on such a person's behalf, provided that the complaint meets the requirements of the Scheme. To be eligible to make a complaint under the Scheme, a person must be seeking a remedy (which for this purpose may include an apology) in respect of some inconvenience, distress or loss which the person has suffered as a result of being directly affected by the regulators' actions or inaction (http://fscc.gov.uk/complaints-scheme/).

Complaints should be made within 12 months of the date on which the complainant first became aware of the circumstances giving rise to the complaint. Complaints made later than this will be investigated under the Scheme only if the complainant can show reasonable grounds for the delay (http://fscc.gov.uk/complaints-scheme/).

A9.5 Explain the role and function of the Financial Ombudsman Service (FOS). *(4 marks)*

The purpose of the Ombudsman scheme under the FSMA is to provide for the resolution of 'certain disputes' quickly and with minimum formality by an independent person (s 225(1)). The scheme is to be administered by a body corporate with further direction being provided with regard to jurisdiction and operation in Part XVI and Schedule 17 FSMA.

Complainants should generally use the financial institution's internal scheme first before making a separate reference to the Ombudsman. The Ombudsman may direct financial institutions to take any necessary action or make financial awards up to £355,000.

The Ombudsman scheme is generally dealt with under the Dispute Resolution: Complaints sourcebook (DISP) with compensation under COMP within the Redress block of the FCA Handbook.

A9.6 Identify the three sourcebooks within the FCA Handbook of Rules and Guidance governing Redress. (*3 marks*)

The three sourcebooks within the FCA Handbook of Rules and Guidance governing Redress consist of:

a) DISP Dispute Resolution: Complaints
b) CONRED Consumer Redress Schemes sourcebook
c) COMP Compensation

A9.7 List three principle sets of limits payable under the Financial Services Compensation Scheme (FSCS). *(3 marks)*

- The limits on **deposit claims** are **100**% of up to **£120,000** per person per firm and **£240,000** on joint accounts (from 1 December 2025).
- The limit for **mortgages (mortgage advice and arranging)** is **£85,000** (from 1 April 2019).
- The limit for **debt management** is **£85,000** (from 1 April 2019).
- The limit on **investments is £85,000** per person per firm (for claims against firms declared in default from 1 April 2019).
- The limit on **compulsory insurance, long-term insurance, professional indemnity insurance and dealt or incapacity is 100% and 90% on all other claims from 8 October 2020.**

The limits are set out on http://www.fscs.org.uk/what-we-cover/.

A9.8 Describe the purpose of the Financial Services Compensation Scheme (FSCS). *(2 marks)*

The FSCS is designed to protect consumers by providing compensation when authorised financial firms fail. One of its main functions is depositor protection, offering up to £120,000 per person, per firm if a bank or building society collapses. It also covers investment protection, compensating individuals up to £85,000 for losses caused by the insolvency of an authorised investment firm, helping to maintain trust in the financial system. In addition, the FSCS provides insurance and mortgage protection, ensuring policyholders and mortgage customers are compensated if their insurer or provider fails, safeguarding them from significant financial harm.

10. Takeover Code and Listing Rules

A10.1 List the general principles (in summary) contained in the Takeover Panel's Takeover Code. *(3 marks)*

There are six general principles, as follows;

- All holders of the securities of an offeree company of the same class must be afforded equivalent treatment; moreover, if a person acquires control of a company, the other holders of securities must be protected.
- The holders of the securities of an offeree company must have sufficient time and information to enable them to reach a properly informed decision on the bid; where it advises the holders of securities, the board of the offeree company must give its views on the effects of implementation of the bid on employment, conditions of employment and the locations of the company's places of business.
- The board of the offeree company must act in the interests of the company as a whole and must not deny the holders of securities the opportunity to decide on the merits of the bid.
- False markets must not be created in the securities of the offeree company, of the offeror company or any other company concerned by the bid in such a way that the rise or fall of the prices of the securities becomes artificial and the normal functioning of the markets is distorted.
- An offeror must announce a bid only after ensuring that he/she can fulfil in full any cash consideration, if such is offered, and after taking all reasonable measures to secure the implementation of any other type of consideration.
- An offeree company must not be hindered in the conduct of its affairs for longer than is reasonable by a bid for its securities.

A10.2 Outline two of the listing principles firms are required to follow when listing on the London Stock Exchange (LSE). *(2 marks)*

To list a firm on the London Stock Exchange it is expected that a firm follows a wide range of different principles. These are established in the Listing Rules Chapter 7 (LR7) and are enforceable by the UK regulator.

Listing principles include:

- A listed company must establish and maintain adequate procedures, systems and controls to comply with its UKLR obligations
- A listed company must take reasonable steps to enable its directors to understand their responsibilities and obligations as directors.
- A listed company must deal with the FCA in an open and cooperative manner.
- A listed company must act with integrity towards the holders and potential holders of its premium listed securities.
- A listed company must ensure that it treats all holders of the same class of its listed equity shares that are in the same position equally in respect of the rights attaching to such listed equity shares.
- A listed company must communicate information to holders and potential holders of its listed equity shares in such a way as to avoid the creation or continuation of a false market in such listed equity shares.

A10.3 Explain the principal functions of the FCA as the competent authority for the listing of securities ('Primary Markets') under FSMA 2000. *(4 marks)*

The FCA is appointed the UK Listing Authority under s72 FSMA, and has recently started referring to itself as 'FCA Primary Markets' in this role. The FCA is required to maintain the 'Official List' under s74 FSMA and in so doing to issue the 'Listing Rules'. Penalties may be imposed for breach of the Listing Rules under s91 FSMA with a supporting 'Statement of Policy' being issued by the FCA under s93 FSMA.

The general functions of the FCA with regard to listing are set out in s 73(2):

- issue rules with regard to listing under Part 6;
- issue general guidance with regard to listing;
- determine the general policy and principles governing the listing regime.

The FCA is separately required to maintain the official list (s 70(1)) with applications for listing only being accepted where they satisfy the listing rules or any other requirements imposed (s 75(4)).

The former FSA replaced the London Stock Exchange as the UK Listing Authority following the LSE's demutualisation in the early 2000s. The Official List is a list of securities that may be offered to the general public subject to compliance with the relevant requirements with regard to content and disclosure.

Admission to listing is distinct from admission to trading which is concerned with entry to a specific market or exchange.

A10.4 Identify the three sourcebooks within the FCA Handbook of Rules and Guidance governing Listing and their general purpose or content. *(3 marks)*

The three sourcebooks within the Handbook governing Listing and their general purposes are:

a) Listing Rules (LR) – conditions for issuers seeking a listing on the official list of the LSE ;
b) Prospectus Regulation Rules (PRR) – conditions for and contents of prospectuses where offers of securities are to be made to the public;
c) Disclosure Guidance and Transparency Rules (DTR) - controls on inside information and the timely disclosure of price sensitive information to the market as well as notifications of holdings in a company's shares.

11. Money laundering and other financial crime

A11.1 Outline four of the principles which shape how a firm limits issues of bribery.

(4 marks)

A range of principles are proposed in the UK to tackle the issue of bribery. Key legislation in this includes, for example, the UK Bribery Act 2010. The principles include the following from the workbook.

- Principle 1 Proportionate procedures. The procedures to prevent bribery are proportionate to the risk of bribery within the organisation.
- Principle 2 Top-level commitment. The upper echelon management needs to be committed to preventing bribery throughout the organisation. A culture where bribery is unacceptable needs to be developed.
- Principle 3 Risk assessment. A periodic, documented and informed assessment of the internal and external risks posed by bribery needs to be undertaken within the organisation.
- Principle 4 Due diligence. The organisation needs to undertake diligent procedures to limit identified bribery risks.
- Principle 5 Communication (including training). Policies and procedures to limit bribery need to be developed and communicated within the organisation. This may involve the training of staff.
- Principle 6 Monitoring and review. It is expected the firm will monitor and review its policies and procedures to limit the incidence of bribery.

Other appropriate material can be included in an answer and can also be acknowledged.

A11.2 How is terrorism defined in the Terrorism Act 2000? *(3 marks)*

The definition of terrorism covers the use or threat of use of ‘action’ which is:

- Designed to influence the government (UK or overseas) or to intimidate the public (UK or overseas); and
- Made for the purpose of advancing a political or religious or ideological cause.

‘Action’ is relevant for the offence if it:

- Involves serious violence against a person.
- Involves serious damage to property.
- Endangers a person's life.
- Creates a serious risk to the health and safety of the public; or
- Is designed to seriously interfere with or disrupt an electronic system.

A11.3 Explain the role and function of the Money Laundering Reporting Officer (MLRO) within a regulated institution. *(2 marks)*

The MLRO is a controlled function and the person is a senior manager function. Firms (other than sole traders) are required to appoint an MLRO to oversee compliance with the FCA rules on systems and controls against money laundering, with the MLRO having the necessary authority, independence and ability to access sufficient resources and information, in order to allow the MLRO to carry out their responsibility (SYSC 6.3.9).

The functions of the MLRO can be listed as follows:

a) to receive reports of transactions giving rise to suspicious transactions;
b) to determine whether a suspicious transaction report should be filed; and
c) to make a suspicious transaction report to NCA in appropriate cases.

The MLRO should also report at least annually to the firm's governing body on the operation and effectiveness of the firm's systems and controls in relation to money laundering.

A11.4 Outline the principal money laundering offences under UK law. *(3 marks)*

The main UK money laundering offences are now restated under Part VII of the Proceeds of Crime Act 2002 (PCA). The PCA creates three main offences relating to Concealing (s 327), Arranging (s 328) and Acquisition, Use and Possession (s 329) as well as attempting, conspiring or inciting to commit any such offence (s340(11)(a) and (b)). Money laundering

includes Aiding, abetting, counselling or procuring the commission of any of these offences (s 340(11)(c) and (d)).

Two separate offences are also created of Failing to disclose (ss 330-332) and Tipping-off (s 333).

A11.5 Explain the role and function of the Financial Action Task Force (FATF). *(3 marks)*

The Financial Action Task Force (FATF) was set up in 1989 as an inter-governmental agency to develop international standards governing money laundering, terrorist financing and fraud. The FATF publishes 40 core recommendations covering Money Laundering and Terrorist Financing, as well as typologies of money laundering and financial crime. The FATF conducts mutual evaluations and reviews of country implementation and compliance. The FATF also identifies high risk and non-cooperative jurisdictions.

A11.6 Define financial crime and explain two examples of financial crimes regulated by the FCA. *(3 marks)*

The FCA defines financial crime as any criminal activity involving money, financial markets, or financial services. This includes insider trading, which is the illegal buying or selling of securities based on non-public, material information. It also covers money laundering, the process of disguising the origins of illegally obtained money.
Market manipulation is another form of financial crime and involves creating artificial or misleading market conditions, such as through "pump and dump" schemes. Fraud, including misrepresentation or Ponzi schemes, also falls under this definition. Bribery and corruption are included, referring to the offering, giving, receiving, or soliciting of something of value to influence a financial decision. Lastly, sanctions evasion is considered financial crime and involves circumventing international or domestic sanctions to carry out prohibited transactions or business dealings.

A11.7 Briefly explain the role and function of the Financial Action Task Force (FATF).

(3 marks)

FATF was established at the G7 Summit in Paris in 1989. Its membership has subsequently been enlarged and now includes many more countries than the original G7 members.

FATF is an inter-governmental body whose purpose is the development and promotion of policies, both at national and international levels, to combat money laundering and terrorist financing. It is a policy-making body, which works to generate the political will to bring about national legislative and regulatory reforms in these areas.

FATF monitors the progress of its member states in implementing necessary measures, reviews money laundering and terrorist financing techniques and counter measures, and promotes the adoption and implementation of appropriate measures globally. In performing these activities, FATF collaborates with other international bodies involved in combating money laundering and the financing of terrorism.

12. Markets and exchanges

A12.1 The FSMA includes provisions with regard to RIEs and RCHs. Provide three examples of an RIE and one example of an RCH. *(2 marks)*

The recognised investment exchanges (RIEs) are as follows:

a) London Stock Exchange (LSE);
b) London Metal Exchange (LME);
c) ICE Europe;
d) AQUIS Exchange;
e) Cboe Europe Equities.

The Recognised Clearing Houses (RCHs) are:

a) Euroclear UK and Ireland (which incorporates CREST);
b) LCH.Clearnet (which incorporates the London Clearing House);
c) LME Clear;
d) ICE Clear Europe.

A12.2 Explain the nature of and principal activity carried out by a systematic internaliser. *(3 marks)*

A systematic internaliser is a financial firm that matches customer orders internally on his own book. It is effectively an internal market. Firms may go on to formal markets at the end of the day to settle outstanding positions.

A systematic internaliser is formally recognised under MiFID and MiFID II and MiFIR as an investment firm which deals on its own account, on an organised, frequent, systematic and substantial basis, by executing client orders outside regulated markets, multilateral trading facilities (MTF) or organised trading facilities (OTF).

A12.3 Explain the role of a market maker in the context of Markets in Financial Instruments Directive ll (MiFID II). *(2 marks)*

A market maker is a financial institution or individual which aids the provision of liquidity to certain financial markets. In this role the market maker may trade on their own account to ensure that transactions in the market of interest can be undertaken by other market participants. Through ensuring sufficient transactions are undertaken in a financial market, an effective price for financial assets can be established. These market maker roles are generally undertaken by larger financial institutions such as banks.

Reflection as to the role of MiFID II in this context would be helpful. Other appropriate material can be included in an answer and can also be acknowledged.

A12.4 What is meant by the term 'initial public offering'? How is such an offering undertaken? *(4 marks)*

An initial public offering or IPO is a first floatation of shares/equity within a company to be traded on a public exchange. There are multiple ways in which primary offerings can be undertaken:

• An *offer for sale*, whereby the firm the company offers shares for sale to the public and institutional investors. This will generally be coordinated by an investment bank.
• *An offer for subscription* involves the company soliciting potential investors as to their interest in investing within an IPO. When these subscriptions have been received the new shares can be allocated and issued.
• An *intermediaries offer* involves selling shares to financial institutions. These institutions can then re-sell the shares to the public.
• *Placing* involves an investment bank placing blocks of shares with their current clients and contacts.
• An *introduction* does not involve an offer of shares for sale; rather, it allows a company's existing shareholders to trade their shares on a stock exchange.

A12.5 Define **four** different types of financial benchmark classified under UK financial regulations. *(3 marks)*

UK benchmark regulation defines a benchmark as a publicly available index. These benchmarks are developed from an assessment of underlying values of pertinent variables such as prices, interest rates or alike. The UK benchmark regulation classifies benchmarks into six different types:

• *Critical benchmarks* – where the value of contracts underlying the benchmark is at least €500 billion.

• *Significant benchmarks* – where the value of contracts underlying the benchmark is at least €50 billion, and/or where there are no or very few market-led substitutes for the benchmark and/or there would be an impact on financial stability if the benchmark ceased to be produced.

• *Commodity benchmarks* – where the underlying asset of the benchmark is a commodity as defined by UK MiFID.

• *Regulated data benchmarks* – where the input data to the benchmark is provided directly from regulated venues.

• *Interest rate benchmarks* – where the benchmark is determined on the basis of the rate at which banks may lend to, or borrow from, other banks or agents in the money markets.

• *Non-significant benchmarks* – where the value of contracts underlying the benchmark is less than €50 billion, and the benchmark is not a commodity or interest rate benchmark.

A12.6 What is a systematic internaliser? *(2 marks)*

A systematic internaliser is an investment firm which deals on its own account by executing client orders outside a regulated market (RM), multilateral trading facility (MTF) or organised trading facility (OTF). In this role the systematic internaliser provides liquidity to markets.

The systematic internaliser regime, or trading on own account acting on a ‘principal’ basis, was introduced in 2007 as part of the MiFID regime, applies to shares and was introduced to enhance market transparency. This test was subsequently amended to include post-trade reporting requirements to assist in the price discovery process for investors. MiFID II also applies to the systematic internaliser regulatory regime when non-equity financial instruments such as bonds and derivatives are traded.

A12.7 What is the Markets in Crypto-Assets Regulation (MiCA)? Name **two** types of assets in scope of MiCA. *(3 marks)*

The Markets in Crypto Assets Regulation (MiCA) is an EU regulatory framework for the issuance of, intermediating and dealing in, cryptoassets. It introduces licensing and conduct of business requirements as well as a market abuse regime with respect to cryptoassets. MiCA applies with respect to 'cryptoassets', which are defined very broadly as 'a digital representation of a value or a right that uses cryptography for security and is in the form of a coin or a token or any other digital medium which may be transferred and stored electronically, using distributed ledger technology or similar technology'. This definition is aimed at capturing not only cryptocurrencies, such as Bitcoin and Ethereum, but also stablecoins and utility tokens.

A12.8 What is the FCA's Early and High Growth Oversight initiative, and what are its objectives? *(3 marks)*

The FCA's Early and High Growth Oversight initiative provides enhanced regulatory supervision and tailored support to newly authorised firms during their first few years of operation, particularly those experiencing rapid growth. The primary objective is to ensure that these firms establish strong governance and risk management frameworks early on, which are critical for long-term sustainability and regulatory compliance. The objectives of Early and High Growth Oversight are to:

• identify and address harm or misconduct more swiftly;
• raise the standards of adequate systems and controls from the starts;
• promote competition; and
• provide firms with a better supervisory experience.

Each Question carries 20 marks in total.

B1.

You have recently taken a new compliance role in a UK financial firm which sells investment products with advice. In your first few weeks at the firm, you observe a range of practices which raise concerns, as to the form and content of advice provided to clients and specifically how advice is provided on future investments. On reflection you feel it is important to develop a training course as to the needs and requirements for providing investment advice and whether this advice is suitable and recorded in an appropriate manner.

a) What are the regulatory requirements and expectations for providing advice on investments and to ensure the advice provided is suitable for the client? *(5 marks)*

b) What factors determine whether the investment advice provided to a client is suitable and accounts for the risk tolerance of the client? *(5 marks)*

c) What is a more suitable course of action for a compliance professional when discovering a range of practices which raise concerns as to the form and content of advice provided to clients? *(5 marks)*

d) The market for providing financial advice is dynamic and there have been many developments in its financial regulation. Summarise the developments to the market for financial advice indicated within the Financial Advice Market Review (FAMR) (2015). *(5 marks)*

B2.

Mark is a sales representative at a large insurance provider. His role involves selling life insurance and critical illness policies to consumers. Mark is under pressure to meet aggressive sales targets, and the firm offers significant commission incentives for selling premium policies. One day, he meets Olivia, a single mother who is looking for a life insurance policy to provide financial security for her child. Olivia has a limited budget and is not familiar with insurance products. Instead of recommending a basic policy that meets her

needs, Mark persuades her to buy an expensive policy with additional features she does not fully understand. He assures her that it is the best option, downplaying the long-term costs and the cancellation penalties. A year later, Olivia struggles to afford the premiums and realises the policy is far more expensive than she was led to believe. She files a complaint, stating that she was misled about the costs and suitability of the policy.

a) Which of the FCA key principles have been potentially breached by Mark and the firm?

(*7 marks*)

b) What steps should the firm take to ensure compliance with Consumer Duty in situations like this?

(*7 marks*)

c) What are the potential regulatory consequences for the firm and Mark if they are found to have failed in their duty to Olivia?

(*6 marks*)

B3.

A rich far eastern domiciled individual approaches a small private securities firm in London to discuss possible investment opportunities. The individual claims to be a sophisticated investor. Consider each of the following:

a) How would you categorise the prospective client for FCA Conduct of Business (COBS) purposes? Under which types of headings may the client be categorised and what information would you require to make any proper determination? *(5 marks)*

b) If the prospective client is assigned one status initially, in what circumstances may this be adjusted subsequently? Comment, in particular, on the possibility that the prospective client may wish to have either more, or less protection than that already provided. *(5 marks)*

c) What documentation requirements generally apply under the COBS rules before you can begin to conduct any regulated activities on behalf of the client? *(5 marks)*

d) If the prospective client is interested in investing in financial derivatives on either a discretionary or execution-only basis, do any further requirements have to be complied with? *(5 marks)*

B4.

A US investment management company wants to set up an operation in London to launch a new pooled product under the terms of which investors will own a proportionate share in the portfolio of business property holdings across Europe. You are asked to advise on each of the following:

a) Explain the main requirements that apply with regard to the setting up of a new financial business in the UK under FSMA. *(4 marks)*

b) Comment on the extent to which the proposed arrangements might fall within the definition of a collective investment scheme under the FSMA. *(4 marks)*

c) Identify any other investment activities that may be involved. *(4 marks)*

d) Explain the main restrictions that apply with regard to the sale and promotion of such schemes in that UK. *(4 marks)*

e) If the investment management company chose to base itself in the EEA and seek local authorisation there instead, comment on any passporting issues that will arise under European legislation. *(4 marks)*

B5.

Sophie is the Head of Compliance at a mid-sized investment firm. The firm has recently expanded its operations, onboarding a large number of new clients and offering a broader range of financial products. However, the compliance team remains small, and Sophie is concerned that existing oversight processes may not be sufficient to monitor

regulatory risks effectively. In recent internal audits several compliance breaches were identified, including failures in transaction monitoring, inadequate staff training, and a lack of clear accountability within the compliance function. Senior management has expressed concerns about increased regulatory scrutiny and wants Sophie to propose a strategy to strengthen the firm's compliance oversight.

a) What are the key compliance risks resulting from compliance breaches identified by Sophie`s firm, and why is effective governance important in managing these risks?

(5 marks)

b) What steps should Sophie take to enhance compliance oversight and ensure that regulatory obligations are met?

(5 marks)

c) How can senior management support the compliance function, and why is a strong compliance culture essential for the firm?

(5 marks)

d) What potential regulatory and reputational consequences could the firm face if it fails to improve its compliance framework?

(5 marks)

B6.

You are the Head of Compliance at Megabank, a large integrated securities house. Megabank has recently appointed Roy "Brass" Neck to re-invigorate its Equities Division, which includes both Equity Research and Equity Sales. Neck's reputation is as a practical, hands-on manager, with aggressive ideas about the ways to generate business and motivate staff.

After two weeks in the post, he comes to you with the following proposals, which he wants implemented without delay:

a) Whenever the Corporate Finance Department goes to "pitch" for a new client they must be accompanied by an analyst from the Equities Department. He explains that this will show the potential client that Megabank has a strong team of experts; it will also enable the analysts to provide a "reality check" to control over-enthusiastic Corporate Financiers and turn down unsuitable new clients.

b) The specialised dealers who currently work in the Private Client Department must be redeployed within the Equity Department and report to Neck. This is so that he can control the dealers' activities and ensure that all the order flow in equities is retained within the firm. At present, too many trades are being executed with other houses via SETS and Retail Service Providers. He will also be able to give the dealers large lines of stock, which they can place with Private Clients.

c) If a Corporate Client is going to make an announcement, the Corporate Finance Department must brief the Equity Division well before the announcement is made, in order for them to be prepared for the inevitable questions from clients that will arise when the announcement is made.

d) The Nominee and Safe Custody Department must notify all Equities Division staff of every "S793 Notice" they receive. (s793 of the Companies Act gives companies the power to demand details of the underlying shareholders within a reasonable time. Company secretaries usually write to nominee companies to find out who the beneficial owners are.)

What advice would you give to Mr Neck with regard to each of the arrangements that he wants to put in place? *(20 marks)*

B7.

a) Ruth Kendall, a retail client, telephoned Bell Jones, a firm of brokers and a member of the London Stock Exchange and regulated by the FCA. She asked the firm to sell shares on her behalf. Bell Jones effected the deal by buying some of the shares as principal and selling the remainder in the market as agent. The total due to Ruth amounted to £28,000. Two days after effecting these transactions Bell Jones sent Ruth a letter and contract confirming the deal together with the transfer documents. The latter were

completed and returned promptly by her with the relevant share certificates. Two weeks elapsed during which time Ruth heard nothing from Bell Jones. She then telephoned the firm and was told that her funds were available. She was asked whether she would prefer to reinvest the money in a combination of gilts and options or alternatively whether she would prefer the cash. The firm's employee with whom she spoke emphasised several times that as a widow she should have her money working for her on the market. Ruth requested Bell Jones to pay a quarter of the sum into her bank account and to retain three quarters to invest on her behalf. The firm sent Ruth a cheque for £7,000 drawn on its current account and placed £21,000 into a client bank account (designated as the Ruth Kendall account). Bell Jones subsequently purchased from that account gilts and when it received the certificates the firm used them as collateral for its bank overdraft. Bell Jones has since been put into receivership by the bank for defaulting on loan payments.

Advise Ruth about the following matters:

(i) What rule breaches have, or may have, occurred? *(8 marks)*

(ii) What are her prospects of recovering her money? *(2 marks)*

b) ABC Co is a member of the London Stock Exchange and regulated by the FCA. It acts in a broker dealer capacity. It is a wholly owned subsidiary of XYZ Co, a registered market maker in all leading and many smaller company shares. One of ABC retail clients, Brown, a non-discretionary retail client, has a modest portfolio of 'blue chip' investments and wants to buy some smaller AIM shares as long-term investments. He has also been reading about LIFFE equity options and thinks that they might offer him a 'bit of excitement'. Brown tries to contact his usual sales executive at ABC Co to discuss his intentions as he has not dealt in these investments before. However, the executive is out at lunch and so Brown is put through to another executive, Smith, a trader, with whom he has not previously spoken. Without hesitation Smith recommends several AIM company shares and traded options to Brown. Brown accepts the recommendations and instructs Smith to deal in the AIM shares. Smith goes to lunch and returns just before the close of business. He executes hurriedly buying orders with XYZ Co in several AIM company shares. The following morning, without further consultation with Brown, he transacts a traded option deal for him through another broker.

Analyse and discuss the regulatory issues arising from these transactions under the Conduct of Business Rules, and identify any breaches you suspect may have occurred.

(10 marks)

B8.

a) Imperial Computers is a leader in the manufacturing of computer chips. They have just invented the "superchip" which will have a faster rating than any other chip on the market. If they can market this product successfully, and make it cheaply, they will eclipse Intel as the market leader. The stock market knows that Imperial Computers has made great strides in this area and investors generally expect that the company will soon begin their marketing efforts on a world beating computer chip.

Investments Unlimited is regulated by the FCA. The firm's "star" electronics industry analyst anticipates that Investments Unlimited will wish to publish current research on Imperial Computers. He telephones Imperial Computers' head office to arrange a meeting with their Chief Executive, Frank Merchant. Mr Merchant's secretary says, "Sorry, Frank is in hospital. I don't know what is wrong but he asked me to call for an ambulance about an hour ago."

Consider whether the analyst has inside information and also whether Mr Merchant's secretary has acted lawfully. *(6 marks)*

b) A day or two later Imperial Computers issues a press release giving details of Frank Merchant's physical condition. He has not suffered a heart attack but has been treated for stress and chest pains. As the analyst walks across the trading floor towards his office, he stops at the desk of one of Investments Unlimited's principal traders. In the ensuing conversation he tells the trader that he is updating his research, that he will publish his report first thing in the morning and that he now thinks investors should sell their positions in the short term. In response to this intelligence, the trader immediately sells stock so that by the end of the afternoon the book is short sufficient shares that the trader is comfortable that he will be able to meet customer selling demand.

Analyse the respective positions of the analyst and the trader. *(7 marks)*

c) After his conversation with the trader, the analyst decides to put the sales force in the know. He approaches a private client fund manager for the firm and has a conversation similar to that held with the trader.

The fund manager has a discretionary retail client who has a significant holding in shares of a different computer company. Indeed, the fund manager purchased those shares for the customer two days ago on the grounds that the company was a good long-term investment that would produce the income and growth that the client expects from his investments. The fund manager has now made seven trades on this account this month, each of which has shown a profit. Appropriate client documentation is in place.

The fund manager, knowing his client's account has no spare buying power, sells the shares in the other computer company to generate sufficient margin to support a short sale of Imperial. The fund manager feels this is a fairly riskless way to generate some additional trading commission. In fact, his strategy works and his client makes a substantial profit on the short sale before the fund manager covers it and repurchases the other computer shares

Ignoring the question whether or not the fund manager is dealing on the basis of inside information, analyse the fitness and propriety of his behaviour. *(7 marks)*

B9.

You are the Compliance Officer in the corporate finance division of Agrobank, a large UK investment bank. Sharp, a corporate finance director, has just been to see you to ask your advice on various questions arising out of a rights issue by Technoco plc, on which Agrobank has been advising and in relation to which it has acted as sponsor.

The nil-paid dealings period has now closed. Only 30% of the issue has been taken up by shareholders. Agrobank now has 48 hours (the "placing period") in which to place the remaining 70% before it goes to sub-underwriters. Surprisingly, the market appears to be unaware of the poor take up and the market price stands at a reasonable premium to the price at which new shares are being offered pursuant to the rights issue.

Agrobank is confident that it will be able to place the remaining rights. However, it would like its market maker to take 15% and has decided to allocate up to 7% to Agro Fund Management, its discretionary fund manager. It will retain 2% in house as principal and place the remaining 46% in the market. Neither the full amount taken up by the shareholders nor the amount allocated within the Agrobank group will be disclosed to places. Any amounts remaining unplaced at the end of the placing period will go to the sub-underwriters.

a) What legislation would you advise on at this stage, and why? *(7 marks)*

b) What, if any, disclosure obligations arise in respect of the proposed allocations to the Agrobank group? *(2 marks)*

Sharp would also like Agrobank to invest its own funds in Technoco's shares to prevent a major fall in the share price should news about the size of the rump leak out before the rump has been placed. He believes that the purchase would be a shrewd investment – he cannot understand why the rights issue was so badly supported and has shown you some management figures he received this morning from Technoco's finance director, showing how well the company is doing. The figures are considerably better than the projections in the rights issue circular. He was so impressed when he received them that he suggested the finance director send them to a number of Technoco's institutional shareholders. As a result of the information, one of the institutions has been in touch with Agrobank and would like to take an option over shares in Technoco acquired by Agrobank, rather than buying the shares in the market itself.

c) Identify whether any criminal offences have been committed, or may have been committed, on the latest facts as described by Sharp. *(7 marks)*

d) At the end of the fully paid dealing, members of the Agrobank group have in aggregate the following for registration:

Market maker	9.0%
Agro Fund Management	9.0%

Principal funds 2.9%

Which of these will require disclosure to Technoco? *(4 marks)*

B10.

You are the compliance officer of Osprey Private Bank, a UK-incorporated bank which is regulated by the FCA for the conduct of investment business. Osprey is a subsidiary of Global Bank Inc, a US-based universal bank, which provides a variety of banking services to both retail and wholesale clients.

a) Global Bank Inc. is considering setting up a global website for the group. The website will be hosted in the US, with its content managed by Global Bank Inc. in the US. The website will advertise Osprey's personal and corporate banking services. You are asked to advise on anything required to ensure that the website does not "raise any UK compliance issues". *(6 marks)*

b) Mr Corleone, a native of Sicily, but now resident for most of the year in the Caribbean, has an account with Osprey through which he mainly conducts share dealing activities. You are approached by an officer from the National Crime Agency asking for a print-out of all the transactions on Mr Corleone's account for the last twelve months.

(i) Should you give the information to the officer?

(ii) Should you notify Mr Corleone of the approach and/or the disclosure?

Please give reasoned answers. *(6 marks)*

c) Mr Corleone introduces his Russian friend, Mr Staksovcashsky, to Osprey telling Osprey Mr Staksovcashsky is dissatisfied with the performance of his current bankers. Mr Staksovcashsky proposes to ask his old bankers to transfer the balance on his account (worth several hundred thousand pounds in cash and securities) to Osprey. Mr Green, a young account executive at Osprey, is keen to add Mr Staksovcashsky to his client list and asks you what he needs to do in order to take on Mr Staksovcashsky as a customer. Please advise. *(8 marks)*

B11.

You are the compliance officer of an investment bank, which has just taken on as a client, Crimpleton Bains plc, a company whose shares are admitted to trading on the London Stock Exchange. The company is generally beset by scandal. Some concern has been expressed in relation to the manner in which Crimpleton Bains plc's officers and employees and advisers have conducted themselves in the past. You are asked to consider whether any market abuse issues, or indeed other regulatory or legal issues, arise from the following circumstances:

a) Crimpleton Bains plc makes widgets. It has recently been disclosed that your client may have sold widgets in breach of UN Sanctions against Iraq. As a result of this disclosure and the possibility of prosecution, the share price has slumped. It turns out that, one week before this information was made public, an employee of Crimpleton Bains plc sold all his shares, and then resigned. He tells you that he sold the shares as soon as he found out what his employers were up to and that his behaviour had nothing to do with a desire to avoid loss and everything to do with his personal morality. *(4 marks)*

b) On two occasions, Crimpleton Bains plc gave an informal preview of a profit warning, which it was shortly going to announce to the market, to a journalist who had previously written favourable articles about the company. On the second occasion, the journalist was asked to sign a confidentiality agreement and was given a warning to the effect that he should not deal on the basis of that information until it had been announced to the market. On neither occasion did the journalist deal in the securities of the company. *(4 marks)*

c) You review the text of the announcements submitted by Crimpleton Bains plc to its previous corporate finance advisers and in comparing the text which, ultimately, was published by the regulatory information services, it is clear that some significant inaccuracies have arisen. You conclude that the error has been that of the previous corporate finance advisers. *(4 marks)*

d) Crimpleton Bains plc's profitability is closely related to the price of fuel on the world markets, which has generally affected the share value of most similar manufacturing

companies, including your client. It is clear to you that earlier statements relating to the sales growth of the company are no longer accurate. However, an internal revision of Crimpleton Bains plc's sales growth forecasts has not been announced to the markets.

(4 marks)

e) Crimpleton Bains plc has in the past held breakfast briefings with selected analysts. They have discontinued them, but can't remember whose idea it was to stop. They would like to start hosting them again. *(4 marks)*

B12.

You are the head of a division within a London investment bank which covers a broad range of activities including Merger and Acquisition ('M&A') business and a separately incorporated Private Equity ('PE') operation.

You are aware of the current high level of regulatory scrutiny attached to conflicts of interest by the FCA, especially in the area of investment banking and some of the recent scandals that have occurred. You have also recently participated in a training video, which emphasised the ethical culture of the bank and reminded colleagues of the need for trust and integrity in dealing with clients whose interests must always be considered of paramount importance.

a) Explain the importance of the need to maintain high standards of behaviour and integrity under the FCA Handbook and how this is generally secured in practice.

(4 marks)

You become aware that your M&A team are advising client X on the acquisition of ABC Limited which is the subject of an auction process. You are also aware through the conflict management escalation process that your PE colleagues are also participating in the auction process. The potential conflict has been managed on the basis of Chinese walls and independence policies and you have satisfied yourself on the reputational issues through disclosure.

b) Explain the FCA Handbook requirements that apply with regard to independence policies and disclosure of conflicts of interest. *(4 marks)*

c) Explain what action should be taken to ensure the integrity of the Chinese walls in place and that they are effectively monitored and maintained. *(4 marks)*

The M&A director responsible for advising client X comes to see you to provide an update on the transaction and confirms that his client is through to the final round of the auction process with one other bidder, which is believed to be the affiliated PE operation. During the discussion you learn that following a review of the information made available to all potential bidders in the data room, the M&A team conducted its own comprehensive due diligence exercise which resulted in an assessment that the value of ABC Limited is significantly less than generally believed. The M&A director questions whether this will affect the bid strategy of his PE colleagues. You are also concerned to know whether PE have picked up on the over-valuation of ABC Limited and are not about to commit the Group and its Fund Investors to an investment of several hundred million dollars on the basis of erroneous information.

d) What courses of action are open to you and what factors would you take into account in deciding how to act? *(4 marks)*

The next day, the M&A director responsible for advising client X comes to you in a state of excitement and informs you that their due diligence has uncovered certain accounting irregularities at ABC Limited.

e) What are your responsibilities to report such issues? *(4 marks)*

B13.

You are the FCA member of staff responsible for supervising General Research and Advisory Brokers Ltd (GRAB). The Financial Promotions Unit has drawn your attention to an advertisement published by GRAB in a major national newspaper about the shares in an unlisted oil services company.

The promotion states that:

(i) The shares have grown by 10% more than the shares of listed companies in the same industry;

(ii) The company has total assets of £128 million, and sales in the last year were £514 million;

(iii) GRAB will provide a commission-free dealing service in the company's shares;

(iv) Investors can expect to make a 25% return on the shares within 12 months.

a) Explain what issues the advertisement raises concerning compliance with relevant FCA rules and with relevant statutory provisions. *(5 marks)*

b) In view of your findings in (a) above, describe the measures which you will now take to address the issues which you have discovered. Refer to the powers available to the FCA under statute and to the tools and policies referred to in the Regulatory Processes Block of the FCA Handbook. Also explain how your proposed course of action complies with the duties of FCA and the regulatory objectives set out in FSMA.

(5 marks)

You subsequently find out that GRAB:

(v) Has no records of who confirmed that the promotion could be issued, when or why;

(vi) Was dealing in the shares as principal at a bid-offer spread of 20% of the bid price;

(vii) Did not have permission to deal as principal in any type of investment.

The firm's chief executive believes that it was issued on the approval of an account executive who specialised in the sale of life assurance and collective investment schemes. This person has since been asked to leave the firm, because he has provided a poor standard of service to clients, giving rise to frequent complaints.

You also find out that:

(viii) The oil-services company has liabilities of £350 million;

(ix) GRAB has invested £22 million from clients' discretionary portfolios in the company's shares, and look unlikely to recover more than 20% of their investments;

(x) The chief executive of GRAB is also a director of the oil-services company.

c) Describe the regulatory issues arising from your new findings. *(5 marks)*

d) Explain your views on the powers, tools and policies to be used on GRAB in view of the wider range of regulatory issues that you are aware of as a result of the information set out in c). Also set out your views on the measures to be taken in respect of key approved persons at the firm and state whether you would take more stringent measures than in your answer to (b). Explain the reasons for your decision.

(5 marks)

B14.

Andy, Head of Equities Trading, is holding his weekly team meeting. The team is not performing well and Andy's boss has made it clear that he expects Andy to turn things around.

Andy: 'OK – main point for our team meeting today – we must come up with some bright revenue generating ideas and quickly. Any thoughts?'

Bob (Head of Proprietary Trading): 'We need to get more insight into the market and capitalise on that. Why don't we Premises to re-locate us so that we are more in the swim of client order flow? Right next to the market makers would make best business sense. And we could arrange to see the list of client indications of interest – they're not confirmed orders at that stage and the clients would value the additional liquidity that would be provided in the market.'

Charles (Deputy Head of Prop Trading and formerly a Research analyst): 'Better still, get us all access to the pending research recommendation changes and take advantage of the window after they have been approved by the research committee, but before they have been released to clients. Don't let on, but I still have systems access to the draft reports being prepared in the Utilities sector from my time there as an analyst, and I intend to keep it that way!'

Dave (Head of Sales): 'I'm on the board of one of our best clients – maybe I could exercise some influence there to bring more business to us?'

Ed (Head of Syndication, Capital Markets): Personally, I think we should allow personal account shareholdings in the shares of our clients – that way we align our objectives with those of our clients. Anyway, these are all good ideas guys, they could really help the firm. Andy, why don't you give a prize for the best idea – a week's skiing for the winner and his best customer would incentivise us most – we should use the classiest resort in the US, with travel, accommodation and all incidental expenses paid?'

Fred (aside to George): 'I'm not entirely comfortable with some of this, are you? I think we should run it by Compliance and definitely escalate Charles's continuing access to draft research if Andy won't take it up with him.'

George (aside to Fred): 'Fred, listen, you are a long-standing close personal friend of Charles. 20 years working together and he's given you a lot of support in your career. How could you even think of putting him in a difficult position and potentially jeopardising his job? Have a heart for him and his family and don't go there. And remember, the rest of the team's jobs will be on the line if you block our route to improved performance. What's more, if previous experience is anything to go by, you'll very likely be disadvantaged or sidelined if you rock the boat right now.'

From the above scenario:

a) Identify four potential conflicts of interested, explain their regulatory and ethical nature and indicate appropriate tools for their management and control.

(12 marks)

b) Why is appropriate management of conflicts important to firms?

(4 marks)

c) Comment on George's and the firm's apparent attitude to whistle blowing. What provisions to facilitate whistle blowing would you expect within a firm?

(4 marks)

B15.

You provide Compliance advice on a part time basis to Stockwell Corporate Finance Ltd (SCFL) a small corporate finance firm with permission to advise and arrange deals in investments. Its business has always consisted solely of giving corporate finance advice and arranging corporate finance deals. SCFL does not deal in investments directly and has no dealing or settlement systems. Its three account executives are all Certified Persons.

SCFL recently arranged the flotation of a business (Smallco) for a long-standing client, realising £40 million in cash for its 4 directors. The grateful directors of Smallco want to entrust the money to SCFL to invest for the long term in whatever way it thinks most appropriate. They offer to pay an annual fee of 1% of the value of the amount invested. Time Robbins, the Managing Director of SCFL, thinks that this is an excellent opportunity to earn income, diversify the business of the firm and support a good client relationship. He appears unconcerned about the regulatory implications, saying that the firm must *"strike while the iron is hot"* and that he is not prepared to await your return from holiday which was long delayed while the flotation of Smallco took place.

a) What are the regulatory implications of accepting the offer from the directors of Smallco to place their cash with SCFL? *(6 marks)*

Although you learn, in due course, that it was suggested to Robbins at an executive meeting that there might be regulatory problems if the firm started to carry out this new business without changing the way it operates, he decided that the opportunity was too good to miss and that the firm must go ahead immediately, in view of the risk that another firm will get the business if SCFL delayed "just to conform with yet more red tape".

Robbins emphasised the importance of providing a first rate service to the client, which he is confident of providing, because one of the account executives has past experience in investing funds for clients. He also instructed all members of staff to ensure that no one outside SCFL and Smallco find out that the business is being done.

b) What regulatory issues could result from this proposed course of action? *(4 marks)*

When you return to the office on Monday you are called in immediately to Robbins' office where he tells you what has been going on whilst you were away and he says that although he was reluctant to do so, he had been persuaded by the other executives not to take any precipitate action but to await your return.

Robbins tells you that he is determined that the firm must undertake this new business from the directors of Smallco, as he sees it being the start of important new opportunities for SCFL but, before being irrevocably committed, he must know the regulatory implications of doing so, in particular what the likely requirements of the FCA would be.

c) What do you tell Robbins? *(10 marks)*

B16.

You are a compliance officer working for a financial services firm focused on the sale of investment products to retail customers. A new chief executive officer (CEO) appoints a friend to become Head of Marketing for the firm. This new Head of Marketing joins the firm after a successful marketing career working in supermarkets and industrial products. After a first week at the firm, the new Head of Marketing suggests that current approaches to marketing the firm's financial service are insufficiently market focused and involve far too much bureaucracy. They propose that the form of advertising and the sales processes need to be slim-lined and become more focused on meeting sales targets and profitability metrics. As the compliance officer, this proposal causes you some professional concerns.

After several months have passed, you discover that several advertisements have been placed on the firm's website and distributed over social media for an investment product you were unfamiliar with. You were not part of this development and weren't granted sight of any of the documentation in the development of these proposed investments. The advertisement relates to investing in a 'holiday time share' in a non-EU eastern European holiday resort. The investment scheme claims to provide investors with a 'rock solid investment', 'guaranteed returns', and access to a holiday home for a few weeks of the year. In the scheme it is proposed the investors can choose to stay at the holiday resort in an eastern European non-EU nation at certain times of year or choose to sell-on the right to

stay at the property to a third party. It is stated this investment will provide a 'regular and reliable source of income for all investors'. The investment scheme is presented in a very upbeat and positive manner with the suggestion that any investment in the scheme will result in 10% annual returns and has no downside risk. Indeed, no mention of the risks of the investment or any downside of the investment are contained in the advertisement. The advertisement also includes sentences stating that the investment is 'only for qualified and discerning investors' and is 'approved under section 21 of the Financial Services and Markets Act 2000'.

On seeing these advertisements, you are alarmed and write to the CEO outlining your concerns as to the appropriateness of this advertisement. The CEO sets up a meeting with you, the Head of Marketing and the other senior managers. In the discussion, the Head of Marketing declares the advertisement and associated business have been very profitable for the firm, with several clients already signed up. They also state that compliance was not included in the new product development as compliance acts as an 'anti-business' element within the firm. After a fraught discussion of these issues, it is reported the CEO was aware of these sales. Eventually, the CEO decides that these advertisements and taking on clients for these investment schemes must stop immediately and asks the Head of Marketing to step down. You are asked if you can further explore the ramifications of this investment scheme and can address some of the outstanding regulatory questions which it has raised for the firm.

a) Discuss the key points which would need to be raised in response to discovering this investment scheme has already been marketed and sold to clients. In your answer, outline and discuss the regulatory priorities in the sale of investment services. *(6 marks)*

b) The advertisement of the time share investment has several deficiencies. What are these failings and why do they raise concerns? *(4 marks)*

c) After discovering the non-EU eastern European time share scheme has accepted funds from clients, what are the next steps the firm should follow? As the compliance officer how would you resolve this issue? *(4 marks)*

d) How might you judge the behaviour and actions of the compliance officer and the Head of Marketing in relation to the CISI Code of Conduct? *(6 marks)*

B17.

You are a compliance officer in a firm of hedge fund managers and become aware that one of your firm's most senior traders (Rapier) has been approached by a salesman from an investment bank, who is seeking market feedback on a forthcoming issue of US$ securities issued by a Brazilian Bank in New York.

Although you have not been approached for advice as to the impact that these discussion could have on Rapier's trading activities, which generate a significant portion of the firm's income, a number of concerns spring to mind.

a) What might these concerns be and why? *(5 marks)*

You discuss these concerns with your boss who says that he will have a word with Rapier. As a result of this, you are approached by Rapier, who tells you that he has been an active borrower and short seller of stock in the Brazilian bank for some time and suggest that there is no reason why he should not continue to trade in this manner.

b) What advice would you give and why? *(5 marks)*

Rapier also suggests to you that he believes his trading activities are permitted as he is not trading in the UK.

c) How would you respond and why? *(5 marks)*

Shortly after your conversation with Rapier, the Brazilian securities are issued and as a result of his short position, Rapier has booked the firm a substantial profit.

Nevertheless, you remain concerned at the position in which Rapier may have placed both himself and the firm.

d) Explain what further issues may arise and their possible regulatory consequences. *(5 marks)*

B18.

Emma is a senior financial adviser at a wealth management firm. One of her long-standing clients, David, has expressed interest in a high-risk investment opportunity that promises substantial returns. Emma is aware that David has limited investment experience and a lower risk tolerance. However, her firm has an internal sales target for this investment, and senior management has encouraged advisers to promote it aggressively. Emma is facing pressure to meet her targets and is aware that she may receive a significant bonus if she successfully sells this product to David.

Michael, the firm's compliance officer, learns about the situation and raises concerns. He reminds Emma of the firm's responsibility to adhere to FCA regulations and ensure that all investment recommendations align with clients' risk profiles and financial goals. Michael warns that proceeding with the sale without fully assessing suitability could have regulatory and ethical repercussions.

a) Identify and evaluate the ethical issues present in this scenario. *(8 marks)*

b) How should Emma apply the CISI Code of Conduct in handling this situation? *(6 marks)*

c) What potential consequences could Emma, Michael, and their firm face if she proceeds with selling the product to David? *(6 marks)*

B19.

You have recently started work as the Compliance Officer of a small city firm which has three different business units: Research, Brokerage and Corporate Finance.

After carrying our a review of the firm's business practices during your first couple of weeks you are now ready to present your findings to the Chief Executive and there are a number of matters that you wish to bring to his attention. Specifically, you are concerned about the following observations.

The Head of Research appears to report to the Head of Brokerage, although you cannot find a formal staff organisational chart to confirm this. You have also been told that in the interests of transparency, all of the Broking team attend the weekly Research team meeting in which Research discuss the companies that they are currently covering, the views that they have on them and the nature of the reports that will be issued the following week.

As a result of these close links between Brokerage and Research, it is possible for the Research staff to be remunerated in accordance with the number of transactions that are generated from their research reports. Considerable emphasis is placed on this direct link between research reports and client transactions and as a result the heads of the two departments have agreed that the most active clients of the previous six months should receive research reports a couple of hours before other clients, to give them time to react to it before the market changes. The Head of Research has explained to you that in order to fully monitor the impact of research reports on client transactions it is necessary for the Brokerage and Research teams to sit next to each other, and in fact the dividing wall that used to separate the two teams has recently been taken down.

You also have some concerns about the Corporate Finance department. It appears to be very successful and has recently expanded to take on two new trainees who you are told have been such quick learners that they have already been able to give some sound advice to clients despite the fact that they have not yet had the time to sit their exams and that that Head of the Department has been too busy to give them much attention as he is busy working on a hostile takeover.

When you asked the Head of Corporate Finance more about the hostile takeover mandate that is keeping him busy he explained proudly that he is so well regarded in the market that two firms bidding to buy the same company have given him a mandate to work for them on the transaction. He has not felt the need to inform the two client firms of the two mandates as he tells you that the situation is adequately managed by the use of a Chinese Wall – the Corporate Finance team is in a restricted-access area of the office.

During the course of your review work, however, you have noted that even though the Corporate Finance team is indeed in a separate office, the door is normally kept open as it

can get very stuffy. And anyway, with the door locked it makes it more difficult for the Heads of Research and Brokerage to get in, which you have seen them do on a regular basis, although you are told that it is only to discuss golf!

Comment briefly on the soundness of the regulatory control infrastructure within this firm with special reference to:

a) Any practices you consider to be inappropriate; *(5 marks)*
b) Any controls that you consider should be implemented or strengthened; *(5 marks)*
c) Any rule breaches that you think might have taken place; *(5 marks)*
d) The potential consequences of any rule breaches you have identified. *(5 marks)*

B20.

One of the rich private clients of a leading United Kingdom investment bank has become increasingly dissatisfied with the quality of the service provided. You are instructed to advise the client on any rights of redress or recovery that may be available against the firm.

a) The client considers that it has been given the wrong advice with regard to some of the investments made as a result of which a significant amount of money has been lost especially in Asian equity and derivatives holdings. Advise the client on what action should initially be taken. *(4 marks)*

b) Having obtained further information from another client of the firm as to the firm's knowledge of the weak prospects of the markets concerned and following the firm's failure to provide satisfactory explanation, you are asked to explain if any further rights of complaint are available. *(4 marks)*

c) The client is then informed that the losses suffered have actually resulted from the fraudulent dealings of the unsupervised office manager in Bangkok. How should the client proceed? *(4 marks)*

d) Following a separate investigation into the activities of the office manager, the FCA becomes aware of the extent of the loss. Can it assist the client in any way with regard to the losses suffered? *(4 marks)*

e) In the event of the firm's subsequent collapse and closure, does the client have any separate right of claim apart from against the firm directly which is now in insolvency? *(4 marks)*

B21.

A new divisional director (Herbert) has been hired from overseas to head up your Equities division. He will be required to be certified by the firm to allow him to direct the division and advise clients.

When he joins, as the firm's Compliance Officer you state that, despite his considerable experience, he will need to pass the regulatory module of an appropriate UK qualification before he can start taking investment decisions or provide investment advice. It is not considered feasible for him to be supervised given his seniority and experience.

Both the Divisional Managing Director and Herbert indicate that this should not be a problem and that, while studying for the examination, Herbert will restrict himself to strategy and non-trading activities.

Herbert begins to study for the examination and, over the following period, the performance of the Equities division improves substantially. You learn from an unattributable, but reliable, source that Herbert has, in fact, been providing detailed direction to his department including taking investment decisions and offering investment advice for which he is not currently approved.

On raising these concerns with both Herbert and his Managing Director, they reassure you that he is not taking investment decisions or providing any investment recommendations or advice. However, your source remains adamant that, despite the reassurances that you have received, Herbert is conducting regulated activities while performance within the Equities division continues to strengthen.

Herbert is scheduled to take the regulatory examination in the near future and is expected to pass, which will allow him to be judged to be competent and therefore registered for the appropriate certified functions.

a) Outline the nature and operation of the regime for certified persons. *(8 marks)*

b) Given the above facts, what action would you take from a compliance perspective, if any, and what factors would you take into account? *(10 marks)*

c) Would your answer differ if you were aware that the FCA were due to visit and have indicated that they will look at your firm's internal compliance procedures and TC arrangements? *(2 marks)*

B22.

You are the compliance officer of a medium sized hedge fund. On Friday morning you are heading back to your desk and are approached in the corridor by the fund's top performing portfolio manager who asks for a "quick chat". During your conversation you discover that on Monday the fund manager had been contacted by an investment bank about the refinancing plans of ABC Company, an international company with its headquarters in Germany. ABC Company has issued corporate securities in the form of bonds which are to be listed on the Luxembourg Stock Exchange.

The investment bank had contacted the portfolio manager for his views on the refinancing which included the tender for certain of ABC Company's bonds ("the ABC bonds"). During the course of this conversation, the portfolio manager was informed about the size of the refinancing deal (EUR 0.7 billion), the date of the announcement (the following Thursday), and that the ABC bonds would form part of the tender offer.

Later on Monday afternoon the portfolio manager gave instructions to a junior broker in the firm to purchase 1.4 million of the ABC bonds. On Thursday ABC Company made a regulatory announcement that it had commenced a cash tender offer for certain bonds,

including the ABC bonds. The ABC bonds rose sharply in value, and shortly after the portfolio manager gave instructions to sell which realised a healthy profit for the fund.

On Thursday evening while toasting the profit for the fund, one of the portfolio manager's friends from another hedge fund, who had recently attended a course on market abuse, commented that the portfolio manager may have committed market abuse. After a sleepless night, the portfolio manager decides to speak with you in the morning.

You immediately request the recordings of the telephone conversation between the portfolio manager and the investment bank. To your horror, you discover that the conversation was not recorded. You further discover that the portfolio manager's notes on the refinancing deal had been left open on his desk before the announcement was made.

a) You immediately contact the fund's Chief Executive Officer (CEO) and inform her about the situation. She requests an analysis from you on whether any market abuse has been committed, including details of the relevant possible offences that may have been involved. How would you respond? *(6 marks)*

b) Having given your analysis to the CEO, she further asks what corrective action the fund should take and what are the likely steps that the FCA may take, should the fund notify the regulator. What would you advise? *(4 marks)*

c) The CEO then requests an immediate review of the fund's anti-market abuse systems and controls. In order to undertake this review, you prepare an outline of the potential risks to the firm and applicable internal policies and procedures that may be adopted to mitigate these. Explain the general content of the outline. *(6 marks)*

d) On the Saturday morning, the worried portfolio manager calls you on your mobile. He asks you what the regulatory penalties are for his conduct and the consequences for him and the firm. What would you advise? *(4 marks)*

B23.

One of your firm's clients wishes to raise new funds on the London Stock Exchange (LSE) through a primary offering of company equity. The client is concerned it may need to prepare a prospectus for this activity to communicate to potential investors the details of this fund raising. You have been asked by your firm's management to prepare a short memorandum to answer a range of questions posed by the client, as to what is required when preparing a prospectus.

a) Outline if the firm needs to provide a prospectus. In your answer detail what criteria would justify the development of a prospectus. *(5 marks)*

b) Discuss what information and content the prospectus should contain. *(5 marks)*

c) What are the proposed changes to the rules on issue of prospectuses made within the UK Listing Review? *(5 marks)*

d) Are the changes proposed in the UK Listing Review justified? *(5 marks)*

B24.

You are the compliance officer of an FCA regulated firm which markets unregulated collective investment schemes.

a) You have been asked to advise on whether such financial products will be covered by FSMA. What do you say? *(2 marks)*

b) Explain the main restrictions that will apply with regard to the marketing and sale of such products. *(4 marks)*

c) The firm then decides to market the schemes to individuals who fall within the Certified High Net Worth individuals exemption. Advise on the action that the firm must take in this case. *(4 marks)*

d) In addition to persons who fall within the Certified High Net Worth individuals exemption, you are also asked to outline four other categories of person to whom unregulated collective investment schemes may be marketed. *(6 marks)*

Mary Cherry, one of the firm's fund managers, subsequently proposes that the Offering Memorandum which contains details of these unregulated investment schemes be displayed on your firm's website. The website is to allow investors to apply for interests in these unregulated collective investment schemes using an application form displayed on your firm's website.

e) Explain the action that may be taken to ensure that the restriction on promoting unregulated collective investment schemes contained in s238 of the FSMA is not breached. *(4 marks)*

B25.

You have taken over as Compliance Officer of a firm which trades securities with professional clients and eligible counterparties. The Chief Executive has appointed you because he feels that your predecessor has not done an adequate job and he is looking for you to resolve the problems and to ensure that they do not happen again. He is particularly concerned that there have been material thefts of client money, made possible by inadequate segregation of duties in the accounts department. This has been exacerbated by infrequent reconciliation of client money bank accounts. The Finance Director is to be sacked.

a) The Chief Executive has explained the above to you at a preliminary meeting in his office. He continues: "It is so embarrassing that this has happened – I mean, it's not as if I don't care about protecting our clients' assets but I don't want the FCA to find out about this. They get so uptight about client money you know, and if they ever find out, remember they are judge, jury and executioner – they can have both of us thrown out of the industry at the drop of a hat. So make sure that our clients don't lose a penny, and see to it that the back office work out some sound procedures to make sure that this doesn't happen again."

What advice would you give to the Chief Executive on the regulatory implication of this proposed course of action? *(6 marks)*

b) As you start to investigate the client money rule breaches, you find out that the firm holds client money in respect of on-exchange futures transactions. However, the firm's Part 4A permission does not include dealing in futures.

What are the regulatory implications of this, and what action do you recommend to the Chief Executive? *(6 marks)*

c) The Finance Director is currently holding the Finance Function, and the Chief Executive asks you to give him a "clean" withdrawal *on Form C – Notice of ceasing to perform controlled functions*, on the grounds that dismissal is adequate punishment. Advise the Chief Executive of the regulatory implications of this course of action.

(3 marks)

d) This incident leads you to conduct an overall review of client files, to see what clients have opted out of client money protection. You find out that, not only do you have no documentation on file for some of the clients, but that the firm does not even have their addresses. The clients in question have all been classified as professional clients.

What are the main regulatory implications of this? *(5 marks)*

B26.

You work in the Far East for PB Private Bank which is a part of a large multinational financial services group (MSG) with your firm's client profile being principally ultra high net worth individuals and families.

Among this group of clients is the Chang family whose wealth derives from a highly successful manufacturing business. Five years ago, the founder of the business died leaving his 3 sons to run the business and with a financial interest each but with his wife holding a controlling financial interest although taking no part in the management.

Under the direction of the sons, the business has continued to prosper to the point at which they wish to expand significantly although this has produced tensions with regard to the way in which this could be achieved. Due to the close nature of their relationship with

the Private Bank, the Changs have maintained their commercial banking interests within your group at MSG and have only taken advice on their financing discussions from MSG until now.

PB's relationship manager responsible for the Changs' non-commercial interests is JM who has been based in the Far East for many years. Since JM's wife is a family friend of the Changs, you believe that the relationship with the Changs is secure. Consequently you have every expectation that, whatever form of financing is deemed appropriate, the investment banking arm of MSG (MSGIB) will win the mandate for the new instructions.

In due course, you learn that the Changs have discussed the various options available with MSGIB who have suggested that they should consider raising the funds through a 'bought deal' with 60% of the shares being issued to outside professional investors. This would reduce the Chang family's holding to 40% of the capital of the company, with Mrs Chang's interest being diluted to 20% overall. She is not happy with this proposal as she sees herself as the guardian of her late husband's legacy, over which she will then have little influence.

As Mrs Chang's agreement is essential to the new financing proceeding in the manner envisaged, MSGIB have asked that PB try to convince her to accept the proposal, explaining, among other things, that she will receive a large amount of money from the sale and will still own a substantial piece of the business. MSGIB analysts believe the business is likely to become even more successful following the external capital injection.

JM accordingly arranges a meeting with Mrs Chang to try to resolve the issue and afterwards advises you that Mrs Chang considers that the deal is designed solely to enrich her sons and the bank at the expense of the business. She has nevertheless suggested to JM that in light of the Changs' long friendship with JM's wife, the only way in which she would agree is if JM is made a non-executive director of the business to manage Mrs Chang's interests. JM informs you that he considers that this is a good idea, as he would then be able to look after Mrs Chang's interests at the same time as those of all of PB's other clients.

JM further believes from conversations with MSGIB, that they will expect PB's client managers to recommend investment in the issue to their clients or, where they are

discretionary managers, to buy on their clients' behalf. JM also believes that the issue will be substantially sold to MSG Fund Management's Far East Fund. You are concerned about the potential conflicts of interest that may arise. While some of them may be resolved, you are not clear whether the full implications of these potential conflicts have been fully considered and the potential damage that this may cause to the bank's reputation especially in the private client area.

a) Explain the various conflicts of interest that may arise with regard to Mrs Chang, JM, MSGIB, PB or elsewhere. *(16 marks)*

b) How should Private Bank and MSG deal with the proposal? *(4 marks)*

B27.

You are the Compliance Officer in London for a brokerage firm which is 60% owned by a large US investment house. While inter-bank markets have remained relatively stable, rumours have spread around the City of London and New York about the stability of your US parent company. The brokerage firm has been able to borrow sufficient short-term funds until recently although only at increasingly higher rates over the last few weeks. Three of the non-executive directors on the Board of the UK firm approach you in connection with possibly disposing of some of their shares in the London company which is listed on the London Stock Exchange and the US parent company which is listed on NASDAQ.

The three directors had attended a full meeting of the Board two days previously where the funding difficulties of the UK operation had been discussed. The Chief Executive Officer (CEO) and Chairman both confirmed that they were satisfied with regard to solvency and continued viability of the US parent, although the UK firm may experience some credit difficulties going forward which may last a few months.

The non-executive directors had also attended a separate meeting of the Audit Committee during which the recent sharp decline in the UK firm's share price had been discussed. A copy of a separate external research report had been referred to which stated that the share price was expected to continue to fall.

The three non-executive directors had separately heard over coffee in the executive sitting room that a number of the executive members of the Board had already disposed of some of their shares. The non-execs wished to dispose of all of their current holdings and asked you whether there were any legal or regulatory restrictions that may apply.

a) Explain the general legal and regulatory issues that arise. *(4 marks)*

b) Identify the principal offences, penalties and defences that may apply with regard to market abuse. *(4 marks)*

c) Advise whether any separate criminal law provisions may apply. *(4 marks)*

d) Advise on any separate reporting obligations that should have been complied with. *(4 marks)*

e) Discuss whether any additional conflict of interest issues may arise. *(4 marks)*

B28.

You learn that one of your investment firm's former star traders in global equity instruments has recently been sentenced by the courts for market distortion related offences. The trader had been removed from his position over a year ago although the firm had decided not to take any further action until the court case had been settled. You work for the senior compliance officer and are asked to prepare a short memorandum advising the board on the regulatory implications of the losses suffered by the trader and the trader's subsequent conviction for market related offences.

a) Outline to the board the principal regulatory restrictions that may have been breached by the trader. *(4 marks)*

b) Explain the general regulatory provisions that apply with regard to maintaining adequate systems and controls within the firm. *(4 marks)*

c) Outline possible oversight and monitoring systems that may be set up above traders to limit their activities and potential losses to the firm in extreme cases. *(4 marks)*

d) Advise the board on any interim or longer term corrective action you recommend should be taken. *(4 marks)*

e) Explain the regulatory action that the FCA may take against the firm in the event that it fails to monitor traders and manage the exposures created adequately. *(4 marks)*

B29.

The investment management division of a major European investment bank is anxious to off-load a substantial amount of residual 'super-senior' debt attached to a series of US sub-prime related asset-back securitisations. A team within the bank's structured finance division had set up the programme although all of the former members of staff have since left or otherwise lost their positions. The price of the debt has recovered substantially since the crisis and the investment team is anxious to try to move it into the portfolios of certain wealthy individuals for whom the firm acts on a discretionary basis. The debt had been downgraded from AAA to BBB- with the investment team portfolio guidelines allowing up to 10% of the portfolio to be invested in BBB- securities provided they have longer term capital growth potential. You work in the compliance department and are asked to sign-off on the proposed asset transfer.

a) Comment briefly on any conflicts of interest issues that may arise in the circumstances. *(4 marks)*

b) Explain the documentation requirements that would apply before any work could have been carried out on behalf of clients. *(4 marks)*

c) Outline the main regulatory restrictions that would apply with regard to the management of the investment portfolios on behalf of individual clients. *(4 marks)*

d) Advise on any rights of recovery that may be available in the event that the super-senior debt substantially decreases rather than increases in value. *(4 marks)*

e) Comment on any separate rights the individual clients may have under the Financial Ombudsman Scheme or Financial Services Compensation Scheme. *(4 marks)*

B30.

You work for a small boutique bank in the West End of London which has a number of clients in the Middle East and Central and East Asia. You receive instructions from an overseas government agency to transfer a large amount of funds from the government account with your bank to the account of another association held with a separate bank in London. You regularly handle transactions on behalf of the government although not the specific agency concerned. You are advised by a colleague that you should check whether the association is listed on any of the restricted lists of terrorist groups. After some further research, you also uncover that the association is based in a compound in a major city in a Central Asian country which does not appear to carry on any separate business activities or send or receive funds on a regular basis.

a) Explain any immediate concerns that may arise with regard to the requested funds transfer and what action you should take within the bank. *(4 marks)*

b) Outline the principal offences and penalties that may apply and any possible defences. *(4 marks)*

c) Outline any separate anti-terrorist considerations that may apply either within the UK or internationally. *(4 marks)*

d) Explain the action that you should take to prevent any firm or personal liability from arising. *(4 marks)*

e) How should you respond to any requests for further information from your client with regard to progress or completion of the transaction and why this is necessary? *(4 marks)*

B31.

The fixed interest desk of a large Asian investment house in London has over committed itself in southern European euro government debt. It has become increasingly concerned about possible rescheduling talks following the announcement of additional financial support for another large European country.

The head of the team contacts your group who work in the area of discretionary portfolio management and asks if you can pass on some of their holdings on to your institutional investor clients. They only wish to transfer around 20% of their euro bond portfolio to stay within internal risk management limits and there are no limits on the amount of government debt that you can hold within your discretionary portfolios. There has also been no confirmed announcement of rescheduling or default on the bonds held yet although clearly this may occur in the future. You are asked on the following.

a) Explain the initial procedures and documentation arrangements that you would already have put in place to carry on business for your clients. *(4 marks)*

b) Outline briefly any potential conflicts of interest that may arise in this case. *(4 marks)*

c) Explain what action you, as an approved person, propose to take to resolve the conflicts, to avoid any potential liability for the firm or you personally. *(4 marks)*

d) One of the members of the fixed interest desk asks you separately whether there was any action that could be taken to support the price of the debt held until it could be disposed of separately. Explain the regulatory implications of taking any such action. *(4 marks)*

e) Outline the remedies available to your institutional clients in the event that they suffer loss following a forced rescheduling of the government debt positions transferred into their portfolios. *(4 marks)*

B32.

Glisten is a recently privatised mining company in the central Asian republic of Manowar but the Life President of the republic is believed to retain a substantial stake via the government's retained 40% stake, together with undisclosed private interest arising from the IPO.

The company dominates industrial activity in its domestic market and exports its products around the world. With the strength of mineral prices this year was a bumper year for

Glisten, which generated substantial profits leading to the expectation of significant dividends.

Public disquiet both domestically and internationally about the huge profits of the company, its opaque governance structure and the large current account deficit in Manowar mean that Glisten is frequently criticised in the media.

You work as a senior manager for Chimera Investment Bank who advised on the IPO of Glisten some years ago and your firm continues to provide a broad range of services to the company as well as to the Manowar government, which plans further privatisations of state assets. As a result of the commentary about Glisten, Manowar has asked Chimera for a proposal to capitalise on the value of various state assets without the unwelcome publicity resulting from public ownership. The Structured Finance Department of Chimera has originated a proposal that will, as its principal attribute, generate significant cash to the government via a sophisticated leasing arrangement undertaken through a British Virgin Islands incorporated entity.

Initial discussion with Manowar representatives suggests that they are interested, but they have no previous experience of such a structure and their Finance ministry representative, who is a nephew of the President has told Chimera that because of the sensitivity of the President it is imperative that no hint of this transaction should become public knowledge.

The transaction will use a special purpose vehicle and will earn Chimera a substantial fee, which would be particularly valuable to the company, which has seen little activity this year and would be a key factor in enabling you to meet your personal income target for the year.

The proposed structure has not been subject to comment or scrutiny by any tax, accounting or regulatory agency but, as part of your approval process, you have received two legal opinions, one from a global and one from a local Manowar practice. Both state, unequivocally, that the proposed transaction does not contravene any existing Manowar laws.

a) State, with reasons, whether or not you would support this transaction. *(10 marks)*

b) What further information might you seek? *(5 marks)*

c) Are there ways in which you might mitigate some of the risks? *(5 marks)*

B33.

You are the newly appointed compliance officer for a boutique hedge fund in the West End of London. You notice that the head partner has been very successful in recent years in trading shares in public limited companies in the UK and US. He has always able to 'beat' the markets and any comparable market indexes and appears able to predict key company decisions and price movements. You understand that he spends a considerable amount of office time with chief executive officers (CEOs) or chief financial officers (CFOs) from a number of the companies in which the fund trades. You understand that he had been attempting to obtain confidential information on the rumoured purchase of a major company by a large US private equity fund. In reviewing the recent transactions, you notice that the fund appears to have been pursuing similar trading strategies with other UK and US hedge funds, which have resulted in certain price movements.

a) Explain the principal concerns regarding the head partner's conduct in light of his anticipating major company decisions and price movements. *(4 marks)*

b) Identify the principal regulatory offences, defences and penalties that may apply under relevant legislation. *(4 marks)*

c) Outline any separate criminal law provisions that may apply with regard to the attempt to obtain confidential information on the rumoured private equity fund acquisition. *(4 marks)*

d) Explain any separate concerns that you have regard to the parallel strategies apparently adopted by your fund and other hedge funds in the UK and US. *(4 marks)*

e) Outline any action that you should take either within or outside your firm. *(4 marks)*

B34.

One of the lead managers in a major asset management firm is concerned with the poor performance of his fund over the past year. He has just placed a deposit for the purchase of an expensive new apartment in a central new development within the City of London. He is purchasing the apartment 'off plan' and will move in next year after his 'Christmas bonus'. The manager concludes that the Eurozone will not be able to withstand a possible default by a large southern European country and decides that he will 'short sell' the euro using all of the freely available funds in his investment portfolios which is managed on a discretionary basis. You work in the compliance, division of the firm and are informed about this by another colleague over a coffee break.

a) Explain the initial procedures and documentation requirements that would have been complied with in setting up the portfolios under management. *(4 marks)*

b) Outline briefly any potential conflicts of interest issues that may arise in this case. *(4 marks)*

c) Explain any relevant restrictions that may apply with regard to the proposed short selling. *(4 marks)*

d) Identify any other more general regulatory breaches that may be involved and the action you would take to prevent any firm liability arising. *(4 marks)*

e) Outline any remedies available to the firm's institutional clients in the event that they suffer loss following that short selling on the portfolio. *(4 marks)*

B35.

Problems in demonstrating client suitability are a continuing source of comment and criticism of the industry by the FCA as financial regulator. Your director has told you, as the compliance officer in a small firm of financial advisers with a wide spread of clients, that he wants you to design and initiate a programme to ensure that your advisers adhere to all of the relevant regulations.

He adds that because of your firm's public commitment to the highest standards of integrity, he wants the programme to focus initially on ethical principles and considerations in the advisory process and then to ensure that it meets other regulatory requirements. Explain how you would design such a programme. Focus on the issues above, identifying key risk areas and demonstrate how you would deal with them to meet the task set by your director, using examples. *(20 marks)*

B36.

You work within the compliance department of a major UK banking group. Concerns have been raised at board level with regard to the conduct of a small group of sales staff within the private client department who formerly worked in the structured finance unit within the investment banking division of the bank before the crisis. The group had developed a new form of 'Structured Mortgage Product' which was sold on the basis that it would allow wealthy private clients to increase their loan to value (LTV) borrowings to up to 10 times LTV and to reduce the nominal interest rates paid to only 0.25 basis points above Bank Rate in the UK. The product had nevertheless been designed using interest rate swaps and credit default swaps (CDSs), which had been modelled on the assumption that interest rates would rise substantially towards the end of 2011 and early 2012. The purchasers of the product now find that they are locked into paying substantially in excess of UK Bank Rate for the foreseeable future and have no rights of review or cancellation under the product documentation.

a) Outline the general provisions that would apply with regard to the promotion of the Structured Mortgage Product to the wealthy clients approached and any potential exemptions. *(4 marks)*

b) Explain any specific restrictions that would have applied with regard to coldcalling and any rights of a client having been cold-called. *(4 marks)*

c) Outline any separate requirements that should have been complied with in designing the new product and having it approved within the firm before launch.

(4 marks)

d) Outline the general enforcement powers that might be available to the FCA against the firm or individuals involved. *(4 marks)*

e) Explain the advice that you would provide to the board to attempt to mitigate any damage suffered or penalties imposed. *(4 marks)*

B37.

You are the compliance officer for a small boutique broking firm in Canary Wharf in London. The head of the UK Trading Desk approaches you concerning a transaction executed by one of his star brokers the previous day. The firm had a large position on an outstanding Structured Global Depositary Product entered into some years ago that had matured the day before. The product was tied to the share price of a South African mining company listed on the London Stock Exchange, with your firm losing £3 million if the closing share price was below £125 and realising a profit of £10 million if the share price was £125 or above. The star broker had entered the market 10 seconds before it closed and placed substantial buy orders, the effect of which was to move the price from £122.5 to £125.3 forcing the counterparty on the structured product to pay out the £10 million. The broker had also informed another broker within his team about the proposed strategy with the other broker being able to make a separate profit on the rise in the share price on the mining stock when the market opened on the following morning.

a) Explain the general legal and regulatory issues that arise with regard to the conduct of the star broker. *(4 marks)*

b) Identify the principal offences, penalties and defences that apply.
. *(4 marks)*

c) Outline any separate criminal law provisions that may apply with regard to the conduct of the second broker. *(4 marks)*

d) Explain the action that you would take on behalf of the firm to limit any enforcement or reputational damage. *(4 marks)*

e) Explain any separate action that you would recommend to the firm's board to avoid any similar breaches in future. *(4 marks)*

B38.

Bob is an experienced senior manager who has spent most of his working life in the securities industry, during which time he has been an approved person and held Board level positions in FCA regulated firms for many years. He has always enjoyed good relationships with other industry practitioners, as well as serving on an FCA advisory panel regarding the RDR.

Bob is now semi-retired and is a non-executive director with Optimist, a small wealth manager, where he has been asked to undertake an informal review of how they meet customer due diligence obligations, such as 'know your customer', when taking on board a new client and subsequently monitoring their transactions.
Bob's initial findings are that Optimist's processes are not of the standard suggested by the industry guidance and he reports his findings to the non-executive Chairman of the Audit Committee and Board Chairman, Kevin.

Kevin is not surprised and explains that this confirms his beliefs, which is why he asked for the review. Kevin mentions to Bob that he has discussed this matter informally at an industry dinner with a mutual colleague of theirs, Guy, who now works in the supervisory division of the FCA.

Bob is asked to present his findings to Adam, the Chief Executive, who angrily refutes the findings saying that Optimist's processes are in line with all the firms that he has ever worked for and states he does not intend to waste resources on this or worry his clients over trifling administrative matters.

Bob accepts that no customers appear to have been disadvantaged, and he has no evidence of the firm being associated with financial crime, but says there is not sufficient management information to confirm the issue either way. Bob's report is then discussed at the Audit Committee where, in view of Adam's apparent hostility to Bob's report, Kevin thanks Bob for his "excellent wok, which has provided much food for thought" adding that,

in due course, it may be felt appropriate to look at some of the individual parts of the report.
As a result of this decision Bob tells Kevin that he feels that since the main focus of his position on the board was the production of the report, he does not feel that it is in the interest of either party for him to remain on the board and he tenders his resignation as a non-executive director of Optimism.

Shortly after that, Bob receives an email from Guy saying that he understands that Bob has left Optimist and asks him if "he is aware of anything that he would like to disclose". Bob is somewhat surprised by this and wonders whether it would be unethical for him to respond at all, now that he has left Optimist. Nevertheless, he considers various possibilities, and writes them down so that he can mull over how best to proceed. The four courses of action which he considers are:

- Ignore the email and do nothing;
- Respond saying that he would be happy to meet Guy to discuss anything specific that Guy may have in mind;
- Respond saying that he left Optimist as a result of a disagreement over policy;
- Respond saying that he had nothing specific to raise, but then to phone the whistleblowing line to report Optimist's poor standards regarding basic compliance issues.

Explain your considerations in each case and the conclusion you reach as to why the course of action is, or is not, your preferred response.

(20 marks)

B39.

You have just joined the compliance team within a major international bank with its headquarters in the City of London. Your boss has become very concerned with regard to investigations being conducted by US regulatory authorities into the activities of one of the bank's overseas branches (rather than subsidiaries) in South America. The press has already reported possible money laundering allegations with the branch allegedly having been involved in channelling funds from major drug groups from various South American countries into the US and into the UK. Separate reports have been made of accounts

having been open for major terrorist groups in South America. Senior Management in London have raised specific issues with regard to the conduct of the local regional manager at the branch and the extent of control exercised over his activities from the head office. You have been asked to prepare a memo outlining the bank's possible liability under UK law and to deal specifically with each of the following questions.

a) Explain the immediate concerns that arise with regard to the activities of the South American regional manager. *(4 marks)*

b) Outline the principal offences and penalties that may apply and any possible defences. *(4 marks)*

c) Outline any separate anti-terrorist considerations that may apply. *(4 marks)*

d) Explain the possible additional breaches that have occurred in terms of the head office's supervision of the activities of the regional branch manager and the possible penalties that may be imposed. *(4 marks)*

e) Explain any action that would propose to prevent any further liabilities from arising. *(4 marks)*

B40.

You have been asked to review the conduct of the Head of Corporate Banking within a large European bank operating in London. The manager had pursued an aggressive lending policy immediately before the UK financial crisis which culminated in the government's recapitalisation of a number of large banks in October 2008. The manager had constructed a property portfolio principally made up of high risk but previously high returning commercial property mortgages. While the manager had been advised by the bank's risk committee to reduce some of the exposure in the portfolio, he had expanded the portfolio to attempt to generate further returns in the six month periods before and after October 2008. Some of the funds used to build up the portfolio had been taken from separate client investment accounts. Enlarging the portfolio would also have increased his bonus entitlement if the higher returns had continued rather than collapsed following the crisis.

You are asked to consider and explain the following:

a) The potential breaches of High-Level Standards that may have been committed by both the bank and the manager in this case. *(4 marks)*

b) The possible conflicts of interest that may have arisen and how these should have been managed by the bank. *(4 marks)*

c) The provisions that should have applied with regard to determining the manager's bonus or remuneration entitlements. *(4 marks)*

d) The sanctions that the FCA may impose against the firm and how this liability may be mitigated in practice. *(4 marks)*

e) The further sanctions that may be imposed on the manager individually and any rights of appeal or redress available. *(4 marks)*

B41.

You work in the compliance department of a major UK commercial banking group. Senior management has become concerned with the Group's possible involvement with the London Interbank Offered Rate (LIBOR) and European Interbank Offered Rate (EURIBOR) scandal. You were asked to undertake some research into the activities of the Group staff responsible for LIBOR and EURIBOR submissions and, in particular, to confirm the content of e-mail exchanges within the Group and between the Group and other banks. You discover that traders within the Group had asked the rate setters to lower rate submissions both before and during the global financial crisis. You also find out that some traders have contacted rate setters at other banks to attempt to adjust the rates. You are asked to advise on the following:

a) Outline the principal statutory offence that may apply with regard to attempting to manipulate the LIBOR and EURIBOR rates with any applicable defences and penalties. *(4 marks)*

b) Outline any separate statutory civil prohibition that may apply to the activities of the traders concerned and any defences and relevant penalties. *(4 marks)*

c) Identify any rights of the FCA to obtain information and to take any interim or protective action in the circumstances. *(4 marks)*

d) Explain any separate regulatory breaches that may have been committed by the Group and the possible penalties that the FCA may impose. *(4 marks)*

e) Outline the advice that you would give to the Board in managing its relations with the FCA in connection with this matter. *(4 marks)*

B42.

Bert and Ernie both work at boutique banking firm, Golden Fleece. Bert is a high-tech equity analyst while Ernie works in M&A advisory, focusing on small tech companies. One Sunday as they play golf together, Ernie mentions a young tech company, Whizzo, he thinks has great growth prospects (Ernie owns shares in the company), but its share price has languished. Bert covers the stock, rating it a hold.

Unbeknown to Bert, Ernie has also had prior informal conversations with Whizzo's CEO at an industry conference. Ernie is enthused about Whizzo, but laments its lack of visibility among investors, and suggests that Bert take a closer look at it. A few days later, Bert reads in the press that Whizzo is acquiring a small, privately-held technology company, and is being advised by Golden Fleece. The firm is now obliged to provide an updated view but Bert fears that if he writes a glowing report on Whizzo, based on what Ernie has intimated to him, he could be accused of acting on inside information.

a) Explain the concerns that you have about the situation from a compliance perspective. *(4 marks)*

b) Outline the principal offences and penalties that may apply and any potential defences. *(4 marks)*

c) Apart from statutory and regulatory considerations, what breaches of ethical behaviour do you see? *(4 marks)*

d) What would you advise Bert to do and why? *(4 marks)*

e) What would you advise Ernie to do and why? *(4 marks)*

B43.

A medium sized US bank that currently operates through a branch in the UK believes that if it wishes to continue its operations it should establish a subsidiary and apply for separate authority to carry on business as a UK regulated institution. The bank has approached your firm which provides Compliance Consultancy services for advice. Explain how you would respond to each of the following questions:

a) To whom should the firm apply for authorisation and what general conditions will have to be complied with to obtain a new licence or authorisation? *(4 marks)*

b) Will the conduct and market behaviour of the firm be subject to any separate regulation and if so by whom? *(4 marks)*

c) Which set of Handbook of Rules and Guidance provisions will apply to its different activities? *(4 marks)*

d) How are the operations of the separate authorities involved coordinated in practice? *(4 marks)*

e) How will any complaints by the firm against the authorities be managed? *(4 marks)*

B44.

You work in the compliance department of a major UK commercial banking group with a separate investment banking division. Your firm has been carrying out a substantial amount of trading and prime brokerage business on behalf of a major hedge fund, the Gillion Group, which is based in the West End of London.

One of your traders has contacted your department as the bank has received instructions from the hedge fund to carry out a large number of trades on behalf of two major US computer companies. No market announcements have been made about any potential merger talks or takeover bids although there have been market rumours and 'noise' about the potential value of such a new combined computer group. It is also been drawn to your attention that the head manager of the hedge fund was also at business school with the Chief Executive Officer (CEO) at one of the companies and the Chief Financial Officer (CFO) at the other and that the manager has been spending a substantial amount of time at both companies recently. The trader explains that if a merger or friendly takeover proceeds, the hedge fund will make a substantial profit.

You are asked to advise on each of the following:

a) Outline the principal concerns that you would have immediately with regard to the proposed trading instructions and activities of the hedge fund manager. *(4 marks)*

b) Outline any main statutory civil prohibition that may apply to the activities of the traders concerned and any defences and relevant penalties. *(4 marks)*

c) Explain any separate criminal provisions that may apply including relevant offences and penalties. *(4 marks)*

d) Explain any separate regulatory breaches that may have occurred and the possible penalties that the regulatory authorities may impose. *(4 marks)*

e) Outline the advice that you would give to the trader and how you would attempt to protect the position of your bank against any potential penalties. *(4 marks)*

B45.

Your bank has agreed to offer safeguard facilities to a newly established Electronic Money Institution (EMI). Under this arrangement, your bank will hold funds for the EMI's customers. The EMI is responsible for performing due diligence, ongoing monitoring, including transaction monitoring, and screening. As part of the agreement, your firm has requested that the EMI conduct an annual Anti-Money Laundering (AML) audit and provide the audit reports to your bank. Sam, the new Head of Partnerships at your bank, has received pushback from the EMI regarding the necessity of the annual AML audit. Sam has scheduled a meeting with you to discuss whether this requirement is essential and to understand the implications of potentially waiving it.

a) Explain the importance of conducting an annual AML audit for such arrangements in the context of the FCA's Financial Crime Guide. How does this practice contribute to mitigating the bank's own financial crime risks?

(6 marks)

b) Explain to Sam the potential consequences for the bank if it fails to enforce robust AML controls, such as waiving the requirement for an annual AML audit. Consider both legal and reputational risks.

(4 marks)

c) Evaluate the role of Senior Management in overseeing AML compliance within a financial institution. How does their engagement, or lack thereof, impact the effectiveness of the institution's AML programme?

(4 marks)

d) What other elements, in addition to due diligence, ongoing monitoring, transaction monitoring, and screening, should the audit focus on to ensure the EMI has a suitable financial crime framework?

(6 marks)

B46.

The rich flamboyant entrepreneur who heads up a large international travel and music group is considering opening a new 'Digital Internet Bank' ('DIB') to provide banking services to all his travel customers and other new clients attracted by his famous brand and logo. The travel group is very excited about this as they own flight routes to most major cities and have a large potential new client base from all around the world to service. A number of these destinations are nevertheless in countries highlighted by the Financial Action Task Force (FATF) in some of the lists on its website. The group decides to apply for banking authorisation and permission in the UK although this will take some time to consider and approve. You work for a specialist compliance consultancy firm that provides advisory services to financial firms. While the banking application is proceeding, you have been brought in to advise on any potential regulatory concerns that may arise and as to how the travel group should protect itself from any potential action or sanction.

a) Explain the immediate concerns that may arise with regard to the activities of DIB and its potential new customer base. *(4 marks)*

b) Outline the principal offences and penalties that may apply, either in terms of potential criminal or anti-terrorist activity, and any possible defences. *(4 marks)*

c) Explain the general procedures that you would advise the company to set up in dealing with new customers to prevent any offences being committed. *(4 marks)*

d) Outline any separate regulatory breaches that may apply. *(4 marks)*

e) In the event of any particular customers or transactions raising specific concerns, explain the action that you would recommend to avoid any separate criminal or regulatory penalties being imposed. *(4 marks)*

B47.

A boutique brokerage firm in Tower 42 in the City of London is a heavily active participant on the International Petroleum Exchange (ICE Futures) in London dealing in oil futures and options contracts specifically in Brent Crude oil. The firm has been on the panel that sets the exchange's benchmark interest rate for oil contracts on a daily basis for a number of years with estimated daily rates being provided by the firm's 'submitter'. These rates are collected from other firms on the market and averaged to generate the market's 'standard offered rate'. One of the oil traders in the firm, on a separate floor of the building from the submitter, emails the submitter and asks him to submit a high figure to allow him to close out on a very large deal that will earn a substantial amount of money for the firm and a large bonus for him at the end of the year. He promises to 'divvy' the bonus with the submitter. You work in compliance in the firm and become aware of the activities having overheard two other dealers discussing the transaction over coffee in the firm's common room.

a) Outline the principal concerns that you would have immediately with regard to the approach by the trader to the submitter. *(4 marks)*

b) Outline the general principal statutory civil prohibition that may apply to the activities of the trader and submitter and any defences that may be available and penalties. *(4 marks)*

c) Explain any separate more specific offences that may apply to the benchmark setting activities including relevant offences and penalties. *(4 marks)*

d) Explain any separate regulatory breaches that the firm may have committed and the penalties that the regulatory authorities may impose. *(4 marks)*

e) Outline the advice that you would give to the firm in dealing with the authorities in connection with these events. *(4 marks)*

B48.

One of your firm's clients wants to list on the London Stock Exchange through a primary offering of company equity. This has been in the pipeline for a couple of years, but due to significant changes in the client's business has been delayed.

Your firm has previously provided the client with various pieces of information, but due to the time lapse and changes in the client's management team, the client would like an update. You have been asked by your firm's management to prepare a short memorandum to answer a range of questions posed by the client.

a) Provide a summary of changes to the new listing rules for the London Stock Exchange, which came into effect on 29 July 2024.

(4 marks)

b) What are the criteria for the development of a prospectus?

(8 marks)

c) What information and content should be included in the prospectus?

(8 marks)

B49.

A large UK commercial bank is heavily involved in the international foreign currency markets. The markets are now worth over $5.3 trillion per day with the bank generating substantial earnings through these activities. The bank participates in an official exchange rate setting scheme. You work in the compliance department and the head of the foreign exchange section asks for a meeting with you to discuss recent reported events in the newspapers. The head of foreign exchange is particularly concerned with the reported investigations into the alleged activities of foreign exchange traders in London and elsewhere and to the possible involvement of the foreign exchange desk at the local central bank. The foreign exchange desk at the bank regularly deals with other large international banks currently being investigated and with the central bank. The head of exchange is anxious to avoid any possible investigation and criminal or regulatory penalties. He is also keen to protect his bonus and the bonus pool for his team for the year. He has asked for your advice on a number of issues.

a) Outline the principal statutory offences that may apply with regard to foreign exchange rate benchmark setting and relevant penalties. *(4 marks)*

b) Outline any more general statutory prohibitions that may apply in terms of market abuse or manipulation and relevant penalties. *(4 marks)*

c) Explain any separate regulatory breaches that the firm may have to consider and the penalties that the regulatory authorities may impose. *(4 marks)*

d) Outline the advice that you would give the head of foreign exchange and the firm to prevent any statutory or other regulatory penalties being imposed. *(4 marks)*

e) Outline the advice that you would give the firm in dealing with the authorities in connection with these events. *(4 marks)*

B50.

You are the newly appointed compliance officer at Trapezium Capital Ltd, which deals in asset management for high-net-worth clients. As compliance officer, you are part of the senior management team and work closely with other stakeholders in the firm. The chief executive officer (CEO) of Trapezium is also the head of finance and manages the firm's risk. Since the departure of the last chief operating officer (COO), the position remains vacant. There is only one non-executive director and only two executive directors have been attending the board meetings in the last few months.

Whilst reviewing the financial regulatory returns to be submitted to the FCA for the previous year, you become aware that the highest paid director of the firm is the CEO, who gave himself a 30% pay rise last year. The average pay rise of other employees was around 8-10%. The firm does not have a formal remuneration policy committee and only has a brief guideline policy on firm remuneration that was last updated in 2011. Trapezium is a subsidiary of the parent company Zane Holdings Ltd, which has another regulated subsidiary firm called New World Broking Ltd. New World deals in stock-broking and contracts for difference (CFDs) as principal with permission to hold client money. On further investigation, you realise that Trapezium holds a client account with New World Broking and regular order flow is put through that account. On analysing the organogram

you learn that your CEO is a majority shareholder of Zane Holdings, with a 40% stake in the group.

a) What is your impression of Trapezium's governance structure? Provide reasons for your answer. *(4 marks)*

b) Apart from statutory and regulatory considerations, what breaches of ethical behaviour do you think are relevant? *(4 marks)*

c) What conflicts of interest arise from Trapezium and New World Broking being under the same group and with Trapezium also having an account with New World? *(4 marks)*

d) If the FCA commissioned a Section 166 Skilled Persons Report concerning the matters referred to above, which areas do you think would be highlighted in the report? *(4 marks)*

e) As compliance officer, what action would you recommend be taken to address the above concerns? *(4 marks)*

B51.

The investment bank in which you work has just taken a short lease on a small single-room office in premises immediately beside the London Stock Exchange (LSE). You are advised that the purpose is to host a server that will be connected to the various LSE markets, including the Main Market, the Professional Securities Market (PSM), the Specialist Fund Market (SFM), Alternative Investment Market (AIM) and Turquoise electronic platform. The server will only engage in high-frequency trading (HFT) carrying out trades within fractions of seconds. The bank's IT department has advised that the server has to be as physically close to the LSE servers as possible, in order to obtain maximum market advantage, in terms of speed of message delivery and receipt (referred to as 'colocation'). The bank's Irish Government Bond desk asks you whether it can use the new HFT facilities to unload a backlog of two year government debt that it cannot otherwise sell. You are asked to advise on the following:

a) Outline the principal statutory offence that will apply in attempting to use the HFT facilities to increase the price of two year debt stating any defences and relevant penalties. *(4 marks)*

b) Outline any separate statutory civil prohibitions that may apply to the action proposed and state any defences and relevant penalties. *(4 marks)*

c) Identify any further restrictions that may apply if the Irish Government Bond desk decides to act in this way having just received information from a contact within the Government who had confirmed that the Irish debt position will be worse than expected the following year. *(4 marks)*

d) Explain any separate issues that may arise if it transpires that the only potential purchaser of the two year debt, using the HFT facilities, is another client of the firm who has paid for separate trading access, using the same HFT server, software and connections. *(4 marks)*

e) Outline any separate action that you may take in dealing with the FCA in connection with the HFT generally (under a)-c) above) and client host trading (under d) above). *(4 marks)*

B52.

William and Alana work in the sales team at Wheelwright brokers, where the team is known for its supportive culture and positive working environment. William, who is particularly popular, is five years older than Alana, whom he was instructed to mentor when she joined the firm, as a result of which they have become good friends in the office and occasionally socialise outside work.

William invites Alana to a dinner which he is hosting at a restaurant for friends and acquaintances and Alana is slightly surprised to find out that she is the only other person from Wheelwright's at the dinner. Later during the evening as the men are bragging about their sporting achievements and contacts, William throws in that he has been invited on an

all-expenses paid trip to the next US Masters Golf tournament in Atlanta. Alana, not being at all interested in golf, excuses herself from the table for a few minutes and hears no more.

A few weeks later as Alana passes William's desk she hears him discussing commission payments with a major new client and is struck by the fact that William seems to be indicating a scale of payments far outside the firms published rates. She also hears William mentioning Atlanta, saying that his visit to the golf tournament had been "tacked on" to his much talked about "boys group" holiday to New York so it was "under the radar." Alana is surprised at what she has overheard and wonders whether she should do anything about what she thinks was said.

a) Discuss the risks posed by William's behaviour. *(4 marks)*

b) What policies and procedures might firms have in place to deal with situations of this nature? *(3 marks)*

c) Discuss the various courses of action that could be open to Alana. *(4 marks)*

d) Briefly discuss the advantages and disadvantages of each of these. *(4 marks)*

e) How would you recommend that Alana acts following what she thinks she has heard and why? *(5 marks)*

B53.

Go2FX is a large foreign exchange trading firm headquartered in Greek Cyprus and you work as compliance officer for its UK subsidiary and are the SMF for this role. You receive a query from a sales manager who has introduced a new client to the business based in Pakistan. The client holds funds with other FCA regulated brokers in the City of London and wants to transfer all his funds to Go2FX in a B2B (business to business) medium, meaning that funds will be coming from these regulated brokers on behalf of the client. An amount of over $300,000 is expected to be funded by money coming in from 8 different City brokers. The UK firm's Know Your Customer (KYC) function is outsourced to your

headquarters and Pakistan is listed as a high risk jurisdiction in your firm's annual Anti-Money Laundering (AML) policy.

You have received a confirmation email from your compliance department in headquarters agreeing to these transactions unless you have any further concerns.

a) Explain any initial concerns that you may have from a money laundering and due diligence perspective. *(4 marks)*

b) Identify any potential offences that may be involved and relevant penalties and defences. *(4 marks)*

c) Explain the three staged process of money laundering and where the above transactions could possibly fit. *(4 marks)*

d) Explain any further investigations and monitoring requirements that may apply. *(4 marks)*

e) Outline any action that you would propose to be taken by your firm in order to resolve the above situation effectively. *(4 marks)*

B54.

YouWin CFDs is an FCA regulated market maker based in London with branches in other financial centres in the UK offering contracts for differences and spread betting. YouWin CFDs recently launched a promotional offer whereby a client's initial deposit would be matched 100% by them and any trading losses would be covered up to 50% by the firm. A loophole was nevertheless discovered by some clients in the promotion, whereby they could hedge their trades with competitors and lock in profits if they got "stopped out" with YouWin CFDs, since 50% of their losses were covered. This was highlighted to the firm by certain sales staff, but since the number of abusers was small and the dealing desk was still making money, the firm did not conduct any further investigation. However, the problem escalated over 3 months and about 40% of the firm's new clients turned out to be using such trading strategies which the firm considered to be abusive. On discovering this, the firm blocked all withdrawals by these clients and marked the accounts as market

abusers. No further action was taken by the firm and withdrawals were overdue by six weeks.

The head of sales issued the following statement, “We are not here to donate free money to these abusive traders. We will wait and watch. If they go to court, then we will fight them there. All sales managers are to avoid client calls whose withdrawals are pending and marked as abusive on our systems.”

The firm’s compliance team believe that their terms and conditions cover them adequately for this kind of action and are not concerned. The client money belonging to these so called “abusive clients” is also not currently being segregated by the firm as it believes that it is not owed to them. The regulatory authority has not been informed of any of the above developments. You work for a compliance consultancy firm who is appointed to advice YouWin CFDs on possible further action and potential regulatory action by the FCA.

a) Which specific section of the FSMA has been breached and which of the Principles for Businesses (PRIN)? Provide explanations. *(4 marks)*

b) What other sections of the FCA Handbook may have been breached by the firm? *(4 marks)*

c) Has Youwin CFDs acted correctly from a Consumer Duty perspective? Justify your answer. *(4 marks)*

d) What action can the FCA take against the senior management and compliance team of YouWin CFDs? *(4 marks)*

e) Outline an appropriate remedial programme and the next steps that could be recommended by the consultancy firm to be taken by YouWin. *(4 marks)*

B55.

You work in the UK Compliance and Ethics department of a major U.S. bank with a separate large subsidiary in Canary Wharf, London. The bank is one of the largest suppliers of prime brokerage services to many of the biggest hedge funds. This involves providing a range of services including cash account management, securities settlement, stock lending, foreign currency exchange and global custody. The board of the bank has become increasingly concerned about the large number of recent fines imposed on major financial institutions especially by the US and UK authorities and a number of medium-sized hedge funds which are clients of the bank have also been subject to recent investigation in the US. You are asked to advise on the ethical and conduct risk issues that may arise in the UK.

You are specifically asked to prepare a memorandum covering each of the following:

a) Outline some of the types of hedge funds activities that may cause specific concerns from a regulatory perspective. *(4 marks)*

b) Explain the general nature of the UK authorities' expectations and requirements to promote an appropriate culture within firms. *(5 marks)*

c) Outline the FCA approach to conduct risk management. *(5 marks)*

d) Explain the various courses of action that your bank may take to meet regulatory expectations in identifying and mitigating culture and conduct risk. *(6 marks)*

B56.

You have just been transferred from the fixed income desk within a major European securities firm to the restructured new products division which was formerly referred to as the structured finance division and colloquially as the junk CDO group. The former head of the division, who likes to refer to himself as the Paris Dolphin, reputedly received the largest bonuses in the firm immediately before the European financial crisis. You are called to a board meeting where the Dolphin announces that he has just designed a new ‘Synthetic Portfolio Strategy’ (SPS) for the division which could generate enormous

income for the firm and potential bonuses for all the individuals within the division involved. You look at the summary figures provided in the presentation documents circulated at the meeting and become very concerned with the size of leverage involved and potential losses to the firm. No-one questions the data during the short meeting. Just before the meeting closes the Dolphin also mentions that, in the event of a sharp collapse in the value of the portfolio, he has a back-up 'Product Support Plan' (PSP) based on the co-ordinated disposal of other assets by another division within the firm, although he cannot explain the detail for regulatory reasons. The Dolphin has become aware of your uneasiness during the course of the meeting and asks you afterwards not to cause any trouble and 'to look after' the team.

a) Outline the initial concerns that may arise from a regulatory perspective. *(4 marks)*

b) Identify the specific general principles that may have been breached within the FCA Principles for Businesses (PRIN). *(4 marks)*

c) Outline the potential heads of liability that may attach to the firm. *(4 marks)*

d) Outline the potential sanctions that may be imposed on the individuals concerned. *(4 marks)*

e) Explain the possible action that you might take to protect your own position within the firm. *(4 marks)*

B57.

The local branch of a major UK banking chain in a small provincial town has been approached by new clients to open a bank account for cash deposits and international money transmission services. The clients explain that they have opened a van and truck wash facility in a brown-field site on the edge of the town. They explain that this can be very profitable because of the large number of small, medium and large commercial vans and trucks used by businesses in the area. The clients then produce a rucksack full of cash of various denominations and request that this is deposited immediately. They also wish to set up a standing order to enable all net balances at the end of each month to be

transferred to a bank account in a different name in an Eastern European capital city. They explain that they expect to receive thousands of pounds in cash each week and that they will be making substantial cash deposits either on a weekly or monthly basis. The new young manager in charge of the branch is anxious to open the account, in order to be seen to bring in new clients, although he asks for your opinion as the compliance officer first.

a) Explain any concerns that may arise from a criminal or ethical perspective in opening the account. *(4 marks)*

b) Identify any criminal offences that may be involved and relevant defences and penalties. *(4 marks)*

c) Explain any identification, documentation or other record requirements that may apply. *(4 marks)*

d) Outline any institutional regulatory liabilities that may arise. *(4 marks)*

e) Explain any separate provisions that may apply if it is subsequently confirmed that the account into which the monies are to be paid is linked to a terrorist groups. *(4 marks)*

B58.

Brian has worked in the compliance department of Shangri La stockbrokers for many years and he has recently become the head of compliance and registered with the FCA as holding the firm's SMF16 compliance oversight function.

The firm has a good reputation and has not had any regulatory problems over the years. Brian is not unduly worried when he receives notification of a forthcoming FCA visit. He does, however, recall an incident four years ago when, as a result of changing the firm's banking arrangements, the client money accounts had not been properly separated from the firm's own funds and this was not noticed for nearly a year.

Brian remembers that there had been board level discussions at the time on whether to submit a report on the matter to the FCA. While he was too junior to have been involved in the decision taken at the time, he understood that it was decided not to report. This was on the basis that the auditors had fully tested and 'signed-off' on the figures, no client had been affected and the situation had been quite quickly resolved.

With the impending regulatory visit, Brian becomes concerned that the firm's unreported actions may now come to light which may have serious regulatory consequences and therefore considers whether it might be advisable to report the matter to the FCA immediately.

a) Discuss whether you think that the firm's actions four years ago were reasonable. *(6 marks)*

b) Although Brian was not involved in the decision taking at the time, should he have taken action before now and, if so, what and when? *(4 marks)*

c) What course of action would you recommend that Brian takes at this time? Give reasons. *(6 marks)*

d) What are the potential regulatory sanctions that may apply now? *(4 marks)*

B59.

A small start-up financial technology (FinTech) firm (operating beside Old Street Tube Station on City Road) in London wishes to offer a new digital application (app) on mobile telephones and approaches you to ask whether any regulatory issues may arise and how these might be dealt with. The app will provide access to a new digital platform which invites customers to open 'Digital Trading Accounts' with the firm, with the funds being invested through a specialist algorithm that the team has developed. Customers will receive all of the profits generated (less a fixed 'digital trading fee') and bear any losses (with the fee still being paid in all cases). The platform will also offer a 'RoboAdvice' service using the team's new audio IT speaking programme and trading algorithm. A third full 'Digital Discretionary Trading Service' will be made available for wealthy clients. The

platform will also operate a full set of payment services and may wish to offer separate 'Digital Deposit Accounts' later with customers having automatic credit facilities on these accounts. You have been informed that the Financial Conduct Authority (FCA) considers applications by such FinTech companies for authorisation and permission through its special 'Project Innovate' division. Before the firm decides on whether to approach the FCA or not, you are asked to advise on the following:

a) Outline the general regulatory requirements that may apply.

(5 marks)

b) Explain the separate permissions that may have to be applied for, depending upon whether the firm wishes to provide some or all of its proposed services.

(5 marks)

c) Explain the principal regulatory agencies that may be involved in the UK and their general functions. *(5 marks)*

d) Outline the application procedure that would have to be complied with.

(5 marks)

B60.

A major City investment bank established a business relationship with ultra-high net worth (UHNW) clients and politically exposed persons (PEPs) involving a structured finance transaction comprising investments in notes backed by underlying warrants and third-party bonds. A number of companies were used to make the investments and the proceeds of the investments were held in an offshore trust of which the clients were beneficiaries. The transaction was the largest of its kind that the bank had executed for natural persons and was nicknamed the 'Monster Deal' internally, consisting of a £1.88 billion transaction. The bank did not follow its standard procedures that it would normally follow for establishing relationships with sensitive PEPs and high net worth (HNW) clients due to time constraints, and decided to adopt a very basic alternative procedure, with one senior manager expressing a desire to 'race this through' and calling it the 'deal of the century'. Few people knew of the existence and location of the firm's due diligence records for this deal, which were kept in hard copy and not on the bank's systems.

a) Explain any concerns that may arise from a financial crime or ethical perspective in going through with the deal. *(4 marks)*

b) Explain any enhanced due diligence requirements that may apply. *(4 marks)*

c) How would the Senior Managers of the bank be held responsible under the Senior Managers Regime (SMR)? *(4 marks)*

d) Outline any institutional regulatory liabilities that may arise. *(4 marks)*

e) Outline any action that you would suggest the bank take in order to resolve the above situation effectively. *(4 marks)*

B61.

George Dixon has worked in the City for many years, the last few of which had been compliance oversight and money laundering reporting officer for the UK subsidiary of a bank based in a part of the world regarded as a higher risk jurisdiction for anti-money laundering (AML) risks.

The bank is involved in international remittances to its home country for both customers and non-customers and has been the subject of a regulatory visit to inspect its systems and controls for ensuring that its AML policies, procedures and systems are adequate for dealing with the business that it conducts.

George, whose attitude to his job is that he is overworked, underpaid and always teetering on the brink of disaster, is at first pleased that attention is now being focussed on his area of responsibility as he feels that it will ensure that he is provided with adequate support. However, despite a skilled persons report being commissioned recommending such support, little is forthcoming in terms of additional full time staff and George carries on with “business as usual”.

As part of the ongoing monitoring by the regulator of the bank’s remedial actions resulting from the regulatory visit, George was asked by the Chief Executive to write a paper setting out what needed to be done to address the deficiencies identified in the skilled persons report and George was pleased to do this on the assumption that it would produce the

extra resources needed. However, he was less pleased when he learned a few days later that the CEO had written to the regulator assuring them that all the steps outlined in George's paper had already been taken or were about to be implemented.

George moaned to colleagues about the position that he was in, saying that he was "caught between the proverbial rock and a hard place" since the regulator wanted one thing, the chief executive was reassuring them that action was being taken but the reality was that there was very little actual change taking place. He only has 12 months until retirement so he will just keep his head down, hoping that if things go wrong it won't all come back to him.

a) Outline the major risks to the bank from its principal lines of business. *(4 marks)*

b) What should George be doing to mitigate these? *(4 marks)*

c) What is George's liability bearing in mind his senior manager function categorisation? *(4 marks)*

d) George appears to be complicit in the actions of the CEO. What might he do differently? *(4 marks)*

e) What should the bank be doing to support him? *(4 marks)*

B62.

A medium sized Eastern European bank, from a country that has recently become an EU Member State, wishes to set up a new internet and digital based banking operation in the UK. The objective would be to provide deposit account access facilities through a major UK partner bank as well as consumer credit, residential mortgage and payment services including a currency exchange function. The bank has designed the website and software for the new internet based entity and has agreed an outline partnership agreement with a large UK banking group. You are asked to advise on each of the following:

a) Outline the general statutory requirements that would apply if the Internet entity wished to carry out regulated activities in the UK. *(4 marks)*

b) Explain the principal regulatory agencies that may be involved in the UK and their general functions. *(4 marks)*

c) Identity the specific proposed activities that may require permission for the new internet services under FSMA. *(4 marks)*

d) Outline any separate options that the bank as a whole may have to carry on business in UK. *(4 marks)*

e) Explain the nature of any rights that the bank or Internet entity may have to provide services in other EU Member States on either an establishment or cross-border basis. *(4 marks)*

B63.

A new Financial Technology (FinTech) digital platform wishes to apply for a banking licence through the FCA's dedicated Project Innovate regulatory unit. It understands that this will allow it to be placed in the FCA's regulatory sandbox which will allow it to avoid initial penalties and sanctions. The platform staff are already discussing the licensing conditions with the FCA although someone has noted that separate money laundering requirements will also be applicable. The platform hopes to be able to source funds from all around the world through its new site and to make loans available to all new customers including principally teenagers, students and other young people (born in the 1980s,1990s and early 2000's) as well as any other users looking to be able to pay lower interest rates. You are asked to advise on the money laundering obligations that may apply.

a) Explain the issues that may arise from a financial crime or ethical perspective in running the new digital banking platform. *(4 marks)*

b) Explain the principal money laundering offences that may apply, including relevant penalties and defences. *(4 marks)*

c) Explain any enhanced due diligence or other special requirements that may apply. *(4 marks)*

d) Outline any institutional regulatory liabilities that may arise. *(4 marks)*

e) Outline any action that you would propose to be taken by the platform to avoid any offences being committed which may include using financial technology for regulatory purposes (referred to as RegTech). *(4 marks)*

B64.

A large UK commercial bank is a regular operator in the London inter-bank markets. You work in the compliance division and have been asked to review some old files that the Head of the bank's Treasury Department has become concerned about. These involve the bank's borrowing activities during the UK financial crisis in 2007-2009 and, in particular, with regard to a series of liquidity auctions that the bank participated in to raise funds during this period. The borrowing was used to support the bank's general deposit taking and lending as well as other investment activities. You learn separately that concerns have been raised that some banks may have provided incorrect information to the central bank with regard to their liquidity positions and the value of the collateral offered to support their borrowings at the time. The Head of the Treasury Department has asked you to keep this information confidential and for you only to report back to him on any issues that may arise following your review of the files.

a) Outline the principal statutory offence that may apply with regard to the incorrect information provided to the central bank and any relevant defences and penalties. *(4 marks)*

b) Explain any separate regulatory concerns that may arise. *(4 marks)*

c) Outline any action that you may take in the event that the Head of the Treasury Department does not report any concerns that you raise and asks you not to discuss this with anyone else within the bank. *(4 marks)*

d) Explain any further remedies available to the regulatory authorities and any enforcement penalties that they may impose once they become aware of the issues involved. *(4 marks)*

e) Outline any action that would you propose that the bank takes in response to the issues involved. *(4 marks)*

B65.

You are the recently recruited Compliance Officer and MLRO (Senior Manager Functions SMF16 and SMF17) of a small UK private client brokerage house that is 80% owned by a well-known UK financial services group and 20% by the Chief Executive Officer. The Portfolio Control Function monitors the trading performance of advisory and execution-only clients, and provides regular exception reports to you, the Head of Risk (also recently appointed) and the Chief Executive Officer. You have noted that one EU resident execution-only client appears to have been particularly successful in timing five purchases in certain NASDAQ listed securities over a two-year period. Your enquiries have revealed that most, but not all, of these US firms share the same corporate broker.

It is known that the client had for some years worked in the US office of an unrelated New York brokerage house before retiring three years ago, but you have not been able to establish any connection between the client and the US corporate broker.

You have raised the issue with the Head of Risk, your day to day reporting line, who does not share your concerns. He points out that, although the client is most successful in the US and Latin America, the client trades frequently in a significant number of overseas securities in other markets with mixed results. The client is very wealthy and important to the firm. The client relationship is managed by the Chief Executive Officer.

a) What reporting obligation(s) do you have as a compliance officer? *(5 marks)*

b) What opportunities are there within your firm and/or group to discuss your concerns and what problems do you foresee? *(8 marks)*

c) What other actions would you propose to take and why? *(7 marks)*

B66.

A new start-up company based in Old Street in London has been developing a computer programme to provide 'Robo advice' services on portfolio management to online clients. It has been working on the software for a number of years and is now ready to go to market. It has applied to the FCA to participate in its Project Innovate and regulatory sandbox to ensure that it develops the necessary internal staffing and control systems and ensures full compliance with all relevant regulatory obligations. The company is waiting to hear whether it has been accepted into the latest group of companies which will participate in the most recent Project Innovate round. The company has approached you to provide outline initial advice as to its expected compliance obligations.

a) Explain the principal issues that arise from a regulatory perspective in determining whether or not the company will require authorisation and permission under the FSMA. (*4 marks*)

b) Outline the core obligations that will have to be complied with under section/s 19, 20 and 21 FSMA. (*4 marks*)

c) Explain the penalties that may be imposed for breach of these requirements. (*4 marks*)

d) Outline the specific issues that arise with regard to whether the Robo advisory programme will itself constitute a regulated activity. (*4 marks*)

e) Explain the additional action that the company would have to take if is wishes to expand the range of financial activities that it wishes to carry on through its new online facilities. (*4 marks*)

B67.

Henry is a junior compliance officer at Winter Bank. He reports into Charlotte, although she is only two years older than Henry and has only recently been promoted to a manager role. Henry was pleased when Charlotte was promoted, as he saw the amount of hard work and effort she put into getting the promotion, including long hours in the office as well as often answering her phone and emails from home.

Grace, the Compliance Director, who is responsible for overseeing the whole Compliance function within Winter Bank, has assigned Henry and Charlotte to work together on an important project, reviewing Winter Bank's Anti-Money Laundering processes. They are also instructed to report their findings and progress to the firm's Money Laundering Reporting Officer (MLRO), Gavin, for the duration of this project. Gavin has a bad reputation within Winter Bank, known as being someone who is surly and unapproachable. Part of this stems from the fact that Gavin is very protective of his personal time - he does not answer calls or emails after he has left the office for the day, and gets angry if anyone tries to contact him after 6:00pm.

Henry and Charlotte work hard together on the project. Henry is assigned the task of researching the current Anti-Money Laundering laws and regulations, and mapping these next to the bank's current policies and processes, whilst Charlotte takes responsibility for working with Gavin on gathering the necessary statistics, such as how many reports have been made, the time they took to resolve etc. They have worked well together, but Henry notices that Charlotte is becoming increasingly 'burned-out'. The amount of effort she put into getting her promotion, her new management responsibilities, and the pressure working with Gavin on this project are clearly getting to her. It gets so bad that Charlotte tells Gavin that she has booked a few days of annual leave next week (which has been approved by Grace), and is going away for a few days. Her flight home is due to land on Thursday night, meaning she will be back in the office on Friday in time for last-minute finalisation of the report before they need to submit it to Grace on Monday. In the project brief, Grace had stated that she needed the report on the Monday so that she could prepare for the Board meeting later in the week, so Henry and Charlotte have plenty of time, and besides, Charlotte assures Henry that her part of the report will be done before she goes on leave.

However, last thing on Thursday (around 05:00pm) Grace calls Henry and tells him to get the report to her first thing on Friday morning. She sounds very forceful on the phone and says, "I don't care what you need to do to get this done, but I just need it by 09:00am tomorrow". Henry is panicked, as Charlotte's half of the presentation is not in the shared team folder, but in her personal area of Winter Bank's network. Henry tries to call Charlotte several times, but her phone is turned off and he realises that she must be on

the plane. By this time, it is past 06:00pm and Henry knows that if he calls Gavin he will be extremely angry. After receiving an email from Grace saying "I'm leaving for the day. Make sure I have the AML report by 08:30am tomorrow LATEST!", Henry takes the only option which he thinks is available to him, and convinces a colleague, Jess, to call IT support pretending to be Charlotte to say that she forgot her password, and can they please reset it? Unbelievably, Sam from IT support believes he is talking to Charlotte, resets the password and tells Jess what he has reset it to! Henry thanks Jess profusely, finds the information he needs for the report in Charlotte's folder, adds it to the report and emails the whole thing to Grace. Before he leaves the office, he resets Charlotte's password again so that Jess cannot login to her folders – thinking to himself that he will tell Charlotte what he has done in the morning.

a) Who is responsible for Henry gaining access to Charlotte's personal folder? List all the individuals responsible and discuss to what extent you believe one or more characters are 'more' responsible than the rest. (*8 marks*)

b) Outline the risks involved in this situation being able to occur. (*4 marks*)

c) What could have been done to stop this situation occurring? (*4 marks*)

d) Are Grace and Gavin more liable than the other characters in the story? (*4 marks*)

B68.

An established bank from the Middle East is considering expand its activities in London and Europe and specifically in the areas of Islamic finance. There has clearly been growing interest in the provision of Islamic finance within the UK and Europe with a large potential customer base being interested in receiving these services. The bank has been advised that it could either establish a representative office and then either a branch or are subsidiary operation in London. It also requires advice as to how it may be able to expand onto the European Continent given how Brexit has proceeded. You are asked to advise on the possible options available and regulatory implications of each.

a) Explain the regulatory differences between a representative office and fully authorised institution and the difference between establishing a branch or a subsidiary in London. (*4 marks*)

b) Outline the principal statutory restrictions that would apply if the bank wishes to carry out general banking or Islamic banking activities within the UK. (*4 marks*)

c) Explain the application procedure that the bank would have to comply with before it could provide any financial services in the UK? (*4 marks*)

d) Explain the different functions of the various authorities involved in the oversight of its activities. (*4 marks*)

e) To what extent would the new operation in London able to provide financial services in other EU Member States following Brexit? (*4 marks*)

B69.

Nina is employed on a graduate training scheme at a boutique wealth management firm, Secure Wealth. As part of her graduate training, Nina has been enrolled as a CISI student, and is working towards achieving her Chartered Wealth Manager Qualification.

Before joining Secure Wealth, Nina had worked for several summers at a call centre for a large UK bank, which had very clear processes and policies in place with regard to the handling of customer data. This experience was part of the reason why she was selected for the graduate scheme, as Secure Wealth wanted someone to help implement its new General Data Protection Regulation (GDPR) compliant data management processes. Over the course of a few months, Nina settles into her new role, which involves working with different teams within Secure Wealth for short periods. She is expected to report directly to the Head of HR (who oversees the graduate scheme), Hilary, but finds herself working the most with the Head of Operations, Ganesh, as he is responsible for implementing the data protection process. Ganesh asks Nina to assist him by ensuring that all the teams she works within are following the process carefully and diligently. Ganesh provides Nina with a checklist, and tasks her with meeting each of the senior

people she works with to go through the checklist, which asks some simple questions about how they ensure adherence to the GDPR policy within their teams.

After a while, Nina is given the opportunity to work with Bob, one of Secure Wealth's star fund managers. She is really excited to accompany Bob to some of his client meetings, and knows that she is going to learn a lot from him. As soon as she starts working with him, she lets him know that she needs to set up a meeting to run through Ganesh's GDPR checklist with him. Bob simply replies "Oh, I shouldn't think he meant for you to do that with me… he knows that I'm reliable." When Nina insists, Bob replies "Don't worry about it. I'll take this up with Ganesh directly. We can just focus on all the interesting things you could do as a wealth manager – don't need to worry about boring data stuff!"

As the weeks go on, Nina observes Bob doing some things that are against Secure Wealth's GDPR policies. He often takes documents with his clients' personal information on them outside of the office to work on while commuting, and he uses his personal email address as well as his work address to communicate with clients. He also once accepted a call from a client's husband, and gave him an update about the status of a particular fund in which his wife had invested money. When Nina asked him if this was OK, Bob said "I would never normally do something like that, but she is an important client with a busy life, and I know her husband well. She's told me before that it's fine for me to give her husband updates on their investments from time to time."

At a regular one-to-one to discuss her progress, Nina brings up her concerns about Bob's disregard for the data protection processes with Hilary. Hilary tells Nina that she should be more insistent about the meeting to go over Ganesh's checklist, and lets her know that if she is seriously concerned that there has been a breach of data protection, she should report this to Ganesh, saying "I'm not really responsible for our data processes… that doesn't sit within my team." When Nina explains that Bob told her that he would discuss this with Ganesh directly, Hilary seems relieved and says "Problem solved! I'm sure that they've already talked about this. Bob is reliable, and probably just preferred to deal directly with Ganesh to take the pressure off you and let you focus on everything you could learn from working with him."

a) Which staff member(s) are ultimately responsible for data protection within Secure Wealth? (*4 marks*)

b) What are the risks associated with this scenario? (*4 marks*)

c) Has there been a breach of data protection? (*4 marks*)

d) Could Nina be considered to be a whistleblower? (*4 marks*)

e) What should Nina do next? (*4 marks*)

B70.

A UK securities firm is considering the implications of the continuing difficulties that have arisen in trying to secure some new trading relationships between the UK and the EU following the UK Referendum vote to leave the EU on 23 June 2016. The firm exercises passport rights under the EU Market in Financial Instruments Directive (MiFID) and the EU Capital Requirements Directive (CRD 4) measures. The firm has a representative office in Dublin and is considering transferring some of its operations and staff to Dublin to allow it to continue to service EU clients or engage in EU related trading and other activities which may be restricted to EU authorised firms in future. You are asked to advise on the possible options available.

a) Explain the nature of the rights currently available to the bank to carry on regulated activities on either a services or establishment basis in the UK and across the EU. *(4 marks)*

b) Explain the application procedure that the bank must comply with before it can carry on any regulated activities in the EU and outside the UK at the present time. *(4 marks)*

c) Outline the principal statutory restrictions that may be imposed on the bank if the UK withdraws from the EU Single Market in financial services. *(4 marks)*

d) Explain the options that may be available to the bank to allow it to continue to carry on banking and financial services in the UK and across the EU. *(4 marks)*

e) Advise the bank on the extent to which it would be able to provide financial services in other non-EU countries depending upon the options exercised following the UK's possible withdrawal from the EU single market in banking and financial services. *(4 marks)*

B71.

As an external consultant, you have been asked to advise the Board of a fund management firm about the threats and opportunities posed by financial technology to their business. The firm sells its products solely to retail investors in the UK via telephone dealing, its website and platforms. All back-office functions are performed in-house.

a) Describe the components and developments of financial technology that may be relevant to the retail fund management sector. (*5 marks*)

b) Assess the potential of these to disrupt the firm's current business model. (*5 marks*)

c) Describe the FCAs initiatives to support financial technology innovation within the regulatory regime. (*5 marks*)

d) Assess the challenges that financial technology developments pose to the FCAs statutory objectives. (*5 marks*)

B72.

The compliance department of a large commercial bank operating in London has become concerned with the operations of one of its branches in the North of England. The bank had taken on a group of jewellery businesses as a customer which had been making large cash deposits, although they had stated that they generally only conducted business using cheques and bank and credit cards. Plastic sacks were often used to deposit the cash using wheelbarrows. The regional compliance officer at the bank, who was also the MLRO, was aware of this, although appeared to take little action. One of the junior

members staff at the bank noticed that the cash deposits were often made after weekends during which the police had notified the public that large illegal raids had been held in the areas where the jewellery businesses were based. There has also been a series of house burglaries in richer residential areas with the businesses having clients in politically volatile overseas territories. The compliance department had been advised that the member of staff was considering whistleblowing to local newspapers if no action was taken. Money laundering had already been highlighted as an area of concern by the FCA and the bank was under a direction to improve its systems and controls in this area.

a) Explain the principal issues or concerns that arise from a money laundering and ethical perspective. (*4 marks*)

b) Outline the key statutory offences, defences and penalties, and other key regulatory provisions that may apply.

(*4 marks*)

c) Explain any enhanced identification conditions that would apply with regard to new clients being taken on by the bank.

(*4 marks*)

d) Outline any institutional regulatory liabilities that may arise.

(4 marks)

e) Explain whether any criminal action may be taken, and the relevance of the bank having failed to act on an earlier direction to improve its systems and controls, and outline any action that the bank may take to limit the severity of any sanctions imposed.

(4 marks)

B73.

Holly is a junior staff member at a small firm of wealth managers (Health & Wealth), where she has been employed for about a year. Health & Wealth are an FCA regulated firm, but are not a deposit taker or insurance firm. Holly's job involves supporting all the senior wealth managers in servicing the needs of Health & Wealth's clients. She reports into Lucy who, as well as being Head of Wealth Management, is the firm's appointed Money Laundering Reporting Officer.

Holly has been assigned to work with Steven, one of the senior wealth managers, on the account of one of the firm's important clients, the Harris family. Steven has been assisting the family arrange their assets to reduce the impact of inheritance tax, including setting up various forms of trust arrangements. Regrettably, earlier this year, Mr Harris was diagnosed with cancer and consequently, Steven was asked by the family to review all of Mr Harris' tax arrangements, which involved requiring Mr Harris' signature on several documents.

Steven has worked with the Harris family for years, and the family are his key client account. He therefore instructed Holly to ensure that the required paperwork (which required not only the signature of all the trustees, but also witnessing of all the signatures) was achieved with as little disturbance of the family as possible.
Unfortunately, after working on the Harris account for a couple of weeks, Holly learnt that her grandmother had sadly passed away, and Lucy granted her request to take a few days off as allowed by Heath & Wealth's grievance procedure.

On returning to work, Holly reviewed the Harris family documents and discovered that Mr Harris's signature was missing in one place. She returned the documents to the family so his signature could be added, and when the document was returned it was accompanied by a note from Mr Harris's son suggesting that, Mr Harris was now very unwell, and the family did not think he had long left to live. Holly, being reminded of the recent loss of her grandmother, put the document to one side. A further day passed before Holly once again reviewed the documentation, when she realised to her dismay that although Mr Harris's signatures were all complete, one of the other trustees –Mr Harris' son - had not had their signature witnessed as required.
Imagining the situation in the Harris family household, Holly feels uncomfortable at the prospect of sending the document back but, on the other hand, Mr Harris might die before the document was fully complete and effective. Lucy is on leave and not due to return to the office for another week, so Holly cannot discuss the situation with her. So, Holly arranges a meeting to discuss the situation with Steven, who is furious about the oversight. He tells Holly "this is all your fault! I can't believe you could have cost me my most important client! Just fix it… I don't care how!"

Holly, shaken, returns to her desk and reviews the paperwork again. She can see that the witness – Mrs Green - completed the rest of the form correctly and inserted her signature

at all other necessary points. She therefore believes that Mr Harris' son's signature was witnessed properly, and the omission of Mrs Green's signature on this page was an 'honest mistake'. As all of the parties to the documents are known to her, at least to the extent that their signatures appear frequently on Harris family documents, she decides to sign her own name, Holly Smith, in the witness signature space and, in doing so, effectively act as a witness to the signature. After all, it is only the confirmation of the trustee's signature and she does not see an alternative solution. She cannot delay matters further, and was told by Steven to do whatever it takes to fix her mistake.

On returning to the office, Lucy and Holly meet for an update meeting. Holly tells Lucy about the situation with Mr Harris, the difficulties that she encountered in obtaining the necessary signatures and reassures Lucy that she resolved them all, just in time, as sadly Mr Harris had passed away the previous day. Holly also explains to Lucy that there had been a missing witness signature, and she had inserted her own signature to confirm the authenticity of the original.

a) Who is at fault for this situation arising? Assess the roles of each of the characters – Holly, Lucy, Steven, Mr Harris's son and Mrs Green – and establish who (if anyone) you believe to be most at fault. (*8 marks*)

b) Which character is ultimately responsible (in a regulatory sense) for this problem? Explain your reasoning. (*4 marks*)

c) What does this scenario suggest about the company culture at Health & Wealth? Could changes to the culture prevent a similar issue from arising in the future? (*4 marks*)

d) What, if anything, should Lucy do next regarding Holly, Steven, and/or the Harris family? What are the options available to her, and what are the pros and cons associated with each one? (*4 marks*)

B74.

A group of computer programmers have developed a new form of algorithmic trading as part of a new online trading platform that they have designed. The program can manage proprietary trading and undertake discretionary account management. A medium sized UK securities firm is considering purchasing the platform either to run it on its own website or a separate website. You are asked to advise on the regulatory issues concerned.

a) Explain the principal issues that arise from a regulatory perspective in determining whether or not the platform will require authorisation and permission under the FSMA.

(*4 marks*)

b) Outline the specific issues that arise with regard to whether the trading programme will itself constitute a regulated activity

(*4 marks*)

c) Outline the core obligations that will have to be complied with under ss 19, 20 and 21 FSMA. (*4 marks*)

d) Explain the penalties that may be imposed for breach of these requirements.

(*4 marks*)

e) Explain the additional action that the company would have to take if it wishes to expand the range of financial activities undertaken through the algorithm and provide additional services through the new online facility.

(*4 marks*)

B75.

You are the Compliance Officer for a UK-based fintech firm that has grown rapidly in recent years. The firm's founder and current CEO, who has been instrumental in developing a strong, customer-focused culture, is stepping down due to health reasons. The Board has shortlisted two candidates for the CEO position:

Candidate A: An internal candidate who has been with the company for five years. They are known for their commitment to the firm's compliance culture and have a strong

relationship with both the regulators and the board. However, some stakeholders believe they lack the bold vision needed to keep the company growing at its current pace.

Candidate B: An external candidate from a tech-driven financial services firm abroad, with significant experience in scaling companies quickly. While they bring fresh ideas and strategies for growth, there are concerns that their aggressive approach might overlook regulatory and compliance concerns, potentially putting the firm at risk.

The Board has requested your regulatory advice, focusing on how each candidate would align with the Senior Managers & Certification Regime (SM&CR), and how the new CEO's responsibilities would impact the firm's future.

a) Explain the general purpose and key elements of the Senior Managers & Certification Regime (SM&CR).

(4 marks)

b) Identify and explain the specific responsibilities that would fall under the new CEO's Senior Management Function (SMF) within the UK subsidiary. How should these responsibilities influence the Board's decision when selecting the candidate?

(4 marks)

c) How should the appointment of a new CEO under the SM&CR be handled to ensure compliance with regulatory requirements? What steps must the UK subsidiary take to assess the suitability of each candidate for the role?

(6 marks)

d) Considering the principles of the SM&CR, what are the potential risks to the firm's culture of compliance and ethical behaviour with each candidate? How can the Board mitigate these risks in the selection and onboarding process?

(6 marks)

B76.

A major Chinese telecommunications company wishes to set up a subsidiary operation in the UK to apply for a banking licence to provide a wide range of banking services over mobile telephones. The new business will be named 'SmartBank'. The company is concerned with potential money laundering and anti-terrorist financing restrictions on its activities. The new operation will initially make available a range of savings, lending and payment facilities using simple keypad instructions with other services, including investment and more complex portfolio management functions, being added subsequently. It will principally market its operations to UK customers initially although customers will be allowed to receive funds from anywhere abroad and to transfer amounts overseas without restriction. It will then expand its customer base to Europe, Africa, Asia, the Americas and elsewhere. You are asked to advise on any criminal offences or penalties that may apply.

a) Explain the immediate concerns that may arise with regard to the activities of SmartBank and its initial UK and wider subsequent customer base. *(4 marks)*

b) Outline the principal offences and penalties that may apply, either in terms of potential criminal or any terrorist related activity involved, and any possible defences. *(4 marks)*

c) Explain the general procedures that you would advise SmartBank to set up to deal with new customers to prevent any offences being committed. *(4 marks)*

d) Outline any separate regulatory issues or requirements that may have to be considered. *(4 marks)*

e) In the event that any particular customer or transaction raises specific concerns, explain the action that you would recommend is taken to avoid any criminal or regulatory penalties being imposed. *(4 marks)*

B77.

A digital platform designed to provide a new automated Financial Technology (FinTech) investment management services using sophisticated algorithmic analysis and Artificial Intelligence (AI) has applied to become accepted as part of the next cohort of firms to join the FCA's Project Innovate. This should allow the platform to be placed in the FCA's Regulatory Sandbox which will allow it to develop its operations with test clients without incurring any regulatory penalties and sanctions until the trading system can proofs its validity and effectiveness. The underlying programme will initially be set up to provide discretionary investment services on an automated basis although this may be extended later to include the provision of advice through a digital robot (or 'bot') facility.

a) Explain the principal issues that arise from a regulatory perspective in determining whether or not the platform will require authorisation and permission under the FSMA. *(4 marks)*

b) Outline the specific issues that arise with regard to whether the trading programme will itself constitute a regulated activity. *(4 marks)*

c) Outline the core obligations that will have to be complied with under ss 19, 20 and 21 FSMA. *(4 marks)*

d) Explain the penalties that may be imposed for breach of these requirements. *(4 marks)*

e) Explain the additional action that the platform will have to take if it wishes to expand the range of financial activities undertaken through the programme and provide additional services through the new online facility. *(4 marks)*

B78.

Footes & co. is a privately-run boutique asset management firm, founded by John Footes in the 19th century. Ownership of the firm has been passed down through the Footes family ever since.

The firm has a set of core values, established by John Footes, which are: Respect; Integrity; Customer Care; and Honesty (forming the acronym RICH). All staff members, including the family members who sit on the board and within the management team, are expected to abide by these values.

Mike Footes, the son of John Footes III (current chairman of Footes & co), pursued a career outside the firm after graduating from university. Determined to forge his own path, he joined a rival asset management firm, causing a rift in the family. During his 30s, the tension became so bad that he ended up not speaking with his father for a number of years, until the rift was healed when Mike married and had two children. Step by step, the relationship improved, and John was impressed when Mike told him about his professional successes, rising through the ranks at the firm in which he worked, finally being promoted to managing director.

In 2016, the chief executive, Sheryl Brogues (not a member of the Footes family) decided to stand down from her post. To John's delight, Mike informed him that he would be interested in the role and John used his influence as chairman of the board to fast-track Mike's application for the role. While there were other applicants, it was seen as a foregone conclusion that Mike would step into the role. Richard Footes, head of HR, did his best to remain impartial during the recruitment process (which was difficult, as Mike is his cousin), but in the end, he determined that Mike's impressive resume and excellent interview marked him apart from the other candidates, and he was appointed as the new chief executive of Footes & co.

The family were delighted to have Mike join the firm, and a couple of years passed without incident. Mike was known for his strong leadership style, and he would often dominate meetings, yet this was just seen as his way of achieving results. However, in 2018, a complaint was made against Mike by a fellow member of the management team, saying that Mike had been particularly aggressive in a meeting, and that he had shouted at a junior staff member who had disagreed with him. The complaint centred around the fact

that this behaviour was not in keeping with the firm's RICH values (particularly the value of Respect). An investigation was launched, and Mike extended an apology, which was accepted, and the matter was considered closed. However, over the next few months, staff morale at the firm sharply declined, and a couple of key staff members (not part of the Footes family) decided to leave the firm.

In her exit interview, Lisa, formerly head of compliance at the firm, mentioned to Richard Footes, head of HR, that Mike was a bully. She said he was known for his coarse language and aggressive behaviour, and that these traits were not consistent with the firm's RICH values. However, she also mentioned that staff were scared to raise concerns, especially if they were not members of the Footes family. Lisa asked Richard to keep their conversation confidential, saying: "I only told you this because I trust you. I'm sorry for putting you in a difficult position, as I would not want to be in your shoes."

Richard recognises that he has been put in a difficult position. He is part of the Footes family, and doesn't want to upset the relationship between Mike and his father that was only restored a few years ago. However, if Mike's behaviour is really that bad, it has the potential to impact the business, and with it, the family.

a) Outline some options (minimum of three) available to Richard in this situation, and set out the merits and disadvantages associated with each. *(6 marks)*

b) The Footes & co. core values are Respect, Integrity, Care and Honesty. What are the CISI's four key values, set out in the Code of Conduct and represented by the acronym 'HOTF'? What is the meaning behind each value? *(2 marks)*

c) Draft a brief speak up/whistleblowing policy that you feel would be appropriate for this business. *(8 marks)*

d) Identify the factors that led to this situation being able to occur, and the risks that could have been identified at an earlier stage. *(4 marks)*

B79.

Gallifrey Asset Management is a BIPRU-regulated firm with £45 billion assets under management. It has outsourced management of client assets and operates as a limited company with two independent directors, one of whom chairs the board. It is currently preparing for the extension of the Senior Managers and Certification Regime (SMCR) to FCA solo-regulated firms on 9 December 2019.

a) How will Gallifrey Asset Management be classified under the SMCR and what are the criteria governing this? *(5 marks)*

b) Which Senior Management Functions (SMFs) will apply to Gallifrey Asset Management? *(5 marks)*

c) Under the SMCR, what are the requirements relating to the recruitment of new staff who will undertake an SMF role? *(5 marks)*

d) What training should Gallifrey Asset Management provide to its staff in relation to SMCR? *(5 marks)*

B80.

Will is a recent graduate, who has just started work at a small wealth management firm. Will is gay and lives with his boyfriend. They are both out to their family and friends. When Will started at the firm, however, he was intimidated about starting a new job and meeting new people, so hasn't officially come out at work yet – preferring to talk about his 'partner', rather than his boyfriend, and not correcting people when they assume his partner is female.

The CEO, Seth, is the biggest culprit of making this assumption. Will has overheard Seth make comments about LGBTQ+ people which he appeared to think were funny, but actually boarded on derogatory and rude, if not actually offensive. As a result, Will feels intimidated about coming out at work. This is very stressful for him, as he had no desire to go 'back in the closet', he simply wanted to feel comfortable around his new colleagues before divulging personal information. Now, however, he worries that he may never be able to be his true self at work, which he finds upsetting and demotivating.

Will is shadowing Seth on some of his client meetings. One day, they have a scheduled appointment with some new clients – a couple – Dr Chris Glad and Mrs Heather Glad. Will notices that Seth is taken aback when the clients arrive and are both women, although they seem to take it in their stride, explaining that some people often expect Christine to be male due to the fact she prefers to go by Chris. The rest of the meeting is pleasant, although Will feels that Seth is a little tense and stand-offish, and the Glads seem happy with the recommendations given to them and the overview of service available. Their overall assets are on the lower side compared to the kind of clients the form usually accepts, but Dr Glad's potential future earnings are significant, which would normally mean that the couple are a good candidate for becoming a long-standing client.

After the meeting, Seth turns to Will and exclaims "Well, that was awkward! Can you believe they were a couple of lezzers?! I'll have to think hard before deciding whether to take them on as clients, especially since their assets are far below what we would normally expect of our clients." Will, stunned at Seth's attitude and his use of a homophobic term, mumbles something incoherent and explains he needs to go and start writing up the notes of the meeting.

A couple of weeks pass, and Will notices that Seth has sent a letter to Dr and Mrs Glad explaining that, unfortunately, he will not be able to take them on as clients, as their assets do not meet the required threshold. It is a polite letter, which wishes them all the best for the future. However, Will is aware that a heterosexual client couple has recently been taken on who have assets lower than the Glads, and with lower future earning potential. Will wonders whether Seth has deliberately discriminated against Dr and Mrs Glad due to their sexuality. Even if this is not the case, he remains unhappy about the language Seth has used in relation to the LGBTQ+ community and is now deciding what to do.

a) Outline four options available to Will in this situation and set out the merits and disadvantages associated with each of the option you have identified, and which option would you take. *(8 marks)*

b) HOTF is an acronym used in the CISI Code of Conduct and Principles – what does HOTF stand for? *(1 mark)*

c) Please provide all five FCA individual COCON rules. *(5 marks)*

d) The FCA has recently been commenting on transforming culture in financial services and in particular the promotion of a safe environment. “We mean that for a culture to be healthy, leaders at all levels need to foster an environment in which employees feel comfortable to express their opinions and crucially, are listened to when they do.”

Please give three reasons why it is important to promote a speak up environment. *(6 marks)*

B81.

A medium sized European bank has a locally authorised subsidiary operation in London. The bank specialises in providing savings and lending facilities as well as international money transfer services across the EU. The capital of the bank is low following a number of years of low interest rates. The banks deposit base is also relatively small with the firm dependent on wholesale and interbank markets to fund its London and European operations. The bank’s ability to raise wholesale funding has been further restricted due to the difficulties experienced in interbank markets following the onslaught of the Coronavirus (Covid 19) crisis at the beginning of 2020 despite the support programmes set up by different central banks and authorities across the EU. You work in the compliance department of the bank and have been asked to advise on the following:

a) Explain the extent to which the bank may have breached its threshold conditions applicable to its London operations with the legal effects of this and whether the bank should discuss this with the regulatory authorities. *(4 marks)*

b) Identify the other principal regulatory provisions within the FCA Handbook that may be relevant and have been breached. *(4 marks)*

c) Identify the remedial action that the authorities may require the bank to take in connection with any breach of its threshold conditions. *(4 marks)*

d) The bank is specifically concerned with how it should manage customers in difficulty during the crisis and asked for specific guidance on this.

(4 marks)

e) Explain the further disciplinary action that the authorities may take in this case.

(4 marks)

B82.

The board of a major investment firm in London is considering the implications of Financial Technology (FinTech) on the markets especially following the recent disruption caused by the Coronavirus (Covid 19) crisis in 2020. Their firm is interested in exploring new possible business development activities and income generation sources. It is also considering how FinTech related techniques may assist it carry on its business more generally including future continuity planning and crisis management.

a) Outline the general types of internet related activity that the firm may consider developing in the UK. *(4 marks)*

b) Comment on the extent to which FinTech services may assist or disrupt its existing business models. *(4 marks)*

c) Explain the different initiatives that the FCA has adopted to promote the use of FinTech in financial firms in the UK. *(4 marks)*

d) Comment on the possible impact of FinTech developments on ensuring continued compliance with the FCA's statutory objectives. *(4 marks)*

e) Comment on some of the potential benefits that may have arisen through the use of FinTech in responding to the challenges created by the recent crisis in financial markets. *(4 marks)*

B83.

You are the Head of Compliance in a small firm of private client stockbrokers which, because of its limited resources, contracts out its 'back office' functions to a third party, Scarlet, although it does employ a small administration team to manage matters at your end.

Colin, one of the partners, asks you urgently into his office to explain that he has just received a telephone call from a firm of solicitors, Helium, who are executors for the estate of Godfrey, one of your firm's long standing clients, who had been unwell in a residential home for a number of years and had died a few weeks earlier.

The substance of the telephone call was that the value of the securities held by your firm was significantly lower than Helium had been led to believe and that there were a number of unexplained transactions in the statements that had been sent to Godfrey, who appeared not to have opened them.

While Colin appears concerned, he says that he is sure that there is an innocent explanation, suggests that it is probably Scarlet's fault (again) and asks you to look into the matter and report back to him with your initial findings the following morning.

You return to your office to consider what steps to take, what compliance issues may arise and the impact that these may have.

a) Outline the principal issues that might be of concern to you and briefly explain why. *(4 marks)*

b) Explain the processes that your firm should have in place for responding to client complaints. *(6 marks)*

After you have spoken to Scarlet about what has transpired and asked them to look into the transactions in Godfrey's name, they telephone you and say that all of the transactions were initiated by your firm and signed off by Nicola, the former head of your administrative team, who left the firm three months ago to move to Australia.

c) Prepare a briefing to Colin setting out your concerns, explain the reason for these concerns and suggest the action that needs to be taken to deal with the situation. *(10 marks)*

B84.

Jane Smith is Head of HR at Pangloss Fund Managers. Pangloss is a FCA solo regulated firm whose assets under management have averaged £60 billion over the last three years.

a) Jane has been asked to recruit a new Head of Risk. What checks will be required to be carried out on the preferred candidate? *(5 marks)*

b) What annual checks are required to be performed for staff covered by the Certification Regime? *(5 marks)*

c) What are the Conduct Rules that will apply to the Head of Risk? *(5 marks)*

d) Disciplinary action is being taken against a Senior Manager for breach of Conduct Rules. What are the relevant rules regarding notifying the FCA of this? *(5 marks)*

B85.

A young Financial Technology (FinTech) platform has been developing its business plan and model operations from a shared WeWork office space in Old Street in London. It has developed a new set of integrated computer algorithms with exceptional speed and low latency, which can replicate the functions of a major investment bank including carrying out dealing, arranging deals and investment management (on a discretionary or non-discretionary basis). This may also be extended to provide investment advisory services (and bots) later. The platform has been operating within a FinTech incubator maintained by a larger UK commercial bank, although it now wishes to make an application to enter the FCA Regulatory Sandbox. It is anxious to learn as quickly as possible about the various regulatory obligations that may be imposed on its activities to prepare its Sandbox application.

a) Explain the extent to which the various activities to be carried out by the platform would need to be regulated in the UK. *(4 marks)*

b) Explain the specific provisions that would apply with regard to algorithmic trading. *(4 marks)*

c) Outline the principal statutory restrictions that will apply if the platform wishes to carry on regulated activities in the UK. *(4 marks)*

d) Outline the enforcement provisions that would apply in the event of a breach of any of the applicable regulatory obligations. *(4 marks)*

e) Explain the procedure that would apply if the platform wished to extend the range of activities covered over time. *(4 marks)*

B86.

Green Finance Investments Ltd (GFI) has recently launched its EcoSustain Fund, which is marketed as being "100% sustainable" and "carbon neutral". The fund has attracted a significant number of investors, and the company anticipates strong performance, with the potential for substantial bonuses for all staff if the fund does well.

During a routine internal review conducted by the compliance department, and specifically against the Financial Conduct Authority's (FCA's) Anti-Greenwashing Rule, discrepancies were found between the sustainability claims made in the marketing materials and the actual investments in the fund. Despite these findings, David, the Head of Sustainable Investment and a member of a professional body, decides not to update the marketing materials immediately. He argues that the fund's overall positive impact justifies the current approach and believes that addressing these discrepancies could jeopardise the fund's success and the expected bonuses.

Sarah, a Senior Compliance Officer and member of the Chartered Institute for Securities & Investment (CISI), raises concerns about the ethical implications of continuing to market the fund with potentially misleading information. She is torn between her responsibility to

uphold ethical standards and the pressure to support the firm's success and the financial benefits that could follow.

a) Outline the FCA's Anti-Greenwashing Rule and explain how it would apply to the EcoSustain Fund in this case.

(6 marks)

b) Identify the ethical issues arising from David's behaviour in this situation and outline the potential professional implications for him.

(4 marks)

c) Analyse the broader potential risks to GFI Investments Ltd. and its leadership if the ethical issues related to the EcoSustain Fund are not addressed. Consider specifically both reputational and regulatory consequences.

(6 marks)

d) Discuss the actions Sarah should take in response to David's decision, referencing the CISI Code of Conduct. What ethical and professional obligations does she have in this situation?

(4 marks)

B87.
A new digital financial platform in Old Street in London has developed a new client interface programme linked to a major global social media site (TakTak), which it thinks will be particularly attractive to millennials and other young social groupings. The platform will provide crypto-asset exchange services and a range of account management and other linked financial services including insurance and pension management provision. The site does not intend to initially hold any regulatory license directly and only operate as a form of 'veneer' relying on the authorisation and permissions of the larger institutions with whom it will be connected. Someone has indicated that there may be authorisation and anti-money laundering controls that must be considered.

a) Explain the principal issues or concerns that arise from a money laundering and ethical perspective. *(4 marks)*

b) Outline the key statutory offences, defences, penalties, and other key regulatory provisions that may apply. *(4 marks)*

c) Explain the identification conditions that would apply regarding new clients joining the site. *(4 marks)*

d) Outline the institutional liability issues that may arise. *(4 marks)*

e) Explain any separate anti-terrorist provisions that may also apply. *(4 marks)*

B88.
A small boutique hedge fund in London, Parchegos, has been unable to meet some of its margin calls during the first quarter of 2021. It held a large number of investment positions through total return swaps (TRSs) with major investment banks in London and elsewhere which have decided to liquidate their positions. The authorities are concerned that allegations have been raised that the management team at Parchegos were engaged in market manipulation in supporting the share price of certain Asian stocks. Despite these efforts, the share prices in these stocks collapsed, which led to the increased margin demands which the firm was unable to cover. It is alleged that the market manipulation was carried out by the internal management team at the fund in collusion with two individuals working at the fund's prime brokerage firm in London.

a) Explain the principal statutory offences that may apply regarding the alleged market manipulation. *(4 marks)*

b) Explain any separate regulatory concerns that may arise. *(4 marks)*

c) One of the members of staff at the prime brokerage firm wishes to report details of the activities concerned to the authorities. Explain the options available. *(4 marks)*

d) Explain any further remedies available to the regulatory authorities and any enforcement penalties that they may impose once they become aware of the issues involved. *(4 marks)*

e) Outline any action you would propose the prime brokerage firm takes in response to the issues involved. *(4 marks)*

B89.

Satish is an ambitious junior manager in the certifications team of a regulated wealth management firm. The firm experienced a difficult period some years ago, when it struggled to keep up with a greatly increased flow of regulatory reporting, the consequences of which led to adverse comments and a warning of potential sanction by the regulator.

As a result of these regulatory findings, the firm had recruited more staff but, given the COVID-19 pandemic, a number of people have been put on furlough, the majority of staff are working from home and there seems to be a growing trend within the company to make decisions in isolation. There is more work to do with fewer people and some managers are taking an 'out of sight, out of mind' attitude by reducing interactions with their teams on a day-to-day basis.

Satish, however, is conscientious and knows that the new certifications reporting process is very important. One of the biggest changes is the introduction of an internal reporting system, which is seen as increasingly onerous and somewhat irrelevant by those not involved in the firm's earlier problems. As a result, the requirement for an e-signature by nominated position holders is not always followed to the letter.

Approaching the new reporting deadline, Satish is asked by Eamonn, his manager, to ensure that the new departmental management information (MI), which Satish coordinates and analyses, is up to date for discussion at the heads of division meeting, which is taking place on Zoom. Bearing in mind the previous and well-documented difficulties of his team, Eamonn will likely be the focus of attention as he will need to give an update on the new regulatory reporting process to the board.

Satish is feeling under some pressure, especially with the reduced headcount, and is working longer hours at home, including time at the weekends. He is determined to meet all his deadlines, conscious that his chances of promotion will be influenced by how well

he performs at times like this, and fearful that he may be let go by the company if he doesn't, given the economic environment.

The end of the reporting period approaches and Eamonn begins to press Satish for the MI in their online daily meetings. The firm's regulatory reporting unit also reminds Satish that his department's report is due and that it needs to be signed off by Eamonn.

As his deadlines loom, Satish calls Eamonn and shares the MI report on screen, taking the opportunity to remind him to officially sign off the department's regulatory report, which will be ready the next day. Sounding exasperated, Eamonn says that he is too busy preparing for his meeting to be concerned about "that sort of stuff" and suggests to Satish that, if he is confident that it is correct, he should sign it on Eamonn's behalf. The firm's strict guidelines on the sign-off process stipulate that this can only be done by Eamonn, but Satish feels unable to say anything.

The following day, his department's regulatory report is completed and sent to Satish to obtain Eamonn's signature. Satish tells his colleague that he will see whether he can get Eamonn to e-sign it, but he is extremely busy, and the meeting is soon. Satish calls Eamonn to ask him to sign the report. "I told you yesterday that you could sign it" says Eamonn. "It's only a report and you know what it is all about. You have my complete confidence – so take some personal responsibility".

a) Outline four options available to Satish. *(4 marks)*

b) Explain the merits and disadvantages associated with two of these options. *(4 marks)*

c) List two principles from the Code of Conduct that would be relevant for Satish to consider and explain why. *(4 marks)*

d) What are the CISI four key values, set out in the Code of Conduct and represented by the acronym 'CISI'? What is the meaning behind each value? *(2 marks)*

e) Identify three risks from this scenario and explain how they could have been mitigated at an earlier stage. *(6 marks)*

B90.

A boutique asset management firm in Hong Kong is considering relocating part of its operations back to the UK and expanding into the EU, European Economic Area (EEA) and Switzerland, where it sees specific growth opportunities. The firm has to review its physical and remote office and operational arrangements and relevant legal and regulatory compliance requirements. The board have decided that the firm will need to have a core operation in London which can provide a full range of discretionary investment management, advisory and dealing operations either from its physical offices or online. It will also wish to expand the same services on the European continent and into lucrative Switzerland. It would separately wish to have a presence in the US and provide marketing and promotional services there initially and then later replicate its London operations in New York, Boston and San Francisco. You are asked to advise on the various regulatory options available.

a) Explain the principal options that may be available in terms of either operating a branch, subsidiary or representative office and outline the regulatory advantages and disadvantages of each. *(4 marks)*

b) Outline the principal statutory restrictions that will apply with regard to the proposed London operations. *(4 marks)*

c) Outline the principal EU directives or regulations that would apply if the firm decides to establish an operation in the EU or EEA. *(4 marks)*

d) Explain the nature of the rights available to the firm if it establishes in London to carry on activities within the EU, the EEA or Switzerland, on either a services or establishment basis. *(4 marks)*

e) Explain the extent to which the firm would be able to provide financial services in other non-EU or non-EEA countries depending upon the options exercised. *(4 marks)*

B91.

A newly established digital bank in London is considering the most effective manner in which to carry out its various compliance functions. It has been advised that one option would be to outsource certain functions either to larger legacy banking and financial groups or to specialist third party service providers that support similar smaller platforms and firms. It is specifically interested in outsourcing its Anti-Money Laundering (AML) and terrorist financing customer identification and other compliance obligations due to the significant administrative burden and costs that these generate.

You are asked to advise the managing team of the bank on the following:

a) Explain the principal issues or concerns that arise from a money laundering and ethical perspective. *(4 marks)*

b) Outline the key provisions that apply with regard to the outsourcing of relevant compliance and regulatory obligations. *(4 marks)*

c) Outline the key statutory offences, defences and penalties and other key regulatory provisions that may apply. *(4 marks)*

d) Explain the identification conditions that would apply with regard to new clients joining the site. *(4 marks)*

e) Outline the institutional liability issues that may arise. *(4 marks)*

B92.

The auditors of a large investment bank operating in London have asked for a review of the firm's procedures for managing its benchmark rate and liquidity operations. The bank is involved with benchmark rate setting in London and had misreported some of its submissions during 2021 through an internal reporting error which has since been corrected. An increased liquidity requirement had also been imposed on its operations by the PRA which it breached at the same time through other systems failures which have again been resolved. The directors had nevertheless decided not to notify these events to

the PRA for a four-month period until the issue could be resolved internally. The board of the bank is now anxious to ensure that any potential liabilities that may arise in this regard are reduced in so far as possible.

You are asked to advise on the following:

a) Outline the principal statutory offences that may apply with regard benchmark rate manipulation and any defences and penalties. *(4 marks)*

b) Outline any separate statutory civil prohibitions that may apply with any defences and relevant penalties. *(4 marks)*

c) Explain the significance of the decision to delay reporting the systems failures to the PRA and any wider regulatory conduct or systems breaches that have to be considered. *(4 marks)*

d) Explain the range of penalties that the regulatory authorities in the UK and elsewhere may consider imposing on the bank if any breaches arise. *(4 marks)*

e) Explain any action that might be taken to reduce the penalty or avoid any regulatory action in future. *(4 marks)*

B93.

Jane has worked as a customer services administrator for Identity Finance, a medium-sized wealth management firm, for five years. The job is a stepdown for Jane, who had previously been head of customer relations at a prestigious firm, but, at 64 years old, she had wanted to take on a less taxing role before she retired. Nevertheless, because of her experience and reputation for excellent customer service, Identity pay her a higher than average salary.

The CEO, Seth, is the biggest culprit of making this assumption. Will has overheard Jane's job involves liaising with clients via email and phone – everything from booking appointments to managing complaints. Over the years, clients have come to trust and rely on Jane, and she takes her responsibility as a brand ambassador seriously.

Knowing that Jane wishes to retire before turning 70, senior management at Identity begin making contingency plans for when she eventually leaves, tasking the head of operations, Sammy, with finding a solution. They cannot afford to hire another person of Jane's calibre and sterling reputation, so Sammy looks for alternatives, one of which is a new chat software run by AI Made Simple. AI Made Simple's director of development assures Sammy that the service their 'chatbot' function offers is as good as the real thing and that it can 'learn' Jane's tone and preferred language, thereby providing a seamless transition for when Jane retires.

Sammy presents the idea of a chatbot to the Board, saying that it will not only replace Jane, but is also cheaper than hiring a person, and will streamline all client communications, including messaging via a chatbot on the company's website. The software can chat to more than one client at a time and will record all client satisfaction data, plus information about the types of queries received, response time, and how the problems are resolved. The chair of the Board is impressed, but some members express reservations about moving to AI. They cite the trust the clients have in Jane and wonder whether they will be happy speaking to a robot instead. The Board advises Sammy to ensure a smooth transition to the new program and comes up with the idea of calling the bot 'Jane', so clients do not notice any difference in the service.

The software is added to the firm's system and starts to 'learn' from Jane (the person). AI Made Simple calls this a digital handover, whereby the system can learn to replicate her turns of phrase and tone. Jane's picture, with a friendly greeting message, is added to the chat function. Jane agrees to this, as she is eager to ensure a smooth transition for the clients after she retires.

Jane's last day arrives, and she is bid a heartfelt farewell. The next day, Jane the bot takes over. The launch seems to go well, with Jane proving to be efficient and helpful for clients. Nobody seems to notice they are talking to a robot!

A couple of months later, however, several complaints are received by Alfie, the head of client services, about Jane. Clients say that Jane is unreliable, does not properly respond to their queries, and seems rude and dismissive. Unaware that they have been speaking to a chatbot, clients ruefully ask Alfie to take disciplinary action against Jane. Alfie

apologises to the clients, informs them that the matter will be dealt with, and contacts AI Made Simple, who adjust the software to fix the problems.

At its next meeting, the Board reviews the usual papers, which include information about the number of complaints received. Usually, complaints about staff members are reported to the FCA, but on this occasion it appears that no client services complaints have been received or escalated to the regulator, which is unusual. Alfie explains that company policy states that complaints about staff members must be escalated, and therefore complaints about Jane (a computer program) do not fall under this category.

a) What are the CISI's four key values, set out in the Code of Conduct and represented by the acronym 'CISI'? What is the meaning behind each value?

(4 marks)

b) Identify three factors that led to the situation being able to occur, and the risks that could have been identified at an earlier stage.

(6 marks)

c) List four of the five FCA individual Code of Conduct (COCON) rules.

(4 marks)

d) Outline some options of the Board (minimum of three) to deal with the problem, and set out the merits and disadvantages associated with each.

(6 marks)

B94.

A well-respected financial firm is due to be audited in relation to the client money CASS regulations. You are employed to examine the CASS Resolution Pack and to determine its appropriateness for the upcoming audit. As you investigate, you are asked to comment on a range of questions as to the importance of this regulatory exercise and its importance for the firm. Prepare a short report considering the following questions raised by the firm:

a) What is the role of the annual CASS assurance audit? Discuss how this event is undertaken and what its purpose is. *(5 marks)*

b) What information should be included in the CASS Resolution Pack? *(5 marks)*

c) Summarise the regulatory expectations when a financial firm, other than a depositary institution, holds client funds. *(5 marks)*

d) Why are the rules for holding client money important? Discuss wider consumers' and firms' perspectives on why compliance with CASS rules is important. *(5 marks)*

B95.

You are the Head of Compliance with a direct reporting line to the Board of Directors. The CEO of your firm is about to retire after a long, successful and unblemished career. In addition to the celebrations for this happy event, you need to ensure the appointment of the new CEO is undertaken in an appropriate manner. At this moment in the firm's history there is considerable anxiety as to the future of the organisation. There are concerns whether the high quality, highly compliant and customer focused culture of the firm can be retained. The Board has asked you for regulatory advice, and to outline some key issues to be raised in the interviews with the two new candidates for the CEO role. After a recruitment process two candidates have been selected for the role. One is an older person (candidate A) with experience working in the firm for many years and who desires to carry on running the firm on the same lines as previously. The second candidate (candidate B) is a younger person from outside the firm with a range of new ideas for swiftly growing the business.

a) Explain the general purpose and key elements of the Senior Managers & Certification Regime (SM&CR). *(4 marks)*

b) Candidate A suggests you might have a drink after work one night and states they would consider you for a Board position if they became CEO. Describe **three** different ways to respond to this suggestion, and for each option give the regulatory compliance and ethical considerations. *(6 marks)*

c) During their interview Candidate B indicated they wish to replace most of the firm's current management team and reset the culture of the firm as a fast-growing and innovative company. What challenges would these ambitions pose for the future business culture of the firm? *(6 marks)*

d) Which documents and procedures are required to assist in the change-over of a senior manager in a financial services firm? *(4 marks)*

B96.

A firm has concerns as to the activities of one of its senior managers. To assist with this anxiety, you have been asked to brief the Board as to regulatory issues pertaining to insider information.

a) What is meant by the terms 'insider information' and 'insider trading'? Why is insider trading deemed to be inappropriate? *(5 marks)*

b) Describe the principal laws and financial regulations which consider insider information and trading on insider information. *(5 marks)*

c) What are the specific and general defences against trading on inside information? *(4 marks)*

d) Outline a situation which would qualify as insider trading. *(2 marks)*

e) What controls should a financial services firm have in place to combat the misuse of insider information? *(4 marks)*

B97.

The complaints handling division of a major financial services firm receives a disturbing phone call. In the phone call, a customer states that they have purchased an investment product from your firm through an agent. The customer elaborates that on the maturity of the product they contacted the agent as to the payout. The customer then claims they were told they were not entitled to a payout from the product due to an unexplained internal process. The customer is very annoyed, claims the agent has acted deceitfully and has suggested contacting the Financial Ombudsman Service unless this matter is resolved promptly. Following up on the case, you contact the agent who confirms the customer was sold an investment product. Further the agent argues the customer is not entitled to a payout due to the agent's internal discussions and policies. Further the agent describes the customer as a troublemaker, has indicated they are ignoring all correspondence from the customer and has strongly argued that their decision as an agent of the firm must not be overruled, nor should the customer receive a payout.

a) What are the expectations of the financial firm when managing its agents? What concerns do you observe in this case? *(5 marks)*

b) What actions should the firm undertake in this scenario in relation to the agent? *(5 marks)*

c) What actions should the firm undertake in this scenario in relation to the customer? *(5 marks)*

d) Why are fair and unbiased complaints handling procedures important for the financial services industry? *(5 marks)*

B98.

You are a managing director of a small financial advisory business. You decide that fulfilling all the administrative, regulatory and compliance demands of the firm has become too onerous. You decide to outsource some aspects of the firm's administration, regulatory and compliance activities to a specialised firm focused on supporting firms such as yours.

a) Which administration, regulatory and compliance roles might be appropriately outsourced? *(6 marks)*

b) Outline the regulatory expectations when outsourcing administrative, regulatory and compliance activities of the firm. *(6 marks)*

c) Describe the risks that the firm might face when undertaking this outsourcing strategy. *(4 marks)*

d) On balance, can the risk be managed appropriately to allow outsourcing as a useful strategy for smaller financial services firms? Will this solution reduce the workload that you are currently facing? *(4 marks)*

B99.

You are employed to examine a financial firm's arrangements for tackling money laundering and terrorist financing. As you investigate, you are questioned by senior management as to the importance and meaning of many of the regulatory terms and expectations used to tackle money laundering and terrorist financing. You are asked to prepare a short discussion considering the following questions.

a) What are the laws and regulations used to address money laundering and terrorist financing? *(4 marks)*

b) What are the specific offences which may lead to non-compliance with these laws and regulations? *(4 marks)*

c) In what way does terrorist financing threaten to use the financial services system and how do the requirements arising from the acronyms CDD, EDD and SDD defend against it?

(8 marks)

d) What are the primary considerations related to PEPs, relatives and close associates? How should a firm manage the risks arising from having them as customers?

(4 marks)

B100.

An investment firm has been dealing with a particular client for many years. In the last month some large and unusual transactions have been undertaken by the client. These transactions are observed and reported by an employee, who is worried that the client may be engaging in market abuse.

a) How should the firm respond to this concern raised by the employee?

(4 marks)

b) What processes need to be in place to ensure that transactions which raise suspicions of market abuse are identified by the firm?

(8 marks)

c) What are the current laws and financial regulations which try to limit market abuse?

(4 marks)

d) Why is it important for all financial firms to tackle the issue of market abuse?

(4 marks)

Answers

B1.

a) The MiFID system was developed and redeveloped to ensure that advice on the provision of investments has been focused on providing appropriate investments for clients and that any advice provided is appropriate for the needs and the circumstances of the client. This might include many issues, for instance understanding the client's income, commitments, assets and ability to make decisions. Under the MiFID rules the firm needs to undertake a suitability assessment of the client's needs to inform any advice provided as to whether the client should buy, sell or hold an investment or other financial instrument. After the advice has been provided a copy of the suitability assessment and why the decisions as to the type/content of advice provided were made should be provided to the client. In some cases, repeated suitability assessment reports should be forwarded to the client. It is essential the overall advice leads to an outcome which is in the best interests of the client.

This information would include the following:

- the types of service, transaction, and financial instrument with which the client is familiar.
- the nature, volume, and frequency of the client's transactions in financial instruments and the period over which they have been carried out.
- the level of education and profession/relevant former profession of the client/potential client.

This information is used to then inform any advice provided. Such advice should adhere to the following:

- meets the client's investment objectives, including risk tolerance.
- the client has the financial ability to bear any related investment risks consistent with their investment objectives.
- the client has the necessary experience and knowledge to understand the risks involved in the transaction or in the management of their portfolio.

For non-MiFID related investment advice, the broad expectations are similar. Any advice should account for the client's knowledge and experience of making investment decisions,

the circumstances of the client such as their financial situation and risk tolerance. Again, a suitability report should be provided under many circumstances. There are outcomes where such advice is not required.

b) Assessing the suitability of clients is a core activity in the provision of investment advice. Central to this requirement is ensuring that the risks a client is prepared to take are considered and incorporated in the advice and guidance provided to clients. Specifically, and as stated in the workbook, a firm should ensure it has a robust process for assessing the risks a client is willing and able to take, including:

- assessing a customer's capacity for loss.
- identifying customers that are best suited to placing their money in cash deposits because they are unwilling or unable to accept the risk of loss of capital.
- appropriately interpreting customer responses to questions and not attributing inappropriate weight to certain answers.
- tools, where used, are fit for purpose and any limitations recognised and mitigated.
- any questions and answers that are used to establish the risk a customer is willing and able to take, and descriptions used to check this, are fair, clear and not misleading.
- it has a robust and flexible process for ensuring investment selections are suitable, given a customer's investment objectives and financial situation, and it understands the nature and risks of products or assets selected for customers, and
- it engages customers in a suitability assessment process (including risk-profiling) which acts in the best interests of those customers.

c) There are many actions required when discovering a range of practices which raise concerns as to the form and content of advice provided to clients. It should be priority to undertake a thorough review of these practices. This would involve a past business review and a root cause analysis of the forms of advice which raise concerns. At the heart of such a review is an examination as to whether customers have been in any way disadvantaged. These reviews need to be undertaken in a highly structured and transparent manner as there is a high possibility the financial regulator will need to be informed as to this review being undertaken with outside scrutiny of this examination. If concerns are seen to have disadvantaged customers, the potential for future actions such as remediation is present.

d) The Financial Advice Market Review (FAMR) was released in 2016 and provides several recommendations. These include:

1. Affordability – can clients afford financial advice, developing robo-advice etc. delivering tailored advice and enhancing the ability of the public to make financial decisions?
2. Accessibility – building trust in the market for financial advice and increasing the ability for people to access these services at reasonable cost.
3. Liabilities and consumer redress – enhancing the funding of the Financial Services Compensation Scheme.

In the evaluation of these recommendations in 2020 the FCA indicated that progress had been made in improving the market, yet this progress had been very slow. Most financial advice still is provided to the relatively wealthy and most advice is holistic considering the scope of a client's financial commitments and circumstances. Further robo-advice has been quite slow to develop and a significant proportion of the population of the UK has funds to effectively invest yet are still reluctant to undertake this decision due to continued uncertainties with seeking and using financial advice.

B2.

This question asked candidates the FCA's Consumer Duty within the context of a fictional case study involving the sale of insurance and critical illness policies to consumers.

a) The first part of the question asked candidates how the situation relates to the FCA's Consumer Duty, and what key principles one of the characters of the case study may potentially have breached. Responses missed marks by predominantly focusing on the individual's behaviour without recognising the firm's wider failings.

Several FCA Principles for Businesses appear to have been breached in this scenario, both by the individual sales representative and the firm as a whole. The conduct raises serious concerns under Principle 1 (Integrity), as there was a failure to act honestly by downplaying the costs and features of the policy. There is also a breach of Principle 2 (Skill, Care and Diligence), as the

individual did not act with appropriate care when recommending a complex and costly product to a vulnerable customer with a limited budget. Principle 6 (Customers' Interests) is likely breached, as neither the individual nor the firm acted in the customer's best interests. The recommendation appears to have been motivated by commission incentives, and the firm's culture may have enabled or encouraged this behaviour. Principle 7 (Communications with Clients) is also relevant, as the individual failed to provide clear, fair, and not misleading information, resulting in a financial decision the customer did not fully understand.

The introduction of Principle 12 (Consumer Duty) further underlines the seriousness of these breaches. Both the individual and the firm likely failed to support customer understanding, did not properly assess vulnerability, and disregarded affordability constraints. These failures could have been avoided with a proper suitability assessment, but the lack of due diligence and care led to a poor customer outcome. The firm may also be in breach of its obligations to ensure that remuneration and incentive structures do not conflict with the customer's best interests. The behaviour was clearly influenced by a poorly designed bonus scheme, and the firm failed to monitor or mitigate the risks associated with sales-driven conduct.

b) The second question of the case study asked candidate what steps the firm should take to ensure compliance with Consumer Duty in situations like this. Responses missed marks by providing broad explanations of the Consumer Duty without applying it to the specific details of the scenario. They referred to fairness or positive customer outcomes in general terms but failed to link their answers to the cross-cutting rules or the four required outcomes, resulting in responses that lacked precision and regulatory alignment.

To ensure compliance with the Consumer Duty, the firm must adopt a structured approach that addresses both the cross-cutting rules, and the four outcomes set out by the FCA. Acting in good faith means putting the customer's needs ahead of commercial targets. This requires designing sales processes and incentive structures that reflect the customer's best interests rather than focusing solely on financial gain. Firms must also take active steps to support and enable customers to make informed decisions. In this case, the customer did not receive adequate information or support to properly understand the product being purchased. All product communications must be clear, fair, and not misleading, with advisers checking the customer's understanding throughout the sales process.

Firms also have an obligation to avoid causing foreseeable harm. Indicators such as a limited budget or financial vulnerability should be identified early in the advice process. A thorough affordability and vulnerability assessment should be conducted, and any recommendation should reflect the customer's actual needs and financial capacity. When considering the four outcomes, the firm must ensure its products and services are designed with vulnerable customers in mind, using available data and insight to assess whether product features and risks are suitable for the intended market.

The price and value outcome are particularly relevant in this scenario. A high-cost product was sold that offered features unnecessary for the customer's circumstances and which were not well understood. To improve consumer understanding, the firm should strengthen its communication strategy by simplifying documentation, providing explanatory tools for complex terms, and assessing comprehension at key stages in the advice process. Communications must be accessible and appropriate for varying levels of financial literacy.
Finally, firms must clearly define and adhere to their target markets. Sales practices should be reviewed regularly to ensure that products are being sold appropriately, and that customers at greater risk of harm are not being mis-sold unsuitable solutions. Ongoing sales monitoring, frequent staff training, and root cause analysis of complaints are essential to building a customer-focused culture that aligns with the expectations of the Consumer Duty.

c) The third section of this question asked candidates what the potential regulatory consequences for the firm and its sales representative are if they are found to have failed in their duty to the customer. Responses missed marks by failing to explain both the regulatory and personal consequences of breaching Consumer Duty, often focusing only on firm-level penalties without addressing potential disciplinary action for individuals. Some overlooked key powers available to the FCA, such as imposing enhanced reporting obligations, ordering remediation programmes, or requiring changes to sales incentives.

If the FCA determines that there has been a breach of Consumer Duty obligations, both the individual involved, and the firm could face serious consequences. The firm may be required to compensate affected customers through a formal remediation process. Financial penalties could be imposed, particularly if the regulator identifies systemic failings in sales practices. The firm might also be subjected to heightened regulatory scrutiny, including mandatory audits and more stringent oversight of its insurance sales activities. Where widespread issues are identified, the firm could be instructed to revise its incentive structures or eliminate certain high-risk sales

behaviours. Additional reporting obligations may be introduced, requiring the firm to provide regular updates demonstrating progress in addressing compliance weaknesses.

On an individual level, disciplinary action may include suspension, financial penalties, or prohibition from working in regulated financial services. If there is evidence of deliberate customer deception, this could trigger enforcement action with long-term consequences for career and reputation. In serious cases, personal liability may arise under Section 138D of the Financial Services and Markets Act 2000, allowing affected customers to seek damages for breaches of regulatory requirements.

Beyond legal and regulatory consequences, reputational damage can be substantial. Findings of mis-selling can erode consumer trust, attract negative media attention, and lead to the loss of clients and partners. In cases where misconduct is proven to be systemic or cultural, the firm may even face restrictions on its permissions or, in extreme circumstances, a revocation of its licence to operate in the insurance sector.

B3.

Again a typical client categorisation question from the examiner. This needed a good explanation from you of the requirements of the rules regarding categorisation criteria, documentation and record keeping.

a) Every client must be categorised under COBS before a firm commences investment business with or for the client. This requires the firm to take steps to establish whether the client is a retail client, a professional client or an eligible counterparty.

Since the client in this case is an individual, only retail client or professional client status will be relevant. All persons who do not fall into any other category must be categorised as retail clients (who receive the greatest protection under COBS).

The client here does not meet the criteria to be categorised as a per se professional client. He could be either a retail client or an elective professional client.

Firms are required to retain an appropriate record of the categorisation of each client, including sufficient information to support the categorisation. Then records must be retained for an appropriate period of time – usually three years (five years in the case of MiFID business and indefinitely in the case of pension transfers and opt-outs).

b) If the client is initially categorised as a retail client, he may be re-categorised as an elective professional client if the form complies with the qualitative test and the procedures. The qualitative test requires the firm to assess the client as capable of making his own investment decisions and understanding the risks involved. The procedures require the client to state in writing that he wishes to be treated as a professional client; he must be given a clear written warning by the firm of the protections and compensation rights he may lose; and he must state in writing that he is aware of the consequences of this. (There is also a quantitative test in the case of MiFID business which relates to the frequency of the client's transactions, the value of his portfolio and his professional financial sector working experience.)

If the client is initially categorised as an elective professional client, he may be re-categorised as a retail client either at the client's own request or when the firm becomes aware that the client no longer fulfils the relevant requirements for elective professional client status.

c) There are three main items of documentation that the firm must provide to a client before conducting regulated activities:

i. Client agreement. This sets out the essential rights and obligations of the firm and the client and it is required when a firm carries on designated investment business for a retail client and (in relation to MiFID business) for a professional client.

ii. Information about the firm, its services and remuneration. This must be provided in a durable medium either before any service is provided or (if this is impossible) as soon as possible thereafter.

iii. Order execution policy. In order to fulfil its obligations under the best execution rule, the firm must provide its clients with its order execution policy and obtain the client's consent to this policy before transacting any business.

You should discuss the suitability COBS (for discretionary) and appropriateness COBS (for execution-only trades) in derivatives.

d) If the client is categorised as an elective professional client, the firm would need to keep this status under review in order to ensure that it continues to be appropriate. In addition, the firm would need to keep under review its basic documentation (and notify the client of changes, as necessary):

- Information about the firm (including contact details, conflicts of interest policy, client assets arrangements, costs and charges, etc);
- Client agreement (changes to terms of business);
- Order execution policy (changes to policy, execution venues, etc).

Other documentation could include:

- Initial disclosure documents and menus (packaged products);
- Occasional and periodic reporting;
- Compliance with record keeping rules.

B4.

This question looks at the application of the general prohibition under s19 and the need for permission with regard to collective investment schemes under FSMA.

a) Reference should be made to the general prohibition under s19 and the need for permission. The concepts of authorisation and exemption should have been explained and the relationship between authorisation and permission explained. As the company is non-EEA then the provisions for passporting under MiFID or UCITS or other treaties do not arise, and so permission under Part 4A of FSMA will be required. The application procedures including the threshold conditions should be set out in your answer.

b) The definition of a collective investment scheme set out in FSMA should have been referred to. In addition you could also set out the different types of CIS and the general requirements under FSMA.

c) In addition to the activities of establishing operating, and winding up a collective investment scheme the other relevant activities could include the following:

Arranging deals, dealing, safe custody, advising, investment management and offering to perform regulated activities.

d) Reference should have been made to the general restriction on financial promotion (s21) even though the question focuses upon the difference between regulated and unregulated schemes. A regulated scheme (which would include authorised unit trusts, OEICs and other recognised schemes) may be freely marketed. All other schemes are generally unregulated and subject to marketing restrictions. Such unregulated schemes may be sold to those such as eligible counterparties, professional clients and certain other exempt persons under the Financial Promotions Order. Otherwise the firm would have to establish the suitability of such schemes which would be possible in the case of persons who are or who have been a participant in such schemes within the previous 30 months, or existing or new clients for whom the firm has established that such investments are suitable.

You may also have expanded your answer with consideration of financial promotions such as the need to be fair, clear and not misleading, and the differences between real and non-real time promotions and direct offer financial promotions.

e) Here the possibility of authorisation being available under the relevant EU directives (i.e. passporting) should have been mentioned, whether for the firm performing investment services and activities under MiFID (and these should have been explained and contrasted with ancillary services) or for the scheme under UCITS.

B5.

This question provided a case study on how a firm's rapid growth can expose weaknesses in its compliance framework, highlighting the need for strategic oversight, effective risk management, and enhanced regulatory controls to address operational gaps and prepare for increased scrutiny.

a) The first question under this scenario asked candidates what the key compliance risks faced by the firm are, and why effective governance is important in managing these risks.

The compliance weaknesses identified in the scenario, such as failures in transaction monitoring, staff training, and accountability, could have serious regulatory and operational consequences. These weaknesses could lead to regulatory breaches, increased financial crime risk, and harm to clients or market integrity. The FCA's Senior Management Arrangements, Systems and Controls (SYSC) rules require firms to have effective systems and controls in place to manage their regulatory obligations. Inadequate compliance infrastructure would breach SYSC requirements, particularly SYSC 6, which outlines obligations regarding internal controls. Under the Senior Managers and Certification Regime (SMCR), specific individuals are accountable for ensuring appropriate systems are in place within their areas of responsibility. If the failings identified result in consumer harm or regulatory breaches, senior managers may be subject to regulatory enforcement. The firm may also be seen as failing to meet key threshold conditions, which require that authorised firms are properly resourced and effectively managed. In this context, poor compliance oversight could lead to FCA intervention, enforcement action, or reputational harm.

b) The second question under this case study asked candidates what steps the Head of Compliance should take to enhance compliance oversight and ensure regulatory obligations are met.

To enhance compliance oversight, the Head of Compliance should first ensure that the firm has adequate governance and control frameworks in place. This includes improving internal systems, clearly defining roles and responsibilities, and ensuring that governance structures meet SYSC expectations. She should also work closely with senior management to ensure compliance with SMCR requirements, including the appointment of appropriately accountable senior managers (e.g. SMF16 and SMF17) and regular review of their responsibilities. Improving resourcing within the compliance function is also critical. The Head of Compliance should make a case for increased budget to recruit additional compliance staff or invest in compliance technology, particularly for transaction monitoring and training systems. She should lead a

compliance risk assessment, strengthen internal reporting procedures, and ensure that senior management receives timely and accurate information about key risks and breaches. To reinforce effectiveness, the Head of Compliance should also consider periodic independent reviews of the compliance function and recommend structured, ongoing training programmes for all staff. Together, these measures will ensure that the firm's compliance function is equipped to meet regulatory expectations and support sustainable growth.

c) The third question asked candidates to discuss how senior management can support the compliance function and why a strong compliance culture is essential for the firm.

Senior management plays a pivotal role in supporting the compliance function by setting the tone from the top. They must allocate sufficient resources and funding to compliance, ensuring the function is adequately staffed and equipped with the right tools. Management should actively engage with compliance reports, regularly reviewing risk assessments and supporting initiatives to enhance regulatory oversight. A strong compliance culture ensures that employees prioritise ethical conduct and regulatory adherence rather than seeing compliance as an afterthought. This can be reinforced by embedding compliance-related performance metrics into employee evaluations and offering regular compliance training at all levels of the organisation. By fostering open communication and encouraging employees to escalate concerns without fear of retaliation, senior management can reinforce a culture where compliance is fully integrated into daily operations.

Responses to part c) of the question missed marks by giving generic statements about the importance of compliance without explaining how senior management can actively support it in practice. Some also missed the importance of open communication and the need for staff to feel safe escalating concerns, which is a core part of building a strong compliance culture.

d) The fourth question under this scenario asked candidates to consider what potential regulatory and reputational consequences the firm could face if it fails to improve its compliance framework.

If the firm fails to improve its compliance framework, it could face significant regulatory and reputational consequences. The FCA may impose fines or sanctions for compliance failures, particularly if breaches result in client harm or financial misconduct. The firm could also face increased scrutiny and mandatory remediation programs, requiring it to overhaul its compliance structure under regulatory supervision. If non-compliance persists, the FCA may impose restrictions on the firm's business activities, affecting its ability to operate in certain markets. From a reputational perspective, non-compliance could lead to a loss of investor confidence and damage relationships with clients. Firms with weak compliance frameworks may struggle to attract institutional investors or partners due to concerns about regulatory risks. Reputational damage can also impact employee morale, leading to higher turnover rates and difficulties in recruitment, as skilled professionals prefer to work in firms with strong compliance cultures. Internally, poor compliance oversight could result in staff misconduct, increased operational errors, and internal disputes, further undermining the firm's stability. In extreme cases, compliance failures could lead to direct legal action against senior executives, particularly if they are found to have neglected their regulatory responsibilities.

Responses to part d) of the question were generally strong in identifying that regulatory breaches can lead to fines and reputational damage. However, marks were missed by not exploring the full range of regulatory consequences, such as increased FCA scrutiny, mandatory remediation programmes, or business restrictions.

B6.

The objective of this question is for you to identify potential problems and discuss particular issues. These would cover areas arising under the principles for business such as integrity, skill, care and diligence, market conduct, customers' interests, conflicts of interest, relationship of trust and client assets, as well as market abuse, insider dealing and misleading statements.

a) It is not appropriate for research analysts to be taken to new client meetings to pitch for business. The availability of research teams may be used to strengthen the profile and ability of the firm more generally, but it seems as though the independence of the research is not sacrosanct. Reference should therefore have been made to the need for

Chinese walls, also to issues of receipt of unpublished price sensitive information and relevant information not generally available.

The need for a reality check for staff suggests that there are issues that the firm needs to address internally and in relation to market abuse and Part 7 of FSA 2012 if not in relation to fair, clear and not misleading in its research publications.

b) The issues with regard to conflicts of interest and acting in the client's best interest as well as best execution and suitability should have been raised. Reference should also have been made to the obligations on systemic internalisers under MiFID.

c) Again this creates potential problems in managing inside information, and the offences of misusing or passing on such information other than in the proper performance of their duties. You should describe the offences and sanctions in such cases, and reference to the managing of conflicts of interest should also be made.

d) Issues arise again of conflicts of interest as s793 notices are often used to ascertain whether a takeover bid is imminent. The information may fall to be regarded as unpublished price-sensitive information. The importance of Chinese walls in maintaining barriers to the flow of information should again have been emphasised.

B7.

a)

(i) It would appear that the following rule breaches have, or may have, occurred:

- It is unclear if the original sale of shares was on an execution-only basis. If not, was suitability relevant, and was it considered? If the order was as a result of advice given by the firm, then Bell Jones is obliged to consider suitability.
- The contract note (confirmation) should have been despatched no later than the day following the transaction rather than two days later. On the contract note the fact that part of the transaction was as principal must be stated.
- The funds should have been despatched to Ruth without her having to request them.

- When Ruth was told that the funds 'were available' they do not appear to have been put into a client account, which they should have been following settlement.
- The provision of the investment advice might involve a number of rule breaches, although not all are clear from the limited information:
  1. Is there a written client agreement in place?
  2. Was the employee qualified to provide investment advice (approved person status)?
  3. What evidence is there that suitability was considered? Advising a widow to have her money working on the market is contrary to the advice that is usually given in these circumstances. (However, you must bear in mind that a widow is not necessarily either poor or lacking in investment expertise.)
  4. Are options suitable?
  5. The repeated emphasis by the employee may constitute undue pressure being placed on the customer.
- The request was for £7,000 to be paid into Ruth's bank account. This implies that an arrangement was in force that would enable a direct transfer to be made. If this is so, Bell Jones should have organised the transfer rather than sending a cheque.
- The information is unclear as to whether or not the firm was given discretion as to when to invest the £21,000 or was given an immediate dealing instruction. If the former was the case, then the firm acted properly in (belatedly) putting the money into a client bank account; whereas, if the latter was true, the firm has broken the timely execution rule.
- The gilts should either have been registered in the name of Ruth Kendall or in the firm's nominee, in which case the certificate must be kept separate from any gilts owned by the firm in its own name. We have no information as to what happened.
- The firm is not permitted to use the gilts as collateral (and if they were correctly registered in Ruth Kendall's name, the bank should not have accepted them as such).

(ii) As regards recovering her money, it is unlikely that Ruth will be able to recover anything from the firm if it is in receivership. Depending upon the precise circumstances, she might have a claim against the firm's directors and/or the bank. As a last resort, she should be able to make a claim on the Financial Services Compensation Scheme, which was set up to assist eligible claimants who have lost money in the event of a firm's insolvency.

b) The following are some of the regulatory issues and rule breaches that appear to be relevant:

- A firm must take reasonable steps to ensure that a personal recommendation, or a decision to trade, is suitable for its client. This involves obtaining appropriate information about the client's investment knowledge and experience, financial situation and investment objectives.
- The firm must have a reasonable basis for believing that a proposed transaction meets the client's investment objectives and is one in relation to which the client has the necessary experience and knowledge to understand the risks and is able financially to bear those risks.
- In the light of Brown's background, it is doubtful whether an investment in equity options (or, to a lesser extent, smaller AIM shares) would meet the required criteria for suitability.
- The rules on client order handling provide for the prompt, fair and expeditious execution of client orders. Concerns arise as a result of the delay in execution (going out to lunch first), which suggests that the orders were not handled promptly, fairly and expeditiously.
- In addition, the rule on best execution requires a firm to take all sufficient steps to obtain the best possible result for its client, taking into account the execution factors. The statement that buying orders were executed "hurriedly" suggests that the firm's obligations under the best execution rule may not have been fulfilled.
- There is no satisfactory explanation given for transacting a traded option deal on the following morning.
- Smith is not performing a certified function. As a trader, he would not need to have approved person status, and he would not be permitted to make a personal recommendation to a client.

B8.

a) **Analyst**

The analyst does have inside information because:

- the information relates to a particular issuer (Imperial Computers);
- it is specific (the hospitalisation of the company's chief executive);
- it has not been made public; and
- if it were made public, it would be likely to have a significant effect on the price of the securities (because of Mr Merchant's status within the business).

The secretary

On the face of it the secretary has communicated inside information to the analyst.

It might be argued in her defence that:

- she did not expect dealing (but should she have done?); and
- she disclosed the information in the proper performance of her duties, as an explanation of Mr Merchant's inability to attend a meeting (but was she indiscreetly over-informative?);

and that therefore she has not acted unlawfully.

An informed observer might take the view that the secretary to the chief executive of a quoted company should have acted with more restraint and discretion. Her disclosure to the analyst, on a strict view, comes close to a breach of CJA 1993 (insider dealing) and the EU's Market Abuse Regulation.

b) **Insider dealing**

After the press release from Imperial Computers the information that the analyst has is no longer "inside" information (since the facts have been made public); so it does not appear that any offence has been committed here.

Market abuse

Probably no problem here either. The trader is selling. That is what a user of the market would expect in the light of the bad news from Imperial Computers. So the trader's action would not give, or be intended to give, a false or misleading impression.

Front running

Under the front running rule, where a firm intends to publish to clients a written recommendation, it must not knowingly effect an own account transaction in the investment concerned.

The trader's action in selling stock is clearly a breach of the rule, since the publication by a "star" analyst is likely to cause the price of the investment to move (downwards).
The only available exemptions to the ban on front running are where:

- The firm is a market maker acting as a market maker and in good faith
- The firm is dealing in order to fulfil an unsolicited customer's order.

c) **Fitness and propriety**

Suitability

A firm must take reasonable steps to ensure that it does not effect a discretionary transaction for a retail client unless the transaction is suitable for him.

Dealing in high tech companies may not be a suitable strategy for a customer requiring both income and growth. In addition, selling short is always a risky strategy.

The fact that the customer makes a profit is not relevant, and the fund manager may well be in breach of the suitability rule.

Churning

Until 2007 there was a specific prohibition in the COB rules preventing a firm from dealing in the exercise of discretion for any client if the dealing would be regarded as too frequent in the circumstances. Given that the fund manager appears from the scenario to be motivated by the generation of additional trading commission, and given the number of trades on the account in the last month, the fund manager is potentially engaged in churning. The COBS provision on churning now has the status of guidance (rather than a rule), but it would clearly still represent best practice.

Conclusion

In view of these potential breaches it is likely that the fund manager is acting in a way which the FCA would regard as not being "fit and proper".

B9.

a) **Legislation**

Under FSA 2012, s.90, a person commits an offence (punishable by a fine and/or up to ten years in jail) if he engages in any course of conduct which creates a false or misleading impression of the market for a particular security. In attempting to disguise the size of the 'rump', Agrobank would clearly be committing such an offence.

[Tutor's Note: The penalties have increased to ten years under FSA 2021.]

Under the EU's Market Abuse Regulation, a person will commit market abuse if his behaviour is likely to give a false or misleading impression as to the demand for a particular security. The burden of proof is civil, and the penalties include public censure, restitution orders and unlimited fines.

b) **Disclosure**

The disclosure obligations under the FCA's Disclosure Guidance and Transparency Rules (DTR) are in respect of issued shares of the company. As proposed allocations do not constitute share issues, no obligation arises at this stage.

c) **Criminal offences**

In communicating information selectively to Sharp and to the institutional investors, the finance director may be committing the criminal offence of insider dealing, since the information is clearly disclosed with a view to encouraging dealing.

Any subsequent investment by Agrobank or the institutional shareholders would constitute insider dealing, since the parties would then be dealing in price affected securities on the basis of inside information. A potential defence might be raised on the grounds that the information had been disclosed widely enough to ensure that no market participant would be disadvantaged by the lack of such information.

In addition, market abuse (with a civil burden of proof) is deemed to occur if individuals take advantage of information not generally available to the market. This is clearly the case here.

d) **Disclosure**

Disclosure, where relevant below under the FCA's DTR, should be made to the company within two business days of the relevant transaction:

- Market maker – holdings below 10% are exempt from disclosure so long as the shares are held for the purpose of its market making business
- Agro Fund Management – this 9% holding would require disclosure as investment managers' holdings are disclosable at thresholds of 5% and 10% (and 5% changes above 10%)
- Principal funds – this 2.9% holding would not normally require disclosure, as being below the standard DTR disclosure threshold of 3%. However, it would need to be aggregated with the fund manager's holding of 9% (and therefore disclosed) if the parent company (Agrobank) controls or influences the voting rights of the fund manager.

B10.

a) Your answer should commence with s21 and that to the extent that the website will be a financial promotion that its content must be approved and comply with the requirements of COBS 4. Your answer should distinguish between real and non-real time promotions and should also have made reference to the E-commerce Directive.

b)

(i) The information should be given to the NCA officer. There might be concerns that passing this information on is a breach of the duty of confidentiality owed to customers; however, the obligation to co-operate with NCA supersedes this. There are specific exemptions from breach of confidentiality lawsuits for such co-operation.

(ii) Mr Corleone should not be informed. Whilst the FCA Principles for Businesses do require authorised firms to communicate effectively with their customers, the act of informing Mr Corleone would constitute "tipping off". This is a criminal offence under the Proceeds of Crime Act 2002, punishable by an unlimited fine and/or imprisonment for up to two years.

c) In order to accept Mr Staksovcashsky (S) as a customer, Osprey will need to undertake identification procedures and will not be able to rely on the personal introduction of Mr Corleone.

S should be asked to provide either his passport or a valid ID document. Additionally, a verifiable postal address must be given.
If S is based outside the UK, then separately verifiable details of a permanent address must be given - if based in the UK, normal evidence (voters roll, utilities bill, etc.) would suffice.

B11.

a) The question raises a number of issues with regard to breach of the insider dealing requirements imposed under the Criminal Justice Act as well as market abuse under MAR and market manipulation offences under Part 7 of FSA 2012.

A share sale in knowledge of possible imminent publication may constitute both insider dealing and market abuse. The relevant components and conditions of each offence should have been referred to and factual relevance discussed. Available defences should have been listed and sanctions noted.

Reference may also have been made to relevant UK Listing Authority rules and the rules in MAR on managers' transactions. Reference could also have been made to restrictions on internal personal investments and Price Sensitive Information Guidance (PSI).

Reference may also be made to the enforcement measures imposed under the UN sanctions requirements referred to as well as breach of relevant internal controls procedures within the firm (although it is not a regulated entity as such).

b) Pre-release of profit warnings raises issues of both insider dealing and market abuse. Relevant conditions, defences and penalties should have been noted.

The position of the journalist should have been referred to. While there appears to have been no direct insider dealing, the information may still have been passed on or used for the purposes of making favourable reports. While the journalist is exempt from the financial promotions regime, complaints may nevertheless be made to the Press Complaints Authority.

Possible liability by the firm and journalist under Part 7 of FSA 2012 could have been noted. Reference should also have been made to general listing requirements for information to be made available to the markets in a timely and proper manner.

c) The earlier corporate finance advisers may have been guilty of market abuse or market manipulation under MAR and Part 7 FSA 2012. Relevant conditions, defences and penalties should have been referred to.

As an authorised firm, there would have been consequential breaches of a number of provisions of the Handbook including PRIN, SYSC and COCON. Relevant sanctions should have been noted.

Despite the earlier fault, the firm remains responsible for ensuring that all significant information is made available to the market. The need for corrective disclosure should have been noted.

d) No difficulties arise with regard to the content of the earlier disclosures which were accurate at the time of release. Supplementary disclosure is nevertheless required to ensure that accurate current information is provided. A market abuse or market manipulation offence may otherwise be committed under MAR or Part 7 FSA 2012.

The potential liabilities involved must be drawn to the attention of the firm as you are acting as its investment adviser. Failure may amount to breach of specific Handbook provisions (including PRIN) or general common law and fiduciary duties.

e) The provision of analysts' briefings may continue provided that these are conducted in a proper manner. Revised provisions have been included within COBS.

There must be no pre-release of price sensitive information, attendant staff must be properly trained and advised, no inducements must be provided, non-invitees must be allowed to attend and proper records must be kept.

The separate financial analysts' requirements under COBS 12.2 and inducements under SYSC 10 may also have been referred to.

B12.

a) The purpose of this question was to test the ability of candidates to understand the general ethical background to the FSMA and FCA Handbook and to be able to identify and deal with specific types of difficulties that may arise in practice.

The general environment includes the importance attached to management function and integrity as developed in the Principles for Businesses (PRIN), Senior Management Arrangements, Systems and Controls (SYSC) and Conduct Rules (COCON). Reference may also have been made to the FCA's statutory objectives and supervisory principles, as well as to the threshold conditions (Schedule 6 and COND) and fit and proper requirements (FIT).

Some of the more important specific requirements dealing with misconduct could have been referred including market abuse (MAR) and misleading statements and impressions (Part 7 of FSA 2012). Remedies may also have been noted. Reference should also have been made to more general common law duties of obedience, care and skill, good faith and confidentiality and the uncertain relationship that still exists between these potential heads of liability and the new statutory scheme of regulation set up under the FSMA.

b) The specific requirements in COBS and SYSC concerning conflicts of interest and independence policies should have been explained. Firms should seek to avoid conflicts, in particular, under PRIN 8 and cannot advise customers or act in a discretionary capacity where a material interest or conflict arises. The general obligations imposed concerning independence, the maintenance and notification of independence policies to staff and customers as well as specific disclosure obligations imposed should have been explained.

c) The particular conditions imposed under SYSC with regard to the operation of Chinese walls should have been outlined. The nature of Chinese walls should have been explained as wall as relevant operational conditions and use of stop or restricted lists and watch lists referred to.

d) Possible options including no action, declining to act or 'crossing the wall'. The situation may initially be dealt with by asking the PE operation to confirm its valuation and to ensure that proper due diligence has been carried out. It is essential to respect the Chinese wall and to protect the client's interest. In the event that the over valuation is not identified, the PE team may have to be directed to withdraw although this should be confirmed first.

Possible insider dealing and market abuse breaches should nevertheless be considered in participating in the auction (and then withdrawing) as well as in subsequently dealing (or not dealing) on behalf of other clients. More information may be required. Difficult issues must be discussed with compliance and the FCA.

e) The discovery of accounting irregularities must initially be brought to the client's attention by the M&A team. Breach of relevant company law and market abuse requirements as well as the criminal law may be involved. This would have to be disclosed to the FCA and possibly the relevant accountancy bodies. Any potential money laundering concerns would have to be separately reported. Additional disclosure obligations may also apply under the UK Listings Rules although it is not clear whether ABC is listed or not. Possible breach of insider dealing and market abuse restrictions within your firm should also be considered to avoid any liability issues. No breach of any common law confidentiality obligations should arise in this case due to the irregularities and possible rules breaches involved.

B13.

a) The question was concerned with the action that the FCA can take in connection with misleading financial promotions. GRAB is an authorised person as the question refers to it being supervised by a member of the FCA staff. The relevant restrictions on financial promotion would then apply under s.21 FSMA subject to the Financial Promotion Order (FPO) and COBS. Advertisements must generally be fair, clear and not misleading.

The nature of the advertisement as a specific non-real time financial promotion should have been noticed. Relevant obligations with regard to the description of the investment, commitment and risks should have been noted with the firm's interest and accurate past performance reporting with a warning that performance may not be repeated. Other information should have included the firm's name and address or contact point. Relevant record keeping requirements could also have been referred to.

Relevant issues that arise from the advertisement include the fact that the shares are unlisted, the period over which the performance comparison was made and nature and definition of relevant industry, the relevance of the relationship between total asset and

sales without further information, any conditions applicable to commission free dealing and any other charges imposed and the unsubstantiated nature of 25% projection return period.

b) The relevant supervisory and enforcement powers of the FCA should have been explained. This included the use of supervisory, warning and decision notices and the full range of enforcement powers set out in the FSMA and DEPP. The most likely initial action taken would be to request that the advertisement is initially withdrawn and substantiated. In the event that the company fails to do so, an injunction could be obtained. In the event that the promotion was considered to be misleading, appropriate disciplinary action would be taken including a fine or public and private censure.

c) The additional information provided confirms that appropriate records have not been kept contrary to COBS. The firm's interest has not been properly disclosed and it did not have necessary permission to deal as principal. The asset figure is also completely inaccurate with liabilities of £350 million not having been taken into account. The interest of the directors should also have been declared. Unlisted securities would generally be unsuitable for discretionary portfolios. Conflicts of interest arise under PRIN (1, 6 and 8), COCON (1 and 2) and SYSC10. There has also been a general failure of PRIN (1, 2, 3 and 7) and COCON senior manager rules as well as SYSC.

d) GRAB has since clearly breached a number of principles set out in PRIN as well as COCON and SYSC. Appropriate fines and public or private censure would be considered. The advertisement would also have to be immediately withdrawn through injunction if this has not already been achieved. Individual action would also be considered against the Chief Executive for a breach of PRIN and COCON as well as SYSC. Fines, censure and prohibition would all be considered.

B14.

a) A number of separate conflicts of interest were raised in this question. These were principally concerned with client and proprietary trading, use of research and front running, personal account dealing and board representation. The other main issues

were concerned with remuneration and inducements and failure to report (whistle-blowing).

References should have been made to all available PRIN, COCON, SYSC and COBS provisions. The CISI Principles could also have been noted. As much detail as possible should have been provided with discussion of each relevant factual situation.

Separate reference may also have been included to possible market abuse (MAR), insider dealing (CJA) and misleading statements and impressions offences (ss 89 and 90 FSA 2012). Breach of relevant duties of a fiduciary under the common law could also have been noted.

Relevant tools include general systems and controls obligations as well as specific conflicts of interest measures. This, in particular, includes disclosure, declining to act, Chinese walls or maintenance of an independence policy.

b) Justification for the imposition of controls on conflicts of interest could have been explained principally in terms of market inefficiency and treating customers fairly (an FCA priority). Some reference could have been included to the FCA's operational objectives including specifically consumer protection and integrity. Reference may also have been made to possible sources of risk (including financial risk, operational, legal and reputational risk) as well as to breach of specific regulatory provisions including FSMA and the FCA Handbook (PRIN, COCON and SYSC as well as COBS). Relevant ethical issues could have been highlighted with specific reference to the CISI Principles. Some candidates did refer to the nature of the penalties and sanctions imposed although this is more concerned with the consequences rather than justification for the imposition of such controls.

c) George's failure to report should have been criticised in terms of relevant reporting and whistle-blowing obligations. Specific reference should have been made to COCON and SYSC. The prohibition on the imposition of penalties on whistle-blowers under the Public Interest Disclosure Act should have been noted. Additional reference may also have been made to the CISI Principles.

B15.

a) The main issue raised is concerned with scope of permission and authorisation to conduct an investment and management activity. SCFL's permission is restricted to arranging deals in investments and providing advice. SCFL has contravened s 20(1) FSMA. This does not make SCFL guilty of an offence, but SCFL would be subject to disciplinary action by the FCA.

Reference could also have been made to relevant systems and controls and personnel requirements in the event of SCFL undertaking investment management or custody functions. Relevant SYSC and COCON requirements should have been referred to.

b) Robbins and SCFL would breach various PRIN as well as SYSC and COCON requirements by continuing with the business, failing to take proper compliance advice and failing to notify the FCA.

c) All relevant requirements for extending SCFL's scope of permission and related management, personnel and systems and controls obligations should have been referred to in taking on this new business. All relevant provisions within the FSMA, SYSC and COCON should have been referred to. Additional obligations concerning investment management and discretionary investment management set out in COBS and CASS could also have been referred to.

B16.

a) Financial regulation on promoting investments is used to ensure the promotion is fair, clear and not misleading. This arises from repeated concerns that many customers have been mis-sold financial services and through this process have received financial services which are inappropriate for their needs. This mis-selling and the subsequent regulatory responses have been a substantial cost of the financial services industry in the last two decades. It is important to acknowledge that many customers can be vulnerable to the actions of financial services firms if promotions are delivered in a manner which may mis-lead and lead to sub-optimal decisions.

This can result in substantial customer harm. Reducing such customer harm is one of the key motivating elements of the regulation on financial promotions. The promotion of investments is influenced by Principles 6 and 7 of the Principles for Businesses where:

• **Principle 6** – a firm must pay due regard to the interests of its customers and treat them fairly.

• **Principle 7** – a firm must pay due regard to the information needs of its clients and communicate information to them in a way which is clear, fair and not misleading.

Section 21 of FSMA also imposes a restriction on the communication of financial promotions by unauthorised persons. In all such advertising it is imperative that the information provided is accurate, balanced, does not obscure important information and includes the risks of the investment and does not just outline benefits of the investment. Such marketing communications should also include the firm's name and be presented in a manner which is easy to comprehend by the target of the promotion activity. If comparisons are used as part of the marketing materials, the data sources should also be indicated among other requirements. It is also important that the promotional material is cognisant of the guidance on prominence whereby risk warnings and the benefits of the investment would be displayed with similar prominence, such as using the same font size.

There are multiple outcomes for inappropriate and misleading financial promotions. It is important to consider issues of consumer harm in such an answer. In cases where consumer harm seems possible, the Financial Services Act 2012 can ban and immediately remove misleading financial promotions from the market, without going through the enforcement process. Perhaps the most headline catching outcome for firms has been the requirement that many firms which have mis-sold financial services have had to provide refunds and compensation to their clients/customers. These costs can be staggering, for example, up to nearly £40bn in the case of payment protection insurance. There are other consequences we should observe in an answer. These include an awareness that only authorised persons should communicate financial services. The penalty for a breach of Section 21 of FSMA considering this concern is two years in jail and an unlimited fine.

Other offences introduced by the Financial Services Act 2012 relating to the making of misleading statements and practices include:

• making misleading statements (Section 89)

• creating false or misleading impressions (Section 90), and

• making misleading statements in relation to benchmarks (Section 91).

b) There are a number of troublesome elements to the advertisement. Time share investments have been an area in which a range of regulatory and mis-selling concerns have arisen previously and should have raised wider concerns. Other issues with the advertisement include the suggestion there is a guaranteed return. The investment is a high risk and offshore unregulated investment scheme. The promotion is subject to UK regulation (COBS4) as the promotion has occurred in the UK, rather than involving an investment in a non-EU nation. There is a range of misleading and inaccurate information provided. This would include the suggestion of risk solid or guaranteed returns, and the provision of reliable and regular income when clearly this is not provided in the investment product as it is sold. Suggesting the investment has no risk and the returns would be 10% is also misleading. The statement that the scheme is approved under Section 21 of the Financial Services and Markets Act 2000 is particularly worrisome in that it suggests this is a protected or safe investment when clearly this is not the case. In the answer we would hope to see a discussion of a range of these issues and any further pertinent points as to the advertising of financial services.

c) In responding to this outcome, there are several actions to take. Initially it is essential to be transparent to the regulator and report that these failings have occurred. This will involve an examination of the firm and its processes. The clients of this investment need to be contacted immediately and refunded for their investment and compensated for any losses they might have incurred for this outcome. Working with the CEO and the Head of Marketing is more challenging. The CEO clearly has not involved you in all discussions of new products and the Head of Marketing has not acted in an appropriate manner. Discussion of this issue is a grey area, and the marking should reflect considered responses to the situation.

d) When considering the ethical dimensions of this case it is imperative that the answer consider behaviours needed to focus on prevention of future concerns, following the spirit of the law rather than considering whether the firm may get ‘caught' for wrongdoing. For instance, has the marketing of the investment product been clear and honest, impartial, transparent, or fair? In this case all these values are breached. In relation to the code of conduct we would hope that the answer would include some consideration of CISI conduct principles of Personal Accountability, Client Focus, Respect for Market Participants, Professional Development, Aware of Capabilities, Respect Others and the Environment,

and Speak Up and Listen Up. In this case the Marketing Director clearly has failed in terms of many of these, including Personal Accountability, Client Focus and Respect for Market Participants. The compliance officer clearly has chosen to speak up and listen when needed and has displayed an awareness of these principles.

More generally, how marketing has been considered under financial regulation has been an ongoing issue where a diversity of opinion has been raised. Additionally, the suggestion that marketing should be a regulated function was raised repeatedly during the PPI scandal but has since receded in its profile. This area does sometimes involve a balance between protecting customers and ensuring that market competition can occur, and firms effectively communicating the features of their services. Section 21 of FSMA also imposes a restriction on the communication of financial promotions by unauthorised persons.
In such an answer we would like to see a range of personal characteristics, expected for working in financial services, to be raised such as being competent, solvent, honest and with an intact reputation. For the 'profits come first' concern, it is essential to indicate that the responsibilities of the compliance officer go beyond those of the firm alone and do include responsibilities to act in accordance with statutory and also fiduciary expectations. Of course, it is important to indicate that all appointments should be made formally and with regards to such requirements rather than through friendship networks.

B17.

The question is concerned with 'wall-crossing' and supporting restrictions in connection with short selling of internationally traded stock and potential breach of PRIN and COCON as well as the commission of insider trading and market abuse (CJA and MAR). This parallels the decision issued by the Financial Services and Markets Tribunal (as it was then called) in the case of Philippe Jabre and the FSA on 27 July 2006. The FSMT rejected the appeal by Philippe Jabre and held, in particular, that the FSA could ask that the issue of suitability was reconsidered at the appeal stage and that short selling of equivalent stock listed in London constituted market abuse under s 118 FSMA (now superseded by MAR).

a) Rapier has 'wall-crossed' (or become restricted) with the pre-marketing (pre-sounding) discussions conducted with the salesman from the investment bank. The relevant issue is accordingly coded.

(i) The consequences of wall-crossing and restriction in prohibiting subsequent dealing;
(ii) The passing of inside information (specific and precise, price sensitive, unpublished and relevant);
(iii) Whether the stock was listed on a prescribed market in London;
(iv) Whether the stock was listed on a prescribed watch or restricted list;
(v) Whether Rapier was already on an insider list;
(vi) Whether and when the forthcoming issue would be announced to the public;
(vii) Market abuse and relevant conditions (as defined in MAR);
(viii) Whether Rapier has already disclosed or discussed any of this with Compliance;
(ix) Whether existing reporting procedures were adequate;
(x) Whether the firm's existing conflicts of interest, policy and, in particular, Chinese walls procedures were operating effectively;
(xi) Whether there had been any breach of PRIN by the firm or COCON by Rapier.

As much details as possible should have been provided within the time available.
The more general issue that arises is whether the firm can be held liable for any offences committed by a senior manager. Vicarious liability was confirmed in the case of Jabre where the seniority and authority of the individual concerned was sufficient. This could either be raised under sub-section a) or d) below.

b) The completion of pre-existing orders would not constitute insider trading or market abuse under relevant defences. The entering into any new transactions to borrow or short sell would nevertheless be prohibited. No new contracts or orders should be entered into following the initial contact and discussion. All relevant offence conditions and defences could have been discussed in as much detail as possible.

Reference may also have been made to the due diligence and reasonable precaution defence in s123 FSMA.

Reference may also have been made to breach of PRIN and COCON.

c) The issue relates to the territorial scope of application of the insider trading and market abuse offences. If Rapier is not trading in the particular securities to which the information relates, there may be no offence of insider trading under the CJA 93. The scope of

application of MAR is nevertheless wider as this applies to any dealing in shares dealt with on a regulated market, MTF or OTF. If the shares in the Brazilian bank are already dealt with on any UK market, any dealing in shares in the bank in any other market will constitute market abuse as confirmed by the FSMT in the Jabre decision. It was stated that it would otherwise have been absurd for traders to misuse information by trading on any non-UK market where this would otherwise constitute market abuse under MAR.

Reference may also have been made to breach of PRIN and COCON.

d) As Rapier has already traded and booked a substantial profit for the firm, Compliance will now be concerned with the effects of this on the operation of its internal systems and controls, the need to report the breach to the FCA (under PRIN (11)) and the internal regulatory action and external (FCA) penalties that will be imposed.

Relevant issues include:

(i) The nature of any internal sanction to be imposed on Rapier;
(ii) The need to review reporting and conflicts of interest policy management practice within the firm;
(iii) Any more general corrective action to be taken to prevent substantial FCA sanction;
(iv) The facts should be reported immediately to the FCA under PRIN (11);
(v) Applicable sanctions for breach of MAR against Rapier (unlimited fine);
(vi) Sanction against firm for vicarious liability of Rapier under MAR (as confirmed in Jabre);
(vii) Possible penalties for breach of CJA 93 in the event that insider dealing may have been established (although unlikely);
(viii) Penalties for breach by Rapier of COCON 2 (due skill, care and diligence) and 3 (market conduct);
(ix) Possible breach by Rapier of COCON 1 (integrity) (not confirmed in Jabre);
(x) Possible breach by the firm of PRIN 5 (market conduct);
(xi) Possible related breaches of PRIN or SYSC as well as implication on COND and FIT;
(xii) Possibility of public or private censure and consequent reputational damage.

Reference may also have been made to difficulty for Rapier in subsequently reapplying for approved person's status under FIT in the event of previous restriction or cancellation. Even if his earlier approval was not formally withdrawn, Rapier may have significant

difficulties in retaining this status subsequently. If approval had been cancelled, Rapier would have the responsibility of establishing fit and properness again. The issue was left open in the Jabre case.

Reference could also have been made to breach of the CISI Principles as well as the more general need to maintain ethical standards in financial markets.

B18.

This question posed a case study involving a situation related to ethical and regulatory conflict between sales pressure and client suitability, highlighting the responsibility of financial advisers to act in the client's best interests despite internal incentives.

a) There are several ethical issues present in this scenario. Emma is being encouraged to sell a product that is not aligned with the client's risk profile or investment needs, which raises concerns around mis-selling and a potential breach of duty to the client.

   Pressuring an adviser to recommend an unsuitable product represents a serious ethical failure. There is also a clear conflict of interest. Emma's incentive to meet sales targets appears to be compromising her ability to act in the best interest of her client. The scenario suggests that the firm's culture is placing commercial objectives ahead of client outcomes, which undermines trust in the advice process and could cause financial harm to the client. A badly designed bonus scheme is likely contributing to the issue, as it encourages behaviour that prioritises product sales over suitability. This kind of scheme can create systemic ethical risks, especially when combined with pressure from line managers. Emma may feel unable to challenge the firm's expectations, which further exacerbates the risk of poor client outcomes. The ethical environment of the firm is central to this problem. Firms have a responsibility to promote a culture where employees feel empowered to prioritise the client's interests and uphold professional standards. In this case, the firm is failing to support ethical conduct and may be placing its staff in situations where doing the right thing is made more difficult. From a

professional ethics perspective, Emma should reflect on the CISI's principles, including integrity, fairness, and acting in the client's best interests. While she may be under pressure, her obligation is to provide suitable, objective advice to her client and to escalate any concerns if she feels her professional judgement is being compromised.

b) The adviser should apply the CISI Code of Conduct by acting with integrity and ensuring the client is given clear and accurate information about the product, including the risks and likely returns. Transparency is essential to avoid misleading the client and to maintain trust. The adviser must also demonstrate client focus by placing the client's interests above the firm's sales targets, ensuring that any recommendation is based on what is suitable for the client's financial needs and risk appetite. Professional competence is key, and the adviser should only proceed after fully assessing the client's situation, goals, and ability to absorb losses. Accountability is also important. The compliance officer must document their concerns and escalate them to senior management to help prevent regulatory breaches and reinforce the firm's commitment to ethical conduct. If the product is sold and later deemed unsuitable, serious consequences could follow. The adviser may face disciplinary action, loss of FCA approval, or a prohibition from working in financial services. If it is shown that the sale was driven by internal pressure rather than client need, this could be treated as a breach of professional standards. The manager who encouraged the sale may also face individual sanctions under the Senior Managers and Certification Regime, including personal fines or regulatory action. The compliance officer could come under scrutiny if it emerges that concerns were not properly followed up. The firm itself could be penalised financially, required to compensate affected clients, and forced to undertake a mis-selling review or root cause analysis. The FCA may also impose additional controls or even commission an independent skilled person reviews to assess the firm's systems and controls.

c) If the product is sold and is later deemed unsuitable, there could be serious consequences for the individuals involved and for the firm. The adviser may face professional and regulatory sanctions, such as disciplinary action, withdrawal of FCA authorisation, or even a prohibition from working in regulated financial services. Selling an unsuitable product under sales pressure may amount to a serious breach of professional standards and could significantly affect future career prospects. A line manager who encouraged the sale may face similar consequences. If it is

established that pressure was knowingly applied to act against the client's interests, the manager could be held personally accountable under the Senior Managers and Certification Regime, which may result in personal fines, prohibition, or reputational damage. The compliance officer, although not directly responsible for ensuring regulatory compliance, has a duty to support the firm's framework. If aware of misconduct and failing to escalate or address it, that inaction could prompt regulatory scrutiny and questions about the strength of the compliance function. The firm itself could also face serious outcomes. If the sale causes financial loss or harm to the client, the FCA may impose a financial penalty and require the firm to carry out a mis-selling review, root cause analysis, and client redress. The firm may also be instructed to improve its internal controls, retrain staff, and strengthen product governance. In more severe cases, the FCA could suspend or restrict permissions, or appoint a skilled person under section 166 to conduct an independent review.

B19.

The question was generally concerned with the identification of a series of breaches in the brokerage, research and corporate finance operations within a securities firm. Each part carried equal marks.

a) Practices which should have generated concerns with regard to the quality of the control infrastructure maintained by the firm would include:

(i) Head of Research reporting directly to the Head of Brokerage;

(ii) Absence of any formal organisational chart which suggests ineffective demarcation of functions and responsibilities within the firm more generally;

(iii) Broking team attending weekly research team meetings;

(iv) Research payments tied to brokerage use;

(v) Provision of privileged information to separate sets of client;

(vi) Failure to maintain effective separation between brokerage and research personnel;

(vii) Failure to complete training of staff in corporate finance before being allowed to conduct certified functions;

(viii) Absence of effective oversight over trainee staff;

(ix) Conflicts of interest in acting on both sides of corporate acquisitions;

(x) Failure to maintain effective demarcation between corporate finance and research and broking teams (including conduct of allegedly social discussions within office situation).

b) The following revisions should be considered to the control systems maintained within the firm:

(i) Research should report to a senior manager outside brokerage;

(ii) The organisational structure of the firm should be reviewed to ensure that all relevant operations function effectively and independently where necessary with a revised organisational chart being provided to all personnel;

(iii) The broking team should not be required to attend research meetings although they may be entitled to see the final reports produced the following week;

(iv) Remuneration packages should be reviewed within research and across the firm generally;

(v) The extent and nature of any preferential treatment given to clients should be reviewed. This is not inappropriate as such provided that relevant dealing and managing rules are complied with including ensuring customer order priority and best execution;

(vi) Effective separation (Chinese walls) should be maintained between brokerage and research at all times;

(vii) The training of junior members of staff should be reviewed with personnel not being entitled to carry out any specific certified function until they are appropriately qualified and a certificate issued by the firm;

(viii) Effective oversight over all staff should be reviewed and maintained at all times;

(ix) Corporate finance should be prohibited from acting on both sides of any particular acquisition in light of the clear conflicts of interest that arise;

(x) The effective separation (Chinese walls) should be maintained between corporate finance and the other core sections within the firm with all personnel being made aware of the firm's policy with regard to the management of conflicts of interest.

c) Failure to maintain appropriate management and control systems could lead to a breach of the following provisions:

(i) Various principles within PRIN may have been breached including 1 (integrity), 2 (skill, care and diligence), 3 (management and control), 5 (market conduct), 6 (customers' interests), 8 (conflicts of interest) and 9 (trust).

(ii) Many of the core provisions within SYSC may have been breached (including on apportionment, organisation, compliance function, employees and remuneration).

(iii) Many of the core provisions within COCON may also have been breached (including 1 (integrity), 2 (skill, care and diligence) and 5 (market conduct).

(iv) Various provisions within COBS may have been breached (including Chinese walls, 'spinning', conflicts of interest, investment research and research recommendations).

(v) Consequential statutory provisions including ss 59, 71 and 138D FSMA.

(vi) A number of core provisions with the CISI Code of Conduct may also have been breached (including Principles 1 (acting honestly and fairly), 2 (integrity), 4 (market conduct), 5 (conflicts of interest), 6 (professional competence) and 7 (personal standards)).

d) The FCA may exercise any of its enforcement powers against the firm including:

(i) Varying or withdrawing permission (s 31 FSMA);
(ii) Unlimited fines (s 206 FSMA);
(iii) Issue public of private censure;
(iv) Prohibit individuals from carrying on specified functions (s 56 FSMA).

Restitution may also be available (ss 382-386 FSMA) with individuals suffering loss of being able to proceed under a separate action for damages for breach of an FCA rule (s 138D FSMA).

The FCA may also consider applying for an injunction (s 380 FSA) or ultimately for the firm's insolvency (Part XXIV FSMA).

B20.

The question raised a number of issues with regard to the management of complaints and redress available to private clients in dealing with UK authorised institutions. Candidates may have dealt with the question solely in terms of rights of redress and remedy although the best answers also referred to specific instances of breach of legal or regulatory obligation. Candidates should have read the question in full initially and dealt with each sub-part in turn.

a) The structure and operation of the internal complaints procedures that are required to be maintained within all financial firms should initially have been explained under DISP. Firms must maintain written procedures that are notified to and made available to all customers on request. Eligible complaints must be dealt with under relevant policies with a senior independent member of staff considering the complaint fully and promptly and with appropriate redress being provided as necessary including compensation by the firm. Records of the decision and response must be kept for three years (five years in the case of MiFID business). The procedure must be carried out in accordance with the specified timetable with all of the relevant responses being carried out within eight weeks as specified. Complainants must also be notified of their right to apply to the Financial Ombudsman Service (FOS) separately with firms also reported to the FCA on a 6 monthly basis of all complaints received or that no complaints had to be dealt with.

b) The client's further rights of redress are to the FOS in the event that the Firm's internal procedures fail to deliver a satisfactory response. As much information as possible should have been provided on the nature and operation of the FOS procedure. This includes the definition of 'eligible complainants' (essentially private individuals and small and medium-sized enterprises (SMEs), charities and trusts). Reference may also have been made to FOS investigation, hearings, representations and reporting as well as the power of the FOS to make an award of up to £350,000 and reasonable costs.

c) The office manager may or may not have been an approved person carrying out a controlled function within the firm. If the manager was not properly approved, there may be a right under s 71 FSMA or a separate more general right of action against the firm under s 138D FSMA for breach of relevant rules under the FCA Handbook of Rules and Guidance. There may be a separate breach of the CASS rules. Other common law rights of action may also be available including damages for breach of contract, negligence or possibly conspiracy.

d) While the FCA will generally not become involved in individual client redress matters, it has power to require authorised firms to provide compensation or restitution without a court order or to apply for a court order for restitution requiring any person who has breached a rule or other requirement of the FSMA 2000 to provide compensation or restitution (ss 382-386 FSMA). The FCA would probably be unlikely to act in the event that adequate redress was already available under internal procedures or through the FOS ((a) and (b) above). It may nevertheless assist in the event that both of these options failed in the particular case. Action may then be available against the firm as an authorised person or against the manager individually assuming that he was still in possession of the funds misappropriated. Reference may also again be made to common law rights of action. Injunctions may also be available under s 380 FSMA if this may assist.

e) In the event of the firm's collapse, compensation would be available from the Financial Services Compensation Scheme (FSCS) under COMP. Relevant entitlements (including the definition of 'relevant firm' and 'eligible claimant') should also have been explained and the relevant compensation limits.

B21.

The question was concerned with possible breach of the certifed persons regime and relevant ethical issues. Candidates should have noted the uneven assignment of marks and provided appropriate detail under each section.

a) A general review of the certifed persons regime should have been provided for the full eight marks. This includes all relevant core statutory provisions and principal provisions contained in FIT and COCON.

It would appear that Herbert would have been required to be approved to conduct a significant harm function. Herbert must also satisfy the requirements set out in FIT including honesty, integrity and reputation, competence and capability and financial soundness. The firm would have to have certified Herbert, and also informed the FCA so as to ensure Herbert is entered into the FCA Directory.

The FCA may take disciplinary action specifically under s 66 FSMA against persons guilty of misconduct under the approved persons requirements. This is subject to appeal to the Upper Tribunal (Tax and Chancery Chamber).

b) Relevant factors may have been listed with the answer structured with reference to the separate parts of the Handbook including FIT and COCON as well as PRIN, COND and TC. The 'whistle-blowing' provisions in the Public Interest Disclosure Act 1998 (PIDA) should also have been referred to as well as the FCA's other enforcement powers. Additional ethical considerations may also have been noted including the FCA's general approach to ethical issues or possibly the CISI Code of Conduct.

Relevant factors could have included:

i. Breach of s59 FSMA;
ii. Possible liability under s71 FSMA;
iii. Possible breach of FIT and COND;
iv. Breach of SYSC 27 (certification regime);
v. Breach of PRIN 1 (integrity), 2 (skill, care and diligence), 3 (management and control) and 11 (regulatory relations);

vi. Breach by the firm of SYSC 2 (senior management arrangements), 4 (organisational requirements), 5 (procedures), 6 (compliance), 7 (risk controls) and 10 (conflicts of interest);
vii. Breach of COCON 1 (integrity), 2 (skill, care and diligence), 5 (market conduct), and 3 (regulatory relations); and
viii. Breach of CISI 1 (honesty and fairness), 2 (integrity), 3 (compliance), 4 (good conduct), 5 (conflicts), 6 (professional competence) and 7 (personal standards).

Relevant action includes:

i. Holding immediate meetings with Herbert and relevant staff including Divisional Managing Director;
ii. Conducting internal review;
iii. Producing early compliance report for senior management;
iv. Possible suspension of Herbert and prevent contact between Herbert and his team as well as possible suspension of Managing Director;
v. Refer matter to audit committee or possibly non-executive board committee;
vi. Report to FCA;
vii. Confirm with FCA whether any transactions had to be reopened;
viii. Confirm relevant internal information and resources;
ix. Confirm Divisional Managing Director knowledge and complicity;
x. Consider possible disciplinary action against Herbert and Divisional Managing Director;
xi. Confirm suitability of Herbert and whether Herbert may have sufficient experience from internal perspective including possible conduct of internal examination to allow to act in advance of taking separate external qualification examinations; and
xii. Confirm whether firm breached SYSC in absence of adequate supervisions.

Relevant corrective action may include:

i. Reviewing internal procedures concerning assessment of experience and expertise of staff and need to undertake external examination;
ii. Confirm adequacy of internal TC arrangements;
iii. Confirm internal review procedures;
iv. Confirm internal disciplinary procedures; and

v. Confirm 'whistle-blowing' procedures in the event that senior management do not follow advice of Compliance Officer.

The Compliance Officer may also wish to confirm possible available exemptions under the approved persons and TC rules and possibly take advice from FCA or CISI.

The factors which would be taken into account may also include relevant enforcement action that the FCA may take for breach of the provisions referred to. The FCA's enforcement powers may be summarised. This would be in addition to possible liability under s71 FSMA.

c) The policy would generally not differ, although additional reference may be made to preparing a specific report for the FCA on the breach and proposed corrective actions to be adopted. Reference may also have been made to the FCA's early settlement procedure.

B22.

The question raised the issue of potential insider trading and market abuse in connection with the activities of a UK based hedge fund management company. This could generally be dealt with by applying insider trading and market abuse principles to the particular conversation that took place between the fund manager and an investment bank.

a) Six marks were available for explaining the general nature of the market abuse regime including specific offences having regard to the particular circumstances. As much detail as possible should have been provided on relevant provisions. This includes the definition of market abuse in MAR.

b) The FCA should be notified with the FCA expected to undertake an investigation that would include issuing requests for documentation and further information. Corrective action would include launching an immediate internal review, possibly reconstituting a note of the telephone recording (making it expressly clear that this was a reconstruction of the earlier conversation), reviewing the manager's notes on the refinancing deal, reviewing relevant internal policies including with regard to market abuse, conflicts of interest and the firm's open-desk policy. The firm may also offer to reopen the contract

and repay the profit generated from the transaction. The FCA's power to conduct investigations and obtain information, documents or interview style could be referred to as well as the enforcement powers available to the FCA. The FCA may wish to discuss the matter with staff from the Listing department or from the Luxembourg Stock Exchange or regulatory authorities in Germany.

Reference may be made to the Tribunal decision on Paul Davidson (The Plumber) under Article 6 of the European Convention on Human Rights and the heightened standard of proof required by the FCA.

c) In conducting the review, reference may be made to all types of relevant risk including market risk (equity risk, interest rate risk, currency risk and commodity risk including price, volatility, liquidity and basis risk) and operational risk (including regulatory, liquidity, delivery, political, human error, systemic, legal, IT, transaction and reputational risks). Specific reference could also be made to the relationship between reputational and ethical risk.

General requirements with the need to maintain adequate systems and controls specifically under SYSC should have been noted as well as the specific constituent elements of the market abuse and insider trading offences again. Relevant control systems should have been noted. Specific policies in connection with resolving conflicts of interest may also have be referred to including declining to act, disclosure, Chinese walls and independence policy, although this was not strictly necessary. While the question was focused on market abuse, additional reference may have been made to relevant insider trading provisions, although this was not strictly necessary. A relatively substantial answer was expected for the full six marks.

d) The relevant penalties and offences with regard to market abuse should have been noted as well as additional potential failings in connection with PRIN, COCON and SYSC as well as the CISI Code of Conduct.

B23.

a) The guidance for providing a prospectus is outlined within the FCA Prospectus Regulation Rules sourcebook. This process has also been influenced by the HM Treasury Prospectuses Regime Review. The regulation surrounding the issue of a prospectus requires that a prospectus is provided when any transferable securities are issued to the public or are to be admitted to a regulated exchange. This applies to offerings of €1m or more in the UK or €8m under EU directives. There are exceptions, for example for non-transferable shares, for cases where a private placement of shares is made on certain exchanges such as AIM, for bonuses or payments to directors etc., for dividends paid out to existing shareholders in the form of shares, for shares issued in replacement of other equity removed, for financial instruments with a maturity of less than one year, for EU member states that may not require a prospectus for an offering up to €8m, if the offering is not public and made to qualified investors, if the offering involves non-equity securities offered in a continuous and repeated manner, and for a unit trust or an open ended investment company. There are also other premium listing requirements over prospectuses that can be usefully raised and discussed. Consideration of these points or other valid points is important.

b) It is essential a prospectus allows a potential investor to make an informed decision as to whether to invest or not invest in the financial offering. This would require any prospectus to include details as to the risks, profitability and potential future cash flows arising from the financial offering. In the case of company equity, for example, this would include assets and liabilities, profits and debts and prospects of the firm.

To ensure an investor can make an informed decision this information needs to be provided in clear English and a comprehensible manner suitable for who may be investing in the financial offering. Throughout, the document needs to be accurate and not misleading. Key elements of any prospectus are the summary of the offering, containing key information required and the nature of the risks of the offering and information as to the issuer and the securities being offered. The prospectus also needs to contain a registration document including information as to the securities issued and the issuer. Lastly a securities note needs to be issued including detailed information about the securities offered.

In addition, there is other associated documentation which needs to be developed and provided as part of the prospectus development process. This would include the application

form of potential investors in the offering, documents referenced in the prospectus and checklists cross-referencing the prospectus to its requirements and contact details for questions an investor would pose. The documentation needs to be submitted to the FCA. These documents can take 10 to 20 days to be approved by the FCA. There are also other premium listing requirements regarding prospectuses that can be usefully raised and discussed.

c) The UK Listings Review is a review for possible future changes to the regulation surrounding the perceived competitiveness of UK financial markets and addressing the issue of raising of corporate finance in the City of London and for UK businesses. Key areas of development listed in the review include the following (The Listing Review, p.13):

• changing prospectus requirements so that in future, admission to a regulated market and offers to the public are treated separately.

• changing how the prospectus exemption thresholds function so that documentation is only required where it is appropriate for the type of transaction being undertaken and suits the circumstances of capital issuance.

• use of alternative listing documentation where appropriate and possible, e.g., in the event of further issuance by an existing listed issuer on a regulated market.

There are also other amendments as to the provision of past information and what projections of estimated future cash flow might be and how prospectuses for dual listings are considered.

d)There are many perspectives which may be considered when discussing this major change to the prospectus rules. As part of this wide-ranging discussion are a number of changes to the rules for prospectuses. It is proposed that the current regulations for retail investments are too onerous and need to be altered and simplified considerably. Part of this discussion incorporates the view that a downside of the prospectus approach is that it draws together differing regulatory objectives. That of the issue of securities to markets and the public issue and trading of securities and that these regulatory properties may not always be consistent. This is a viewpoint arising from a particular opinion as to how we view regulation i.e., where less regulation is preferred to more state control and supervision over the private sector. These neoliberal views have been disputed in many other nations but

persist in the UK. Overall, the question probes an opinionated area in which serious commentators are split. Any coherent discussion really following whatever perspective the learner considers right is fine: what we would like to see is an informed and considered discussion.

B24.

The question was generally concerned with the marketing and sale of unregulated collective investment schemes.

a) Financial products are covered by the FSMA to the extent that they fall within the definition of an 'investment'. The general category of investments covered by the FSMA are listed in Schedule 2 although investment means of a 'specified kind' (s.22(1) a)) with specified meaning by order of the Treasury (s.22(5)). The categories and investments covered are accordingly as set out in the Regulated Activities Order (as amended). This includes unregulated collective investment schemes.

   Reference may also have been made to the treatment of collective investment schemes under Part XVII of FSMA. A 'collective investment scheme' is, in particular, defined in s.235.

b) FSMA s.238(1) and (4) prohibits an authorised person from communicating an invitation or inducement to participate in any collective investment scheme (other than an authorised unit trust scheme, an authorised open-ended investment company or a recognised scheme) unless permitted under the FCA rules (s.238(1) and (5)) or by order of the Treasury under s.238(6). Relevant exemptions are set out in the Promotion of Collective Investment Schemes Order (FSMA 2000 (Promotion of Collective Investment Schemes)(Exemptions) Order 2001).

   The promotion is accordingly only permitted to the extent that it falls within the exemptions listed in the Treasury Order or the FCA rules.
   Additional reference may have been made to the specific conditions set out in Article 21 of the Exemptions Order 2001 although not necessary to obtain the main marks. Relevant conditions include the exemption only applying to specified investments, the

communication being non-real-time or solicited real-time and the customer having signed an exemption statement.

c) The certified high net worth exemption requires that the recipient has a current certificate in writing or other legible form signed by their accountant or employer or be self certified.

The certificate must be signed and dated within 12 months ending on the date of the communication. The certificate must confirm that the person has had an annual income of not less that £100,000 during the financial year immediately preceding the date on which the certificate is signed or has held net assets to the value of not less that £250,000.

Net assets exclude primary residence or loan secured on the residence, rights under a qualifying contract of insurance or pension or other benefits payable on termination of service or death or retirement.

d) Other exempt persons include investment professionals, existing participants in unregulated schemes, high net worth companies and unincorporated associations, sophisticated investors or persons in the business of disseminating information.

e) The promotion should generally only be directed at relevant permitted persons. Communications should accordingly be accompanied by a restriction on directed persons, a warning against non-professional persons participating in unregulated schemes and confirmation that proper systems and procedures are maintained to prevent recipients other than investment professionals from acquiring units in such schemes.

The alternative would be to adopt some form of password protection with supporting systems and procedures to ensure that the identities of relevant persons are verified before passwords are provided.

B25.

a) Certainly the discovery of losses of client money demonstrates that the firm is in serious breach of FCA rules. It is not stated how ‘infrequent’ the reconciliations of client money

have been but it seems likely that the firm has failed to comply with the requirement to reconcile client money accounts as regularly as is necessary.

It is also true that the FCA, having written the rulebook, do have the power to investigate breaches of rules and to impose penalties on firms for serious breaches.
That said, the firm's own internal controls appear to have identified the problem, corrective action is being taken and the firm appears to be able to make good client losses.
The firm has an obligation under Principle 11 to be open and co-operative with the regulator and this principle extends to notifying the regulator if there have been serious breaches.

It is likely that the firm will escape with a much lesser penalty (possibly even only a private reprimand) for disclosing the discovery and corrective action now than would be the case were it discovered later by the FCA having gone unreported.

b) When applying for Part 4A permission an applicant must request permission for each category of investment business it wishes to conduct. The FCA will then grant permission for such specified activities as it sees fit.

Whilst a firm is not in breach of the general prohibition and so is not in breach of FSMA it is in breach of FCA rules and could again find itself open to the FCA's enforcement powers.

The extent of any penalty by the FCA will depend on a variety of issues – the number of clients concerned, the length of time the firm has been in breach and the circumstances under which the firm came to be trading outside its permissions.

The FCA has the powers to impose unlimited fines and to remove a firm's permission to conduct investment business; however, it is also under the statutory duty to use its enforcement powers in a manner that is proportionate.

c) In view of the fact that the FCA should be informed of the problems identified in a) and b) above, the proposal to give the outgoing Finance Director a 'C' certificate is a far from good idea. It would constitute actively misleading the regulator and would almost certainly

result in the person signing the 'C' certificate and/or those requiring him/her to sign it being considered by the FCA not to be fit and proper persons.
It is for the FCA to decide whether the outgoing FD is a fit and proper person in relation to his future employment and not a matter of whether he has 'suffered enough'.

d) There are a number of regulatory implications of this. Firstly not being able to identify clients' physical addresses and not having kept records of client identification puts the firm in breach of the Money Laundering Regulations. This could open up the possibility of the firm's directors becoming liable to imprisonment for up to 2 years.

The failure to record client data does also mean that we are unable to determine whether or not they are rightly categorised as professional clients or whether they should be categorised as retail clients.

There should be an immediate check to see whether any of these clients has been party to any of the futures transactions in part (b). Under the rules on suitability and appropriateness, the firm is responsible for assessing whether the client has the necessary experience and knowledge to understand the risks involved in relation to a product or service. While some experience and knowledge may be assumed in the case of professional clients, no such assumption may be made in the case of retail clients.

When taken with the weaknesses in Systems and Controls stated in parts (a) and (b) as well as the suggestion of active dishonesty in part (c) it appears that the firm is in danger of failing the fitness and properness test: as Compliance Officer I would consider both directly notifying these issues to the FCA and resigning from the firm.

B26.

The fact pattern raised difficult issues of conflicts of interest and ethical and reputational risk. As PB is based in the Far East, it is unclear whether the FCA rules will strictly apply. MSG and MSGIB may nevertheless be based in London with PB either being a branch or subsidiary operation of a London regulated institution. PB, MSG and MSGIB may also adhere to the CISI Code of Conduct or equivalent provisions in the Far East. The question can accordingly be answered by applying equivalent relevant principles with or without specific reference to the FCA or CISI provisions.

a) The questions asks for the relevant conflicts of interest in connection with each party to be considered separately. The most comprehensive answers would have dealt with each set of relations individually although this was not strictly necessary.

Mrs Chang

As Mrs Chang is not a regulated person, conflicts of interest and ethical standards do not strictly apply. JM, PB, MSGIB and MSG more generally must nevertheless consider relevant conflicts and ethical issues in their relations with Mrs Chang. Mrs Chang's relations with her three sons again do not raise any regulatory conflicts issue although their differences of opinion mean that they should at minimum be advised separately to take independent legal advice concerning their own interests in the company and proposed restructuring.

The other relevant issue to Mrs Chang personally is her status as a client and the degree of protection required. Mrs Chang would be classified as a retail client with an appropriate full client agreement having been entered into and with all other relevant provisions within COBS applying.

In terms of JM's relationship with Mrs Chang. As the client agreement only covers advice on non-commercial matters, JM cannot act in connection with the proposed restructuring without amendment which will, in turn, depend upon JM's relevant experience and expertise. JM should have considered referring this to a separate department or relationship manager at an early stage. JM's wife's close relation with Mrs Chang is not strictly relevant from a regulatory perspective although JM should have referred this to compliance and ensured that this does not interfere with his professional ability or judgement. JM must, of course, also be careful not to use his wife's relationship with Mrs Chang directly or to pass information back to Mrs Chang through his wife. In light of the close nature of these relations and size of the transaction, JM may again have elected to disqualify himself from acting at an early stage either on grounds of conflict or ethics and have the matter referred to a separate relationship manager.

MSG Group

Strict Chinese walls must be maintained between each of the divisions and separate entities within the MSG group. The restructuring more generally and Mrs Chang's interest in the restructuring may be passed on to a separate division within PB and/or

MSGIB provided that full separation is respected. Necessary security arrangements must be put in place to ensure that any sensitive information remains confidential. Appropriate security arrangements must also be maintained between PB and MSGIB This may include documenting any contact between employees and information transfers. The compliance departments within each operation should be notified appropriately.

MSGIB

The introduction by PB of Mrs Chang (and possibly her sons) to MSGIB should also have been properly documented with written consent taken to pass on names, identities and other file information.

MSGIB must properly identify and document its relationship with its client which will be the company in this case. The sons should already have been advised to take separate advice on their personal interests to the extent relevant. MSGIB must properly identify its client as a professional party and carry out all necessary pre-service actions including agreeing appropriate terms of business and disclosing all relevant costs, charges and other payments.

The recommendation of the 'bought deal' does not raise any direct regulatory issues provided that the MSGIB staff consider that this is the most appropriate recommendation in the particular circumstances. This advice would, of course, normally include other options with comment on their relevant merits and demerits. MSGIB will be required to act in the interests of the company as a whole as its client with each of the other parties concerned taking their own independent legal and financial advice on the merits of the transaction.

MSGIB must not attempt to place any pressure in any way on PB or JM to 'convince' Mrs Chang or any other party to support the restructuring proposed. This would be contrary to PRIN, SYSC, COCON, FIT and CISI. The severity of the breach would require immediate notification to the FCA to the extent relevant or other local authority (below).

Investment Analysts

Investment analysts working within MSGIB corporate finance will provide documentation in support of their recommendation. Any other analyst within MSGIB or MSG issuing independent advice must be separated by appropriate Chinese walls and comply with relevant regulatory provisions including, in particular, COBS 12 or the local equivalent standards.

Client Managers
Chinese walls must also be maintained between MSGIB and PB client managers and discretionary portfolio managers. MSGIB must not attempt to influence their decisions with investment decisions being taken on an independent and client basis. This also applies with regard to MSG Fund Management.

Mrs Chang has requested that JM act as a non-executive director on the restructured company board to represent her interests. This would be wholly inappropriate. It would also be inappropriate for JM to attempt to act on behalf of other PB clients as suggested. As a nonexecutive director, JM would be required to act solely in the interests of the company under relevant company law provisions.

Information must not be passed between MSG companies or divisions in connection with the proposed restructuring and share offer which may otherwise constitute insider trading, market abuse or be contrary to Part 7 FSA 2012.
Insider lists may also be considered under the requirements in MAR.

b) PB and MSG would have to deal with both the significant breaches that have already occurred as well as avoid any further infraction. No further action should be taken on the restructuring until all relevant matters have been dealt with. These would include the following:

i. The issue must be referred to compliance within PB, MSGIB and MSG to the extent relevant;
ii. JM should consider withdrawing immediately and passing responsibility on to dealing with Mrs Chang to another relationship manager within PB;
iii. The terms of service for Mrs Chang should be confirmed and extended if necessary;
iv. A separate relationship manager may be appointed to Mrs Chang to advise on commercial matters either within PB or independently;
v. Mrs Chang’s sons should be advised to take separate advice on their own positions;

vi. JM must not be allowed to be appointed a non-executive director to the board of the restructured company;
vii. Any independent research advice must comply with all relevant provisions;
viii. PB client managers and discretionary managers must act independently;
ix. MSG Fund Management must also act independently;
x. As MSGIB is already conflicted, it may consider withdrawing its initial tender for the restructuring mandate;
xi. Following discussion with the company and full disclosure, MSGIB may be given permission to re-tender and resubmit;
xii. Strict Chinese walls must be maintained between all parties;
xiii. Any transfers of information between the various divisions must be strictly controlled;
xiv. In light of the inappropriateness of the action already taken by MSGIB staff (in trying to convince PB to persuade Mrs Chang and in expecting PB client managers and discretionary managers to purchase the new company stock), compliance may consider referring the matter to the FCA, CISI or any other appropriate regulatory authority with full details of the remedial action and proposed arrangements set up to ensure that no future breach of the conflict provisions arise;
xv. To the extent that any pressure may be placed on you not to disclose any matters, relevant 'whistle-blowing' provisions may apply;
xvi. Senior management within PB and MSG may consider writing to Mrs Chang and her sons explaining the regulatory issues concerned and the action taken in the interests of good client relations and to avoid any reputational damage;
xvii. The board of PB, MSGIB and MSG may also consider withdrawing from the tender to avoid any reputational damage and to be seen to promote high ethical standards;
xviii. Internal disciplinary action may be considered against the MSGIB staff involved with approaching PB;
xix. Separate issues may arise with regard to the disclosure of short positions during a rights issue under FINMAR.

[Tutor's note: These provisions in FINMAR have since been superseded by the European Short Selling Regulation.]

B27.

The question raised issues of share disposal following the internal notification of possible trading difficulties with specific reference to the responsibilities and possible liability of non-executive directors within a larger financial group. The fact pattern was loosely based on the circumstances surrounding the collapse of Lehman Brothers in September 2008.

a) As candidates were to assume that they were the compliance officer, a short reference may have been made to the role and function of compliance within a regulated entity. The question then asked for relevant legal and regulatory issues to be identified. These include:
   i. Possible market abuse under MAR;
   ii. Possible insider trading under CJA 1993;
   iii. Possible market manipulation under Part 7 FSA 2012 (although less likely but still a relevant issue);
   iv. Role and function of non-executive directors (NEDs) and NED-COs;
   v. Possible liability of NEDs;
   vi. Possible liability of executive members for previous disposal;
   vii. Breach of PRIN, SYSC and COCON;
   viii. Breach of exchange rules on LSE and NASDAQ;
   ix. Need to report to FCA and possible sanctions
   x. Need to maintain insider list and watch list.

b) The principal non-criminal penalty related to market abuse under MAR and possibly market manipulation under Part 7 FSA 2012. Candidates should have noticed that only 4 marks were available with subsection (c) referring to separate criminal provisions which would include insider trading under CJA 1993. Relevant market abuse offences, penalties and defences should have been noted. These should have been linked to the relevant facts insofar as possible. This included internal discussion of firm's financial condition, extent to which this may or may not have constituted relevant inside information, distinction between information and speculation, the fact that share price information was already public although reasons for possible future continued fall uncertain, relevance of executive directors prior disposal and possible defences, safe harbour or consent.

c) Equivalent discussion with regard to insider dealing under CJA in as b).

d) Candidates could have referred to possible reporting obligations under Listing Rules (LR), MAR provisions on managers' transactions, Disclosure Guidance and Transparency Rules (DTR) and any separate requirements under the LSE and NASDAQ admission rules.
Reference may also have been made to personal account dealing under COBS 11.7.

e) Conflicts of interest may arise in connection with the personal account nature of the disposal by the NEDs (COBS 11.7 above) as well as the executive directors' disposals and the interests of the London subsidiary and US parent. Reference should have been made to the need to avoid conflicts under PRIN 8 and their management under SYSC 10 including maintaining an appropriate conflicts policy (SYSC 10.1) and Chinese walls (SYSC 10.2). Enforcement powers of the FCA may have been referred to and possible penalties.

B28.

The question raised the types of compliance review issues that arise, for example, following the conviction of Jerome Kerviel with the losses suffered at Societe Generale in Paris. A number of important compliance considerations apply apart from in connection with the conviction of the trader concerned directly.

a) The board is to be informed about relevant possible offences. No further information is provided in the question on this. The trader may have been guilty of carrying out market abuse under MAR as well as possible market manipulation (Part 7 FSA 2012) and insider trading (CJA 1993). Relevant offences should have been outlined in a summary form.

Reference may also have been made to breach of relevant provisions in PRIN, SYSC, COCON and FIT and COND as well as specific obligations in COBS and CASS. Reference may have been made to the Listing Rules (LR), Prospectus Rules (PR) and Disclosure Guidance and Transparency Rules (DTR) as well as the obligations imposed by the specific exchange on which the trader was dealing.

b) Relevant provisions include PRIN 2 (skill, care and diligence) and 3 (management and control) as well as SYSC and COCON.

c) Relevant oversight and monitoring procedures are generally maintained under SYSC and COCON (above). Particular obligations may be imposed on staff dealing or arranging deals in investments including:

(i) Trading price and volume limits;
(ii) Stop loss and limit orders;
(iii) An order execution compliance policy;
(iv) Risk appetite and trading policy limits including maintaining a trading parameters policy;
(v) Supporting management information systems (MIS) including trade capture and trade execution systems;
(vi) Regular reporting of all open positions and risks;
(vii) Daily mark-to-marking of net positions;
(viii) Daily value-at-risk (VAR) calculations on the firm's trading risk for Basel II and Basel III capital compliance purposes;
(ix) Senior management approval for breach of trading parameters;
(x) Maintenance of a Personal Account Dealing (PAD) system;
(xi) Insider lists;
(xii) Front running and 'churning' limits;
(xiii) Appropriate remuneration and incentives policy;
(xiv) Appropriate conflicts of interest management policy;
(xv) Full compliance with relevant provisions in COBS and exchange rules; and
(xvi) Full separation of front and back office functions.

d) Interim action would include confirming that no clients of the firm suffered loss as a result of the trader's activities. All appropriate corrective action should be taken to ensure that no individual loss is suffered ad otherwise the firm may be liable for damages (s138D FSMA), restitution (ss382 and 384 FSMA) and injunction (s380 FSMA) as well as other regulatory penalty (above).

e) The firm should consider a review of all relevant systems longer term including:

(i) PRIN, SYSC, COCON and FIT and COND compliance;
(ii) Trading and risk strategy (above);
(iii) Relevant trading limits (above)
(iv) Risk management policy;
(v) Remuneration policy;

(vi) Reporting procedures;
(vii) Conflicts of interest policy;
(viii) Training and competence policy and practices;
(ix) Transaction reporting policies and practices;
(x) Capital adequacy compliance policy and practice

B29.

The question dealt with the conflicts of interest that may arise where an investment bank attempts to off-load distressed (toxic) structured finance debt through its discretionary investment management division. Difficult issues can arise where large investment banks act on behalf of large numbers of clients in different capacities as well as deal and trade on their own account. The question also raises a number of other issues with regard to the provision of investment management services and client redress and recovery.

a) The specific conflict of interest that arises is concerned with the attempt by the firm to dispose of the residual tranche of debt in a structured re-securitisation of US sub-prime debt. This relates to the un-covered portion of the debt that is usually held by the originating firm and not sold on to typical institutional investors (super-senior debt). This either has to be insured or sold on separately. Super-senior debt may not generally attract a high credit rating.

   As this is not specifically held on behalf of another client, the conflict is between the firm and its portfolio management clients rather than between the sub-prime debt holders and investment clients.

   Conflicts of interest are now dealt with under SYSC 10. Specific types of conflicts are referred to in SYSC 10.1.4R with firms being required to establish, implement and maintain an effective conflicts of interests policy (SYSC 10.1.10R) which deals with specific matters (SYSC 10.1.11R). Appropriate records of conflicts must be maintained (SYSC 10.1.6R). Disclosure of conflicts is dealt with under SYSC 10.1.8R and Chinese walls under SYSC 10.2.

Candidates should also have referred to the implications of breach of the conflicts of interest requirements including with regard to possible recovery by clients under s138D FSMA and regulatory action by the FCA (above).

b) Documentation requirements generally depend on client classification although a client agreement will be required in this case as investment management or discretionary investment management services are provided. Managing investments constitutes designated investment business under the FSMA and FCA Handbook with client agreements being dealt with under COBS 8.1. Other documentation requirements relate to firm, service and fee information, conflicts of interest policy, complaints policy and designated investments holdings.

c) Apart from client agreements and suitability reports ((b) above), relevant provisions with regard to dealing and management are imposed under COBS 11. These include best execution (COBS 11.2), client order handling (COBS 11.3), client limit orders (COBS 11.4), record keeping (COBS 11.5), dealing commission (COBS 11.6), personal account dealing (COBS 11.7) and recording (COBS 11.8). Reference may have been made to the investment research requirements (COBS 12) and client reporting (COBS 14). Additional protections also apply with regard to client money, securities and collateral under CASS.

d) Where the question refers to recovery, clients would generally initially consider proceeding under the firm's complaints procedures and then Ombudsman. Damages may be available for breach of Handbook rules under s138D FSMA with restitution also being available by the court (s382 FSMA) or by the FCA directly (s384 FSMA), having served relevant warning and decision notice (ss385 and 386 FSMA).

e) Candidates should have reviewed the separate payment entitlements under the Ombudsman (£350,000) and Financial Services Compensation Scheme. Relevant procedures may also have been referred to.

B30.

The fact pattern is loosely based on the location of Osama Bin Laden in Pakistan by US Special Forces. This raised a number of issues with regard to potential money laundering and the funding of terrorist activity.

a) Immediate concerns arise with regard to potential money laundering and the funding of terrorist activity. Relevant factors include:
   - The large sum of money involved;
   - The unknown source of the money;
   - The unknown destination of the transfer;
   - The fact that the agency is not registered;
   - The location of the compound;
   - The absence of any separate business activities;
   - The absence of any other funds movement; and
   - The geographic location of the agency.

The possible listing of the agency on the 'Prescribed Terror Groups or Organisations' maintained by the UK Home Office should be confirmed against their website. A *Consolidated List of Financial Sanctions Targets in the UK* is also maintained on the HM Treasury website. A separate 'Current List of Designated Foreign Terrorist Organisations' is maintained on the US Department of State website with the FATF also maintaining a further list of 'Non-Co-operative Countries and Territories'.

The matter should be reported immediately to the firm's Money Laundering Reporting Officer (MLRO) who should submit a Suspicious Transaction Report (STR) to the National Crime Agency (NCA) as appropriate.

b) All of the relevant money laundering offences, penalties and defences should be outlined for the full four marks.

c) Equivalent provisions under the Terrorism Act 2000, Anti-Terrorism Crime and Security Act 2001 and Counter-Terrorism Act 2008, including relevant regulations issued under Schedule 7 CTA, should have been referred to. Reference may also have made to equivalent provisions under the US Patriot Act.

d) All of the relevant provisions with regard to institutional compliance with the UK money laundering statutes and regulations should have been referred to. This includes 'Know your Customer' (KYC) and Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD) with Simplified Due Diligence (SDD) not being appropriate in this case. Standard identification checks should have been carried out. Special rules apply on introductions although it is not clear to what extent these apply in this case. Other relevant provisions under the Money Laundering Regulations 2017 as well as the Joint Money Laundering Steering Group (JMLSG) Guidance Notes as well as FCA policy statement requirements should have been referred to.

Staff training obligations and the role and function of the MLRO could have been noted. Individual liability arises under the principal statutes referred under (b) above with necessary action being outlined in a) above.

e) Care has to be taken not to commit the separate offence of 'tipping off' under s333a of the Proceeds of Crime Act 2002. Individuals must not disclose that information has been passed to the police, HMRC or the firm's MLRO or NCA or that an investigation into money laundering allegations is being contemplated or carried out. This is subject to the relevant exceptions and defences provided. The offence is punishable with up to two years' imprisonment and/or an unlimited fine (or three months' imprisonment and a £5,000 fine in the Magistrates' Court). The client should simply be advised that the instructions are being carried out and that the transaction is proceeding.

B31.

The question raises a number of issues with regard to possible sovereign debt restructuring within the Eurozone area and possible implications on portfolio management within firms.

a) General client categorisation and documentation requirements would apply, although with additional provisions on portfolio management. Reference may also have been made to relevant reporting and record requirements (COBS 16) and client asset rules (CASS). Separate reference may also have been made to specific COBS obligations including Dealing and Managing (under COBS 11) and, in particular, best execution.

b) It is arguable that no strict conflicts of interest arise insofar as the purchase of a small amount of government debt is within the portfolio investment limit. The value of the bonds may also remain high if additional financial support is provided. There is nevertheless a potential risk that the bonds may default with a conflict of interest arising between the fixed interest desk and the management team and the clients' interests. Relevant provisions under PRIN, SYSC and COCON should have been referred to. Separate issues with regard to investment research under COBS 12 may have been relevant although insufficient information is provided. Even if it is arguable that no strict conflicts arise, ethical issues arise under relevant FCA and CISI provisions.

c) Firms must be able to identify all relevant conflicts of interest, maintain an effective written conflicts of interest policy for their resolution and keep separate up-to-date records of all past and present conflict situations. Relevant requirements and procedures under SYSC 10 should have been reviewed, including through disclosure and consent, Chinese walls, or declining to act. An independence policy would be of no use once a conflict has arisen.

d) Price support is only permitted under the Price Stabilisation rules within MAR. Any other attempt to interfere with market prices would constitute market manipulation under Part 7 FSA 2012 or possibly market abuse under MAR. Relevant conditions, defences and penalties should have been reviewed.

e) Clients would be able to make complaints to the firm and to the Financial Ombudsman Service under DISP or claim for compensation in the event of firm failure under COMP (with relevant investment limits being specified). Injunctions and restitution may be available (Part XXV FSMA). Damages may also be available under ss71 and 138D FSMA.

B32.

The fact pattern raises a number of sensitive issues with regard to balancing fee income within an investment bank and being engaged in ethically questionable transactions for overseas governments and private entities.

a) All candidates concluded that they would not support the transaction with various grounds being identified. The following sets of issues could have been identified:

i. **Regulatory Perimeter**

Some candidates initially focused on the relevance of UK financial law and the scope and competence of the FCA and relevance of the Handbook provisions in this case. It is assumed that Chimera is based in London and holds relevant permissions from the FCA. While the point is unclear, much of the proposed work may be carried out of London with the full application of the FCA Handbook and other civil and criminal provisions. Short reference may have been made to the general prohibition (s19 FSMA), permission requirement (s20 FSMA), authorised persons (s31 FSMA), Part 4A permission (s40 FSMA), approved persons (s59 FSMA) and FIT and COCON. General reference may also have been made to PRIN (and COND) although this may also have been dealt with, with regard to specific points of concern (below).

ii. **Client Classification**

The nature of the client classification of the Republic as well as the President and his nephew could have been commented on.

iii. **Asset Ownership**

A number of immediate concerns arise with regard to the source of assets and beneficial share ownership, including:

a) The President's interest in the IPO;
b) The President's control of the government's 40% stake;
c) The President's other undisclosed private interests;
d) The ownership of proposed future state assets to be disposed of; and
e) The nephew's beneficial interest in any of the assets.

The clear implication is that the President may have misappropriated state assets as part of the IPO or proposed future arrangements with the involvement of his nephew.

iv. **Transaction Structure**

Further concerns arise with regard to the proposed future transaction structure:

a) The complex nature involving sophisticated leasing arrangements;

b) Prepared by the Structured Finance Department within the investment bank;
c) The use of a special purpose vehicle (SPV) in the British Virgin Islands;
d) The lack of information with regard to potential investor groups; and
e) The lack of information with regard to payment arrangements.

Specific product approval issues may arise under the (then) FSA Discussion Paper 11/1 on *Product Intervention* (January 2011) and Feedback Statement 11/03 (June 2011).

v. **Governance and Transparency**

Further concerns arise with regard to governance and transparency arrangements:

a) Lack of local experience in proposed transaction arrangements;
b) Opaque nature of the transactions proposed;
c) Specific request for non-disclosed involvement of President;
d) Presumed exclusion from Parliamentary and other public oversight;
e) Local and international criticism of IPO activities;
f) Lack of proper governance within IPO; and
g) Arguable misappropriation of assets with large profits but with current account deficit.

vi. **Conflicts of Interest**

A number of potential conflicts of interest may arise:

a) The President's involvement with the IPO, including undisclosed private interests and his state position;
b) The involvement of the nephew in the proposed future arrangements;
c) The bank's acting for the President and government;
d) The bank's potential involvement in future IPOs and separate structured finance arrangements;
e) The manager's and the bank's interests with possible compliance procedures and ultimate 'whistle-blowing' under the Public Interest Disclosure Act 1998 (PIDA); and
f) The manager's compliance concerns and project bonus.

vii. **Money Laundering**

A number of separate issues arise with regard to potential money laundering:

a) The President and/or nephew may be involved in having used the IPO or future IPOs and leasing arrangements for money laundering purposes;
b) Enhanced due diligence (EDD) would be required with the President being a 'politically exposed person' (PEP);
c) General 'know your customer' (KYC) compliance;
d) Suspicious Transaction Reporting (SAR);
e) Money Laundering Reporting Officer (MLRO) functions;
f) Money laundering penalties under the Proceeds of Crime Act;
g) Offences under the Money Laundering Regulations (MLR); and
h) Recordkeeping and other regulatory breaches.

viii. **Bribery**

Potential concerns arise under the Bribery Act 2010 in connection with possible corrupt payments made by a commercial organisation, as a Glisten, or under equivalent laws in the Republic.

ix. **Legal Opinions and Tax, Accounting or Regulatory Approval**

The legal opinions obtained as part of the approval process are only concerned with the local law. Confirmation of no separate breach under UK law or regulatory requirements should be considered in addition to general ethical considerations.

No tax, accounting or regulatory approval has been obtained presumably in the Republic and to the extent relevant in the UK. This would include breach of any local or UK company law requirements on IPOs and privatisations.

x. **Regulatory and Ethical Compliance**

All of the above concerns raise significant further dangers of reputational risk and damage to the bank. The bank must also comply with the CISI Code of Conduct as well as breach of other more specific FCA provisions including:

a) Breach of PRIN 1 (integrity), 2 (skill, care and diligence), 3 (management and control), 6 (customers' interests), 7 (communications with clients), 8 (conflicts of interest), 8 (customers' relationship of trust) and possibly10 (client assets) and 11 (regulatory relations);

b) Breach by the firm of SYSC 2 (senior management arrangements), 3 (systems and controls), 4 (organisational requirements), 5 (procedures), 6 (compliance), 7 (risk controls) and 10 (conflicts of interest);
c) Breach of COCON 1 (integrity), 2 (skill, care and diligence), 5 (market conduct), and 3 (regulatory relations); and
d) Possible breach of COND and FIT;
e) Possible breach Suitability (COBS 9);
f) Possible breach Appropriateness (COBS 10);
g) Possible breach of s59 FSMA;
h) Possible liability under s71 FSMA; and
i) Possible liability under s138D FSMA.

b) Further information could be requested on any of the matters of concern referred to above, including:
   i. All beneficial shareholder interests in the IPO;
   ii. All beneficial interests in future privatisations;
   iii. Proposed acquisitions by the President or nephew under future privatisations;
   iv. Accounts for IPO;
   v. Governance arrangements for IPO;
   vi. Proposed income streams for future privatisations;
   vii. Any potential conflicts of interest;
   viii. All relevant money laundering identity and source and application of funds checks;
   ix. Confirmation of no corrupt payments;
   x. Relevant tax approvals;
   xi. Relevant accounting approvals;
   xii. Relevant regulatory approvals from authorities in the Republic and possible legal and regulatory opinion on UK compliance.

c) A number of possible risk mitigation steps may be taken:
   i. Complete full approval process for future work, including obtaining new mandate letter from the Republic;
   ii. Separate work for the Republic and President or nephew on a personal basis;
   iii. Consider separate product approval procedure for proposed structured finance arrangements;
   iv. Ask for possible Executive or Parliamentary confirmation for proposed privatisations to proceed;

v. Confirm beneficial ownership interests in privatised assets with the Finance Ministry and future projected payment streams following IPOs;
vi. Consult with financial and company regulatory authorities in the Republic;
vii. Obtain relevant tax, accounting and regulatory approvals referred to above;
viii. Obtain UK legal opinion;
ix. Discuss any residual concerns with the FCA;
x. Discuss any residual concerns with the CISI.

B33.

The question was loosely based on the circumstances surrounding the conviction of former hedge fund manager Raj Rajaratnam in New York in October 2011. Rajaratnam was fined $92.8m and sentenced to 11 years in prison.

a) The principal concerns relate to possible market abuse under MAR in the form of insider dealing, misuse of information and manipulating transactions as well as possible separate offences of market distortion under Part 7 FSA 2012 and insider dealing under the Criminal Justice Act. Specific concerns arise with regard to:
   i. Being able 'beat' the markets and comparable indexes;
   ii. Public limited companies;
   iii. Time spent with CEOs and CFOs;
   iv. Specific transaction information;
   v. Recurring pattern of activity.

b) The relevant offences, defences and penalties applicable under MAR and Part 7 FSA 2012 should have been provided.

c) Equivalent provisions under the Criminal Justice Act should have been specified with possible cross-reference to Part 7 FSA 2012 (as sub-question 12(b) was concerned with legislation more generally and sub-question 12(c) with criminal law provisions alone).

d) The parallel strategies raised the issue of collusion. This may specifically include the various types of market abuse under MAR. All of the offences are generally also committed where a person acts or requires or encourages another person to engage in market abuse. Part 7 FSA 2012 is specifically extended to include inducing other

persons to act, with insider dealing under the Criminal Justice Act also expressly including encouraging another person to act or disclosing inside information.

e) Relevant internal action may include:
   i. Conducting full review of head partner's actions;
   ii. Reviewing any possible other staff involvement;
   iii. Reviewing any possible client loss;
   iv. Reviewing any possible relevant systems and controls;
   v. Reviewing risk management;
   vi. Reviewing trading procedures;
   vii. Reviewing compliance function and other relevant reporting lines within firm;
   viii. Reviewing approved person arrangements;
   ix. Reviewing training and competence procedures;
   x. Discussing concerns with relevant executive and non-executive committee and possible whistleblowing if necessary under PIDA.

Relevant external action may include:
   i. Notifying FCA of conduct and corrective action taken;
   ii. Contacting any possible clients affected;
   iii. Liaising with any other relevant regulatory or criminal authorities involved in the UK or elsewhere;

B34.

The question raised possible compliance issues with regard to short selling activities in anticipation of a possible collapse in the euro.

a) Relevant issues arise with regard to client classification (COBS 3), communications (COBS 4 and 5), client agreements and disclosures (COBS 6, 8 and 14) as well as possibly suitability (COBS 9) and appropriateness (COBS 10).

b) The manager has an immediate conflict of interest between his own personal desire to receive his bonus and the clients for whom he acts. This also creates a conflict between the manager and the firm. There is also a conflict between the colleague who becomes

aware of the activity and advises you and the manager involved. Conflicts are dealt with SYSC 10 and PRIN 6 and 8.

c) Short selling rules were introduced following the global financial crisis with the (then) FSA's short selling ban continuing until January 2009. Relevant provisions are now set out in FINMAR 2 concerning disclosable short positions of 0.25% or more in the issued capital of a company with ongoing disclosures having to be made through a Regulated Information Service (RIS) by 3.30 on the following business day where the position moves above or below 0.25%, 0.35%, 0.45% and 0.55% and other 0.1% movements. The short selling rules strictly only apply where the manager was taking positions in securities rather than currencies directly.

[Tutor's note: These provisions in FINMAR have subsequently been superseded by the European Short Selling Regulation.]

d) A number of other more general breaches may have occurred of PRIN, SYSC and COCON in addition to the more specific provisions referred in subsection a) above. Reference may also have been made to the reporting requirements (COBS 16) and Client Assets Rules (CASS). The manager may also be liable for market abuse under MAR or Part 7 FSA 2012.

e) Client remedies would depend upon classification. Institutional clients would have limited protections including, in particular, in respect of compensation under COMP or complaints and financial awards under the Financial Ombudsman Service (FOS). Private persons may have an action in damages for breach of any rule under s138D FSMA although this would generally exclude institutional clients. Restitution orders may nevertheless be available under s382 FSMA with specific orders in relation to market abuse available under s383 FSMA.

Other more general remedies would also be available in a court of law. They could only otherwise rely on the FCA's exercise of its other enforcement powers such as through fines or public or private censure although this would not benefit them directly.

B35.

The question was concerned with the design of a compliance programme for client suitability incorporating appropriate ethical elements. This could have been dealt with in a number of ways.

Candidates could have referred to the importance of the compliance and audit functions within a firm and the general functions and responsibilities involved. This could have included the general risks managed although this was not strictly necessary. Specific provision should then have been included with regard to relevant ethical standards and then suitability requirements.

Candidates could have referred to the FCA's general approach to ethics as set out in the draft Code of Ethics in CP09/18, Competence and Ethics document (CP10/12) and the Conduct Rules (COCON). The (then) FSA had issued a Discussion Paper on Ethics in October 2002. Reference may also have been made to Hector Sants' speech on 'Regulatory Culture' in October 2010 and FSA discussion paper on ethics in October 2002. Appropriate principles could also have been incorporated such as using those of the CISI Code.

Specific reference could have been made to particular FCA Handbook provisions concerning client relations and suitability including within PRIN, SYSC and COCON and COBS. Specific reference could also have been made to the FCA's Fair Treatment of Customers (FTOC), Retail Distribution Review (RDR), Consumer Duty (PRIN 12), and similar initiatives.

Each of the key provisions within PRIN, SYSC and COCON concerning client relations should have been outlined and then the detailed requirements imposed under COBS 9 on suitability. These include general provisions (COBS 9.1), suitability assessments (COBS 9.2), guidance (COBS 9.3), suitability reports (COBS 9.4), record keeping and retention (COBS 9.5) as well as special provisions concerning stakeholder products (COBS 9.6), initial disclosure of information (Annex 1) and sales processes (Annex 2). Reference could also have been made to client classification in COBS 3.

B36.

The question raised a number of issues with regard to the promotion of Structured Mortgage Products.

(a) The general provisions applicable with regard to financial promotion should have been outlined. All financial promotions to be approved by an authorised person (s21 FSMA) and financial promotions must be 'fair, clear and not misleading' (s21 FSMA and COBS 4.2).
Relevant client classification provisions may have been referred to determine the nature of the client as either a retail or professional client (COBS 3.4 and 3.5). The following additional Handbook provisions may also have been referred to: retail client communications (COBS 4.5); Past and future information (COBS 4.5); Promotions with an overseas element (COBS 4.9); Approving financial promotions (COBS 4.10).

(b) The cold calling provisions provided for under COBS 4.8 should have been reviewed. These include the application rules (COBS 4.8.1), restrictions on cold calling (COBS 4.8.2) and non-written promotions requirements (COBS 4.8.3). Clients have a right to damages for loss suffered as a result of a breach of rule under s 138D FSMA.

(c) The relevant provisions with regard to product design and approval should have been outlined, such as with regard to New Product Due Diligence (NPDD). New product regulation was dealt with under Discussion Paper 11/1 on Product Intervention in January 2011 and Feedback Statement in 11/3 in June 2012. Products are specifically to be assessed across the whole product cycle, including with a Retail Conduct Risk Outlook Analysis and Business Model and Strategy Analysis (BMSA).

(d) The full range of the FCA's enforcement powers include:

(i) Fines;
(ii) Private or public censure;
(iii) Injunction;
(iv) Varying or withdrawing approval;
(v) Varying or cancelling permission;
(vi) Information gathering;
(vii) Investigations;
(viii) Reports by skilled persons;

(ix) Restitution;

(x) Bankruptcy or insolvency.

(e) Possible remedial action may include:

(i) Carry out a full internal review of the promotions used;

(ii) Confirm all relevant breaches of COBS 4;

(iii) Confirm the number of possible clients affected and losses incurred;

(iv) Contact relevant clients with offers of possible assistance;

(v) Confirm possible applicability of Financial Services Compensation Scheme payments;

(vi) Review any possible relevant Systems and Controls;

(viii) Review Approved Persons arrangements;

(ix) Review Training and Competence procedures;

(x) Notify FCA immediately.

B37.

This question raised a number of issues with regard to the conduct of a broker in a boutique firm in London who attempted to move the price of mining shares immediately before the market closed.

(a) The principal legal and regulatory issues that arose were with regard to possible market abuse in manipulating transactions (MAR) and market manipulation (Part 7 FSA 2012). The clear objective of the conduct was to move the price of the shares to avoid a loss and realise a profit on the Structured Global Depositary Product.

There may have been a separate issue of insider trading either under MAR or the Criminal Justice Act (CJA) in passing information on to the other broker.

A number of separate potential issues arise with breach of PRIN, SYSC and COCON.

(b) All of the relevant offences, defences and penalties applicable under MAR and Part 7 FSA 2012 should have been reviewed with regard to the initial broker.

(c) All of the relevant offences, defences and penalties should have been reviewed with regard to possible insider dealing with regard to the second broker. The first broker may

also have been guilty of a range of behaviours that amount to market abuse. There may also have been a separate element of collusion.

(d) Relevant remedial action may include:

(i) Conducting a full internal review of the conduct of both brokers;
(ii) Reviewing the involvement of any other members of staff;
(iii) Commencing internal disciplinary procedures as necessary;
(iv) Reviewing any possible client loss;
(v) Contacting any other clients affected with offers of possible compensation;
(vi) Liaising with any other relevant regulatory or criminal authorities involved in the UK or elsewhere;
(vii) Notifying the FCA.

(e) Possible corrective action may include:

(i) Reviewing trading practices;
(ii) Reviewing trading limits;
(iii) Reviewing trading teams' oversight;
(iv) Reviewing relevant Systems and Controls;
(v) Reviewing risk management in the trading unit;
(vi) Reviewing disciplinary procedures;
(vii) Reviewing the compliance function and other relevant reporting lines within firm;
(viii) Reviewing the Approved Person arrangements;
(ix) Reviewing training and competence procedures.

B38.

This question raised a number of difficulties with regard to the conduct of a retiring non-executive director in dealing with senior staff within a regulated firm and with the FCA. The question could have been dealt with in a number of different ways. Candidates should generally have identified the principal regulatory and ethical issues that arose and then have commented on each of the four possible response options referred to.

Bob had been specifically engaged to prepare an internal report on Customer Due Diligence (CDD) that identified possible failings, although without any confirmation of

disadvantage or financial crime. Initial reference could have been made to the need to verify customer identity (ID) and collect relevant 'know your customer' (KYC) information under the Money Laundering Regulations 2007. This may either be carried out on a standard CDD, Simplified Due Diligence (SDD) or Enhanced Due Diligence (EDD) basis with additional requirements applying in regard to continuing monitoring.

The failure by the Board Chairman (and Chairman of the Audit Committee) as well as by the Chief Executive to consider the findings contained in the report seriously raised a number of potential breaches of PRIN (1,2,3,6,7,8,9,10 and 11), SYSC (6,7,10 and 18) and COCON (1,2,3, 5, and senior manager rules) as well as potentially COND and FIT. Reference could also have been made to certain COBS including COBS 3 (client classification) and COBS 9 (suitability).

In terms of relevant ethical provisions, reference could have been made to the FSA's / FCA's general approach to ethics (Discussion Paper October 2002) and draft Code of Ethics (CP09/18), Competence and Ethics document (CP10/12) and the Conduct Rules (COCON). Reference may also have been made to the earlier speeches by Howard Davies and Hector Sants' speech on 'Regulatory Culture' in October 2010. Members of the CISI are also subject to the eight principles set out in its Code of Conduct.
Candidates should then have commented on each of the four possible conduct options listed.

a) No Response
   Making no response as a former non-executive director, approved person and member of the CISI cannot be considered a credible option. Former approved persons can be held responsible for their conduct for up to three years. Notification of Bob's resignation would presumably have been given to the FCA on Form C.

b) Informal Meeting
   While agreeing to attend an informal meeting with Guy may appear to be a credible option, especially in cooperating with the regulator authority under PRIN 11 and COCON 3, Bob is no longer a member of staff, Guy has not approached him formally and potential conflicts of interest arise with Guy appearing to have been a former member of staff of the regulated firm concerned. Potential

difficulties also arise with regard to continuing contractual confidentiality obligations even after Bob has left the firm.
Bob could agree to meet Guy although this would have to be on a formal basis with any information being provided in response to formal requests under relevant statutory powers and preferably with, at least, one other member of the FCA staff present including from the firm's line management team within the FCA.

c) Departure Over Policy Disagreement
Informing Guy that Bob had left over a policy disagreement is a possible option as this is accurate in fact and invites Guy subsequently to approach the firm formally and ask for additional disclosure and information on the nature of the disagreement which would have revealed the difficulties over the lack of proper treatment of the findings of the CDD report.

The issue does arise as to whether Bob should have taken more action before resigning. He had nevertheless discussed the matter with the Chief Executive directly (and the Chair of the Audit Committee) and the Board although he could strictly have referred the matter separately to compliance. As there was no actual evidence of customer disadvantage or financial crime, there did not appear to have been any offence committed in connection with money laundering failure to disclose.

Comment could have been made on the fact that Kevin was Chair of the Board and of the Audit Committee which may be considered to amount to a conflict and undermine his ability to carry out both roles adequately.

d) Whistleblowing under the Public Interest Disclosure Act 1998 (PIDA) and SYSC18
Whistleblowing may also appear to have been an attractive option, although the question states that Bob would initially have had to state that no issues had arisen which would have been inaccurate, with whistleblowing generally being used by current rather than former members of the staff. This may have been relevant if Bob was looking for reinstatement, although this is not referred to in the facts provided. If Bob was considering whistleblowing, his could have been affected while he was still at the firm. There is also an issues as to whether there was sufficient evidence of wrongdoing and impropriety, although Bob is principally

concerned with the manner in which his report was considered by the Chief Executive, Board and Audit Committee.

The most attractive option then may appear to have been c) on the basis of the limited information provided, subject to further formal action being taken by the FCA. Bob could discuss the matter with the CISI or with a solicitor if he wished to obtain independent advice.

B39.

The question generally reflected the facts surrounding the $1.9b (£1.17b) fine of HSBC by US authorities in relation to activities in Mexico involving criminal groups in Colombia and Russia. This raises a number of issues with regard to potential money laundering and group controls. Other banks, such as Credit Suisse, ING and Standard Chartered have also been fined for alleged breach of US sanctions against Iran, Libya and other countries.

a) Immediate concerns arise with regard to potential money laundering and the funding of terrorist activity. Relevant factors include:
   (i) the press reports of alleged money laundering activities;
   (ii) possible earlier investigations;
   (iii) unidentified account holders;
   (iv) the possibly large sums of money involved;
   (v) the recurrent nature of the transactions;
   (vi) the unknown source of the monies concerned;
   (vii) the unknown destinations of the transfers;
   (viii) the geographic location of the branch.

b) All of the relevant money laundering offences, penalties and defences should have been outlined for the full four marks. The principal UK money laundering offences under Part VII of the Proceeds of Crime Act 2002 (PCA) include Concealing (s 327), Arranging (s 328) and Acquisition, Use and Possession (s 329) as well as attempting, conspiring or inciting to commit any such offence (s 340(11)(a) and (b)). Money laundering includes aiding, abetting, counselling or procuring the commission of any of these offences (s 340(11)(c) and (d)). Other relevant

provisions under the Money Laundering Regulations 2017 as well as the Joint Money Laundering Steering Group (JMLSG) Guidance Notes as well as FCA policy statement requirements could have been referred to.

c) The separate anti-terrorist breaches may have occurred under the Terrorism Act 2000, Anti-Terrorism Crime and Security Act 2001 and Counter-Terrorism Act 2008, including relevant regulations issued under Schedule 7 CTA, should have been referred to. Reference may also have been made to US sanctions including equivalent provisions under the US Patriot Act. Staff should be directed to confirm all relevant outstanding US laws and regulations to avoid substantial penalty. Private rights of action for damages may also be available under s138D FSMA.

d) A number of potential breaches arise under SYSC (including SYSC 6) and PRIN (1,2,3,6,9, AND 11) with the FCA being able to impose a full range of sanctions including public or private censure, financial penalty, restriction of permission and ultimate withdrawal of authorisation. Private rights of action for losses suffered as a result of breach of a rule may also be available under s138D FSMA. The FCA may separately prosecute firms for breach of criminal laws such as money laundering under ss401-422 FSMA. Specific requirements with regard to group systems and controls are imposed under SYSC 12 although these would not strictly apply in the present case as this is a branch and not a subsidiary operation.

e) Action could be taken within the firm with regard to each of the following:

(i) Commission a full review of the regional manager's actions;
(ii) Review possible involvement of other staff in the local office or elsewhere;
(iii) Review the effectiveness of local money laundering control systems;
(iv) Confirm the identity and effectiveness of the MLRO functions with regard to branch and group levels;
(v) Review all other local and group systems and controls;
(vi) Review risk management;
(vii) Review compliance function and other relevant reporting lines at front and group level;
(viii) Review approved person arrangements;

(ix) Review training and competence procedures;

(x) Discuss concerns with relevant executive and non-executive and audit committees.

Relevant external action would also include.

(i) Notifying FCA of conduct and corrective action taken;

(ii) Contacting any possible clients affected;

(iii) Liaising with any other relevant regulatory or criminal authorities including in the UK or elsewhere and attempting to agree early settlement where possible to avoid higher potential fines.

B40.

The fact pattern raises a number of issues similar to those involved with the management of the corporate portfolio at HBOS immediately before the financial crisis and the responsibility of the senior personnel involved. Although this is now quite an old question, it is still valuable as an example as to how the examiner likes to set questions around 'hot topics' from the real world. You are also advised to read through the commentary provided as useful 'background knowledge' on these topics.

a) A number of potential breaches of PRIN (1,2,3,4,6,7,8,9,10 and 11) and SYSC (4,5,6,7,9,10,11 and 12) could have been committed by the bank and of COCON by the manager. Relevant provisions of COND (and especially 2.4 and 2.5) and FIT (2.1, 2.2 and 2.3) could also have been breached as well as in relation to training and competence and TC.

b) Conflicts of interest may specifically have arisen between the bank and the holders of client investment accounts, some of which funds were used to support the portfolio. A more general conflict may also be considered to have arisen between the property portfolio division and the banks' clients more generally in light of the potential instability and risk of closure created. It may also be argued that a conflict arises between the manager's remuneration entitlements and client interests. Conflicts of interest must be managed under SYSC 10 with the firm maintaining an effective conflict of interest policy (under SYSC 10.1) including declining to act,

Chinese walls, independence and disclosure. The specific issues that have arisen may also be dealt with through strengthening the firm's CASS controls and remuneration policy (paragraph c) below) and improving its compliance culture more generally.

c) Relevant provisions with regard to remuneration are now set out in the FCA's Remuneration Code which is included within SYSC 19A. Firms are generally required to implement and maintain remuneration procedures and practices that are consistent with and promote sound and effective risk management (SYSC 19A.2.1) with a number of more specific remuneration principles being imposed on banks, building societies an investment firms (SYSC 19A.3 principles 1-12 and 12(a)-(h)). As much relevant detail as possible should have been provided within the time available. Candidates may have noted that the Code generally only came into effect from January 2011 with earlier provisions being governed by the general provisions imposed under the High Level Standards.

d) The full range of sanctions may be available against the firm including public or private censure, financial penalty, restriction of permission and ultimate withdrawal of authorisation. Interim remedies include injunctions (s380 FSMA) with the FCA also having power to apply for restitution orders (ss382-386 FSMA). Private rights of action for losses suffered as a result of breach of a rule may also be available (s138D FSMA). Relevant factors for consideration include the nature and seriousness of the breach, the conduct of the firm and previous regulatory infractions. Reference may also have been made to the FCA's credible deterrence policy on enforcement adopted since 2007.

e) Individuals are subject to a fine or public or private censure or possible restitution orders. Approval may also be varied or withdrawn where a person is no longer fit and proper to conduct a controlled function. Withdrawal of approval must be referred to the Regulatory Decisions Committee (RDC) which will serve a warning notice and then a decision notice, with the person concerned being able to refer the matter to the Tax and Chancery Chamber of the Upper Tribunal. A number of factors should be taken into account in determining whether withdrawal is appropriate and the size of any fine imposed. Specific issues relevant in the particular case concern the extent to which the Head of Corporate Banking acted with the full knowledge and possible support of other senior managers and the

Board despite the concerns expressed by the Risk Committee. Individuals should also be treated in a consistent manner with individual, selective and disproportionate penalties being avoided.

B41.

The fact pattern reflects the issues that have arisen with regard to a number of major international firms concerning the possible criminal and regulatory enforcement action in connection with manipulation of benchmark rates including specifically LIBOR and EURIBOR.

a) The principal regulatory offence that arises is with regard to possible breach of Part 7 FSA 2012 concerning market manipulation. The relevant offences should have been referred to including dishonestly or recklessly making any statement that is false or misleading, or dishonestly concealing any material facts. It also applies where any person commits any act, or engages in any course of conduct which creates a false or misleading impression as to the market in, or the price or value of, any investment. Relevant defences and penalties should also have been referred to. These provisions would nevertheless generally not apply in the present case as they are only concerned with 'relevant investments' which would not include benchmark rates as such. Reference may also have been made to other possible offences in connection with common law or statutory fraud conspiracy.

   [Tutor's note: Manipulation of benchmarks is now covered by new provisions in s.91 FSA 2012.]

b) The most relevant civil provision would be market abuse and possibly either manipulating transactions or manipulating devices or dissemination. Relevant defences and penalties could have been referred to including relevant due diligence defences. This would nevertheless again not apply to the extent that it only covers 'qualifying investments' traded on prescribed markets.

c) FCA information gathering and investigatory powers are dealt with under ss165-176 FSMA. The FCA has power to require any authorised person, appointed representatives and certain other persons to provide it with relevant information, reports or other documents. The FCA may appoint an investigator possibly in

collaboration with other agencies or overseas authorities. The FCA can require persons under investigation (and connected persons) to attend for questioning. The FCA can enter premises and obtain a court warrant where necessary. It is a criminal offence to falsify, conceal, destroy or dispose of any relevant document (s177 FSMA) subject to two years imprisonment or an unlimited fine. The FCA may also apply for an injunction to restrain or prohibit any person from breaking a rule or other requirement (s380 FSMA).

d) A number of relevant provisions of PRIN and SYSC may have been breached. Specific requirements also apply with regard to group systems and controls under SYSC 12. Firms must, in particular, ensure that they have adequate, sound and appropriate risk management processes and internal control mechanisms for the purpose of assessing and managing its own exposure to group risk, including sound administrative and accounting procedures, and that ensure that the group has adequate, sound and appropriate risk management processes and internal control mechanisms at the group level (SYSC 12.1.8R). Specific provisions apply with regard to financial conglomerates and banks and investment firms under BIPRU with additional risk management requirements (SYSC 12.1.11-12, 13-15 and 18-22).

e) The firm must make full disclosure to and co-operate fully with the FCA and all other relevant UK and overseas authorities. It should conduct its own internal reviews and investigations into possible breaches and internal systems and controls, governance, reporting and record keeping failures. It should implement any necessary internal changes with immediate effect. It should consider the recommendations of any external review reports, such as the Wheatley Review in September 2012, and make any relevant internal adjustments as necessary. It should suspend any staff involved and commence appropriate disciplinary action conditional upon any separate external action being taken. It should investigate the extent to which any specific customers may have suffered loss or injury and consider contacting them and making appropriate compensation offers, although this may again be dependent upon continuing external investigatory action.

B42.

This question raised a number of difficult issues with regard to the conduct of staff members working in separate analysis and advisory departments within an investment bank. Bert is a high-tech analyst while Ernie works in Mergers & Acquisitions advisory with the question focusing on the firm's treatment of a young tech company Whizzo, in which Ernie owns shares and is potentially assisting acquire a separate technological company.

a) Candidates were asked to explain the relevant concerns from a compliance perspective. One candidate initially explained the function of compliance and the responsibilities of the compliance officer. The principal issues that arose were then concerned with PRIN, SYSC and COCON generally, conflicts of interest (SYSC 10.1), Chinese walls (SYSC 10.2), personal account dealing (COBS 11.7), investment research (COBS 12) as well as potential insider dealing, market abuse and misleading statements and impressions (ss 89 and 90 of FSA 2012). Relevant factual factors included:

   (i) Bert and Ernie were from separate departments and discussing client business outside the office;
   (ii) They should have been aware of and respected the firm's conflicts of interest policy (SYSC 10.10 R);
   (iii) The situation appeared to fall outside the ‘effective organisational and administrative arrangements’ that the firm is required to maintain to manage conflicts of interest (SYSC 10.1.7 R);
   (iv) Ernie encouraged Bert to ‘take a closer look’ at Whizzo without disclosing his share interest;
   (v) It is initially unclear whether Ernie knows that Bert covers the stock although this is implied with the reference to suggesting that Bert reconsiders the stock;
   (vi) Ernie also fails to disclose his conversation with the company's CEO;
   (vii) It is unclear whether Ernie has acquired any inside information although this still raises ethical rather than strictly regulatory or legal issues;
   (viii) Bert considered that he may be conflicted having learnt that the bank is to advise Whizzo on the acquisition;
   (ix) Bert only learns about this from the press rather than internally;
   (x) Bert has to reconsider whether he can provide an independent research opinion;

(xi) The firm's potential failure to comply with PRIN;
(xii) The firm's potential failure to comply with SYSC;
(xiii) Bert and Ernie's potential failure to comply with COCON;
(xiv) Potential failure of the firm's reporting lines;
(xv) Potential failure of board responsibility;
(xvi) Potential liability of the firm and of Bert and Ernie.

b) No clear information is provided as to whether any civil or criminal offences have been breached with the question only referring to offences that may apply. These are specifically concerned with insider dealing (CJA 1993), market abuse (MAR) and misleading statements and impressions (ss 89-90 FSA 2012). The question asked for relevant offences and defences. Reference may also have been made to breach of PRA or FCA Handbook rules under s 138D (1) and (2) FSMA as amended (formerly s 150) which create actions for damages.

c) Sub-section (c) refers to other ethical behaviour apart from statutory and regulatory considerations. Regulatory issues (including PRIN, SYSC and COCON) should strictly have been dealt with under (a) although a number of candidates discussed these in further detail in (c). Specific difficulties arise with regard the firm under PRIN 1 (integrity), 2 (skill, care and diligence), 3 (management and control), 5 (market conduct), 6 (customers' interest), 7 (client communication), 8 (conflicts of interest), 8 (relationship of trust), and regulatory relationship (11) as well as SYSC 2 (senior management arrangements) and 3 (systems and controls) as well as 4 (organisation requirements), 5 (skills, knowledge and expertise), 6 (compliance), 7 (risk control) and 10 (conflicts of interest).

Bert and Ernie may also be approved persons with Ernie falling within CF 30 (customer function) with a number of possible breaches of COCON. Reference has already been made to personal account dealings (COBS 11.7) and investment analysis (COBS 12).

Specific facts raising issues of concern from an ethical perspective are:

(i) Discussion client's position in a social situation;
(ii) Ernie's lack of disclosure of interest;
(iii) Ernie's unapproved discussions with the client CEOs;

(iv) Ernie's personal dealing and lack of compliance with the PAD (personal account dealing) rules;
(v) Ernie's attempt to influence Bert to his advantage;
(vi) Ernie's attempt to benefit himself even if there has been no strict breach of insider dealing, market abuse or misleading statements or impressions rules;
(vii) Possible breakdown of the firm's management systems and controls in such a case.

Reference could also have been made to the Chartered Institute for Securities & Investment's (CISI) Code of Conduct including Principle 1 (acting honestly and fairly at all times), 2 (integrity), 3(observance of applicable law, regulation and professional conduct standards), 4 (market integrity in dealings), 5 (conflicts of interest), 6 (professional confidence) and 7 (upholding the highest personal standards).

Candidates could have referred to the FSA's earlier general approach to ethics and to restatements by the PRA and FCA that they will attempt to enforce high ethical standards in their approach documents. Reference could also have been made to the Parliamentary Commission on Banking Standards' report on ‘Changing banking for good’ (12 June 2013).

d) Bert has not committed any regulatory breach or offence as such. He would nevertheless be advised to:
(i) Contact his line manager to disclose all of the relevant facts immediately;
(ii) Discuss any outstanding issues with compliance;
(iii) Ask compliance to take any necessary legal advice if considered appropriate;
(iv) Ask to be recused from preparing the revised report on Whizzo;
(v) If Bert is asked to prepare the report, carry this out in an independent and objective manner;
(vi) Attempt to ensure compliance with all of the relevant requirements in COBS 12.2 on investment research although this is strictly a firm obligation;
(vii) Request to be given additional training;

(viii) If Bert remains dissatisfied with the advice given by his line manager or compliance, contact Human Resources and obtain independent advice within the firm such as from one of the Non-Executive Directors;

(ix) If Bert is still dissatisfied with the advice given, contact the FCA or CISI including using the Public Interest Disclosure Act (whistle blowing) procedures provided for under SYSC 18;

(x) If Bert is still dissatisfied, seek independent legal advice.

e) It is not clear whether Ernie has breached any specific regulatory or statutory obligations although he has clearly acted in his own self-interest and in an unethical manner. Ernie would be advised to:

(i) Disclose everything to his line manager immediately;

(ii) Make full separate disclosure to compliance;

(iii) Ask compliance to take legal advice to the extent necessary to confirm whether or not he had breached any statutory requirements, in particular, on insider dealing, market abuse or misleading statements;

(iv) Ask to be removed from acting on the acquisition by Whizzo;

(v) Ensure compliance the firm's PAD policy including disposal of the shares in Whizzo to the extent necessary;

(vi) Disgorge any profit considered to have been earned unethically;

(vii) Ensure compliance with the firm's conflicts of interest policy in future;

(viii) Request to be given additional training.

B43.

The question raised the issue of making an application to act as a bank under the new regulatory regime that came into effect on 1 April 2013. This raises specific issues with regard to the respective responsibilities of the PRA and FCA and their operational relations. As a US parent bank is involved, the facts could have raised EU passporting issues although this was not referred to in any of the specific sub-questions asked.

a) Authorisation is dealt with under s 31 FSMA. Authorisation is made available to persons holding a Part 4A permission, EEA qualifying firms under Schedule 3, Treaty firms qualifying under Schedule 4 or any person who is otherwise authorised under the FSMA (s 31 (1) (a) - (d) FSMA). Applications for Part 4A

permission are now made under s 55A FSMA to the appropriate regulator (s 55A (2)). Firms subject to PRA regulation are set out in the FSMA 2000 (PRA-regulated Activities) Order 2013 (SI 2013/556) and include banks, insurance companies, designated investment firms, credit unions and building societies. Applications are made to the PRA directly with firms having to satisfy the threshold conditions set out in Schedule 6 FSMA. New firm authorisations are dealt with on the PRA website. The PRA is required to consult with the FCA with applications being determined within six months of receipt of the complete application or 12 months of receipt of an incomplete application.

b) The FCA is responsible for the prudential regulation of all firms not subject to PRA regulation and the for conduct regulation of all firms of whatever type. A bank will become a dual regulated firm subject to PRA and FCA oversight. The FCA includes a separate section on banking applications on its website with separate PDFs on 'The Banking Authorisations Process' (including Options A and B which assist firms raise investment or capital or set up infrastructure) and 'Banking Authorisations Applicant Journey'.

c) The FSA Handbook has been split between the PRA and FCA with a separate Combined Handbook also being available (on http://fsahandbook.info/). The PRA and FCA both have rule making and the FCA guidance powers (ss 137A-T and 139A-B FSMA as amended). The PRA Handbook consists of the High Level Standards (PRIN, SYSC, COCON, FIT, FINMAR, GEN and FEES), Prudential Standards (GENPRU, BIPRU, INSPRU, MIPRU, IPRU-FSOC, IPRU-INS and IPRU-INV), Business Standards (COBS), Regulatory Processes (SUP), Redress (COMP), Specialist sourcebooks (BSOCS and CREDS) and Regulatory Guides (BSOG). All of the other sections within the FSA Handbook are now included within the FCA Handbook as revised. The Treasury is to specify by order the regulated activities falling within the responsibility of the PRA under s 22A FSMA as amended which was given effect under The Financial Services and Markets Act 2000 (PRA-regulated Activities) Order SI 556/2013.

[Tutor's note: This part of the answer has now been superseded by the development of a separate PRA Rulebook.]

d) The separate objectives and functions of the FCA and PRA are set out in ss 1A-O and 2A-M FSMA as amended with joint provisions being set out in ss 3A-O FSMA as amended. The regulators are to ensure the coordinated exercise of their functions (s 3D) and to enter into a Memorandum of Understanding (MOU) setting out the terms on which they will operate together (s 3E). The MOU covers their respective roles and responsibilities (arts 3-5), information sharing (9-12), confidentiality (13-15), policy and rule-making (16-20), firm authorisation and individual approval (21-25), supervision of firm subject to dual regulation (26-31), overseas firms (37-38), UKLA coordination (39- 42), regulatory processes and enforcement (43-53), unauthorised regulated activities (54-55), financial crime (56-57), agency coordination (58-60), fees (61-63), cross-board positions (64) and maintenance (65-67).

The Treasury may by order specify the boundaries between the FCA and PRA responsibilities (s 3G FSMA). The PRA may require the FCA to restrain from certain action (s 3H FSMA) and may revoke an FCA direction (s 3I FSMA) with the PRA being required to consult with the FCA on the giving of directions (s 3J FSMA). Separate provisions apply on the consolidated supervision of groups (ss 3KN). The FCA and PRA are required to cooperate with the Bank of England.

e) Complaints are to be considered by a Complaints Commissioner. Complaints cover any act or omission including mistakes or lack of care, unreasonable delay, unprofessional behaviour, bias or lack of integrity. Complaints should be made within 12 months of the date on which the complainant first became aware of the relevant circumstances. Complaints must be made in a durable medium. Regulators must acknowledge receipt of complaints within five business days of receipt and complete their investigation within four weeks or write to the complainant setting out a reasonable alternative timetable.

B44.

The question was based on the facts surrounding the Galleon Group hedge fund which formerly managed $7 billion in assets before its closure in October 2009. Its lead manager, Raj Rajaratnam, was found guilty on 14 charges of fraud and insider trading in May 2011 and received 11 years in prison.

a) The facts raised potential concerns with regard to insider trading and market abuse under the CJA and MAR. It is less likely that there were any issues of misleading impressions or statements under ss 89-90 FSA 2012. The facts do not clearly indicate that any offences have been carried although the trader has referred the matter to compliance to consider. Relevant facts include:

   (i) Large trade volumes although this has to be expected as part of the trading and prime brokerage services provided for a hedge fund;
   (ii) The rumours of merger talks and potential imminent merger;
   (iii) The contact between the manager and CEO and CFO of the firms concerned;
   (iv) The profits that the hedge fund would earn;
   (v) The banking group's involvement as provider of trading and brokerage services for the fund and its potential involvement in any offence;
   (vi) The group's potential financial liability;
   (vii) The firm's potential reputational damage.

b) The relevant offences involved insider dealing under CJA 1993 and market abuse under MAR. The conditions for each of the offences and relevant penalties and defences should have been reviewed. Specific points to highlight are that insider dealing covers direct dealing and encouraging another to do so (either the manager or CEO or CFO at either firm), disclosing inside information (by the CEO and CFO), the securities covered (which requires a regulated market with the nature of the trading instructed unclear), nature of the information involved, inside source and territorial scope. The CEO and CFO may also have been guilty of improper disclosure.

   Relevant market abuse issues include the need for the activity to be with regard to financial instruments traded on a regulated market, MTF or OTF. UK establishments are also required to disclose suspicions of abusive trades to the FCA under MAR and avoid tipping-off as with money laundering.

   Separate concerns may arise under the Bribery Act 2010 (BA 2010) which came into effect on 1 July 2011. This covers active bribery, passive bribery, bribing a foreign official and failure to prevent bribery.

c) Potential criminal provisions apply in respect of insider dealing under CJA 1993. Explain relevant offences defences and penalties.

d) A number of provisions of PRIN, SYSC and COND may have been breached by the firm and COCON and FIT by the individuals involved. Detail relevant provisions.

e) The following action could have been considered by the trader:

(i) Act on any instructions given by compliance following full disclosure;
(ii) Possibly ask to be removed from acting if there are continuing concerns;
(iii) If the trader remains dissatisfied with the advice given by compliance, obtain independent advice within the firm such as from one of the Non-Independent Directors;
(iv) If the trader is still dissatisfied, contact the FCA or CISI including under the Public Interest Disclosure Act (whistle blowing) procedures provided for under SYSC 18;

Firm relevant remedial action may include:

(i) Conduct an internal review of the previous or related transactions;
(ii) Notify the FCA and criminal investigation authorities;
(iii) Liaising with any other relevant regulatory or criminal authorities involved in the UK or elsewhere;
(iv) Consider withdrawing from acting if necessary to avoid potential involvement and liability;
(v) Take legal separate advice if necessary.

B45.

This question provided a case study related to anti-money laundering systems and controls in relation to safeguard facilities.

a) While not a regulatory requirement, conducting an annual AML audit serves as a proactive measure to ensure compliance with AML regulations and to mitigate the risks associated with financial crime. The FCA's Financial Crime Guide outlines the

need for firms to establish and maintain effective systems and controls to counter the risk of financial crime, including money laundering and terrorist financing. An annual AML audit can provide the bank with assurance that the EMI is adhering to these regulatory requirements by systematically reviewing its policies, procedures, and operational practices. The audit provides an independent assessment of the effectiveness of the EMI's AML framework, ensuring that it complies with the FCA's standards. The financial sector is constantly evolving, with new risks and threats emerging regularly. An annual AML audit allows the EMI to identify and address vulnerabilities in its systems and controls. By regularly auditing its AML practices, the EMI can adapt to changes in the regulatory environment and respond to new typologies of financial crime. This continuous improvement process is essential for managing risks effectively and ensuring that the EMI is not exploited by criminals. An annual AML audit also benefits the EMI, by enhancing the oversight function within the EMI and keeping senior management appraised of the firm's AML practices. It ensures that the senior management and board are fully aware of the institution's AML performance and are taking appropriate actions to address any deficiencies. This level of oversight is critical for maintaining a strong culture of compliance and for demonstrating to regulators that the EMI is committed to preventing financial crime.

For the bank providing safeguarding services to the EMI, the annual AML audit serves as a crucial line of defence. It ensures that the EMI is not engaging in practices that could expose the bank to financial crime risks. By requiring the EMI to conduct an annual AML audit and reviewing the audit reports, the bank can gain assurance that its partner is compliant with AML regulations and that the funds it holds are not linked to illicit activities. This practice helps to protect the bank from regulatory penalties, reputational damage, and potential legal liabilities. The audit fosters transparency and accountability within the EMI by ensuring that all aspects of its AML framework are scrutinised and reported on. This transparency helps to build trust with stakeholders, including customers, regulators, and business partners, who rely on the EMI to conduct its operations ethically and in compliance with the law. Finally, the audit process is helpful in driving continuous improvement within the EMI. By identifying gaps and areas for enhancement, the audit provides a roadmap for strengthening the firm's AML framework. This ongoing refinement

helps the EMI stay ahead of potential threats and maintain a robust defence against financial crime.

b) Failing to enforce robust AML controls can expose a bank to severe legal and reputational risks, which could have long-lasting consequences. The FCA requires banks to implement and maintain adequate systems and controls to prevent money laundering and terrorist financing. By not having sight of the EMI's AML arrangements, the bank may be in breach of its obligations under SYSC 6.1.1R and SYSC 3.2.6R, which could result in significant regulatory sanctions. These could include financial penalties, restrictions on the bank's ability to operate, or even the revocation of licences for severe breaches. The FCA has the authority to impose substantial fines, which not only affect the bank's financial stability but also its operational capabilities. A failure to enforce AML controls could trigger heightened scrutiny from regulators. The bank may face more frequent inspections, audits, and demands for detailed reports on its AML practices. This increased scrutiny can strain the bank's resources, both financially and operationally, as it attempts to demonstrate compliance in the face of regulatory concerns. Additionally, a history of non-compliance can lead to a loss of the regulator's trust, making it more challenging for the bank to gain approvals for new products or services in the future. If the EMI, under the bank's safeguard facilities, engages in money laundering activities due to inadequate AML controls, the bank could be held legally liable. Investors, customers, or third parties who suffer losses due to the bank's failure to prevent money laundering might pursue legal action, seeking damages for negligence. This could lead to costly litigation, further financial losses, and additional strain on the bank's resources. In some cases, senior executives could also face personal liability if it is found that they were negligent in their duties to enforce AML controls.

A bank's reputation is one of its most valuable assets. If the public or clients perceive that the bank is not taking its AML responsibilities seriously, it could lead to a significant loss of trust. Clients may withdraw their funds and move their business to more reputable institutions, leading to a decline in the bank's customer base and revenues. Additionally, potential clients may choose to avoid the bank, fearing that it may be involved in or susceptible to financial crimes. The media plays a critical role in shaping public perception. If the bank's failure to enforce

AML controls leads to a money laundering scandal, it could attract widespread negative media coverage. This not only damages the bank's reputation but can also influence investor sentiment, potentially leading to a decline in stock prices and market value. The negative publicity could also have a long-term impact, making it difficult for the bank to recover its reputation even after corrective actions are taken. The bank's relationships with key stakeholders, including regulators, investors, and business partners, could be severely damaged if it is found to be lax in enforcing AML controls. Regulators may become more cautious and impose stricter requirements on the bank, while investors might lose confidence in the bank's ability to manage risks effectively. Business partners, such as other financial institutions, may reconsider their associations with the bank to protect their own reputations, leading to a potential loss of strategic alliances and partnerships. The consequences of failing to enforce AML controls can also extend to the bank's day-to-day operations. The need to address regulatory concerns, manage legal actions, and restore its reputation can divert significant resources away from the bank's core business activities. This diversion can hinder the bank's ability to innovate, expand, and compete effectively in the market. Moreover, the internal culture of the bank may suffer, with employees becoming disengaged or demoralised if they perceive that ethical standards are being compromised. Waiving the requirement for an annual AML audit could therefore have far-reaching legal and reputational consequences for a bank.

c) Senior management plays an important role in the effectiveness of a firm's AML compliance programme. Their involvement is crucial for setting the tone at the top, ensuring that AML policies and practices are prioritised, adequately resourced, and effectively implemented across the organisation. The FCA's Financial Crime Guide emphasises the importance of senior management in actively overseeing financial crime risks, which includes AML compliance. Senior management is responsible for establishing a robust governance framework that supports AML compliance. This includes setting clear expectations for compliance, creating accountability structures, and ensuring that there is a dedicated team or department responsible for AML activities. Senior leaders must also ensure that there is effective communication between the board, management, and operational teams regarding AML issues.

When senior management is actively engaged, it signals to the entire organisation that AML compliance is a critical priority, which fosters a culture of vigilance and responsibility. One of the key responsibilities of senior management is to ensure that sufficient resources – both financial and human – are allocated to the AML programme. This includes investing in advanced technology for transaction monitoring, employing skilled personnel for compliance roles, and providing ongoing training for all employees. Without adequate resources, even the most well-designed AML programme can fail. Senior management's commitment to providing these resources reflects the institution's dedication to preventing money laundering and complying with regulatory standards. Senior management must be actively involved in the ongoing assessment and management of AML risks. This includes reviewing and approving the institution's AML risk assessments, ensuring that the institution's risk appetite aligns with its AML policies, and regularly monitoring the effectiveness of the AML controls. Their oversight helps to identify emerging risks and ensures that the AML programme adapts to changing regulatory requirements and threat landscapes.

When senior management is disengaged, the institution may fail to recognise or respond to new risks, leading to potential breaches in compliance. The presence of senior management in AML oversight is essential for fostering a culture of compliance within the organisation. They are accountable not only to regulators but also to shareholders and customers for the institution's conduct. By leading by example, senior management can instil a strong ethical culture where compliance is embedded in the daily operations of the institution. Conversely, a lack of engagement from senior management can lead to a culture of complacency, where AML compliance is seen as a box-ticking exercise rather than a fundamental component of the institution's operations. Senior management plays a critical role in maintaining positive relationships with regulators. They are often the primary point of contact in regulatory discussions and are responsible for ensuring that the institution meets all regulatory expectations. Active engagement with regulators helps to build trust

and can lead to more constructive regulatory interactions. If senior management is not engaged, the institution may struggle to meet regulatory expectations, leading to more frequent inspections, stricter oversight, and potential sanctions. When senior management is not actively involved in overseeing AML compliance, the effectiveness of the programme can be severely compromised. A lack of leadership can result in insufficient resources, poor risk management, and a weak compliance culture. This disengagement can increase the institution's vulnerability to money laundering, resulting in regulatory penalties, reputational damage, and financial losses. Furthermore, disengaged senior management may fail to respond appropriately to regulatory changes or emerging threats, leaving the institution exposed to significant risks.

d) In addition to due diligence, ongoing monitoring, transaction monitoring, and screening, the audit should focus on several other critical elements to ensure the EMI has a robust financial crime framework in place, including:

- **Business-Wide Risk Assessment –** The audit should evaluate whether the EMI has conducted a comprehensive business-wide risk assessment that identifies and assesses the risks of financial crime across all areas of its operations. This includes understanding the nature, scale, and complexity of the EMI's business and the risks posed by different types of customers, products, and services. The risk assessment should be regularly updated to reflect changes in the business environment and emerging threats.
- **Management Information (MI) –** The quality and effectiveness of the management information used by the EMI to monitor and manage financial crime risks should be assessed. MI should provide senior management with timely, accurate, and relevant data on the institution's exposure to financial crime risks and the effectiveness of its AML controls. This includes information on suspicious activity reports, transaction monitoring alerts, and the outcomes of due diligence checks.
- **Suspicious Activity Reporting (SAR) –** The EMI's procedures for identifying, reporting, and escalating suspicious activities should be reviewed to ensure the EMI has clear, documented processes for filing SARs with the

appropriate authorities in a timely manner and that staff are adequately trained to recognise and report suspicious transactions. The audit should also verify that SARs are appropriately logged and that management is informed of significant reports.

- **Training and Awareness –** The effectiveness of the EMI's AML training programmes should be evaluated. This includes ensuring that all employees, from frontline staff to senior management, receive regular training on AML policies, procedures, and the latest typologies of financial crime. The audit should verify that the training is tailored to the specific risks faced by the EMI and that it equips staff to effectively carry out their AML responsibilities.
- **Governance and Oversight –** effectiveness of the EMI's governance and oversight structures in managing financial crime risks should be assessed. This includes evaluating the role of the board and senior management in setting the tone at the top, providing oversight, and ensuring that AML controls are adequately resourced and enforced. The audit should also verify that there are clear lines of accountability, and that senior management is actively engaged in AML risk management.
- **Incident Reporting and Record-Keeping –** The EMI's processes for reporting financial crime incidents and maintaining records should be reviewed. This includes ensuring that incidents are promptly reported to the relevant authorities, that records are kept in accordance with regulatory requirements, and that there is a clear audit trail for all AML-related activities.
- **Technology and Systems –** The adequacy of the EMI's technology and systems used for AML compliance should be evaluated. This includes assessing the effectiveness of transaction monitoring systems, the accuracy of screening tools, and the ability of the EMI's systems to detect and prevent financial crime. The audit should also ensure that the EMI's technology is regularly updated to address new threats and that any system deficiencies are promptly addressed.

By focusing on these additional elements the audit can provide a comprehensive evaluation of the EMI's financial crime framework, ensuring that it is capable

of effectively managing the risks associated with money laundering and other financial crimes.

B46.

The question relates to the money laundering and anti-terrorist financing as well as possible bribery concerns that may arise with regard to the establishment of a new Digital Internet Bank (DIB) by a famous branded travel company.

a) Immediate concerns arise with regard to:

(i) The large new potential client base;
(ii) The global coverage of the travel group's client base which may be transferred to DIB and involve potential money laundering, terrorist financing or bribery activities;
(iii) The expected absence of any previous money laundering checks;
(iv) Expected lack of any FATF list checks;
(v) Absence of any branch structure as the DIB is an internet bank;
(vi) Absence of any personal or face to face contact with customers;
(vii) New licence and absence of previous experience or expertise in operating as a bank;
(viii) New licence and absence of any previous expertise in managing money laundering, antiterrorist financing and bribery compliance;
(ix) Potential systems and controls challenges;
(x) Potential language difficulties;
(xi) Potential breach of other overseas regulatory and criminal provisions including in the US;
(xii) Ability to secure compliance with COND, PRIN, SYSC and COCON and FIT in the UK.

b) The principal offences with regard to money laundering, anti-terrorist financing and bribery should have been noted including relevant penalties and defences.

c) The company will have to set up specific anti-money laundering, anti-terrorist financing and anti-bribery systems and controls. Specific money laundering

obligations would apply with regard to CDD, KYC and EDD. As much detail as possible should have been provided.

d) The DIB must also ensure full compliance with COND, PRIN, SYSC, COCON and FIT as noted. Specific systems and controls requirements on identifying, assisting, monitoring and managing money laundering are imposed under SYSC 6.3.1R.

e) The firm is required to report any suspicious transactions to the authorities although it must not alert (tip-off) the customers concerned. The matter will be dealt with the MLRO. The transactions involved should be frozen during the period of notification.

B47.

The question was based on the recent LIBOR offences uncovered in the UK, US and elsewhere. The question is concerned with oil contract rates although the same principles would apply.

a) Concerns arise with regard to the following:

(i) Inappropriate requests made manipulate reported rates;
(ii) Commission of offence of making false or misleading statements by the submitter with regard to a relevant benchmark under s91 FSA 2012;
(iii) Commission of offence of creating a false or misleading impression by the oil trader as to the price or value of any investment contrary to s91 (2) FSA 2012;
(iv) Possible market abuse contrary to MAR;
(v) Possible separate misleading statements or impressions contrary to ss89-90 FSA 2012;
(vi) Conflict of interest between the trader and submitter;
(vii) Conflict of interest between the firm and clients or other market counterparties affected by the manipulation of the benchmark rate;
(viii) Defective supervision;
(ix) Defective systems and controls;

(x) Breach of the Remuneration Code in SYSC 19A;
(xi) Possible breach of specific COBS;
(xii) Defective Chinese Walls between separate departments;
(xiii) Breach of a number of PRIN by the firm;
(xiv) Breach of a number of provisions of SYSC by the firm;
(xv) Breach of COCON by the trader, submitter and two other dealers;
(xvi) Weak compliance.

b) The principal statutory prohibition would be on market abuse under MAR. This applies with regard to insider dealing, improper disclosure, breach of reasonable market behaviour, false or misleading impression, use of fictitious devices, dissemination of false information or other similar behaviour. The FCA may impose appropriate penalties. The courts may impose a penalty on the request of the FCA (s129 FSMA). Various statutory defences and safe harbours are available.

c) New offences relating to the issuance of misleading statements in relation to benchmarks were created under s91 and Part 7 FSA 2012. Two offences are introduced in respect of a person making a statement in relation to the setting of a relevant benchmark knowing that the statement is false or misleading and a person who acts or engages in a course of conduct creating a false or misleading impression as to the price or value of an investment or the interest rate appropriate to the transaction which is relevant to the setting of the benchmark (s91 (1) and (2) FSA 2012).

Defences are available in relation to stabilisation rules, control of information rules and EU buy-back programmes and financial instrument stabilisation (s91 (4)). A person is liable on summary conviction to up to 12 months imprisonment or ten years on indictment or a fine or both.

[Tutor's Note: The penalties have been increased to ten years under FSA 2021.]

d) Separate regulatory breaches may apply with regard to:

(i) Breach of PRIN 1, 2, 3, 5, 6, 8, 9 and 11;

(ii) Breach of SYSC 2, 3, 4, 5, 6, 7, 10, 18 and 19A;
(iii) Breach of COND 2, 4 and 5;
(iv) Breach of COCON 1, 2, 3 and 5 as well as possibly COCON senior manager rules with regard to the controlled function of setting benchmarks;
(v) Breach of FIT 1, 2 and 3.

e) Relevant penalties include:
(i) Variation of Part 4A permission;
(ii) Withdrawal of authorisation;
(iii) Withdrawal of approval in respect of the trader, submitter and other dealers;
(iv) Public or private censure;
(v) Financial penalty;
(vi) Prohibition order;
(vii) Restitution order;
(viii) Investigation and information requests;
(ix) Approved persons reports.

f) The firm should consider:

(i) Immediately suspend the trader and submitter;
(ii) Conduct an internal review of the immediate conduct;
(iii) Review any previous transactions carried out by the trader and submitter and other traders and submitters;
(iv) Review benchmark setting procedures;
(v) Review systems and controls;
(vi) Review Chinese Walls;
(vii) Review conflicts of interest, policy and controls
(viii) Review escalation procedures;
(ix) Review record-keeping procedures;
(x) Review wider compliance functions;
(xi) Confirm whether any clients or other counterparties suffered loss and offer appropriate compensation arrangements;

(xii) Notify and cooperate fully with the FCA and other regulatory and police authorities.

(xiii) Review general firm compliance with PRIN, SYSC, COND, COCON and FIT.

B48.

a) As of 29 July 2024, significant changes have been made to the listing rules for the London Stock Exchange (LSE) aimed at enhancing the flexibility and attractiveness of the UK's capital markets. Key changes include:

• The previous distinction between the Premium and Standard listing segments has been removed. There is now a single listing segment that streamlines the requirements and focuses on high corporate governance standards without the need for dual requirements.

• The minimum free float requirement has been reduced from 25% to 10%. This change is designed to make it easier for companies to list by allowing them to retain a larger portion of their equity.

• The eligibility criteria for listing have been simplified, with a focus on ensuring companies have sufficient working capital and governance structures in place rather than meeting complex financial thresholds. This includes the removal of the requirement for a three-year track record for eligibility.

• The new rules allow for dual-class share structures (DCSS) for a period of up to 10 years, which can enable founders or major shareholders to retain control of the company even after it is publicly listed.

• There are increased disclosure requirements around environmental, social, and governance (ESG) factors, reflecting the growing importance of sustainability in investment decisions. Companies are now expected to provide more detailed information on their ESG practices and impacts.

These changes aim to attract more companies to the LSE by reducing the complexity of the listing process while maintaining high standards of transparency and corporate governance.

b) A prospectus is the document prepared in connection with an application for admission of securities to trading on a UK regulated market or an offer of securities

to the public in the UK pursuant to the Prospectus Rules. The prospectus serves as the primary source of information for investors, enabling them to make informed decisions regarding their investments. A prospectus is mandatory when a company proposes to make a public offer of securities. A public offer is defined as any communication to the public, in any form, that provides sufficient information on the terms of the offer and the securities to be offered, allowing an investor to decide to purchase or subscribe to those securities. This applies whether the offer is made to retail or institutional investors, ensuring that all potential investors receive adequate information. A prospectus is also required when securities are to be admitted to trading on a regulated market like the LSE. The prospectus must be approved by the FCA before the securities can be admitted to trading. The purpose of the prospectus in this context is to ensure that investors are fully informed about the company's business, financial position, and the risks associated with the securities being listed.

There are specific exemptions where a prospectus may not be required. For instance, offers made exclusively to qualified investors, such as financial institutions or large corporations, are exempt from the prospectus requirement. This is because these investors are deemed capable of assessing the risks associated with the investment without the need for the detailed information typically provided in a prospectus. Offers with a total consideration of less than €8 million over a 12-month period are also exempt from the prospectus requirement. This threshold is intended to reduce the regulatory burden on smaller companies seeking to raise capital without compromising investor protection. Offers made to fewer than 150 persons per EEA state (excluding qualified investors) also qualify for exemption. This allowance facilitates more streamlined fundraising processes for private companies or limited-scale offerings. The prospectus must comply with the content and format requirements set out in the UK Prospectus Regulation. This includes presenting information in a structured and consistent manner, covering key areas such as the company's business model, financial statements, risk factors, and details of the offering. The prospectus should be written in clear, concise language, avoiding jargon and ensuring that it is accessible to a wide range of investors. The FCA expects the prospectus to be comprehensive yet digestible, providing investors with all the necessary information to make an informed decision. Before the prospectus can be published, it must be submitted to

and approved by the FCA. The approval process involves a thorough review to ensure that the document meets all regulatory requirements and provides a true and fair view of the company and the securities being offered. Companies and their directors are legally accountable for the accuracy and completeness of the information contained in the prospectus. Any material misstatements or omissions can lead to significant legal consequences, including fines, sanctions, and potential civil liability from investors who suffer losses as a result of relying on the misleading information.

c) The contents of the prospectus are governed by the UK Prospectus Regulation and must be clear, comprehensive, and presented in a manner that is easily understandable by investors. The prospectus should begin with a thorough description of the company's business, including its history, core activities, principal products or services, and markets served. This section should provide an overview of the company's operational structure, including any subsidiaries, and its position within the industry. Information about the competitive environment in which the company operates, including key competitors and the company's market share, should be included. This helps investors understand the company's strategic positioning and the external factors that may impact its business. The risk factors section must outline all the significant risks associated with the company's business, industry, and the securities being offered. This includes operational risks, financial risks, market risks, legal and regulatory risks, and any other factors that could materially affect the company's performance or the value of the securities.

The FCA requires that risk factors are presented prominently and in a way that reflects their importance. Risks should be described clearly and concisely, without downplaying their potential impact. Investors should be able to easily understand the nature and magnitude of the risks involved. The prospectus must include audited financial statements covering at least the last three financial years, or since the company's incorporation if it has been operating for less than three years. These statements should provide a comprehensive view of the company's financial health, including its balance sheet, income statement, and cash flow statement. The prospectus should provide

management's analysis of the company's financial performance over the reporting period. It should include a discussion of significant trends, events, or uncertainties that have affected or are expected to affect the company's financial condition and results of operations. If the company has undergone significant transactions, such as mergers or acquisitions, or if it is planning to do so, pro forma financial information may be required. This information shows how the company's financial statements would have looked if the transaction had occurred at an earlier date. The prospectus must provide detailed information about the company's directors and senior management, including their qualifications, experience, and roles within the company. This section should also disclose any potential conflicts of interest and the mechanisms in place to manage them. The prospectus should include information on the company's governance framework, including its board committees, internal controls, and policies on executive remuneration, risk management, and ethical conduct. The prospectus must clearly outline the terms and conditions of the securities offering, including the type and number of securities being offered, the offer price, and the offer timetable. The company must explain how it intends to use the funds raised from the offering. This could include specific projects, debt repayment, capital expenditures, or general corporate purposes. The prospectus should include information about any regulatory approvals that the company requires or has obtained in connection with the offering or its business operations. This might involve licensing, environmental permits, or compliance with industry-specific regulations. Any ongoing or pending legal proceedings that could have a material impact on the company's financial position or operations must be disclosed.

Given the increasing importance of ESG factors in investment decisions, the prospectus should include information on the company's environmental, social, and governance practices. This might cover areas such as sustainability initiatives, workforce diversity, community engagement, and corporate responsibility. The prospectus should also address how ESG factors impact the company's business and what strategies it has in place to manage ESG-related risks and capitalise on opportunities. This information is increasingly critical for investors who are focused on sustainable and responsible investing. The prospectus should explain the

company's dividend policy, including its historical dividend payments (if applicable) and future dividend plans. Investors need to understand how the company intends to return value to shareholders. Information on the company's capital structure, including its current indebtedness and any plans to raise additional capital, should be provided. This helps investors assess the company's financial leverage and its ability to service debt. For companies listing securities, the prospectus should include information about the market where the securities will be traded, including details on the trading currency, market practices, and any special considerations for investors.

B49.

The fact pattern was concerned with the compliance issues that may arise for firms involved with foreign exchange markets and exchange rate setting. This follows the LIBOR scandal and separate concerns with regards to possible gold market fixing. Revised provisions were introduced on misleading statements and impressions with regards to benchmark setting under the FSA 2012.

a) The principal statutory provision on benchmarks is now set out in s91 FSA 2012. This creates two specific offences of making a false or misleading statement to another person in connection with benchmark setting arrangements or acting or engaging in a manner that creates a false or misleading impression as to the price or value of an investment or the most appropriate interest rate (s91(1) and (2) FSA 2012). Defences apply with regard to price stabilisation and control of information rules and buy-back programmes. A person found guilty of the offence is liable for up to ten years imprisonment or a fine on indictment. Reference may also have been made to the more general offences of making a misleading statement or impression under ss89 and 90 FSA 2012.
[Tutor's Note: The penalties have increased to ten years under FSA 2021.]

b) Separate offences may have been committed under MAR on market abuse depending upon the particular circumstances. This may, in particular, have included such behaviour as improper disclosure, misuse of information, manipulating transactions, dissemination or misleading behaviour or distortion.

c) A number of provisions of FCA PRIN (1, 2, 3, 5, 6, 8, 9 and 11), PRA FR, SYSC (2, 3, 4, 5, 6, 7, 10, 18 and 19A), COCON (1, 2, 3 and 5 as well as possibly the senior manager rules), COND (2, 4 and 5) and FIT (1, 2 and 3) may have been breached with the full range of regulatory penalties applying. These would principally relate to integrity, systems and controls, organisation, compliance and well as the Remuneration Code in SYSC 19a.

d) The head of foreign exchange and firm could consider:

(i) conduct of internal review into activities of the bank's foreign exchange traders;
(ii) review relations with traders and other firms under investigation to ensure no firm involvement;
(iii) consider possible disciplinary action with regard to any traders involved in any of the activities referred in (i) or (ii) above;
(iv) investigate any potential client losses with regard to any affected transaction;
(v) review benchmark setting procedures;
(vi) review systems and controls;
(vii) review conflicts of interest policy and control;
(viii) review recordkeeping procedures;
(ix) review wider compliance functions;
(x) review any relevant escalation procedure to the extent relevant;
(xi) review reporting lines and governors' functions.

e) The firm is required to cooperate with the authorities under PRIN 11, PRA FR 7 and COCON 3. The firm may, in particular, consider:

(i) discussing any concerns with the regulators following the internal reviews conducted;
(ii) explaining all of the internal action carried out to the firm's principal line supervisor;
(iii) review board oversight of foreign exchange operations;
(iv) ensure that specific director has operational responsibility for the firm's foreign exchange operations:

(v) ensure that foreign exchange operations monitored by non-executive directors;
(vi) confirm internal training with regard to compliance with internal benchmark setting arrangements;
(vii) review internal whistle blowing procedures with regards to internal staff reporting;
(viii) consider reporting any instances of criminal activity or conduct contrary to regulatory provisions involving other firms to the regulators.
(ix) review remuneration policy in light of findings;
(x) review firm's ethics policy with regard to findings.

B50.

The question raised a number of issues with regards to the governance structure of an asset management firm within a larger corporate group. This involves a combination of governance, conflicts, regulatory and other ethical considerations.

a) The governance arrangements raised a number of immediate concerns:

(i) The chief executive officer (CEO) acts as CEO and head of finance and risk management;
(ii) The position of the chief operating officer (COO) has remained vacant for an uncertain period;
(iii) While the point is not confirmed, finance and risk management may have reported separately to the chief operating officer (COO) rather than CEO;
(iv) Attendance by the executive directors at asset management company meetings is irregular with only two directors having been appointed;
(v) The asset management company only has one non-executive director;
(vi) There is no remuneration policy committee and presumably no separate statement of remuneration policy.
(vii) The CEO was apparently able to secure the awarding of a 30% pay increase for himself without any apparent performance review or discussion;

(viii) The asset management company holds a client account with another subsidiary company with regular client order flow being placed through the account;

(ix) The CEO is a majority shareholder in the parent company of both the asset management company and the separate stock broking firm.

The governance structure of the asset management company and group can accordingly only be described as being weak. Specific regulatory concerns then arise with regard to:

(i) FCA PRIN 1 (integrity), 2 (skill, care and diligence), 3 (management and control), 4 (financial prudence), 6 (customers' interest), 7 (client communication), 8 (conflicts of interest), 10 (client asset protection) and 11 (regulatory relationships);

(ii) SYSC 2 (senior management arrangements), 3 (systems and controls), 4 (general organisational requirements), 6 (compliance and internal audit), 7 (risk control), 10 (conflicts of interest), 12 (groups risk systems and controls), and 19A (remuneration code);

(iii) COND 2.7 (business model);

(iv) COCON 1 (integrity), 2 (skill, care and diligence);

(v) FIT 2.1 (honesty, integrity and reputation), 2.2 (competence and capability) and 2.3 (financial soundness);

(vi) Possibly TC 2 (competence) and 3 (recordkeeping);

(vii) CASS 1.A (oversight responsibility), possibly 6 (custody rules) and 7 (client money rules).

Separate issues may arise with regard to money laundering controls and the apparent absence of any MLRO as well as market abuse and insider dealing controls.

b) The question refers to separate ethical breaches apart from the statutory and regulatory matters already referred to in (a) above. No specific answers were expected. Relevant issues may have included:

(i) The general attitude of the CEO to regulatory compliance;

(ii) The general culture of the firm in terms of weak governance and compliance;
(iii) The potential dominance of the CEO in managing the firm's affairs;
(iv) The potential conflicts of interest between the firm and clients in using the separate stock broking subsidiary;
(v) The potential losses suffered by clients through intra-group order flow;
(vi) The potential client loss with client accounts being held by a separate subsidiary within the group;
(vii) The apparent lack of disclosure of the order flow activity and separate client account with the group subsidiary;
(viii) The lack of disclosure of the CEO's majority shareholding in the group parent company;
(ix) The absence of a remuneration code;
(x) The absence of any effective non-executive committee or non-executive director oversight;
(xi) The lack of involvement of executive directors in regular board matters;
(xii) The more general perception of a lack of care for client interests and assets;
(xiii) Apparent lack of concern with conduct risk;
(xiv) Apparent lack of concern with potential regulatory damage and risk.

Reference may also have been made to additional provisions within, for example, the CISI Code including with regard to acting honestly and fairly at all times (CISI 1), avoiding reputational damage (CISI 2), observance and compliance (CISI 3), conflicts (CISI 5), professional competence (CISI 6) and possibly failing to act with the highest personal and professional standards (CISI 8).

c) A number of potential conflicts of interest may have been identified including between:

(i) The CEO and other members of the firm in terms of pay aggravated by the absence of a separate remuneration policy committee and remuneration policy;
(ii) The asset management company and clients in connection with order flow through separate subsidiary company without apparent disclosure;

(iii) The asset management company and separate subsidiary with clients with the holding of client accounts with the separate subsidiary without apparent disclosure;

(iv) The possible lack of independence between the asset management company and separate subsidiary;

(v) Possible control exercised by the CEO over activities of the group and of the separate subsidiary companies to client detriment.

d) Reports by skilled persons may be commissioned (s166 FSMA) in connection with any matter in relation to which information or the production of documents could be requested (s165 FSMA).
Information or documents may be requested in connection with the exercise by an authority of any functions conferred by or under the Act (s165 (4) FSMA). The report may then cover any of the matters referred to in (a) or (b) above including specifically:

(i) Potential breach of PRIN 1, 2, 3, 4, 6, 7, 8, 10 and 11 (from sub-section (a) above);

(ii) Potential breach of SYSC 2, 3, 4, 6, 7, 10, 12 and 19A;

(iii) Potential breach of COND and COND 2.7;

(iv) Potential breach of COCON 1, 2, 3 and FIT 2.1, 2.2 and 2.3 as well as TC 2 and 3;

(v) Potential breach of CASS and CASS 1.A and 6 and 7;

(vi) Potential breach of specific COBS;

(vii) Other potential governance failures;

(viii) Absence of a remuneration committee and remuneration policy;

(ix) Apparent absence of any conflicts of interest policy;

(x) Other potential conduct risk and compliance failures and consequent client damage to clients.

e) Firms are required to deal with the authorities in an open and cooperative manner and to provide all reasonably expected information (FCA PRIN 11 and PRA FR 7). Appropriate remedial action should be taken and fully reported to the authorities. This may include:

(i) Reviewing the firm's governance arrangements especially with regard to CEO role and function;
(ii) Appointing a COO and separating the finance and risk management from CEO function;
(iii) Reviewing the firm's systems and controls;
(iv) Reviewing the firm's remuneration policy;
(v) Reviewing the conduct of executive functions within the firm;
(vi) Reviewing the conduct of non-executive functions within the firm;
(vii) Reviewing risk management policy and function;
(viii) Reviewing firm's internal audit policy and function;
(ix) Reviewing compliance policy and function;
(x) Reviewing compliance with PRIN, SYSC, COND, COCON and FIT;
(xi) Reviewing compliance with CASS and client money arrangements;
(xii) Reviewing the firm's training and policy function under TC;
(xiii) Possibly ensuring appropriate disclosure of CEO's shareholding under relevant Listing and Disclosure Guidance and Transparency Rules (DTR) as necessary;
(xiv) Reviewing the firm's conduct risk policy and environment;
(xv) Reviewing the firm's ethics policy and environment;
(xvi) Reviewing recruitment policy and HR;
(xvii) Reviewing conflicts of interest policy and disclosure arrangements;
(xviii) Reviewing wider group arrangements especially with regard to client account management;
(xix) Reviewing compliance with the Skilled Persons Report;
(xx) Cooperating closely with the regulatory authorities under PRIN 11 and COCON 3.

B51.

The question raised issues with regard to the use of a high frequency trading (HFT) facility to dispose of otherwise unsellable government debt. New provisions were introduced under MiFID II on HFT and algorithmic trading. This specifically requires authorisation of proprietary trading through HFT facilities, market making arrangements, order to trade

(message) ratios, tick (volume) sizes and venue pricing to ensure transparent, fair and non-discriminatory fees. Rather than raise regulatory issues directly, the question was concerned with different forms of market manipulation.

a) The principal potential offences are concerned with misleading statements and impressions (ss89-90 Part 7 FSA 2012). These apply with regard to the making of false or misleading statements or creating a false or misleading impression as to the market, price or value of relevant investments. Penalties are provided under s92 with up to ten years imprisonment or a fine or both with specific defences included under ss89 and 90. As much detail as possible should have been provided in the time available.

[Tutor's Note: The penalties have increased to ten years under FSA 2021

b) The FCA may impose penalties on market abuse under MAR including with regard to manipulating transactions, manipulating devices, dissemination and misleading behaviour and market distortion.

c) Acting on the information received may amount to dealing on inside information contrary to MAR or insider dealing under the Criminal Justice Act 1993. Relevant defences and penalties could have been provided although not specifically referred to.

d) Disposing of the debt through the HFT facilities which another client has paid for separate access to may constitute a conflict of interest contrary to PRIN 8 and SYSC 10. Firms are required to identify all conflicts of interest between the firm and its clients or between clients under SYSC 10.1.3R with guidance on the types of conflicts covered provided in SYSC 10.1.4R. Firms have to keep a record of conflicts (SYSC 10.1.6R) and maintain and operate effective organisational and administrative arrangements to manage conflicts (SYSC 10.1.7R) or disclose the conflicts to the client (SYSC 10.1.8R) with a separate conflicts of interest policy also being produced (SYSC 10.1.10R). Chinese walls are provided for although these are not relevant in this case (SYSC 10.2).

e) Regulated firms are required to deal with regulators in an open and cooperative manner and disclose anything that the regulator would reasonably expect notice of under PRIN 11 and PRA FR7. The investment bank could specifically consider:

(i) Undertaking an internal review of the request made by the bond desk;
(ii) Considering any appropriate disciplinary action;
(iii) Reviewing compliance arrangements, in particular, to ensure that the firm maintains appropriate systems to prevent market manipulation, market abuse and insider trading or other benchmark offences;
(iv) Reviewing reporting arrangements;
(v) Reviewing whistleblowing procedures;
(vi) Reviewing training under TC;
(vii) Reviewing whether the client suffered any loss and make appropriate disclosure and compensation as necessary;
(viii) Providing a full report on all action taken to the FCA.

B52.

The question raised a number of issues with regard to the conduct of a sales broker and the responsibility of a co-broker. Candidates were required to identify relevant issues, regulatory and ethical requirements, implementing firm policies and procedures and comment on the options available to the co-broker.

Candidates had to identify the risks generated by William's behaviour. This was principally concerned with identifying the facts that raised issues from a compliance and ethical perspective. Candidates could also have referred to the FCA's conduct risk framework or to background papers on financial ethics. They could also have referred to the nature of risk and compliance more generally.

Relevant procedures should have been identified. Alana essentially had four choices in terms of taking no action, discussing the matter with William, raising concerns within all of the relevant office procedures or taking the matter outside the firm. Candidates were invited to discuss the relative advantages and disadvantages of each. Candidates then had to decide on the most appropriate action.

a) Candidates were asked to identify the relevant risks. This could have been dealt with in a number of ways with no specific answer being required. Candidates could have identified relevant factual concerns that may have presented risks to the individuals involved and the firm, the specific regulatory and ethical provisions that may have been breached or the more general financial risks involved as discussed in the CISI Regulation & Compliance workbook.

Relevant issues from the facts provided that may be of concern include:

(i) No specific difficulties may arise with regard to the dinner as this was for friends and acquaintances rather than clients;
(ii) Reference to the 'all-expenses paid trip' to a golf tournament appears unusual for a sales broker;
(iii) Commission payments outside the grade scales for the new client;
(iv) The possible connection between the golf trip and new client commission rates;
(v) The reference to 'under the radar' suggests that whatever is involved is outside approved firm policies and procedures;
(vi) The possible validity in terms of firm policy of the separate 'boys group' holiday to New York and its connection with the other matters raised;
(vii) William's apparent failure to disclose the gift or benefit;
(viii) The possibility of previous misconduct by William including failure to disclose earlier gifts or benefits;
(ix) Possible damage to the new client relationship;
(x) Potential regulatory breaches of PRIN, SYSC, COCON, FIT, COND, COBS and TFC;
(xi) Possible misappropriation of funds from the new client by William to fund the golf trip;
(xii) Possible breach of conduct by Alana through failure to disclose;
(xiii) Possible regulatory sanctions against the firm;
(xiv) Possible reputational damage to the firm.

The specific regulatory and ethical provisions that may have been breached include:

(i) PRIN (integrity), PRIN 2 (skill, care and diligence), PRIN 3 (management and control), PRIN 6 (customers' interests), PRIN 7 (client communications), PRIN 8 (conflicts of interest), PRIN 9 (customers' trust) and PRIN 11 (regulatory relationship);

(ii) SYSC 2 (senior management arrangements), SYSC 3 (systems and controls), SYSC 4 (general organisation requirements), SYSC 5 (employees), SYSC 6 (compliance), SYSC 7 (risk control), SYSC 10 (conflicts of interest) and SYSC 19a (Remuneration Code);

(iii) Threshold conditions s41(2) and (Schedule 6 FSMA) and COND (Suitability);

(iv) COCON 1 (integrity), COCON 2 (due skill, care and diligence), COCON 5 (market conduct), COCON 3 (regulatory relationship);

(v) FIT (honesty, integrity and reputation and competence and capability);

(vi) Possible breach of COBS 11 (use of dealing commission);

(vii) Possible breach of Treating Customers Fairly outcomes;

(viii) Possible breach of CASS through misappropriation of client funds;

(ix) Breach of FCA conduct risk policy;

(x) Breach of FCA ethical policy;

(xi) Breach of CISI Code of Conduct including CISI 1 (act honestly and fairly), CISI 2 (integrity), CISI 3 (regulatory observance), CISI 4 (market integrity), CISI 5 (conflict of interest), CISI 6 (professional competence), CISI 7 (decline to act) and CISI 8 (highest personal and professional standards).

Candidates may also have referred to the specific risks that William's activities created. These include credit, market and liquidity risk, investment risk, operational risk, enterprise risk, business risk and corporate governance and risk oversight. Reference may have been made to the ten principles imposed under the BIS paper on Compliance and the compliance function in banks (April 2005) and the MiFID new compliance function requirements and the MiFID Implementing Directive and relevant European Securities and Markets Authority (ESMA) guidelines in 2012 although this was not necessary.

Candidates may also have referred to possible enforcement action by the FCA outlining all possible investigatory and other penalties that may have been imposed.

b) The three most important firm policies and procedures were possibility on Gifts and Inducements, Remuneration and Conflicts of Interest (with the question having three marks). The full range of relevant policies and procedures may have included:

(i) Gifts and Inducements Policy (including limits and reporting requirements);
(ii) Remuneration Code;
(iii) Conflicts of Interest Code;
(iv) General Compliance Manual;
(v) Client Commission Rate policy;
(vi) Treating Customers Fairly policy;
(vii) Conduct Risk policy;
(viii) Bribery and Corruption Act policy;
(ix) Systems and Controls (SYSC) policy;
(x) Governance policy (if separate);
(xi) Suitability and Appropriateness policy (if separate);
(xii) Training policy;
(xiii) Mentoring policy (if separate from Training);
(xiv) Disciplinary policy;
(xv) Whistleblowing policy (under the Public Interest Disclosure Act 1998 (PIDA));
(xvi) Reporting policy;
(xvii) Commission Rate policy (if separate);
(xviii) Compliance policy;
(xix) CISI Reporting or Speak Up policy.

c) Alana may consider taking, at least, four principal courses of action (with the question having four marks) although these may include various sub-alternatives:

(i) Take no action;
(ii) Discuss the matter with William;
(iii) Refer the matter to her Line Manager, failing which escalate this through the Compliance Department and then Non-Executive Directors (NEDs) or Audit Committee;

(iv) Whistleblowing under the PIDA including referring the matter to the FCA or CISI.

Alana may also want to take independent legal advice. No fixed answer was necessary.

d) Candidates may have discussed the advantages and disadvantages of the options they identified in different ways. The principal issues that arise include:

(i) Take no action;
Alana is an approved person (presumably CF30 (Customer-dealing function)) and cannot responsibly take no action. She does not appear to carry out a significant management or governing function although she cannot support or condone misconduct. Her team is specifically known for its supportive culture and positive working environment. She should support the firm's overall conduct risk management and compliance function. She may also be considered to be involved if no separate action is taken. Former approved persons can also be held responsible for conduct for up to three years. She should, at minimum, try to obtain further information as to whether any misconduct has been carried out by William.

(ii) Discuss the matter with William;
Alana may wish to discuss the matter with William although it has to be expected that he may deny any wrongdoing. This would nevertheless give William the opportunity to explain his conduct and possibly take any remedial action such as by reporting the gift or correcting the commission rate. Alana may consider this appropriate as William is popular within the team. He was also her mentor which may include some personnel responsibility within the firm. It may also be the case that no misconduct was involved.

(iii) Refer the matter to a line manager or compliance;
Alana may always report any matter to her Line Manager although as the team is supporting and as William is popular, it is possible that Alana

and William have the same Line Manager who may not wish to take any action. Alana should be aware of this and if she reports the matter to her Line Manager, follow-up to ensure that some action is taken, at minimum, to confirm that no misconduct has been involved. Alana can discuss the matter with her Line Manager in confidence if she does not wish William to know due to their friendship and close working relationship.

Alana can consider escalating the matter if no action is taken by the Line Manager by reporting it to Compliance and if no action is taken by Compliance to one of the NEDs or the NED Co or Audit Committee. This will ensure that the appropriate personnel within the firm have been properly and fully advised and that appropriate action should be taken. Escalating the matter immediately would nevertheless generally be inappropriate as the firm's proper procedures should be followed first. While formal investigations and possible disciplinary action may damage William's reputation within the firm and possibly result in his eventual dismissal, this may also confirm that no misconduct has been involved. Alana should be entitled to ask for any enquiries and investigations to be conducted in a confidential manner with William not knowing that she reported the matter and to avoid any recrimination within the team or within the wider firm.

(iv) Refer the matter to the CISI or FCA;

Alana can always consider external reporting under the PIDA with the FCA being a ‘prescribed Person’ under the Act. The FCA attempts to ensure that the anonymity of whistleblowers is protected unless released by the whistleblower or required by court. The FCA policy with regard to whistleblowers is set out in its statement on ‘How we handle disclosures from whistleblowers’ (February 2015) with Whistleblowing being dealt with on the FCA website at http://www.fca.org.uk/site-info/contact/whistleblowing.

Alana may also consider referring the matter to the CISI. The CISI has specifically promoted its own ‘Speak Up’ policy which was launched on 22 September 2014. The five checks referred to consist of ‘See,

Prepare, Evaluate, Act and Keep trying'. CISI also refers to 'four steps to Speak Up' consisting of informal disclosure, formal disclosure, regulatory disclosure and public disclosure. These are set out in CISI, Speak Up (2015) and http://www.cisi.org/speakup.

e) Alana would be advised initially to try to obtain some further information to confirm whether her suspicions have any basis or not. If this indicates that there may have been some misconduct, she may refer this to her Line Manager (HR) on a confidential basis. She should ensure that some further enquiries and investigations are conducted to confirm whether any misconduct has been involved. If no action is then taken, she should escalate through Compliance and the NED Co or Audit Committee failing which she should refer the matter to the CISI and FCA. Separate public disclosure may be considered although in practice this would be unlikely especially if the CISI and FCA were already involved.

B53.

The question raised a number of issues with regard to potential money laundering concerning an overseas foreign exchange trading firm operating through a UK subsidiary. A new client wishes to use business to business (B2B) funds transfer procedures with eight different source brokers within the City of London. The country of origin of the client is listed as a High Risk jurisdiction and the money laundering function has been outsourced to the overseas headquarters. Earlier guidance on banks' responsibility with regard to money laundering was, for example, set out in FSA, Banks' management of high money-laundering risk situations (June 2011).

Candidates should have identified the factual points that raised concerns from a money laundering and compliance perspective. Relevant offences, defences and penalties should have been listed. The nature of the FATF three stages of layering, placement and integration should have been explained. Additional money laundering enquiry and oversight requirements should have been noted and the most appropriate action to be taken by the firm explained.

a) Initial concerns arise with regard to the following:

(i) Satisfaction with core know your customer (KYC) and other Money Laundering and Terrorist Financing requirements;
(ii) The original source of the funds involved;
(iii) The need for the funds to be diverted through eight different brokers;
(iv) The use of B2B business funds transfer (possibly to avoid anti-money laundering detection);
(v) The adequacy of the AML controls carried out by the other brokers involved;
(vi) The High Risk jurisdictional status of the new client;
(vii) The size of the initial transfer and possible future transfers;
(viii) The adequacy of the firm's AML compliance procedures in its headquarters;
(ix) Possible AML breaches within the UK;
(x) Possible breach of other FSMA regulatory requirements in the UK;
(xi) Possible breach of other Terrorist Financing controls in the UK and abroad.

b) The full range of relevant offences, defences and penalties under the Proceeds of Crime Act should have been noted including assistance (ss327-329 POCA 2002), failure to report (ss330-332), tipping off (s33A POCA 2002 as amended) and prejudicing an investigation (s342 as amended). The principal offence was possibly concerned with concealment. Revisions to the POCA were made under the Serious Organised Crime and Police Act 2005 with separate reference possibly being made to reporting under s21A Terrorism Act 2000 and to the Bribery Act 2010. A Consolidated List of persons and countries against whom financial sanctions are in place is maintained by HM Treasury and the Joint Money Laundering Steering Group (JMLSG) with separate lists of uncooperative jurisdictions being managed by the Financial Action Task Force (FATF) which should be consulted.

c) The FATF refers to the three stages of money laundering as consisting of placement, layering and integration. Each of these should have been explained. Placement involves the introduction of illegal profits into the financial system.

Layering consists of the conversion or movement of funds to distance or separate them from the source. Integration consists of the re-entering or re-use of funds within the legitimate economy. These are, for example, referred to on the FATF website under 'What is Money Laundering?' (available http://www.fatf-gafi.org/pages/faq/moneylaundering/.

d) Further investigations and monitoring should have been considered with regard to each of the following:

(i) Confirm whether the client is a Politically Exposed Person (PEP);
(ii) Confirm identity of clients on the PEP register and Sanctions Lists;
(iii) Carry out Enhanced Due Diligence (EDD) if the client is a PEP and if the client is not physically present in addition to simplified due diligence (SDD);
(iv) Ask for additional identification (including proof of residence);
(v) Confirm source of funds;
(vi) Track funds and withdrawal patterns;
(vii) Confirm adequacy of know your customer (KYC) and other procedures outsourced to the head office;
(viii) Confirm checks carried out by City brokers if required.

e) The following further action may be considered appropriate:

(i) Review adequacy of Anti-Money Laundering and Terrorist Financing policies and procedures;
(ii) Ensure that the firm maintains an appropriate policy for higher risk clients (including PEPs and EDDs);
(iii) Confirm reporting procedures between head office and London parent;
(iv) Confirm any separate outsourcing arrangements and policies;
(v) Confirm reporting lines and general compliance policy;
(vi) Ensure no separate breach of relevant regulatory requirements (including PRIN, SYSC, COND, COCON and FIT as well as TC, COBS and CASS);
(vii) Ensure that no other clients have suffered any connected losses and offer compensation as necessary;

(viii) Report any residual concerns to the FCA under PRIN 11 and COCON 3.

B54.

An FCA regulated firm offering contracts for differences and spread betting has launched a promotional product with the firm covering part of the clients' losses. Some clients realised that they could lock in profits by hedging the trades with other firms. While the firm initially thought that only a few clients would attempt to take advantage of this, forty per cent of new clients adopted the strategy within three months. The firm decided to treat these clients as abusive and block withdrawals from the accounts.

Financial promotions are generally dealt with under s21 FSMA and the Financial Promotion rules as amended. New powers were brought in under the s137S Financial Services Act 2012 to ban misleading financial promotions through directions. Candidates should have referred to s21 FSMA and also the new direction powers set out in s137S FSMA as amended.

Relevant PRIN should have been listed and other Handbook sections noted including SYSC, COCON, COBS, CASS, TC and PERG. The nature of the Fair Treatment of Customers (FTOC) initiative could have been explained and relevant outcomes identified. FCA penalties should have been reviewed and the most appropriate remedial action to be taken by the firm outlined.

[Tutor note: Part c) of the original exam referred to FTOC in terms of YouWin CFD's behaviour. I have edited and re-written both the requirement, and the answer, to Part c) so as to reflect the Consumer Duty, and how this could be tested and answered. Part c) provided here, therefore, no longer follows the original Examiner's Report.]

a) The principal statutory section breached is s21 FSMA on financial promotion restrictions which specifies that a financial promotion may only be communicated in the course of business by an authorised person or if the content has been approved by an authorised person. Exemptions are set out in the Financial Promotions Order (FPO) as amended. The Financial Promotion rules are provided for under s137R FSMA as amended. Financial promotions must be fair, clear and not misleading (COBS 4.2.1R). Candidates may also have referred to the directions contained in s137S FSMA as amended by the FSA 2012 through the

serving of a notice on the persons concerned. The firm may also have breached PRIN 1 (integrity), 3 (management and control), 6 (customers' interest), 9 (customers' relationship of trust), 10 (clients' assets) and 11 (regulatory relationship).

b) The firm may have breached COBS 2.1 in failing to act honestly, fairly and professionally (COBS 2.1.1R) and COBS 2.2 in failing to provide appropriate information in a comprehensive form (COBS 2.2.1R). The firm may have breached COBS 4, in particular, in failing to ensure that communications are not fair, clear and not misleading (COBS 4.2.1R), COBS 4.10 in failing to maintain proper systems and controls for approving and communicating financial promotions (COBS 4.10.1 and 2) and COBS 4.11 adequate record keeping (COBS 4.11.1R). The firm may have breached SYSC 3 systems and controls and 6 on compliance.

The client may also have breached CASS 7 on client money rules including treatment of client money (CASS 7.11.1R) and client segregation (CASS 7.13.1, 2 and 3). The firm will also have breached DISP 1 in failing to treat complainants fairly including awareness (DISP 1.2), complaints handling rules (DISP 1.3), resolution rules (DISP 1.4), the next business day rule (DISP 1.5) and record keeping (DISP 1.9). Reference may also have been made to PERG 8 financial promotion and related activities and COBS 11 on dealing and managing.

The firm may also have breached COCON 1 (integrity), 2 (due skill, care and diligence), 5 (market conduct standards), and 3 (regulatory cooperation).

c) Whether YouWin CFDs has acted correctly from a Consumer Duty perspective would depend, first of all, upon whether or not YouWin CFDs is within scope of the Consumer Duty. Assuming that consumers can take part in the services offered by YouWin CFDs, and there is nothing in the scenario to suggest that consumers are prevented from opening accounts with YouWin CFDs, then YouWin CFDs is in scope of the Consumer Duty. As such, it is clear that YouWin CFDs has not ‘acted to deliver good outcomes to retail customers’, as PRIN 12 requires.

[Tutor Note: There are two methods we can employ so as to justify our belief that YouWin CFDs has failed in the Consumer Duty expectations. One would be to look

at the FCA's guidance on 'good outcomes'; the other would be to examine YouWin CFDs's conduct in terms of the Cross-cutting Rules. Either would do well in terms of scoring good marks in the exam; remember to be careful with your time management here.]

[First method]
The FCA's Consumer Duty guidance refers to 'good outcomes' as meeting four criteria. These are:

- The Products and Services Outcome: products are fit for purpose.
- The Price and Value Outcome: products represent fair value
- The Customer Services Outcome: customer service from firms meets customers' needs.
- The Customer Understanding Outcome: customer understanding is maintained at each step of the customer's journey.

YouWin CFDs has not ensured that its service has been correctly designed before launch; if it had, it seems clear that the product would not allow the hedging with competitors activities of the so-called 'abusers' to take place. Additionally, YouWin CFDs would have made it clear that such activities are disallowed in both its terms and conditions, and also in its promotional material.

Furthermore, YouWin CFDs has taken a decision to stop withdrawals by all 'abusive' clients without checking to see that each of these clients is actually abusing YouWin CFDs's service – this is unfair to those customers that are being accused by YouWin CFDs without evidence or justification. Finally, YouWin CFDs's decision to stop all communications with these customers, and instead wait to see if those customers take their case to court, is a breach of the requirement to provide customer service meeting those customer's needs.

[Second method]
PRIN 12 requires in-scope firms to comply with three 'cross-cutting rules':

Acting in Good Faith Towards Retail Customers – Firms must act with honesty, fairness, and openness in all dealings with retail customers. Actions should align with what customers reasonably expect, and this principle should be embedded at the design stage of products and services to ensure fairness from the beginning.

It is clear that YouWin CFDs is breaking this rule – it is not fair to target a large proportion of customers (over 40%) and claim they are 'abusers' without evidence and without a proper investigation. Nor is it 'open' to withdraw from communication with these customers, unless they take YouWin CFDs to court.

Avoiding Foreseeable Harm – Firms are responsible for ensuring that retail customers understand and accept the inherent risks in products and services. They must take proactive steps to prevent foreseeable harm within their control and must not exploit customers' vulnerabilities, behavioural biases, or lack of financial literacy.

YouWin CFDs should have carried out proper testing of its products before launch, and identified the so-called 'abuse' of hedging exposures with other firms, so as to be able to warn customers that this action would be perceived as abusive by YouWin CFDs, triggering freezing of their account.

Enabling and Supporting Retail Customers to Pursue Their Financial Objectives – Firms should provide relevant information and understanding to support customers in making their own financial decisions. This approach empowers customers to take responsibility for their choices, fostering an environment of trust and confidence in the firm's products and services.

Spreadbetting accounts are necessarily much more complex than many retail customers are used to, and so they would find these accounts difficult to understand. YouWin CFDs should have provided adequate factsheets and risk warnings to customers so that such customers would have had a clear idea of how the product worked before investing.

d) The FCA may proceed against the firm by issuing a direction under s137S FSMA as amended. A direction may be issued where the FCA considers that the

communication or approval breaches the financial promotion rules with the direction requiring withdrawal, refraining from making the communication, publishing details of the direction or taking any other action (s137S (1) and (2)). Directions generally take effect immediately although the person may make representations within the period specified (s137S (4) and (6)). The FCA may revoke the direction following representations (137S (8)).

A person breaching s21 is guilty of an offence and liable for up to six months imprisonment (on summary conviction) or two years (on indictment) or a fine or both (s25 (1) FSMA). Agreements entered into in consequence of an unlawful communication are nevertheless unenforceable against the other party who is entitled to recover any money or property paid and compensation for loss sustained (s30 (2) (a) and (b) FSMA as amended). The FSA may impose a public or private censure (s205) or general financial penalty (s206 (1)). An action for damages may be available under s138D FSMA as amended. Injunctions are available under s380 and restitution orders under s382 FSMA. The firm's permission may be varied and authorisation withdrawn if necessary.

e) The firm should consider the following remedial action:

(i) Suspend or cancel the promotion until a full investigation and review have been carried out;
(ii) Conduct an investigation to determine whether any statutory or regulatory provisions have been breached;
(iii) Determine whether any clients have suffered loss and offer compensation as appropriate;
(iv) Advise the FCA accordingly and cooperate fully under PRIN 11 and COCON 4;
(v) Review the firm's systems and controls under SYSC;
(vi) Review the firm's governance arrangements and decision-taking and compliance procedures;
(vii) Review the firm's FTOC/Consumer Duty procedures;
(viii) Review the firm's complaints handling procedures;

(ix) Review the firm's training and policy function under TC;
(x) Review the firm's remuneration policy to the extent relevant;
(xi) Review the firm's ethics policy to the extent relevant;
(xii) Review the firm's conflicts of interest policy to the extent relevant.

B55.

The question raised a number of issues with of concern with regard to the activities of a US investment bank in Canary Wharf. This reflected the circumstances surrounding the closure of Lehman Bros in the UK (Re Lehman Bros International (Europe) [2012] UK SC 6). The purpose of the question was to separate the UK regulatory treatment of culture from financial ethics and conduct risk. Some candidates mixed the two points together in the separate subsections (b) and (c).

a) Candidates were asked to identify initial relevant regulatory concerns. The first hedge fund was a $100,000 equity fund set up by Alfred Winslow Jones in 1949 using short sales and leverage. Hedge funds are established with limited membership to benefit from exemptions available under the US Securities Act 1933, Securities Exchange Act 1934, Investment Company Act 1940 and Investment Advisers Act 1940.

The question could either have been dealt with by listing specific facts or activities that may raise regulatory issues or by referring to specific sets of regulatory provisions that may be breached. Referring to specific regulatory provisions nevertheless overlapped with the treatment of culture and conduct in subsections (b) and (c) and was therefore not necessary for subsection (a) although not penalised.

Relevant activities or aspects of hedge fund operations include:

(i) adopting aggressive trading practices including short selling and excessive stock lending
(ii) using aggressive trading strategies (including possibly global macro, event driven, directional, market neutral, arbitrage, short/long, emerging markets, managed futures and funds of funds strategies)

(iii) high leverage
(iv) trading in high-risk instruments including structured products and natural derivatives
(v) trading on the over-the-counter (OTC) market
(vi) establishment in off-shore financial centres
(vii) lack of transparency and limited reporting
(viii) lack of direct regulatory oversight and control
(ix) high fee and remuneration structures
(x) potential market abuse of insider trading
(xi) potential money laundering
(xii) more general possibly weak cultural and ethical frameworks.

These may create a full range of higher financial risks (including credit, market, interest rate, falling currency, commodity and derivative exposures), operational risks (including delivery and settlement risks), legal risks, management risks and wider environmental risks.
Against these disadvantages, candidates could have referred to hedge funds advantages although this was not necessary. These include higher investment return, improved portfolio management, greater portfolio diversification and increased market correction, market volatility, market liquidity, market efficiency, financial engineering, financial vision, market return to profitability and overall market stability.

b) Candidates were asked to explain the general nature of the UK authorities' expectations and requirements with regard to culture within financial firms. The authorities have increasingly discussed ethics in terms of culture although this remains a difficult issue.

A number of general documents and speeches have been issued on ethics over time. The FSA's initial general approach to ethics was set out in FSA, An ethical framework for financial services (October 2002) with competence being examined in FSA, Competence and ethics (June 2010) CP 10/12. Ethics was considered as part of the Retail Distribution Review (RDR) with the FSA recommending the creation of an enforceable Code of Ethics for investment advisors in FSA, Retail Distribution Review (November 2008) Feedback Statement 08/06. This was

referred to again in FSA, Distribution of retail investments: Delivering the RDR (June 2009) CP 09/18 with eight general principles proposed. These can be summarised in terms of acting honestly and fairly at all times, integrity, legal and regulatory compliance, market integrity standards, conflict, professional competence, declining to act and upholding the highest personal and professional standards. FSA Chairman, Howard Davies, discussed ethics in 'Ethics in regulation' in 2001.
FSA CEO Hector Sants switched the focus from ethics to culture in 'Do regulators have a role to play in judging culture and ethics?' in June 2010 and 'Can culture be regulated?' in October 2012. Hector Sants noted in the first speech that when he joined the FSA, he was told by senior management that 'the FSA does not do ethics'. Howard Davies had earlier stated that the FSA could not 'seek to act as the conscience of the square mile.' Rather than focus on ethics, the 'better focus for regulators would be culture, which no doubt reflects the ethical framework of the organisation'. Sants considered that the work ethics was 'not precise enough' and carried 'too much baggage for regulators'. There was nevertheless 'already a consensus of what constitutes the right behaviour' which included through the codes produced by the CISI and Worshipful Company of International Bankers which had 'broad acceptance in the community'. Firms should have 'a culture which encourages individuals to make judgements and deliver the outcomes we want' and that 'at all times we want an undertaking to act with integrity'. The regulators had therefore to focus on 'what an unacceptable culture looks like and what outcomes that drives'.

A number of speeches were subsequently made by FCA Chief Executive, Martin Wheatley (such as 'Competing on integrity' (November 2013); 'Ethics and economics' (March 2014); 'The fairness challenge' (October 2013); and 'Good conduct and market integrity' (June 2014)) and other FCA staff (including Clive Adamson, FCA Director of Supervision, 'The importance of culture in driving behaviours of firms and how the FCA will assess this' (April 2013); and 'Trust and confidence – ensuring firms' ethics are built around their customers' (November 2013); and later Mark Steward, 'Culture and governance' (November 2015)).

Culture was referred to in the FCA Business Plan 2015/16 as a key driver in behaviour, with an effective culture being one that supports a business model and

business practices that have the fair treatment of customers and clients at their core and support market integrity. Culture began at the top with the FCA ensuring that firms and boards dealt with conduct issues as a priority. Boards had to engage in conduct issues by specifically investigating products or business lines, understanding cross selling product strategies, possible loss and suitable product sales. Customer focus had also to be translated into how business decisions were made, the treatment of consumer responses, individual behaviour, issue escalation and remuneration and incentive awards.

The emerging UK ethical framework is also reflected in the more specific provisions contained within the High Level Standards and other more specific laws and regulations designed to ensure ethical outcomes. No separate ethical sourcebook has been prepared at this time although the issue of banking standards is to be considered by the new Banking Standards Board (BSB) set up following the Banking Standards Review (May 2014) by Sir Richard Lambert after the earlier recommendations for the establishment of a professional body by the Parliamentary Commission on Banking Standards (PCBS) final report on Changing banking for good (12 June 2013) Vols I and II.

Candidates could also have referred to the specific requirements imposed under FCA PRIN, SYSC, COCON (and PRA FR) as well as COND for firms and FIT for individuals. While a number of PRIN are more prudential based including 3 (management and control) and 4 (financial prudence), others are more ethical and conduct based including 1 (integrity); 6 (customers' interests); 7 (communication); 8 (conflicts of interest); 9 (trust); and asset protection (10) as well as skill, care and diligence within PRIN 2. This is also reflected in COCON 1 (integrity), 2 (skill, care and diligence), and 5 (proper standards of market conduct). Conflicts of interest are dealt with under SYSC 10 and remuneration under SYSC 19A. Elements of this are also reflected under more specific COBS including 3 (categorisation), 4 (communication and financial promotions), 6 (disclosure), 8 (agreements), 9 (suitability), 10 (appropriateness), 11 (dealing and managing), 12 (investment research), 13 and 14 (product information), 15 (cancellation) and 16 (reporting).

Reference may also have been made to the business standards sourcebooks including Conduct of Business (COBS), Insurance: Conduct of Business (ICOBS),

Mortgages and Home Finance: Conduct of Business (MCOB) and Banking: Conduct of Business (BCOBS).

A number of other statutory provisions can also be considered to include an ethical element such as the prohibition on market abuse in MAR and misleading statements and impressions in ss89-90 FSA 2012 as well as separate insider dealing offences in the CJA.

c) Conduct risk also remains a difficult issue. The FCA has generally been made responsible for conduct regulation with the PRA managing prudential regulation under the revised institutional structure established under the FSA 2012. The FCA is specifically responsible for 'conduct risk' although this is a difficult issue to define precisely. The term conduct risk is not referred to in the FSMA as amended. Conduct risk is not separately defined in the FCA Glossary nor is the term 'risk' separately defined. The objectives of the FCA are referred to under the FSMA in terms of acting as a financial function authority with the specific operational objectives of promoting consumer protection, system integrity and competition (s1B (2) and (3) FSMA). Conduct risk is not separately defined and it would generally appear that this refers to anything that is not of a prudential regulation nature in practice.

The FCA has been developing its approach to conduct risk under its 2013 and 2014 Risk Outlook documents with a series of priority actions being set out in its Business Plans for 2013 and 2014. While the 2013 Risk Outlook expressly referred to 'conduct risk', this is simply expressed in terms of risk in the 2014 Risk Outlook and Risk Outlook included within the 2015 Business Plan. The Risk Outlook was incorporated into the FCA Business Plan 2015/16 released on 24 March 2015. The FCA explains its prudential responsibility and prudential risk in its 2014 Risk Outlook at 65-67.

The new policy risk model is generally made up of two parts with 'Drivers of Risk' (Part A) consisting of Underlying drivers (inherent factors and Structures and business conduct features) and Environmental developments) and 'Evolving risk landscape' (Part B) consisting of Cross-market pressures and related risks and Forward-looking areas of focus (2014 Risk Outlook P7). The key drivers are

expanded in the circular diagram provided by the FCA in the 2013 and 2014 Risk Outlooks. This refers to 'Inherent risks' (Information asymmetries, Biases (rules of thumb and mental shortcuts) and the growing importance of financial capability), 'Structures and business conduct' (market structures, culture and incentives and conflicts of interest) and 'Environmental drivers' (economic and market, technological and policy and regulatory) (FCA, Risk Outlook (2013) 10; and FCA, Risk Outlook (2014) 8).

The principal types of conduct risk may have accordingly been identified with reference to the key drivers of risk set out in the FCA Risk Outlook (including inherent, structures and business conduct and environmental factors and subfactors referred to above). Candidates could also have referred to the forward-looking areas of focus referred to in the Risk Outlook and Business Plan (including technological developments overtaking consumer capability and regulatory response, poor culture and controls undermining market integrity, large back-books leading firms to act against customers' best interest, retirement income products and distribution delivering poor consumer outcomes, the growth of consumer credit creating unaffordable debt levels, terms and conditions being excessively complex and house price growth creating conduct issues). As the FCA refers to a number of other more specific areas of current concern under each of these headings, candidates may refer to any of these. No strict response was expected.

The FCA published a separate new Our Strategy document in December 2014. Seven strategic themes were identified in Our Strategy and in the Business Plan 2015/16. These consisted of maintaining a sustainable model of regulation, adopting a common view of markets and sectors, new priority setting, developing a more strategic approach to risk, engagement and proactive influence, increasing the FCA's internal ability to respond flexibly and making the most use of resources.

Later acting FCA CEO, Tracey McDermott, referred to conduct risk in a speech on 'Wholesale Conduct Risk' at the BBA conference on 'Wholesale Markets and Risk: FEMR and beyond' on 24 July 2015. Tracey McDermott confirmed that conduct risk was treated like any other risk and referred to five key conduct questions that firms had to ask in managing conduct risks. Firms had to identify relevant conduct

risks inherent in the business, individuals responsible, support mechanisms to improve business conduct, board and executive committee oversight of conduct and whether there were any ‘perverse incentives’ or other activities that could undermine conduct strategies. Tracey McDermott also highlighted the importance of individual accountability and the operation of the new Senior Managers Regime. Candidates may also have referred to relevant high level regulatory provisions covering conduct risk including PRIN 1 (integrity), 5 (market conduct), 6 (customers' interest), 7 (client communication), 8 (conflicts of interest), 9 (trust) and 10 (asset protection) as well as COCON 1 (integrity) and 5 (market conduct), SYSC 10 (conflicts of interest) and 19 (remuneration) as well as COND and FIT more generally. Training requirements may also have been referred to under TC as well as Consumer Duty/Fair Treatment of Customers (FTOC) and the Retail Distribution Review (RDR).

This is a difficult area and no specific answer was expected.

d) Relevant firm responses might have included the following:

(i) Review the firm's ethics and conduct risk environment.
(ii) Prepare an internal culture and ethics code.
(iii) Establish a separate ethics or conduct risk committee or subcommittee of the board or, at minimum, assign these functions to a specific internal body.
(iv) Review internal governance arrangements.
(v) Review the firm's compliance policy and function.
(vi) Review the firm's risk management policy and function.
(vii) Review the firm's internal audit policy and function.
(viii) Review High Level Standards compliance (including PRIN, SYSC, COND, COCON and FIT).
(ix) Review the firm's training policy and function under the TC sourcebook.
(x) Review internal systems and controls.
(xi) Review remuneration policy under SYSC 19C.
(xii) Review whistle blowing policy.
(xiii) Prepare a more specific firm Conduct Risk Framework (including Conduct Risk Appetite and Conduct Risk Strategy).

(xiv) Integrating the conduct risk policy within the firm's Enterprise Risk Management Framework (ERFM) or equivalent.
(xv) Review recruitment policy.
(xvi) Commission independent reports on ethics compliance or conduct risk management to the extent necessary.
(xvii) Review money laundering policy and MLRO function.
(xviii) Review reputation or risk management.
(xix) Review client cash and securities segregation functions.
(xx) Cooperate closely with the regulators under PRIN 11 and COCON 3.

B56.

The question raised a number of issues with regard to the conduct of the 'Paris Dolphin' in a major European securities firm (following the activities of the 'London Whale' which incurred $2 billion trading losses through a credit default swap (CDS) 'hedging strategy'). Concerns arise with regard to product design, financial promotion, incentives and remuneration, possible market abuse or market manipulation and whistleblowing.

Financial promotions are generally dealt with under s 21 FSMA and the Financial Promotion rules as amended. New powers were brought in under s 137S Financial Services Act 2012 to ban misleading financial promotions through directions. Candidates should have referred to s 21 FSMA and also the new direction powers set out in s 137S FSMA as amended.

Relevant PRIN should have been listed and other Handbook sections noted including SYSC, COCON, COBS, CASS, TC and PERG. The nature of the Consumer Duty/Fair Treatment of Customers (FTOC) initiative could have been explained and relevant outcomes identified. FCA penalties should have been reviewed and the most appropriate remedial action to be taken by the firm outlined.

a) Financial promotions are principally dealt with under s 21 FSMA which specifies that a financial promotion may only be communicated in the course of business by an authorised person or if the content has been approved by an authorised person. Exemptions are set out in the Financial Promotions Order (FPO) as amended. The Financial Promotion rules are provided for under s 137R FSMA as amended.

Financial promotions must be fair, clear and not misleading (COBS 4.2.1R). Candidates should also have referred to the power to issue directions contained in s 137S FSMA as amended by the FSA 2012 through the serving of a notice on the persons concerned. The firm may also have breached PRIN 1 (integrity), 3 (management and control), 6 (customers' interest), 9 (customers' relationship of trust), 10 (clients' assets) and 11 (regulatory relationship).

The firm may also have breached the FSA's policy on product regulation which was set out in Discussion Paper 11/1 on Product Intervention in January 2011 and Feedback Statement in 11/3 in June 2012. Product approval is sometimes referred to as 'New Product Due Diligence' (NPDD) which has become of more importance under the FSA and FCA's new product intervention policy.

Relevant product considerations included the following:

(i) There appeared to have been no written material provided explaining the product.
(ii) None of the material to be provided to investors appeared to have been made available.
(iii) None of the marketing material to be used was provided.
(iv) The product team representative only explained the product in outline terms.
(v) The nature of the product and any new features were not explained.
(vi) The reasons for the withdrawal of any earlier products were not explained.
(vii) The action to correct the earlier defects were not explained.
(viii) The features which might still cause 'alarm' were not explained.
(ix) The target customer group was not identified.
(x) No full report from Risk Management was considered.
(xi) No critical comment was made by the Line Manager.
(xii) No critical comment was made by Marketing.

Factors relevant to the overall assessment process may also have included the following:

(i) There was no meaningful examination of the earlier product.
(ii) There was no meaningful examination of the replacement product.
(iii) There was no meaningful contribution from Risk Management to the process.
(iv) There was no balanced nor constructive contribution by Product Development.
(v) There was no balanced nor constructive contribution by Marketing.
(vi) The role of compliance may have been marginalised.
(vii) The interests of prospective investors were not properly respected.

Separate offences may have been committed under MAR on market abuse. This may have included behaviour such as improper disclosure, misuse of information, manipulating transactions, dissemination or misleading behaviour or distortion.

b) The firm may have breached all of the FCA PRIN. Each of the relevant provisions should have been referred to briefly explaining their relevance.

c) Other policy initiatives that could have been referred to in further detail include: Product Regulation under DP 11/1 FS 11/3 with products to be assessed across all product cycle, including with a Retail Conduct Risk Outlook Analysis and Business Model and Strategy Analysis (BMSA); Fair Treatment of Customers (FTOC) (under DP 6/04 and other papers); and Retail Distribution Review (RDR) (under DP 7/1 and other papers).

The firm may also have breached COBS 2.1 in failing to act honestly, fairly and professionally (COBS 2.1.1R) and COBS 2.2 in failing to provide appropriate information in a comprehensive form (COBS 2.2.1R). The firm may have breached COBS 4, in particular, in failing to ensure that communications are not fair, clear and not misleading (COBS 4.2.1R), COBS 4.10 in failing to maintain proper systems and controls for approving and communicating financial promotions (COBS 4.10.1 and 2) and COBS 4.11 adequate record keeping (COBS 4.11.1R). The firm may have breached SYSC 3 systems and controls and 6 on compliance.

The firm may have separately breached CASS 7 on client money rules including treatment of client money (CASS 7.11.1R) and client segregation (CASS 7.13.1, 2

and 3). The firm will also have breached DISP 1 in failing to treat complainants fairly including awareness (DISP 1.2), complaints handling rules (DISP 1.3), resolution rules (DISP 1.4), the next business day rule (DISP 1.5) and record keeping (DISP 1.9). Reference may also have been made to PERG 8 financial promotion and related activities and COBS 11 on dealing and managing.

The firm may also have breached COCON 1 (integrity), 2 (due skill, care and diligence), 5 (market conduct standards), 3 (regulatory cooperation), and the senior manager rules.

The firm may also have breached the FCA Fair Treatment of Customers (FTOC) requirements as originally set out in FSA, Treating customers fairly – towards fair outcomes for consumers (July 2006) with relevant management information (MI) being set out in FSA, Treating customers fairly – guide to management information (July 2007). FTOC is based on PRIN 6 (firms must pay due regard to the interest of customers and treat them fairly) and PRIN 7 (information needs and communicate in a clear, fair and not misleading way). The firm would specifically have breached FTOC Outcome 1 (customer confidence that they are dealing with firms with fair treatment being central to corporate culture), 2 (products and services marketed and sold are designed to meet the needs of customer groups), 3 (clear information and appropriately inform before, during and after sale), 5 (products perform as expected) and 6 (no unreasonable post sale barriers).

d) A person breaching s 21 is guilty of an offence and liable for up to six months' imprisonment (on summary conviction) or two years (on indictment) or a fine or both (s 25 (1) FSMA). Agreements entered into in consequence of an unlawful communication are nevertheless unenforceable against the other party who is entitled to recover any money or property paid and compensation for loss sustained (s 30 (2) (a) and (b) FSMA as amended). The FCA may impose a public or private censure (s 205) or general financial penalty (s 206 (1)). An action for damages may be available under s 138D FSMA as amended. Injunctions are available under s 380 and restitution orders under s 382 FSMA. The firm's permission may be varied and authorisation withdrawn if necessary.

The FCA may also proceed against the firm by issuing a direction under s 137S FSMA as amended. A direction may be issued where the FCA considers that the communication or approval breaches the financial promotion rules with the direction requiring withdrawal, refraining from making the communication, publishing details of the direction or taking any other action (s 137S (1) and (2)). Directions generally take effect immediately although the person may make representations within the period specified (s 137S (4) and (6)). The FCA may revoke the direction following representations (137S (8)).

The FCA may impose penalties on market abuse under MAR including with regard to manipulating transactions, manipulating devices, dissemination and misleading behaviour and market distortion.

Misleading statements and impressions are now dealt with under s 89-90 Part 7 FSA 2012. These apply with regard to the making of false or misleading statements or creating a false or misleading impression as to the market, price or value of relevant investments. Penalties are provided under s 92 with up to ten years imprisonment or a fine or both with specific defences included under s 89 and 90.

[Tutor's Note: The penalties have increased to ten years under FSA 2021.]

e) The firm could consider the following remedial action:

(i) Suspend or cancel the promotion until a full investigation and review have been carried out.
(ii) Conduct an investigation to determine whether any statutory or regulatory provisions have been breached.
(iii) Determine whether any clients have suffered loss and offer compensation as appropriate.
(iv) Advise the FCA accordingly and cooperate fully under PRIN 11 and COCON 3.
(v) Review the firm's systems and controls under SYSC.
(vi) Review the firm's governance arrangements and decision-making and compliance procedures.
(vii) Review the firm's Fair Treatment of Customers (FTOC) procedures.

(viii) Review the firm's complaints handling procedures;
(ix) Review the firm's training and policy function under TC.
(x) Review the firm's remuneration policy to the extent relevant.
(xi) Review the firm's ethics policy to the extent relevant.
(xii) Review the firm's conflicts of interest policy to the extent relevant.

B57.

The question raised a number of issues with regard to potential money laundering concerning the activities of potential new clients at the local branch of a major UK banking chain. A new clients wishes to start a new cash-intensive business with the account being used to transfer large volumes of funds to a number of accounts in different Eastern European countries. Earlier guidance on banks' responsibility with regard to money laundering was, for example, set out in FSA, Banks' management of high money-laundering risk situations (June 2011).

Candidates should have identified the factual points that raised concerns from a money laundering and compliance perspective. Relevant offences, defences and penalties should have been listed. The nature of the FATF three stages of layering, placement and integration should have been explained. Additional money laundering enquiry and oversight requirements should have been noted and the most appropriate action to be taken by the firm explained.

a) Specific concerns include the following:

(i) The cash-intensive nature of the business.
(ii) The need for international money transmission as well as basic deposit services.
(iii) The questionable size of the business being on a brownfield site in a small provincial town.
(iv) The attempt to use a local branch in a small provincial town to avoid more central detection.
(v) The high profit expectations with the business having only been recently opened.
(vi) The delivery of cash in a rucksack rather than use of cheques, bank or credit cards or other forms of funds transfer.

(vii) The different denominations involved.

(viii) The absence of additional information on the fees charged and questionable profitability.

(ix) The use of standing orders to transfer all net balances into different bank accounts.

(x) The transfer of funds abroad on a monthly basis.

(xi) The lack of information on the start-up funds used to open the business.

Additional issues may also have arisen from an ethical perspective:

(i) Potential breach of PRIN 1, FR 1 and COCON 1 (integrity).

(ii) The need to report suspicions under the Proceeds of Crime Act.

(iii) The need to cooperate with the regulators under PRIN 11, FR 8 and COCON 3.

(iv) The need to comply with other Codes of Conduct including the CISI Code.

b) The full range of relevant offences, defences and penalties under the Proceeds of Crime Act 2002 (PCA) should have been noted. The principal UK money laundering offences are now restated under Part VII of the PCA. The PCA creates three main offences relating to Concealing (s 327), Arranging (s 328) and Acquisition, Use and Possession (s 329) as well as attempting, conspiring or inciting to commit any such offence (s 340(11)(a) and (b)). Money laundering includes aiding, abetting, counselling or procuring the commission of any of these offences (s 340(11)(c) and (d)). Two separate offences are also created of Failing to disclose (ss 330-332) and Tipping off (s 333).

The principal offence was possibly concerned with concealment. Revisions to the PCA were made under the Serious Organised Crime and Police Act 2005 with separate reference possibly being made to reporting under s 21A Terrorism Act 2000 and to the Bribery Act 2010.

c) Relevant, identification and record requirements are imposed under the Joint Money Laundering Steering Group (JMLSG) Guidance and Money Laundering Regulations 2007 including with regard to Customer Due Diligence (CDD), Know Your Customer (KYC) and identification requirements as well as Simplified Due

Diligence (SDD) and Enhanced Due Diligence (EDD) for higher risk entities as well as potential Politically Exposed Persons (PEPs).

A Consolidated List of persons or countries against whom financial sanctions are in place is maintained by the HM Treasury and Joint Money Laundering Steering Group (JMLSG). Separate lists of uncooperative jurisdictions are also maintained by the Financial Action Task Force (FATF).

d) Institutional liabilities can be considered under the MLR 2007 provisions or general regulatory requirements. The MLR imposes internal systems and control requirements on firms including with regard to customer due diligence (CDD) and monitoring, internal reporting, five-year record-keeping, internal control, risk assessment and management, compliance monitoring, recognition and reporting of suspicious transactions and staff training. Specific FCA Handbook provisions include SYSC 3.2.6 (systems and controls with regard to compliance, financial crime and money laundering), SYSC 3.2.6I (MLRO) with FCA guidance on financial crime being provided in the FC guide. Breach of the MLR requirements is punishable by up to two years imprisonment and an unlimited fine or six months imprisonment and a £5,000 fine before a Magistrates Court. The full range of enforcement actions would be available for breach of relevant Handbook provisions.

e) Separate provisions with regard to anti-terrorist requirements are contained in the Terrorism Act 2000, Terrorism Act 2006 and Counter-Terrorism Act 2008. The 2000 Act defines terrorism and lists prescribed terrorist organisations with the police being given power to detain suspects and conduct stop and search interventions. The offence of glorifying terrorism was introduced under the 2006 Act after the July 2005 London bombings. The 2008 Act inter alia permits the Treasury to issue directions to financial firms in relation to CDD, ongoing monitoring, systematic reporting and limiting or ceasing business. Such directions are only used with regard to non-EEA, countries and on FATF advice to the Treasury. Civil penalties and criminal terms of up to two years imprisonment and fines are imposed.

Other relevant legislation includes the Anti-terrorism, Crime and Security Act 2001 introduced after 11 September 2001, the Prevention of Terrorism Act 2005 which introduced control orders and the Terrorism (United Nations Measures) Order 2009 and Terrorist Asset-Freezing (Temporary Provisions) Act 2010 which allowed freezing orders despite a Supreme Court ruling that a 2006 United Nations Order was void under English law.

B58.

This question raised a number of issues with regard to the ethical decisions taken by the firm, the board, the new head of compliance and the firm's auditors. The issue of the more general treatment and promotion of ethical standards by FSA and FCA was also raised. The question was specifically concerned with segregation failures and breach of the Client Assets sourcebook (CASS).

Candidates should have carefully read each sub-question and noted the relevant mark allocation before attempting to answer the question. They should then have moved through each sub-part in turn.

a) Candidates should initially have explained the relevant breaches that the firm committed four years before. These principally related to CASS and segregation of client money under CASS 7.4. Candidates could have outlined the principal requirements of CASS (including 1, 1a, 3, 5, 6, 7, 7a and 8) with specific reference to the need to maintain client bank accounts (CASS 7.4.11) and to make payments into client bank accounts (CASS 7.4.14 and 15).

   Breach of CASS involves corresponding breach of PRIN 10 (clients' assets), 6 (customers' interest), 7 (communications with clients), 8 (conflicts of interest), 9 (trust) as well as 1 (integrity), 2 (skill, care and diligence) and 3 (management and control). The firm also breached PRIN 11 (relations with regulators). Candidates could have referred to corresponding breaches of SYSC and COCON as well as COND and FIT.

   Candidates could have referred to approved persons breaches although these are more specifically raised in (b). As the question specifically asked whether the firm's conduct had been reasonable, reference should have been made to relevant ethical rather than purely regulatory standards including specifically Discussion Paper 18,

recent FSA and FCA statements, the CISI Code and the need to manage reputational risk effectively more generally.

The best answers included a list of all specific regulatory and ethical breaches having regard to the facts raised. Particular points identified included the board decision not to report, reliance of the auditor report, apparent failure to consult compliance, length of breach and subsequent failure to report and take appropriate corrective compliance or regulatory advice.
Reference could also have been made to the nature and importance of compliance and the role and function of the compliance officer within a regulated firm more generally.

b) Brian's initial status is unclear and it can be assumed that he was not an approved person at the time of the initial infractions. If this was the case, it can be argued that he had no regulatory responsibility to take any action. If there had been any clear breach by senior compliance officers at the time, Brian could have considered relying on 'whistle blowing' protection under the Public Interest Disclosure Act.

Brian should have taken action immediately on becoming head of compliance and an approved person under SMF16 and on becoming aware of all of the facts. This would have involved discussing the issue with relevant parties involved.

c) Brian should discuss the issue with relevant parties immediately (above) and try to obtain agreement to report to the FCA, failing which he should report the breach and corrective action taken directly. This could be done on either a full report basis or provisional notification and then subsequent discussion basis. Brian should also consider carrying out a number of separate internal reviews especially with regard to:

i. Client bank account and segregation compliance;
ii. General CASS compliance;
iii. SYSC compliance;
iv. COCON and FIT compliance;
v. Training and Competence (TC) compliance;
vi. Threshold conditions (Schedule 6) and COND compliance;
vii. PRIN compliance;

viii. Compliance with all other relevant ethical standards including the CISI Code.

Reference may also have been made to:

i. Considering a review of the firm's board functions and decision-taking procedures;
ii. Review of the composition of the board;
iii. Confirming original auditor's finding that no clients suffered loss;
iv. Reviewing the conduct of any specific approved persons involved in the original decision including directors (SMF1 and SMF3), as well as former head of compliance (SMF16) and finance (SMF2), risk assessment (SMF4) and internal audit (SMF5) functions;
v. Consider possible action against relevant staff members including fines, suspension or dismissal (although unlikely in light of the length of time that has passed);
vi. Review of firm's general ethical compliance policy.

The firm may also want to consider providing a report to clients on the earlier breach of the segregation rules and corrective action taken following discussion with the FCA.

Candidates should have distinguished the possible action that the FCA may have taken against the firm, Brian as an individual, other staff members and also possibly the auditors.

B59.

The question raised a number of issues with regard to the establishment of a new financial technology (FinTech) firm that would presumably operate through a mobile platform out of London. The company intends to undertake a number of specific activities and may consider subsequent expansion across Europe and into the US or Asia. The FCA has created a dedicated section on Fintech and innovative businesses on its new website (https://www.the-fca.org.uk/firms/fintech-and-innovative-businesses). This specifically explains the nature and operation of Project Innovate and the new Innovation Hub and Regulatory Sandbox which are intended to support the development of innovative financial products and services in the UK.

a) All of the principal statutory provisions contained the FSMA as amended would apply. This includes the general prohibition (s19 FSMA), permission requirement (s20 FSMA) and restrictions on promotion (s21 FSMA). The firm would have to apply for Part 4A permission (s40 FSMA) to become authorised (s31(1)(a) FSMA) and comply with the threshold conditions imposed (s41 and Schedule 6 FSMA as amended and COND). Relevant personnel would have to be approved persons (s59 FSMA) and comply with the suitability requirements imposed under FIT and conduct requirements in COCON. The firm would be subject to the rules and guidance imposed by the FCA and PRA (ss137A, 137G and 139A FSMA including the FCA PRIN, PRA Fundamental Rules and all other relevant provisions).

b) The firm would have to apply for permission in each of its proposed principal areas of activity. Regulated activities are defined in s22 FSMA and the Regulated Activities Order 2001 (as amended) and the FSMA 2000 (PRA Regulated Activities) Order 2013. The 2013 Order divides activities between the FCA and PRA by specifying that anything not specifically assigned to the PRA under the Order is reserved to the FCA. Permissible activities overseen by the FCA will include dealing in investments, arranging deals in investments, managing investments and providing investment advice. Deposits and deposit taking would fall within the PRA RAO and consumer credit and mortgage services (arranging home finance transactions) within the RAO (as amended by the FSMA 2000 (Regulated Activities) (Amendment) (No 2) Order 2013) which transferred consumer credit regulation from the Office of Fair Trading to the FCA.

Payment activities would be regulated under the new payment systems regime set up under Payment Services Regulations (PSRs), and Part 5 of the Financial Services (Banking Reform) Act 2013. The FSA produced an approach document in April 2009 which was updated in June 2013 (FCA, the FCA's role under the Payment Services Regulations 2009 - Our Approach).

Any dealing in foreign exchange is not a regulated activity under the FSMA as such although foreign exchange dealing as principal is governed by the Bank of England's Non-Investment Products (NIP) Code (April 2009).
The bank would be dual regulated by the PRA for regulatory purposes and the FCA in respect of conduct. The bank would apply for Part 4A permission (s40

FSMA) to become an authorised person (s31(1)(a) FSMA). Compliance with the revised threshold conditions would be confirmed (s41 and Schedule 6 FSMA as amended by the Financial Services and Markets Act 2000 (Threshold Conditions) Order 2013 (SI 2013/555) and COND). The threshold conditions generally apply with regard to office location, effective supervision, appropriate resources and suitability as well as business model condition (COND 2.7 and para 2F Schedule 6 FSMA.) Conditions may be imposed under s 137O FSMA with guidance provided under the Perimeter Guidance Manual (PERG).

Reference may also have been made to the Financial Ombudsman Service (FOS), Financial Service Compensation Scheme (FSCS), the Complaints Scheme and Complaints Commissioner as well as the Competition and Markets Authority (CMA), Competition Commission and the Financial Policy Committee (FPC) within the Bank of England although this was not strictly necessary.

c) Relevant application forms are available on the PRA and FCA websites with full and restricted options and applications considered within six months if complete and 12 months if incomplete. Separate PDF documents are available on Banking Authorisation Process (January 2014) and Banking Authorisation Process – Applicant Journey (June 2013). The application forms generally cover core details, business plan, scope or permission, financial resources, recovery and resolution, human resources, compliance, internal audit and policy, infrastructure, regulatory reporting, fees and levies, and fee, checklist and declaration. The PRA and FCA cooperate in the application process.

d) Passport rights only apply in relation to the provision of financial services on a services or establishment basis within the EU. The firm would not be able to carry on financial services in any EU country unless it applies for local (EU) authorisation. For business in the US or Asia, the extent to which the firm would have to make a full new original application would partly depend upon the relationship between the separate third country and either the UK or the EU depending upon whether the new services were to be carried on from London or the EU country (assuming the firm gains the EU licence)

B60.

The question raises a number of issues with regard to money laundering, systems and controls and financial ethics in connection with ultra high net worth (UHNW) clients and politically exposed persons (PEPs) involved with a complex structured finance arrangement. This is similar to the 'Elephant' deal that Barclays bank entered into worth £1.9 billion and was fined £72 million by the FCA failing to maintain and comply with appropriate money laundering and anti-terrorist financing controls. (Elephant deals are worth more than £20 million.) The identities of the parties had only been kept in a hardcopy in a safe that few people had access to with other systems and controls requirements not having been properly adhered to. Barclays was expected to have me around £50 million profit although the FCA accepts that no financial crime was actually involved.

a) Specific concerns arise with regard to:
   - (i) The involvement of UHNW clients;
   - (ii) The involvement of PEPs;
   - (iii) The complex nature of the structured finance transaction involved;
   - (iv) The use of a large number of companies to place investments;
   - (v) The size of the transaction;
   - (vi) The failure to comply with standard procedures and adoption of a simplified procedure;
   - (vii) The speed with which the transaction was entered into; (viii) The limited number of personnel involved;
   - (ix) The highly secretive nature of the transaction;
   - (x) The use of hard copy rather than electronic filing systems;
   - (xi) The high profit generated;
   - (xii) The apparent lack of involvement of other senior personnel;
   - (xiii) The apparent failure to have this approved at board level;
   - (xiv) The failure to contact compliance.

   Reference could also be made to breach of relevant statutory provisions on money laundering and anti-terrorist financing in the UK and the money laundering regulations. The principal UK money laundering offences are now restated under Part VII of the PCA. The PCA creates three main offences relating to Concealing (s 327), Arranging (s 328) and Acquisition, Use and Possession (s 329) as well as

attempting, conspiring or inciting to commit any such offence (s 340(11)(a) and (b)). Money laundering includes aiding, abetting, counselling or procuring the commission of any of these offences (s 340(11)(c) and (d)). Two separate offences are also created of Failing to disclose (ss 330-332) and Tipping-off (s 333). Revisions to the PCA were made under the Serious Organised Crime and Police Act 2005 with separate reference possibly being made to reporting under s21A Terrorism Act 2000 and to the Bribery Act 2010. Reference should also have been made to the Money Laundering Regulations 2007 as amended.

Additional issues may also have arisen from an ethical perspective:

(i) Potential breach of PRIN 1, FR 1 and COCON 1 (integrity);
(ii) The need to report suspicions under the Proceeds of Crime Act;
(iii) The need to cooperate with the regulators under PRIN 11, FR 8 and COCON 3;
(iv) The need to comply with other Codes of Conduct including the CISI Code.

Separate provisions with regard to anti-terrorist requirements are contained in the Terrorism Act 2000, Terrorism Act 2006 and Counter-Terrorism Act 2008. Other relevant legislation includes the Anti-terrorism, Crime and Security Act 2001 introduced after 11 September 2001, the Prevention of Terrorism Act 2005 which introduced control orders and the Terrorism (United Nations Measures) Order 2009 and Terrorist Asset-Freezing (Temporary Provisions) Act 2010.

b) Identification and record requirements are imposed under under the Joint Money Laundering Steering Group (JMLSG) Guidance and Money Laundering Regulations 2017 including with regard to Customer Due Diligence (CDD), Know Your Customer (KYC) and identification requirements as well as Simplified Due Diligence (SDD) and Enhanced Due Diligence (EDD) for higher risk entities as well as potential Politically Exposed Persons (PEPs).

Enhanced Due Diligence (EDD) is provided for under Regulation 14 (1) and Section 5.5 of the Joint Money Laundering Steering Group (JMLSG) Guidance. EDD is specifically to be used in higher risk situations including the customer is not physically present when identities are verified, correspondent banking or with

PEPs. Additional documents, data or information have to be collected.

EDD is to be applied on a risk sensitive basis where insufficient information has been obtained under standard due diligence (JMLSG Section 5.5.1). Firms should obtain sufficient information concerning the circumstances and business of customers and beneficial owners to support the risk assessment process and monitor customer activity and transactions (JMLSG Section 5.5.2). The relevant additional information will depend on the nature of that money laundering or terrorist financing risk JMLSG Section 5.5.3).

PEPs consists of high ranking non-UK public officials, Members of Parliament and immediate families and close associates.

Reference could also have been made to the Consolidated List of persons or countries against whom financial sanctions are in place as maintained by the HM Treasury and Joint Money Laundering Steering Group (JMLSG). Separate lists of uncooperative jurisdictions are also maintained by the Financial Action Task Force (FATF).

c) The Senior Managers Regime (SMR) and Certification Regime (CR) was created for banks under the Financial Services (Banking Reform) Act 2013 Part 4 which came into effect in March 2016. With a separate new offence of causing a financial institution to fail is also provided for under s 36 of the Act. This is supported by the new set of conduct rules set out in COCON in the FCA Handbook. The objective is to ensure increased accountability of senior managers for specific firm tasks with appropriate disciplinary measures being applicable in the event of any failure to adhere to appropriate good conduct. Firms have to prepare responsibility maps which allocate all relevant Senior Management functions (SMFs) with each manager adding a statement of responsibility (SOR).

Senior managers would probably have to be involved in this case in some way. Relevant Senior Manager Functions could include Head of Key Business Area (SMF 6); Group Entity Senior Manager (SMF 7); Compliance Oversight (SMF 16); Money Laundering Reporting (SMF 17); Other Overall Responsibility (SMF 18); Head of Overseas Branch (incoming non-EEA branches only) (SMF 19); and Other

Local Responsibility Function (incoming non-EEA branches only) (SMF 22). Any other members of staff and for subject to the separate certification regime where the may pose a risk of significant harm to the firm or its customers with firms having to certify their fitness and propriety every year.

d) Institutional liabilities can be considered under the MLR 2017 provisions or general regulatory requirements. The MLR imposes internal systems and control requirements on firms including with regard to customer due diligence (CDD) and monitoring, internal reporting, five year recordkeeping, internal control, risk assessment and management, compliance monitoring, recognition and reporting of suspicious transactions and staff training. Specific FCA Handbook provisions include SYSC 3.2.6 (systems and controls with regard to compliance, financial crime and money laundering), SYSC 3.2.6I (MLRO) with FCA guidance on financial crime being provided in the FC guide. Breach of the MLR requirements is punishable by up to two years imprisonment and an unlimited fine or six months imprisonment and a £5,000 fine before a Magistrates Court. The full range of enforcement actions would be available for breach of relevant Handbook provisions.

The firm may also have breached COBS 2.1 in failing to act honestly, fairly and professionally (COBS 2.1.1R) and COBS 2.2 in failing to provide appropriate information in a comprehensive form (COBS 2.2.1R). The firm may have breached COBS 4, in particular, in failing to ensure that communications are not fair, clear and not misleading (COBS 4.2.1R), COBS 4.10 in failing to maintain proper systems and controls for approving and communicating financial promotions (COBS 4.10.1 and 2) and COBS 4.11 adequate record keeping (COBS 4.11.1R). The firm may have breached SYSC 3 systems and controls and 6 on compliance.

The firm may have separately breached CASS 7 on client money rules including treatment of client money (CASS 7.11.1R) and client segregation (CASS 7.13.1, 2 and 3). The firm may also have breached COCON 1 (integrity), 2 (due skill, care and diligence), 5 (market conduct standards), 3 (regulatory cooperation).
The firm may also have breached the FCA Fair Treatment of Customers (FTOC) requirements as originally set out in FSA, Treating customers fairly – towards fair outcomes for consumers (July 2006) with relevant management information (MI)

being set out in FSA, Treating customers fairly – guide to management information (July 2007).

e) Relevant firm responses might have included:

(i) Review the firm's new client (or 'On boarding') and classification procedures;

(ii) Review the firm's Money Laundering policy and procedures compliance;

(iii) Review the role and function of the MLRO in such cases;

(iv) Review the firm's specific treatment of UHNW clients and PEPs;

(v) Review the firm's anti-terrorist financing policy and procedures;

(vi) Review the firm's SMF and certification policy and procedures;

(vii) Review the firm's internal systems and controls policy and procedure;

(viii) Review the firm's internal governance arrangements.

Reference may also have been made to any of the following:

(i) Review the firm's ethics and conduct risk environment;

(ii) Review the firm's internal culture and ethics code;

(iii) Establish a separate ethics or conduct risk committee or sub-committee of the board or, at minimum, assign these functions to a specific internal body;

(iv) Review the firm's compliance policy and function;

(v) Review the firm's risk management policy and function;

(vi) Review the firm's internal audit policy and function;

(vii) Review High Level Standards compliance (including PRIN, SYSC, COND, COCON and FIT); (viii) Review the firm's training policy and function under the TC sourcebook;

(ix) Review remuneration policy under SYSC 19C;

(x) Review whistle blowing policy; (xiii) Prepare a more specific firm Conduct Risk Framework (including Conduct Risk Appetite and Conduct Risk Strategy);

(xii) Possibly integrate the conduct risk policy within the firm's Enterprise Risk Management Framework (ERFM) or equivalent;

(xiii) Review recruitment policy;

(xiv) Commission independent reports on ethics compliance or conduct risk management to the extent necessary;

(xv) Review reputation or risk management;
(xvi) Review client cash and securities segregation functions;
(xvii) Cooperate closely with the regulators under PRIN 11, FR 7 and COCON 3 and SM 4.

B61.

The question raised a series of issues with regard to regulatory compliance, financial ethics and whistleblowing with regard to the activities of the UK subsidiary of an overseas bank engaged with international remittance activities. The FCA had fined the Sonali Bank (UK) Ltd £3,250,600 and prevented it from accepting deposits for new customers for 168 days in October 2016 for anti-money laundering systems failures. The former money laundering reporting officer (MLRO) was also fined £17,900 and prohibited from acting as an MLRO or compliance officer at any regulated firm. The bank of Beirut had been separately find £2.1 million and prevented from accepting new customers from high restrictions for 126 days in March 2015 having provided misleading information with regard to its implementation of anti-money laundering improvements following earlier supervisory visits. Two approved persons at the bank were fined £19,600 and £9,900 for failing to deal with the FCA in an open and cooperative manner.

a) The question could have been dealt with either by referring to the specific regulatory concerns that arose or major risks that this created. Specific regulatory concerns arose with regard to:-
   (i) The subsidiary is involved with international remittances;
   (ii) Remittances are carried out for customers and non-customers;
   (iii) The parent bank is based in a high risk region;
   (iv) The subsidiary's and banks anti-money-laundering procedures appear to be inadequate;
   (v) The subsidiary's and the bank's anti-terrorist financing procedures appear to be inadequate;
   (vi) The supervisory visit appeared to disclose relevant inadequacy;
   (vii) The inadequacies necessitated the carrying out of skilled persons report;
   (viii) George has set out the inadequacies in a separate internal report;
   (ix) None of the necessary action appears to have been carried out;

(x) the CEO of the subsidiary has misled the FCA with regard to the carrying out of corrective action;
(xi) No further action has been taken in connection with their CEO conduct;
(xii) Neither subsidiary, bank nor bank staff have dealt with the regulators in an open and cooperative manner.

Specific money laundering risks arise with regard to breach of requirements with regard to:-

(i) Customer identification (KYC) and carrying out of customer due diligence (CDD);
(ii) Confirming whether clients are politically exposed persons (PEPs);
(iii) Possibly conducting business with clients without physical presence on a non-face-to-face basis;
(iv) Possible use of our correspondence banking relationship;
(v) Absence of enhanced due diligence (EDD) procedures for PEPs, non-face to face customers and corresponding transactions;
(vi) Reporting of suspicious transactions (SARS);
(vii) Failure to maintain effective MLRO and supporting complaints procedures.

Candidates could also have referred to the additional changes brought into effect under the Fourth EU Anti-money Laundering Directive 2015/849 which came into effect in June 2017.

Specific risks involved include:-

(i) financial risk;
(ii) regulatory risk;
(iii) legal risk;
(iv) operational risk;
(v) reputational risk;
(vi) breach of FCA PRIN and PRA Fundamental Rules;
(vii) breach of the CISI Code of Conduct;
(viii) breach of the firm's internal ethical code.

b) As a compliance officer and MLRO, George should be ensuring full implementation of all of the points made above in connection with general compliance and money-laundering specific matters.

c) George may be held liable for breach of his responsibilities as compliance officer and separately as MLRO. George may also breach other specific anti-money-laundering strategy provisions. Full details should be provided.

d) George is fully aware of the situation. He is also aware of the specific deficiencies having, in particular, prepared the internal report. George cannot fail to take action as compliance officer and as MLRO. George specifically has to act with integrity and with due skill, care and diligence under COCON 1 and 2.

George should report to his immediate manager in or outside compliance failing which to the board or non-executive directors of the subsidiary and of the bank. If proper action is still not taken, George should consider whistleblowing under the Public Interest Disclosure Act (PIDA) 1998 as amended by the Enterprise and Regulatory Reform Act (ERRA) 2013. George should also consider reporting under the CISI 'Speak Up' procedure (Prepare, Evaluate, Act and Keep trying).

e) The firm has to ensure that all of the general compliance matters and money laundering specific matters referred to in (a) above are complied with.

The firm is specifically required to act under PRIN 1 (integrity), 2 (skill, care and diligence), 3 (proper management and control), 6 (act in the best interests of customers), 8 (avoid conflicts) and 11 (be open and corporative with the authorities) as well as PRA FR 1, 2, 3 (prudent manner), 5 (effective risk strategies and management systems), 6 (responsible and effective organisation and control) and 7.

The bank must also ensure compliance with its own internal ethical code and whistleblowing procedures.

B62.

The question was concerned with the proposed new activities of a medium sized Eastern European bank wishing to set up in the UK. This would include a range of services that may require permission although it is unclear whether the bank will carry them out itself or through a UK partner bank.

a) As the entity may be carrying out regulated activities in the UK, it will be subject to the specific requirements imposed under the general prohibition, permission requirement and promotion conditions (ss 19, 20 and 21 FSMA).
Full details should be provided.

b) The relevant agencies would include the PRA, FCA and CMA although reference may also be made to FOS and FSCS as well as possibly to the Bank of England and FPC. The functions of each should have been outlined.

c) Regulated activities are defined under s20 2FSMA and the Regulated Activities Order 2001 as amended and the PRA Regulated Activities Order 2013. These outline specified investments and investment activities. This would include deposits and deposit taking, consumer credit and mortgage services (advising on and arranging finance transactions). Providing payment services do not require authorisation as such although firms providing electronic means of payment are subject to the Payment Services Regulations (PSRs) unless exempt as a small payment institution (SPI). Dealing in foreign exchange is not a regulated activity under the FSMA although foreign exchange dealing as principal would be governed by the Bank of England's Non-Investment Products (NIP) Code (November 2011).

d) Given that the UK is no longer an EEA country, the bank will need to apply for direct authorisation in the UK.. The candidate should discuss the process used to apply for a UK licence.

The FCA provides guidance on the regulatory perimeter under its PERG manual. This includes general guidance on authorisation and regulated activities (PERG2), electronic money (PERG3), mortgage related activities (PERG4) and the Payment Services Regulations (PERG 15).

e) The rights and relevant procedures applicable to the passporting of regulated activities by EEA authorised institutions across the EEA either on a services or establishment basis should have been explained.

B63.

The question was concerned with the proposed activities to be carried out by a new Financial Technology (FinTech) platform in the UK including with specific reference to money laundering compliance. The platform has already been placed within the FCA Regulatory Sandbox.

a) A number of specific concerns arise with regard to financial crime issues:-
   - (i) The platform intends to source funds from across the world without further explanation;
   - (ii) The platform does not appear to have any specific anti-money laundering controls in place especially with regard to funding sources;
   - (iii) No information is provided with regard to the appointment of an MLRO;
   - (iv) Relevant sources of funds may include high risk jurisdictions;
   - (v) The platform may be involved with non-personal non-face to face transaction;
   - (vi) The platform may be involved with correspondent banking services;
   - (vii) The loans may specifically be used to integrate criminally derived funds into the regular financial system;
   - (viii) The involvement of younger people may expose them to becoming involved in criminal activities, for example, in acting as a mules.

   Separate ethical issues also arise:-
   - (i) The platform wishes to lend to potentially vulnerable borrowers;
   - (ii) These potential clients may not be able to assess the financial terms and conditions on offer effectively;
   - (iii) They may consequently not make them most informed choices or incur high levels of debt;
   - (iv) The firm must ensure that it is acting in the best interests of its customers and treating them fairly (PRIN 6);
   - (v) The platform must also ensure that it maintains good financial resources (PRIN 4 and FR 4);

(vi) The firm must also ensure that none of its clients become exposed to any criminal activities (above).

The firm must more generally ensure that it acts with integrity, due skill, care and diligence and maintains effective management and control systems (PRIN 1, 2 and 3 and FR 1, 2 and 6).

b) All relevant money laundering offences should be explained including relevant penalties and defences.

c) Enhanced due diligence (EDD) may be required due to the involvement of PEPs, non-face-to-face dealings and correspondent banking. The nature of the higher identification requirements imposed under EDD should have been explained.

d) The firm must ensure that it maintains effective systems and controls including with regard to money laundering (PRIN 3 and FR 5). Specific obligations on financial crime are imposed under FCA SYSC 6.3 including with regard to money laundering risk, regular assessments, separate statutory obligations, Joint Money Laundering Steering Group compliance, implementation, training and allocation of responsibility (SYSC 6.3.1-8). Firms are also required to appoint an MLRO (SYSC 6.3.9-10). The FCA provides separate guidance on financial crime (SYSC 6.3.11 and FC). The full range of FCA sanctions may be imposed including restriction of promotion, withdrawal of authorisation, public and private censure and fine.

e) The platform should take all necessary action to avoid breach of the relevant regulatory, statutory and ethical matters referred to in sub-question (e) above. It should also be open and cooperative with the FCA and PRA (PRIN 11 and FR 7). Financial technology may specifically be used for regulatory compliance (RegTech) purposes in the following ways:-

(i) Carrying out customer identification (KYC) and customer due diligence (CDD);

(ii) Carrying out EDD;

(iii) Monitoring accounts and identifying any suspicious transactions;

(iv) Submitting suspicious transaction reports (SRRs);

(v) Monitoring high risk jurisdictions;

(vi) Monitoring PEPs;

(vii) Monitoring other customer account activity including servicing and any missed payments;

(viii) Reporting to customers on a regular or specific basis;

(ix) Submitting all relevant regulatory returns to authorities in each jurisdiction with which the platform is involved over time.

B64.

The question raised a number of issues with regard to inter-bank market activity and specifically the under reporting of positions during the UK financial crisis as part of Bank of England liquidity auctions. The Serious Fraud Office (SFO) in the UK opened an investigation into alleged malpractices in the auctions in March 2015. The Bank's Oversight Committee had earlier published a separate report by Lord Grabiner QC on the Bank of England Foreign Exchange Market Investigation (November 2014) covering foreign exchange activity between 2005 and 2013.

a) Specific concerns arise with regard to possible market abuse having been carried out by the bank in the liquidity auctions. Market abuse was previously controlled under s 118 FSMA with this being repealed with the coming into effect of the EU Market Abuse Regulation (MAR) 596/2014 which contains specific directly applicable provisions in this regard. The MAR is implemented through European Securities and Markets Authority (ESMA) Guidelines and amendments to the FCA Handbook. The MAR came into effect on 3 July 2016 although the question could have been answered with regard to either FSMA or the MAR. Candidates should have referred to the general nature of the offences created and defences and penalties available. Reference may also have been made to the new offences on benchmarking imposed under a 91 of the Financial Services Act 2012 although this was possibly not strictly a benchmarking question.

b) Separate regulatory concerns specifically arise with regard to PRIN 1 (integrity), 2 (skill, care and diligence), 3 (proper management and control), 6 (act in the best interests of customers), 8 (avoid conflicts) and 11 (be open and corporative with the authorities) as well as PRA FR 1, 2, 3 (prudent manner), 5 (effective risk strategies and management systems), 6 (responsible and effective organisation

and control) and 7. Concerns also arise with regard to breach of the CISI Code of Conduct.

c) You have to consider escalating the matter within the firm. You should report to your immediate manager in or outside compliance failing which to the board or non-executive directors. If necessary, you could consider using the whistleblowing procedures provided for under the Public Interest Disclosure Act (PIDA) 1998 as amended by the Enterprise and Regulatory Reform Act (ERRA) 2013. You could also consider reporting under the CISI 'Speak Up' procedure (Prepare, Evaluate, Act and Keep trying).

d) The authorities may consider imposing a full range of sanctions on the firm. These include imposing temporary restrictions on activities, permission restrictions, withdrawal of authorisation, public and private censure and fines.

e) The bank has to act in an open and cooperative manner in dealing with the FCA and PRA (PRIN 11 and FR 7). The firm should make full disclosure of the internal report to the authorities with a full list of corrective action intended to prevent any similar occurrence in future. This may include taking disciplinary action against the original staff involved as well as the Head of Treasury Department for failing to take necessary action following the completion of your report and failing to disclose this to the authorities.

B65.

The question raised a number of compliance and ethical issues in connection with a possible market abuse and potential money laundering situation. It is expressly stated that you are the compliance officer and that you are therefore examining the facts from a compliance perspective.

Candidates should have carefully read each sub-question set and noted the relevant mark allocation and then moved through the question dealing with each of the issues raised in turn.

a) The initial matter to be considered concerned reporting obligations which could either have been dealt with generally in terms of the compliance function as a whole or the specific regulatory breaches concerned. The most complete answers included both. The nature and importance of compliance and the role and function of the compliance officer could initially have been summarised and the compliance officer's responsibility for managing regulatory risk. This could have been dealt with in terms of function or risk or both. Relevant functions relate to:

i. Compliance culture
ii. Training and communication
iii. Advice
iv. Monitoring and oversight
v. Developing and implementing relevant strategy
vi. Issue resolution, problem solving and compliance
vii. Managing the firm's relations with the regulatory authorities

Risks and risk assessment can be summarised in terms of market, credit, operational, legal and other risks. Specific issues raised in the particular question include potential market abuse(insider dealing and misuse of information) and insider trading as well as possible money laundering as well as breach of a number of provisions in PRIN, SYSC, COCON and FIT. Particular issues raised include:

i. Internal and external reporting of possible market abuse including to FCA and criminal authorities by client and corporate broker (insider dealing and misuse of information);
ii. Internal and external reporting of possible insider trading by client and corporate broker;
iii. Internal and external reporting of possible money laundering by client, including to NCA;
iv. Internal and external reporting of possible systems and control failures, including under SYSC 3 and 6 as well as SYSC 4, 5, 7, 9 and 10 for common platform firms;
v. Internal and external reporting of possible senior management failures under SYSC 2;
vi. Internal and external reporting of possible conflicts of interest, especially at CEO level;

vii. Possible compliance and reporting systems failures, especially at Head of Risk level;
viii. Possible breach of a number of high level principles, including PRIN 1, 2, 3, 5, 8 and 11;
ix. Possible breach of a number of provisions in COCON;
x. Possible breach of a number of provisions in FIT and COND;
xi. Possible breach of a number of provisions in TC;
xii. Possible breach of a number of principles within CISI Code of Conduct, including 2, 3, 4, 5, 6 and 8;
xiii. Possible need to consider 'Whistle-Blowing' under Public Interest Disclosure Act.

Reference may also have been made generally to any of the following:

i. Irregular transactions and transaction reporting;
ii. Lack of proper communication and follow-up;
iii. Possible record failures;
iv. Possible oversight failures;
v. Possible criminal investigation;
vi. Possible disciplinary action against you as compliance officer and approved person;
vii. Possible regulatory action by FCA against firm and other parties, including breach of s59 FSMA and liability under 71 FSMA.

All of this has still to be balanced against the amount of actual information you have concerning the underlying regulatory or criminal breaches by the client and your limited resources to investigate, including relevant jurisdictional issues. Again, a strict compliance position has to be balanced against the larger ethical position of the firm and the need to uphold its reputation and professional standards more generally.

b) The compliance officer may initially have tried to discuss the concerns raised with the Head of Risk and CEO again to confirm their positions and confirm the information with the Portfolio Control Function. This may involve conducting an internal review of the transactions concerned and the client's trading performance more generally. Candidates should then have noted further possible reporting lines including:

i. Immediate line manager (if relevant);
ii. Audit Committee;
iii. Risk Management Committee;
iv. Non-Executive Directors or NedCO;
v. Group Compliance and parallel relevant committees and senior personnel; and
vi. FCA or CISI where necessary.

Relevant problems in the particular case nevertheless included:

i. Head of Risk's positions and possible close relationship with CEO;
ii. Possible conflict of interest with CEO and possible close relationship with the client;
iii. Possible specific conflict of interest with CEO managing client relationship and absence of any independent function;
iv. The relative importance of the CEO's position within the group being a 20% owner of the London operation;
v. Relative inexperience of Head of Risk in managing relevant issues having only recently arrived at firm;
vi. Limited and inconclusive nature of information available (above);
vii. Limited investigation resources available (above);
viii. Possible conflicting US and UK jurisdictional issues.

Candidates may have also included specific comment on the possible relevant offences of market abuse, insider trading and money laundering involved and the extent to which these may have been breached on the basis of the limited information available.

c) Relevant other corrective action could have included:

i. Conduct internal review of all relevant systems and controls;
ii. Conduct internal review of compliance function and reporting lines within firm and group;
iii. Conduct internal review of all external reporting lines;
iv. Conduct internal review of Portfolio Control Function;
v. Conduct internal review of client classification procedures;
vi. Conduct internal review of best execution only dealing arrangements;

vii. Conduct internal review of conflicts of interest policy;
viii. Conduct internal review of relations with other professional counterparties involved;
ix. Review approved person arrangements;
x. Conduct internal review of Training and Competence procedures, especially concerning market abuse, insider training and money laundering.

Reference may also be made to the following:

i. Report to FCA on possible breaches and remedial action taken;
ii. Review portfolio management functions;
iii. Review record keeping and reporting procedures;
iv. Review client asset management procedures;
v. Review client communication procedures including follow-up processes;
vi. Review professional indemnity and insurance arrangements;
vii. Review any other outstanding operational or reputational risk management issues that arise.
viii. Arrange management meeting to consider reviews;
ix. Consider possible suspension of relevant staff in extreme case;
x. Consider reopening specific transactions where necessary.

Relevant FCA enforcement action and penalties and other possible criminal sanctions should have been noted with possible reduction under executive settlement scheme.

Possible breaches of the CISI Code may also have been considered and referral of the matter to the CISI.

B66.

The question raised a number of issues with regard to the establishment of a new 'Robo advisory' service in London. Robo advice constitutes part of the range of new financial technology (FinTech) platforms under development at this time. The firm has been placed within the FCA regulatory sandbox as part of its Project Innovate initiative (https://www.the-fca.org.uk/firms/fintech-and-innovative-businesses).

a) The FCA published a Financial Advice Market Review (FAMR) in March 2016 jointly with the Treasury which examined the quality of financial services advice and the 'advice gap' in the UK with specific recommendations being made on affordability, accessibility and liability and consumer redress (https://www.fca.org.uk/publication/corporate/famr-final-report.pdf). Recommendation 2 of the FAMR specifically called for the definition of regulated advice based on personal recommendation following MiFID with other initiatives being adopted to assist the provision of 'streamlined' advice subject to appropriate safeguards. The FAMR also considered non-advice services, fact-finding processes and employer and trustee fact sheets (Recommendations 3, 10 and 11). A Financial Advice Working Group (FAWG) was set up following the review (Recommendation 1).

The FCA set up a separate specialist Advice Unit (FAMR Recommendation 9) to assist firms with regulatory feedback on developing automated models for advice delivery. This includes the provision of individual responses and other tools and resources. The Unit initially focused on investments, pensions (accumulation and decumulation) and protection with this to be extended to mortgages, general insurance and debt sectors.

b) All of the principal statutory provisions contained the FSMA as amended would initially apply. This includes the general prohibition (s19 FSMA), permission requirement (s20 FSMA) and restrictions on promotion (s21 FSMA). The firm would have to apply for Part IV permission (s40 FSMA) to become authorised (s31(1)(a) FSMA) and comply with the threshold conditions imposed (s41 and Schedule 6 FSMA as amended and COND). Relevant personnel would have to be approved persons (s59 FSMA), or subject to the new senior managers and certification regimes, and comply with the suitability requirements imposed under FIT and conduct requirements in COCON. The firm would be subject to the rules and guidance imposed by the FCA and PRA (ss137A, 137G and 139A FSMA including the FCA PRIN, PRA Fundamental Rules and all other relevant provisions).

The firm would have to apply for permission in each of its proposed principal areas of activity. Regulated activities are defined in s22 FSMA and the Regulated Activities Order 2001 (as amended) and the FSMA 2000 (PRA Regulated Activities) Order

2013. The 2013 Order divides activities between the FCA and PRA by specifying that anything not specifically assigned to the PRA under the Order is reserved to the FCA. Permissible activities overseen by the FCA will include inter alia providing investment advice (RAO art 53) as well as managing investments (RAO art 37), dealing in investments (RAO arts 53 14 and 21) and arranging deals in investments (RAO art 25).

c) The full range of regulatory penalties may be available against the firm including variation of permission (s45 FSMA), suspension of permission (s206a FSMA), cancellation of Part 4 permission (s54 FSMA), withdrawal of authorisation (s33 FSMA), public censure (s205 FSMA), financial penalties (s206 FSMA), requests for information (s165 FSMA and Schedule 12 FSA 2012), independent inquiry (s68 FSA 2012), administration, receivership, winding-up or bankruptcy (Part 24 FSMA, Banking Act 2009 and Schedule 14 FSA 2012), injunctions (s380 FSMA), restitution (ss382 and 384 FSMA), suspension of financial instrument from trading if appropriate (s36 FSA 2012), complaint by a consumer body (super-complaint under s234c FSMA and s43 FSA 2012), regulated person reference (s234d FSMA), OFT investigation (s234h FSMA), action under product intervention rules (s137d FSMA 2000 and s24 FSA 2012) and skilled persons report (s166 FSMA).

d) Financial guidance rather than advice would not generally be regulated. HM Treasury published a consultation paper and response on Amending the Definition of Financial Advice in September 2016 and February 2017. Advice would only be regulated where the firm made a personal recommendation. An exemption would be provided to art 53(1) where no personal recommendation was made. This applied the definition under MiFID although the existing provisions are retained in respect of the boundary between regulated and unregulated firms. Regulated firms are to be able to provide more advanced guidance services without these constituting regulated advice with unregulated firms being regulated where they advise on investments. The changes would come into effect from 3 January 2018.

The FCA issued a Guidance consultation on Streamlined Advice in April 2017 (GC 17/4). This distinguishes full advice and streamlined advice. Streamlined advice is limited to one or more of the client's specific needs and does not examine circumstances not directly relevant to those needs. This includes simplified advice

(with the firm setting out the boundaries) and focused advice (with the client specifying the boundaries). Streamlined advice will include Robo advice and automated services as well as face to face advice.

Firms are required to obtain necessary information on the client's knowledge and experience, financial situation and investment objectives under the fact finding process. Fact finding processes would be simplified and made more portable. Additional guidance is provided on generic advice that would not be covered. Employees can also be provided with information by employers and trustees through fact sheets.

e) The company would have to apply for permission to cover any new regulated activities. Regulated activities are defined in s22 FSMA and the Regulated Activities Order 2001 (as amended) and the FSMA 2000 (PRA regulated Activities) Order 2013. The 2013 Order divides activities between the FCA and PRA by specifying that with anything not specifically assigned to the PRA under the Order is reserved to the FCA.

The RAO distinguishes between specified investments and specified activities. Specified investments include investments, deposits, contracts for insurance, shares, instruments creating or acknowledging indebtedness, government and public securities, instruments giving entitlement to investments, certificates representing certain securities, units in a collective investment scheme, rights under a stakeholder pension scheme, options, futures, contracts for differences, Lloyd's syndicate capacity and membership, funeral plan contracts, regulated mortgage contracts and rights to or interest in investments (RAO arts 73-89).

Specified activities include accepting deposits, insurance, dealing in investments as principal, dealing in investments as ageing, arranging deals in investments, managing investments, safeguarding and administering investments, sending dematerialised instructions, establishing collective investment schemes, establishing stakeholder pension schemes, advising on investments and other activities relating to Lloyds, funeral plan contracts, regulated mortgage contracts and agreeing to carry on activities (RAO arts 5-65).

B67.

The question was concerned with the responsibilities of various parties within a bank where difficulties arose in managing the preparation of an Anti-money laundering review process. The initial report was to be prepared by a specific deadline although this has brought forward with one of the members of staff being on leave and not leaving her section of the report in a shared team folder. IT was misled into agreeing to reset the password access to allow access to confidential files to complete the report in time.

a) The parties concerned were responsible as follows:

(i) Henry, the junior compliance officer:

(a) Henry was the person who convinced Jess to call IT and pretend to be Charlotte and could be considered responsible for gaining access to Charlotte's folder;

(b) However, he cannot be held responsible for the position he found himself in (having been left alone with a changed deadline for completion of the project);

(c) There were still other choices available to him including:

- He could have called Gavin to retrieve the information, even though doing so may have annoyed him;
- He could have set out over the phone or (even better) in writing to Grace why he would be unable to get the information to her by 08:30 am on Friday, and given her a new deadline of later in the day when Charlotte would have been back in the office;
- He could have provided Grace with the information available to him and let her know that the remaining information would be sent to her when Charlotte returned to the office;

(d) He did try to mitigate the situation by changing Charlotte's password again after accessing the relevant information, ensuring that Jess would not be able to gain access again.

(ii) Charlotte, the recently promoted compliance manager:

(a) Charlotte may be considered partly responsible for the situation arising by booking leave at a critical time and not conducting a proper hand over to Henry before she left, ensuring that he had access to all the necessary information;

(b) However, her responsibility could be considered mitigated by the fact that she was clearly under pressure and over worked, without receiving the required

support from Winter Bank.

(iii) Grace, the Compliance Director:

(a) Assigned a very important project to a junior member of staff and a recently appointed manager, she should have offered more support or involved someone more senior;

(b) Reconsidered approval of Charlotte's last-minute leave request, knowing that she would not be back in the office until Thursday with the project needs to be finalised on Friday;

(c) Not given Henry tacit approval to use any means necessary to get the report to her by Friday morning by saying, 'I don't care what you need to do to get this done' which allowed Henry to justify (to himself, if not others) that getting Charlotte's password was the right thing to do. Her forceful attitude did not leave Henry with many other choices if he is going to comply with her demands;

(d) Grace's position as Compliance Director (with responsibility for overseeing the whole Compliance function within Winter Bank) means that she is ultimately responsible for the actions of her team, particularly under the Senior Managers & Certification Regime, as Grace will most likely hold the SMF16 (Compliance Oversight) function within Winter Bank.

(iv) Gavin, the MLRO:

(a) Technically, Gavin could be considered responsible because of his position as SMF17 (Money Laundering Function) within Winter Bank;

(b) His attitude and uncooperative nature meant that Henry did not feel comfortable approaching him with a problem, which is indicative of a poor leadership and management style;

(c) While everyone is entitled to a 'home life', and it is important to keep a distinction between work and home, in many modern companies, some degree of flexibility is expected, particularly of senior managers. Knowing that Charlotte was away, Gavin may be considered partly responsible for Henry gaining access to Charlotte's computer because he was inflexible and did not offer Henry any additional support with the project.

(v) Jess, Henry's colleague:

(a) Jess is responsible in that she acquiesced to Henry's request to call IT and pretend to be Charlotte in order to gain access to her computer and must have

known she was doing something wrong;

(b) The extent to which Jess is responsible may be mitigated depending on whether she has undergone any IT or data security training. If 'yes', she would be expected to know better. If 'no', questions might be asked about Winter Bank's responsibility for letting this situation occur by not ensuring staff had received training on data security.

(vi) Sam, IT support:

(a) Did not ask any questions to verify that he was speaking with Charlotte.

(b) Even if one could make an excuse for Jess not having undertaken data security training, the same cannot be said of Sam. As a member of IT staff at Winter Bank, he is at least partly responsible for ensuring security procedures are adhered to.

b) With regard to the risks involved, the wider risks and implications were as follows:

(i) Staff were overworked and under pressure, which could lead to mistakes and situations where they felt that they needed to bend their values and the rules in order to achieve the objectives;

(ii) Staff felt unable to raise concerns with management, or approach them for guidance and support, which may lead to problems going undetected for long periods of time and become more serious and are not resolved at an early stage;

(iii) This is a particular risk when you consider that Gavin is the MLRO. People should feel as though they were able to approach him with any Money Laundering concern, although his unapproachable nature would put people off doing so, leaving the company at risk of breaching Anti-Money Laundering rules and regulations;

(iv) Lack of training and awareness of issues of IT/data/cyber security which could lead to more serious problems such as with staff falling prey to a phishing attack or other cyber/data leak (possibly involving customer details).

The specific risks for Winter Bank as a result of this occurring were as follows:

(i) An investigation should be conducted by the Information Commissioners Office into the data breach created when Sam gave Jess Charlotte's password without verifying who he was talking to;

(ii) An investigation could be carried out by the FCA into Grace and Gavin regarding their involvement and their statutory Duties of Responsibility under SM&CR which specifies that the regulators can take action against a senior manager where:

- There was a contravention of a relevant requirement by the senior manager's firm;
- At the time of the contravention or during any part of it, the senior manager was responsible for the management of the activities in relation to which the contravention occurred; and
- The senior manager did not take such steps as a person in their position could reasonably have been expected to take to avoid the contravention occurring or continuing.

c) In terms of preventing this from occurring, the following action could have been taken:

(i) Henry could have raised his concerns about Charlotte being put under too much pressure or Charlotte could have sought support about this herself; Grace could have assigned a more senior staff member to work on and support the project;

(ii) Grace should also not have approved Charlotte's last-minute leave request, knowing that doing so would leave Henry (a junior staff member) working on the project on his own right before the deadline;

(iii) Charlotte could have delayed her annual leave until after the project was completed or at least conducted a proper hand over to Henry before she left in order to double-check that he had all the relevant information available to him;

(iv) Grace should not have changed the brief (in which she said she needed the report by Monday) at the last minute with her attitude and language leaving Henry with few choices about how to act and even tacitly approving any means to obtain the required information;

(vii) Jess should have told Henry that she was not comfortable about pretending to be Charlotte in order to have the password reset;

(v) Sam should have followed basic security processes and checked to verify that he was speaking with Charlotte before resetting her password;

(vi) Winter Bank should have ensured that all staff had received appropriate data security training.

d) In terms of whether Grace and Gavin were more liable than the others:
(i) Grace and Gavin were both hold Senior Manager Functions under the Senior Managers and Certification Regime (SMF16 (Compliance Oversight Function) and SMF17 (Money Laundering Reporting Function) respectively);
(ii) As a result, they were held individually accountable for the specific responsibilities outlined.
(iii) Given that Henry and Charlotte worked in Grace's team and that the project was a review of Winter Bank's Anti-Money Laundering processes, both Grace and Gavin could be considered responsible under the SM&CR, for what has occurred depending upon the list of responsibilities each of them has been allocated under Winter Bank's responsibilities map;
(iv) COCON 2.2.2R provides that, 'You must take reasonable steps to ensure that the business of the firm for which you are responsible complies with the relevant requirements and standards of the regulatory system;'
(v) A government statement released in October 2015 also explained the Statutory Duty of Responsibility as follows, 'The same tough underlying obligation will remain on the individual to ensure that they take reasonable steps to prevent regulatory breaches in the areas of the firm for which they are responsible, but the burden will be on the regulators to prove that a senior manager has failed to do this;'
(vi) For these reasons, it can be considered that Grace and Gavin are more liable for what has occurred than the other parties involved.

It might also have been noted that while not a character mentioned referred to expressly, the senior manager responsible for oversight of data protection and IT security may be considered liable if it was found that Winter Bank staff were not properly trained in data protection and IT security as it was this process/policy which was breached by both Jess and Sam.

B68.

An overseas bank is considering establishing either a representative office or a branch or subsidiary in the UK to undertake Islamic finance activities. A number of issues are raised. The FSA, for example, examined similar issues in FSA, Islamic Finance in the UK:

Regulation and Challenges (November 2007) with former Chairman, Sir Howard Davies, commenting on Islamic Banking and Finance at a conference in Bahrain in September 2003.

a) A representative office is an office established by a bank in an overseas territory for marketing and client development with only non-transactional operations being carried out. A representative office is not separately regulated and cannot engage in regulated activities. The term representative office is not separate defined in the FCA Glossary.

   A bank wishing to undertake a regulated activity in the UK can either do so through the establishment of a branch or a subsidiary. A branch is an office operating under the name of the parent institution with a subsidiary being a separately created company in the host state with separate legal personality.

b) The bank would be subject to the general prohibition (s19 FSMA), permission requirement (s20 FSMA) and restrictions on promotion (s21 FSMA). The list of authorised persons is provided under s31 FSMA with applications for Part IV permission being made under s44 FSMA. Islamic finance is not separately defined under the Combined Glossary nor in the Regulated Activities Order (RAO) as amended. Islamic finance would still generally involve one or more other regulated activities including specifically accepting deposits, which would be subject to the general prohibition. Regulated activities are 'by order' as set out in the RAO (s22 FSMA) with offences for contravention of the general prohibition being imposed (ss23-25 FSMA) and with agreements being unenforceable against the other part (s26 FSMA).

c) The bank would have to apply for Part IV permission (s40 FSMA) to become authorised (s31(1)(a) FSMA). The bank would have to satisfy the revised threshold conditions (s41 and Schedule 6 FSMA as amended and COND). The threshold conditions were amended under the Financial Services and Markets Act 2000 (Threshold Conditions) Order 2013 (SI 2013/555) with each authority being able to issue conditions under s137O FSMA with guidance being provided under the Perimeter Guidance Manual (PERG). The threshold conditions generally cover location of offices, effective supervision, appropriate resources and suitability with

an additional business model condition being added (COND 2.7 and para 2F Schedule 6 FSMA).

The bank would be dual regulated by the PRA and FCA with the application for authorisation being made through the PRA which would coordinate with the FCA. The application forms are now made available on the PRA website although held on the FCA website under the PRA and FCA names. Full and restricted application options are available with applications being considered within 6 months if they are complete and 12 months if they are incomplete.

The application form generally covers core details; business plan; scope of permission; financial resources, recovery and resolution; human resources; compliance, internal audit & policy; infrastructure; regulatory reporting; fees & levies; and fee, checklist and declaration. Separate pdf documents are available on Banking Authorisation Process (January 2014) and Banking Authorisation Process – Applicant Journey (June 2013). A separate document on 'Considerations for firms thinking of using third-party technology (off-the-shelf) banking solutions' (July 2014) is also available. Diagrammatic summaries are provided for the application process in the Applicant Journey document. The PRA and FCA cooperate in the process and either act jointly or with one authority taking the lead.

d) As a dual regulated firm, the bank would be subject to prudential regulation by the PRA and conduct regulation by the FCA. Further information on the respective roles and functions of each authority could have been provided. Reference may also have been made to the Financial Ombudsman Service (FOS), Financial Service Compensation Scheme (FSCS), the Complaints Scheme and Complaints Commissioner as well as the Competition and Markets Authority (CMA), Competition Commission and the Financial Policy Committee (FPC) within the Bank of England although this was not strictly necessary.

e) Financial services may be provided in other EU and EEA Member States would require a separate licence and permission granted by an EEA member state. Relevant procedures may have been outlined depending upon whether the firm wish to exercise an establishment or service right. Firms authorised and holding

permission in London have no direct rights to provide services or establish in other Member States following the U.K.'s withdrawal.

B69.

The question raised a number of issues with regard to implementation of the EU General Data Protection Regulation (GDPR) within the UK. The Data Protection Act 2018 also come into effect in May 2018. A boutique wealth management firm has adopted new GDP are complied processes which include a checklist facility. A number of parties are involved including a student, the head of human resources, the person responsible for data protection compliance and one of the firm's star fund managers. A number of difficult issues arise with regard to their actions and relations in terms of GDP are an ethical compliance.

a) Staff members responsible for data protection within Secure Wealth:

- Ganesh, the Head of Operations
  - The story mentions that Ganesh is 'responsible for implementing the data protection process' at Secure Wealth.
  - Whilst this is a task that is most likely going to be assigned to the company's Data Protection Officer (DPO), it is not explicitly mentioned that Ganesh is the DPR for Secure Wealth.
  - Secure Wealth may not even need to appoint a DPO. A data controller or processor is only obliged to appoint a DPO where:
- It is a public authority – Secure Wealth is not a public authority.
- Core activities involve regular and systematic monitoring of individuals on a large scale – As a boutique wealth management firm, one can assume that the company does not have enough clients to be classed as 'large scale'.
- Large-scale processing of sensitive data or criminal records takes place – Sensitive data includes information about racial or ethnic origin, political opinions, religious or philosophical beliefs, trade union membership, genetic or biometric information, data concerning health or a person's sex life or sexual orientation. It is unlikely that Secure Wealth hold this kind of information. The only exception could be if they hold information about their client's criminal history, obtained through the firm's due diligence process, in which case they may wish to appoint a DPO.

- A member state's law requires a DPO to be appointed – UK law does not require a DPO to be appointed.
  - Nevertheless, Ganesh does seem to be in a position of authority regarding the data protection policies within secure wealth and may well held at least partly responsible for any failing in that process.

- Nina, the Graduate Trainee
  - Nina has been asked by Ganesh to ensure all the teams are following the data protection process carefully and diligently.
  - However, she did not write the policy, is not responsible for assessing its overall effectiveness, and is merely assisting Ganesh with implementation.
  - Whilst she is therefore involved in the process, she is a junior member of staff employed as a Graduate Trainee and should not be held ultimately and individually accountable for data protection within Secure Wealth.

- Bob, the Fund Manager
  - As a Fund Manager, Bob is likely to be held responsible for protecting the data of the clients assigned to him. Should he lose a client file, for instance, that will be his responsibility, and he should be held accountable.
  - However, it is not easy to make the argument that Bob should be ultimately responsible for data protection across Secure Wealth.

- Hilary, the Head of HR
  - As an HR Manager, Hilary will have access to sensitive data about staff members (for example, criminal history, racial or ethnic origin, religious or philosophical beliefs, sexual orientation and data about an employee's health. She is therefore responsible for the protection of that data regarding the staff members at Secure Wealth.
  - However, she may not even be able to access the client information folders. Therefore, much like Bob, whilst Hilary is responsible for a subset of the data which is held by Secure Wealth, it does not seem appropriate that she would be ultimately responsible for data protection across Secure Wealth.

- The CEO/Board Members/The Chairman

- The buck stops with the CEO and/or people in charge of the organisation, such as the Chairman and Board members.
- There have been instances where companies have suffered a large-scale data breach, and the CEO has stood down as a result.
- The Board (and perhaps Executive Team) are responsible for setting the policy which staff must adhere to on data protection, ensuring staff are properly trained on how to manage client data, and choosing how to respond to threats and breaches.
- These senior figures also set the tone from the top, making sure that staff take data protection seriously, as well as creating an open environment where staff feel confident admitting when mistakes are made and raising concerns about processes not working or misconduct by fellow employees.
- There are therefore the figureheads of the organisation and could be considered ultimately responsible for data protection at Secure Wealth.

- All staff members.
  - All staff members have a role to play when it comes to data protection, and there have been instances where employees have been held individually responsible for data breaches and faced dismissal or legal action as a result. It therefore cannot be said that one sole person is held responsible for data protection, as all staff have a role to play.

b) Risks associated with the scenario.

The wider risks/implications which this fact pattern highlights are as follows:

- When it comes to data protection, an organisation is only as strong as its weakest link. For that reason, the concerns Nina has raised about Bob's attitudes towards compliance with the data protection policies are significant and suggest that the company is at risk of non-compliance with data protection rules, including GDPR.
- Hilary's response is also concerning. As a senior leader she should be more alert to possible breaches or non-compliance with the Secure Wealth data protection policy and processes and should not respond as she did to Nina ("I'm not really responsible for our data processes... that doesn't sit within my team.").

  - The risk is that, if senior managers do not feel accountable for the data protection process, it leaves Secure Wealth open to risks from certain teams within the organisation. Tone from the top (including team managers) is important.
  - Additionally, putting too much responsibility onto Ganesh (if, indeed, he is responsible for data protection at Secure Wealth) leaves the organisation open to risk should something happen, and Ganesh be on holiday, unwell, or out of the office for some other reason.
- A wider risk can be seen about the attitude to Bob. Hilary says that Bob is reliable, but Nina has witnessed him behaving in a way that is anything but. Does Secure Wealth have an accurate impression of its managers, or, is Bob a bully who everyone is afraid to stand up to?
- The clear risks are about whether client's data is secure (and whether or not there has already been a breach of their data) and, if the data is not secure or has been breached, the regulatory and reputational risk to Secure Wealth.
  - Under the GDPR, data protection supervisory authorities may impose penalties for non-compliance – set as the greater of €20 million or up to 4% of the total worldwide annual turnover of the company, Additionally, data protection supervisory authorities can require organisations to cease processing personal data, which could stop the organisation from carrying on business.

c) The following incidents represent possible breaches of data protection:

- Bob has taken documents with his clients' personal information on them outside of the office to work on whilst commuting.
  - This could be considered a breach of physical security. Data protection is not just about cyber-attacks and digital information, but also includes physical information that can be removed from an office premises.
  - It is significant that the information Bob has taken out of the office includes clients' personal details.
  - The risk is that he has ever left any of these documents on the train, or in a public space. But, even if he has never lost the documents, there is still the possibility that someone has read the documents over his shoulder or whilst sitting next to him, which could constitute a data breach.
- Bob uses his personal email address to communicate with clients as well as his work address.

- The use of a personal email address means that Secure Wealth are not able to monitor effectively the security or nature of the information that is being exchanged with clients. This puts Secure Wealth at risk of a data breach.
- There is no suggestion here that this activity had led to a data breach, however, as Bob seems to be communicating with his existing clients.
- Nevertheless, it is not best practice, and may lead to the firm breaching COBS 4: Communicating with clients, including financial promotions, in that Secure Wealth may not be able to properly record the details of any financial promotion Bob is communicating to his clients via his personal email address.

- Bob accepted a call from a client's husband and gave him an update about the status of a particular fund in which his wife had invested money.
  - He claims to have had verbal consent from his client to share this information but does not appear to have that agreement in writing.
  - This could well be considered a breach of his client's data/financial information and is not best practice.

Overall, the FCA expect businesses to have a culture of security, coming from the board downwards, with a recognition that security is not an IT issue but involves people and processes as well as technology. Therefore, all of the above could be considered a breach of the FCA's expectations regarding data protection.

d) Yes, Nina could possibly be considered to be a whistleblower. Under the Public Interest Disclosure Act, disclosures qualifying for protection is defined as information disclosed by a worker (Nina is employed by Secure Wealth, even if she is just on their grad scheme, so can be considered to be a worker), including that a person has failed, is failing or is likely to fail to comply with any legal obligation to which he is subject. In this case, it appears that Bob has failed, is failing and is likely to fail to comply with Data Protection laws (including GDPR).

It does not matter whether Bob is actually guilty of the above, what matters is that Nina has a 'reasonable belief' that Bob is possibly breaching data protection requirements. Nina has made the disclosure in good faith to her employer (in this case, Hilary), defined as a personal senior to the worker, who has been expressly or implicitly authorised by the employer as having management responsibility over the worker. The story notes that Nina is expected to report directly into Hilary, although it would still have counted as a qualifying disclosure if Nina has raised her concerns with Ganesh.

This means that, should Nina be dismissed or victimised as a result of raising her concerns about Bob's conduct, she could claim protection under the Public Interest Disclosure Act.

e)

Possible actions Nina could take, and the advantages and disadvantages associated with each:

- Do nothing:
  - Nina is not necessarily obligated to take this any further.
  - This approach is appealing as it might seem to be the one with the least amount of risk involved for Nina.
  - However, it is the approach which represents the most amount of risk for Secure Wealth.
- Hilary's response to Nina implies that she is not going to take this matter any further.
- Doing nothing means that Bob will continue to behave in the same way, increasing the risk of a data breach.
  - Additionally, Nina has been asked by Ganesh to ensure that all the teams she works within are following the process carefully and diligently. If she does nothing, she would be failing in this task.
  - Therefore, this is not the optimal course of action.
- Ask Hilary to investigate.
  - Nina could reiterate her concerns and insist that Hilary investigate further.
  - As Nina's line manager, it is Hilary's responsibility to look into any concerns raised by the people who report into her.
  - However, Hilary is Head of HR and not directly responsible for the implementation of Secure Wealth's data protection policies.
  - It also means that Nina would still need to explain to Ganesh why she has not completed the checklist with Bob.
  - Therefore, whilst this is a good option, it is not the best course of action.
- Confront Bob.
  - Hilary has advised Nina that she should be more insistent about meeting with Bob to go over Ganesh's checklist.
  - She could therefore try again and insist that they meet to discuss it.

  - However, Bob may react badly to this, having already dismissed the idea previously, and he could be less willing to assist Nina with the development of her knowledge about wealth management.
  - Is this really Nina's responsibility? Ganesh delegated completion of the checklist to Nina, but he is responsible for oversight of the whole project and is more senior than Nina.
  - It also puts Nina in a difficult position regarding what she has witnessed Bob doing with client information so far.
  - It is therefore not the best course of action.
- Report to Ganesh.
  - This seems like the optimal approach. Hilary herself has advised Nina to make a report to Ganesh if she is seriously concerned that there is been a breach of data protection.
  - As noted previously, Ganesh is responsible for implementing the data protection process. As Head of Operations, he would also probably wish to be informed about the way which Bob is handling customer data.
  - He has both the seniority and authority to take this further. He can also advise Nina about what he thinks she should do in this situation.
  - Reporting to Ganesh is therefore the best next step Nina can take in the circumstances.
- Raise concerns elsewhere.
  - There is also an option for Nina to report her concerns elsewhere, either to another member of staff or even to the FCA or ICO.
  - Other members of staff – she could report to the Head of Compliance, for example, or even the CEO, but it has already been noted that this is Ganesh's area of responsibility, and he should therefore be informed first.
  - FCA and/or ICO – reporting to a regulator is a significant step, particularly since no significant breach of data has been identified yet. Should managers at Secure Wealth find it appropriate to inform one or more regulatory authority about what has occurred, doing so would not be Nina's responsibility.

Neither of these options are therefore the optimal approach.

B70.

The question was concerned with the implications for a UK securities firm following the UK withdrawal from the EU Single Market. The firm has a representative office in Ireland and can consider transferring operations to Dublin although this would require obtaining appropriate local authorisation. It can also consider obtaining authorisation in other Member States either directly or through the extended Dublin office.

[Tutor's Note: The issue of how the UK has withdrawn from the EU's Single Market has now been resolved following Brexit. However, I have left this question in the bank as an example of how the Examiner likes to examine 'hot topics'. Questions similar to this one appeared in several consecutive exams. It also contains useful background knowledge.]

a) As an authorised firm with its head office in the UK, the securities firm would be able to exercise passport rights under the core European financial directives. The right to carry on securities related activities in other Member States is provided for under the Capital Requirements Directive 4 (CRD 2013/36/EU) and the Capital Requirements Regulation (CRR 575/2013) and Markets in Financial Instruments Directive 2 (MIFiD 2014/65/EU) and Markets in Financial Instruments Regulation (MIFiR 600/2014/EU). These apply to institutions which include both credit institutions and investment firms (art 3(3) CRR) with passport rights for investment firms and credit institutions being provided for under art 34(1) MIFiD2. The firm in this case would be an EEA firm under Schedule 3 FSMA in relation to the MIFiD2 and be able to exercise separate underlying Treaty Rights as a Treaty firm under Schedule 4 FSMA to the extent necessary. Before the UK's withdrawal, the firm would be able to passport activities from the UK into other Member States of the EU and EEA through its parent operation in the UK.

b) Relevant procedures would vary depending upon whether the firm wished to exercise service or establishment rights in other territories. Firms are required to notify the PRA of their intention to exercise passport rights. The PRA will seek assurance concerning the risks posed to its objectives by UK firms wishing to operate elsewhere within the EEA with the review being proportionate to the possible impact on the PRA objectives. The PRA is required to assess the adequacy of the firm's resources and administrative structure and whether it complies with the requirements set out in the relevant directive. EU banks passport

under the CRD IV and securities firms under MiFID2. The Treasury issued regulations concerning the exercise of outward and inward passport rights in 2001 (FSMA (EEA Passport Rights) Regulations 2001/2511). Separate Commission technical standards were set out in an Implemented Regulation (EU) 926/2014 of 27 August 2014.

(c) All of the principal statutory provisions contained the FSMA as amended would continue to apply. This includes the general prohibition (s19 FSMA), permission requirement (s20 FSMA) and restrictions on promotion (s21 FSMA).
The firm would have to ensure that its Part IV permission (s40 FSMA) to become authorised (s31(1)(a) FSMA) was up-to-date and comply with the threshold conditions imposed (s41 and Schedule 6 FSMA as amended and COND).
Relevant personnel would have to be approved persons (s59 FSMA) and comply with the suitability requirements imposed under FIT and conduct requirements in COCON.

As an investment firm, it would principally be regulated by the FCA. The firm would be subject to the rules and guidance imposed by the FCA and PRA (ss137A, 137G and 139A FSMA including the FCA PRIN and all other relevant provisions). The question strictly referred to principal statutory restrictions although candidates may have referred to rules and guidance manuals as these are imposed under the provisions contained in the FSMA.

Reference may also have been made to the Financial Ombudsman Service (FOS), Financial Service Compensation Scheme (FSCS), the Complaints Scheme and Complaints Commissioner as well as the Competition and Markets Authority (CMA), Competition Commission and the Financial Policy Committee (FPC) within the Bank of England although this was not strictly necessary.

(d) A UK authorised London subsidiary would have no automatic rights following the UK's withdrawal from the EU unless replacement arrangements were agreed. If replacement rights were continued, the subsidiary may be able to exercise services and establishment rights across Europe. The relevant procedures would vary depending upon whether the firm wished to exercise service or establishment rights in other territories (above).

In the absence of specific arrangements, the firm would have three options following the UK withdrawal from the EU. It would have to retain its existing UK authorisation and permission to continue to operate within the UK. A representative office is only an overseas operation used for marketing and client development purposes without local authorisation to conduct transactional business. A representative office would have no rights to provide services or establishment in other Member States either before or after the UK's withdrawal. If the firm wishes to conduct regulated activities within the EU, it would then have to restructure its representative office as a full operation and apply for authorisation from the Irish authorities or apply for authorisation in another Member State either through a branch or separately incorporated subsidiary. A branch operates under the legal identity of the parent firm in the UK without any separate local legal status. A subsidiary constitutes a newly formed corporate entity within the UK or elsewhere.

e) Passport rights only apply in relation to the provision of financial services on a services or establishment basis within the EU. The firm would not automatically be able to carry on financial services in any other non-EU country. The extent to which the firm would have to make a full new original application would depend upon the relationship between the separate third country and either the UK or the EU depending upon whether the new services were to be carried on from London or Ireland.

Special rules apply under the MIFiD II in respect of assessing equivalence requirements with regard to 3rd country firms coming into the EU and establishing branches (MIFiD II art 39) which replace the earlier national provisions. The UK set out its implementation approach to these provisions in an HM Treasury consultation document in March 2015. The rights that the firm would otherwise have to carry on financial services in other non-UK and non-EU countries would depend on the arrangements agreed with the specific country concerned and the UK or EU respectively.

The establishment of non-EU branches by EU firms was referred to by the European Securities and Markets Authority (ESMA) in July 2017 with national competent authorities being required to ensure that such use was based on objective reasons where services

were provided in the non-EU jurisdiction and did not result in non-EEA branches performing material functions or services back into the EU (para 49 ESMA Opinion to support supervisory convergence in the area of investment firms in the context of the United Kingdom withdrawing from the European Union (13 July 2017 ESMA 35-43-762)).

B71.

The question raised a number of issues with regard to the effects on a fund management firm in the UK of developments in the Financial Technology (FinTech) area. The firm provides retail services principally through telephone dealing, website and platform relations. The FCA has set up a dedicated section on Fintech and innovative businesses on its new website (https://www.the-fca.org.uk/firms/fintech-and-innovative- businesses). This specifically explains the nature and operation of Project Innovate including the new Innovation Hub and Regulatory Sandbox which are intended to support the development of innovative financial products and services in the UK.

a) Financial technology could impact on the firm's activities in a number of ways. These include the following:

- Distributed Ledger Technology (DLY) or Blockchain

  Distributed Ledger Technology is a system of replicated and synchronised digital records geographically spread over multiple sites, countries or institutions. There is no centralised administrator or centralised data storage. One form of distributed ledger design is the blockchain system, which can be either public or private. A blockchain is a continuously growing list of records called blocks, which are linked and secured using cryptography. Each computer linked to the network, ("node") receives a copy of each block as it is created. Each block contains an encrypted reference to the previous block called a hash. Once recorded, the data in any given block cannot be altered retrospectively without the alteration of all subsequent blocks, which requires collusion of the network majority. The blockchain provides an open, distributed record of transactions or other information shared between two or more parties which is efficient and verifiable.

- Robo-Advice or Automated Advice

  Robo-advice comprises financial advice provided with limited or zero human intervention by software applications that combine digital user interfaces and decision-

making algorithms. Such advisors may be standalone firms or platforms or can be the in-house applications of mainstream financial institutions. A typical robo-advisor collects information from clients about their financial situation, investment goals and risk tolerance, and then uses the data to offer advice and/or automatically invest client funds.

- Chatbots

Chatbots use artificial intelligence to simulate a human conversation. They employ a technique called natural language processing to interpret human inputs (voice or text) within a defined context and respond accordingly. Chatbots can be used to answer customer queries and to action customer trade execution orders.

- Crowdfunding

Crowdfunding is a method of raising finance to fund a business, project or venture, by asking a large number of people for a small amount each.

Traditionally, financing has involved asking a few people for large sums. Crowdfunding uses the internet to contact thousands of potential investors typically using social media and then directing investors to a website set up for the purpose.

- Artificial Intelligence

Artificial intelligence is the theory and development of computer systems which can perform tasks that normally require human intelligence. These tasks include natural language processing, visual perception, speech recognition, decision making and translation between languages. This is supported by processes including machine learning (the automated acquisition of information and the inference of rules for using that information), and the application of algorithms to reach approximate or definite conclusions.

- Analytics or “Big Data”

Big data refers to very large volumes of structured or unstructured data that can be analysed, or mined, to identify patterns or trends in, for example, customer behaviour or market activity. This data can be collected from a range of sources including news reports, comments on social networks, personal electronic devices and applications, questionnaires, and financial data feeds.

- Cloud Computing

Cloud computing is the delivery of IT services from the internet via web-based tools and applications, rather than using a direct connection to an in-house server. Information is kept in a remote database accessed through the internet, rather than a local hard drive, and can be accessed from any location. Software- based services can be accessed and charged for on an on-demand basis rather than being purchased or licenced.

- RegTech

RegTech (regulatory technology) describes software applications used for regulatory reporting and compliance purposes by financial institutions. The term also refer to firms that offer such applications. RegTech offers firms the ability to deliver accurate regulatory information to regulators at reduced cost based on the consistent application of standardised reporting requirements.

- SupTech

SupTech (supervisory technology) is the use of innovative tools and systems by financial regulators to improve their supervision of regulated individuals, firms and markets and/or to reduce costs.

b) The firm's business model may be disrupted by their adopting, or their competitors adopting, FinTech services which potentially offer the following:

- Improved Marketing

The use of big data processing can be used to identify appropriate new customers or information about existing customers can be used to improve products and their delivery.

The use of social media, and particularly links with existing tech firms such as Amazon and Facebook, using the information they hold on their customers, can be used to target sales and marketing messages at the appropriate individuals.

- Enhanced Fund Management

The use of big data processing can provide additional information about the performance and activities of investment targets which may improve fund performance. One example being the analysis of satellite photographs of retail stores' carparks to assess their trade volumes.

Artificial intelligence can be used to manage trading either in the automated selection of investment opportunities based on a defined strategy, or in managing the timing and size of trades to achieve the best price.

- Innovative Distribution

The use of mobile phone apps, perhaps combined with access to consumers' bank accounts under Open Banking, may replace the existing retail distribution platforms that the firm currently relies on.

Existing, or emerging internet firms, such as Amazon and Google, may enter the market as distribution channels leveraging their large customer base and the detailed information they hold on them. Such entrants could take significant market share away from traditional distribution channels.

- More Efficient Back Office Processing

The use of blockchain links between investors, fund managers, banks, brokers and custodians could reduce costs and errors in back office processing and potentially reduce the risk of fraud.

Chatbots could be used to respond to customer queries and requests more cheaply than human support staff.

- Improved Customer Service

The use of robo-advisors to suggest investment strategies to customers based on analysis of their financial position, objectives and risk tolerance, could provide the benefits of a tailored wealth management service without the costs associated with traditional human service.

c) Relevant FCAs initiatives to support FinTech innovation within the regulatory regime include the following:

- Project Innovate

The FCAS launched Project Innovate in October 2014 to help encourage and support innovation in the financial services industry.

This work is described as central to delivering against the FCA's competition objective – it aims to encourage innovation in the interests of consumers, and to promote competition through disruptive innovation that offers new services to consumers and challenges existing business models.

The FCA uses Project Innovate to establish constructive engagement with innovative firms, from small start-ups to mass market new business models, and seeks to remove unnecessary barriers to innovation.

The project helps innovative firms gain access to timely and frank feedback on the regulatory implications of their concepts, plans and choices. It also seeks to tackle the structural issues that impede the progress of innovators entering the market.

- The Innovation Hub

A central component of Project Innovate is the Innovation Hub which provides support to new and established businesses (both regulated and unregulated) who seek to launch innovative products and services into the market.

There are no restrictions on the areas of financial services covered by the Innovation Hub: firms innovating in mortgages, capital markets and pensions can all access the Hub for help in introducing the products to the market.

The Innovation Hub also performs a horizon-scanning role by identifying new technologies and areas where the regulatory framework needs to adapt to enable further innovation in the interests of consumers.

It provides an end-to-end experience for new entrants. Firms that receive initial support from the Hub have their applications for authorisation handled by a specialised authorisation process.

The FCA provides firms with dedicated supervisory support, usually for one year post – authorisation, which gives firms a seamless regulatory experience and minimises the risk of unnecessary delay.

- International Engagement

Through engaging with international firms and overseas regulators, Project

Innovate supports the FCA's competition objective by promoting the UK as a centre for innovation in financial services.

It does this by:

  - Facilitating the entry of innovative overseas firms into the UK, thereby increasing innovation and competition in the UK financial services markets, and
  - Facilitating the expansion of UB-based innovative firms into overseas markets, potentially making the m more sustainable challengers in the UK.

As at May 2018, the FCA has signed Co-operation agreements and frameworks with regulators in Australia, Singapore, Hong Kong, Canada, China, Japan, US and Korea.

- Regulatory Sandbox

Launched in May 2016, this allows firms to test innovative products, services, business models and delivery mechanisms in the real market, with real consumers without incurring all the normal regulatory consequences of engaging in those activities

The Sandbox provides firms with:

  - The ability to test products and services in a controlled environment
  - Reduced time to market at potentially lower cost
  - Support in identifying the appropriate consumer protection safeguards to build into new products and services

- The FCA Advice Unit

The FCA Advice Unit provides regulatory feedback to firms who are developing automated advice models for consumers.

This could include:

  - An initial meeting with the Advice Unit, and other specialized areas of the FCA if needed, to discuss the proposition
  - For firms requested ongoing engagement, a dedicated point of contact in the Advice Unit to provide regulatory input at agreed milestones
  - Specific feedback on the regulatory implications of the model – this could include follow-up meetings with relevant FCA staff to discuss specific issues, informal steers and individual guidance as appropriate
  - Advice on how to apply for authorization if the firm is currently unauthorized.

The advice and feedback provided will focus on helping the firm to understand the regulatory implications of their model.

d) The challenges that FinTech developments could create to the FCA's statutory objectives include the following:

- **Impact on** the **Consumer Protection Objective**

Poorly designed robo-advice algorithms, or their use without adequate Know- Your Customer information gathering, may result in large numbers of customers receiving inappropriate advice of being sold inappropriate products of services.

The use of cryptographic and/or biometric identification may improve the security of financial transactions and reduce the opportunities for fraud.

Consumers dealing with firms over the internet may unwittingly be transacting with unregulated firms or be taken in by fraudsters.

- **Impact on** the **Integrity Objective**

  RegTech has the potential to increase the efficiency and effectiveness of market supervision by providing regulators with near real time data access and automated regulatory reporting.

  Big data has the potential to improve supervisor's monitoring of regulated individuals and firms through insights gained from automated analysis of data, for example through the application of natural language processing to the analysis of news reports, annual reports and accounts, broker research, market trade data and press releases

  Unregulated third party service providers providing critical services to large numbers of financial institutions may pose systemic risk to the financial system. They may also have access to large volumes of client and market data which could be used to support market abuse activities.

- **Impact on the Competition Objective**

  Smaller firms may be disadvantaged relative to larger firms which have bigger technology budgets, access to in-house technical expertise and who can realise efficiencies through economies of scale. This could result in reduced competition and the market domination of a few large players.

  Alternatively, the entry of new players competing with incumbent fund managers and distribution channels could result in lower costs for customers and reduce the systemic risk associated with the dominance of large investment houses and distribution platforms.

B72.

This was an optional question. It raised several issues with regard to money laundering systems and controls and financial ethics in relation to a London bank. The compliance department of the bank has become concerned about a few cash deposit-related issues. In total, 27 candidates took this question. The overall average mark was 13.7 from a maximum of 20 marks. This is slightly above the average for the entire examination paper.

There was a large range of 12.5 marks see in this question, indicating that some candidates did much better than others.

a) Specific concerns arise with regard to:

(i) The large cash deposits made, including in such a clear and direct manner.

(ii) The fact that the businesses had stated that it would make deposits using cheques and bank and credit cards.

(iii) The connected nature of the businesses.

(iv) The coincidence of the largest deposits following weekend raves where drugs could have been sold or other illegal activities carried out.

(v) The possible lack of proper identity checks including Know Your Customer (KYC) screening.

(vi) The possible need for Enhanced Due Diligence (EDD)

(vii) The possible involvement of Politically Exposed Persons (PEPs) as clients;

(viii) The possible involvement of Ultra High Net Worth (UHNW) persons as clients

(ix) The possible size and number of transactions.

(x) The lack of explanation of the proper source of the funds and possible secretive nature of the operations concerned.

(xi) The possible failure to comply with standard procedures and requirements.

(xii) The possible limited number of personnel and senior personnel involved.

(xiii) The possible involvement and collusion of the local compliance officer.

(xiv) The possible whistleblowing under the Public Interest Disclosure Act 1998 (PIDA).

(xv) The failure to have taken any appropriate action in the present case.

(xvi) The failure to have complied with the FCA directions to improve systems and controls.

(xvii) The failure to have notified the FCA and the PRA of the concerns that had arisen.

(xviii) The failure to have acted in an open and cooperative manner with the FCA and the PRA.

Additional issues may also have arisen from an ethical perspective:

(i) Potential breach of PRIN 1, FR 1 and APER 1 (integrity).

(ii) The need to report suspicions under the Proceeds of Crime Act (POCA) 2002.
(iii) The need to cooperate with the regulators under PRIN 11, FR 8 and APER 4.
(iv) The need to comply with other codes of conduct, including that of the CISI.

b) The full range of relevant offences, defences and penalties under the POCA should have been noted. The principal UK money laundering offences are now restated under Part VII of POCA. POCA creates three main offences relating to concealing (s 327), arranging (s 328) and acquisition, use and possession (s 329), as well as attempting, conspiring or inciting to commit any such offence (s 340(11)(a) and (b)). Money laundering includes aiding, abetting, counselling or procuring the commission of any of these offences (s 340(11)(c) and (d)). Two separate offences are also created, namely failing to disclose (ss 330-332) and tipping-off (s 333).
Revisions to POCA were made under the Serious Organised Crime and Police Act (SOCPA) 2005, with separate reference possibly being made to reporting under s 21A of the Terrorism Act 2000 and to the Bribery Act 2010. Reference should also have been made to the Money Laundering Regulations 2007 as amended.
Separate provisions with regard to anti-terrorist requirements are contained in the Terrorism Act 2000, the Terrorism Act 2006 and the Counter-Terrorism Act 2008. Other relevant legislation includes the Anti-terrorism, Crime and Security Act 2001, which introduced after 11 September 2001, the Prevention of Terrorism Act 2005, which introduced control orders, and the Terrorism (United Nations Measures) Order 2009 and Terrorist Asset-Freezing (Temporary Provisions) Act 2010.

Identification and record keeping requirements are imposed under the Joint Money Laundering Steering Group (JMLSG) Guidance and Money Laundering Regulations 2007, including with regard to Customer Due Diligence (CDD), KYC and identification requirements, as well as Simplified Due Diligence (SDD) and EDD for higher risk entities, as well as PEPs.
A consolidated list of the persons and countries against whom financial sanctions are in place is maintained by HM Treasury and the JMLSG. Separate lists of uncooperative jurisdictions are also maintained by the Financial Action Task Force (FATF).

c) Enhanced Due Diligence (EDD) is provided for under Regulation 14 (1) and Section 5.5 of the Joint Money Laundering Steering Group (JMLSG) Guidance. EDD is specifically to be used in higher risk situations including the customer is not physically

present when identities are verified, correspondent banking or with PEPs. Additional documents, data or information have to be collected.

EDD is to be applied on a risk sensitive basis were insufficient information has been obtained under standard due diligence (JMLSG Section 5.5.1). Firms should obtain sufficient information concerning the circumstances and business of customers and beneficial owners to support the risk assessment process and monitor customer activity and transactions (JMLSG Section 5.5.2). The relevant additional information will depend on the nature of that money laundering or terrorist financing risk JMLSG Section 5.5.3).

PEPs consists of high ranking non-UK public officials, Members of Parliament and immediate families and close associates.

Reference could also have been made to the Consolidated List of persons or countries against whom financial sanctions are in place is maintained by the HM Treasury and Joint Money Laundering Steering Group (JMLSG). Separate lists of uncooperative jurisdictions are also maintained by the Financial Action Task Force (FATF).

b) Institutional liabilities can be considered under the MLR 2007 provisions or general regulatory requirements. The MLR imposes internal systems and control requirements on firms including with regard to customer due diligence (CDD) and monitoring, internal reporting, five year recordkeeping, internal control, risk assessment and management, compliance monitoring, recognition and reporting of suspicious transactions and staff training. Specific FCA Handbook provisions include SYSC 3.2.6 (systems and controls with regard to compliance, financial crime and money laundering), SYSC 3.2.6I (MLRO) with FCA guidance on financial crime being provided in the FC guide. Breach of the MLR requirements is punishable by up to two years imprisonment and an unlimited fine or six months imprisonment and a £5,000 fine before a Magistrates Court. The full range of enforcement actions would be available for breach of relevant Handbook provisions.
The firm may also have breached COBS 2.1 in failing to act honestly, fairly and professionally (COBS 2.1.1R) and COBS 2.2 in failing to provide appropriate information in a comprehensive form (COBS 2.2.1R). The firm may have breached COBS 4, in particular, in failing to ensure that communications are not fair, clear and not misleading (COBS 4.2.1R), COBS 4.10 in failing to maintain proper systems and controls for approving and communicating financial promotions (COBS 4.10.1 and 2)

and COBS 4.11 adequate record keeping (COBS 4.11.1R). The firm may have breached SYSC 3 systems and controls and 6 on compliance.

The firm may have separately breached CASS 7 on client money rules including treatment of client money (CASS 7.11.1R) and client segregation (CASS 7.13.1, 2 and 3). The firm may also have breached COCON 1 (integrity), 2 (due skill, care and diligence), 5 (market conduct standards), 3 (regulatory cooperation), and the senior manager rules.

The firm may also have breached the FCA Fair Treatment of Customers (FTOC) requirements as originally set out in FSA, Treating customers fairly – towards fair outcomes for consumers (July 2006) with relevant management information (MI) being set out in FSA, Treating customers fairly – guide to management information (July 2007)

e) National Westminster was fined £264,772,619.95 by Mrs Justice Cockerill at Southwark Crown Court on 13 December 2021 following convictions for three offences in failing to comply with money laundering regulations. This was despite the bank not having been complicit in money laundering directly. This was the first occasion in which the FCA has commenced a criminal action in relation to money laundering. The bank had failed to properly monitor the activities of a commercial customer, Fowler Oldfield, a jewellery business, in Bradford between 8 November 2012 and 23 June 2016.

Standard Chartered Bank (SCB) was separately fined £46.55 million by the PRA on 17 December 2021 for failing to be open and cooperative with the PRA and for failings in its regulatory reporting governance and controls in relation to a tailored PRA liquidity expectation. This was the highest fine imposed in a PRA-only enforcement case.

The bank should take all necessary action to avoid a breach of the relevant regulatory, statutory and ethical matters referred to in sub-sections (a) and (b) above. It should also be open and cooperative with the FCA and the PRA (PRIN 11 and FR 7). It should generally ensure that the following are properly secured:

(a) Customer identification, i.e. KYC and CDD.

(b) EDD.

(c) High-risk jurisdictions monitored.

(d) Any PEPs monitored.

(e) Accounts are monitored and any suspicious transactions identified.

(f) Suspicious transaction reports (SRRs) submitted.

(g) Carry out necessary improvements and submit all relevant regulatory returns to authorities

(h) Have any specific concerns considered by the MLRO.

(i) Refer any other matters to the Financial Intelligence Unit within the National Crime Agency (NCA).

(j) Refer any possible internal beaches to the FCA and the PRA under the duty to cooperate.

B73.

The question raises a number of issues with regard to responsibility of various members of staff in a UK wealth management firm. A new junior member of staff has been assigned to assist a senior manager on a large client account. Errors have arisen in relation to the execution of certain documents which have to be corrected.

a) Whose fault is it?

(i) Holly – It does appear as though Holly is at fault for this situation arising, because she

actively inserts her signature in the space where Mrs Green's signature should have been, effectively witnessing something she was not present for. She knows that this action was wrong, and even if she did it because of other pressures/reasons (Steven's instructions to do whatever is required to fix the mistake, her recent bereavement, thinking that she was acting in the best interest of the client), these reasons would not justify her taking this course of action – which was effectively fraudulently witnessing the signature of a trustee. Furthermore, her actions were also misjudged on another account, as on receiving the returned documents from Mr Harris' son, she is discomforted by the attached note about the state of Mr Harris' health, and puts the documents to one side for a day before reviewing them. If she had reviewed them sooner, she may have been able to do something to rectify the problem.

(ii) Lucy – Lucy is Holly's line manager, and is also Head of Wealth Management at Health & Wealth. If the 'buck stops' with anyone, it would be Lucy. Additionally, Lucy was the one to allow Holly to take some time off following the death of her grandmother, and therefore should have had an understanding of the personal pressures Holly was under at the time. However, it is clear that Lucy was not even aware of what had happened until returning from annual leave, and it seems unlikely that she could have done anything to prevent this from happening or rectify the issue at an earlier stage. Being at fault is different from being responsible, and whilst one could argue that she is ultimately responsible for what happens within her team, she cannot be said to be at fault here.

(iii) Steven – The Harris family are Steven's key client account, and it is Steven who has been
setting up various forms of trust arrangement for the family. Furthermore, he set the 'tone' for how Holly should manage this client relationship very early on, when he told her to "ensure

that the required paperwork was achieved with as little disturbance of the family as possible". Finally, his aggressive reaction when Holly approached him with the issue of Mrs Green's missing signature was disproportionate, and put pressure on Holly to fix the problem by using unethical or unusual means. Whilst he was not the one to insert his signature in the space designed for the witness, his behaviour contributed to that outcome, and as a senior manager responsible for the client, some blame should be assigned to him for allowing this problem to arise.

(iv) Mr Harris' son – Mr Harris' son has a responsibility for ensuring that his signature is properly witnessed, especially on such an important document (that has already had to be returned once because of a missing signature). However, it is clear that he, and the Harris family, were going through a very difficult time, and perhaps understandable that mistakes would be made.

Furthermore, it appears that he made every effort to ensure the documents were returned in a timely manner, and kept Health & Wealth up to date regarding the state of his father's health. For these reasons, it does not appear that Mr Harris' son would be considered to be most at fault.

(v) Mrs Green – Mrs Green's missing signature is the crux of the issue here, and one could suggest that her failure to properly witness all of Mr Harris' son's signatures is the reason this situation has arisen at all – thereby making it her fault. However, it was noted that Mrs Green "completed the rest of the form correctly and inserted her signature at all other necessary points", and Holly herself believes the problem to be an "honest mistake". Furthermore, Mr Harris' son should retain some responsibility for ensuring that all his signatures were properly witnessed on such an important document. For this reason, it seems most unlikely that a reasonable person would conclude that Mrs Green is most at fault.

Who is most at fault? - All the characters in this story are culpable/at fault to some degree. It was a combination of failings (Mrs Green missing the signature, Mrs Harris' son failing to spot the oversight, Holly for missing the signature of the witness to Mr Harris' son first time round and not checking the documents immediately when they were received), pressures (Lucy being away, Holly's recent bereavement, Mr Harris' illness, time pressures) and misconduct (Steven's reaction and subsequent instruction to fix the problem by whatever means necessary, Holly's misguided decision to insert her own signature in the witness space) which lead to the situation arising. Nevertheless, the characters who made active, rather than passive, choices are Holly and Steven. Holly signed as a witness to a signature she was not present to observe, and Steven informed her to "Just fix it… I don't care how!"; However, Lucy's failure to appoint a replacement for Holly was a serious contribution too. For this reason, they should all be considered at fault.

b) The character who is ultimately responsible, in a regulatory sense, for this problem is Lucy. The Senior Managers and Certification Regime (SM&CR) does not currently apply to Health & Wealth, as although they are an FCA-

regulated firm, they are not a bank, building society, credit union, or PRA-designated investment firm. As a solo-regulated firm, the SM&CR will only apply to Health & Wealth from 9 December 2019. For an extra mark – if the SM&CR had been in force Lucy could also be held to account by the regulator as the senior manager responsible in her job description. This includes taking all reasonable steps in her role – which she may have failed to do by failing to appoint a replacement for Holly in her absence, and for herself in her absence.

As Head of Wealth Management, it is likely that Lucy will be responsible for this area of the firm's business functions and activities, and therefore be allocated 'overall responsibility' for wealth management at Health & Wealth. Furthermore, as a senior manager, she will need to be deemed to be fit and proper to do her job. However, as stated, this will not formally apply to her until December 2019. [My wording above could replace this wording. Since the SM & CR does not come into force until December, it is not strictly relevant for marking before then]

Nevertheless, as the senior manager in the team, Holly's line manager, and Steven's manager the regulator would consider her responsible for any misconduct allowed to occur within her department, and additionally she would be responsible for setting the correct tone/culture within her area of the business.

c) There are three main points in the scenario which give an indication about the company culture at Health & Wealth:

(vi) Grievance policy and procedures

There is a grievance policy in place which allows employees time off work following the loss of a family member: "Lucy granted [Holly's] request to take a few days off as allowed by Heath & Wealth's grievance procedure". Having a grievance policy/procedure in place is important for the mental health and well-being of staff, and the fact that Holly was permitted time off following the death of her grandmother suggests that there is an understanding and caring company culture. However, there is no suggestion in the scenario that there was any additional support or care for Holly following her return to work after taking grievance leave. In fact, she was assigned back to the Harris family account, despite the fact that the company knew Mr Harris was unwell and

suffering from a similar illness to her grandmother. As a result, one could infer that Health & Wealth have proper policies in place, but do not go beyond the minimum standard in supporting staff members or colleagues who have recently suffered a bereavement.

(vii) Pressure from senior management (Steven)
Steven's reaction to Holly, when she tells him about Mrs Green's missing signature, is

indicative of a culture of pressure from senior management: "Holly arranges a meeting to

discuss the situation with Steven, who is furious about the oversight. He tells Holly "this is all your fault! I can't believe you could have cost me my most important client! Just fix it… I don't care how!"" This could be unique to Steven, however, if he is permitted to continue with this kind of behaviour – either through being incentivised for the results it yields, or simply by not being reprimanded for the way in which he spoke to Holly – this culture could spread throughout Health & Wealth, as the tone is often set from the top (and Steven is a senior wealth manager). One may even go so far as to say that this pressure verges on bullying, which would be an important issue to address.

(viii) Ability to raise concerns/Speak Up (when Holly explains to Lucy that there had been a missing witness signature, and she had inserted her own signature to confirm the authenticity of the original)
As soon as Lucy returns from leave, Holly informs her about what has happened: "On returning to the office, Lucy and Holly meet for an update meeting. Holly tells Lucy about the situation with Mr Harris [and] explains to Lucy that there had been a missing witness signature, and she had inserted her own signature to confirm the authenticity of the original." This suggests that Holly, a junior staff member, is comfortable owning up to mistakes and raising concerns with her manager (who is considerably more senior). This may just be indicative of a good relationship between Holly and Lucy, however, Holly also first approached Steven with the problem – actually suggesting that there may be a culture where staff members are not afraid to own up to mistakes, or raise concerns about issues arising, with senior management.

Could changes to the culture prevent a similar issue from occurring in the future

(i) The most significant threat to a positive company culture would be if senior managers use pressure (and potentially bullying) to motivate staff and get results. If Steven, or another –manager, were to react in a similar manner to the way described in the scenario, one of two things (or both) may occur:

- Staff would be encouraged/pressured (and therefore more likely) to use unethical methods to resolve problems, as Holly did when she inserted her own signature.
- Staff would no longer feel comfortable approaching their managers with a problem, thereby preventing problems from coming to light at an early stage and perhaps allowing them to escalate.

(ii) Therefore, ensuring that action is taken against Steven for the way he acted would send a strong message that this is not part of the desired culture at Health & Wealth, and could prevent a similar issue from occurring in the future.

d) The following options are available to Lucy regarding Holly:

(i) Fire Holly for gross misconduct (she was not a witness to the trustee's signature, and therefore fraudulently inserted her own name in the document) and carelessness in checking the signatures.

- Pros – Sends a strong message (not just to Holly, but all staff) that this behaviour will not be tolerated; removes risk that Health & Wealth will be liable for the fraud committed by Holly.
- Cons – Is disproportionate given the circumstances; may prevent staff from coming forward about mistakes made in the future.

(ii) Take no further action (acknowledge that Holly was left in a tough position, and did what she thought was right in the circumstances).

- Pros – Staff will feel reassured that Health & Wealth are a supportive employer.
- Cons – If no action is taken, this may send the message that mistakes will go unpunished, thereby creating a lax/sloppy culture.

(iii) Take positive steps to ensure this does not happen again, such as requiring Holly to take further training, and/or perhaps have all her work strictly supervised for a set time.

- Pros – Sends a message that this behaviour is not what is expected of Health & Wealth staff; manages risk by giving Holly the additional training necessary to ensure this does not happen again; is mindful of the pressures that Holly was under at the time.
- Cons – This could be expensive, and create a drain on resources (e.g. the manager supervising her will need to take time out of their day to double-check her mistakes).

(iv) Holly should face disciplinary action, but the sanction should fall short of dismissal.

- Pros - Sends a strong message (not just to Holly, but all staff) that this behaviour will not be tolerated; demonstrates to the regulator that Health & Wealth take a strong stance against fraud.
- Cons – Does not take into account Steven's role in the scenario; could be deemed disproportionate given the circumstances.

Similar options are also available to Lucy regarding Steven:

a) Fire Steven for his bullying behaviour.

- Pros - Sends a strong message to all staff that this behaviour (e.g. bullying) will not be tolerated, and that senior managers are not exempt from the disciplinary process when they behave in this manner.
- Cons - Is disproportionate given the circumstances

b) Take no further action (as Steven could not necessarily have known what action Holly would take to rectify the problem, and he may not have intended her to take unethical steps).

- Pros – Steven will feel supported as a manager, who is able to make decisions about how to manage his team.
- Cons – If no action is taken, this may send the message that aggressive behaviour will go unpunished, thereby creating a culture where this is seen as acceptable.

c) Require Steven to take further training on appropriate management techniques.

- Pros – Sends a message that this behaviour is not what is expected of Health & Wealth staff; will ensure that Steven thinks twice before reacting in a similar manner in the future; demonstrates the value of continuing development/learning/training, even for senior managers.

- Cons – This could be expensive; Steven may feel as though his skill as a manager is being called into question, and react negatively.

d) Steven should face disciplinary action, but the sanction should fall short of dismissal.
- Pros - Sends a strong message that this behaviour will not be tolerated; demonstrates to the regulator that Health & Wealth take a strong stance against bullying.
- Cons – Could be deemed disproportionate given the circumstances; could demotivate Steven, and prevent him from making decisive choices in the future (something necessary for a senior manager).

The following options are available to Lucy regarding the Harris family:

a) Inform them about what has happened, apologise, and try and resolve the problem.
- Pros – Is honest/open/transparent/fair; is the only way to try and correct the problem. Normally it is a factual question as to whether Mrs Green did or did not witness Mr Harris' son's signature at the relevant time. If she did, she could confirm that she had done so by formal written Declaration. However some documents require witnesses signatures to be effective.
- Cons – Could annoy/upset the Harris family, potentially with the risk that they will leave Health & Wealth in favour of another firm. If the document was of a type that required a contemporary written witness signature to be effective, the firm could have a large professional indemnity bill.

b) Do not inform them, as doing so would only add further stress at a difficult time, and allow Holly's signature to remain in the space designed for a witness.
- Pros – Would avoid adding stress to the family at a difficult time.
- Cons – Is not honest/open/transparent/fair; is a short-term solution, not a long-term solution; sends the message that this behaviour is implicitly permitted.

B74.

The question raised a number of issues with regard to the regulation of algorithmic trading under the FSMA. A new programme has been developed by digital platform which is to be purchased by an existing authorised UK securities firm.

(a) The platform would have to be authorised under s 19 FSMA and hold relevant permission under 20 FSMA to the extent that it carried on a regulated activity in the UK. Regulated activities are defined in s22 FSMA and the Regulated Activities Order 2001 (as amended) and the FSMA 2000 (PRA Regulated Activities) Order 2013. The 2013 Order divides activities between the FCA and PRA by specifying that anything not specifically assigned to the PRA under the Order is reserved to the FCA. Permissible activities overseen by the FCA would include inter alia managing investments (RAO art 37), dealing in investments (RAO art 21) and arranging deals in investments (RAO art 25). This would also include sending dematerialised instructions (RAO art 45).

The RAO distinguishes between specified investments and specified activities. Specified investments include investments, deposits, contracts for insurance, shares, instruments creating or acknowledging indebtedness, government and public securities, instruments giving entitlement to investments, certificates representing certain securities, units in a collective investment scheme, rights under a stakeholder pension scheme, options, futures, contracts for differences, Lloyd's syndicate capacity and membership, funeral plan contracts, regulated mortgage contracts and rights to or interest in investments (RAO arts 73-89).

(b) Algorithmic trading is defined in the FCA Glossary as trading in financial instruments with a computer algorithm automatically determining individual parameters of orders (including whether to initiate the order, the timing, price and quantity of order or how to managed order after submission) with limited or no human intervention excluding systems only used for routing orders to one or more trading venues and simple processing, confirmation or post-trade execution activities. Authorisation and permission would be required to the extent that the activities of the platform involved the activities referred to above (including investment management, arranging and dealing and sending dematerialised instructions) in relation to the investments as defined.
The FCA published a report on *Algorithmic Trading in Wholesale Markets* (12 February 2018) with the PRA issuing a Consultation Paper on *Algorithmic Trading* (12 Feb 2018). The FCA document reviews activities and themes with the PRA paper outlining governance and risk management expectations in relation to algorithmic trading. A number of recommendations are made with regard to management approval of suitable governance frameworks, sound approval processes for algorithms, algorithm and risk

control testing, algorithm and risk control inventory maintenance and effective oversight of algorithmic control functions and risk management.

(c) All of the principal statutory provisions contained the FSMA as amended would apply to the specific regulated activities involved. This includes the general prohibition (s19 FSMA), permission requirement (s20 FSMA) and restrictions on promotion (s21 FSMA). The firm would have to apply for Part 4A permission (s40 FSMA) to become authorised (s31(1)(a) FSMA) and comply with the threshold conditions imposed (s41 and Schedule 6 FSMA as amended and COND). Relevant personnel would have to be approved persons (s59 FSMA), or subject to the new senior managers and certification regimes, and comply with the suitability requirements imposed under FIT and conduct requirements in COCON. The platform would be subject to the rules and guidance imposed by the FCA and PRA (ss137A, 137G and 139A FSMA including the FCA PRIN, PRA Fundamental Rules and all other relevant provisions).

(d) The full range of regulatory penalties may be available against the firm including variation of permission (s45 FSMA), suspension of permission (s206a FSMA), cancellation of Part 4 permission (s54 FSMA), withdrawal of authorisation (s33 FSMA), public censure (s205 FSMA), financial penalties (s206 FSMA), requests for information (s165 FSMA and Schedule 12 FSA 2012), independent inquiry (s68 FSA 2012), administration, receivership, winding-up or bankruptcy (Part 24 FSMA, Banking Act 2009 and Schedule 14 FSA 2012), injunctions (s380 FSMA), restitution (ss382 and 384 FSMA), suspension of financial instrument from trading if appropriate (s36 FSA 2012), complaint by a consumer body (super-complaint under s234c FSMA and s43 FSA 2012), regulated person reference (s234d FSMA), OFT investigation (s234h FSMA), action under product intervention rules (s137d FSMA 2000 and s24 FSA 2012) and skilled persons report (s166 FSMA).

(e) The platform or acquiring securities firm would have to apply to have the scope of permission extended to include any other additional activities and forms. This may include advising on investments (RAO art 53), safeguarding and administering investments (RAO art 40), establishing collective investment schemes (RAO art 52) and agreeing to carry on activities (RAO art 64) as well as possibly accepting deposits (RAO

art 5), effecting and carrying out insurance contracts (RAO art 10), issuing regulated mortgage contracts (RAO art 61), funeral plan contracts (RAO art 59) and Lloyds related activities (RAO art 56). These would apply in relation to any of the investments referred to above.

B75.

This question provided a case study related to the selection of a new CEO for a UK-based fintech firm that has grown rapidly in recent years. The case study provided in formation in relation to two candidates for the CEO position: candidate A, and candidate B.

(a) The Senior Managers & Certification Regime (SM&CR) was introduced as part of the Financial Services (Banking Reform) Act 2013, following recommendations from the Parliamentary Commission on Banking Standards (PCBS). The regime was established with the aim of enhancing accountability and governance within financial institutions, specifically targeting the roles and responsibilities of senior management. It is designed to promote a culture of responsibility and integrity at the top levels of financial firms. The SM&CR framework is structured around three core components: the Senior Managers Regime (SMR), the Certification Regime, and the Conduct Rules.

The SMR focuses on the most senior individuals in a firm who hold key decision-making roles. Under this regime, senior managers are required to have clearly defined responsibilities and must be approved by the Financial Conduct Authority (FCA) or the Prudential Regulation Authority (PRA) before they can perform their roles. Each senior manager is assigned a "Statement of Responsibilities" that outlines their specific duties and areas of accountability within the firm. This ensures that there is a clear understanding of who is responsible for each aspect of the firm's operations, which enhances transparency and accountability.

The Certification Regime applies to employees who are not senior managers but whose roles could cause significant harm to the firm or its customers. Unlike the SMR, individuals in these roles do not require approval from regulators. Instead, the responsibility lies with the firm to assess and certify that these individuals are 'fit and proper' to perform their roles. This certification must be renewed annually, and it covers aspects such as competence, honesty, integrity, and financial soundness.

The Conduct Rules set out basic standards of behaviour that apply to all employees within a regulated firm. These rules are intended to ensure that individuals act with integrity, due skill, care, and diligence, and in the best interests of customers. The rules are divided into two tiers: the first tier applies to all employees, while the second tier includes additional rules specifically for senior managers. Firms are required to train their staff on these rules and ensure compliance.

The SM&CR was specifically designed to address weaknesses in corporate culture and governance that contributed to past financial crises. By imposing stringent accountability measures, the regime aims to instil a culture of responsibility among senior managers and key employees, reducing the likelihood of misconduct and promoting ethical behaviour. The requirement for firms to certify the fitness and propriety of individuals in significant roles reinforces the emphasis on high standards of conduct throughout the organisation.

(b) The Chief Executive function (SMF1) is the function of having responsibility, under the immediate authority of the governing body, alone or jointly with others, for carrying out the management of the conduct of the whole of the business (or relevant activities) of a firm. The role of the CEO in a financial services firm, particularly within a UK subsidiary of a foreign bank, is one of the most critical Senior Management Functions (SMFs) as defined under the Senior Managers & Certification Regime (SM&CR). The CEO holds overarching responsibility for the firm's operations, strategy, and governance, ensuring that the firm complies with regulatory requirements and operates in a manner that promotes the interests of its clients and the integrity of the financial markets.

The CEO is responsible for the day-to-day management of the firm's business activities, ensuring that operations are conducted efficiently, effectively, and in compliance with all relevant laws and regulations. This includes overseeing the implementation of strategic objectives, managing resources, and ensuring that the firm's financial performance meets the expectations of the Board and shareholders. The CEO must provide strong leadership, setting the tone from the top regarding the firm's culture, values, and commitment to ethical conduct. This involves ensuring that the firm's governance framework is robust, with clear lines of accountability and decision-making processes that support the firm's strategic goals while maintaining

high standards of corporate governance. The CEO is also responsible for fostering a culture of compliance and risk management, ensuring that the firm's policies and procedures align with regulatory expectations and that all employees understand their roles in maintaining the firm's integrity.

As the primary point of contact between the firm and its regulators, the CEO is responsible for ensuring that the firm adheres to all applicable regulatory requirements. This includes overseeing the implementation of the SM&CR within the firm, ensuring that all senior managers and certified persons are fit and proper, and that the firm's compliance and risk management frameworks are effective. The CEO must also ensure that the firm has appropriate systems and controls in place to identify, manage, and mitigate risks, particularly those related to conduct, financial crime, and operational resilience. The CEO plays a key role in managing relationships with a wide range of stakeholders, including regulators, shareholders, clients, and employees. This involves communicating the firm's strategy, performance, and risk management practices to these stakeholders and ensuring that their interests are considered in the firm's decision-making processes. In the context of a UK subsidiary, the CEO must also navigate the relationship with the parent company, ensuring that the subsidiary's operations align with the broader strategic goals of the group while complying with UK-specific regulatory requirements.

The Board should assess each candidate's knowledge and understanding of UK regulatory requirements, particularly those related to the SM&CR, and the Board should evaluate each candidate's leadership style and ability to uphold the firm's culture of compliance, customer focus, and ethical behaviour. The Board should consider each candidate's approach to risk management, particularly in the context of the CEO's responsibility for overseeing the firm's risk framework; and consider how each candidate will handle stakeholder relationships, both within the UK and with the parent company. The Board's decision should be influenced by each candidate's ability to fulfil these responsibilities, particularly in maintaining the firm's strong culture of compliance and ethical conduct, managing regulatory risks, and leading the firm in a way that aligns with both UK and group-wide strategic objectives. The right choice of CEO will ensure that the firm continues to thrive while upholding its commitment to regulatory excellence and stakeholder trust.

(c) The appointment of a new CEO under the SM&CR is a process that must be handled with the utmost care and diligence to ensure full compliance with the FCA and PRA regulations. The SM&CR emphasises individual accountability, and the CEO is one of the most critical Senior Management Functions (SMFs) within a regulated firm. The first step in the process is to clearly define the CEO's role and prepare a statement of responsibilities (SoR). This document must outline the specific duties and areas of accountability that the CEO will hold within the firm. The SoR should be precise, clear, and reflect the actual responsibilities that the CEO will undertake, ensuring there is no overlap or ambiguity with other SMFs within the organisation.

One of the critical requirements under the SM&CR is that the firm must assess whether the candidate is 'fit and proper' to perform the role of CEO. This assessment is not a one-time event but an ongoing obligation. The fit and proper assessment involves three key elements:

• **Honesty, Integrity, and Reputation** – The firm must ensure that the candidate has a history of honesty, integrity, and good reputation. This includes reviewing the candidate's previous conduct, any legal or regulatory sanctions, and their overall standing in the industry.

• **Competence and Capability** – The candidate must demonstrate the necessary skills, experience, and qualifications to perform the role effectively. This involves evaluating the candidate's track record, knowledge of the financial services industry, and understanding of the specific challenges and opportunities facing the UK subsidiary.

• **Financial Soundness** – The firm must assess the financial stability of the candidate to ensure they are not susceptible to financial pressures that could compromise their judgment or performance in the role.

To conduct this assessment, the firm should gather detailed information from the candidate, including references, background checks, and any relevant certifications or qualifications. The assessment should be documented thoroughly to provide evidence of compliance with regulatory requirements.

Once the firm has completed the fit and proper assessment and prepared the statement of responsibilities, it must submit an application for regulatory approval to the

FCA or PRA. The application should include all relevant documentation, such as the SoR, evidence of the fit and proper assessment, and any other required forms.

The FCA will review the application to ensure that the candidate meets the necessary standards and that the firm has followed the correct procedures. The regulator may request additional information or clarification during this process.

Although the CEO role falls under the SMR, the firm must also ensure that any other roles that the candidate will undertake are compliant with the Certification Regime. This includes assessing whether the candidate requires certification for additional functions that could pose significant risks to the firm or its customers.

The Certification Regime requires that the firm annually assess and certify that the individual remains fit and proper to perform their role. This ongoing obligation reinforces the importance of continuous monitoring and evaluation of the CEO's performance and conduct.

After the appointment, the firm must continue to monitor the CEO’s performance and conduct, ensuring that they adhere to the responsibilities outlined in the Statement of Responsibilities and the Conduct Rules. Any significant changes to the CEO’s role or responsibilities must be reflected in an updated SoR and submitted to the FCA or PRA. The firm must also be prepared to report any breaches of the Conduct Rules or any other concerns about the CEO’s fitness and propriety to the regulators promptly.

(d) Under the Senior Managers & Certification Regime (SM&CR), the CEO plays a pivotal role in setting the tone from the top, influencing the firm’s overall approach to compliance, risk management, and ethical conduct. Each candidate presents distinct potential risks to the company’s established culture of compliance and ethical behaviour, and these risks must be carefully considered by the Board.

Candidate A, as an internal candidate with a deep understanding of the firm’s operations and strong ties to the regulators, offers a lower immediate risk to the firm’s compliance culture. Their familiarity with the firm’s values, policies, and existing regulatory framework suggests they are likely to maintain the current high standards of ethical behaviour and customer focus. However, there is a risk of complacency.

While Candidate A may preserve the status quo, they might be less inclined to challenge established practices or innovate in response to changing regulatory requirements or market conditions. This could limit the firm's ability to adapt to new regulatory demands, such as those related to the growing focus on technological resilience or data protection in fintech. Additionally, if Candidate A becomes overly comfortable with existing processes, they may miss opportunities to enhance the firm's risk management frameworks as the business evolves.

Candidate B, with their background in rapidly scaling tech-driven financial services firms, brings a fresh perspective and new strategies that could fuel the firm's growth. However, this candidate presents a higher risk to the firm's culture of compliance and ethical behaviour. Their focus on fast expansion could lead to overlooking compliance risks or taking shortcuts in regulatory processes. If Candidate B prioritises growth and profitability over the firm's compliance obligations, the firm could be exposed to regulatory breaches or unethical conduct. Furthermore, as Candidate B comes from outside the UK, there is a risk that they may not fully understand the nuances of the UK's regulatory environment or the expectations of the FCA, particularly in areas specific to fintech, such as cybersecurity and AML compliance.

To mitigate these potential risks, the Board must take a proactive approach during both the selection and onboarding processes. First, the firm should conduct a rigorous fit and proper assessment for both candidates, with particular emphasis on their approach to compliance and their track record in leading within a regulated environment. This assessment should focus not only on their technical competence and leadership skills but also on their commitment to upholding ethical standards and ensuring regulatory compliance. Second, the Board should carefully evaluate how each candidate's values align with the firm's established culture. This involves gathering feedback from colleagues, regulators, and other stakeholders who have worked with the candidates in the past, focusing on their ability to balance growth with compliance. Additionally, the Board should ensure that clear expectations regarding compliance and ethical behaviour are communicated during the onboarding process. This should include a detailed review of the CEO's responsibilities under the SM&CR, particularly the requirement to lead by example and set the right tone from the top. Ongoing monitoring should also be a priority.

Regular compliance reviews and feedback mechanisms can help the Board ensure that the new CEO, regardless of their background, adheres to the firm's compliance obligations and ethical standards. Any deviations from the firm's established culture should be identified and addressed promptly, with the CEO held accountable for maintaining the firm's integrity and regulatory standing.

B76.

A major Chinese telecommunications company wishes to set up our UK subsidiary carry out banking services through mobile telephones. The operation would be referred to as SmartBank with the firm concerned about possible money laundering and terrorist financing laws and regulations.

(a) A number of specific concerns arise with regard to financial crime issues: -

- the wide range of services provided including more complex management function subsequently;
- the use of simple keypad instructions;
- the receipt of funds from anywhere in the world without further explanation;
- the provision of overseas funds transfer services anyway without restriction;
- the future global expansion;
- the platform does not appear to have any specific anti-money laundering controls in place especially with regard to funding sources;
- no information is provided regarding the appointment of an MLRO;
- relevant sources of funds may include high risk jurisdictions;
- the platform may be involved with non-personal, non-face to face transaction;
- the platform may be involved with correspondent banking services;
- loans and other activities may specifically be used to integrate criminally derived funds into the regular financial system;
- the involvement of younger people may expose them to becoming involved in criminal activities, for example, in acting as a mule.

Separate ethical issues also arise: -

- the platform may wish to lend to potentially vulnerable borrowers;
- these potential clients may not be able to assess the financial terms and conditions on offer effectively;

- they may consequently not make them most informed choices or incur high levels of debt;
- the firm must ensure that it is acting in the best interests of its customers and treating them fairly (PRIN 6);
- the platform must also ensure that it maintains good financial resources (PRIN 4 and Fundamental Rule (FR) 4);
- the firm must also ensure that none of its clients become exposed to any criminal activities (above).

Additional issues may also arise regarding:

- potential breach of PRIN 1, FR 1 and COCON 1 (integrity);
- the need to report suspicions under the Proceeds of Crime Act;
- the need to cooperate with the regulators under PRIN 11, FR 8 and COCON 3;
- the need to comply with other Codes of Conduct including the CISI Code.

The firm must generally ensure that it acts with integrity, due skill, care and diligence and maintains effective management and control systems (PRIN 1, 2 and 3 and FR 1, 2 and 6).

(b) All relevant money laundering offences should be explained including relevant penalties and defences. Offences, defences and penalties as provided for under the Proceeds of Crime Act 2002 (PCA) should have been noted. The principal UK money laundering offences are now restated under Part VII of the PCA. The PCA creates three main offences relating to Concealing (s 327), Arranging (s 328) and Acquisition, Use and Possession (s 329) as well as attempting, conspiring or inciting to commit any such offence (s 340(11)(a) and (b)). Money laundering includes aiding, abetting, counselling or procuring the commission of any of these offences (s 340(11)(c) and (d)). Two separate offences are also created of Failing to disclose (ss 330-332) and Tipping-off (s 333).

Revisions to the PCA were made under the Serious Organised Crime and Police Act 2005 with reference possibly being made to reporting under s21A Terrorism Act 2000 and to the Bribery Act 2010.

Separate provisions with regard to anti-terrorist requirements are contained in the Terrorism Act 2000, Terrorism Act 2006 and Counter-Terrorism Act 2008. Other relevant legislation includes the Anti-terrorism, Crime and Security Act 2001 introduced after 11 September 2001, the Prevention of Terrorism Act 2005 which introduced control orders and the Terrorism (United Nations Measures) Order 2009 and Terrorist Asset-Freezing (Temporary Provisions) Act 2010.

(c) Enhanced due diligence (EDD) may be required due to the involvement of Politically Exposed Persons (PEPs), non-face-to-face dealings and correspondent banking. The nature of the higher identification requirements imposed under EDD should have been explained.

Identification and record requirements are imposed under the Joint Money Laundering Steering Group (JMLSG) Guidance and Money Laundering Regulations 2007 including with regard to Customer Due Diligence (CDD), Know Your Customer (KYC) and identification requirements as well as Simplified Due Diligence (SDD) and Enhanced Due Diligence (EDD) for higher risk entities as well as potential PEPs.

Enhanced Due Diligence (EDD) is provided for under Regulation 14 (1) and Section 5.5 of the Joint Money Laundering Steering Group (JMLSG) Guidance. EDD is specifically to be used in higher risk situations including the customer is not physically present when identities are verified, correspondent banking or with PEPs. Additional documents, data or information have to be collected.

EDD is to be applied on a risk sensitive basis were insufficient information has been obtained under standard due diligence (JMLSG Section 5.5.1). Firms should obtain sufficient information concerning the circumstances and business of customers and beneficial owners to support the risk assessment process and monitor customer activity and transactions (JMLSG Section 5.5.2). The relevant additional information will depend on the nature of that money laundering or terrorist financing risk JMLSG Section 5.5.3). PEPs consist of high-ranking non-UK public officials, Members of Parliament and immediate families and close associates.

Reference could also have been made to the Consolidated List of persons or countries against whom financial sanctions are in place maintained by the HM

Treasury and Joint Money Laundering Steering Group (JMLSG). Separate lists of uncooperative jurisdictions are also maintained by the Financial Action Task Force (FATF).

(d) The firm must ensure that it maintains effective systems and controls with regard to money laundering (PRIN 3 and FR 5). Specific obligations on financial crime are imposed under FCA SYSC 6.3 with regard to money laundering risk, regular assessments, separate statutory obligations, Joint Money Laundering Steering Group compliance, implementation, training and allocation of responsibility (SYSC 6.3.1-8). Firms are also required to appoint an MLRO (SYSC 6.3.9-10). The FCA provides separate guidance on financial crime (SYSC 6.3.11 and FC). The full range of FCA sanctions may be imposed including restriction of promotion, withdrawal of authorisation, public and private censure and fine.

(e) The platform should take all necessary action to avoid breach of the relevant regulatory, statutory and ethical matters referred to in sub-question (e) above. It should also be open and cooperative with the FCA and PRA (PRIN 11 and FR 7).

The platform will generally be required to:

- carry out customer identification (KYC) and customer due diligence (CDD);
- carry out EDD;
- monitor accounts and identifying any suspicious transactions;
- submit suspicious transaction reports (SRRs);
- monitor high risk jurisdictions;
- monitor PEPs;
- monitor other customer account activity including servicing and any missed payments;
- report to customers on a regular or specific basis;
- submit all relevant regulatory returns to authorities in each jurisdiction with which the platform is involved over time;
- have any specific concerns considered by the MLRO;
- refer any other matters to the Financial Intelligence Unit within the National Crime Agency (NCA);
- refer any possible internal beaches to the FCA under the duty to cooperate.

B77.

A Financial Technology (FinTech) platform wishes to apply to become a member of the FCA's Project Innovate Regulatory Sandbox to benefit from the test conditions provided. The platform wishes to provide investment management services using sophisticated algorithmic trading and artificial intelligence (AI) with robot advice been provided subsequently.

(a) The provisions applicable depend upon the specific operations carried out and the regulated activities concerned. The platform would be required to become fully authorised and hold permission if it carried out regulated activities. As the platform wishes to join the Regulatory Sandbox, it would be subject to a less stringent regulatory regime. It would be allowed to carry out regulated activities in dealing with a limited group of clients under test conditions and for a restricted period with the removal of sanctions and penalties. The full set of regulatory obligations would then apply following the platform's departure from the sandbox.

(b) The platform would have to confirm the extent to which its activities fell within the scope of coverage of the FSMA and Regulated Activities Order (RAO) as amended. This would initially apply to dealing in investments, arranging deals in investments and discretionary investment management. The FCA has carried out reviews in relation to firms providing automated online discretionary investment management (ODIM) with a first review of seven ODIM firms and a second review of three firms providing retail investment advice through automated channels (auto advice) (https://www.fca.org.uk/publications/multi-firm-reviews/automated-investment-services-our-expectations).

Firms are generally required to provide appropriate information concerning services, costs and associated charges (COBS 2.2.1R and 4.2.1R). Firms must undertake suitability assessments (COBS 9) and maintain appropriate governance systems.

This may also include providing investment advice subsequently although this would depend upon the extent to which the platform was providing regulated advice or unregulated guidance. The FCA has issued separate guidance on the provision of

‘streamlined advice services’ and established an Advice Unit following recommendations by the Financial Advice Market Review (FAMR) which produced a final report in March 2016 (FCA, ‘Streamlined advice and related consolidated guidance’ (September 2017) FG 17/8). This includes advice on charging, complaints and redress, professional standards, appropriateness and discretionary investment management.

Financial guidance rather than advice would not generally be regulated. HM Treasury published a consultation paper and response on Amending the Definition of Financial Advice in September 2016 and February 2017. Advice would only be regulated where the firm made a personal recommendation. An exemption would be provided under art 53(1) where no personal recommendation was made. This applied the definition under MiFID although the existing provisions are retained in respect of the boundary between regulated and unregulated firms. Regulated firms are to be able to provide more advanced guidance services without these constituting regulated advice with unregulated firms being regulated where they advise on investments. The changes would come into effect from 3 January 2018.

The FCA issued a Guidance Consultation on Streamlined Advice in April 2017 (GC 17/4). This distinguishes full advice and streamlined advice. Streamlined advice is limited to one or more of the client’s specific needs and does not examine circumstances not directly relevant to those needs. This includes simplified advice (with the firm setting out the boundaries) and focused advice (with the client specifying the boundaries). Streamlined advice will include Robo advice and automated services as well as face to face advice.

Firms are required to obtain necessary information on the client’s knowledge and experience, financial situation and investment objectives under the fact-finding process. Fact finding processes would be simplified and made more portable. Additional guidance is provided on generic advice that would not be covered. Employees can also be provided with information by employers and trustees through Fact Sheets. Bob Ferguson, FCA Head of Strategic & Competition Division, gave a speech on ‘Robo Advice: FCA Perspective’ (October 2017) before the Annual Conference on Robo Advice & Investing, Westminster and City.

The FCA has conducted a separate Investment Platforms Market Study although this applies with regard to retail investment firms that view and administer investments. The FCA has also become responsible for E-commerce platforms including professional digital fundraising and crowdfunding platforms under the Payment Services Directive 2. The EU issued a separate Communication on Online Platforms in May 2016 (COM (2016) 288 final of 25 5 2016).

Any outsourcing would be governed by SYSC 8 within the FCA Handbook. Firms must generally ensure on a continuous and satisfactory basis that they avoid any undue additional operational risk where they rely on a third party for the performance of operational functions critical to regulated activities and do not impair materially the quality of their internal controls and the ability of the FCA to monitor compliance with all relevant obligations (SYSC 8.1.1R).

(c) All of the principal statutory provisions contained the FSMA as amended would apply to the specific regulated activities involved. This includes the general prohibition (s19 FSMA), permission requirement (s20 FSMA) and restrictions on promotion (s21 FSMA). The firm would have to apply for Part IV permission (s55A FSMA) to become authorised (s31(1)(a) FSMA) and comply with the threshold conditions imposed (s55B and Schedule 6 FSMA as amended and COND). Relevant personnel would have to be approved persons (s59 FSMA), or subject to the new senior managers and certification regimes and comply with the suitability requirements imposed under FIT and conduct requirements in COCON. The firm would be subject to the rules and guidance imposed by the FCA and rules imposed by PRA (ss137A, 137G and 139A FSMA including the FCA PRIN, PRA Fundamental Rules and all other relevant provisions).

Reference may also have been made to the Financial Ombudsman Service (FOS), Financial Service Compensation Scheme (FSCS), the Complaints Scheme and Complaints Commissioner as well as the Competition and Markets Authority (CMA), Competition Commission and the Financial Policy Committee (FPC) within the Bank of England although this was not strictly necessary.

(d) A person who breaches the general prohibition in s 19 FSMA commits an offence and is liable to six months imprisonment or a fine (not exceeding the statutory

maximum) on summary conviction or two years imprisonment and an unlimited fine or both (s 23(1)). Agreements entered into by a person in breach of the general prohibition are also unenforceable (s 23(1)). The other party is entitled to any money or property paid or transferred and compensation for any loss sustained. A defence against breach of a general prohibition is provided (s 23(3)) and a right of a depositor to apply to the Court for an order directing a deposit-taker to return money paid over in breach of a general prohibition (s 29(1)).

Breach of s 20 FSMA is not an offence as such although it is subject to FSA disciplinary action. Permission is concerned with the specific legal right, authority or entitlement to carry
on the particular financial activity or activities concerned.

The consequences of breach of the restriction on the issuance of unauthorised or unapproved financial promotions in s 21 FSMA are:

- the person is guilty of an offence and liable for up to six months imprisonment (on summary conviction) or two years (on indictment) or a fine or both (s 25(1));
- agreements entered into in consequence of an unlawful communication are unenforceable against the other party who is also entitled to recover any money or property paid and compensation for loss sustained (s 30(2)(a) and (b));
- a public or private censure may be imposed (s 205);
- a general financial penalty may be imposed (s 206(1));
- an action for damages may possibly be available (s 150(1));
- an injunction may be issued (s 380(1));
- the FSMA may apply for a restitution order (s382(1)).

Reference may also be made to the full range of regulatory penalties that may be available against the platform depending upon the specific breaches concerned. Regulatory penalties include variation or cancellation of permission (s55J FSMA), imposition of requirements (s55L FSMA), prohibitions an restrictions (s55P FSMA), withdrawal of authorisation (s33 FSMA), public censure (s205 FSMA), financial penalties (s206 FSMA), requests for information (s165 FSMA and Schedule 12 FSA 2012), independent inquiry (s68 FSA 2012), administration, receivership, winding-up or bankruptcy (Part 24 FSMA, Banking Act 2009 and Schedule 14 FSA 2012),

injunctions (s380 FSMA), restitution (ss382 and 384 FSMA), suspension of financial instrument from trading if appropriate (s36 FSA 2012), complaint by a consumer body (super-complaint under s234c FSMA and s43 FSA 2012), regulated person reference (s234d FSMA), OFT investigation (s234h FSMA), action under product intervention rules (s137d FSMA 2000 and s24 FSA 2012) and skilled persons report (s166 FSMA).

(e) Authorised firms must also hold the relevant permission to carry on the specific regulated activity or activities conducted in the UK (s 20(1) FSMA). Applications for permission are made under s 55A and Part 4A generally with permission granted under ss 55E (FCA) and F (PRA). The platform would have to have its permission extended (under s 55H(2)(a)) to the extent that it carried on another regulated activity involving the provision of investment advice. This would be subject to the provisions referred to above concerning streamlined advice services and available exclusions from constituting regulated activity. Reference could be made to any other possible regulated activities that may be relevant over time.

Candidates may also have been referred to requirements imposed in relation to cyber security. Cyber security is managed by the National Cyber Security Centre (NCSC) which forms part of the Government Communications Headquarters (CGHQ). The NCSC issues guidance on maintaining proper cyber security including with its 10 steps (based on network security, user education and awareness, malware prevention, removable media controls, secure configuration, managing user privileges, incident management, monitoring and home and mobile working). The FCA has a Cyber resilience webpage and has issued an Infographic on Cyber Security. The FCA expects any cyber incidents to be reported under PRIN 11.

B78.

The question raised a number of issues with regard to perceived failures in internal decision taking, reporting and complaints as well as whistleblowing procedures. A privately run boutique asset management firm, originally established by John Footes, had adopted a number of core values based on Respect, Integrity, Customer Care and Honesty (RICH) with Mike Footes, the son of the current Chairman John Footes III, returning to act as chief executive following the retirement of another non-family member of the board. The new chief executive is alleged to have engaged in various forms of misconduct including acting aggressively and bullying and intimidating staff which were not reported by staff. The Head

of HR, Richard Footes, who is Mike Footes' cousin, only learned of the alleged misconduct during staff exit interviews. The question was based on a CISI Grey Matter published in the hardcopy Review magazine 2019 Q1 and online version in April 2019.

(a) Candidates had to identify possible response options. In terms of options, Richard could have considered each of the following:

- Conduct further investigation, including reviewing the references received from Mike's previous employer and seeking witness statements from members of staff that might be willing to go on record about Mike's behaviour.
- Report his concerns to the Chairman (John Footes III, Mike Footes' father), which is consistent with the guidance set out in the firm's whistleblowing policy.
- Act as Lisa asked and keep the information confidential. Richard cannot take further action until more information comes to light about Mike and exposing Lisa would be a breach of the trust she has placed in him.

- Ask Mike in to answer allegations of poor conduct that goes against the RICH values.

Candidate responses generally favoured the first two options with specific concerns arising with regard to the need to protect the identity of Lisa. The CISI recommended response was for Richard to review all information available, including earlier references and exit interviews, without attempting to uncover any new information at that stage. The information uncovered should be reported to the Chairman, John Footes, under the reporting procedures provided for although John should be invited to recuse himself as he is Mike's father. This would ensure impartiality and fairness as well as avoid further damage in the relationship between John and Mike *(CISI Review magazine 2019 Q1, pp 44-45 and Review magazine July 2019 p 45).*

(b) The CISI's four core values are Honesty, Openness, Transparency and Fairness which are available on the CISI website:

- **Honest:** Have I been truthful about my action or decision with everyone involved, and told no lies or 'half-truths'?
- **Open:** Is everyone affected by my action or decision aware of the consequences?
- **Transparent:** Have I been clear and not misleading to any party involved in reaching my decision?

- **Fair:** Have I made sure that my action or decision will not result in any party being unknowingly disadvantaged or unduly advantaged?

(c) Candidates were asked to draft a 'Speak Up and Whistleblower' policy for the firm. This should have included the following core elements:

- Appoint a Senior Manager as the whistleblowers' champion.
- Put in place internal whistleblowing arrangements able to handle all types of disclosure from all types of person.
- Include text in settlement agreements explaining that workers have a legal right to blow the whistle.
- Inform UK-based employees about the FCA and PRA whistleblowing services.
- Present a report on whistleblowing to the board, at least, annually.
- Inform the FCA if it loses an employment tribunal decision with a whistleblower.
- Require appointed representatives and tied agents to inform their UK-based employees about the FCA whistleblowing service.

The following additional features may also have been referred to:

- Provide training for all staff on speaking up.
- Make available incentives for staff to speak up.
- Take clear disciplinary action if a whistleblower is victimised or dismissed.
- Deliver a statement from the CEO that there is a zero-tolerance policy for victimisation of those who speak up.

(d) Candidates were asked to identify the factors that led to the situation occurring and the risks that could have been identified at an earlier stage which included the following:

- Mike being unwilling to discuss details of his job with his mother.
- Due diligence when hiring Mike could have been circumvented, as it was seen as a certain thing he would be hired as CEO.
- Unwillingness on the part of family to question his behaviour.
- Sharp decline in staff morale.

B79.

The question was concerned with the impact of the new FCA Senior Managers and Certification Regime (SMCR) requirements to be imposed on solo-regulated firms from 9 December 2019. Separate issues arose with regard to classification, management functions, recruitment and training. The FCA updated its guidance for FCA solo-regulated firms in July 2019 (FCA, The Senior Managers and Certification Regime: Guide for FCA Solo-regulated Firms (Updated July 2019)). Where a firm outsources its operational functions for SMCR purposes, it is still responsible for carrying out all relevant regulatory obligations and cannot outsource accountability (FCA Guide 16).

(a) Firms will either be classified as limited scope, core or enhanced solo-regulated firms:

- Limited scope firms are subject to reduced requirements and generally include limited permission consumer credit firms, claims management companies (CMCs), sole traders, authorised professional firms, or market participants, service companies, local authority or registered social landlord subsidiaries, insurance intermediaries and authorised internally managed alternative investment funds (AIFs);
- Core firms will be subject to baseline CMCR requirements;
- Enhanced firms are subject to additional conditions where they satisfy one or more of 6 criteria relating to definition (a significant FPRU firm or are CASS large firm), rolling average business (assets under management of £50 billion or more, total intermediary regulated business revenue of £35 million or more or firms with an annual revenue generated by regulated consumer credit lending of £100 million or more on a three-year rolling basis) or Point of Time (non-bank mortgage lenders and administrators with 10,000 or more regulated mortgages outstanding on the latest reporting date). From the information provided, it would appear that Gallifrey Asset Management would be a core firm for SMCR purposes.

(b) Core firms have 6 Senior Management Functions under the FCA guide:

- Chief Executive (SMF 1).
- Executive Director (SMF 3).
- Partner (SMF 27).
- Chair (SMF 9).
- Compliance Oversight (SMF 16).

- Money Laundering Reporting Officer (SMF 17).

(c) Firms on recruitment must ensure that staff satisfy the Fitness and Proprietary conditions (FCA Guide section 10) which includes taking appropriate Regulatory References (FCA Guide section 10(5)). In assessing fitness and proprietary, firms must take into account (a) honesty, integrity and reputation, (b) competence and capability (including whether the person satisfies any relevant FCA training and competence requirements) and (c) financial soundness. Firms and candidates must declare whether the candidate has a criminal record. Regulatory references must be sought from past employers as recommended under the Fair and Effective Market Review (FEMR). This applies with regard to any employment over a 6-year period with information being shared in accordance with a standard template and including records of disciplinary and fit and proper findings. Regulatory References must be updated when significant new information becomes available. Senior managers must generally provide a regulatory reference, confirm suitable fitness and proprietary, obtain FCA approval and satisfy the criminal record check. Certified staff must obtain regulatory references, be fit and proper and be certified to carry out their specific purposes (5 marks).

(d) Two sets of conduct rules apply with the Individual Conduct rules and Senior Manager rules under COCON (FCA Guide section 11). Firms are required to train relevant staff on the application of the rules to their functions (s 64B FSMA) with a senior manager allocated the Prescribed Responsibility (PR) for this role. Senior Managers and Certification Staff must have been appropriately trained to comply with the conduct rules from the commencement date. Firms had 12 months to adopt appropriate processes and to provide necessary training (FCA Guide section 11, p 48) (5 marks).

B80.

(a) Four options are available to Will in this situation. These are listed below, and the advantages and drawbacks of each are examined.

1. Quit. It Is clearly not the right kind of environment for Will to work in.

2. Write privately to the Glads, informing them of his suspicion that Seth did not want them as clients because of their sexual orientation.
3. Speak to the Chairman, and raise his suspicions that Seth may have discriminated against the Glads because they are a same-sex couple.
4. He has no evidence that the Glad's sexuality was the reason for Seth not taking them on as a couple, so can do nothing in this regard. However, it may be worth him speaking to HR about the culture in the firm which he feels is not fully inclusive.

In considering the options:

1. Quit.

Positives: (i) Highly principled response

Negatives: (i) The organisation will not change
(ii) Your career will be disrupted
(iii) The clients have potentially been discriminated against and you have done nothing to change that

2. Write privately to the Glads.

Positives: (i) You are taking a principled stance
(ii) You are thinking about your prospective clients
(iii) This is unfair – they should know that this is how this company is operating t the top – they would be making a mistake in moving their business there
Negatives: (i) Better to discuss internally first
(ii) Will put the organisation on the defensive and potentially open to legal risk
(iii) Overheard remarks may have been taken out of context
(iv) Lack of actual evidence at this stage

3. Speak to the Chairman

Positives: (i) He is speaking up which takes moral courage
(ii) He is going to the top of the organisation who should be setting the tone for the whole organisation

Negatives: (i) Better to discuss internally at a lower level first
(ii) Gather proper evidence first rather than hearsay
(iii) Perhaps talk to a trusted friend or advisor first
(iv) This is a very serious accusation and you will be going the very top as a first step.

4. Speak to HR

Positives: (i) Highly principled response
(ii) Highly constructive – attempting to rise an issue which will alter the culture of the organisation – as HR is organisation wide
(iii) HR should be the part of the organisation where this is raised to in the first instance
(iv) As a form of whistleblowing, Will is going to be protected by corporate law from recrimination as well as being given a blanket of anonymity by HR if he wants it
(v) The collection of evidence can be supported from within the HR function who will have greater powers of investigation and can compile evidence as opposed to hearsay

Negatives: (i) No obvious negatives.

On balance, speaking to HR in the first instance is probably the best choice for Will to make.
(b) HOTF is an acronym used in the CISI Code of Conduct and Principles and stands for Honest, Open, Transparent and Fair.

(c) The five FCA individual COCON rules are:

- Rule 1 - You must act with Integrity
- Rule 2 - You must act with due care, skill and diligence
- Rule 3 – You must be open and cooperative with the FCA, the PRA and other Regulators
- Rule 4 – You must pay due regards to the interest of customers and treat them fairly

- Rule 5 – You must observe proper standards of market conduct

(d) The FCA has recently been commenting on transforming culture in financial services and in particular the promotion of a safe environment and has stated that: *'We mean that for a culture to be healthy, leaders at all levels need to foster an environment in which employees feel comfortable to express their opinions and crucially, are listened to when they do.'*

Reasons why it is important to promote a 'speak up' environment include:

- Identification of unlawful or unethical behaviour;
  Reduction in risk;
- Increase in staff morale – people feel they can raise issues;
- Increased levels of idea generation, innovation and therefore efficiency;
- Increased productivity of staff;
  Reduction of fraud;
- Reduced future regulatory issues;
- Investor confidence – the organisation is serious about good governance;
- Protects staff, customers as well as the public;
- Provides management with direct feedback.

B81.

The question was concerned with the loss of wholesale funding on the ability of a London subsidiary of a European our bank to comply with its threshold conditions and other requirements following the Coronavirus (Covid-19) Crisis. The bank's capital and deposit base are limited.

(a) The firm would be dual regulated by the PRA for regulatory purposes and the FCA in respect of conduct. The firm would apply for Part IV permission (s40 FSMA) to become an authorised person (s31(1)(a) FSMA). Compliance with the revised threshold conditions would be required (s41 and Schedule 6 FSMA as amended by the Financial Services and Markets Act 2000 (Threshold Conditions) Order 2013 (SI 2013/555) and COND). The threshold conditions generally apply with regard to office

location, effective supervision, appropriate resources and suitability as well as business model condition (COND 2.7 and para 2F Schedule 6 FSMA.)

Firms have to comply with the threshold conditions under s 55B and Schedule 6 FSMA as amended. Guidance on the application of the threshold conditions as provided for under COND within the FCA Handbook. COND applies to all firms (COND 1.1A). The threshold conditions represent the minimum requirements for which the FCA is responsible with which the firm must comply to obtain and retain its Part 4A permission (COND 1.2.1).

Specific concerns may arise in this case with regard to resources, suitability and business condition. The resources of the firm must be adequate in relation to the regulated activities carried on (para 2D Schedule 6 and COND 2.4.1). The firm must be fit and proper having regard to all the circumstances including connections with any other persons, the nature of the regulated activities carried on and the need to ensure that the affairs of the firm are conducted soundly and prudently (paras 2E and 3D Schedule 6 and COND 2.5.1). The firm's business model must also be suitable having regard to the regulated activities carried on (paras 2F and 3E Schedule 6 and COND 2.7.1).

The firm's dependence on interbank lending may breach its resources, suitability and business model conditions. The carrying on of unauthorised activities may also breach the suitability condition. Suitability includes ensuring that the firm's affairs are conducted in an appropriate manner (having regard to the interests of consumers and integrity of the UK financial system), it complies with FCA requirements, managers have adequate skills and experience and act with probity and the business is conducted in the sound and prudent manner (COND 2.5.1(1)(c), (d), (e) and (f).

Firms are also required to deal with the authorities in an open and cooperative manner and to provide all reasonably expected information (FCA PRIN 1 and PRA FC 7). The bank would be required to disclose all material information to the FCA.

In the event of the bank's solvency, it would have to cease trading immediately. Its authorisation and permission would be cancelled. Directors may be subject to

regulatory penalties and possibly be subject to separate offences under the Insolvency Act 1986.

(b) Other High Level Standards (including PRIN and SYSC) may also have been breached.

Specific regulatory concerns may arise with regard to:

- FCA PRIN 1 (integrity), 2 (skill, care and diligence), 3 (management and control), 4 (financial prudence), 6 (customers' interest), 7 (client communication), 8 (conflicts of interest), 10 (client asset protection) and 11 (regulatory relationships);
- SYSC 2 (senior management arrangements), 3 (systems and controls), 4 (general organisational requirements), 6 (compliance and internal audit), 7 (risk control), 10 (conflicts of interest), 12 (groups risk systems and controls), and 19A (remuneration code);
- COCON 1 (integrity), 2 (skill, care and diligence).
- FIT 2.1 (honesty, integrity and reputation), 2.2 (competence and capability) and 2.3 (financial soundness);
- TC 2 (competence) and 3 (recordkeeping).

(c) The bank may specifically be required to improve its financial resources, in particular, by increasing its deposit base and reducing its dependence on interbank funding, take appropriate action with regard to the manager concerned to ensure suitability and revise its business model.

Further remedial action may also be required which may include:

- Reviewing the firm's governance arrangements;
- Reviewing the firm's systems and controls;
- Reviewing the firm's remuneration policy;
- Reviewing the conduct of executive functions within the firm;
- Reviewing the conduct of non-executive functions within the firm;
- Reviewing risk management policy and function;

- Reviewing firm's internal audit policy and function;
- Reviewing compliance policy and function;
- Review compliance with PRIN, SYSC, COND, COCON and FIT;
- Reviewing compliance with CASS and client money arrangements;
- Reviewing the firm's training and policy function under TC;
- Reviewing the firm's conduct risk policy and environment;
- Reviewing the firm's ethics policy and environment;
- Reviewing recruitment policy and HR;
- Reviewing close cooperation with the regulatory authorities under PRIN 11 and COCON 3

(d) Firms have to consider additional relevant provisions within PRIN including: PRIN 1 (integrity), PRIN 6 (customers' interests), PRIN 7 (communications), PRIN 8 (avoiding conflicts of interest) and PRIN 9 (trust) as well as possibly PRIN 10 (protecting client assets). The bank must continue to treat customers fairly. The FCA has issued specific guidance in relation to the coronavirus crisis (https://www.fca.org.uk/coronavirus). Information is also available for consumers dealing with financial difficulties during coronavirus (https://www.fca.org.uk/consumers/dealing-financial-difficulties-coronavirus).

(e) The authorities would specifically consider restricting the bank's permission (s45 FSMA) and possible suspension or cancellation of permission (s206 and s54FSMA) and withdrawal of authorisation (s33 FSMA). They may also consider imposing a public censure (s205 FSMA), financial penalties (s206 FSMA), requests for information (s165 FSMA and Schedule 12 FSA 2012), independent inquiry (s68 FSA 2012), administration, receivership, winding-up or bankruptcy (Part 24 FSMA, Banking Act 2009 and Schedule 14 FSA 2012), injunctions (s380 FSMA) and possibly restitution in the event that any clients that suffer loss (ss382 and 384 FSMA).

B82.

The question was concerned with the impact and possible advantages and disadvantages that may arise with regard to the use of Financial Technology (FinTech) by major financial firms within the UK. This is of particular relevance following the recent crisis and markets and the potential additional benefits that may be provided to the use of technology and remote working. Firms can continue to operate and to provide services principally through telephone dealing, website and platform relations. The FCA has set up a dedicated section on Fintech and innovative businesses on its new website (https://www.the-fca.org.uk/firms/fintech-and-innovative-businesses). This specifically explains the nature and operation of Project Innovate including the new Innovation Hub and Regulatory Sandbox which are intended to support the development of innovative financial products and services in the UK.

(a) Financial technology could impact on the firm's activities in a number of ways. These include the following:

(i) Distributed Ledger Technology (DLY) or Blockchain

Distributed Ledger Technology is a system of replicated and synchronised digital records geographically spread over multiple sites, countries or institutions. There is no centralised administrator or centralised data storage. One form of distributed ledger design is the blockchain system, which can be either public or private. A blockchain is a continuously growing list of records called blocks, which are linked and secured using cryptography. Each computer linked to the network, ("node") receives a copy of each block as it is created. Each block contains an encrypted reference to the previous block called a hash. Once recorded, the data in any given block cannot be altered retrospectively without the alteration of all subsequent blocks, which requires collusion of the network majority. The blockchain provides an open, distributed record of transactions or other information shared between two or more parties which is efficient and verifiable.

(ii) Robo-Advice or Automated Advice

Robo-advice comprises financial advice provided with limited or zero human intervention by software applications that combine digital user interfaces and decision

making algorithms. Such advisors may be standalone firms or platforms, or can be the in-house applications of mainstream financial institutions. A typical robo-advisor collects information from clients about their financial situation, investment goals and risk tolerance, and then uses the data to offer advice and/or automatically invest client funds.

(iii) Chatbots

Chatbots use artificial intelligence to simulate a human conversation. They employ a technique called natural language processing to interpret human inputs (voice or text) within a defined context and respond accordingly. Chatbots can be used to answer customer queries and to action customer trade execution orders.

(iv) Crowdfunding

Crowdfunding is a method of raising finance to fund a business, project or venture, by asking a large number of people for a small amount each. Traditionally, financing has involved asking a few people for large sums. Crowdfunding uses the internet to contact thousands of potential investors typically using social media and then directing investors to a website set up for the purpose.

(v) Artificial Intelligence

Artificial intelligence is the theory and development of computer systems which can perform tasks that normally require human intelligence. These tasks include natural language processing, visual perception, speech recognition, decision making and translation between languages. This is supported by processes including machine learning (the automated acquisition of information and the inference of rules for using that information), and the application of algorithms to reach approximate or definite conclusions.

(vi) Analytics or “Big Data”

Big data refers to very large volumes of structured or unstructured data that can be analysed, or mined, to identify patterns or trends in, for example, customer behaviour

or market activity. This data can be collected from a range of sources including news reports, comments on social networks, personal electronic devices and applications, questionnaires, and financial data feeds.

(vii) Cloud Computing

Cloud computing is the delivery of IT services from the internet via web-based tools and applications, rather than using a direct connection to an in-house server. Information is kept in a remote database accessed through the internet, rather than a local hard drive, and can be accessed from any location. Software-based services can be accessed and charged for on an on-demand basis rather than being purchased or licenced.

(viii) RegTech

RegTech (regulatory technology) describes software applications used for regulatory reporting and compliance purposes by financial institutions. The term also refer to firms that offer such applications. RegTech offers firms the ability to deliver accurate regulatory information to regulators at reduced cost based on the consistent application of standardised reporting requirements.

(ix) SupTech

SupTech (supervisory technology) is the use of innovative tools and systems by financial regulators to improve their supervision of regulated individuals, firms and markets and/or to reduce costs.

(b) The firm's business model may be disrupted by their adopting, or their competitors adopting, FinTech services which potentially offer the following:

(i) Improved Marketing

The use of big data processing can be used to identify appropriate new customers or information about existing customers can be used to improve products and their delivery.
The use of social media, and particularly links with existing tech firms such as Amazon and Facebook, using the information they hold on their customers, can be used to target sales and marketing messages at the appropriate individuals.

(ii) Enhanced Fund Management

The use of big data processing can provide additional information about the performance and activities of investment targets which may improve fund performance. One example being the analysis of satellite photographs of retail stores' carparks to assess their trade volumes.
Artificial intelligence can be used to manage trading either in the automated selection of investment opportunities based on a defined strategy, or in managing the timing and size of trades to achieve the best price.

(iii) Innovative Distribution

The use of mobile phone apps, perhaps combined with access to consumers' bank accounts under Open Banking, may replace the existing retail distribution platforms that the firm currently relies on.
Existing, or emerging internet firms, such as Amazon and Google, may enter the market as distribution channels leveraging their large customer base and the detailed information they hold on them. Such entrants could take significant market share away from traditional distribution channels.

(iv) More Efficient Back Office Processing

The use of blockchain links between investors, fund managers, banks, brokers and custodians could reduce costs and errors in back office processing and potentially reduce the risk of fraud.
Chatbots could be used to respond to customer queries and requests more cheaply than human support staff.

(v) Improved Customer Service

The use of robo-advisors to suggest investment strategies to customers based on analysis of their financial position, objectives and risk tolerance, could provide the benefits of a tailored wealth management service without the costs associated with traditional human service.

(c) Relevant FCAs initiatives to support FinTech innovation within the regulatory regime include the following:

(i) Project Innovate

The FCAS launched Project Innovate in October 2014 to help encourage and support innovation in the financial services industry.
This work is described as central to delivering against the FCA's competition objective – it aims to encourage innovation in the interests of consumers, and to promote competition through disruptive innovation that offers new services to consumers and challenges existing business models.
The FCA uses Project Innovate to establish constructive engagement with innovative firms, from small start-ups to mass market new business models, and seeks to remove unnecessary barriers to innovation.
The project helps innovative firms gain access to timely and frank feedback on the regulatory implications of their concepts, plans and choices. It also seeks to tackle the structural issues that impede the progress of innovators entering the market.

(ii) The Innovation Hub

A central component of Project Innovate is the Innovation Hub which provides support to new and established businesses (both regulated and unregulated) who seek to launch innovative products and services into the market.
There are no restrictions on the areas of financial services covered by the Innovation Hub: firms innovating in mortgages, capital markets and pensions can all access the Hub for help in introducing the products to the market.

The Innovation Hub also performs a horizon-scanning role by identifying new technologies and areas where the regulatory framework needs to adapt to enable further innovation in the interests of consumers.
It provides an end-to-end experience for new entrants. Firms that receive initial support from the Hub have their applications for authorisation handled by a specialised authorisation process.
The FCA provides firms with dedicated supervisory support, usually for one year post –authorisation, which gives firms a seamless regulatory experience and minimises the risk of unnecessary delay.

(iii) International Engagement

Through engaging with international firms and overseas regulators, Project Innovate supports the FCA's competition objective by promoting the UK as a centre for innovation in financial services.
It does this by:
• Facilitating the entry of innovative overseas firms into the UK, thereby increasing innovation and competition in the UK financial services markets, and
• Facilitating the expansion of UB-based innovative firms into overseas markets, potentially making the m more sustainable challengers in the UK.

As at May 2018, the FCA has signed Co-operation agreements and frameworks with regulators in Australia, Singapore, Hong Kong, Canada, China, Japan, US and Korea.
(d) Regulatory Sandbox

Launched in May 2016, this allows firms to test innovative products, services, business models and delivery mechanisms in the real market, with real consumers without incurring all the normal regulatory consequences of engaging in those activities
The Sandbox provides firms with:
• The ability to test products and services in a controlled environment
• Reduced time to market at potentially lower cost
• Support in identifying the appropriate consumer protection safeguards to build into new products and services

(e) The FCA Advice Unit

The FCA Advice Unit provides regulatory feedback to firms who are developing automated advice models for consumers. This could include:

• An initial meeting with the Advice Unit, and other specialized areas of the FCA if needed, to discuss the proposition
• For firms requested ongoing engagement, a dedicated point of contact in the Advice Unit to provide regulatory input at agreed milestones
• Specific feedback on the regulatory implications of the model – this could include follow-up meetings with relevant FCA staff to discuss specific issues, informal steers and individual guidance as appropriate
• Advice on how to apply for authorization if the firm is currently unauthorized.

The advice and feedback provided will focus on helping the firm to understand the regulatory implications of their model.

(d) The challenges that FinTech developments could create to the FCA's statutory objectives include the following:

(i) Impact on the Consumer Protection Objective
Poorly designed robo-advice algorithms, or their use without adequate Know-Your Customer information gathering, may result in large numbers of customers receiving inappropriate advice of being sold inappropriate products of services.
The use of cryptographic and/or biometric identification may improve the security of financial transactions and reduce the opportunities for fraud.
Consumers dealing with firms over the internet may unwittingly be transacting with unregulated firms or be taken in by fraudsters.

(ii) Impact on the Integrity Objective

RegTech has the potential to increase the efficiency and effectiveness of market supervision by providing regulators with near real time data access and automated regulatory reporting.
Big data has the potential to improve supervisor's monitoring of regulated individuals and firms through insights gained from automated analysis of data, for example through the application of natural language processing to the analysis of news reports, annual reports and accounts, broker research, market trade data and press releases
Unregulated third party service providers providing critical services to large numbers of financial institutions may pose systemic risk to the financial system. They may also have access to large volumes of client and market data which could be used to support market abuse activities.

(iii) Impact on the Competition Objective

Smaller firms may be disadvantaged relative to larger firms which have bigger technology budgets, access to in-house technical expertise and who can realise efficiencies through economies of scale. This could result in reduced competition and the market domination of a few large players.
Alternatively, the entry of new players competing with incumbent fund managers and distribution channels could result in lower costs for customers and reduce the systemic risk associated with the dominance of large investment houses and distribution platforms.

(e) The crisis has had a specific impact on the FinTech and RegTech markets. While these have principally provided substantial value, some difficulties have arisen.

FinTech and RegTech use and applications have strengthened across all sectors and all functions as well as in specific areas of extension and with specific advances in RegTech tools and wider infrastructure technology (InfraTech) and applied technology (AppliedTech). FinTech and RegTech benefit from their inherent natural technology advantages and especially in terms of decentralisation, disintermediation, speed, low cost and efficiency,

Work conditions are also inherently more favourable with remote working practices, remote conference, meeting and collaborative project and file sharing skills, substantially low relative staff numbers, low fixed costs including on property and IT and business development and response flexibility.

Many Digital Coin projects are well funded through earlier Initial Coin Offerings (ICOs) with many Blockchain applications being retooled and reused to respond to post-crisis needs and conditions such as with regard to online identification, financial statement verification, financial history validation, remote business and complex project management especially with Blockchain solutions, remote payment, algorithmic and AI tied risk and investment management, robotic enquiries, advice and complaints handling.

Other non-ICO related start up and small and medium-sized businesses may nevertheless suffer from a shortfall in liquidity and investment during and immediately following the crisis with some countries providing support in this area such as in Singapore.
More generally, however, the crisis has confirmed the very substantial advantages of technology in modern business and social environments and uses with financial related aspects and FinTech and RegTech forming a significant part of this and of any future recovery.

B83.

This compulsory question raised issues of compliance and ethics in connection with the provision of portfolio management services for a private client. The question did not ask candidates to explain the role and function of the compliance officer within a regulated firm although relevant issues could have been incorporated into different parts of the answer. These include principal tasks, risk assessment and roles.

Candidates should have noted the mark allocation for each subsection and ensured that they provided enough relevant information in each case.

a) The nature and importance of compliance and the role and function of the compliance officer may initially have been summarised (above). The compliance officer is principally responsible for managing regulatory risk. Relevant issues that arise in the particular question include breach of a number of provisions in PRIN, SYSC and COCON, relevant sections of COBS and CASS. The particular issues raised by the facts include:

i. Inaccurate valuation;
ii. Irregular transaction;
iii. Lack of proper communication with client;
iv. Earlier irregularities with Scarlet;
v. Failure to follow up appropriately;
vi. Record failures;
vii. Oversight failures;
viii. Scope of delegation of back office functions;
ix. Operation of residual administrative teams;
x. Possible fraud by Nicola;
xi. Lack of oversight of Nicola;
xii. Possible client complaints to the Ombudsman;
xiii. Possible restitution;
xiv. Possible regulatory penalty by FCA.

b) Candidates should have summarised the client complaint procedures required to be maintained under DISP. The initial point that arises is that firms are entitled to outsource their complaints handling or to have shared handling procedures although no further information is provided in the present case beyond the general reference to the outsourcing of certain ‘back office’ functions. Relevant complaints procedures should then have been outlined in detail. This includes definition, eligible complainants, consumer awareness rule, complaints handling, complaints resolution, time limits, time barring, record rule and FCA reporting. Reference may also have been made to the Financial Ombudsman Service (FOS), jurisdiction and powers including awards. A separate right of appeal is available to the courts. Reference may have been made to relevant sections of DISP although no marks were deducted for failure to do so.

c) Candidates were asked to prepare a draft briefing memorandum to the partner concerned. The question specifically asked that this was structured in terms of concerns, reasons and action. As 10 marks were available, candidates should have outlined the specific breaches that may have occurred having regard to the factual issues already identified. Reference should then have been made to all the specific instances of breach that may have occurred.

Relevant factors could have included:

i. Breach of s59 FSMA;
ii. Possible liability under s71 FSMA;
iii. Possible breach of FIT and COND;
iv. Breach of SUP 10.4;
v. Breach of PRIN 1 (integrity), 2 (skill, care and diligence), 3 (management and control) and 11 (regulatory relations);
vi. Breach by the firm of SYSC 2 (senior management arrangements), 3 (systems and controls), 4 (organisational requirements), 5 (procedures), 6 (compliance), 7 (risk controls) and 10 (conflicts of interest);
vii. Breach of FCA Conduct rules 1 (integrity), 2 (skill, care and diligence), 5 (market conduct), SC1 (control), SC2 (compliance) and SC4 (regulatory relations) and
viii. Breach of CISI Code 1 (honesty and fairness), 2 (integrity), 3 (compliance), 4 (good conduct), 5 (conflicts), 6 (professional competence) and 8 (personal and professional standards).

Candidates should then have listed possible corrective action. This may include:

ix. Report to FCA on possible breaches and remedial action taken;
x. Review outsourcing arrangements;
xi. Review portfolio management functions;
xii. Review record keeping and reporting procedures;
xiii. Review client asset management procedures;
xiv. Review client communication procedures including follow-up processes;
xv. Review training and competence procedures;
xvi. Review systems and controls;

xvii. Carry out transaction reconciliation in specific case with provision of updated transaction and record reports;
xviii. Offer restitution in the event of shortfall;
xix. Review professional indemnity and insurance arrangements;
xx. Review general compliance functions;
xxi. Review any other outstanding operational or reputational risk management issues that arise.
xxii. Conduct internal review;
xxiii. Arrange management meeting to consider review;
xxiv. Consider suspension of relevant staff including Scarlet;
xxv. Refer matter to audit committee or non-executive board committee;
xxvi. Consider reopening specific transactions where necessary;
xxvii. Review approved person arrangements.

Relevant FCA enforcement action and penalties may also be noted with possible reduction under executive settlement scheme.

Possible breaches of the CISI Code may also have been considered and referral of the matter to the CISI.

B84.

a) Pangloss is classified as an enhanced scope SMCR firm as the average amount of the firm's assets under management (calculated as a three-year rolling average) is £50 billion or more.

One of the 17 SMF roles that apply to Enhanced Firms is SMF4 - Chief Risk Function: The person with overall responsibility for managing the firm's risk controls.

Firms must undertake a criminal record check as part of each senior manager's application for approval. Where a candidate has spent a considerable amount of time working or living outside the UK, firms should consider undertaking an equivalent check with the appropriate overseas regulatory body where available.

Firms must request a reference from senior manager and certification function candidates' past employers – known as regulatory references. The regulatory reference rules require firms to:

(i) Request a reference from all previous employers in the past six years for people applying for senior manager, certification and non-approved non-executive director (NED) roles.

(ii) Share information between firms in a standard template.

(iii) Disclose certain information going back six years. This includes details of any disciplinary action taken due to breaches of the Conduct Rules and any findings that the person was not fit and proper.

(iv) Disclose any other information relevant to assessing whether a candidate is fit and proper (eg, the number of upheld complaints), covering the previous six years (unless it relates to serious misconduct, in which case there is no time limit). Firms will need to use their judgement when considering what is relevant, on a case-by-case basis.

(v) Retain records of disciplinary and fit and proper findings going back six years.

b) To undertake a certification function, the firm must assess whether the person to carry out the role is fit and proper to undertake the role, and issue a certificate confirming that this assessment has been met. Firms must also carry out an annual assessment of fitness and propriety and whenever the role changes.
The FCA Handbook (SSC 27.2.5) states "Under section 63F of the Financial Services and Markets Act 2000, in assessing if a person is fit and proper to perform an FCA certification function, a firm must have regard, in particular, to whether that person:
(i) has obtained a qualification
(ii) has undergone, or is undergoing, training
(iii) possesses a level of competence, or
(iv) has the personal characteristics
…required by general rules made by the FCA."

c) There are two tiers of conduct rules; the individual conduct rules which apply to most individuals within a firm, and then an additional tier of senior conduct rules which only apply to senior managers.

The five individual conduct rules are:

Rule 1 – you must act with integrity.

Rule 2 – you must act with due skill, care and diligence.

Rule 3 – you must be open and co-operative with the FCA, the PRA and other regulators.

Rule 4 – you must pay due regard to the interests of customers and treat them fairly.

Rule 5 – you must observe proper standards of market conduct.

The Senior Manager Conduct Rules are:

SM1 – you must take reasonable steps to ensure that the business of the firm for which you are responsible is controlled effectively (COCON 2.2.1).

SM2 – you must take reasonable steps to ensure that the business of the firm for which you are responsible complies with the relevant regulatory requirements and standards of the regulatory system (COCON 2.2.2).

SM3 – you must take reasonable steps to ensure that any delegation of your responsibility is to an appropriate person and that you oversee the discharge of the delegated responsibility effectively (COCON 2.2.3).

SM4 – you must disclose appropriately any information of which the FCA or PRA would reasonably expect notice (COCON 2.2.4).

d) Firms must notify the FCA where they take disciplinary action as a result of any actual or suspected breach of the Conduct Rules by a senior manager within seven business days.

Disciplinary action is defined as:

- a formal written warning
- suspension
- dismissal, or
- reduction or recovery of remuneration.

This is done using Form D (if the individual will continue to act as a senior manager) or Form C (if the individual will be removed as a senior manager).

B85.

The question raised numerous issues with regard to the control of algorithmic trading and other regulated activities under the FSMA. The digital platform has developed a number of possibly highly lucrative new programmes and is considering entering the FCA Regulatory Sandbox.

(a) Explain the extent to which the various activities to be carried out by the platform would need to be regulated in the UK. **(4 marks)**

The platform would have to be authorised under s 19 FSMA and hold relevant permission under 20 FSMA to the extent that it carried on a regulated activity in the UK. Regulated activities are defined in s22 FSMA, the Regulated Activities Order 2001 (as amended) and the FSMA 2000 (PRA Regulated Activities) Order 2013. The 2013 Order divides activities between the FCA and PRA by specifying that anything not specifically assigned to the PRA under the Order is reserved to the FCA. Permissible activities overseen by the FCA would include inter alia managing investments (RAO art 37), dealing in investments (RAO art 21) and arranging deals in investments (RAO art 25). This would also include sending dematerialised instructions (RAO art 45).

The RAO distinguishes between specified investments and specified activities. Specified investments include: investments; deposits; contracts for insurance; shares; instruments creating or acknowledging indebtedness; government and public securities; instruments giving entitlement to investments; certificates representing certain securities; units in a collective investment scheme; rights under a stakeholder pension scheme; options; futures; contracts for differences; Lloyd's syndicate capacity and membership; funeral plan contracts; regulated mortgage contracts and rights to or interest in investments (RAO arts 73-89).

(b) Explain the specific provisions that would apply with regard to algorithmic trading. **(4 marks)**

Algorithmic trading is defined in the FCA Glossary as trading in financial instruments with a computer algorithm automatically determining individual parameters of orders (including whether to initiate the order, the timing, price and quantity of order or how to manage the order after submission) with limited or no human intervention, excluding systems only used for routing orders to one or more trading venues and simple processing, confirmation or post-trade execution activities. Authorisation and permission would be required to the extent that the activities of the

platform involve the activities referred to above (including investment management, arranging and dealing and sending dematerialised instructions) in relation to the investments as defined. The FCA published a report on Algorithmic Trading in Wholesale Markets (12 February 2018) with the PRA issuing a Consultation Paper on Algorithmic Trading (12 Feb 2018). The FCA document reviews activities and themes with the PRA paper outlining governance and risk management expectations in relation to algorithmic trading. A number of recommendations are made with regard to management approval of suitable governance frameworks, sound approval processes for algorithms, algorithm and risk control testing, algorithm and risk control inventory maintenance and effective oversight of algorithmic control functions and risk management.

(c) Outline the principal statutory restrictions that will apply if the platform wishes to carry on regulated activities in the UK. **(4 marks)**

All of the principal statutory provisions contained in the FSMA as amended would apply to the specific regulated activities involved. This includes the general prohibition (s19 FSMA), permission requirement (s20 FSMA) and restrictions on promotion (s21 FSMA). The firm would have to apply for Part IV permission (s40 FSMA) to become authorised (s31(1)(a) FSMA) and comply with the threshold conditions imposed (s41 and Schedule 6 FSMA as amended and COND). Relevant personnel would have to be approved persons (s59 FSMA), or subject to the new senior managers and certification regimes, and comply with the suitability requirements imposed under FIT and conduct requirements in COCON. The platform would be subject to the rules and guidance imposed by the FCA and PRA (ss137A, 137G and 139A FSMA including the FCA, PRIN and all other relevant provisions).

(d) Outline the enforcement provisions that would apply in the event of a breach of any of the applicable regulatory obligations. **(4 marks)**

The full range of regulatory penalties may be available against the firm including variation of permission (s45 FSMA), suspension of permission (s206a FSMA), cancellation of Part 4 permission (s54 FSMA), withdrawal of authorisation (s33 FSMA), public censure (s205 FSMA), financial penalties (s206 FSMA), requests for information (s165 FSMA and Schedule 12 FSA 2012), independent inquiry (s68 FSA 2012), administration, receivership, winding-up or bankruptcy (Part 24 FSMA, Banking Act 2009 and Schedule 14 FSA 2012), injunctions (s380 FSMA), restitution (ss382 and 384 FSMA), suspension of financial instrument from trading if appropriate (s36 FSA 2012), complaint by a consumer body (super-complaint under s234c FSMA

and s43 FSA 2012), regulated person reference (s234d FSMA), OFT investigation (s234h FSMA), action under product intervention rules (s137d FSMA 2000 and s24 FSA 2012) and skilled persons report (s166 FSMA).

(e) Explain the procedure that would apply if the platform wished to extend the range of activities covered over time. **(4 marks)**

The platform would have to apply to have the scope of permission extended to include any other additional activities and forms. This may include advising on investments (RAO art 53), safeguarding and administering investments (RAO art 40), establishing collective investment schemes (RAO art 52) and agreeing to carry on activities (RAO art 64) as well as possibly accepting deposits (RAO art 5), effecting and carrying out insurance contracts (RAO art 10), issuing regulated mortgage contracts (RAO art 61), funeral plan contracts (RAO art 59) and Lloyds-related activities (RAO art 56). These would apply in relation to any of the investments referred to above.

B86.

This question posed a case study related to the FCA's Anti-Greenwashing Rule. It was based on the interaction between two fictional individuals, David and Sarah, the fact that a firm may have made unsubstantiated sustainability claims in relation to a fund, and the reluctance of senior management to rectify the issue.

a) The FCA's Anti-Greenwashing Rule is part of the broader regulatory framework aimed at ensuring that financial products marketed as environmentally sustainable or aligned with ESG (environmental, social, and governance) criteria are presented accurately and honestly. The rule mandates that all ESG-related claims must be clear, fair, and not misleading. Firms are required to provide sufficient evidence to substantiate any claims about the environmental or social impact of their products. This rule is crucial for protecting investors from being misled by exaggerated or false claims, which could influence their investment decisions.

   Key elements of the FCA's Anti-Greenwashing Rule include:

• Firms must ensure that all sustainability-related claims are easily understandable by investors and clearly communicate the actual ESG impact of the investment product.
• Firms are required to provide robust evidence to support any ESG claims. This includes detailed information about the criteria used to assess sustainability and how these criteria are applied in practice.
• All promotional materials, disclosures, and marketing statements must consistently reflect the true nature of the investment product's ESG characteristics.
• Firms must avoid making exaggerated, ambiguous, or unsubstantiated claims that could mislead investors regarding the sustainability of the product.

In the case of the fund, the internal review discovered that the marketing claims of '100% sustainable' and 'carbon neutral' do not fully align with the actual investments within the fund. This discrepancy suggests a potential breach of the FCA's Anti-Greenwashing Rule. To comply with the rule, the firm would need to revise its marketing materials to accurately reflect the true nature of the fund's investments. This includes providing clear, evidence-based disclosures about which parts of the fund meet sustainability criteria and which do not. Failure to adhere to these requirements could lead to regulatory penalties, significant reputational damage, and a loss of trust among investors, ultimately impacting the firm's financial stability and market position.

b) David's behaviour raises several significant ethical issues, primarily centred around the principles of honesty, integrity, and accountability. By choosing not to address the discrepancies identified in the fund's marketing materials, David is prioritising the potential financial success of the fund over the ethical obligation to provide truthful and transparent information to investors. This decision not only undermines the trust that investors place in the firm but also risks fostering a culture within the firm where financial gain is placed above ethical conduct. His decision to withhold information about the discrepancies contradicts the ethical obligation to be transparent and honest in all communications. Investors rely on accurate information to make informed decisions, and misleading them can lead to a breach of trust. Integrity involves doing the right thing even when it is difficult. By ignoring the discrepancies, David compromises his own integrity and sets a poor example for others within the firm. David's focus on the potential bonuses and the fund's success creates a conflict of interest, where personal or corporate gain is prioritised over ethical responsibilities to investors and regulatory compliance.

c) If the ethical issues related to the fund are not addressed, the firm and its leadership could face a range of significant risks, both reputational and regulatory. The most immediate reputational risk is the potential loss of trust from investors. The investment community places a high value on transparency and ethical conduct, particularly in ESG-focused funds. If investors discover that the fund's marketing claims are misleading, they may withdraw their investments, leading to a substantial outflow of funds. Additionally, the firm could find it challenging to attract new investors, damaging its long-term growth prospects. The firm's brand could suffer lasting damage if the firm is seen as engaging in greenwashing. This term is particularly damaging in the context of sustainability-focused investments, where authenticity is key. Negative publicity, including media coverage of the firm's ethical lapses, could tarnish its image in the market, not just in relation to the fund but across all its products and services. If employees see that ethical breaches go unaddressed, it could erode the company's internal culture. Employees may become disengaged or disillusioned, feeling that the company prioritises profits over ethics. This could lead to decreased morale, higher turnover rates, and difficulty in recruiting top talent who value working for an ethically responsible company.

The FCA's Anti-Greenwashing Rule is designed to ensure that all sustainability claims are accurate and not misleading. If a firm fails to address the discrepancies in the fund's marketing materials, the FCA could impose significant sanctions, including fines and restrictions on the firm's ability to market similar products in the future. These sanctions could have a direct financial impact on the firm and limit its operational flexibility. Beyond immediate penalties, the firm could face increased scrutiny from regulators in the future. The FCA might subject the firm to more frequent inspections or audits, increasing compliance costs and placing a greater burden on the firm's resources. This ongoing scrutiny could hinder the firm's ability to innovate or expand its product offerings, as the firm would need to dedicate more time and resources to regulatory compliance. There is also the potential for legal action from investors who may feel they were misled by the fund's marketing claims.

Class action lawsuits or individual claims could lead to costly litigation, further straining the firm's financial resources and damaging its reputation. Additionally, the firm's leadership, including individuals like David, could face personal liability if it is determined that they knowingly allowed misleading claims to persist. Senior managers like David could be held personally accountable for the firm's ethical lapses. This might include facing disciplinary

action from professional bodies, such as fines, suspensions, or even disqualification from holding senior roles in the financial industry. Such outcomes could have long-lasting impacts on their careers and professional reputations. The expected bonuses tied to the fund's success could be jeopardised if the fund's performance suffers due to withdrawals or regulatory sanctions. Additionally, employees may face job insecurity if the firm experiences financial losses or downsizing as a result of the fallout.

d) Sarah, as a member of the CISI, has significant ethical and professional obligations, especially in light of the CISI Code of Conduct. The Code outlines key principles that Sarah must uphold in this situation, guiding her actions in response to David's decision.

• **Integrity:** The first principle of the CISI Code is to act with integrity, meaning Sarah must ensure that her actions are honest, transparent, and uphold the trust placed in her by investors and her firm. David's decision to overlook the discrepancies in the fund's marketing materials violates this principle, as it involves misleading investors. Sarah is therefore obligated to act in a way that rectifies this situation, ensuring that the firm's communications are accurate and truthful.

• **Personal Accountability:** The Code emphasises personal accountability, which means Sarah is responsible for the decisions she makes and the actions she takes. In this context, she should challenge David's decision, highlighting the importance of aligning the firm's practices with both ethical standards and regulatory requirements. If David continues to dismiss her concerns, Sarah must take further steps, such as escalating the issue to higher management or the compliance committee, to ensure that the discrepancies are addressed.

• **Client Focus:** The Code also requires that members place the interests of clients first. By allowing misleading information to persist, the firm is not acting in the best interest of its clients, who rely on accurate information to make informed investment decisions. Sarah's obligation is to protect these clients by ensuring that the firm's marketing materials are corrected and that they reflect the true nature of the fund's investments.

• **Respect for Others:** Sarah must treat her colleagues with respect, but this does not mean she should ignore unethical behaviour. Respect includes fostering a culture where ethical concerns can be raised without fear of retaliation. Sarah's actions should promote an environment where honesty and transparency are valued, even if it means challenging decisions made by senior colleagues.

• **Speak Up and Listen Up:** The CISI Code encourages members to "Speak Up" when they observe unethical behaviour and "Listen Up" to the concerns of others. Sarah must speak up about the discrepancies and ensure that these issues are addressed, rather than suppressed. This could involve documenting her concerns and, if necessary, escalating them to external regulatory bodies like the FCA if internal mechanisms fail to resolve the issue.

• **Confidentiality:** While addressing these concerns, Sarah must maintain confidentiality where appropriate, ensuring that the issue is handled professionally and without unnecessary disclosure to parties not involved in the resolution process.

B87.

The question raised a number of issues with regard to money laundering controls and the activities of a new veneer platform without separate UK authorisation or permission. The platform will provide crypto-asset related services initially and then expand into other regulated activities subsequently. Candidates were asked to identify the principal points of concern that may arise from a money laundering and compliance perspective. Relevant offences, defences and penalties should have been listed. Relevant identification, documentation or other record requirements should have been explained. Possible institutional responsibilities and liability should have been noted. Separate anti-terrorist measures should have been referred to.

a)

Specific concerns include:

(i) the online nature of the business.

(ii) the global nature of the business.

(iii) the use of cryptocoins and other crypto-assets.

(iv) the possible use of other different currency denominations.

(v) the potential need for regular international money transmission as well as other account services.

(vi) the possibly large number of small transaction nature of the business which may be used to hide the source and nature of funds transfers.

(vii) the potential for criminal organisations to use false or fake identities taken, in particular, from the social media site.

(viii) the provision of a range of linked online services which could be used to hide the layering and integration of criminally derived funds.

(ix) the lack of separate direct authorisation or permission.

Additional issues may also arise from an ethical perspective:

(i) potential breach of PRIN 1, FR 1 and COCON 1 (integrity) by relevant parties.

(ii) the need to report suspicions under the Proceeds of Crime Act by relevant parties.

(iii) the need to cooperate with the regulators under PRIN 11, FR 8 and COCON 3 by relevant parties.

(iv) the need to comply with other Codes of Conduct including the CISI Code by relevant parties.

b)

A range of core statutory offences, defences and penalties under the Proceeds of Crime Act 2002 (POCA) should have been noted. The principal UK money laundering offences are now restated under Part VII of the POCA. The POCA creates three main offences relating to Concealing (s 327), Arranging (s 328) and Acquisition, Use and Possession (s 329) as well as attempting, conspiring or inciting to commit any such offence (s 340(11)(a) and (b)). Money laundering includes aiding, abetting, counselling or procuring the commission of any of these offences (s 340(11)(c) and (d)). Two separate offences are also created of Failing to disclose (ss 330-332) and Tipping-off (s 333). The principal offences were possibly concerned with concealment and arranging. Revisions to the PCA were made under the Serious Organised Crime and Police Act 2005 with separate reference possibly being made to reporting under s21A Terrorism Act 2000 and to the Bribery Act 2010.

As the platform wishes to engage in crypto-asset-related activity it would have to register with the FCA. This applies with regard to crypto-asset exchange providers and custodian wallet providers and was introduced under the 5th European Money Laundering Directive 2018/843 and Money Laundering and Terrorist Financing (Amendment) Regulations 2019/1511. A temporary regime had applied with regard to businesses operating before 10 January 2020. Separate guidance is provided under the Joint Money Laundering Steering Group (JMLSG) Guidance Part II, Chapter 22. [SYSC 3.2] Candidates may also have referred to general systems and controls requirements in relation to compliance,

financial crime and money laundering (SYSC 3.2.6 and 3.2.6 A-H). Separate reference could also have been made to relevant outsourcing provisions (SYSC 8.1) although as the platform is not regulated, this would not strictly apply. (See also MLR 2017 Reg 39(7) and JMLSG Part I Chapter 2 (Internal controls and Outsourcing).)

c)

Relevant, identification and record requirements are discussed in the Joint Money Laundering Steering Group (JMLSG) Guidance and imposed through the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 including with regard to customer due diligence (CDD), know your customer (KYC) and identification requirements as well as simplified due diligence (SDD) and enhanced due diligence (EDD) for higher risk entities as well as potential politically exposed persons (PEPs).

A Consolidated List of persons or countries against whom financial sanctions are in place is maintained by the HM Treasury and the JMLSG. Separate lists of uncooperative jurisdictions are also maintained by the Financial Action Task Force (FATF).

d)

Institutional liabilities can be considered under the MLR 2007 provisions or general regulatory requirements. The MLR imposes internal systems and control requirements on firms including with regard to CDD and monitoring, internal reporting, five-year recordkeeping, internal control, risk assessment and management, compliance monitoring, recognition and reporting of suspicious transactions and staff training. Specific FCA Handbook provisions include SYSC 3.2.6 (systems and controls with regard to compliance, financial crime and money laundering), SYSC 3.2.6I (MLRO) with FCA guidance on financial crime being provided in the FC guide. Breach of the MLR requirements is punishable by up to two years imprisonment and an unlimited fine or six months imprisonment and a £5,000 fine before a Magistrates Court. The full range of enforcement actions would be available for breach of relevant Handbook provisions.

e)

Separate provisions with regards to anti-terrorist requirements are contained in the Terrorism Act 2000, Terrorism Act 2006 and Counter-Terrorism Act 2008. The 2000 Act defines terrorism and lists prescribed terrorist organisations with the police being given power to detain suspects and conduct stop and search interventions. The offence of

glorifying terrorism was introduced under the 2006 Act after the July 2005 London bombings. The 2008 Act inter alia permits the Treasury to issue directions to financial firms in relation to CDD, ongoing monitoring, systematic reporting and limiting or ceasing business. Such directions are only used with regards to non-EEA countries and on an FATF advice to the Treasury. Civil penalties and criminal terms of up to two years' imprisonment and fines are imposed.

B88.

The question raised several issues with regard to the activities of the managers of a London based hedge fund. The fact pattern very loosely reflected the circumstances surrounding the difficulties at the family firm, Archegos, in New York in March 2021 and the fine imposed on Corraddo Abbattista, the former chief investment officer, at the London hedge fund Fenician Capital Management in May 2017.

a)

Specific concerns arise with regard to possible market abuse having been carried out by the management team Asian stocks. Market abuse was previously controlled under s 118 FSMA with this being repealed with the coming into effect of the EU Market Abuse Regulation (MAR) 596/2014 which contains specific directly applicable provisions in this regard. Offences consist of insider dealing and unlawful disclosure (art 14) and market manipulation (art 15) which include false or misleading signals, using fictitious devices or deception or contrivance or transmitting false or misleading information through the media or in relation to a benchmark (art 12). The MAR is implemented through European Securities and Markets Authority (ESMA) Guidelines and amendments to the FCA Handbook. The MAR came into effect on 3 July 2016 although the question could have been answered with regard to either FSMA or the MAR. Candidates should have referred to the general nature of the offences created and defences and penalties available.

While reference is made to dealings in Asian stocks, it is not clear where this was carried out although it is assumed that this was in London. Philippe Jabre was nevertheless fined £750,000 on 11 February 2003 in respect of activities carried out in Asia and outside the UK although the stock was also listed in London. Reference may have been made to the new offences on benchmarking imposed under a 91 of the Financial Services Act 2012 although this was possibly not strictly a benchmarking question.

b)

Separate regulatory concerns specifically arise with regard to PRIN 1 (integrity), 2 (skill, care and diligence), 3 (proper management and control), 6 (act in the best interests of customers), 8 (avoid conflicts) and 11 (be open and corporative with the authorities) as well as PRA FR 1, 2, 3 (prudent manner), 5 (effective risk strategies and management systems), 6 (responsible and effective organisation and control) and 7. SYSC (2, 3, 4, 5, 6, 7, 10, 18 and 19A), COCON (1, 2, 3 and 5), COND (2, 4 and 5) and FIT (1, 2 and 3) may also be breached with the full range of regulatory penalties applying. These may relate to integrity, systems and controls, organisation, compliance and possibly the Remuneration Code in SYSC 19A. Concerns also arise with regards to breach of the CISI Code of Conduct to the extent that any parties involved are members.

c)

The matter could be escalated within the firm. This should be reported to the immediate manager in or outside compliance failing which to the board or non-executive directors. If necessary, the individual could consider using the whistleblowing procedures provided for under the Public Interest Disclosure Act (PIDA) 1998 as amended by the Enterprise and Regulatory Reform Act (ERRA) 2013. A separate reporting system is also available under the CISI 'Speak Up' procedure (Prepare, Evaluate, Act and Keep trying).

d)

The full range of regulatory sanctions may be available against the firm, in addition to the individual penalties referred to above, including variation of permission (s45 FSMA), suspension of permission (s206a FSMA), cancellation of Part 4 permission (s54 FSMA), withdrawal of authorisation (s33 FSMA), public censure (s205 FSMA), financial penalties (s206 FSMA), requests for information (s165 FSMA and Schedule 12 FSA 2012), independent inquiry (s68 FSA 2012), administration, receivership, winding-up or bankruptcy (Part 24 FSMA, Banking Act 2009 and Schedule 14 FSA 2012), injunctions (s380 FSMA), restitution (ss382 and 384 FSMA), suspension of financial instrument from trading (s36 FSA 2012), complaint by a consumer body (super-complaint under s234c FSMA and s43 FSA 2012), regulated person reference (s234d FSMA), OFT investigation (s234h FSMA), action under product intervention rules (s137d FSMA 2000 and s24 FSA 2012) and skilled persons report (s166 FSMA).

e)

The firm must act in an open and co-operative manner in dealing with the FCA and PRA (PRIN 11 and FR 7). The firm should make full disclosure of the internal report to the authorities with a full list of corrective action intended to prevent any similar occurrence in future. This may include taking disciplinary action against all of the original staff involved. The firm could specifically consider:

(i) conducting an internal review into activities of the bank's hedge fund related activities.

(ii) reviewing relations with managers and other firms.

(iii) possible disciplinary action that could be applied in relation to any breaches.

(iv) investigating any potential client losses with regard to any affected transactions.

(v) reviewing benchmark setting procedures.

(vi) reviewing systems and controls.

(vii) reviewing conflicts of interest policy and controls.

(viii) reviewing recordkeeping procedures.

(ix) reviewing wider compliance functions.

(x) reviewing any relevant escalation procedure to the extent relevant.

(xi) reviewing reporting lines and governors' functions.

The firm must co-operate with the authorities under PRIN 11, PRA FR 7 and COCON IC 3 and SM 4. The firm may also consider:

(i) discussing any concerns with the regulators following the internal reviews conducted.

(ii) explaining all of the internal action carried out to the firm's principal line supervisors.

(iii) reviewing board oversight of foreign exchange and other benchmark operations.

(iv) ensuring that a specific director has operational responsibility for the firm's foreign exchange and other benchmark operations.

(v) ensuring that foreign exchange operations are monitored by non-executive directors.

(vi) confirming internal training with regards to compliance with internal benchmark setting arrangements.

(vii) reviewing internal whistle blowing procedures with regards to internal staff reporting.

(viii) considering reporting any instances of criminal activity or conduct contrary to regulatory provisions involving other firms to the regulators.

(ix) reviewing remuneration policy in light of the findings.

(x) reviewing the firm's ethics policy with regards to the findings.

B89.

(a) Outline four options available to Satish. **(4 marks)**

A variation of any of the following, which shows an understanding of the dilemma:
• Sign the report on Eamonn's behalf, after getting written confirmation from Eamonn that he is happy for Satish to do so.
• Ensure and insist, through written communication, that Eamonn must sign the report as required by the sign-off procedures.
• Ask for another manager to sign of the report, after confirming that internal procedures allow this.
• Explain to the reporting unit why Eamonn's signature is missing and confirming the probable course of action beyond this, as per the written procedures.

(b) Explain the merits and disadvantages associated with two of these options **(4 marks)**

• Sign the report on Eamonn's behalf

This is getting the job done but means that process and protocol have not been followed through. This can pose higher risks as the process was implemented by the regulator.
• Ensure and insist that Eamonn must sign the report

Putting the onus back on Eammon to sign the report shows a better understanding of the process and rules, but the disadvantage is the time delay that this puts on getting it done. This could also put a strain on their working relationship and make it harder to get things across the line in the future.
• Ask for another manager to sign off the report

This ensures that the process is followed and that a manager will be signing off, but it doesn't deal with the initial issue of Eamonn not signing off the report.
• Explain to the reporting unit why Eamonn's signature is missing

Whilst this provides a rationale to the reporting unit as to why the signature is missing, it ultimately still goes against the regulator's guidance which stipulates the signatories.

(c) List two principles from the Code of Conduct that would be relevant for Satish to consider and explain why. **(4 marks)**

• Personal Accountability - when looking at acting with integrity, honesty, due skill, care and diligence, avoid any acts which may damage the reputation of your organisation. Satish needs to ensure that his course of action follows this.
• Respect for Market Participants - Satish needs to specifically consider action where he will be observing proper standings of market integrity and good practice
• Awareness of Capabilities - declining to act on any matter about which you are not competent or qualified, unless you have access to such advice or assistance to carry out the work in a professional manner.
• Speak Up & Listen Up - actively speaking up and encouraging others to do so by listening up.

(d) What are the CISI four key values, set out in the Code of Conduct and represented by the acronym 'CISI'. What is the meaning behind each value? **(2 marks)**

• Clear - Have I told no lies or 'half-truths' to any party involved in my reaching my decision?
• Impartial - Is everyone affected by my action or decision aware of the consequences?
• Straightforward - Have I made sure that my action or decision will not result in any party being unknowingly disadvantaged or unduly advantaged?
• Informed - Have I considered the interests of my potential stakeholders and not been misleading when making my decision?

(e) Identify three risks from this scenario and explain how they could have been mitigated at an earlier stage. **(6 marks)**

• A risk could be that the Regulator imposes a sanction on the firm, as well as on Satish. This could also cause financial and reputational damage to the firm.
i) Speaking up to a superior could mitigate the risk, and ensure that due process is followed

• Another risk could be that the MI does not receive sign off, and there is a further delay. This raises questions of competency.
ii) This could be mitigated by making sure there is a second line procedure document that ensures there is an alternative individual to sign off the MI.

• Another risk could be that there are actual mistakes in the MI report, as there is a reduced headcount and people are working longer hours. This could have an impact on the quality of work.
iii) The correct sign off is imperative to highlight any potential mistakes; this could have been mitigated if the team had better communication and work-flow structure.

B90.
The question was concerned with the implications of a boutique asset management firm wishing to expand its business operations into the UK, the EU, the EEA and Switzerland. The firm is attempting to assess the relative advantages and disadvantages of the various options available.

(a) Explain the principal options that may be available in terms of either operating a branch, subsidiary or representative office and outline the regulatory advantages and disadvantages of each.

(4 marks)

The firm would have three general business expansion options:
• It could establish a subsidiary or branch in the UK and apply for authorisation and permission to operate within the UK. A subsidiary would involve setting up a new separate subsidiary company under UK law.
• It may be able to open a branch depending upon the bilateral arrangements and relations between the Hong Kong and UK authorities, although it would still have to apply for authorisation and permission. A branch operates under the legal identity of the parent firm in the UK without any separate local legal status. A subsidiary constitutes a newly formed corporate entity within the UK or elsewhere.
• It could set up a representative office although this would only constitute an overseas operation used for marketing and client development purposes, without local authorisation to conduct transactional business. A representative office would have no rights to carry

out regulated activities in the UK or provide services or establishment in any other EU Member States.

(b) Outline the principal statutory restrictions that will apply with regard to the proposed London operations.

(4 marks)

All the principal statutory provisions contained in the FSMA as amended would continue to apply. This includes the general prohibition (s19 FSMA), permission requirement (s20 FSMA) and restrictions on promotion (s21 FSMA).
The firm would have to ensure that its Part IV permission (s40 FSMA) to become authorised (s31(1)(a) FSMA) was up-to-date and comply with the threshold conditions imposed (s41 and Schedule 6 FSMA as amended and COND). Relevant personnel would have to be approved persons (s59 FSMA) and comply with the suitability requirements imposed under FIT and conduct requirements in COCON.
As an investment firm, it would principally be regulated by the FCA. The firm would be subject to the rules and guidance imposed by the FCA and PRA (ss137A, 137G and 139A FSMA including the FCA PRIN and all other relevant provisions). The question strictly referred to principal statutory restrictions, although candidates may have referred to rules and guidance manuals as these are imposed under the provisions contained in the FSMA. Reference may also have been made to the Financial Ombudsman Service (FOS), Financial Service Compensation Scheme (FSCS), the Complaints Scheme and Complaints Commissioner as well as the Competition and Markets Authority (CMA) and the Financial Policy Committee (FPC) within the Bank of England, although this was not strictly necessary.

(c) Outline the principal EU directives or regulations that would apply if the firm decides to establish an operation in the EU or EEA. **(4 marks)**

As an authorised firm with its head office in the UK, the securities firm would have been able to exercise passport rights under the core European financial directives which also apply to EEA firms. The right to carry on securities related activities in other Member States is provided for under the Capital Requirements Directive 4 (CRD 2013/36/EU), the Capital Requirements Regulation (CRR 575/2013), Markets in Financial Instruments Directive II (MiFID II 014/65/EU) and Markets in Financial Instruments Regulation (MIFiR

600/2014/EU) as given effect to under relevant UK implementing measures. These apply to institutions which include both credit institutions and investment firms (art 3(3) CRR), with passport rights for investment firms and credit institutions being provided for under art 34(1) MiFID II. If the firm wishes to become an EEA firm, it will become subject to MiFID II and be able to exercise separate underlying Treaty Rights as a Treaty firm under Schedule 4 FSMA to the extent necessary. Before the UK's withdrawal, the firm would be able to passport activities from the UK into other Member States of the EU and EEA through its parent operation in the UK.

(d) Explain the nature of the rights available to the firm if it establishes in London to carry on activities within the EU, the EEA or Switzerland, on either a services or establishment basis. **(4 marks)**

A UK authorised London subsidiary would have no automatic rights in the EU or EEA, following the UK's withdrawal from the EU, unless replacement arrangements are agreed. If replacement rights are continued, the subsidiary may be able to exercise services and establishment rights across Europe. The relevant procedures would vary depending upon whether the firm wished to exercise service or establishment rights in other territories. In the absence of specific arrangements, the firm would have to re-establish within the EU on the European continent. The firm would only have passport rights if it was authorised as a separate legal entity within the EU. It could then carry out activities in other Member States, either on a cross-border services or establishment basis, under the relevant EU measures as referred to above.

(e) Explain the extent to which the firm would be able to provide financial services in other non-EU or non-EEA countries depending upon the options exercised. **(4 marks)**

Passport rights only apply in relation to the provision of financial services on a services or establishment basis within the EU or EEA. The firm would not automatically be able to carry on financial services in any other non-EU country. The extent to which the firm would have to make a full new original application would depend upon the relationship between the separate third country and either the UK, EU or EEA, depending upon whether the new services were to be carried on from London or Ireland.
Special rules apply under the MiFID II in respect of assessing equivalence requirements regarding 3rd country firms coming into the EU and establishing branches (MiFID II art

39), which replaced the earlier national provisions. The UK set out its implementation approach to these provisions in an HM Treasury consultation document in March 2015. The rights that the firm would otherwise have to carry on financial services in other non-UK and non-EU countries would depend on the arrangements agreed with the specific country concerned and the UK or EU, respectively.
The establishment of non-EU branches by EU firms was referred to by the European Securities and Markets Authority (ESMA) in July 2017, with national competent authorities being required to ensure that such use was based on objective reasons where services were provided in the non-EU jurisdiction and did not result in non-EEA branches performing material functions or services back into the EU (para 49 ESMA Opinion to support supervisory convergence in the area of investment firms in the context of the UK withdrawing from the EU (13 July 2017 ESMA 35-43-762)).

B91.
The question raises several issues with regard to the impact of outsourcing money laundering, systems and controls and financial ethics in connection with a small London bank. The bank will specifically carry out operations on a digital basis through online client interface arrangements. It also proposes to delegate or outsource these to a separate appropriately qualified and regulated firm. The activities covered will specifically cover anti-money laundering (AML) and anti-terrorist financing checks. This could lead to potentially large cost savings and lower the burden and avoidance of regulatory fines and penalties in these areas.

(a) Explain the principal issues or concerns that arise from a money laundering and ethical perspective. **(4 marks)**

Specific concerns arise with regard to:
(i) The outsourcing and automation of critical anti-money laundering and anti-terrorist financing functions.
(ii) The outsourcing and automation of identity checks including the customer (Know Your Customer - KYC).
(iii) The possible involvement of Politically Exposed Persons (PEPs) as clients.
(iv) The possible involvement of Ultra High Net Worth (UHNW) persons as clients.
(v) The complex nature of the bank's operations.

(vi) The possible size and number of transactions.
(vii) The sharing of functions with other regulated institutions.
(viii) The possible failure of the arrangements and lack of continuity planning.
(ix) The possible failure to comply with standard procedures and adoption of a simplified procedure.
(x) The possible limited number of personnel and senior personnel involved.
(xi) The lack of bank personnel involved in the outsourcing arrangements.
(xii) The proprietary and possibly secretive nature of the operations concerned.

Additional issues may also have arisen from an ethical perspective:
(xiii) Potential breach of PRIN 1, FR 1 and COCON 1 (integrity).
(xiv) The need to report suspicions under the Proceeds of Crime Act.
(xv) The need to cooperate with the regulators under PRIN 11, FR 8 and COCON 3.
(xvi) The need to comply with other Codes of Conduct including the CISI Code.

(b) Outline the key provisions that apply with regard to the outsourcing of relevant compliance and regulatory obligations. **(4 marks)**

Outsourcing is dealt with under FCA SYSC 8.1 which applies to common platform firms, which are subject to specific obligations under MiFID, and to other firms. A common platform firm must ensure that it takes steps to avoid undue additional operational risk arising in relying on a third party for the performance of operational functions, and not undertake the outsourcing of important functions that would materially impair the quality of its internal control and the ability of the FCA to monitor its compliance (SYSC 8.1.1). An operational function is generally regarded as critical and important if a defect or failure in its performance would materially impair the continuing compliance of the firm with the conditions and obligations of this authorisation.
The MiFID Delegated Regulation 2017/565 of 25 April 2016 applies to common platform firms, with other firms being subject to the obligations set out in SYSC 8. Outsourcing is dealt with under Articles 30 (scope), 31 (outsourcing critical and important operational functions) and 32 (service providers located in third countries) of Regulation 2017/565.
The FCA issued special Guidance for firms outsourcing to the cloud and other third-party IT services (FG 16/5) in July 2018, which follows the earlier considerations for firms thinking of using third-party party technology (off-the-shelf) banking solutions in July 2014.

The guidance is stated not to be binding and not exhaustive, with the purpose being to assist firms in complying with relevant rules. Common platform firms are also subject to the separate Supervisory Statement issued by the PRA on Resolution Planning (PRA, Resolution Planning SS 19/13).

The specific areas that firms should consider in outsourcing to ensure that they discharge relevant oversight obligations are set out in a table which covers such matters as legal and regulatory considerations, risk management, international standards, oversight of service provider, data security, the General Data Protection Regulation (GDPR), effective access to data, access to business premises, relationship between service providers, change management, continuity and business planning, resolution and exit plan (6-12).

(c) Outline the key statutory offences, defences and penalties and other key regulatory provisions that may apply. **(4 marks)**

The full range of relevant offences, defences and penalties under the Proceeds of Crime Act 2002 (PCA) should have been noted. The principal UK money laundering offences are now restated under Part VII of the PCA. The PCA creates three main offences relating to Concealing (s 327), Arranging (s 328) and Acquisition, Use and Possession (s 329), as well as attempting, conspiring or inciting to commit any such offence (s 340(11)(a) and (b)). Money laundering includes aiding, abetting, counselling or procuring the commission of any of these offences (s 340(11)(c) and (d)). Two separate offences are also created: Failing to Disclose (ss 330-332) and Tipping-off (s 333).

Revisions to the PCA were made under the Serious Organised Crime and Police Act 2005, with separate reference possibly being made to reporting under s21A Terrorism Act 2000 and to the Bribery Act 2010. Reference should also have been made to the Money Laundering Regulations 2007 as amended.

Separate provisions regarding anti-terrorist requirements are contained in the Terrorism Act 2000, Terrorism Act 2006 and Counter-Terrorism Act 2008. Other relevant legislation includes the Anti-terrorism, Crime and Security Act 2001 introduced after 11 September 2001, the Prevention of Terrorism Act 2005 which introduced control orders, the Terrorism (United Nations Measures) Order 2009 and Terrorist Asset-Freezing (Temporary Provisions) Act 2010.

Identification and record requirements are imposed under the Joint Money Laundering Steering Group (JMLSG) Guidance and Money Laundering Regulations 2007, including with regard to customer due diligence (CDD), know your customer (KYC) and

identification requirements, as well as simplified due diligence (SDD) and enhanced due diligence (EDD) for higher risk entities in addition to potential politically exposed persons (PEPs).
A consolidated list of persons or countries against whom financial sanctions are in place is maintained by the HM Treasury and JMLSG. Separate lists of uncooperative jurisdictions are also maintained by the Financial Action Task Force (FATF).

(d) Explain the identification conditions that would apply with regard to new clients joining the site. **(4 marks)**

EDD is provided for under Regulation 14 (1) and Section 5.5 of the JMLSG Guidance. EDD is specifically to be used in higher risk situations including in the event that the customer is not physically present when identities are verified, during correspondent banking or with PEPs. Additional documents, data or information have to be collected. EDD is to be applied on a risk sensitive basis where insufficient information has been obtained under standard due diligence (JMLSG Section 5.5.1). Firms should obtain sufficient information concerning the circumstances and business of customers and beneficial owners to support the risk assessment process and monitor customer activity and transactions (JMLSG Section 5.5.2). The relevant additional information will depend on the nature of that money laundering or terrorist financing risk (JMLSG Section 5.5.3). PEPs consist of high-ranking public officials, Members of Parliament and their immediate families and close associates.
Reference could also have been made to the consolidated list of persons or countries against whom financial sanctions are in place. This is maintained by HM Treasury and JMLSG. Separate lists of uncooperative jurisdictions are also maintained by the FATF.

(e) Outline the institutional liability issues that may arise. **(4 marks)**

Institutional liabilities can be considered under the MLR 2007 provisions or general regulatory requirements. The MLR imposes internal systems and control requirements on firms including with regard to CDD and monitoring, internal reporting, five-year recordkeeping, internal control, risk assessment and management, compliance monitoring, recognition and reporting of suspicious transactions and staff training. Specific FCA Handbook provisions include SYSC 3.2.6 (systems and controls regarding compliance, financial crime and money laundering), SYSC 3.2.6I (MLRO) with FCA

guidance on financial crime being provided in the FC guide. Breach of the MLR requirements is punishable by up to two years imprisonment and an unlimited fine or six months imprisonment and a £5,000 fine before a Magistrates' court. The full range of enforcement actions would be available for breach of relevant Handbook provisions.
The firm may also have breached COBS 2.1 in failing to act honestly, fairly and professionally (COBS 2.1.1R) and COBS 2.2 in failing to provide appropriate information in a comprehensive form (COBS 2.2.1R). The firm may have particularly breached COBS 4 in failing to ensure that communications are not fair, clear and not misleading (COBS 4.2.1R), COBS 4.10 in failing to maintain proper systems and controls for approving and communicating financial promotions (COBS 4.10.1 and 2) and COBS 4.11 adequate record keeping (COBS 4.11.1R). The firm may have breached SYSC 3 systems and controls and 6 on compliance.
The firm may have separately breached CASS 7 on client money rules including treatment of client money (CASS 7.11.1R) and client segregation (CASS 7.13.1, 2 and 3).
Individuals at the firm may also have breached COCON 1 (integrity), 2 (due skill, care and diligence), 3 (regulatory cooperation), and 5 (market conduct standards).
The firm may also have breached the FCA FTOC requirements as originally set out in 'FSA, Treating customers fairly – towards fair outcomes for consumers' (July 2006) with relevant management information (MI) being set out in SA, Treating customers fairly – guide to management information' (July 2007).

B92.

The question was concerned with the conduct of a review of internal benchmark and liquidity compliance procedures. This followed the £46.55 million fine imposed by the PRA on Standard Chartered Bank (SCB) in December 2021 for failings in its regulatory reporting governance and controls in relation to a tailored PRA liquidity expectation and for failing to be open and cooperative with the PRA.

a) (4 marks)

The principal statutory offences that may arise are in connection with benchmarks as set out in s91 FSA 2012. This creates two specific offences of making a false or misleading statement to another person in connection with benchmark setting arrangements or acts or engages in a manner that creates a false or misleading impression as to the price or value of an investment or the most appropriate interest rate (s91(1) and (2) FSA 2012). Defences apply with regard to price stabilisation and control of information rules and buy-

back programmes. A person found guilty of an offence is liable for up to ten years' imprisonment or a fine on indictment. Reference may also have been made to the more general offences of making a misleading statement or impression under ss89 and 90 FSA 2012.

b) (4 marks)

Separate offences may have been committed under the Market Abuse Regulation depending upon particular circumstances. This may, in particular, include insider dealing, unlawful disclosure, manipulating transactions, manipulating devices, dissemination, and misleading behaviour and distortion. These provisions are generally restricted to apply in regard to insiders, qualifying investments and prescribed markets which may not be relevant in this case. Inside information is defined. A regular user test is applied with the relevant defences. Market abuse is dealt with under the FCA MAR sourcebook within its Handbook https://www.handbook.fca.org.uk/handbook/MAR/1/?view=chapter).

c) (4 marks)

The bank has also failed to be cooperative with the PRA in not notifying it immediately of the systems errors(PRA FR 8). This was considered a significant element in the SCB£46.55 million PRA fine in 2021.A number of provisions may also have been breached including FCA PRIN (1, 2,3, 5, 6, 8, 9 and 11),PRA FR(1,2, 3, and 6), FSA SYSC (2, 3,4, 5, 6, 7, 10, 18 and 19A), COCON (1,2, 3 and5), COND (2, 4 and 5) and FIT (1, 2 and 3).These would principally relate to integrity, systems and controls, organisation, compliance and reporting. A full range of regulatory penalties would apply.

d) (4 marks)

The full range of regulatory sanctions may be available against the firm, in addition to the individual penalties referred to above, including variation of permission (s45 FSMA), suspension of permission (s206a FSMA), cancellation of Part 4 permission (s54 FSMA), withdrawal of authorisation (s33 FSMA), public censure (s205 FSMA),financial penalties (s206 FSMA), requests for information (s165 FSMA and Schedule 12 FSA 2012), independent inquiry (s68 FSA 2012), administration, receivership, winding-up or bankruptcy (Part 24 FSMA, Banking Act 2009 and Schedule 14 FSA2012), injunctions (s380 FSMA), restitution (ss382 and 384 FSMA),suspension of a financial instrument from trading (s36 FSA 2012), complaint by a consumer body(super-complaint under s234c

FSMA and s43 FSA 2012), regulated person reference (s234d FSMA), OFT investigation (s234h FSMA), action under product intervention rules (s137d FSMA 2000 and s24 FSA2012) or a skilled person's report(s166 FSMA).

e) (4 marks)

The bank could consider:

(i) Conducting an internal review into activities of the bank's benchmark and liquidity staff

(ii) Review relations with counterparties in other firms

(iii) Consider possible disciplinary action that could be applied in relation to any breaches

(iv) Investigate any potential client losses with regard to any affected transactions

(v) Review benchmark-setting procedures

(vi) Review liquidity management procedures

(vii) Review systems and controls

(viii) Review conflicts of interest policy and controls

(ix) Review recordkeeping procedures

(x) Review wider compliance functions

(xi) Review any relevant escalation procedure to the extent relevant

(xii) Review reporting lines and governors' functions

The firm has to cooperate with the authorities under PRIN 11, PRA FR 7 and COCON IC 3 and SM 4. The firm may also consider:

(i) Discussing any future concerns with the regulators immediately following the internal reviews conducted

(ii) Explaining all of the internal actions carried out to the firm's principal line Supervisors

(iii) Reviewing board oversight of benchmark and liquidity operations

(iv) Ensuring that a specific director has operational responsibility for the firm's benchmark and liquidity operations

(v) Ensuring that benchmark and liquidity operations are monitored by non-executive directors (NEDs)

(vi) Confirming internal training with regard to compliance with benchmark and liquidity arrangements

(vii) Reviewing internal whistle blowing procedures with regard to internal staff reporting

(viii) Reporting any instances of criminal activity or conduct contrary to regulatory provisions involving other firms to the regulators

(ix) Review remuneration policy in light of the findings

(x) Review firm's ethics policy with regard to the findings.

B93.

(a) What are the CISI's four key values, set out in the Code of Conduct and represented by the acronym 'CISI'? What is the meaning behind each value?

(4 marks)

- Clear - Have I told no lies or 'half-truths' to any party involved in my reaching my decision?
- Impartial - Is everyone affected by my action or decision aware of the consequences?
- Straightforward - Have I made sure that my action or decision will not result in any party being unknowingly disadvantaged or unduly advantaged?
- Informed - Have I considered the interests of my potential stakeholders and not been misleading when making my decision?

(b) Identify three factors that led to the situation being able to occur, and the risks that could have been identified at an earlier stage.

(6 marks)

(a) Factor 1 – Sammy made a conscious effort to ensure that the Chatbot learnt Janes tones and preferred "thereby providing a seamless transition for when Jane retires".
(b) Factor 2 – when Sammy presented the idea of the Chatbot to the board, whilst some did have reservations of using AI, they did not ask more questions.
(c) Factor 3 – calling the bot Jane, so the clients are not able to tell the difference between the person and the bot.
(d) Factor 4 – when Jane's picture and friendly greeting message are added to the chat function, this overtly encourages people to think they are talking to Jane, not the Bot.

(c) List four of the five FCA individual COCON rules.

(4 marks)

(a) Rule 1 – you must act with integrity.
(b) Rule 2 – you must act with due skill, care and diligence.

(c) Rule 3 – you must be open and cooperative with the FCA, the PRA and other regulators.
(d) Rule 4 – you must pay due regard to the interests of customers and treat them fairly.
(e) Rule 5 – you must observe proper standards of market conduct.

(d) Outline some options of the board (minimum of three), and set out the merits and disadvantages associated with each.

(6 marks)

(a) The board should ensure that the complaints are assigned to Sammy, the person responsible for finding and implementing the programme, or to Alfie, the head of client services, and escalated to the FCA.
(b) The board should ensure that the chatbot is amended to inform clients that they are talking to a robot. However, Alfie has dealt with the complaints to the satisfaction of the clients, so the FCA need not be informed on this occasion.
(c) The board should ensure that all clients are written to, informing them that for the past two months, they have not been speaking with Jane, but with a robot. A message will be put on the website noting that the Jane programme has been running for two months, and it will be made clear on all future communications that clients are speaking with a robot. The complaints will be logged, in case an FCA supervisor were to visit.
(d) The board should ensure that the company stops using the programme, or hire a junior client services administrator to work alongside the bot, and monitor responses.

B94.

a) If a firm holds client money and assets, then it must have an annual CASS assurance audit. While the audit assurance report is submitted to the FCA, the standards, format and assurance standards of the report are overseen by the Financial Reporting Council (FRC). The annual CASS assurance report is required under conditions detailed in the Supervision Manual (SUP). This report examines the business model of firms holding client assets, the internal controls and procedures and controls concerning clients' funds, and methods used to consider any deficiencies which may develop. The report will include sections on where there have been no breaches and a separate element where breaches have occurred.

The main objectives of the CASS Assurance Standard as stated in the workbook are to:

1. improve the quality of CASS audits and other CASS assurance engagements.

2. adequately support and challenge CASS auditors when undertaking CASS assurance engagements and to define the nature and extent of the work effort required for both reasonable assurance and limited assurance CASS assurance engagements without undermining the importance of the CASS auditor's judgment.

3. support the objectives of the FCA's client assets regime regarding the effective safekeeping of client assets and client monies and, in particular, to guard against systemic failure of the CASS regime.

4. manage the expectations of the management of firms that hold client assets, and third-party administrators (when a CASS auditor is engaged to provide assurance to the FCA on client assets that it handles or accounts for).

5. support the effective training of CASS auditors by both the accounting bodies and other training organisations.

6. help to establish realistic expectations regarding the integrity of the UK client assets regime with the beneficial owners of client assets, and

7. underpin the effectiveness of the FRC's enforcement and disciplinary activities with respect to CASS assurance engagements.

b) A CASS Resolution Pack will enable firms that hold client money and client assets to maintain and retrieve certain documents and information relating to the assets and cash that they hold on behalf of clients in the event of a crisis, such as insolvency.

As stated in the workbook the following documents and information must be immediately retrievable:

- **Institutions** – identification of the institution appointed to hold client money, to hold or control client money in a client transaction account or for the deposit of safe custody assets.
- **Individuals** – identifies each senior manager and director and any other individual, and the nature of their responsibility within the firm, who are critical/important to the performance of operational functions related to any regulatory obligations, and the individual to whom the firm has appointed the carrying out/performance of the CASS operational oversight function.

- **Agreement with institutions** – a copy of the executed agreement, including any side letters, or
- **Other agreements** – used to clarify/modify the terms of the executed agreement, between the firm and institutions, that relate to the holding of client money or safe custody assets – including written notification or trust acknowledgement letters sent/received.
- **Custody assets** – the most recent internal and external reconciliation relating to safe custody assets.
- **Client money** – the most recent internal and external reconciliation relating to client money. The following documents and information must be retrievable as soon as possible, but within no later than 48 hours.
- **Master documents** – containing information sufficient to retrieve each document in the firm's CASS resolution pack.
- **Agents** – documents identifying each appointed representative, tied agent, field representative or other agent of the firm which received client money or safe custody assets in its capacity as the firm's agent.
- **Group structure** – documents identifying and providing certain other information with respect to each group member and/or third party (a 'third-party outsourcer') involved in the performance of operational aspects of the firm's obligations under the client money/client assets rules.
- **Service providers** – copies of each executed agreement, side letter and/or amendment agreement with any third-party outsourcer.
- **Access to service providers** – documents which describe how to gain access to relevant information and effect a transfer of client money or safe custody assets held by each third-party outsourcer.
- **Procedures** – copy of the firm's manual in which procedures for the management, recording and transfer of client money and safe custody assets that the firm holds are found.
- **Due diligence** – records of the grounds upon which the firm satisfied itself of the appropriateness of its selection of each third party with which it deposits safe custody assets and client money.

- **Client agreements** – if safe custody assets have been used for securities financing transactions, a copy of the consent from clients to use the assets and the assets used (number/type).
- **Records and accounts** – documents which enable the firm to distinguish client money and safe custody assets of one client from those of another client or the firm's own money.
- **Reconciliation methods** – explanation of the methods of internal reconciliation of client money balances.
- **Client categorisation and agreements** – copies of all agreements with retail and professional clients, records of client categorisation and supporting documentation and relevant documentation relating to re-categorising of a client.

c)

The CASS rules considering the custody and safeguarding of client money and client assets are contained in the FCA CASS sourcebook. These rules exist to ensure that firms take adequate steps to protect those client assets for which they are responsible. It is expected that sufficient client consent has been provided for actions involving their funds. This is undertaken through the mandate systems operating in this area. This is a point of major concern when wider financial crises occur and the rules do much to add confidence in the financial system. Within CASS, the requirement to segregate client money from a firm's own money is aimed at ensuring that, if the firm fails, client money will not be used to repay its creditors. Usually this is done by ensuring that it is placed promptly in a designated client money account with a bank and ensuring that the bank treats client money as separate from the firm's own money.

As stated in the workbook:

CASS 6 contains the custody rules that apply when a firm holds financial instruments for a client during MiFID business, and when it is safeguarding and administering investments during non-MiFID business.

CASS 7 contains the client money rules, applying to a UK MiFID investment firm either when:

- it holds client money during its UK MiFID business, or

- in the course of investment business that is non-UK MiFID business in respect of any investment agreement entered into, or to be entered into with or for a client, or
- it holds money in respect of which CASS 5 – Client Money: Insurance Mediation Activity applies, and the firm elects to apply the provisions of CASS 7.

Firms must, when holding safe custody assets belonging to clients, make adequate arrangements to safeguard clients' ownership rights, especially in the event of the firm's insolvency and to prevent the use of safe custody assets belonging to a client on the firm's own account, except with the client's express consent. Firms must also introduce adequate organisational arrangements to minimise the risk of loss or diminution of a client's safe custody assets. When a firm accepts client money, it must take the necessary steps to ensure that the client money is deposited in accordance with the requirement of CASS 7.13.3, which stipulates that a firm, on receiving any client money, must promptly place this money into one or more accounts opened with an appropriately regulated bank or qualifying money market fund.

After the great financial crisis many changes were made to the CASS rules. These included:

- Increased reporting to clients
- Holding client money with group banks
- Prohibiting the use of general liens in custodial agreements
- Creating a new controlled function with specific responsibility for client money and assets
- Introducing a Client Money and Assets Return (CMAR)

d) It is of course important to comply with rules and the consequences on non-compliance. Firms and individuals which breach CASS and associated regulations are liable to a wide range of regulatory sanctions from fines to prohibitions. It is also important to discuss market confidence and transparency. These rules exist to ensure that firms take adequate steps to protect those client assets for which they are responsible. This is very important when a firm collapses to ensure clients do not lose

their money. This is a point of major concern when wider financial crises occur and the rules do much to add confidence in the financial system.

B95.

a) (4 marks)
Explain the general purpose and key elements of the Senior Managers & Certification Regime (SM&CR).

The Senior Managers & Certification Regime (SM&CR) arose after recommendations from the Parliamentary Commission on Banking Standards (PCBS) and was included in the Financial Services (Banking Reform) Act 2013. A major element of the regulatory reform was to enhance the corporate culture and increase the accountability of senior management of financial firms. This regulatory regime initially affected banks and insurers and was later extended to most regulated financial services firms. These dual goals of increased accountability and enhanced corporate culture are to be achieved through several measures.
The definition of a 'senior manager' is a person responsible for managing the firm on a day-to-day basis. The SM&CR expects that individuals undertaking a senior management role in a regulated financial firm will be allocated responsibility for specific activities, business areas and management functions of their firm. These individuals will be either a member of the firm's governing body or will report directly to this body. The individual must be sufficiently senior and credible and have sufficient resources and authority.
Individuals subject to this Certification Regime are approved by their firms (rather than regulators). The firms have to assess whether these persons are deemed 'fit and proper'. This process involves firms providing a 'certificate' to individuals, which outlines the individuals' role and responsibilities and states if the firm is satisfied that the individual is 'fit and proper' to perform their function.

One mark was awarded for each valid point up to a maximum of four marks.

b) (6 marks)
Candidate A suggests you might have a drink after work one night and states they would consider you for a Board position if they became CEO. Describe three different ways to

respond to this suggestion, and for each option give the regulatory compliance and ethical considerations.

This is a difficult situation to manage as candidate A is a long-standing employee and they have a history of working with you. Candidate A is overstepping what should be said during an appointment period and in particular to someone responsible who is involved in the appointment process. Moreover, this action creates a significant conflict of interest in that your career could improve with the appointment of candidate A. It is important you remain objective in this recruitment process and avoid any conflicts of interest, or indeed perceptions of a conflict of interest. It is imperative that the decisions you make are those which are best for the firms' customers, the firm, and ensure future regulatory compliance.
There are a lot of actions to undertake from informing the appointment panel of this offer, stepping away from the appointment process to informing the board of directors of candidate A's actions. We may also be concerned if this behaviour by candidate A is consistent with them being, or being perceived to be, a fit and proper person. Further, the behaviour of candidate A may not bode well for the development of an appropriate business culture within the firm.

One mark for each valid point up to a maximum of six marks.

c) (6 marks)

During their interview candidate B indicated they wish to replace most of the firm's current management team and reset the culture of the firm as a fast-growing and innovative company. What challenges would these ambitions pose for the future business culture of the firm?

The suggestion to change the management team and alter the firm's culture to a fast growing and innovative firm is clearly a major movement from what has occurred in the past. Both change and growth carry substantial regulatory risks for the firm with the potential for an erosion of the firm's strong reputation.
Critical to this type of cultural change is how the firm considers its key stakeholders and particularly its customer body and regulatory compliance. When considering a growth in the scale of the business it is imperative that the customers' interests are central to any new form of the business model and firm culture. Moreover, it is imperative that future changes to the firm do not constrain the firm's commitment to high standards of regulatory compliance.
Overall, this is an open question for which many valid answers might be provided. Indeed, there are many elements to ensuring a financial services firm has a compliant and appropriate

business model and firm culture. Many of the principles of business outlined by the financial regulator can be helpful in mapping out such a path.
One mark was awarded for each valid point up to a maximum of six marks.

d) (4 marks)
Which documents and procedures are required to assist in the change-over of a senior manager in a financial services firm?
A lot of documentation is required for a change in the senior management of the firm. This might include, for example, the statement of responsibilities, the responsibility map, receiving an appropriate regulatory reference, and providing relevant handover materials.
Handover materials should include all the necessary information and material expected for a new senior manager to perform their responsibilities effectively.
A statement of responsibility and a responsibilities map are provided in a single document describing management and governance arrangements. This identifies the senior managers within the firm and outlines the responsibilities allocated to these persons to ensure no gaps are present in the terms of accountability. These responsibility maps must be approved by both the individual involved and by the financial regulator.
Lastly, a firm is required to have a regulatory reference in place for senior managers. This pertains to whether the applicant is deemed to be a fit and proper person to undertake the role. This reference should include instances of conduct that occurred or existed for six years from the date of the reference request. The firm must also apply to the FCA for permission, as the FCA must approve the change.

One mark was awarded for each valid point up to a maximum of four marks.

B96.

a) (5 marks)
What is meant by the terms 'insider information' and 'insider trading'? Why is insider trading deemed to be inappropriate?

Inside information includes non-public information which, if made public, would be likely to influence the price of securities. A person in possession of such price-sensitive information is an insider if they know that this information is inside information and that it has been knowingly

acquired from an inside source, such as a director, employee or shareholder of a firm issuing securities, or all criminal sources. The securities which may be affected by such insider information are referred to as price-affected securities. This information needs to be treated as proprietary information and not used or be allowed to influence any market transactions, by the individual or any third party. Insider dealing or trading on insider information is defined as the deliberate exploitation of insider information.
Some people consider insider dealing a victimless crime. It is not. Insider trading limits trust in markets and the financial system more generally and comes at a cost to other market participants without access to such inside information. The use of inside information for personal gain may also be viewed as theft of the information.

One mark was awarded for each valid point raised to a maximum of five marks.

b) (5 marks)
Describe the principal laws and financial regulations which consider insider information and trading on insider information.

A wide range of laws and financial regulations have been enacted and employed to limit insider trading and the misuse of insider information. Following the onshoring of the EU Market Abuse Regime (UK MAR), the UK's primary legislation is the Criminal Justice Act (CJA) 1993. The Criminal Justice Act 1993 outlines three ways of committing insider trading including dealing in the security, encouraging another to do so, and disclosing inside information to another. To be found guilty of insider dealing, a person must first be an insider who is in possession of inside information and, secondly, must commit one of these three specific offences.
Only certain investment instruments are affected by the insider dealing legislation. These are shares, debt securities, warrants, depositary receipts, options, futures, and contracts for difference (CFDs) based on securities, interest rates or share indices. This list notably does not include commodities, foreign exchange, metals or energy products, and shares/units in collective investment schemes and their associated derivatives. Under the CJA, insider dealing is a criminal offence. Under UK MAR, insider dealing is a civil offence. The (CJA) act was updated by the Insider Dealing (Securities and Regulated Markets) Order 2023, which amended the list of regulated markets.

One mark for each valid point made up to five marks.

c) (4 marks)

What are the specific and general defences against trading on inside information?

Market operators and investment firms which are involved in trading need to establish and maintain effective arrangements, systems and procedures to prevent and detect insider dealing and attempted insider dealing. These systems should detect and report suspicious orders and transactions to a competent body such as the regulator. Such systems can be proportionate to the activities of the firm, should involve both machine-led and human interrogation of transactions and orders, and the use of appropriately trained staff. As stated in the workbook these systems and procedures should:

• be appropriate and proportionate in relation to the scale, size and nature of their business activity

• be regularly assessed, at least annually (audit/internal review), and updated where necessary

• be clearly documented in writing, including any changes/updates, and documented information must be maintained for a period of five years

• allow for the analysis, individually and comparatively, of each and every transaction executed and order placed, modified, cancelled or rejected in the systems of a trading venue as well as transactions executed outside a trading venue in order to:

 produce alerts indicating activities requiring further analysis for the purposes of detecting potential insider dealing or market manipulation or attempted insider dealing or market manipulation

 cover the full range of trading activities undertaken.

• include control measures such as:

 insider lists

 personal account dealing controls

 conflict of interest registers

 trade monitoring

 Chinese walls.

One mark was awarded for each valid point raised up to four marks.

d) (2 marks)

Outline a situation which would qualify as insider trading.

This is an open-ended question where there might be multiple valid answers. At the heart of situations of insider dealing, someone, associated with a listed company, or someone associated

with that person buys or sells shares in that company. If this trading uses insider information, benefit is derived from this knowledge. For example, this type of insider trading might occur if someone uses information as to a future event or declaration to the market which is not publicly available. This might include a regulatory ruling or a prospective takeover by another firm. Alternatively, it includes actions such as front running whereby someone undertakes a transaction, just before a transaction undertaken by a client, in order to benefit from this trading activity.
The candidate should provide a credible example which fits all of the criteria. The criteria (which should have been given in the candidate's answer to 12a) include such points as the information being price sensitive, not public, specific and concise, as part of a regulated market. The candidate must make clear that at least four of the criteria are occurring in their example.

One mark was awarded for each valid point made up to two marks.

e) (4 marks)
What controls should a financial services firm have in place to combat the misuse of insider information?

Firms should have in place the following controls:
• issuers and persons acting on their behalf are required to draw up a list of all persons who have access to inside information, including where they are working for them under a contract of employment, or otherwise performing tasks through which they have access to inside information, such as advisers,
• procedures that ensure an appropriate level of human analysis in the monitoring, detection and identification of transactions and orders that could constitute insider dealing, market manipulation or attempted insider dealing or market manipulation
• processes to provide the FCA with the information to demonstrate the appropriateness and proportionality of their systems in relation to the scale, size and nature of business activity undertaken, including the information on the level of automation in their systems
• effective and comprehensive training to staff involved in the monitoring, detection and identification of orders and transactions that could constitute insider dealing, market manipulation or attempted insider dealing or market manipulation, in particular the provision of training on a regular basis and ensuring this is appropriate and proportionate in relation to the scale, size and nature of the business.

One mark was awarded for each valid point made up to four marks.

B97.

a) (5 marks)
What are the expectations of the financial firm when managing its agents? What concerns do you observe in this case?

In many regards the treatment of agents from a regulatory perspective is similar to that of all employees. The firm must ensure that there are appropriate internal systems, policies and procedures existing for all employees and agents. It is also important for a firm to ensure an appropriate business culture operates for all their agents. Like all employees, agents should operate with honesty and competence and have the skills, knowledge and expertise necessary to fulfil their responsibilities. The firm is responsible for establishing the policies and procedures to ensure compliant behaviour by their agents for financial compliance and for countering financial crime.
Concerns in this case include the agent defining their own policies, treating the customers inappropriately and not following appropriate complaint handling procedures. More widely there is an issue of not treating customers fairly arising in the case, such as the use of irrelevant information in how the customer is judged (such as describing them as a troublemaker). It is expected that firms have appropriate written procedures for handling expressions of dissatisfaction. These procedures should be followed regardless of whether the complaint is oral or written, whether the complaint is justified or not, as long as it relates to the firm's provision of a financial service. This should occur whether the business is sourced directly or through an agent.

One mark was awarded for each valid point made up to five marks.

b) (5 marks)
What actions should the firm undertake in this case in relation to the agent?

The firm needs to undertake several actions in relation to the agent. First it needs to explain to the agent that they do not define the policies and procedures for the sale and administration of the firm's financial services. Rather they are obliged to follow the procedures of the firm. The complaint and contacts from the customer need to be recorded and responded to appropriately,

following the firm's procedures. In practice the firm needs to deal with complaints promptly and fairly with effective and transparent procedures. Once the firm has received a complaint, it must investigate competently, diligently, and impartially, obtaining additional information as necessary. As it is important to consider the root cause of the complaints through analysing the causes of complaints, an investigation of the agent may be considered. If a complaint is made it is good practice to consider if other products and customers have been affected. Therefore, a wider review of the business undertaken by the agent may be appropriate. It is important to determine if more cases similar in nature to the one raised has occurred, through the agent or indeed other agents working for the firm.

It is important to keep records as to all complaints. The record keeping of complaints by the agent also needs to be investigated. Records must also be kept as to the complaints, for regulatory monitoring and to comply with any future contacts with the FOS. These records should include the name of the complainant, the substance of the complaint, and details of any correspondence between the firm and the complainant, including details of any redress offered by the firm.

Potentially the agent may be encouraged to join a professional body and undertake further training. Training can also be provided by the firm. In light of worrisome circumstances seen in this case the firm may also wish to reassess its employment of this agent.

One mark was awarded for each valid point made up to five marks.

c) (5 marks)

What actions should the firm undertake in this case in relation to the customer?

The firm needs to contact the customer, appropriately investigate the complaint, and notify the customer of their right to go to the Financial Ombudsman Service (FOS) if appropriate.

To bring the case to a suitable conclusion, the firm should follow the following process. Once a complaint has been received by the firm, a prompt written acknowledgement should be provided assuring the customer the complaint has been received and is being dealt with. The firm must keep the customer informed as to the progress of the complaint investigation and resolution. The complaint needs to be addressed in eight weeks. If the firm rejects the complaint, they must enclose a copy of the FOS standard explanatory leaflet and inform the customer that if they remain dissatisfied, they may refer the complaint to the FOS within six months.

In this case, it must be determined whether the payout from the product should be made and, if this is justified, the payment should be made promptly. Potentially, and considering the issues

raised in the complaint, the firm may also consider providing redress to the customer if this is deemed appropriate.

One mark was awarded for each valid point made up to a maximum of five marks.

d) (5 marks)
Why are fair and unbiased complaints handling procedures important for the financial services industry?

Effective complaints handling is an essential aspect of the financial services industry and critical to fulfilling many of the regulatory principles underlying the UK form of financial regulation. These complaints handling procedures are critical in ensuring that customers are treated fairly, and that financial services business is undertaken in a transparent and fair environment. Crucial in this process is ensuring that trust exists in this industry and when interacting with financial firms.
This question is open ended, and many more ideas and issues were raised, which were allocated marks as appropriate.

B98.

a) (6 marks)
What administration, regulatory and compliance roles might be appropriately outsourced?

In practice a wide range of a firm's activities may be outsourced to a third party. Many concerns can arise in this outsourcing process. If an operational function is regarded as critical to the firm and might impair regulatory compliance, then this may not be a suitable course of action. This is very much the case for certain types of financial firm. For example, banks are strongly discouraged by international regulators from the outsourcing of their compliance function. Similarly, a firm needs to ensure that any outsourcing does not impede compliance with financial regulation and communications with regulators.
Areas where concerns should not arise include those of advisory services, such as legal advice, training, billing, security, using standardised services and services which are not part of the firm's relevant services. Of course, while activities can be outsourced, responsibility cannot be outsourced and is retained by the firm.

SYSC 8 of the FCA Handbook sets out rules and guidance in relation to outsourcing. This includes the requirement that firms must take reasonable steps to avoid undue additional operational risk; and must not undertake the outsourcing of important operational functions in such a way as to impair materially:
a) the quality of its internal control
b) the ability of the regulator to monitor the firm's compliance with all obligations under the regulatory system and, if different, of a competent authority to monitor the firm's compliance with all obligations under UK MiFID.
An operational function is regarded as critical or important if a defect or failure in its performance would materially impair the continuing compliance of a common platform firm with the conditions and obligations of its authorisation or its other obligations under the regulatory system, or its financial performance, or the soundness or the continuity of its relevant services and activities.

One mark was awarded for each valid point made to a maximum of six marks.

b) (6 marks)
Outline the regulatory expectations when outsourcing administrative, regulatory and compliance activities of the firm.

When entering into an outsourcing agreement there are many expectations. Firms must ensure the service provider has the ability, capability, and appropriate authorisations to undertake the work reliably and professionally. This work needs to be supervised, monitored, and assessed to ensure it is undertaken to a sufficient standard. The firm needs to have staff who can undertake this supervision. If work of a sufficient quality is not provided it is the responsibility of the firm to act, such as by terminating the outsourcing contract. The firm is also reliant on the service provider to provide appropriate information to interested parties such as the regulator or auditor and to keep the firm informed of any problems or issues which arise. The service provider must also protect any confidential information relating to the firm and its clients. Lastly, the firm and the service provider must establish, implement, and maintain a contingency plan for the outsourced service. For different areas of business such as investment services there may be different and extended requirements which need to be fulfilled in relation to an outsourced service provider.

One mark was awarded for each valid point made to a maximum of six marks.

c) (4 marks)

Describe the risks the firm might face when undertaking this outsourcing strategy.

The outsourcing relationship creates a range of risks for the firm. While the firm is responsible for the actions of the service provider and needs to supervise these relationships there are issues if this relationship breaks down. For instance, the service provider may not follow policies and procedures as expected. For example, this could lead to a breach in confidentiality or insufficient information being provided to third parties.

Even though the firm has outsourced activities, if a failure occurs in critical areas, then the firm will be held accountable. Critical in this process is ensuring there are robust internal control systems to ensure monitoring of outsourced work is undertaken appropriately.

One mark was awarded for each valid point made to a maximum of four marks. As this is an open-ended question, other appropriate responses may be awarded marks.

d) (4 marks)

On balance, is outsourcing a useful strategy for smaller financial services firms? Will this solution reduce the workload that you are currently facing?

On balance, outsourcing provides a useful solution to some of the demands facing smaller financial firms. Outsourcing may provide compliance functions with better access to information and lead to greater efficiency of operation. These outcomes can also be very helpful if the firm does not have an independent person available who is not involved in the provision of other services. Such independence is itself an important attribute of better compliance.

While the outsourcing decision is a trade-off between the amount of work undertaken within the firm and outside by a third party, it should not be a transfer of responsibility or control. The responsibility and accountability remain within the firm. In general, firms which outsource activities remain responsible for the outsourced actions and are required to monitor and review the operations of any third party critically to ensure regulatory obligations are fulfilled. As outlined in the workbook:

1. The outsourcing must not result in the delegation by senior personnel of their responsibility.
2. The relationship and obligations of the firm towards its clients under the regulatory system must not be altered.
3. The conditions with which the firm must comply in order to be authorised, and to remain so, must not be undermined.

4. None of the other conditions subject to which the firm's authorisation was granted must be removed or modified.

One mark was awarded for each valid point made to a maximum of four marks. As this is an open-ended question other appropriate responses may be awarded marks.

B99.

a) (4 marks)

The Proceeds of Crime Act 2002 (POCA), which defines money laundering and establishes offences for concealing, arranging, acquiring, using, and possessing criminal property. It mandates that firms report suspicions of money laundering, with failure to disclose constituting an offence.
The Terrorism Act 2000 (TA), which criminalises the financing of terrorist activities and requires the reporting of suspicions.
The Anti-Terrorism, Crime and Security Act 2001, which provides additional powers to combat terrorism and enforce anti-terrorism measures.
The Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 (MLRs 2017), which require firms to conduct risk assessments, implement controls, and perform customer due diligence.
The Serious Organised Crime and Police Act 2005 (SOCPA), which amended POCA to address activities legal in their origin country but illegal in the UK,
clarifying reporting obligations and providing defences for unknowing involvement in such activities.

Additionally, candidates could have mentioned:
The FCA's SYSC Sourcebook, which mandates that firms have systems and controls to manage money laundering risks, with senior management accountable for compliance and a Money Laundering Reporting Officer overseeing these activities.
The FCA's Financial Crime Guide, which consolidates guidance on countering financial crime risks, offering practical examples for firms to reduce their financial crime risk and enhance compliance.

Joint Money Laundering Steering Group (JMLSG) Guidance, which provides industry guidance on implementing anti-money laundering regulations, outlining best practices for risk management, customer due diligence, and reporting suspicious activities, serving as evidence of compliance for the FCA and courts.

These laws and regulations ensure that UK financial services firms can prevent, detect, and report money laundering and terrorist financing activities to maintain the integrity of the financial system.

b) (4 marks)

POCA establishes five offences, namely:

1. **Concealing** – it is an offence for a person to conceal or disguise criminal property.
2. **Arrangements** – it is an offence to be involved in an arrangement which the person knows, or suspects, facilitates the acquisition, retention, use or control of criminal property for another person. These arrangements may be widely interpreted and includes advising on a transaction.
3. **Acquisition, use and possession** – acquiring, using or having possession of criminal property.

   These three offences are punishable by a jail term of up to 14 years and a fine.

4. **Failure to disclose** – three conditions need to be satisfied for this offence:
   - The person knows or suspects that another person is laundering money.
   - The information giving rise to the knowledge or suspicion came to her/him whilst undertaking business in a regulated sector.
   - The person does not make the required disclosure as soon as is practicable.

The offence of failure to disclose suspicions of money laundering is committed not only when the person knows or suspects money laundering, but also when there are reasonable grounds to know or suspect money laundering: i.e. would a ‘reasonable person’ known or been suspicious? This offence is punishable by a jail term of up to five years and a fine.

5. **Tipping off** – providing another person with information likely to prejudice a money laundering investigation.

   This offence is punishable by a jail term of up to two years and a fine.

c) (8 marks)

Terrorist financing threatens the financial services system by using legitimate financial channels to move and store funds, often through small transactions that are difficult to detect, thereby compromising the integrity of these institutions. The exploitation of global financial networks by terrorists poses significant regulatory challenges and increases compliance costs for financial institutions, which face severe penalties for non-compliance. This undermines public trust in the financial system, leading to potential economic instability and loss of confidence among customers and investors.

CDD is an acronym of customer due diligence – this term is related to the process through which a client is identified and checked to ensure they are who they say they are, and that there are no legal reasons preventing a business relationship being developed between the firm and the individual. In some situations, this process has developed into a risk-based assessment to determine any particular risks associated with a client and/or business relationship. For a corporate client it is important to undertake customer due diligence to determine the beneficial ownership of the corporation.

EDD is an acronym of enhanced due diligence. In an EDD process a firm conducts additional checks and measures relating to an individual or beneficial owner deemed or assessed to be higher risk, and when the information collected in the CDD process is insufficient. This includes when there is a high risk of terrorist financing, where a transaction or business relationship is established in a high-risk third country; or any other circumstances where complex/large/unusual transactions occur without an obvious economic or legal purpose. As part of EDD measures, firms should examine the background or purpose of the transaction and increase the degree of client monitoring.

SDD is an acronym of simplified due diligence – this arises in low-risk situations. For some organisations checks on public registers such as the FCA's Register can be used in a SDD process.

d) (4 marks)

Politically Exposed Persons (PEPs) are individuals who are or have been entrusted with a prominent public function at any time in the preceding year, excluding middle-ranking or junior officials. This definition includes heads of state, government ministers, senior judicial or military officials, senior executives of state-owned corporations, and important political party officials.
When dealing with PEPs, their relatives, and close associates, financial institutions must exercise enhanced due diligence due to the heightened risk of involvement in bribery, corruption, and other illicit activities.
Firms must implement robust risk management systems to identify whether a client or beneficial owner is a PEP, a family member, or a known close associate, requiring senior management approval to establish or continue business relationships with such individuals.
It is essential to take adequate measures to establish the source of wealth and source of funds involved in business relationships or transactions with PEPs. This involves conducting enhanced ongoing monitoring to detect and report suspicious activities effectively.
Given the potential for significant control or influence by PEPs, firms must adopt a proportional, risk-based approach, adjusting their due diligence measures based on the level of risk posed by each PEP.
Domestic PEPs are generally treated as a lower risk than foreign PEPs.

B100.

a) (4 marks)

The firm should examine any suspicious transactions on a case-by-case basis to determine if the transaction includes elements which may constitute market abuse.
If there are reasonable grounds for suspecting a transaction involves market abuse, the firm must notify the FCA without delay.

A further part of this process is knowledge of the client/customer and the business relationship the client has with the firm. This will help the firm understand what types of transactions the client should be reasonably and normally undertaking. This information may be used to develop a suspicious activity report (SAR) and/or suspicious activity and order report (STOR), which should include all relevant information about the individual(s) or entity believed to be acting suspiciously. Therefore, the key to knowing when to report suspicious activity is to have a good understanding of your customer- from understanding their business, building relationships with them, to understanding the activities and transactions that they will, and do, undertake.
As UK MAR also applies to unexecuted orders and requests for quotes it is important to examine current transactions, past transactions, unexecuted orders and requests for quotes.

b) (8 marks)

First it is helpful to acknowledge process to tackle market abuse varies according to the risk of the financial firms and business activity it undertakes, i.e. an investment bank will have more developed processes than a small financial firm.
The scope of investigations includes both transactions and unexecuted orders and requests for quotes. Processes for tackling market abuse need to allow individual and/or comparative analysis of every transaction executed, and orders placed, modified, cancelled or rejected. This analysis should indicate which activities require further assessment to detect market manipulation or abuse.
This analysis requires human involvement in the monitoring, detection and identification of transactions and orders that could constitute actual or attempted insider dealing and/or market manipulation.
An important aspect of this process is to ensure staff are appropriately trained to undertake such monitoring, detection and identification of orders and transactions. The training needs to be ongoing. In cases where an employee may be involved in the market abuse the firm requires systems to manage any conflicts of interest.

c) (4 marks)

The Market Abuse Regulation (MAR) is a key piece of legislation that aims to prevent market abuse and protect the integrity of financial markets. It covers various forms of market abuse, including insider dealing, unlawful disclosure of inside information, and market manipulation. MAR requires firms to implement measures to detect and report suspicious transactions and activities.

The Financial Services and Markets Act 2000 (FSMA) provides the framework for the regulation of financial markets and services in the UK. It includes provisions to
combat market abuse and empowers the FCA to investigate and take enforcement action against individuals and firms involved in market abuse.

Part V of the Criminal Justice Act 1993 specifically addresses insider dealing. It makes it a criminal offence for individuals to deal in securities on the basis of inside information, or to encourage others to do so, and imposes severe penalties for breaches.

The FCA Handbook, including the Senior Management Arrangements, Systems and Controls (SYSC) Sourcebook, outlines requirements for firms to establish effective systems and controls to prevent market abuse. This includes having appropriate policies, procedures, and training in place to ensure compliance with market abuse regulations.

d) (4 marks)

Market abuse undermines the integrity of financial markets. Ensuring fair and transparent market practices helps to build and maintain investor confidence, which is essential for the proper functioning of financial markets. Firms that actively work to prevent market abuse contribute to a stable and trustworthy market environment.

Market abuse, such as insider trading and market manipulation, can lead to significant financial losses for investors. By preventing such practices, firms protect their clients from unfair practices and potential losses, fostering a sense of security and trust among their customer base.

Addressing market abuse is essential for the long-term sustainability of financial markets. By promoting fair practices, firms help to create a level playing field, which is crucial for the long-term health and sustainability of the financial sector. This also contributes to the overall economic stability and growth.

A firm’s reputation is one of its most valuable assets. Involvement in market abuse can severely damage a firm’s reputation, leading to a loss of client trust

and potential business. Firms that are seen to uphold high ethical standards and actively prevent market abuse are more likely to attract and retain clients and business partners.

Each Question carries 15 marks in total.

C1. Explain the mechanisms through which the FCA is made accountable for its activities under the regulatory regime set up under the FSMA.

C2. The purposes of FSMA would be equally well achieved by abolishing the conduct of business rules and retaining only authorisation and compensation rules. Discuss.

C3. Outline the disciplinary powers of the FCA and comment on the policy behind the process, considering its fairness for firms and individuals as well as its perceived effectiveness, or otherwise, in the eyes of investors.

C4. There have been a number of examples of disciplinary action being taken against compliance officers. Consider the duties and obligations of a compliance officer. What practical steps must be taken by compliance officers to reduce their exposure to disciplinary action?

C5. The regulators are coming to grips with the development of the internet as a global financial services marketplace. In what way does the current regulatory regime apply to internet advertisements and how far are the regulators capable of enforcing the rules? Consider what other opportunities may arise for electronic delivery of financial services and how should the regulators be planning to protect investors?

C6. Compare and contrast a screen-based market making system with an open outcry market and discuss the merits and demerits of each from the point of view of the investor. Also, consider the pros and cons of an order-driven as opposed to a quote-driven market for trading securities.

C7. Outline the main markets and trading systems on the London Stock Exchange, together with the main dealing and reporting requirements that apply to each.

C8. Identify the principal types of risk that financial intermediaries have to manage and the main requirements or standards that apply with regard to their control.

C9. Explain the principal changes brought into effect under the Financial Services Act 2021 and comment on the extent to which they will improve financial regulation in the UK.

C10. Outline the key enforcement powers available to the FCA in dealing with financial or economic crime.

C11. Assess the extent to which the conflicting objectives of increased market competition and efficiency can be reconciled with the maintenance of high ethical standards in modern markets and proper financial regulation.

C12. Discuss the role of Threshold Conditions in the authorisation of firms by the Financial Conduct Authority (FCA) and Prudential Regulation Authority (PRA). How do these conditions ensure that only suitable firms are allowed to operate within the UK financial services market?

C13. Analyse the challenges financial institutions face in applying a risk-based approach to Politically Exposed Persons (PEPs). How do the FCA's proposed amendments to FG17/6 help address these challenges, and what changes could firms make to enhance their PEP risk management frameworks?

C14. Outline the principal provisions that apply with regard to maintaining business continuity and operational resilience in the UK and comment on the effectiveness of these measures in securing financial stability, in particular, in the event of a major market disruption including military intervention.

C15. "The recent explosive growth of sovereign wealth fund investment presents no significant new regulatory obstacles for the FCA." Discuss.

C16. In your role as compliance officer to an FCA authorised firm you are concerned that, in spite of your efforts to educate staff on the impact of Money Laundering Regulations, there is still some ignorance among staff. Prepare a memorandum to all staff giving practical guidance on when it is and is not necessary to verify the identity of UK institutional and corporate investors and how to do so.

C17. "The effectiveness of the Financial Promotions regime has been achieved at the expense of unacceptable complexity." Discuss.

C18. Discuss the extent to which remuneration and bonus packages raise ethical issues that have to be dealt with by regulated firms and their non-executive boards of directors.

C19. Assess the ability of the FCA to deal with the regulatory challenges presented by the recent substantial growth in the use of alternative investment management (AIM) facilities including hedge funds and private equity vehicles.

C20. Analyse how the UK's Bribery Act 2010 mitigates the risk of bribery and outline the responsibilities of financial services firms under this legislation. Additionally, discuss the major challenges that global financial services organisations face in combating bribery.

C21. Assess the effectiveness of the range of enforcement powers available to the authorities in the UK commenting specifically on any changes introduced following the UK, European and international financial crises or shocks.

C22. Explain the role and function of the principal international regulatory committees that operate in the financial area and comment on their value and effectiveness.

C23. Discuss the extent to which financial ethics should be subject to further statutory and regulatory control, beyond the protections already provided for under the FCA Handbook of Rules and Guidance and the common law.

C24. Comment on the extent to which the FCA has been able to respond to the challenges created by the emergence of electronic commerce and electronic money activities in recent years, both in terms of allowing innovation but constraining risk and exposure.

C25. Comment on the extent to which an appropriate regulatory balance has been constructed in providing for appropriate incentives and rewards for key personnel in the financial services sector, and with maintaining high ethical standards.

C26. Comment on the value and effectiveness of the strengthened enforcement policy adopted by the FCA in recent years and the extent to which this has improved behaviour in markets or simply generated additional penalty fines income for the FCA.

C27. Assess the extent to which financial firms have to consider the effects of possible climate risk or other extreme events in maintaining appropriate ethical and cultural standards and frameworks.

C28. Discuss the principal options that may be available for UK financial firms to allow them to continue providing regulated activities across Europe following the withdrawal of the United Kingdom from the European Union in 2020 and comment briefly on their relative desirability.

C29. Explain the nature and function of the Recovery and Resolution Plans (RRPs) that financial firms are required to maintain in the event of future market instability or crisis.

C30. Critically evaluate the role of organisational culture in influencing conduct within financial institutions. How does the FCA's approach to culture and governance aim to enhance market integrity, and what steps can firms take to align their culture with regulatory expectations?

C31. Outline the principal provisions that apply with regard to data protection in the UK and comment on the effectiveness of these measures in securing privacy rights.

C32. Assess the extent to which the regulatory regime brought into effect under the Financial Services Act 2012 assists in preventing future financial crises in the UK, or only imposes disproportionate new regulatory obligation and cost compared to the previous regime.

C33. Discuss the extent to which financial firms must consider the impact of future exogenous (or external) shocks in designing or reviewing their internal ethical and cultural frameworks, with specific focus on major geopolitical events, such as the Russian entry into Ukraine in February 2022.

C34. Comment on the effectiveness of the regime set up under the FSMA (as amended) to prevent or contain any abuse of power or procedure by the regulatory authorities.

C35. Assess the effectiveness of the macro-prudential oversight regime set up under the Financial Services Act 2012, commenting specifically on the role and function of the Financial Policy Committee (FPC) within the Bank of England.

C36. What conditions are required for an effective and transparent system of compliance within a financial firm and how should senior management encourage this?

C37. Assess the extent to which recent financial reforms at the national, European or international levels have been able to secure an appropriate balance between financial regulation and market function or have only imposed unnecessary burdens and costs to the ultimate disadvantage of consumers and other recipients of financial services.

C38. Comment on the need for the establishment of separate financial conduct and prudential regulators and the relative effectiveness of the UK institutional regulatory framework set up under the Financial Services Act 2012.

C39. Comment on the need for and extent to which high ethical standards can be promoted by the Banking Standards Review Council (BSRC), as recommended by Sir Richard Lambert in his review of banking standards, in the City of London.

C40. Discuss how financial regulation in the USA is organised compared with the UK and the relative merits of these systems.

C41. Discuss the extent to which the Senior Managers and Certification Regime (SMCR) assists to ensure that key personnel within financial firms carry out their functions responsibly without any threat to the interests of their clients or the financial stability of the firms concerned.

C42. Explain the nature of the FCA's approach to conduct risk and comment on the extent to which it has been able to create a clear and meaningful regulatory framework to contain this over time.

C43. Assess the extent to which financial firms have to consider the effects of possible biological pandemics and other extreme events that may impact financial markets in reassessing ethical and cultural frameworks following the Global Financial Crisis and Coronavirus Crisis.

C44. Assess the effectiveness of the revised provisions on misleading statements and impressions introduced under the Financial Services Act 2012 and comment on their significance as part of the larger UK statutory regime to control market abuse and manipulation.

C45. What are the major themes within the FCA's Environmental, Social and Governance (ESG) strategy? Why do these themes exist and are they important for financial regulation?

C46. Explain the nature of financial technology (Fintech) and comment on the extent to which regulatory authorities can manage additional risks and exposures that may arise.

C47. Explain the current landscape for regulating crypto assets in the UK, including any consultations to date and proposed regulation in the future. In your answer, refer to the management of risks that arise from the trade in crypto assets.

C48. Outline the general purpose and content of the Capital Requirements Directive (CRD) IV package of measures and comment on their possible effectiveness in preventing future financial instability and crisis within the UK and Europe.

C49. Comment on the extent to which a separate Rulebook for the PRA and Handbook for the FCA increases or decreases the effectiveness of financial regulation and supervision in the UK.

C50. Comment on the extent to which the UK regulatory and supervisory framework and measures adopted following the global financial crisis are capable of managing the additional risks and exposures that may arise with regard to external or exogenous shocks such as a biological pandemic or natural disaster.

C51. Assess the effectiveness of the new joint Complaints Scheme set up under FSMA 2000 (as amended) to allow parties to make complaints against the conduct of the regulatory authorities.

C52. Discuss the extent to which the promotion of financial ethics within regulated firms has been impacted by crisis events such as the recent Coronavirus (Covid 19) pandemic in the UK and elsewhere.

C53. Discuss the general purpose and content of the MiFID II and associated regulation (MiFIR) measures and comment on their possible value in improving the efficiency and stability of securities and capital markets, both in the UK and across Europe.

C54. Assess the effectiveness of the recent changes announced in connection with the strengthening of capital and liquidity standards in national and international markets, in maintaining financial stability.

C55. Comment on the effectiveness of the work programme of the Banking Standards Board (BSB) to increasing ethical standards in the banking and financial area within the UK.

C56. Explain the principal changes brought into effect under the Bank of England and Financial Services Act 2016 commenting on their need and the extent to which they may improve financial regulation in the UK.

C57. Recent policy announcements have indicated that ring-fencing for UK-based banking may be phased out. Explain what the 'ring fence' is in a prudential regulatory sense and why this measure was introduced. Discuss the implications of the removal of ring-fencing.

C58. Is a fine just the price of doing business for many firms? Discuss the cost of non-compliance for financial firms.

C59. Explain the function of the Takeover Panel. Discuss the importance of the Panel's role from a financial regulation perspective.

C60. Discuss what is meant by the term 'a fit and proper person' in the context of financial regulation and how a firm should assess employees and potential employees. (In your answer reference for example SMCR, APER and COCON as appropriate).

C61. "The regulatory regime established under the FSMA is, to a significant extent, based on internal management accountability and liability rather than external supervision and sanction." Discuss.

C62. Evaluate the role of Financial Conduct Authority (FCA) enforcement actions in deterring financial misconduct and maintaining market integrity. Have fines and regulatory interventions been effective in changing corporate behaviour? Are there areas where enforcement could be improved?

C63. As Environmental, Social, and Governance (ESG) concerns continue to shape financial markets, UK regulators are increasing their focus on ESG. Discuss how financial firms are being impacted by ESG regulations and whether the current regulatory framework is effective in ensuring transparency, accountability, and long-term sustainability. What challenges do firms face in implementing ESG policies, and how might regulation evolve in the future?

Answers

C1. The accountability of the FCA is secured through a combination of the following:

- HM Treasury appoints the Chairman and governing body of the FCA.
- HMT receives a formal annual report from the FCA.
- HMT reviews of the economy, efficiency and effectiveness of discharge of the FCA's functions.
- HMT inquiries into defined events (systems threat or listing failure) with power to appoint, obtain information and report.
- Internal corporate governance with non-executive directors and effective internal delegation, monitoring, complaints and record systems. The FCA is expected to meet generally applicable standards of corporate governance such as the UK Corporate Governance Code to the extent that it is applicable.
- Annual public meeting and meeting report.
- Internal complaints arrangements.
- Duty to establish and to consult various panels (FCA Practitioner, Smaller Business Practitioner, Markets Practitioner and Consumer) and to consider the panels' opinions.
- Appeal against FCA decisions is possible to the Tribunal.
- Use of policy statements, discussion papers and consultation papers.
- Judicial review under general law or misfeasance in public office.

Reference should also have been made to the FCA's statutory objectives and to the principles of good regulation.

C2. The Financial Services and Markets Act 2000, as it was originally enacted, was in essence a piece of consumer protection legislation aimed principally at protecting the private investor. It does this by requiring that all persons wishing to engage in regulated activities as defined by the Act are authorised to do so and that, once authorised, they are obliged to follow certain conduct of business rules, which concern their dealings with customers. If an authorised firm goes out of business owing its customers money which cannot be recovered through the insolvency laws, there is a compensation scheme set up by the FCA that will compensate investors (up to certain limits).

The requirement to become authorised has certainly been effective over the years in putting out of business those firms that do not satisfy the threshold conditions (currently to be found at FSMA, Sch. 6, and COND). This is obviously a very fundamental protection for investors. Any unauthorised regulated activity (such as unauthorised investment business) is a criminal offence, and the perpetrator is liable to a maximum two-year jail sentence and a fine. In addition, any contracts entered into are unenforceable against the customer.

Whilst this is obviously very important, it is not good enough for a firm to demonstrate that it was once able to pass a threshold ('fit and proper') test. It is important that it continues to behave itself correctly and, as an adjunct to this, it is liable to punishment under the FCA disciplinary rules if it fails to achieve the required standard in the conduct of its business with customers. To this end, the FCA has established 11 Principles for Businesses (PRIN), other High Level Standards (SYSC, etc) and extensive, detailed Conduct of Business (COBS) Rules.

In addition to this, a firm is expected to reach a minimum standard of financial security. This is achieved through the capital adequacy (financial resources) rules (PRU), which ensure that all firms meet certain minimum capital requirements depending on the nature of their activities. Furthermore, the client money (and other assets) rules (CASS) require a firm to keep its clients' money separate from that of the firm at all times.

If, in spite of this, the firm becomes insolvent owing customers money (whether through management incompetence or fraudulent practice, or for some other reason), then the Financial Services Compensation Scheme comes into play for eligible claimants (as defined). This allows for payment to eligible claimants of (at least part of) their otherwise unrecoverable losses.

There are those who think that the costs of compliance are excessive and that compensation scheme payouts are inadequate. In consequence, it could be argued that it would be better to do away the conduct of business rules entirely and pump a proportion of the costs saved into a better compensation scheme.

What this argument misses, though, is the fact that a payout from the compensation scheme is only available when a firm has become insolvent and not when a customer is dissatisfied

with a firm for any other reason. The compensation scheme does not protect investors who have suffered from mismanagement or poor advice at the hands of a firm.

Institutional investors may need only limited protection, but private investors would be likely to lose confidence in the integrity of the markets if the conduct of business rules were abolished. The consequence could be that fewer retail investors would wish to enter the market if there was no formal regulatory control over the way in which transactions were conducted.

C3. Disciplinary powers of the FCA

In the event of a breach of the rules by an authorised firm or approved person, the following powers are available to the FCA:

- Private warning or public statement of misconduct
- Appropriate financial penalties
- Issue of restitution order
- Withdrawal of authorisation or approval.

In cases of market abuse the FCA's powers extend more widely to catch any market user (including, for example, retail investors).

Any penalty has to be preceded by a **warning notice**, which sets out the terms of any public statement or the amount of any financial penalty. Thereafter, any decision to impose a penalty will be accompanied by a **decision notice**.

Restraints on the powers of the FCA

The FCA's powers over authorised firms and approved persons are subject to the following restraints:

- The Upper Tribunal (Tax and Chancery Chamber) is available for those who wish to appeal against a decision by the FCA.
- The FCA is required to publish a statement of its policy on financial penalties; and a copy of this statement must be provided to the Treasury.

Fairness and effectiveness

In devising an effective disciplinary process, the FCA must seek to balance the need to be firm but fair towards authorised persons with the obligation to provide adequate protection for investors.

One basic element of fairness is the opportunity for those disciplined by the FCA to appeal if they are dissatisfied with a penalty.

As regards effectiveness, the FCA operates on the basis of civil standards of evidence (a case has to be proved "on the balance of probability") rather than criminal standards ("beyond all reasonable doubt"). This means that allegations of misconduct can be dealt with more quickly and efficiently than by recourse to the criminal courts (where the State has shown a reluctance to prosecute in certain areas – for example, insider dealing or market rigging – because of the difficulty of obtaining a conviction).

Unlike the courts, however, there is no obligation on the FCA to "follow precedent", which can give rise to concerns about inconsistency in the FCA's decisions.

Conclusion

The imposition of large fines imposed by the FCA on major financial institutions is likely to lead ultimately to a much more expensive marketplace in which investors buy products and services. The target is for the FCA to wield its disciplinary powers in an efficient manner in order to discourage wrongdoing by firms; but it must also be cost-effective in order to avoid running up costs that will ultimately be borne by consumers.

C4. Duties and obligations of compliance officers

The FCA's High Level Standards require that the firm's management appoint a director or senior manager to take responsibility for:

- Oversight of the firm's compliance
- Reporting to the firm's governing body on compliance.

The term 'compliance', which is central to the whole regulatory structure, is nowhere formally defined. It is generally understood to mean the institution and enforcement of procedures which are designed to enable a firm to comply with its regulatory obligations.

Although the titular compliance officer within a firm has the task of establishing and monitoring systems of compliance, the prime responsibility for ensuring compliance with all the relevant regulatory requirements rests with the directors (or partners) of the firm, and in particular with the chief executive.

In order to fulfil their responsibilities, the compliance officer must ensure that the compliance function is so **organised** that:

- The structure of the compliance function and the lines of responsibility are clearly set out in writing.
- Compliance officers have access to, and are demonstrably supported by, the chief executive; and the senior compliance officer has access to any audit committee of the board and to the non-executive directors.
- Compliance officers are in a position to be independent and objective.
- Adequate resources (of staff, skills, computer equipment and training) are available for compliance work.
- Compliance officers have access to all records and paperwork, however confidential, within the firm.
- Compliance officers have appropriate status, authority and personality.

The compliance officer must ensure that the **range** of his activities includes:

- Adequate staff training
- Well defined operating procedures and maintenance of written records
- Appropriate in-house rules (about personal dealing, confidential information, conflicts of interest, etc)
- Efficient in-house advisory services
- Regular monitoring of conduct of business
- Correct handling of customer complaints
- Full and timely disclosure to the FCA of routine returns and ad hoc requests for information.

Practical steps

The following steps will assist the compliance officer in ensuring that his objectives are fulfilled:

- Identify where the firm lacks a culture of compliance; highlight these areas to senior management and, on implementation of improvements, assist the staff in understanding and adapting to the changes.
- Ensure that a clear training programme is established, with the objective of ensuring that everyone understands his or her obligations and the costs of non-compliance.
- Ensure that the compliance manual sets down clear policies on, for example: Chinese walls, money laundering, independence, inducements and complaints procedures.
- Highlight the key areas of risk to the business and use this analysis for monitoring purposes.
- Remember the role of independence: this will at times involve reporting certain matters to senior management and, on occasion, to the FCA.

C5. Any material circulating on the internet or otherwise which constitutes a financial promotion (as defined by FSMA) may only be issued or approved for issue in the UK by an authorised person. A financial promotion (e.g. an investment advertisement) on a firm's internet site, even if entered on the site from an overseas branch, will be considered to have been issued to persons in the UK if it is accessible via a computer screen in the UK.

Under the Financial Promotions Order, communications via the internet are regarded as non-real time communications. Therefore, firms must ensure that they comply with the detailed COBS requirements regarding clarity, fairness and expertise.

Firms must, for example, ensure that:

- The promotional purpose is not disguised or misrepresented.
- The facts on which comparisons are made are verified.
- The accuracy of all material statements of fact can be substantiated.

The detailed rules on advertisement contents do not apply to financial promotions circulated abroad which clearly state that the advertisement (and the investment product or service it advertises) is directed only at persons abroad. However, unless a firm can restrict access to its website (e.g., by issuing passwords) such that only non-UK investors can have access, the advertisement will have to comply fully with the detailed rules

.

Enforcement

In determining whether a regulatory issue arises the FCA must consider the following:

- The extent to which UK investors can access the site
- Whether the site contains appropriate disclaimers and warnings
- Whether the content of the site makes it clear (if that is the case) that it is not directed at UK investors
- Whether the site has been notified as a UK site to search engines
- Whether the existence of the site has been advertised in the UK.

The FCA still has to deal with the difficulty of policing extra-territorial business where the investment company is not UK-based. Here, the only practical way forward is to secure the co-operation of any relevant overseas regulatory authority.

Further opportunities

There is no doubt that the electronic delivery of financial services will expand and diversify rapidly. With this will come increased use of the medium for document delivery (with attendant risks for security) and the gradual removal of humans from the advisory and execution-only share dealing business (possibly even discretionary transactions).

In view of such significant future developments the FCA needs to consider their implications seriously. The FCA needs to ensure that it has the framework of regulation, the resources and the expertise to be able to monitor software as it is developed. In addition, there has never been a stronger need for international co-operation between regulators: one possible development might be a 'kitemark' issued by each national regulator to identify and endorse those investment products which it considers to meet basic minimum international standards.

Above all, however, there is an overriding need to educate the public in how to recognise and select appropriate products and avoid the rogues. Such public education should be a central part of the FCA's overall programme to promote open regulation.

C6.

a) Screen-based vs. open outcry trading

Introduction

Of the London securities and derivatives markets, the LSE, LIFFE and ISDX all now use screen-based trading. Certain other international exchanges (particularly commodity exchanges) still make some use of open outcry trading.

The case for open outcry trading

1. A pit trade can be done instantly; this means that customer orders can be completed in a timely and efficient manner.
2. It is argued that prices are determined more efficiently, since all market participants are in physical proximity to one another. However, retail customers may feel that this method of price determination is too esoteric.
3. In view of the speed at which transactions can be executed, there is increased liquidity in the market.
4. There is clear transparency about the prices at which deals are done.
5. No technological risk.

The case for screen-based trading

1. Participants do not need to be in physical proximity; thus, anyone can participate irrespective of their geographical location.
2. Less physical infrastructure is required – there is no need for a trading floor, and this may reduce costs.
3. There are no restrictions on the number of participants or on the market hours.
4. The above factors must be balanced against the risk of catastrophe in the event of: {i) loss of telephone or electronic systems; or (ii) unauthorised access to the system by a firm's employee entering (accidentally or by design) 'rogue' transactions, which could lead to either massive losses or the collapse of the system.

b) Order-driven vs. quote-driven trading

Introduction

In London, in general, the most liquid stocks are dealt with on an order-driven system (SETS) while less liquid stocks are dealt on a combined (hybrid) order-driven and quote-driven system (SETSqx).

The case for order-driven trading

1. Participants can clearly see the price at which deals are done, thus assisting transparency. However, this is tempered by the fact that not all deals in SETS stocks are done via SETS.
2. The non-involvement of market makers cuts out the middleman and this results in reduced dealing costs, which can be passed on to the customer.
3. The minimum order size is one share, which ensures that deals in any size can be done at minimal cost without the need to phone round for prices, etc.
4. The system is the only practical system for illiquid securities in which market makers are not prepared to make firm two-way prices.

The case for quote-driven trading

1. Market makers are obliged to quote firm two-way prices during the mandatory period (8.00am to 4.30pm). This helps to ensure liquidity.
2. The publication of market makers' prices enables all market participants to determine the current prices of securities at all times.
3. Competitiveness is encouraged, particularly in those stocks that are the most liquid. Thus, spreads are narrowed, minimising costs for the investor.
4. Where deals are not done via a market maker, the firm must improve on the best market makers' prices. Again, this can only operate to the advantage of the investor.

C7. The principal markets making up the LSE should be noted, including the main market systems and AIM. The nature and operation of each of the main LSE trading systems should have been referred to.

Separate reference should have been made to trade reporting, transaction reporting and the main alternative markets such as Aquis [formerly ISDX], as well as any Multilateral Trading Facilities (MTFs) or other systems available.

No specific answer was required, only command of the main markets, regulatory issues and trading systems in place.

C8. The risk question was only attempted by a small number of candidates. The objective was simply to test candidate's ability to identify the main types of risk that arise and how these are managed in practice.

The main financial risks include credit risk, market or position risk, interest rate risk, foreign exchange risk and settlement or delivery risk. The other main risks that should have been referred to include legal risk as well as operational risk. Reference may also have been made to other management or business-related risks such as reputational, strategic or management risks.

The relevant requirements or standards that apply could either have been explained in terms of the general regulatory regime set up under the FSMA or the more specific compliance systems set up within financial institutions. Considerable flexibility was allowed in dealing with this general question.

C9. The Financial Services Act 2021 received Royal Assent on 29 April 2021. This enables the introduction by the FCA of a dedicated or tailored Investment Firms Prudential Regime (IFPR) due to the differences that arise between banks and investment firms, and the effects of this on prudential regulation. Investment firms do not accept deposits or grant traditional loans but provide investment services and carry out investment activities. Regulation can, therefore, be disproportionate, inappropriate and impose unnecessary administrative and compliance burdens in many cases.

The IFPR will apply to investment firms prudentially regulated by the FCA and their holding companies, with systemically important designated investment firms being subject to PRA oversight and CRD 4. This will allow the UK to maintain a more effective prudential regime for systemic and non-systemic investment firms. The IFPR will principally be established through FCA rules which will set firm level requirements. Specific areas to be covered are set out in the Act including capital, liquidity, exposure to concentration risk, reporting, public disclosure, governance arrangements and remuneration policies.

A separate enhanced accountability framework is set up for the FCA to reflect its additional responsibilities in this area. Specific important public policy considerations are to be taken into account including: relevant international standards, the relative standing of the UK as a place for internationally active investment firms to carry on activities, the net zero emissions target set under the Climate Change Act 2008; financial services equivalence and any other matters set out in the HM Treasury regulations.

The Act separately enables HM Treasury and the UK regulators to implement remaining Basel 3.5 implementation or the additional 'finalisation' standards agreed in 2017 to the extent not already given effect to with a parallel accountability framework set up for the PRA regarding these new powers. Further powers are conferred in relation to LIBOR transition arrangements and outstanding contracts.

This follows a recommendation for the adoption of a legislative solution by the Working Group on Sterling Risk-Free Rates in the 'Tough Legacy Report' (Working Group on Sterling Risk-Free Reference Rates, 'Paper on the Identification of Tough Legacy Issues' (May 2020)).

The Chancellor of the Exchequer confirmed in a written statement to Parliament in June 2020 that necessary amendments would be made to the EU Benchmarks Regulation (BMR) (Chancellor of the Exchequer, 'Financial Services Regulation', 23 June 2020). The FCA is given additional powers to manage an orderly wind-down of critical benchmarks, such as LIBOR, following a formal representativeness assessment and to prohibit supervised entities from using a specific benchmark. A new permanent market access regime (referred to as the Gibraltar Authorisation Regime (GAR)) was established to allow reciprocal market access between the UK and Gibraltar. A new Overseas Funds Regime (OFR) was set up to allow overseas collective investment schemes (CISs) to be marketed to UK investors, including retail investors, retail CISs and money market funds. The UK's MiFIR equivalence regime for third country investment firms has been amended. Technical revisions were made to the onshored European Market Infrastructure Regulation (EMIR) including to improve clearing services access. The Act contains other miscellaneous reforms including in relation to the Variation or Cancellation of Part 4A FSMA permissions, Consultation on the Introduction of a Duty of Care on Authorised Firms, Money Laundering, Help to Save, Buy-Now-Pay-Later Products, as well as financial collateral payment services and cash provision.

C10. The question was concerned with the enforcement powers available to the FCA specifically in connection with financial and economic crime. In the best answers, candidates referred to both the general FCA powers of enforcement as well as the specific offences and remedies available in the financial and economic area.

Specific FCA enforcement powers include:

(i) Fines;
(ii) Private or public censure;
(iii) Injunction;
(iv) Varying or withdrawing approval;
(v) Varying or cancelling permission;
(vi) Information gathering;
(vii) Investigations;
(viii) Reports by skilled persons;
(ix) Restitution;
(i) Bankruptcy or insolvency.

Candidates could also then have referred to the particular statutory remedies available to the FCA in connection with:

(i) Market Abuse (MAR);
(ii) Market Manipulation (Part 7 FSA 2012);
(iii) Insider Trading (CJA);
(iv) Money Laundering (POCA and SOCPA, ML Regulations, SYSC and JMLSG); and
(v) Counter terrorism (CTA).

Candidates could also have referred to the more aggressive 'proactive' and 'credible deterrence' approach to enforcement adopted by the FCA following the financial crisis.

C11. Candidates were asked to consider the relationship between competition and efficiency with the maintenance of high ethical standards. This could have been answered in a number of ways. The simplest may have been to have referred to the regulators' basic statutory objectives and the supporting supervisory principles in FSMA. Competition and efficiency are specifically included within the statutory regulatory framework set up under the FSMA.

Competition is specifically dealt with regard to international character, distortion and intra-firm competition.

The regulatory objectives identified should then have been contrasted with the need to maintain high ethical standards at all times. The FSA October 2002 Discussion Paper 18 on Ethics may have been referred to. Of more importance was the need to refer to the structure and content of the high-level standards imposed on all regulated institutions under Block 1 of the FCA Handbook. More specific reference may have then been made to particular sections within Block 1 to the extent that time was available. This specifically includes PRIN, COCON and SYSC as well as FIT and COND. Reference should also have been made to other supporting codes of standards such as the Code of Conduct issued by the CISI.

C12. This question asked candidates to discuss the role of Threshold Conditions in the authorisation of firms by the FCA and PRA; and to evaluate how these conditions ensure that only suitable firms are allowed to operate within the UK financial services market. This was an open-ended question in which a lot of material might be included. The first part of the response should consist of a discussion around the Threshold Conditions. The response should then address how, and to what extent, the Threshold Conditions ensure that only suitable firms are allowed to operate within the UK financial services market. Reference should have been made to the six revised General Principles and to the takeover timetable.

The Threshold Conditions (COND) set out the fundamental regulatory requirements firms must meet to gain and maintain authorisation from the FCA or PRA to operate in the UK financial services market. These conditions are designed to ensure that firms are suitable, financially sound, and capable of operating in a way that supports the stability and integrity of the financial system, while protecting consumers.

The Threshold Conditions form a gateway for firms seeking to operate within the UK's financial market. They set minimum standards in several key areas:

• **Location of Offices** (COND 2.2): Firms must have their head office and principal place of business in the UK if they carry on regulated activities in the UK. This ensures that regulators can exercise effective oversight. For a firm to be supervised adequately, it must be within reach of UK authorities, allowing them to monitor and enforce compliance easily.

• **Effective Supervision** (COND 2.3): Firms must be capable of being effectively supervised by the FCA or PRA. Firms must have systems in place that enable regulatory bodies to assess their compliance with the rules and respond promptly to any supervisory requests. This helps ensure transparency and cooperation between the firm and regulators, mitigating risks posed by inadequate oversight.
• **Appropriate Resources** (COND 2.4): Firms must have sufficient financial and non-financial resources to run their operations safely and effectively. This includes capital adequacy, systems, control functions, and competent personnel. By ensuring firms have the necessary resources to meet obligations, this condition helps prevent firms from becoming financially distressed, reducing risks to customers and the market as a whole.
• **Suitability** (COND 2.5): The firm and its senior management must be 'fit and proper', which includes having the necessary honesty, integrity, competence, and regulatory compliance history. This condition is designed to minimise the risk of misconduct and ensure that those running financial institutions are capable of managing the firm in a compliant and ethical manner.
• **Business Model** (COND 2.7): The firm must demonstrate that its business model is suitable for the regulated activities it seeks to carry out, and that it does not pose a risk to the FCA's objectives, which include protecting consumers and ensuring market integrity. The PRA will focus on whether the business model is sustainable in terms of financial soundness, particularly for firms like banks and insurers, where stability is crucial.

These conditions collectively seek to ensure that firms entering the UK market have the necessary foundations to operate in a manner that supports market stability, minimises risk, and protects consumers. While the Threshold Conditions provide a strong initial barrier to entry for unsuitable firms, there are questions about whether they fully ensure that only suitable firms operate in the market. One potential issue is that the conditions focus heavily on firms at the point of authorisation. While firms must continue to meet these conditions on an ongoing basis, enforcement tends to rely on the regulators identifying issues through supervisory processes. In some cases, firms may deteriorate after gaining authorisation, without immediate intervention from regulators, creating a window of risk.

Moreover, COND 2.3 (Effective Supervision) and COND 2.4 (Appropriate Resources) are somewhat subjective, and their interpretation can vary depending on the complexity of a firm's business model. For example, in fintech, where technology changes rapidly, ensuring effective supervision and that resources are 'appropriate' may be challenging due to the

evolving nature of risks in areas such as cybersecurity and data privacy. Regulators may find it difficult to assess or respond to these risks quickly enough, potentially allowing unsuitable firms to slip through the cracks.

Additionally, while the Suitability (COND 2.5) condition aims to ensure that firms are managed by individuals with the necessary integrity and competence, past failures in governance, such as the collapses of financial institutions like BCCI or scandals at firms like Enron, suggest that even stringent fit-and-proper tests are not always foolproof. Dishonest or incompetent behaviour may not be apparent until a firm has been operational for some time, leading to consumer harm or market disruption.

The regulators have taken steps to address some of these issues by placing an emphasis on continuous monitoring and supervision as well as requiring firms to update regulators on significant changes that could affect their ongoing compliance with the Threshold Conditions. Additionally, SM&CR has been introduced to complement the Threshold Conditions by assigning personal accountability to senior managers, thus reinforcing individual responsibility for meeting regulatory standards.

However, there remains a question as to whether the current level of scrutiny and ongoing supervision is sufficient, particularly for firms in fast-moving sectors such as fintech. Stress-testing of business models and more dynamic risk assessments could be further developed to ensure that firms remain suitable as they grow or as market conditions change. While the Threshold Conditions serve as a gateway for ensuring firm suitability, they are not perfect. Firms that pass the initial authorisation may still pose risks over time if ongoing supervision is not sufficiently proactive. Continuous improvement in regulatory monitoring, particularly in sectors with rapid innovation, is essential to ensure that the Threshold Conditions fulfil their purpose in the long term.

C13. This question asked candidates to analyse the challenges that financial institutions face in applying a risk-based approach to Politically Exposed Persons (PEPs) and to give their opinion on how the FCA's proposed amendments to FG17/6 help address these challenges, as well as the changes that firms could make to enhance their PEP risk management frameworks. This was an open-ended question in which a lot of material could be included.

Financial institutions face significant challenges in applying a risk-based approach to Politically Exposed Persons (PEPs). These challenges stem from the inherent risks associated with PEPs, the complexity of accurately assessing those risks, and the need to balance regulatory requirements with practical business considerations. The FCA's proposed amendments to FG17/6 aim to address some of these challenges by providing clearer guidance on the proportionality of risk management, particularly concerning domestic PEPs. However, there are additional measures that firms can implement to further enhance their PEP risk management frameworks.

One of the primary challenges is accurately identifying PEPs, including their close associates and family members. PEP status can change frequently, and maintaining up-to-date information is resource-intensive. Moreover, distinguishing between domestic and foreign PEPs, and applying the appropriate level of scrutiny, adds another layer of complexity. The risk associated with PEPs varies widely depending on factors such as the individual's role, the country of origin, and the nature of their transactions. Institutions must assess the risk on a case-by-case basis, which requires a deep understanding of the political and economic environment in which the PEP operates. This assessment can be subjective and may lead to inconsistencies in how PEPs are treated across the institution. Enhanced due diligence (EDD) is required for PEPs, but applying EDD uniformly to all PEPs can be overly burdensome and may not be proportionate to the actual risk. The challenge lies in balancing the need for thorough scrutiny with the principle of proportionality, ensuring that resources are focused on higher-risk PEPs without unnecessarily disrupting business operations or client relationships.

The FCA's proposed amendments to FG17/6 provide clearer guidance on the treatment of PEPs, particularly domestic PEPs, and emphasise a more proportionate risk-based approach. The amendments suggest that not all PEPs should be treated as high risk by default, especially domestic PEPs who may hold positions with limited or no influence over financial matters. This change helps institutions apply a more nuanced approach, reducing the burden on firms and allowing them to focus their resources on higher-risk PEPs.
The amendments also encourage firms to consider the specific circumstances of each PEP, such as their role, the nature of their transactions, and the potential risk they pose. This guidance aligns with the broader principles of a risk-based approach, allowing firms to tailor their due diligence processes to the actual level of risk presented by each PEP.

To improve the identification and monitoring of PEPs, firms should invest in advanced screening technologies that utilise artificial intelligence and machine learning. These tools can help automate the identification of PEPs, track changes in their status, and provide real-time alerts for any potential risks. Firms could implement a process for regularly updating their risk assessments for PEPs. This includes staying informed about changes in the political landscape, understanding the evolving risks associated with different regions, and adjusting the level of due diligence accordingly. Ensuring that staff across the institution are well-trained in identifying and managing PEP risks is crucial. Regular training sessions could be conducted to keep employees up-to-date on the latest regulatory requirements and best practices for PEP risk management. Firms should also establish clear internal guidelines that differentiate between domestic and foreign PEPs, with a focus on applying proportionality in their risk-based approach. These guidelines should be regularly reviewed and updated to reflect the latest FCA guidance and the firm's own risk appetite. Robust internal controls and governance structures are essential for effective PEP risk management. Firms should ensure that there is a clear line of accountability for PEP-related decisions and that senior management is actively involved in overseeing PEP risk management processes.

While the FCA's proposed amendments to FG17/6 offer valuable direction for managing PEP risks, it's essential to strike a balance between prescriptive requirements and a holistic understanding of risk. Overly rigid approaches can lead to inefficiencies, while a more flexible, risk-based approach allows firms to focus on genuinely high-risk scenarios. Less prescriptive measures can empower institutions to use their judgement, leading to more effective and nuanced risk management. Ultimately, less may be more when it comes to regulatory guidance, enabling firms to better tailor their responses to the specific risks they face.

C14. Candidates were asked to assess the extent to which financial firms within the UK may be able to manage and contain future global market shocks and maintain the stability of the UK financial system or further measures and what revisions are required. This may include some form of military action or disruption. Firms have to ensure that they have the necessary systems, controls as well as other continuity and business disruption arrangements and programmes. The COVID-19 crisis of 2020-2021 highlighted the need for firms to be able to withstand any form of shock. Many of the same requirements and systems' conditions will apply.

Firms must ensure that they can operate on a continuing basis in the event of any major market or social disruption arising. This is concerned with maintaining appropriate systems and controls with business continuity dealt with under SYSC 3.2.19 and operational risk dealt with under SYSC 13 including external events and other changes in SYSC 13.8. Firms should have in place appropriate arrangements, having regard to the nature, scale and complexity of the business, to ensure that they can continue to function and meet the regulatory obligations in the event of unforeseen interruption with arrangements being regularly updated and tested to ensure effectiveness (SYSC 3.2.19).

Firms must maintain appropriate Business Continuity Planning (BCP) arrangements which allow them to continue operating, including through remote staff working, as well as ensure continued compliance with all relevant regulatory obligations (SYSC 13.8). Firms should consider the likelihood and impact of a disruption on the continuity of operations from unexpected events. This may include disruptions arising through the loss or failure of internal and external resources (including people, systems and assets), information loss or corruption and other external events (including vandalism, war and acts of God) (SYSC 13.8.5).

Firms should adopt the appropriate arrangements to maintain the continuity of their operations and reduce the likelihood of disruption (including through succession planning, systems resilience and dual processing) and the impact of the disruption (including through contingency arrangements and insurance) (SYSC 13.8.6). The strategy for maintaining operational continuity and plans for communicating and testing the strategy should be properly documented. This would include formal business continuity plans to deal with short-, medium- and long-term disruptions (including resource requirements, recovery priorities and communication arrangements), escalation and invocation plans (including implementation processes and contact information), information integrity validation and appropriate review and update processes with regard to the firm's operations and risk profile (SYSC 13.8.7).

Firms should assess the appropriateness of any alternative sites used including with regard to the location, speed of recovery, adequacy resources and any issues that arise with regard to shared use (SYSC 13.8.8). Separate provisions apply with regard to outsourcing (SYSC).

Other continuity arrangements may apply. The Bank of England monitors business continuity and operational resilience within the UK's financial sector with the FCA and Treasury, with responses coordinated through the National Cyber Security Centre (NCSC) and National Crime Agency (NCA) (https://www.bankofengland.co.uk/financial-stability/financial-sector-continuity). The objectives are to ensure that retail and wholesale markets remain open and functioning, with there being an orderly and early return to trading in the event of closure, involve relevant infrastructure providers and market participants in decision-taking and be ready to facilitate other market initiatives. The UK has also adopted the Civil Contingencies Act 2004 which replaced the Civil Defence Act 1948.

Firms will have to comply with any sanctions imposed by the government or other regulatory restrictions imposed on countries or firms from identified countries. A number of other regulatory adjustments and concessions may be announced by the authorities which have to be adhered to. Firms must maintain effective monitoring systems to follow all directions and the necessary systems and controls to give effect to these in practice. Candidates could also have noted that the measures adopted in response to the global financial crisis beginning in 2008-2009 ensured that financial markets and firms were more stable and resilient, and capable of withstanding such shocks as the COVID-19 crisis. Other market and regulatory initiatives have been adopted in response to COVID-19 specifically while other existing systems, controls and continuity planning arrangements allowed firms to continue to operate. Candidates could have referred to any of the above.

C15. The question was concerned with Sovereign Wealth Funds (SWFs). SWFs are among the largest single investors currently and, despite the downturn in many aspects of legal work, are still generating a substantial amount of transaction activity within the major law firms.

There is no standard definition of 'Sovereign Wealth Fund' at this time although reference may be made to any of the major funds including in the Middle East as well as Scandinavia and China (each of which generally has its own website). Reference may also have been made to the current work being undertaken in this area by various organisations and committees including ESMA (the European Securities and Markets Authority) and the International Organisation of Securities Commissions (IOSCO) as well as the Basel Committee and the European Commission. The issue has also been discussed within the US Congress.

The specific regulatory issues that arise include the following:

1) Disclosure and transparency;
2) Corporate governance;
3) Management autonomy within target firms;
4) National security (although specific definition issues arise in defining relevant interests with this possibly extending to include energy companies, transport and freight (such as the New York Port Authority) in addition to military and armaments interests);
5) Money laundering;
6) Possible market distortion or disruption;
7) Moral hazard (with the implied sovereign support or guarantee provided); and
8) Potential corruption and political interference in certain countries.

Reference could also, for example, specifically have been made to the FCA's statutory objectives and the extent to which SWFs could cause specific difficulties for the FCA in regulatory terms.

C16.

Memorandum

To: **All staff**
From: **Compliance Officer**
Date:
Re: **Money Laundering Scope**

Set out below is guidance on when it is necessary to verify the identity of institutional and corporate customers, and how verification procedures should be carried out.

When procedures are required

Whenever a business relationship is to be established, or a one-off transaction or series of linked transactions of Euro 15,000 or more is undertaken, the identification procedures must be followed. Once identification procedures have been satisfactorily completed, then as long as records are maintained in accordance with the guidance notes, no further evidence is needed when subsequent transactions are undertaken.

Exemptions are:

- Transactions with any UK or EU credit or financial institution.
- Introduction from another financial institution in the EU or one of the countries in the Financial Action Task Force or Jersey, Guernsey or the Isle of Man. This concession only applies to one-off transactions.
- Postal or electronic business from an account held in the applicant's name at a UK or EU credit institution. In such situations record need be made of only the account number and branch sort code, if there is no apparent inconsistency between the name on the cheque (if applicable) and the name in which the account is held.

Irrespective of the size and nature of the transactions and the exemptions set out above, identity must be verified in **all cases** where money laundering is known or suspected.

Procedures required – UK registered companies and partnerships

No further steps, over and above the existing business practice, to verify identity will normally be required where the applicant for business is:

- A company quoted on the London Stock Exchange or another recognised or designated
- investment exchange.
- Known to be a subsidiary of such a company.
- A private company or partnership, one or more of whose directors/partners are already known to the firm.

Where the applicant for business is an unquoted company or a partnership and none of the directors/partners is already known, the firm should identify one or more of the principal director/partners and/or shareholders as applicable. In addition the following documents should normally be obtained:

- Copy of the latest report and accounts (audited where applicable).
- Copy of the certificate of incorporation/certificate of trade or equivalent.

The firm may also:

- Make a credit reference agency search or take a bankers reference; or
- For smaller companies, or partnerships, verify the identity of one or more of the directors/partners in line with the requirement for personal customers referred to earlier.

C17. Certainly, there is some overlap in the sources of rules surrounding financial promotions. Ignoring general case law and the requirements of the Advertising Standards Authority there are three main sets of rules governing Financial Promotions.

In FSMA, s.21, there is a legal restriction on the issue of advertisements, making it illegal to issue a financial promotion without being authorised or having the advertisement approved by an authorised person.

The Financial Promotion Order then contains some exemptions to s.21 for example the annual report and accounts exemption and exemptions to articles by journalists and promotions aimed only at investment professionals.

The FCA's Conduct of Business Sourcebook then sets out various rules relating to financial promotions, covering such matters as the fair, clear and not misleading rule, special requirements for communicating with retail clients, rules on disclosure of information about the past, simulated past and future performance of investment products, and rules on direct offer financial promotions and cold calls.

There is certain logic to the structure of the regulations. There is little detail in FSMA on the form and content of promotions. This is due to the inherently time-consuming nature of lawmaking – it is much more flexible for the Treasury to update the Financial Promotions Order (FPO) on the types of promotions that are or are not covered by the regulations and for the FCA to adapt their rules on the restrictions and relaxations in COBS than it would be for parliament to debate and write amendments into law.

Additionally, there is little overlap in the two main sources of detail – if you need to see if a type of promotion is exempt you turn to the FPO. If the promotion is covered then you look

to the COBS to find information on the specific form and content permitted for that type of promotion.

Are the rules complex? Undoubtedly yes. Could the rules be written in a less complex manner that remained equally effective? Perhaps not. The three sources of legislation are each of a manageable size and written within a structure that means they can be appropriately amended should the need arise.

C18. The Conservative Government under Liz Truss ended the controls over bank bonuses that had been put into place in the wake of the Great Financial Crisis, and as such, this is a highly relevant and current topic that you can expect to be tested from time to time over the years to come.

Regulatory concerns arise with regard to the possible risk distorting effects that unbalanced incentive packages can have on risk management with consequent effects on firm and market instability.

The question could have been dealt with in a number of ways. Reference could, for example, have been made to the FCA's statutory objectives and supervisory principles in FSMA as well as to the high-level standards contained in PRIN, SYSC and COCON, COND, FIT and the CISI Code of Conduct.

Specific provisions include PRIN 1 (integrity), 3 (management and control), 6 (customers' interest), 8 (conflicts of interest) and 11 (relations with regulators); SYSC 2 (senior management arrangements), 3 (systems and controls including remuneration policies), 7 (risk controls) and 10 (conflicts of interest);

COCON 1 (integrity), 2 (skill, care and diligence) and 3 (regulatory relations); FIT 1 (honesty, integrity and reputation) and 2 (competence and capability); and CISI 1 (honesty and fairness), 2 (integrity), 5 (conflicts of interest) and 8 (high personal standards).

Reference may also have been made to COBS 9 (suitability), 10 (appropriateness), 12 (conflicts of interest), 2.3 (inducements), 11.6 (dealing commissions), 11.2 (best execution) and possibly 11.7 (personal account dealing).

Reference could have been made to the evolution of the rules that Truss's government repealed, including the regulator's CEO letter concerning remuneration packages in banks and the draft Code issued in March 2009 and possibly to the recent additional issues that arose with the partial nationalisation of major UK financial institutions in 2008. The FCA policy would generally appear to be to leave this to be dealt with within specific financial institutions in particular at the board level or through existing management arrangements for other senior staff. Firms must nevertheless avoid increasing or aggravating firm risks and exposures which fall within their risk management capability.

Candidates should also have included discussion on relevant ethical rather than purely legal or regulatory aspects of the problem. Reference could have been made to the regulator's general discussion papers and general approach in this area. Reference may also have been to the risk of conflicts of interest or cross-referencing to relevant high-level standards.

C19. The general issue raised was the extent to which the FCA can respond to changes in financial markets, in this case with specific reference to the growth of the Alternative Investment Management (AIM) market. General introductory issues could have included the nature of the delegated and rules based regulatory system set up under the FSMA. Relevant advantages include flexibility, low cost and speed of revision, ease of amendment or adjustment, market specialisation and its evolutionary nature over time.

The question specifically referred to hedge funds and private equity although reference may also have been made to other aspects of modern asset management including collective investment schemes (and UCITS) as well as the structured finance market and possibly sovereign wealth funds (SWFs). General issues include definitions, market growth, structure and operation and advantage and disadvantage.

Candidates should have dealt with the specific regulatory challenges raised in the question. This could either have been dealt with in terms of specific AIM markets or the AIM sector more generally.
Difficulties specifically arise with regard to transparency and opacity, information collection and dissemination, confidentiality, regulated activities, regulatory scope and perimeter, prudential regulation (including capital, liquidity, risk management and systems and

controls), leverage, investment strategies (including short selling), governance, valuation, conflicts of interest, retail client protection and fees and remuneration.

The EU has proposed a Directive on Alternative Investment Managers which has been severely criticised with the FSA and other bodies issuing other papers in connection with hedge funds, private equity, asset management more generally and SWFs. Each of these could have been noted.

[Tutor's note: The Alternative Investment Fund Managers Directive was implemented in the UK in July 2013.]

Reference may also have been made to particular scandals including Long-Term Capital Management (LTCM) and GLG Partners LP and Philippe Jabre and to the FSA Discussion Paper on hedge funds in August 2002. Hector Sants subsequently referred to relevant issues in September 2006 as including serious market disruption and erosion of confidence, market abuse, insider trading and manipulation, control and operational issues, valuation and preferential treatment.

The relevance of the crisis may also have been referred to with regard to the extent to which the AIM market may have increased market volatility and the response documents adopted.

C20.

This question asked candidates to analyse how the UK's Bribery Act 2010 mitigates the risk of bribery and outline the responsibilities of financial services firms under this legislation. Candidates were additionally asked to discuss the major challenges that global financial services organisations face in combating bribery. Like all questions under this section, this was again an open-ended question in which a lot of material might be included.

The Bribery Act 2010 is considered one of the most stringent anti-bribery laws in the world. It was introduced to combat bribery and corruption, not just domestically but also on an international scale. It was enacted to provide a comprehensive framework for preventing bribery in both the public and private sectors. The Act criminalises several forms of bribery, including offering, promising, or giving a bribe; requesting, agreeing to receive, or accepting a bribe; bribing a foreign public official; and the failure of a commercial organisation to

prevent bribery. The Act's extraterritorial reach means that UK companies, as well as individuals associated with them, can be prosecuted for bribery offences committed anywhere in the world.

One of the key ways in which the Act mitigates bribery risk is through the introduction of the corporate offence of failing to prevent bribery. This offence holds companies liable if an associated person (such as an employee, agent, or subsidiary) commits bribery on their behalf, unless the company can demonstrate that it had adequate procedures in place to prevent such conduct. This provision incentivises companies to implement robust anti-bribery measures, as the absence of such procedures can lead to significant penalties, including unlimited fines. Furthermore, the Act requires transparency in corporate dealings and promotes a culture of integrity by encouraging companies to develop and enforce strong compliance programmes. The threat of severe penalties and reputational damage serves as a powerful deterrent against engaging in or tolerating bribery.

Financial services firms have specific responsibilities under the Act to ensure that they do not engage in or facilitate bribery. Financial services firms must establish and maintain robust anti-bribery policies and procedures. The Ministry of Justice has provided guidance on what constitutes 'adequate procedures', including top-level commitment, risk assessments, due diligence, communication and training, monitoring and review, and enforcement of anti-bribery policies. Firms are required to conduct regular and thorough risk assessments to identify and evaluate the bribery risks they face. This includes understanding the specific risks associated with the markets in which they operate, the services they provide, and the third parties with whom they interact. Furthermore, financial services firms must perform due diligence on their business partners, agents, and intermediaries to ensure they are not engaging in corrupt practices. This due diligence extends to understanding the anti-bribery policies of third parties and ensuring that these policies are aligned with the firm's own standards. Firms have a responsibility to educate their employees about the Act and the firm's anti-bribery policies. Regular training sessions should be conducted to ensure that all employees, especially those in high-risk roles, are aware of their responsibilities and the potential consequences of engaging in bribery.

Despite the robust framework provided by the Bribery Act 2010, global financial services firms face several significant challenges in combating bribery. Firms often operate in multiple jurisdictions, each with its own anti-bribery laws and regulations. Navigating this

complex regulatory environment can be challenging, particularly when the requirements in different countries may conflict or when local customs may tolerate practices that are considered bribery under the Bribery Act. Cultural norms regarding business practices vary widely across the world. What is considered a customary business gift in one country may be viewed as a bribe in another. Global financial services firms must balance respecting local customs with ensuring compliance with anti-bribery laws, which can be a delicate and challenging task. Firms often rely on a network of third parties, including agents, consultants, and intermediaries. Managing the bribery risks associated with these third parties is difficult, especially in regions with high levels of corruption. Firms must ensure that their due diligence processes are rigorous and that third parties are held to the same anti-bribery standards. The enforcement of anti-bribery laws has become more aggressive in recent years, with regulators in multiple jurisdictions increasingly cooperating to tackle bribery. Global financial services firms are at risk of facing significant penalties and reputational damage if they are found to be in violation of anti-bribery laws, even if the bribery occurred in a different country. Beyond legal and financial penalties, the reputational damage associated with bribery allegations can be severe. Global financial services firms must work to protect their reputation by maintaining high ethical standards and demonstrating a commitment to combating bribery in all forms.

C21. The question asked for comment on the effectiveness of the regulatory enforcement powers available to the authorities with specific reference to new measures. Candidates could initially have referred to earlier general powers including financial penalties (s206 FSMA), variation of permission (s45 FSMA), cancellation of Part 4 permission (s54 FSMA), withdrawal of authorisation (s33 FSMA), public censure (s205 FSMA), injunctions (s380 FSMA) and restitution (ss382 and 384 FSMA) and skilled persons' reports (s166 FSMA).

Candidates should have specifically referred to the revised or extended powers made available following the UK financial crisis. These include suspension of permission (s206A FSMA and s9 FSA 2010), removal of the restriction on imposing a financial penalty and cancelling authorisation (s10 FSA 2010), penalties for performing a controlled function without approval (s63A FSMA and s11 FSA 2010), suspending or restricting an approved person (s66 FSMA and s12 FSA 2010), publication of decision notices (s391 FSMA and s13 FSA 2010), requests for information (s165 FSMA and Schedule 12 FSA 2012), administration, receivership, winding-up or bankruptcy (Part 24 FSMA, Banking Act 2009 and Schedule 14 FSA 2012), complaint by a consumer body (super-complaint under

s234C FSMA and s43 FSA 2012), requiring firms to comply with a consumer redress scheme (s404 FSMA and s14 FSA 2010), requiring information in relation to financial stability (s165A FSMA and s18 FSA 2010), suspension of a financial instrument from trading (s36 FSA 2012), complaint by a consumer body (super-complaint under s234C FSMA and s43 FSA 2012), regulated person references (s234D FSMA), OFT investigation (s234H FSMA) and product intervention rules (s137D FSMA and s24 FSA 2012).

Reference may also have been made to the new powers for the Treasury to arrange independent inquiries (s68 FSA 2012), duties of the FCA and PRA to investigate and report on possible regulatory failure (ss73 and 74 FSA 2012), publication of inquiry and investigation reports (s82 FSA 2012) and revised offences on misleading statements and impressions with regard to benchmarks (ss89-91 FSA 2012). Separate new provisions were also introduced in relation to complaints against the regulators (ss84-88 and Part 6 FSA 2012).

Separate reference may also have been made to the new requirements imposed on authorised firms in connection with recovery and resolution plans (RRPs) (s139B FSMA and s7 FSA 2010) and power to prohibit or require disclosure of short selling (s131B FSMA and s8 FSA 2010).

Reference may have been made to each of the additional statutory provisions adopted following the global financial crisis including the Financial Services Act 2010, Financial Services Act 2012, Financial Services (Banking Reform) Act 2013 and the Bank of England and Financial Services Act 2016.

Candidates may also have referred to other European or international measures adopted following the crisis although the question strictly referred to UK powers adopted following the crisis. Candidates should have specifically commented on the effectiveness of the powers. This may have included discussing the Supervisory Enhancement Programme (SEP) adopted by the FSA and ‘credible deterrence’ enforcement policy as well as increased financial fine policy adopted by the FCA in recent years and the overall effectiveness of these measures.

C22. Candidates had the opportunity to identify as many as possible of the principal international regulatory committees currently in operation and to describe their key role and function. Relevant committees include:

a) Basel Committee on Banking Supervision;
b) International Organisation of Securities Commissions (IOSCO);
c) International Association of Insurance Supervisors (IAIS);
d) Committee on Payment and Settlement Systems (CPSS);
e) Committee on the Global Financial System (CGFS);
f) Joint Forum of Financial Conglomerates;
g) Financial Stability Board (FSB);
h) Financial Action Task Force (FATF).

As much information as possible should have been provided on the work and importance of these committees including any recent papers, such as the Basel Committee Basel III capital adequacy provisions following the recent financial crisis.

Reference could also have been made to other international accounting organisations such as the International Accounts Standards Committee (IASC), International Accounting Education Standards Board (IAESB) and International Public Sector Accounting Standards Board (IPSASB) and the International Accounting Standards Board (IASB).

While not strictly committees, candidates could have also have referred to other international financial institutions (IFIs) such as the International Monetary Fund, World Bank, Bank for International Settlements (BIS), Organisation for Economic Co-operation and Development (OECD) and other development banks (such as the Asia Development Bank (ADB), African Development Bank (AfDB), Latin American Development Bank and Inter-American Development Bank).

C23. The question was concerned with the extent to which financial ethics are sufficiently dealt with under the FCA Handbook or whether additional legislative or statutory requirements are necessary.

Candidates could initially have referred to the extent to which financial ethics are promoted under the current FCA Handbook and supporting guidance and other FSA/FCA papers. This includes the draft Code of Ethics in CP09/18, CP10/12 on Competence and Ethics and

the Conduct Rules under COCON. Reference may also have been made to Hector Sants' speech on 'Regulatory Culture' in October 2010 and FSA discussion paper on ethics in October 2002.

Specific reference could have been made to particular FCA Handbook provisions or policies including PRIN, SYSC and COCON as well as the TCF, RDR and new product regulation rules.

A statutory basis for ethical conduct is also provided under the Approved Persons Requirement (s59 FSMA), Code of Conduct (s64 FSMA) and Action for Damages (s71 FSMA). As well as more general action for statutory damages for breach of an FCA rule under s138D FSMA, both sets of damages under ss71 and 138D are nevertheless narrowly defined and would limit more general discretionary recovery under a loose unethical behaviour principle.

A number of difficulties would then arise in attempting to formulate a statutory rule for ethical conduct. Specific difficulties would arise regarding definition, certainty, defences and exceptions, compliance and proof, penalties and enforcement. It is also arguable that a general unspecified requirement would limit firms' legitimate practices, stifle innovation and impose unnecessary regulatory and legal costs and burdens.

C24. The question raises the issue of the delivery of financial services through electronic means and the FCA's response in this regard. This then raises general issues with regard to financial innovation but also specific FCA policy in implementing the EU Electronic Commerce Directive (ECA) and the Electronic Money Directive (and new E-Money Directive) and the Electronic Money Regulations.

Issuing e-money is a regulated activity under the RAO with authorised firms being referred to as Electronic Money Institutions (EMIs) or registered small EMIs.

The Electronic Commerce Directive applies to Electronic Commerce Activities (ECAs) which are defined in terms of 'information society services'. These apply to services provided electronically, at a distance, for remuneration and at the request of the individual.

These were given effect to by the FCA under the Electronic Money Sourcebook (ELM) and the Electronic Commerce Directive (ECO) sourcebook with ELM being disapplied from April 2011 and ECO from October 2007. The second E-Money Directive (2EMD) came into effect in May 2011 with new Electronic Money Regulations (EMRs) in 2011. The FCA's approach to electronic money was set out in a paper issued in March 2011 with 2EMD to be implemented with the Payment Services Directive (PSD) under the EMRs.

As much relevant information as possible should have been provided with no specific answer being expected.

C25.

The question was essentially concerned with the relationship between remuneration and incentive packages with the need to maintain appropriate ethical standards within financial firms. Candidates should have based their discussion around their opinion as to whether or not they believe the decision of the Conservative Government under Liz Truss to end the controls over bank bonuses that had been put into place in the wake of the Great Financial Crisis was a wise move, or not. As usual, the marks here are for justifying your belief, and demonstrating arguments both for and against that decision, rather than worrying about or trying to anticipate whether the examiner agrees or disagrees with the decision Truss made.

The principal papers on remuneration following the Great Financial Crisis should have been referred to briefly. Possible materials you could have used include the review by Sir David Walker in 2009 and FCA Remuneration Code as well as relevant 'CEO' letters. The Remuneration Code included within SYSC 19 was updated in January 2011 partly to implement the EU Capital Requirements Directive (CRD 3) and Walker Review recommendations and provisions in the Financial Services Act 2010. The 12 principles cover governance, performance measurement and remuneration. A more proportionate approach was adopted with regard to implementation based on the new disclosure requirements contained in CRD 3.

Candidates could then have attempted to link this work with the FSA's/FCA's separate initiatives on ethics.

Relevant documents include FSA discussion paper on ethics in October 2002 and the draft Code of Ethics in CP09/18, CP10/12 on Competence and Ethics and COCON conduct rules. Reference may also have been made to relevant speeches. Specific reference could have been made briefly to the Handbook provisions or policies including PRIN, SYSC, COCON, RDR and the Consumer Duty.

Remuneration could then have been considered as one specific moral or ethical area in which the authorities have been able to take more specific action.

This is a highly relevant and current topic that you can expect to be tested from time to time over the years to come.

C26. The FCA has adopted a more aggressive 'proactive' and 'credible deterrence' approach to enforcement following the financial crisis. This was highlighted by a speech by Hector Sants in March 2009. Candidates could have reviewed all of the enforcement powers available to the FCA and additional matters dealt with under the Financial Services Act 2010 especially in terms of suspension, non-approved persons and short selling penalty powers. Reference may also have been made to the FCA's five-step process (based on disgorgement, discipline, mitigation, deterrence and discount). The high recent levels of fine, prohibition and conviction may also have been noted with reference to some of the specific penalties imposed in individual cases.

Candidates could then have specifically commented on the effectiveness of this policy in terms of deterrence and the ability of the FCA to secure its statutory objectives. Relevant issues include possible retroactive effect, lack of due process, limited crisis relevance and longer-term ineffectiveness in terms of continuing regulatory compliance and supervision. Higher retrospective penalties cannot compensate for ineffective ongoing supervision and regulation by the authorities. Reference may also, for example, have been made to the FSA Northern Rock Report and separate NAO reviews as well as the most recent RBS Report in December 2011.

C27. Candidates were asked to consider the extent to which financial firms have to consider the impact of climate risk on ethical and cultural frameworks. This follows the UN Conference of the Parties on Climate (COP) 26 held in Scotland in November 2021.

Climate and ethics were relevant to the extent that firms have to implement all relevant objectives and obligations imposed by regulatory authorities both in terms of securing strict compliance and more general adherence to the purposes intended. This was also necessary to support customers in terms of the nature and quality of the services received and customers' own objectives and choice in this area.

The FCA has stressed that climate change and other environmental, social and governance (ESG) matters have become increasingly significant to the activities of listed companies, regulated firms and consumers (FCA, 'Climate Change and Sustainable Finance (22 April 2021)). The Chancellor of the Exchequer has required the FCA to support the Government's commitment to securing a net zero economy by 2050 working in cooperation with the Bank of England's FPC, with the Bank of England acting in its capacity as the Prudential Regulation Authority (Remit Letter to Mikhil Rathi, FCA Chief Executive (24 March 2021)). The FCA would ensure that its regulatory approach supported market participants manage the risks concerned and capture opportunities to benefit consumers. Mikhil Rathi had delivered a speech at the COP 226 event on 'A Strategy for Positive Sustainable Change' (3 November 2021) which highlighted the FCA's new strategy for positive change and the need to mobilise the capital required to manage emissions. Former FCA CEO, Andrew Bailey, gave a speech on 'Tackling Climate for Real: the Role of Central Banks' before the Reuters Responsible Business Event 2021 (1 June 2021).
The FCA's ESG strategy is based on five key themes of Transparency, Trust, Tools, Transition and Team (FCA, 'Our Strategy for Positive Change: Our ESG Priorities (3 November 2021)). The FCA would implement the FSB's Task Force on Climate Related Financial Disclosures' (TCFD's) 11 recommendations on disclosures covering the four pillars of governance, strategy, risk management, metrics and targets. The UK's joint Government regulator the TCFD Taskforce published an Interim Report with A Roadmap Towards Mandatory Climate-related Disclosures in November 2020. The FCA finalised its new disclosure rules for UK premium listed companies in December 2021.

UK authorities were also committed to implementing the measures to be produced by the International Sustainability Standards Board (ISSB) working with the International Accounting Standards Board (IASB) under the International Financial Reporting Standards (IFRS) Foundation and the International Organisation of Securities Commission's (IOSCO) Sustainable Finance Taskforce. The FCA would separately implement the UK Government's Roadmap to Sustainable Financing (October 2021) and the 'Sustainable

Disclosure Requirements' (SDR). The FCA has adopted other guiding principles in considering authorisation applications by sustainable investment funds to set out expectations concerning the design, delivery and disclosure of retail responsible and sustainable funds with a separate follow-up Chairs' Letter in July 2021.

The FCA and PRA had set up a Climate Financial Risk Forum (CFRF) in 2019 to exchange experience in managing climate-related risks and opportunities, and to develop capability and capacity. The FCA was assisting development of other solutions to support firms manage the net zero transition. Specific work has been undertaken through the FCA's TechSprint programme and digital sandbox pilot with a separate Green Fintech Challenge initiative to assist new start-ups, incumbents and technology providers.

The PRA published a PRA Climate Change Adaptation Report 2021 on 28 October 2021 which states its response to dealing with climate change risks in relation to its operations and policy functions. This explains the role of the Bank of England and PRA in relation to climate-related exposures and outlines the work undertaken on improving resiliency, climate related risks and supervisory approach adjustments. The PRA would embed climate change within its supervisory approach and incorporate this into supervisory expectations in dealing with firms. The Bank of England considers that climate change is relevant to its core mission of promoting the good of the people of the UK by maintaining monetary and financial stability. (https://www.bankofengland.co.uk/climate-change.)

Climate scenario analysis and stress testing was incorporated within the PRA's toolkit to assess the impact and exposures of climate pathways on the financial system. This was incorporated into the Climate Biennial Exploratory Scenario (CBES) which would assess physical and transition risks in relation to early, late and no additional action scenarios published by the Network for Greening the Financial System (NGFS). The microeconomic and financial stability effects of climate change would also be incorporated into the Bank of England's Agenda for Research. Firms have to be aware of all of these policies and initiatives and incorporate them within their own climate-related frameworks and wider systems and control compliance arrangements.

Candidates could have separately outlined the FCA's and PRA's existing treatment of financial ethics in modern financial markets. Candidates could have explained the

background to PRIN and the Fundamental Rules (FRs) within the larger handbooks and listed each of these with the key requirement being to act with integrity. While no separate guidance is provided on this by the FCA or PRA with regard to firms, additional information was provided under APER and now COCON 4 in terms of the meaning of the main equivalent provisions in connection with individuals.

Firms would generally have to comply with all existing relevant provisions including PRIN 1 (integrity), PRIN 6 (customers' interests), PRIN 7 (communications), PRIN 8 (avoiding conflicts of interest) and PRIN 9 (trust) as well as possibly PRIN 10 (protecting client assets). They must also continue to treat customers fairly at all times. Parallel measures are imposed under the PRA's Fundamental Rules. Individuals would be subject to equivalent provisions under COCON.

Rather than focus on ethics, the FCA has shifted its examination to firm culture. Tracey McDermott gave a speech on 'Wholesale Conduct Risk' before the British Bankers' Association on 13 June 2015. Andrew Bailey, former FCA Chief Executive Officer between July 2016 and March 2020 and previously Chief Executive of the PRA, delivered a speech on 'Culture in Financial Services – A Regulator's Perspective' at the City Week 2016 Conference on 9 May 2016. Bailey stressed the importance of culture with it being of 'the utmost importance to financial regulators'. Culture is dependent on a range of contributory forces including management, governance, remuneration, incentive structure, management quality and effectiveness as well as personnel adoption and adherence. Many of the recent major prudential or conduct scandals arose from cultural failures in governance, remuneration, risk management and leadership.

Bailey has stated that the authorities could not 'determine the culture of firms', which would not work, and could not 'write a regulatory rule that settles culture' with this being the product of many factors that the regulators could influence including governance, remuneration and risk management. There was 'no magic bullet to change culture' although the new senior managers and certification regime (SMCR) would assist in embedding 'the notion of personal responsibility for the affairs of the firm at the level of senior management'. It was 'not the job of regulators to enforce culture and to change culture' with firm incentives determining culture and with the authorities attempting 'to align those incentives with our public interest objectives as well as the private interest of the firm'. Bailey separately addressed the HKMA Annual Conference for Independent Non-Executive

Directors in Hong Kong on 16 March 2017, the Transforming Culture in Financial Services Conference in London on 19 March 2018 and the Investment Association's Culture Conference at Mansion House, London on 6 November 2018.

Candidates could have referred to other FCA work on culture and governance. The FCA expects financial leaders to manage the drivers of behaviour in their firms to create and maintain cultures which reduce the potential for harm (FCA, 'Culture and Governance' (3 August 2020 available https://www.fca.org.uk/firms/culture-and-governance). Culture is stated to be at 'the heart' of how the FCA authorises and supervises firms. Culture is referred to as 'the habitual behaviours and mindsets that characterise an organisation' with the FCA focusing on four key drivers of purpose, leadership, rewards and management and governance. The FCA published a collection of 28 papers on 'Transforming Culture in Financial Services' in March 2018 (DP 18/2) which examined what good culture might look like, the role of regulation and regulators, how firms might promote incentives and how to change behaviour for the better. This was followed by a Transforming Culture Conference and publication of an 'Event Summary and Next Steps paper on 19 March 2018.
The FCA's Business Plan for 2020/21 has highlighted the importance of the crisis. Five key priorities were listed for the following one to three years based on transforming how the FCA works and regulates, enabling effective consumer investment decisions, ensuring that credit markets work well, making payments safe and accessible while delivering fair value in a digital age (FCA Business Plan for 2020/21 (7 April 2020)). The FCA's crisis response had been intended to ensure that markets continue to function in an orderly manner during a major repricing event, issue emergency guidance to allow government schemes to operate, support consumers, assist public access to essential banking services and protect the most vulnerable within society. The FCA would continue to update its operations in response to unfolding events and inform stakeholders appropriately.

Megan Butler, FCA Executive Director of Supervision – Investment, Wholesale and Specialists, gave a speech on the crisis on 4 June 2020 ('The FCA's response to COVID-19 and expectations for 2020' at the PIMFA's Virtual Festival). While advisers and wealth managers had responded well to the crisis, attention had to shift from 'incident response' to the longer term impact with the FCA focusing on operational resilience, financial resilience and acting with integrity. The FCA specifically criticised firms that had attempted to avoid customer liabilities by closing down companies and setting up new ones. Certain specific crisis response measures were identified based on ensuring a good level of operational

resilience, understanding firms' financial resilience to allow them to fail in an orderly manner, ensuring that markets functioned effectively through price formation and orderly trading, treating customers fairly and ensuring that customers were aware of, and protected from, scams.

Candidates could also have referred to earlier material in this area. A number of general documents and speeches have been issued on ethics over time. The FSA's initial general approach to ethics was set out in the FSA's 'An Ethical Framework for Financial Services' (October 2002) with competence being examined in the FSA's, Competence and Ethics (June 2010) CP 10/12. Ethics was considered as part of the Retail Distribution Review (RDR) with the FSA recommending the creation of an enforceable Code of Ethics for investment advisors in the FSA's Retail Distribution Review (November 2008) Feedback Statement 08/06. This was referred to again in the FSA's Distribution of Retail Investments: Delivering the RDR (June 2009) CP 09/18 with eight general principles proposed. These can be summarised in terms of acting honestly and fairly at all times, integrity, legal and regulatory compliance, market integrity standards, conflict and professional competence, declining to act and upholding the highest personal and professional standards. FSA Chairman, Howard Davies, discussed ethics in 'Ethics in Regulation' in 2001.

This is a difficult and new area with no specific answer required. It is nevertheless clear that climate risk management will be increasingly incorporated and embedded into financial regulation and compliance. Candidates were only required to identify the main issues raised and provide some comment and assessment.

C28.

[Author's Note: *Obviously, Britain has now fully left the EU following the end of the Transitional Period. You would not be asked a question exactly like this one again. However, we have retained this 2021 question, and its post-exam report, within the pack to give you the ability to see how 'current issues' are tested, and how the Examiner would have expected candidates to tackle questions such as this one. The model answer also gives you some useful background knowledge.]*

The citizens of the UK voted in a National Referendum on 23 June 2016 to leave the EU on a 51.9% to leave the EU with the selected Article 50 departure date announced on 29 March 2017 being 29 March 2019. The British Government published a White Paper on

the *Future Relationship Between the UK and EU* (the Chequers Plan) on 12 July 2018. The Government negotiated a *Draft Withdrawal Agreement* and *Outline Political Declaration* with the EU with final terms being concluded on 14 November 2018. This would have included a transitional period until 31 December 2020 during which the UK remained a member of the European Economic Area (EEA), the Single Market and external EU Customs Union although it also contained a potentially limitless continuation (backstop) clause. The November Draft Agreement and Declaration were rejected by the House of Commons in a 'Meaningful Vote' on 15 January 2019 on a 432 to 202 vote against the proposed withdrawal arrangements with no clear alternative arrangements being agreed. Further compromise amendments were produced in Parliament on 29 January 2018 including a direction to the Government to renegotiate the backstop provision.

Financial firms principally enjoy passport rights to carry on activities in other EU Member States under specific financial Directives (including CRD4, MiFID 2 and Solvency 2) or under underlying Treaty rights as set out in the Treaty on the Functioning of the European Union (TFEU) (originally the European Economic Community (EEC) Treaty 1958) which is supported by the Treaty on European Union (TEU) (initially adopted as the Maastricht Treaty in 1992). These rights are based on the underlying law of free movement and principally cover the right of branch establishment and services as well as the free movement of goods, workers and capital.

The following possible options can be distinguished for financial firms on the U.K.'s withdrawal from the EU:

1) Existing establishment and services rights may be continued on directive passport or Treaty basis during the proposed 18 month or possibly extended transition period;
2) Establishment and services rights may then be continued further under a final UK EU international treaty trade agreement provided for under the Draft Withdrawal Agreement and Political Declaration;
3) Separate equivalence regimes may be exercised in the event of UK firms acquiring third country status although this is only available under specific directives such as MiFID, the Market Abuse Regulation, Solvency 2 Directive, Prospectus Directive and Transparency Directive (https://ec.europa.eu/info/business-economy-euro/banking-and-finance/international- relations/recognition-non-eu-financial-frameworks-equivalence-decisions_en);
4) Where no passport, Treaty or equivalence rights are available, UK firms can apply for

new full original authorisation in another EU Member State which would then allow them to carry on activities (passport) into other Member States;

5) Firms with branches in other Member States may be able to apply for country specific authorisation under third country reciprocity arrangements;

6) Certain firms may be able to benefit from internal group business transfers where they have extended group structures that include separate banking, securities and insurance authorisation within the EU;

7) Some firms are considering setting up various types of 'back to bank' lending or other trading arrangements to allow them to copy the economic effects of business transfers within the UK and EU (although the ECB has indicated that limitations will be imposed on such activities by 2022);

8) Firms may also consider establishing representative offices within other Member States in the EU although this would only be for marketing and client development purposes with any authorised activities having either to be returned to the UK or only carried out through EU authorised institutions.

Candidates may have referred to the separate possible future Treaty arrangements that may be available although the specific financial options are as set out above. Any possible trade relations apart from a WTO opt-in would necessarily involve agreement on some form of *Draft Withdrawal Agreement* and *Outline Political Declaration*. Future Treaty relations could include:

a) Norway (or Norway Plus) EEA model including Single Market access and EU Customs Union Membership (with consultation rights and EEA Joint Committee involvement and the requirement for national domestic law implementation);

b) Switzerland (European Free Trade Association (EFTA)) model based on bilateral trade agreements;

c) Turkey (Andorra and San Marino) non-EEA and non-EFTA Customs Union model (excluding agricultural goods and services);

d) Canada Comprehensive Economic and Trade Agreement (CETA) model for free trade including single market entry (but excluding certain food substances and services) or an EU Japan Economic Partnership Agreement (EPA) model;

e) Singapore and Hong Kong unilateral free trade model;

f) WTO default position in the absence of any other trade arrangement (with the EU being prevented from discriminating against UK firms and with border controls limited under the WTO Trade Facilitation Agreement) and with possible reliance on Article 24 which allows

tariff free trade to be continued for exceptional reasons to allow parties to negotiate new trade relations.

C29. One of the most significant gaps in the earlier regulatory frameworks before the Global Financial Crisis was the ability of authorities to deal with domestic and Global Systemically Important Firms (GSIFs) in difficulty. Many authorities lacked necessary resolution as well as market support (lender of last resort) powers.

To add depth to your answer, you might have referred to some of the evolution of the regulations around these plans. New laws (under the Financial Services Act 2010 and ss 137J and K FSMA 2000 as amended) requiring Recovery and Resolution Plans (RRPs) were created as a result of this, with all major financial firms being required to maintain effective RRPs to manage both their pre- and post-crisis condition and either to protect their stability or facilitate a managed winding-down of their activities and an eventual winding-up. The Bank of England published its 'Approach to Resolution' in 2014 which refers to three separate phases of stabilisation, restructuring and exit. The PRA issued a consultation paper on this in 2014 (CP13/14) with a policy statement response in January 2015 (PS 13/14). The PRA's expectations on firm and group recovery plans were set out in Supervisory Statement 18/13 and resolution planning in Supervisory Statement 19/13 as amended.

Recovery Plans generally operate in a pre-crisis situation and allow the firm, for example, to raise additional liquidity or capital, dispose of assets or subsidiaries and transfer activities. Resolution Plans are intended to assist authorities manage the subsequent winding-up of the institution in the event of the failure of the Recovery Plan at the same time as protect the provision of critical functions and limit contagious effects and public costs. Resolution Plans generally operate with other special resolution procedures such as those set up under the Banking Act 2009 in the UK.

The PRA rulebook contains separate rules on Recovery Plans and Resolution Packs. Firms must prepare and maintain an appropriate resolution pack again submitted to the PRA online (PRA Resolution Pack rules 2.3 and 2.4). This should contain sufficient information and analysis to facilitate the planning for or taking of action in the event that circumstances arise that may lead to the failure of the business of the firm or the business of the firm's

failure (rule 2.5). Equivalent provisions apply with regard to the preparation of group resolution packs by banks, building societies and designated investment firms (rule 3). The resolution packs must be kept up-to-date and the PRA notified of any material changes (rule 4). Firms must take into account the nature, scale and complexity of their businesses and establish and maintain appropriate internal processes to govern the resolution pack with an executive director being responsible for this. The firm's governing body must also assess, approve and oversee the production of the resolution pack with these arrangements being periodically reviewed by the audit committee (rule 5).

Candidates should have commented on the effectiveness of these arrangements. These should allow all major firms to manage any pre-crisis situation effectively with authorities being able to take necessary action in the event that the firm's internal RRPs fail to contain the crisis. Implementation of higher capital standards, new liquidity measures and leverage restrictions under Basel III with the new proposed RRP constitute the most important post-crisis responses and make many other measures redundant, with the other measures on risk management and balanced remuneration provision. Effective support (lender of last resort) arrangements are nevertheless still be necessary in the most extreme situations with effective macro-prudential oversight being required at all times.

C30. This question asked candidates to critically evaluate the role of organisational culture in influencing conduct within financial institutions. How does the FCA's approach to culture and governance aim to enhance market integrity, and what steps can firms take to align their culture with regulatory expectations? Again, this was an open-ended question in which a lot of material could be included.

Organisational culture plays an important role in influencing conduct and decision-making within financial institutions. Recognising this, the Financial Conduct Authority (FCA) places significant emphasis on culture and governance as key factors in promoting market integrity and consumer protection. Organisational culture comprises the shared values, beliefs, and norms that guide behaviour within an institution. A positive culture encourages ethical behaviour, accountability, and a focus on customer outcomes, while a poor culture can lead to misconduct, systemic failures, and significant harm to consumers and markets.

Key ways in which culture influences conduct include:

• Tone from the Top – Leadership behaviour sets the standard for acceptable practices. Leaders who prioritise ethical behaviour and transparency foster a culture where misconduct is less likely to occur.
• Incentive Structures – Reward systems that align with long-term, customer-focused goals discourage short-termism and risky behaviours.
• Communication and Training – Effective communication and regular training reinforce the importance of compliance and ethical conduct.
• Accountability Mechanisms – Clear accountability ensures individuals are responsible for their actions, which deters misconduct.

Historically, cultural failures have been central to financial scandals, such as the LIBOR manipulation and the mis-selling of financial products, underscoring the critical need for strong cultural frameworks. The FCA does not prescribe a one-size-fits-all culture but focuses on outcomes, encouraging firms to cultivate environments that prioritise good conduct. The Senior Managers and Certification Regime (SM&CR) for example is intended to enhance individual accountability by requiring senior managers to have clearly defined responsibilities, promoting a culture of ownership and ethical leadership. The FCA has also noted that a firm's governance structures should effectively support its purpose and values, ensuring decisions align with desired cultural outcomes. Remuneration and incentive systems should be designed to ensure they do not inadvertently encourage misconduct.

Through regular supervisory interactions, the FCA assesses cultural indicators, such as employee feedback mechanisms, decision-making processes, and the handling of misconduct. The FCA regularly publishes speeches, discussion papers, and guidance that highlight the importance of culture, fostering industry-wide dialogue and awareness. By adopting this multifaceted approach, the regulator aims to encourage firms to embed cultures that naturally drive good conduct.

Firms should articulate a clear set of values that prioritise ethical behaviour and customer welfare, ensuring these are communicated effectively throughout the organisation. Senior management should exemplify the desired culture, demonstrating commitment through their actions and decisions. Remuneration and promotion criteria should reward behaviours that align with the firm's values and penalise misconduct. Regular training programmes should reinforce the importance of compliance, ethical decision-making, and understanding of regulatory expectations. Systems that allow employees to report concerns without fear of

reprisal are vital. Firms should actively encourage and act upon such feedback. Cultural considerations should be embedded into all business processes, from product development to customer interactions. Using tools like employee surveys, conduct metrics, and independent audits, firms should continuously evaluate their cultural health. The FCA's approach, which emphasises accountability, governance, and outcome-based assessments, seeks to foster cultures that inherently discourage misconduct. However, it is important for firms to proactively cultivate and maintain cultures that align with both regulatory expectations and ethical standards. Striking a balance between prescriptive requirements and a holistic understanding of risk is essential – sometimes, less prescriptive measures can empower firms to use their own judgement, leading to more effective and nuanced risk management. Ultimately, less may indeed be more when it comes to regulatory guidance in relation to culture, enabling firms to better tailor their responses to the specific risks they face.

C31. The question was concerned with the purpose and content of the EU General Data Protection Regulation (GDPR) 2016/679/EU and the UK implementing measures with UK Data Protection Act (DPA) 2018. The EU adopted the GDPR in 2016, and it came into effect on 25 May 2018. It replaced the Data Protection Directive (DPD) 95/46/EC which was implemented in the UK under the Data Protection Act 1998. The right to respect private and family life, and home and correspondence was earlier protected under Article 8 of the 1950 European Convention on Human Rights (ECHR) and the seven principles agreed by the Organisation for Economic Cooperation and Development (OECD) “Recommendations Concerning Guidelines Governing the Protection of Privacy and Trans-border Flows of Personal Data” in January 1999 (which covered notice, purpose, consent, security, disclosure, access and accountability). Controls on automatic processing were provided for under the 1981 Council of Europe Convention for the Protection of Individuals regarding Automatic Processing Personal Data.

The GDPR applies to personal data, which is information relating to a living individual which can be identified directly from the information or through matching with other information that is, or is likely to be, in the possession of the organisation or entity concerned. Obligations are imposed on data collectors and data processors. Public entities and firms that regularly and systematically process personal data must employ a Data Protection Officer (DPO). Data is generally to be protected by design and by default in systems processing (Article 25). The GDPR contains eight revised data protection principles based

on fair and lawful processing, for legitimate purposes, with data being adequate, relevant and non-excessive, accurate and up-to-date, not kept for longer than necessary, processed in accordance with individual rights, secure and properly transferred. Data subjects have eight principal rights under the GDPR, consisting of the right:

• to be informed
• of access (Article 15)
• to rectification (data correction)
• to data erasure (Article 17)
• to restrict processing
• to data portability
• to object to the processing of their data in certain circumstances
• related to automated decision making (including profiling).

Firms in breach of the GDPR can be fined up to €20 million or 4% of annual global turnover. European Member States must establish an independent Supervisory Authority (SA), with activities being coordinated through a European Data Protection Board (EDPB). The GDPR is implemented following the UK's withdrawal from the EU under the Data Protection, Privacy and Electronic Communications (Amendments etc) (EU Exit) Regulations 2019/419.

The GDPR has extended the personal rights initially conferred under the DPA 1995 in a number of important respects. Firms must consider data subjects' interests in managing personal data. The GDPR does not apply with regard to national security, police or judicial use, statistical and scientific analysis and personal use. Security and judicial matters are dealt with under Parts 3 and 4 of the DPA 2018 in the UK, with equivalent GDPR measures being applied to other areas outside the regulation under Part 2. The Information Commissioner (IC) is established under Part 5 and enforcement dealt with in Part 6. It is an offence knowingly or recklessly to obtain or disclose personal data without the consent of the data controller, procuring such disclosure or retaining data without consent and for selling or offering to sell personal data (which implements the requirements set out in the Enforcement of Intellectual Property Rights Directive (IPRED) 2004/48/EC). The GDPR does not attempt to confirm the nature of data or personal data in law and the rights of companies and data subjects outside the terms of the regulation. Separate concerns have arisen regarding the nature of consent and the cost and burden of compliance. Cyber security has had to be dealt with separately under the Network Information Systems (IDS)

Directive 2016/1148/EU, which came into effect in August 2016, and was implemented on 9 May 2018. The government is currently reviewing the UK's approach to data protection and relevant legislative and regulatory measures.

C32. ***[Tutorial Note:*** *The question asked for an assessment of the effectiveness of the regulatory regime brought into effect under the FSA 2012. The question could have been dealt with in a number of different ways with* ***no specific answer being expected****. Although these changes took place under the Coalition government some time ago, it is quite likely that the government will seek to make changes to this regime in order to adapt the regulatory regime to the changing macroeconomic and political environment, particularly since Brexit.* ***Therefore it is a good idea for candidates for this exam to be aware of the background to the current regime, so that in future exams they can comment on future changes to this regime in an authoritative way.]***

The changes adopted under the FSA 2012 were principally institutional in nature with the establishment of the Financial Policy Committee (FPC), within the Bank of England to assume a new macro-prudential function, and with the replacement of the FSA by a separate bank subsidiary, the Prudential Regulation Authority (PRA), and an independent Financial Conduct Authority (FCA).

The PRA is principally responsible for the prudential regulation of banks, insurance companies, larger designated investment firms, credit unions and building societies. The FCA is responsible for the prudential regulation of all other institutions and the conduct regulation of all institutions. FSMA 2000 has been amended to divide the statutory powers and functions of the two institutions with the FSA Handbook being split to reflect these changes. All of the necessary statutory amendments were brought into effect under the FSA 2012 which amended FSMA 2000 as well as include additional specific provisions on Treasury, Bank of England, FCA and PRA collaboration and crisis management (Part 4), inquiries and investigations (Part 5), regulatory complaints (Part 6), offences (Part 7) and Banking Act 2009 amendments (Part 8).

While the UK model has been referred to as a 'Twin Peaks' system, following the Australian regime set up after the Financial System (Wallis) Inquiry in Australia in June 1996, a number of inconsistencies remain, in particular, with the FCA being the prudential regulator of 23,000 and the PRA the prudential regulator of only 1,700 firms (above). The original

Twin Peaks papers also did not consider the central bank involvement nor need for separate macroprudential oversight.

Although not referred to in the Treasury or other regulatory documents supporting the establishment of the new regime, this can principally be justified on the basis of involving the creation of a central bank based macroprudential model with the 'subsidiarisation' of systemic function within the central bank and delegation of non-systemic activities to an independent agency.

The advantages of the new regime can be summarised in terms of separate focus, priority or mandate, distinct objectives, separate needs and outcomes with dedicated and specialist staff. These have to be set against the disadvantages of substantially increased cost, significant increase in complexity, inevitable regulatory fragmentation (with the production of separate FCA and PRA Handbooks replacing the earlier FSA and later Combined Handbook), regulatory overlap and duplication, substantial increase in regulatory obligation within firms, substantial increase in management demand within firms, policy conflict and confusion and inconsistent enforcement and sanction.

The FSA 2012 regulatory regime that came into effect in 2013 is far more complex that before and imposes substantial additional regulatory burden and cost on financial firms. These costs will inevitably be passed on to business and household clients. The principal changes are institutional in nature although the crisis was not caused by institutional failings as such.

The principal advantage of the regime introduced in FSA 2012 is that it created a central bank based macro-prudential model. Ever since, however, arguments have raged as to whether the benefits of the associated institutional changes created outweigh the longer term costs and burdens imposed. Institutional reform and structural regulation inevitably increase regulatory costs and obligation with any further additional stability advantages being unclear as successive requirements are imposed. The continuing and additional regulatory burdens imposed on firms have to be balanced against the correspondingly limited marginal benefits that may follow in terms of increased financial stability. Difficult questions of proportion and balance arise.

You can expect such arguments to be tested from time to time in future exams in the years to come.

C33.

In this question, candidates were asked to assess to what extent they had to consider the impact of current and future exogenous (or external) shocks, including major geopolitical events, such as with the Russian entry into Ukraine in February 2022, in designing or reviewing their internal ethical and cultural frameworks. This may also include biological (e.g., the COVID-19 pandemic) events, natural and climatic disasters, terrorism and cyber terrorism, warfare and nuclear threats.

The FCA has issued specific guidance on the events in Ukraine and their impact on financial markets (https://www.fca.org.uk/news/statements/events-ukraine-impact-financial-markets), noting the impact of the events and financial sanctions imposed. Firms engaged in securities activities were reminded of their obligations under the UK Market Abuse Regulation (MAR) and to disclose inside information as soon as possible, unless they have a valid reason to delay disclosure. The market was to be kept fully informed of any information or changes that are required to be disclosed under MAR.

Companies' disclosure obligations continued even where trading of securities had been suspended. Jon Cunliffe, Deputy Governor for Financial Stability at the Bank of England, gave a speech on 'Monetary and Financial Stability and the Invasion of Ukraine' at the European Economics & Financial Centre on 4 April 2022 in which he discussed the impact that the Russian invasion had on the UK economy and on UK financial stability.

The FCA issued separate guidance in relation to the COVID-19 crisis (https://www.fca.org.uk/coronavirus), with information also having been made available for consumers dealing with financial difficulties during the pandemic (https://www.fca.org.uk/consumers/dealing-financial-difficulties-coronavirus).

Candidates should have noted that firms have to ensure that they can continue to comply with all relevant regulatory obligations at all times and to maintain the necessary systems and controls and business continuity arrangements which can withstand any major disruption and shock. More obligations, such as those imposed under FCA PRIN and the PRA Fundamental Rules, become of even more importance at such times with financial ethical policies more generally.

Firms would generally have to comply with all existing relevant provisions including PRIN 1 (integrity), PRIN 6 (customers' interests), PRIN 7 (communications), PRIN 8 (avoiding conflicts of interest) and PRIN 9 (trust), as well as possibly PRIN 10 (protecting client assets). They must also continue to treat customers fairly at times. Parallel measures are imposed under the PRA Fundamental Rules. Individuals would be subject to equivalent provisions under COCON.

Candidates could have outlined the FCA's and the PRA's existing treatment of financial ethics in modern financial markets. They could have explained the background to PRIN and the Fundamental Rules within the larger handbooks and listed each of these, with the key requirement being to act with integrity. While no separate guidance is provided on this by the FCA or the PRA with regard to firms, additional information was provided under COCON 4, with regard to the meaning of the main equivalent provisions in connection with individuals.

Rather than focus on ethics, the FCA has shifted its examination to firms' culture. Tracey McDermott gave a speech on 'Wholesale Conduct Risk' before the British Bankers' Association on 13 June 2015. Andrew Bailey, former FCA Chief Executive Officer between July 2016 and March 2020, and previously Chief Executive of the PRA, delivered a speech on 'Culture in Financial Services – A Regulator's Perspective' at the City Week 2016 Conference on 9 May 2016. He stressed the importance of culture, with it being of 'the utmost importance to financial regulators. Culture is dependent on a range of contributory factors, including management and governance, remuneration and incentive structure, management quality and effectiveness, and personnel adoption and adherence. Many of the recent major prudential or conduct scandals arose from cultural failures in governance, remuneration, risk management and leadership.

Andrew Bailey has stated that the authorities could not "determine the culture of firms", which would not work, and could not "write a regulatory rule that settles culture" with this being the product of many factors that the regulators could influence, including governance, remuneration and risk management. There was "no magic bullet to change culture", although the SM&CR would assist in embedding "the notion of personal responsibility for the affairs of the firm at the level of senior management". It was "not the job of regulators to enforce culture and to change culture", with firms' incentives determining culture and with the authorities attempting "to align those incentives with our public interest objectives as well as the private interest of the firm". Andrew Bailey separately addressed the HKMA Annual Conference for Independent Non-Executive Directors in Hong Kong on 16 March

2017, the Transforming Culture in Financial Services Conference in London on 19 March 2018, and the Investment Association Culture Conference at the Mansion House in London on 6 November 2018.

Candidates could have referred to other FCA work on culture and governance. The regulator expects financial leaders to manage the drivers of behaviour in their firms to create and maintain cultures which reduce the potential for harm (FCA, 'Culture and Governance', 3 August 2020 available https://www.fca.org.uk/firms/culture-and-governance). Culture is stated to be at "the heart" of how the FCA authorises and supervises firms. It is referred to as "the habitual behaviours and mindsets that characterise an organisation", with the FCA focusing on four key drivers of purpose, leadership, rewards, and management and governance. The FCA published a collection of 28 papers on 'Transforming Culture in Financial Services' in March 2018 (DP 18/2) which examined what good culture might look like, the role of regulation and regulators, how firms might promote incentives and how to change behaviour for the better. This was followed by a Transforming Culture Conference and publication of an 'Event Summary and Next Steps' paper on 19 March 2018.

The FCA Business Plan for 2020/21 has highlighted the importance of the crisis. Five key priorities were listed for the following one to three years based on transforming how the FCA works and regulates, enabling effective consumer investment decisions, ensuring that credit markets work well, making payments safe and accessible and delivering fair value in a digital age (FCA Business Plan for 2020/21, 7 April 2020). The FCA's crisis response had been intended to ensure that markets continue to function in an orderly manner during a major repricing event, issue emergency guidance to allow government schemes to operate, support consumers, assist public access to essential banking services and protect the most vulnerable within society. The FCA would continue to update its operations in response to unfolding events and inform stakeholders appropriately.

Megan Butler, FCA Executive Director of Supervision – Investment, Wholesale and Specialists, gave a speech on the crisis on 4 June 2020 ('The FCA's Response to COVID-19 and Expectations for 2020') at the Personal Investment Management & Financial Advice Association's (PIMFA's) Virtual Festival. While advisers and wealth managers had responded well to the crisis, attention had to shift from 'incident response' to longer-term impact, with the FCA focusing on operational resilience, financial resilience and acting with integrity. The regulator specifically criticised firms that had attempted to avoid customer liabilities by closing down companies and setting up new ones. Certain specific crisis

response measures were identified based on ensuring a good level of operational resilience, understanding firms' financial resilience to allow them to fail in an orderly manner, ensuring that markets functioned effectively through price formation and orderly trading, treating customers fairly and ensuring that customers were aware of, and protected from, scams.

Candidates could also have referred to earlier material in this area. A number of general documents and speeches have been issued on ethics over the last 20 years. The FSA's initial general approach to ethics was set out in An Ethical Framework for Financial Services (October 2002) with competence being examined in Competence and Ethics (June 2010) CP 10/12. Ethics was considered as part of the Retail Distribution Review (RDR), with the FSA recommending the creation of an enforceable Code of Ethics for investment advisers in Retail Distribution Review (November 2008) Feedback Statement 08/06. This was referred to again in Distribution of Retail Investments: Delivering the RDR (June 2009) CP 09/18, with eight general principles proposed. These can be summarised in terms of acting honestly and fairly at all times, integrity, legal and regulatory compliance, market integrity standards, conflict and professional competence, declining to act, and upholding the highest personal and professional standards. FSA Chairman, Howard Davies, discussed ethics in Ethics in Regulation in 2001.

Candidates could have referred to any of the above.

C34. Accountability is generally secured through the extension of the earlier accountability regime set up under the FSMA to apply to the new regulatory authorities under the amendments brought into effect under the FSA 2012. These are essentially concerned with HM Treasury powers (appointment, annual report, reviews and independent enquiries), annual general meetings, corporate governance requirements, revised complaints procedure, competition scrutiny, Practitioner Panel and Consumer Panel consultation with Upper Tribunal appeals and Judicial Review.

Regulators have to comply with the formal warning and decision notice procedure with notices being brought before the Regulatory Decisions Committee (RDC) with appeal before the Upper Tribunal. All of the regulators are also subject to questioning before the Parliamentary Treasury Committee.

FSA 2012 specifically requires the Bank, FCA and PRA to maintain arrangements for the investigation of complaints against them under a revised complaints scheme. Complaints relate to any expression of dissatisfaction concerning the manner in which the regulators have carried out, or failed to carry out, any relevant functions. Anyone directly affected by any of the regulators' actions or inactions may lodge a complaint. Complaints are investigated by the regulators either jointly or individually as appropriate with a complainant having a right to have the complaint referred to the Office of the Complaints Commissioner (OCC). The Bank, FCA and PRA issued a document on Complaints against the regulators that sets out the relevant procedures with forms being available on the regulators' websites.

In commenting on the effectiveness of the new regime, candidates could have noted that the new regulatory structure is even more concentrated with many regulatory powers specifically being exercised by the Bank directly or through the PRA indirectly. The Bank is responsible for monetary policy, macro-prudential policy, payments and infrastructure, bank resolution and market liquidity (including lender of last resort).

Under the earlier Tripartite Committee arrangements, the Bank, FSA and Treasury had equal status. Under the new arrangements, the position of the FCA has effectively been diluted with the Bank only reporting to the Treasury every six months and with the Treasury function effectively being limited to approving emergency support funds.

C35. Candidates were asked to comment on the effectiveness of the macro-prudential regime set up under FSA 2012. This has been raised many time in previous examinations. Candidates should have referred to the establishment of the Financial Policy Committee (FPC) within the Bank of England which has specific responsibility for macro-prudential oversight. Similar macro-prudential bodies have been set up in the US with the Financial Services Oversight Council (FSOC) and with the EU European Systemic Risk Board (ESRB)).

The Bank of England Act 1998 was amended (under s2 FSA 2012) to provide that the Bank's Financial Stability Objective would be to protect and enhance the financial stability of the UK financial system with the Bank's Court of Directors to determine the Bank's strategy on Financial Stability (s9A). The amendments also provide for the establishment of the Financial Policy Committee (FPC) (s9B BEA 1998) although the FPC had operated on an

interim basis since February 2011. The FPC replaced the earlier Financial Stability Committee (FSC) set up under the Banking Act 2009 (s238 BA 2009 inserting a new s2B BEA 1998).

The purpose of macro-prudential oversight is to monitor the potential build-up of any risk or exposure across the financial system as a whole. This was understood to be one of the principal failings leading to the UK and global financial crisis in 2008-2009. The functions of the FPC are to monitor the stability of the UK financial system to identify and assess systemic risk, give directions, make recommendations and prepare Financial Stability Reports or carry out any other functions determined by the Bank's Court. The FPC may give directions to the FCA or PRA in the exercise of their functions. The FPC may make recommendations including on the provision of financial assistance to financial institutions. The FPC is to continue to publish the Bank's Financial Stability Reports.

The FPC is being given a number of macro-prudential tools. The Bank and FSA issued a discussion paper in December 2011 which referred to a number of possible balance sheet, lending and market structure options. A first Macro-prudential Measures Order was issued in March 2013 to allow the FPC to impose additional own funds to cover residential and commercial property exposures or financial sector exposures.

Candidates did not need to refer to any of the specific statutory provisions although they should have explained the general purpose of the FPC and the nature of the powers to be exercised.

C36. This question asked candidates to discuss the conditions required for an effective and transparent system of compliance within a financial firm, **and** how senior management should encourage this. This is an open-ended question in which a lot of material might be included. Whilst this was a popular question for candidates many candidates missed out on full marks by not addressing the role that senior management play in building and maintaining an effective and transparent system of compliance.

With regards to the conditions required for an effective and transparent system of compliance within a financial firm, within a strong answer we would expect the following:

- Firms should have written compliance policies and procedures outlining principles and processes for managing compliance risks, and these should be in place, and regularly reviewed.
- The firm should ensure that the compliance function is independent and has formal status within the organisation.
- Regular risk assessments should be performed to identify and evaluate compliance risks at least annually.
- Regular and risk-based compliance assurance and testing should be undertaken to ensure adherence to policies and procedures.
- Compliance reports and management information should be provided to relevant stakeholders on a regular basis, summarising risks, corrective measures, and actions taken.
- Clear and effective communication channels should be in place for compliance matters within the organisation.
- Regular compliance training and education should be provided to all employees to ensure they understand and adhere to policies and procedures.
- Compliance staff should have the necessary skills, knowledge, and expertise needed for their roles.
- Horizon scanning is in place to effectively identify and address relevant changes and developments in the regulatory requirement.
- Roles and responsibilities for risk identification and risk management are clearly articulated.
- Arrangements are in place for the segregation of duties within the firm to article, identify and manage conflicts of interest.
- Effective systems and controls are in place to counter financial crime, proportionate to the nature, scale, and complexity of the firm's activities.
- An internal audit function separate from other functions should be in place, responsible for evaluating the adequacy and effectiveness of systems, internal control mechanisms, and arrangements.
- Complaints handing processes are in place, and complaints are used as a relevant source of information and improvement.

Concerning how senior management should encourage this, a strong answer could note that senior management should:

- Lead by example by adhering to and promoting the firm's compliance policies and ethical behaviour.
- Actively review management information and compliance reports and ensure timely implementation of corrective measures.
- Promote a speak-up culture, and create an environment where staff feel comfortable reporting compliance concerns without fear of retaliation.
- Encourage continuous improvement in compliance processes and stay updated with regulatory changes.
- Ensure the compliance function is provided with adequate resources, including qualified and experienced staff.
- Embed compliance as part of the firm's culture and an integral part of business activities.

C37. Candidates were asked to comment on the extent to which a correct regulatory balance had been achieved at the national, European and international levels. The question strictly referred to national, European 'or' rather than 'and' international levels with candidates being able to comment on one, two or all three perspectives. To score lots of marks, it might have been easier to review regulatory developments in recent years at all three levels.

The objective was to assess the relative advantages of improved market regulation and function as against excessive burden and cost. The question did not specifically refer to the global, European or UK financial crises as such although candidates could have referred to this by way of useful background information.

Candidates should then have reviewed the more significant developments at each level and then comment on the extent to which these could be considered to be necessary or proportionate. This could have been dealt with in a number of different ways with no specific answer being expected. Necessary revisions following the crisis clearly include the strengthening of capital and liquidity, tightening of leverage and debt levels (under Basel III and EU CRD IV), strengthening governance, improving supervision, introducing new forms of bank resolution (such as under the UK Banking Act 2009 or proposed EU Bank Recovery and Resolution Directive (BRRD), extended forms of market or lender of last resort (LLR) and new full system macro-prudential oversight mechanisms. The new focus on promoting

higher ethical standards has also to be fully supported especially through the enhanced enforcement of existing provisions, in particular, within PRIN, SYSC, COCON and now PRA FR 1-4 (for CRR, non-CRR and SII and non-SII firms). These deal with the core conditions that arose especially in terms of weak regulation, supervision, resolution, support and oversight and conduct.

Whether many of the other more specific institutional and regulatory changes adopted have also been necessary is less clear. The institutional reforms undertaken in the UK with the replacement of the FSA by the FCA and PRA cannot be justified on the basis of the supposed 'twin peaks' moral (due to the substantial inconsistencies involved) although it is understandable in terms of the desire to create a new central bank based macro-prudential model with the delegation of non-systemic prudential and conduct functions to an independent agency. Other more specific reforms are also less clearly justifiable including excessive restrictions on remuneration packages (beyond risk insulation), structural regulation and ring-fencing (under the Independent Commission on Banking (ICB), EU Liikanen Report and US Volcker Rule and proposed UK banking standards in addition to the existing principles for businesses. Other more specific detailed provisions within CRD IV or the US Dodd Frank Act 2010 for non-prudential nature could also have been referred to.

It is inevitable following a severe crises and substantial loss that there are significant political, public and media calls for reform. Such reforms are necessary provided that they are targeted and proportionate. Unnecessary, irrelevant and disproportionate amendments will simply undermine market function and innovation and increase cost and limit choice to the substantial disadvantage of customers, market counterparties and society as a whole.

No specific answer was expected provided some of these issues were discussed and informed opinions expressed.

C38. The question focused on the difference between prudential and conduct regulation. This reflects the earlier 'twin peaks' division which was accepted by the Financial System Inquiry (Wallis Inquiry) in Australia in June 1996 which led to the establishment of the Australian Prudential Regulation Commission (later Australian Prudential Regulation Authority (APRA)) and Corporations and Financial Services Commission (later Australian Securities and Investments Commission (ASIC)). This was reflected in the UK with the creation of the PRA and FCA under the Financial Services Act 2012 with effect from 1 April 2013.

The core objective is to split prudential and conduct regulation on the basis that they are considered inconsistent and better managed by separate authorities focusing on the separate functions involved. Prudential regulation was principally concerned with stability and focuses on capital, liquidity, systems, governance and resolution. Conduct focuses on behaviour and customer or consumer protection. This division can be justified on the basis of separate focus, priority or mandate, inconsistent objectives, different needs and outcomes, dedicated and focused treatment and different disciplinary and enforcement requirements. The disadvantages include cost, complexity, obligation, management demand, duplication, policy conflict and inconsistent enforcement and sanction. Regulatory separation leads to overall regulatory fragmentation which fails to reflect the increasingly integrated and interconnected nature of modern financial markets.

The UK model is also inconsistent in theoretical terms with the PRA only being responsible for the prudential regulation of banks, building societies, credit unions, insurance companies and designated investment firms with the FCA managing the prudential regulation of all other firms as well as the regulation of markets and exchanges in addition to other conduct matters.

If the objective of the UK institutional reform was simply to create more effective and focused prudential and conduct regulation, this could have been more easily achieved by establishing a separate Prudential Regulation Division (PRD) and Conduct Regulation Division (CRD) within the FSA. This would have avoided the policy operational limitations referred to as well as the considerably more complex content of the FSMA following all of the statutory amendments required to split the FCA and PRA functions. Many of the other reforms considered necessary following the crisis had already also been adopted by the FSA and outgoing Labour administration before the Coalition government came into office in May 2010.

While it is difficult to justify the split between the PRA and FCA in purely regulatory terms, the new UK model can be understood in light of the desire to establish a central bank based macro-prudential model with integrated systemic regulation. The decision was taken to replace the Financial Stability Committee (FSC) created under the Banking Act 2009 with the Financial Policy Committee established under the Financial Services Act 2012 and to transfer the larger prudential regulatory functions of the FSA to the PRA set up as a

subsidiary of the Bank of England. While a strong macro-prudential unit could have been established within the Bank of England and closer operational relations created between the Bank and the FSA, including possibly separate FSA prudential and conduct divisions, the decision was taken to re-transfer the prudential regulation of depository institutions from the FSA to the Bank with insurance companies and larger securities firms.

This can then be explained in terms of a central bank based macro-prudential model with integrated systemic prudential regulation and the transfer of non-systemic functions to the independent FCA. One difficulty that had arisen was that the FSA board had become overloaded with non-prudential matters although this could have been dealt with separate prudential and conduct board committees with only final decisions being referred to the full board.

Conduct regulation has become of increasing importance following the crisis with the large number of significant revelations of misconduct including with regard to payment protection insurance (PPI), interest rate swaps, money laundering breaches, sanction breaches, LIBOR, foreign exchange and alleged gold market fixing. This requires the development of a clear and coherent conduct risk policy. Whether this needs a separate institutional base is nevertheless still unclear. Institutional reform of itself rarely creates better regulation which can only be achieved through the adoption of appropriate supervisory and regulatory approaches with necessary funding and training of all relevant staff.

No set answer was expected. These are difficult issues with many arguments for and against. It is also a subjective matter to form any conclusive opinion as to the effectiveness of the UK regulatory regime.

C39. Candidates were asked to comment on the potential value of the BSRC in promoting high ethical standards. The BSRC is to be established following the review conducted by Sir Richard Lambert with a consultation document being issued in February 2014 and final report in May 2014. This had been referred to in the Parliamentary Commission on Banking Standards (PCBS) final report on Changing Banking for Good (12 June 2013) with higher professional standards to be promoted in the banking area including through the development of a new set of core standards with the BSRC not acting as a lobby body. The BSRC would be funded by the industry although act in an independent manner.

Sir Richard Lambert recommended that participating institutions commit to a programme of continuous improvement of culture, competence and customer outcomes with various recommendations being made with regard to the BSRC specifically. It should establish standards of good practice, report annually, meet with nonexecutive directors and risk or reputation committee chairs, work with industry and stakeholders to develop a new code of practice, identify and encourage good practice and learning, development and leadership, assist compliance and work with professional bodies to improve training and qualifications. Nine specific recommendations were made with regard to purpose, governance, funding and reporting, arrangements, engagement, institutional relations, regulatory cooperation, raising standards of conduct over time, stakeholder involvement, training and avoidance of duplication of function.

The principal advantage of the BSRC is that it will operate on a self-regulatory basis and benefit from industry experience, engagement, commitment, funding and voluntary enforcements which may promote public trust and confidence and placate media and political criticism. Difficulties nevertheless remain in terms of additional cost, regulatory overlap, standards conflict, consistency, weak enforcement and limited overall effectiveness.

The question specifically asked for comment on the ability of the BSRC to increase ethical standards with a substantial body of ethical provisions already having been provided for under FCA PRIN, PRA Fundamental Rules, SYSC and COND, COCON and FIT, COBS, BCOBS and MCOB as well as with the statutory prohibitions imposed on market abuse, misleading statements and impressions and insider trading and general criminal and civil law. Many of the regulatory obligations imposed are principally based on integrity which is concerned with complying with expected high standards of professional conduct in any particular situation. Separate codes of ethics and standards are also applied by, for example, the CISI, Chartered Financial Analyst (CFA) and Association for Financial Professionals (AFP) and other professional bodies.

While the PCBS had intended that ethical standards were applied by firms and individuals, it has been confirmed that the BSRC will only be involved with firm rather than individual standards. The establishment of separate standard in the banking as opposed to other financial areas will create significant inconsistency. The need for a separate standards body may also appear to be inconsistent with the specific policy of establishing the FCA as a

conduct regulator. Transferring banking standards to a separate body appears to contradict the basis for the new regulatory division and regime established under the Financial Services Act 2012.

Unfortunately, neither the PCBS nor Banking Standards Review reports considered the meaning, nature, source and content of financial ethics and the relationship between the existing provisions currently applicable. The simple solution would have been for the FCA to prepare an Ethical sourcebook within its Handbook (possibly referred to as ETHIC) to clarify these essential points and to provide additional guidance on the application of these provisions in specific areas either in the new Ethics sourcebook or separately.

No specific answers were expected with candidates only having to outline the various issues and arguments involved.

C40. This question asked candidates to discuss how financial regulation in the USA is organised compared with the UK, and the relative merits of these systems. This is an open-ended question in which a lot of material might be included. Within a strong answer we would expect the following:

The financial regulatory system in the USA is characterised by its complexity and multiplicity of regulators, each with overlapping responsibilities.

Key regulatory bodies and their areas of responsibility include:

- The Securities and Exchange Commission (SEC), which oversees the securities markets, protecting investors, maintaining fair and efficient markets, and facilitating capital formation.
- The Federal Reserve (Fed), which regulates and supervises bank holding companies, state-chartered banks that are members of the Federal Reserve System, and other institutions.
- The Office of the Comptroller of the Currency (OCC), which is responsible for the regulation and supervision of national banks and federal savings associations.
- The US Treasury, an executive agency responsible for promoting economic prosperity and ensuring the financial security of the US.
- Financial Industry Regulatory Authority (FINRA), which is the largest independent regulator for all securities firms doing business in the US.

- The Consumer Financial Protection Bureau (CFPB), which is responsible for the protection of consumers in the financial sector, overseeing banks, credit unions, securities firms, payday lenders, mortgage-servicing operations, foreclosure relief services, debt collectors, and other financial companies.
- The Commodity Futures Trading Commission (CFTC), which regulates commodity futures and options markets.

This fragmented approach allows for a diverse and sometimes innovative regulatory environment, but it also leads to challenges such as regulatory gaps, overlapping jurisdiction, and increased complexity for financial institutions operating across state lines and different financial products.

The second element of the answer should cover how financial services regulation is structured in the UK, noting that the UK's financial regulatory system is more streamlined with fewer but more centralised regulators.

The Financial Services and Markets Act (FSMA) 2000 is the cornerstone of financial regulation in the UK. The Act ensures a more coherent regulatory framework with clear demarcation of responsibilities and streamlined processes for regulatory oversight.

Key regulatory bodies and their areas of responsibility should be mentioned, including:

- The FCA, which regulates the conduct of financial firms to ensure markets function well, consumer protection, and competition.
- The PRA, which is responsible for the prudential regulation and supervision of banks, building societies, credit unions, insurers, and major investment firms.
- The Bank of England, which in addition to its monetary policy role, also oversees financial stability and macroprudential regulation through the Financial Policy Committee (FPC).
- The Payment Systems Regulator (PSR), which has been tasked to ensure that payment systems are operated and developed in a way that considers and promotes the interests of all the businesses and consumers that use them.

With regards to the relative merits of the US and UK system, it could be noted that:

The USA system, with multiple regulators, allows for specialised oversight tailored to different financial sectors (e.g., SEC for securities, CFTC for commodities). The complexity and gaps within the system can sometimes allow for innovative financial products and practices. However, overlapping responsibilities of regulators can lead to inefficiencies, regulatory arbitrage, and increased compliance costs for financial institutions. Differing regulatory standards and enforcement practices can also result in inconsistencies across states and financial sectors.

The UK system is more centralised and having fewer regulators reduces complexity and makes regulatory processes more transparent and easier to navigate. It provides uniform standards and regulations across the financial sector, ensuring consistent enforcement and compliance. Clear division of roles between the FCA, PRA, and BoE ensures efficient regulation and oversight without significant overlap. However, the centralisation of regulatory power can sometimes lead to slower responses to emerging financial innovations and crises.

There should be an acknowledgment that each system has its unique strengths and weaknesses, shaped by their respective regulatory philosophies and market needs.

Reference could be made to The Edinburgh Reforms, which aim to make the UK's regulatory framework more agile, competitive, and responsive to new challenges.

C41. The creation of the new Senior Managers and Certification Regimes was recommended by the Parliamentary Commission for Banking Standards (PCBS) in "Changing Banking for Good" in June 2013. The new regime was provided for under Part 4 of the Financial Services (Banking Reform) Act 2013. This replaces the earlier approved persons regime for banks, building societies, credit unions and PRA-designated investment firms, although this would be extended to other firms subsequently. The new regime came into effect on 7 March 2016. The new offence of causing a financial institution to fail was also provided for under s 36 of the 2013 Act. The objective of the new senior managers regime is to ensure that senior managers are held accountable for any misconduct within their specific areas of responsibility.

Firms have to prepare "responsibility maps" to allocate all relevant Senior Management functions (SMFs), with each manager having a statement of responsibility (SOR) (s60(2A) FSMA). Authorised persons must vet candidates before putting them forward for approval to ensure that they are fit and proper in terms of relevant qualifications, training,

competence and personal characteristics (s60A). Conditions or time limits may be attached to approvals (s61(2B)) and approval may be varied subsequently (s 63ZB). Dual regulated firms are assessed by the PRA initially, although the PRA and FCA must both be satisfied that any applicant complies with the standards set out in the FSMA. Approved persons were earlier considered in terms of whether they were fit and proper having regard to whether they acted with honesty, integrity and reputation, competency and capability and financial soundness.

The regime applies to persons approved under s59 FSMA to carry out a designated senior management function (SMF) as provided for under s 59ZA FSMA as amended. The PRA has inter alia designated the following senior management functions: Chief Executive (SMF 1); Chief Finance (SMF 2); Executive Director (SMF3); Chief Risk (SMF 4); Head of Internal Audit (SMF 5); Head of Key Business Area (SMF 6); Group Entity Senior Manager (SMF 7); Credit Union Senior Manager (SMF 8); Chairman (SMF 9); Chairman of Risk Committee (SMF 10); Chair of Audit Committee (SMF 11); Chair of Remuneration Committee (SMF 12); Chair of Nomination Committee (SMF 13); Senior Independent Director (SMF 14); Compliance Oversight (SMF 16); Money Laundering Reporting (SMF 17); Other Overall Responsibility (SMF 18); Head of Overseas Branch (incoming non-EEA branches only) (SMF 19); and Other Local Responsibility Function (incoming non-EEA branches only) (SMF 22) (PRA March 2016).

A separate certification regime for deposit taking firms (other than credit unions) is created for other personnel that may pose a risk of significant harm to the firm or a customer. Firms are to certify the fitness and propriety of staff every year (s 63E FSMA) without pre-approval as under the earlier approved persons regime. The same conditions generally apply regarding certification as approval, including qualifications, training, competence and characteristics (s 63F).

A new set of Conduct Rules (COCON) have been created (under s 64A FSMA), although these largely replicate the earlier APER rules. COCON contains five individual conduct (IC) rules covering integrity (COCON 2.1.1), skill, care and diligence (COCON 2.1.2), openness and co-operation with regulators (COCON 2.1.3 earlier APER 3), due regard to customers' interests (COCON 2.1.4) and observance of proper standards of market conduct (COCON 2.1.5 earlier APER 3). COCON also contains four senior manager (SM) conduct rules covering taking reasonable steps to ensure business is controlled effectively (COCON 2.2.1

earlier APER 5), reasonable steps to ensure business complies with relevant regulatory requirements (COCON 2.2.3 earlier APER 7), reasonable steps to ensure appropriate delegation and oversight (COCON 2.2.3) and disclosure of all appropriate information to the FCA or PRA (COCON 2.2.4). Firms must ensure that all persons are properly notified of the COCON rules and take all reasonable steps to ensure that they understand how the rules apply to them (COCON 2.3.1), including through suitable training (COCON 2.3.2). COCON contains additional detailed guidance on the meaning of each of the rules (COCON 4), which expands the earlier guidance provided in the APER of Conduct of Practice (APER 3 and 4).

Candidates could have commented on the potential value of the new regime in improving conduct standards. While this is intended to make senior managers more accountable, the senior manager pool is considerably smaller than under the approved persons regime. Certification also transfers responsibility for other approvals from the authorities to firms. International banks have argued that the additional personal liability will act as a significant disincentive to attracting the most appropriate talent in London. All senior managers have been advised to ensure that they are insured and fall within banks' directors' and officers' insurance, and possibly to ask for indemnities in connection with potential regulatory action against the firm. All other significant staff have to be certified annually, with employment histories having to be considered for up to 6 years. This may, again, act as a significant disincentive to attracting high-quality staff.

C42. Candidates were asked to explain the nature of the FCA's approach to conduct risk and comment on the extent to which it has been able to create a clear and meaningful regulatory framework to contain this over time. The question could have been dealt with by explaining the statutory functions of the FCA and possibly contrasting these with the PRA. Relevant papers concerning the FCA's approach to conduct risk could have been noted and the significant uncertainties that remain in this regard. Reference could specifically been made to the FCA's new policy risk model and relevant drivers as well as relevant priority areas of focus. Candidates could also have referred to other relevant high-level regulatory provisions on conduct risk contained in the FCA Handbook.

The FCA has generally been made responsible for conduct regulation with the PRA managing prudential regulation under the revised institutional structure established under the FSA 2012. The FCA is specifically responsible for conduct risk although this is a difficult

issue to define precisely. The term conduct risk is not referred to in the FSMA as amended. Conduct risk is not separately defined in the FCA Glossary nor is the term risk separately defined. The objectives of the FCA are referred to under the FSMA in terms of acting as a financial function authority with the specific operational objectives of promoting consumer protection, system integrity and competition (s1B (2) and (3) FSMA). Conduct risk is not separately defined and it would generally appear that this refers to anything that is not prudential regulation.

The FCA has been developing its approach to conduct risk under its 2013 and 2014 Risk Outlook documents with a series of priority actions being set out in its Business Plans for 2013 and 2014. While the 2013 Risk Outlook expressly referred to ‘conduct risk’, this is simply referred to in terms of risk in the 2014 Risk Outlook and Risk Outlook included within the 2015 Business Plan. The Risk Outlook was incorporated into the FCA Business Plan 2015/16 released on 24 March 2015. The FCA explains its prudential responsibility and prudential risk in its 2014 Risk Outlook at 65-67.

The new policy risk model is generally made up of two parts with Drivers of Risk (Part A) consisting of Underlying drivers (inherent factors and Structures and business conduct features) and Environmental developments) and Evolving risk landscape (Part B) consisting of Cross-market pressures and related risks and Forward-looking areas of focus (2014 Risk Outlook P7). The key drivers are expanded in the circular diagram provided by the FCA in the 2013 and 2014 Risk Outlooks. This refers to Inherent risks (Information asymmetries, Biases (rules of thumb and mental shortcuts) and the growing importance of financial capability), Structures and business conduct (market structures, culture and incentives and conflicts of interest) and Environmental drivers (economic and market, technological and policy and regulatory) (FCA, Risk Outlook (2013) P10; and FCA, Risk Outlook (2014) P8.

Seven forward looking areas of focus were identified in 2014 (technological developments, poor cultures and controls, firms to act against customers' best interest, retirement income products, consumer credit growth, complex terms and conditions and house price growth) which were revised in the 2015 Business Plan (to include technology, poor culture and controls, large back-books and pensions as well as consumer credit affordability, unfair contract terms and systems and controls with regard to financial crime). A number of more specific areas of concern are referred to under these headings.

Candidates may also have referred to relevant high level regulatory provisions covering conduct risk including PRIN 1 (integrity), 5 (market conduct), 6 (customers' interest), 7 (client communication), 8 (conflicts of interest), 9 (trust) and 10 (asset protection) as well as COCON 1 (integrity) and 3 (market conduct), SYSC 10 (conflicts of interest) and 19 (remuneration) as well as COND and FIT more generally. Training requirements may also have been referred to under TC as well as Treating Customers Fairly (TCF) and the Retail Distribution Review (RDR).

This is a difficult area and no specific answer was expected.

C43. Candidates were asked to assess the extent to which financial firms have to consider the effects of possible biological pandemics and other extreme events that may impact financial markets in reassessing ethical and cultural frameworks, following the global financial crisis and the Coronavirus (COVID-19) crisis.

Firms would generally have to comply with all existing relevant provisions including PRIN 1 (integrity), PRIN 6 (customers' interests), PRIN 7 (communications), PRIN 8 (avoiding conflicts of interest) and PRIN 9 (trust), as well as possibly PRIN 10 (protecting client assets). They must also continue to treat customers fairly at all times. Parallel measures are imposed under the PRA Fundamental Rules. Individuals would be subject to equivalent provisions under COCON.

The FCA has issued specific guidance in relation to the COVID-19 crisis (https://www.fca.org.uk/coronavirus). The FCA has explained its expectations of firms (https://www.fca.org.uk/coronavirus/information-firms) with information having been made available for consumers dealing with financial difficulties during COVID-19 (https://www.fca.org.uk/consumers/dealing-financial-difficulties-coronavirus). Separate information has been provided by the Bank of England and PRA (https://www.bankofengland.co.uk/coronavirus/information-for-firms). The Financial Stability Board (FSB) sent a letter to the G20 on FSB which sets out action to maintain financial stability during COVID-19 (15 July 2020), with a separate report on the COVID-19 pandemic: Financial stability implications and policy measures taken – Report to the G20 (15 July 2020 and subsequently updated). Various statements have been produced by the FSB and other international bodies (see generally https://www.fsb.org/work-of-the-fsb/covid-19-maintaining-financial-stability/). A substantial amount of material has since

been published, with one of the principal difficulties being to ensure that this is sufficiently easy to access, understand and apply in practice. Candidates could have referred to some of this in further detail.

Candidates could have outlined the FCA and PRA existing treatment of financial ethics in modern financial markets. Candidates could have explained the background to PRIN and the Fundamental Rules (FRs) within the larger handbooks and listed each of these with the key requirement being to act with integrity. While no separate guidance is provided on this by the FCA or PRA regarding firms, additional information was provided under APER and now COCON 4 with regard to the meaning of the main equivalent provisions in connection with individuals.

Rather than focus on ethics, the FCA has shifted its examination to firm culture. Tracey McDermott gave a speech on 'Wholesale Conduct Risk' before the British Bankers Association on 13 June 2015. Andrew Bailey, former FCA Chief Executive Officer between July 2016 and March 2020 and previously Chief Executive of the PRA, delivered a speech on 'Culture in Financial Services – A Regulator's Perspective' at the City Week 2016 Conference on 9 May 2016. Andrew Bailey stressed the importance of culture, with culture being of "the utmost importance to financial regulators". Culture is dependent on a range of contributory forces including management and governance, remuneration and incentive structure, management quality and effectiveness and personnel adoption and adherence. Many of the recent major prudential or conduct scandals arose from cultural failures in governance, remuneration, risk management and leadership.

Andrew Bailey has stated that the authorities could not "determine the culture of firms", which would not work, and could not "write a regulatory rule that settles culture" with this being the product of many factors that the regulators could influence including governance, remuneration and risk management. There was "no magic bullet to change culture", although the new senior managers and certification regime would assist in embedding "the notion of personal responsibility for the affairs of the firm at the level of senior management." It was "not the job of regulators to enforce culture and to change culture", with firm incentives determining culture and with the authorities attempting "to align those incentives with our public interest objectives as well as the private interest of the firm." Andrew Bailey separately addressed the HKMA Annual Conference for Independent Non-Executive Directors in Hong Kong on 16 March 2017, the Transforming Culture in Financial

Services Conference in London on 19 March 2018 and the Investment Association Culture Conference, Mansion House, London on 6 November 2018.

Candidates could have referred to other FCA work on culture and governance. The FCA expects financial leaders to manage the drivers of behaviour in their firms in order to create and maintain cultures which reduce the potential for harm (FCA, 'Culture and governance' (3 August 2020 available https://www.fca.org.uk/firms/culture-and-governance). Culture is stated to be at "the heat" of how the FCA authorises and supervises firms. Culture is referred to as "the habitual behaviours and mindsets that characterise an organisation" with the FCA focusing on the 4 key drivers of purpose, leadership, rewards and management and governance. The FCA published a collection of 28 papers on "Transforming Culture in Financial Services" in March 2018 (DP 18/2) which examined what good culture might look like, the role of regulation and regulators, how firms might promote incentives and how to change behaviour for the better. This was followed by a Transforming Culture Conference and the publication of an "Event summary and next steps" paper on 19 March 2018.

The FCA Business Plan for 2020/21 has highlighted the importance of the crisis. Five key priorities were listed for the following 1-3 years: transforming how the FCA works and regulates, enabling effective consumer investment decisions, ensuring that credit markets work well, making payments safe and accessible and delivering fair value in a digital age (FCA Business Plan for 2020/21 (7 April 2020)). The FCA's crisis response had been intended to ensure that markets continue to function in an orderly manner during a major repricing event, and to issue emergency guidance to allow government schemes to operate, support consumers, assist public access to essential banking services and protect the most vulnerable within society. The FCA would continue to update its operations in response to unfolding events and inform stakeholders appropriately.
Megan Butler, FCA Executive Director of Supervision – Investment, Wholesale and Specialists, gave a speech on the crisis on 4 June 2020 ("The FCA's response to Covid-19 and expectations for 2020" at the PIMFA's Virtual Festival). While advisers and wealth managers had responded well to the crisis, attention had to shift from "incident response" to longer term impact, with the FCA focusing on operational resilience, financial resilience and acting with integrity. The FCA specifically criticised firms that had attempted to avoid customer liabilities by closing companies and setting up new ones. Certain specific crisis response measures were identified based on ensuring a good level of operational resilience, understanding firms' financial resilience to allow them to fail in an orderly

manner, ensuring that markets functioned effectively through price formation and orderly trading, treating customers fairly and ensuring that customers were aware of and protected from scams.

Candidates could also have referred to earlier material in this area. A number of general documents and speeches have been issued on ethics over time. The FSA's initial general approach to ethics was set out in 'FSA, An ethical framework for financial services' (October 2002) with competence being examined in 'FSA, Competence and ethics' (June 2010) CP 10/12. Ethics was considered as part of the Retail Distribution Review (RDR) with the FSA recommending the creation of an enforceable Code of Ethics for investment advisors in 'FSA, Retail Distribution Review' (November 2008) Feedback Statement 08/06. This was referred to again in 'FSA, Distribution of retail investments: Delivering the RDR' (June 2009) CP 09/18 with eight general principles proposed. These can be summarised in terms of acting honestly and fairly at all times, integrity, legal and regulatory compliance, market integrity standards, conflict, professional competence, declining to act and upholding the highest personal and professional standards. FSA Chairman, Howard Davies, discussed ethics in "Ethics in Regulation" in 2001.

C44. Candidates were asked to comment on the significance of the new statutory provisions adopted on misleading statements and impressions under the FSMA as amended. The earlier provisions contained in s397 on misleading statements and practices have been replaced by the new offences of misleading statements and misleading impressions in ss89 and 90 Financial Services Act 2012 as well as the new provisions on misleading statements and impressions in relation to benchmarks in s91 FSA 2012.

s89 applies with regards to making statements known to be false or misleading in a material respect, being reckless as to whether the statement is false or misleading or dishonestly concealing any material facts in relation to the statement (s89 (1) and (2)). It is also an offence to make a statement or conceal facts to induce another person to enter or not enter into a relevant agreement or exercise rights under a relevant investment. Offences are available for price stabilisation, control of information and buy-back programmes. s89 no longer refers to promises or forecasts nor to deceptive statements. Separate offences apply with regards to misleading impressions under s90 where a person intends to create a false or misleading impression with regards to the market in relevant investments or the price or value of the investments (s90 (1) FSA)).

This is extended to apply to intent to acquire, dispose of or subscribe for or underwrite investments or exercise rights under the investment or not and where the impression may generate a gain or cause loss to another person (s90 (2) and (3)). Exemptions are provided or under (ss89 (3) and 90 (9)).

A new offence is created of making false or misleading statements in connection with benchmark arrangements with the intention that the statements are used to set the benchmark knowing that or being reckless as to the statement being false or misleading (s91 (1)). A separate offence is created where a person acts or engages in any course of conduct which creates a false or misleading impression as to the price or value of an investment or the appropriate interest rate (s91 (2)). Equivalent exemptions again apply (s91 (3)). A person guilty of any offence under Part 7 is liable for up to ten years imprisonment on indictment or a fine or both (s92 (1)) – this penalty increasing with the passing of FSA 2021 from the original seven years.

Reference could also have been made to the civil provisions on market abuse contained in the Market Abuse Regulation and separate offences on insider dealing in the Criminal Justice Act 1993. A short overview of the relevant offences, defences and penalties should have been provided. Candidates should also have referred to the different burdens of proof with the civil market abuse and criminal misleading statements and impressions and insider dealing offences.

Market manipulation would also clearly be contrary to FCA PRIN 1 (integrity), PRA FR 1, COCON 1 and COCON 5 as well arguably as PRIN 5 (market conduct), 6 (customers' interests) or PRIN 12 (Consumer Duty), possibly 8 (conflicts of interest), 9 (trust) and possibly 10 (client assets).

C45. The FCA's Environmental, Social and Governance (ESG) strategy was published in November 2021. This strategy was to build further trust and transparency in the area of ESG investing and other associated areas. The strategy is based on five core themes. For the workbook these are recorded as:

- Transparency – promoting transparency on climate change and wider sustainability along the value chain.

- Trust – building trust and integrity in ESG-labelled instruments, products, and the supporting ecosystem.
- Tools – working with others to enhance industry capabilities and support firms' management of climate-related and wider sustainability risks, opportunities, and impacts.
- Transition – supporting the role of finance in delivering a market-led transition to a more sustainable economy.
- Team – developing strategies, organisational structures, resources, and tools to support the integration of ESG into FCA activities.

These principles are important as they are part of the CISI Code of Conduct in Principle 7. This states a CISI member needs to "Respect Others and the Environment – to treat everyone fairly and with respect, supporting opportunity for all, embracing diversity and inclusion and ensuring that the environmental impact of your work is considered." More generally moving towards more sustainable and green methods of doing business reflects wider global challenges faced by businesses across the world. Despite this importance there are substantial concerns that 'green washing' can occur in the representation, development and marketing of financial assets linked to ESG objectives. This misrepresentation of the green credentials of financial assets is seen both in the UK and globally. This outcome has been attributed to a corrosive influence on this market for green and sustainable financial assets undermining trust and constraining growth in these markets.

It may be helpful to consider further regulatory publications in the areas such as the FCA discussion paper on sustainability disclosure requirements and investment labels 2021, and the 2021 FCA policy statement on enhanced climate-related disclosures for asset managers, life insurers and FCA-regulated pension providers.

One mark was awarded for each valid point raised up to 15 marks. Other relevant content was also awarded marks.

C46. FinTech refers to the use of new computing and digital technology to support and improve the structure and operation of banking and financial markets and the delivery of banking and financial services. This includes digital banking and payment, electronic securities trading (including algorithmic and high-frequency trading), digital insurance (including robo advice) as well as the increased use of automation and robotics (including chatbots), digital and cloud delivery, big data analytics, machine reading and learning and artificial

intelligence (AI). This also includes distributed ledger technology (DLT) and blockchain with digital currencies such as Bitcoin. DLT is principally based on decentralisation and disintermediation, access cryptography and transaction hashing and verification mining and reconciliation based on computer code rather than traditional forms of law and regulation.

Regulatory technology (RegTech) refers to the use of technology for compliance purposes (including risk management and reporting) with authorities also using technology to improve supervisory contact and conduct (SupTech). The FCA launched Project Innovate October 2014 to promote the development of technological innovation within the financial services area. This includes supporting firms through its Innovation Hub, Advice Unit and Regulatory Sandbox (opened in May 2016) which allows firms to test innovative new products, services, business models and delivery mechanisms in real market conditions without the threat of regulatory sanction. Potential advantages arise through increased efficiency with lower costs, improved marketing, enhanced performance and fund management, innovative distribution, more efficient back office processing and improved customer service more generally.

A significant number of new challenges nevertheless arise from a technology, business model, consumer, user and stakeholder, markets, regulation and governance, infrastructure, central banking and monetary policy and financial stability perspective. These include technology risk and business and model failure, excessive outsourcing, technology dependence, network collapse, business dislocation and fragmentation, supervisory and regulatory dilution and defect and the possibility of increased speed and volume of loss transmission and overall financial instability and systemic collapse. More specific regulatory threats can be identified in terms of the impact of new technology on the FCA's consumer protection, integrity and competition objectives and the PRA's soundness, policyholder and competition objectives. The degree of disruption that may arise in the financial services industry cannot be predicted with certainty with the UK regulatory and supervisory framework having been set up in response to past non-technology related threats. It remains unclear to what extent the authorities would be able to respond to any future technology induced or aggravated crises that arise.

No specific answers were expected with candidates only having to outline the various issues and arguments involved.

C47. Currently the regulation of the trade in crypto assets is in a state of flux, with widespread consultation as to regulatory changes both in the UK and internationally. This market has raised major consumer protection concerns particularly in relation to the inappropriate sales and promotion of crypto assets. These activities have been linked with significant consumer detriment. The market is also poorly defined with crypto assets including a wide range of different and distinct products, which have changed frequently over time.
Moreover, there are concerns that some of the trade in some crypto assets may be associated with organised crime and could raise money laundering concerns. These are reflected in the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 where businesses carrying out certain crypto asset activities will need to comply with the regulations in relation to those activities and register with the FCA. There is also EU law in this area including the Sixth Money Laundering Directive (6MLD).

In January 2022, the FCA published a consultation paper on strengthening the financial promotion rules for high-risk investments, which include crypto assets, and in August 2022, the FCA published its final rules.
In its consultation, the FCA proposed to make changes in the following areas:

- Classification of high-risk investments
- Readily realisable securities
- Restricted mass market investments
- Non-mass market investments
- The consumer journey into high-risk investments
- Strengthen the role of firms approving and communicating financial promotions
- Applying the financial promotion rules to qualifying crypto-assets.

From 1 December 2022, the following requirements apply in relation to risk warnings for financial promotions of high-risk investments:

- Promotion of non-mass market investments (NMMI) is banned to retail investors
- Promotion of restricted mass market investments (RMMI) is subject to certain restrictions to retail investors
- Non-readily realisable securities and peer-to-peer agreements

- Crypto-assets were also envisaged being in this category, but this will follow at a later stage
- Enhanced requirements in terms of risk warnings (where the customer journey into high-risk investments begins)
- Risk warnings: stating that investors could lose all of their money invested
- Risk summaries: prescribed risk summaries – should take no more than two minutes to read
- Firm can diverge from this if there are valid reasons for doing so
- Banning incentives to invest: the ban of monetary or non-monetary benefits (ie refer a friend or new joiner bonuses)
- Cooling off period: minimum 24-hour cooling off period for first-time investors with a firm
- FCA would like to see firms applying higher standards than the minimum regulatory standards
- Personalised risk warnings: first-time investors with a firm must be provided with a personalised risk warning that must include the client's name
- Client categorisation: retail clients must self certify they meet the criteria to receive promotions on high-risk investments. Retail clients must provide evidence as to why they believe they meet the relevant criteria, ie, a statement on their income/assets.

The following Handbook guidance applied from 1 February 2023:

- Enhanced requirements for firms approving and communicating financial promotions
- Displaying the name of the approver and date of approval on the financial promotion
- Potential for use of firms' FRN if due to limits on space
- Approvers must have appropriate levels of competence and expertise in the type of investment/service being promoted
- Approvers must take an active role in ensuring that the promotion remains compliant while being used
- Approvers take reasonable steps to ensure compliance with appropriateness rules periodically through the life of the promotion
- Enhanced conflict of interest requirements for approvers

- Approvers must undertake preliminary suitability assessments before NMMIs are promoted to retail investors.

One mark was awarded for each valid point raised up to 15 marks.

C48. The question was concerned with the characters and content of the EU Capital Requirements Directive (CRD) IV package of measures. CRD 4 consists of the CRD 2013/36/EU and Regulation EU575/2013. These generally implement the Basel III capital, liquidity and leverage revisions within the EU and which will, in turn, be implemented within all of the EU member states. This directive was 'onshored' into UK law through the EU (Withdrawal) Act 2018.

Basel 3 was finalised in 2010 and contains the new Basel Committee provisions governing capital, liquidity and leverage. Capital adequacy is generally increased from 2% to 4.5% with additional capital buffers been provided for including a conservation buffer (2.5%), countercyclical buffer (0–2.5%) and systemic risk buffer (1–3.5%). The new liquidity requirements include a short Liquidity Coverage Ratio (LCR) and longer-term Net Stable Funding Ratio (NSFR). The leverage ratio consists of a 3% of own funds limit on total debt exposure.

This followed earlier Basel 1 in 1988, which established the minimum 8% ratio of capital to risk-adjusted assets for all internationally active banks, and Basel 2, which established the three pillars of minimum capital requirements (including credit risk (standardised, foundation and advanced internal ratings-based (IRB) approaches), market risk (standardised and models) and operational risk), supervisory review and market disclosure. These were revised following the global financial crisis to create the Basel 3 amendments.

These are implemented under the CRD and CRR with provisions involving national implementation being set out in the CRD and the more detailed common provisions which require no domestic adjustment contained in the CRR. These will be expanded through European Banking Authority (EBA) implementing measures. The CRD measures require separate UK implementation under the PRA Rulebook (with separate measures for CRR and non-CRR firms) and FCA Handbook (BIPRU) with the CRR being directly applicable as UK law and simply implemented on a copy out basis.

The CRD and CRR will form a key part of the European Banking Union (EBU) and Capital Markets Union (CMU). A number of steps have been taken to establish the EBU following the European financial crisis in 2009–2010 with this generally being based on the creation of a single Banking Rule Book (EBR) supported by a Single Supervisory Mechanism (SSM) and Single Resolution Mechanism (SRM), which includes the Bank Recovery and Resolution Directive (BRRD) 2014/59/EU, supported by the revisions to the Deposit Guarantee Schemes Directive (DGSD) 94/19/EC. The EBR essentially consists of the CRD and CRR and relevant implementing EBA technical standards.

Candidates could also have commented on the value of the new increased capital, liquidity and leverage measures. The purpose of capital is to provide a means of loss absorption for firms to prevent them from becoming insolvent. Liquidity ensures that firms maintain sufficient cash or readily realisable assets on an ongoing basis to cover ongoing liabilities. Leverage limits total debt exposure, which was a significant factor in the global financial crisis. The effect of these requirements is substantially to improve the stability of financial firms and prevent contagion. This regulatory adjustment is supported by enhanced supervision with new resolution procedures, emergency support facilities and wider macro prudential oversight. All of this should limit the possibility of a future crisis arising or, at minimum, the more stable and effective management of the crisis.

C49. The question focused on the effects of the production of a separate PRA Rulebook and FCA Handbook. The background to this is that the PRA and FCA had applied the earlier FSA Handbook of Rules and Guidance on a combined basis from the establishment of the new regulatory regime under the Financial Services Act 2012 in April 2013 until the production of the PRA Rulebook in 2015. The Rulebook and Handbook are created through the production of 'rule-making instruments' by the PRA and FCA under s 138G of the Financial Services and Markets Act 2000 as amended with the FCA having an express rule-making power under s 137A and the PRA under s 137G.

The creation of a separate PRA Rulebook and FCA Handbook is considered to be a natural extension of the split between prudential and conduct regulatory functions under the current UK regime. This can be justified on the basis that prudential and conduct regulation are considered inconsistent and better managed by separate authorities focusing on the separate functions involved. Prudential regulation is principally concerned with stability and

focuses on capital, liquidity, systems, governance and resolution. Conduct focuses on behaviour and customer or consumer protection.

This division can be justified based on separate focus, priority or mandate, inconsistent objectives, different needs and outcomes, dedicated and focused treatment and different disciplinary and enforcement requirements. The disadvantages include increased cost, complexity, obligation, management demand, duplication, policy conflict and inconsistent enforcement and sanction.

The other difficulty that arises is that regulatory separation may lead to more general regulatory fragmentation, which fails to reflect the increasingly integrated and interconnected nature of modern financial markets. This may specifically arise with regard to dual-regulated firms, which are subject to the PRA eight fundamental rules (FR) and twelve FCA principles for businesses (PRIN). While this could become a problem in practice where common provisions are interpreted differently, this may not create any difficulty if the PRA and FCA adopt a common interpretation.

Care also has to be taken in assessing the degree of possible fragmentation elsewhere within the separate substantive provisions applied. PRA-regulated firms are subject to the PRA provisions with FCA firms having to comply with the FCA's measures. The distinct sets of firms concerned are subject to separate prudential requirements. Distinct prudential requirements are therefore applied to dual regulated and non-dual regulated firms. Many of these are also now based on other prudential regulatory requirements, including the directly applicable CRR measures and equivalent Solvency II insurance rules, which further limit contradiction and inconsistency.

The principal difficulties may then only remain in non-prudential areas for dual-regulated firms, which correspond with the conduct risk scope of FCA jurisdiction. As noted, this may principally arise with regard to the overlapping FR and PRIN provisions although this may again not cause any substantial difficulties in practice providing the regulators adopt a common interpretation.

No set answer was expected. These are difficult issues with many arguments for and against – and due credit is given to candidates setting out and justifying their views on such arguments.

C50. The Coronavirus crisis 2020 highlighted the importance of the need to manage endogenous (internal) as well as exogenous (external) shocks. These may include biological (pandemic) events, natural disasters (earthquakes and tsunami), climatic impacts (floods and droughts) as well as terrorism and cyber terrorism, warfare and nuclear threats. The question could either have been answered either by referring to the general responses adopted following the Global Financial Crisis or specific measures targeted at the coronavirus crisis.

More general earlier responses included the FSA's Supervisory Enhancement Programme (SEP) and credible deterrence enforcement initiative, enhanced capital, liquidity and leverage (under Basel 3 and EU CRD 4 and CRR), College Supervision, Resolution and Recovery Planning (RRPs) and Special Resolution Regimes (SRRs), management accountability and liability (including under the UK Senior Managers and Certification Regime) and new micro-prudential regimes (including with the UK Financial Policy Committee (MPC), European Systemic Risk Board (ESRB) and US Financial Stability Oversight Committee (FSOC)). Reference could also have been made to the revision of the FSMA and establishment of the new institutional structure within the UK, with the creation of the FCA and PRA, as well as possibly with the introduction of structural regulation (ring fencing) although separate issues arise with this.

As much detail as possible could have been provided for the highest marks including reference to the specific legislative measures involved. It is arguable that all these measures substantially assisted ensure that financial markets and firms were more stable and resilient and capable of withstanding such shocks as the Coronavirus crisis. Other market and regulatory initiatives were adopted in response to the Coronavirus specifically while other existing systems and controls and continuity planning arrangements allowed firms to continue to operate.

While a number of regulatory adjustments and concessions were announced by the authorities, in particular, to allow the Government's market support measures to operate, markets and firms to ensure that they could continue to operate. The UK government announced a number of market support measures including the Corporate Financing Facility, Business Interruption Loan Scheme, Large Business Interruption Loan Scheme, Job Retention (Furlough) scheme, Term Funding Scheme, Business Rate Reductions,

Small Business Grant Fund, retail, hospitality and leisure support, Business Support grants, Future Fund and Post-16 Provider Relief as well as 'Eat Out to Help Out' scheme. A series of regulatory initiatives were announced. These included maintaining earlier Systemic Risk Buffer (SRB) rates, modification of leverage ratios, reporting in disclosure amendments, governance concessions for senior managers including on furloughing functions and delayed implementation of Basel III.1 by one year (Bank of England, 'Our response to coronavirus (Covid-19): regulatory measures for PRA firms' available https://www.bankofengland.co.uk/coronavirus/information-for-firms). Other measures were announced by the FCA including in relation to consumer credit relief, listed company financing, pension and retirement income and client asset controls (FCA, 'Coronavirus (Covid-19)' available https://www.fca.org.uk/coronavirus).

The Coronavirus crisis also highlighted the need for firms to ensure that they can operate on a continuing basis in the event of any market or social disruption arising. This is concerned with maintaining appropriate systems and controls with business continuity dealt with under SYSC 3.2.19 and operational risk dealt with under SYSC 13 including external events and other changes in SYSC 13.8. Firms should have in place appropriate arrangements, having regard to the nature, scale and complexity of the business, to ensure that they can continue to function and meet the regulatory obligations in the event of unforeseen interruption which arrangements are regularly updated and tested to ensure effectiveness (SYSC 3.2.19).

Firms must also maintain appropriate Business Continuity Planning (BCP) arrangements which allow them to continue operating, including through remote staff working, as well as ensure continued compliance with all relevant regulatory obligations (SYSC 13.8). Firms should consider the likelihood and impact of a disruption on the continuity of operations from unexpected events. This may include disruptions arising through the loss or failure of internal and external resources (including people, systems and assets), information loss or corruption and other external events (including vandalism, war and acts of God) (SYSC 13.8.5).

The firm should adopt appropriate arrangements to maintain the continuity of its operations and reduce the likelihood of disruption (including through succession planning, systems resilience and dual processing) and the impact of the disruption (including through contingency arrangements and insurance) (SYSC 13.8.6).

The strategy for maintaining operational continuity and plans for communicating and testing the strategy should be for properly documented. This would include formal business continuity plans to deal with short, medium and long term disruptions (including resource requirements, recovery priorities and communication arrangements), escalation and invocation plans (including implementation processes and contact information), information integrity validation and appropriate review and update processes having regard to the firm's operations and risk profile (SYSC 13.8.7). Firms should assess the appropriateness of any alternative sites used including with regard to the location, speed of recovery and adequacy resources and any issues that arise with regard to shared use (SYSC 13.8.8). Separate provisions apply with regard to outsourcing (SYSC).
The Bank of England monitors business continuity and operational resilience within the UK financial sector with the FCA and Treasury with responses coordinated through the National Cyber Security Centre (NCSC) and National Crime Agency (NCA) (https://www.bankofengland.co.uk/financial-stability/financial-sector-continuity). The objectives are to ensure that retail and wholesale markets remain open and functioning, there is an orderly and early return to trading in the event of closure, involve infrastructure providers and market participants and relevant decision taking and facilitate market initiatives. The UK has also adopted the Civil Contingencies Act 2004, which replaced the Civil Defence Act 1948.

Candidates could have referred to any of the above. No specific answer was expected.

C51. The FCA and PRA are required under Part 6 of the Financial Services Act 2012 to maintain a complaints scheme for the investigation of complaints arising in connection with the exercise of, or failure to exercise, any of their relevant functions and to appoint an independent person (referred to as the Complaints Commissioner) to be responsible for the conduct of investigations in accordance with the complaints scheme (the Scheme) (http://www.fscc.gov.uk/). The Scheme came into effect on 1 April 2013.

The Office of the Complaints Commissioner is headed by the Financial Regulators Complaints Commissioner. The Complaints Commissioner considers grievances against the FCA, PRA, the Payment System Regulator and the Bank of England's oversight of clearing houses and settlement systems.

Complaints can be made by anyone who is directly affected by the way in which the regulators have carried out their functions, or anyone acting directly on such a person's behalf, if the complaint meets the requirements of the Scheme. To be eligible to make a complaint under the Scheme, a person must be seeking a remedy (which for this purpose may include an apology) in respect of some inconvenience, distress or loss, which the person has suffered because of being directly affected by the regulators' actions or inaction (http://fscc.gov.uk/complaints-scheme/). Complaints should be made within 12 months of the date on which the complainant first became aware of the circumstances giving rise to the complaint. Complaints made later than this will be investigated under the Scheme only if the complainant can show reasonable grounds for the delay (http://fscc.gov.uk/complaints-scheme/).

Complaints Commissioner publishes a response to each complaint which begin on 17 December 2013 and which are made available to the public with the regulator's response (see, for example, https://www.fca.org.uk/about/complain-about-regulators/complaints-commissioners-final-reports). Complaints Commissioner also publishes Annual Reports (https://frccommissioner.org.uk/publications/annual-reports/).

Most complaints relate to the conduct of the FCA with 90% of complaints being settled with her been referred to the Complaints Commissioner with the Commissioner upholding the FCA's action in the majority of instances. 275 complaints were dealt with in 2019/20. 63 complaints substantive responses were issued with 49 regulatory decisions upheld and seven not upheld with five been partially upheld. 26 recommendations were made for corrective action, 14 for compensation and five for an apology with 33 of these were accepted by the FCA and three rejected (Complaints Commissioner, Reviewing how the financial services regulators consider complaints Annual Report (2019/20) 7 and 8). Only two complaints were considered against the PRA and one against the Bank of England. Matters considered included the accuracy of registers, firm supervision and delays in regulatory processes and lack of candour on failings and impact.

The Commissioner has stated that the scheme is not considered to have been operating satisfactorily in all respects (Annual Report (2019/20) 4). The FCA complaints' function was not able to cope with the volume and complexity of work, significant regulatory issues had not been identified despite investigations with recommendations for improvement had

been adopted especially in terms of compensation and prioritising complainants' needs. Work was being undertaken to correct the omissions.

There had also been no effective prompt and public system to ensure quality assurance. The Commissioner recommended making the scheme more readily understandable to complainant's and clarifying compensation policy, providing the Commissioner with a wider role in ensuring quality assurance and publication of the work undertaken by the FCA to review its functions and deal with concerns.

Complaints about financial firms rather than one of the regulators should be referred to the company concerned and then the Financial Ombudsman Service. The purpose of the Ombudsman scheme under the FSMA is to provide for the resolution of 'certain disputes' quickly and with minimum formality by an independent person (s 225(1)) The scheme is to be administered by a body corporate with further direction being provided with regard to jurisdiction and operation in Part XVI and Schedule 17 FSMA.

Complainants should generally use the financial institution's internal scheme first before making a separate reference to the Ombudsman. The Ombudsman may direct financial institutions to take any necessary action or make financial awards up to £355,000.
The Ombudsman scheme is generally dealt with under the Dispute Resolution: Complaints sourcebook (DISP) with compensation under COMP within the Redress block of the FCA Handbook.

C52. Candidates were asked to discuss the extent to which the promotion of ethical standards in the UK has bene impacted by recent crisis including the Coronavirus crisis 2020.
Candidates should have explained the background to PRIN and the Fundamental Rules (FRs) within the larger handbooks and listed each of these. Candidates might have noted that some of these requirements are more prudential or asset rather than conduct rule based with the requirements most principally concerned with ethics including integrity, skill, care and diligence, interest trust, conflicts and communication disclosure (PRIN 1, 2, 6, 7, 8 and 9 and FR 1 and 2).

The key requirement in the ethics area is with regard to integrity. While no separate guidance is provided on this by the FCA or PRA with regard to firms, additional information is provided under COCON with regard to the meaning of the main equivalent provisions in connection with individuals.

Rather than focus on ethics, the FCA has shifted the examination to firm culture. Tracey McDermott gave a speech on 'Wholesale Conduct Risk' before the British Bankers Association on 13 June 2015. Andrew Bailey, former FCA Chief Executive Officer between July 2016 and March 2020 and previously Chief Executive of the PRA, gave a speech on 'Culture in Financial Services – A Regulator's Perspective' at the City Week 2016 Conference on 9 May 2016. Andrew Bailey stressed the importance of culture with culture being of 'the utmost importance to financial regulators'. Culture arose from a range of contributory forces including management and governance, remuneration and incentive structure, management quality and effectiveness and personnel adoption and adherence. All of the recent major prudential or conduct scandals arose from cultural failures in governance, remuneration, risk management and leadership.

Andrew Bailey stated that the authorities could not 'determine the culture of firms', which would not work, and could not 'write a regulatory rule that settles culture' with this being the product of many factors that the regulators could influence including governance, remuneration and risk management. There was 'no magic bullet to change culture' although the new senior managers and certification regime would assist in embedding 'the notion of personal responsibility for the affairs of the firm at the level of senior management.' It was 'not the job of regulators to enforce culture and to change culture' with firm incentives determining culture with the authorities attempting 'to align those incentives with our public interest objectives as well as the private interest of the firm.' Andrew Bailey separately addressed the HKMA Annual Conference for Independent Non-Executive Directors in Hong Kong on 16 March 2017, the Transforming Culture in Financial Services Conference in London on 19 March 2018 and the Investment Association Culture Conference, Mansion House, London on 6 November 2018.
The FCA expects financial leaders to manage the drivers of behaviour in their firms to create and maintain cultures which reduce the potential for harm (FCA, 'Culture and governance' (3 August 2020 available https://www.fca.org.uk/firms/culture-and-governance). Culture is stated to be at 'the heart' of how the FCA authorises and supervises firms. Culture is referred to as 'the habitual behaviours and mind-sets that

characterise an organisation' with the FCA focusing on four key drivers of purpose, leadership, rewards and management and governance. The FCA published a collection of 28 papers on 'Transforming Culture in Financial Services' in March 2018 (DP 18/2) which examined what good culture might look like, the role of regulation and regulators, how firms might promote incentives and how to change behaviour for the better. This was followed by a Transforming Culture Conference and publication of an 'Event summary and next steps; paper on 19 March 2018.

The Coronavirus crisis 2020 could influence culture in relation to how firms treat customers, other financial institutions and possibly their own staff. The FCA and PRA issued a number of statements on regulatory adjustments and concessions as a result of the crisis (FCA, 'Coronavirus (Covid-19) available https://www.fca.org.uk/coronavirus; and Bank of England, 'Our response to Coronavirus (Covid-10)' available https://www.bankofengland.co.uk/coronavirus).

The FCA published an Insight article on 'Conduct, culture and covid-19' on 10 June 2020 (available https://www.fca.org.uk/insight/conduct-culture-and-covid-19). This noted that the crisis had changed the world and the way that people work within our short time with people having to adapt to the changes. While this created challenges and risks, this was also an opportunity to move from a crisis management approach to considering how businesses should be run more effectively with a strong focus on culture. Firms that failed to do so would produce poor conduct, low staff morale and weak future performance. Those that succeeded would generate positive outcomes for customers, employees and investors. A number of key themes were identified including clear purpose and direction, leadership integrity, risk and opportunity identification, psychological safety, continued diversity and inclusion, support employees and think, plan, experiment and adapt.

The FCA Business Plan for 2020/21 highlighted the importance of the crisis. Five key priorities were listed for the following 1-3 years based on transforming how the FCA works and regulates, enabling effective consumer investment decisions, ensuring that credit markets work well, making payments safe and accessible and delivering fair value in a digital age (FCA Business Plan for 2020/21 (7 April 2020)). The FCA's crisis response had been intended to ensure that markets continue to function in an orderly manner during a major repricing event, issue emergency guidance to allow government schemes to operate, support consumers, assist public access to essential banking services and

protect the most vulnerable within society. The FCA would continue to update its operations in response to unfolding events and inform stakeholders appropriately.

Megan Butler, FCA Executive Director of Supervision – Investment, Wholesale and Specialists, gave a speech on 'The FCA's response to Covid-19 and expectations for 2020' at the PIMFA's Virtual Festival on 4 June 2020. While advisers and wealth managers had responded well to the crisis, attention had to shift from 'incident response' to longer-term impact with the FCA focusing on operational resilience, financial resilience and acting with integrity. The FCA specifically criticised firms that had attempted to avoid customer liabilities by closing down companies and setting up new ones. Certain specific crisis response measures were identified based on ensuring a good level of operational resilience, understanding firms' financial resilience to allow them to fail in an orderly manner, ensuring that markets functioned effectively through price formation and orderly trading, treating customers fairly and ensuring that customers were aware of and protected from scams.

Candidates could also have referred to earlier material in this area. A number of general documents and speeches have been issued on ethics over time. The FSA's initial general approach to ethics was set out in FSA, An ethical framework for financial services (October 2002) with competence being examined in FSA, Competence and ethics (June 2010) CP 10/12. Ethics was considered as part of the Retail Distribution Review (RDR) with the FSA recommending the creation of an enforceable Code of Ethics for investment advisors in FSA, Retail Distribution Review (November 2008) Feedback Statement 08/06. This was referred to again in FSA, Distribution of retail investments: Delivering the RDR (June 2009) CP 09/18 with eight general principles proposed. These can be summarised in terms of acting honestly and fairly at all times, integrity, legal and regulatory compliance, market integrity standards, conflict and, professional competence, declining to act and upholding the highest personal and professional standards. FSA Chairman, Howard Davies, discussed ethics in 'Ethics in regulation' in 2001.

FSA CEO Hector Sants switched the focus from ethics to culture in 'Do regulators have a role to play in judging culture and ethics?' in June 2010 and 'Can culture be regulated?' in October 2012. Hector Sants noted in the first speech that when he joined the FSA, he was told by senior management that 'the FSA does not do ethics.' Howard Davies had earlier stated that the FSA could not 'seek to act as the conscience of the square mile.' Rather

than focus on ethics, the 'better focus for regulators would be culture, which no doubt reflects the ethical framework of the organisation.' Sants considered that the work ethics was 'not precise enough' and carried 'too much baggage for regulators.' There was nevertheless 'already a consensus of what constitutes the right behaviour', which included through the codes produced by the CISI and Worshipful Company of International Bankers which had 'broad acceptance in the community.' Firms should have 'a culture which encourages individuals to make judgements and deliver the outcomes we want' and that 'at all times we want an undertaking to act with integrity.' The regulators had therefore to focus on 'what an unacceptable culture looks like and what outcomes that drives.'

A number of speeches were made by FCA Chief Executive, Martin Wheatley (such as 'Competing on integrity' (November 2013); 'Ethics and Economics' (March 2014); 'The fairness challenge' (October 2013); and 'Good conduct and market integrity' (June 2014)) and other FCA staff (including Clive Adamson, FCA Director of Supervision, 'The importance of culture in driving behaviours of firms and how the FCA will assess this' (April 2013); and 'Trust and confidence – ensuring firms' ethics are built around their customers' (November 2013); and later Mark Steward, 'Culture and governance' (November 2015)).

Culture was referred to in the FCA Business Plan 2015/16 as a key driver in behaviour with an effective culture being one that supports a business model and business practices that have the fair treatment of customers and clients at their core and support market integrity. Culture began at the top with the FCA ensuring that firms and boards dealt with conduct issues as a priority. Boards had to engage in conduct issues by specifically investigating products or business lines, understanding cross-selling product strategies, possible loss and suitable product sales. Customer focus had also to be translated into how business decisions were made, the treatment of consumer responses, individual behaviour, issue escalation and remuneration and incentive awards.

The FCA had published a separate statement on 'Culture in banking' following the decision not to proceed with the conduct of thematic review on culture in wholesale banking as announced in its 2015/16 Business Plan (https://www.fca.org.uk/static/documents/foi/foi4350-information-provided.pdf).

The emerging UK ethical framework is reflected in the more specific provisions contained within the High Level Standards and other more specific laws and regulations designed to ensure ethical outcomes. No separate ethical sourcebook has been prepared at this time although the issue of banking standards is to be considered by the new Banking Standards Board (BSB) set up following the Banking Standards Review (May 2014) by Sir Richard Lambert after the earlier recommendations for the establishment of a professional body by the Parliamentary Commission on Banking Standards (PCBS) final report on Changing banking for good (12 June 2013) Vols I and II.

Candidates could also have referred to the specific requirements imposed under FCA PRIN, SYSC, COCON (and PRA FR) as well as COND for firms and FIT for individuals. While a number of PRIN are more prudential based including 3 (management and control), and 4 (financial prudence), others are more ethical and conduct based including 1 (integrity), 6 (customers' interests), 7 (communication), 8 (conflicts of interest), 9 (trust) and asset protection (10) as well as skill, care and diligence within PRIN 2. This is also reflected in COCON 1 (integrity), 2 (skill, care and diligence), and 5 (proper standards of market conduct). Conflicts of interest are dealt with under SYSC 10 and remuneration under SYSC 19A. Elements of this are also reflected under more specific COBS including 3 (categorisation), 4 (communication and financial promotions), 6 (disclosure), 8 (agreements), 9 (suitability), 10 (appropriateness), 11 (dealing and managing), 12 (investment research), 13 and 14 (product information), 15 (cancellation) and 16 (reporting).

Reference may also have been made to the business standards sourcebooks including Conduct of Business (COBS), Insurance: Conduct of Business (ICOBS), Mortgages and Home Finance: Conduct of Business (MCOB) and Banking: Conduct of Business (BCOBS).

A number of other statutory provisions can also be considered to include an ethical element such as the prohibition on market abuse under the Market Abuse Regulation (MAR) EU/596/2014 and misleading statements and impressions in ss89-90 FSA 2012 as well as separate insider dealing offences in the CJA.

C53. MiFID I was adopted in April 2004 and came into effect in November 2007. It created a common regulatory regime across the EU in investment services with the specific objectives of increasing competition and consumer protection replacing the earlier Investment Services Directive (ISD) 1993.

MiFID I distinguished between core investment services and activities and non-core ancillary services. The directive contained a number of provisions governing authorisation, regulation and passporting, client classification, client order handling, pre-trade and post-trade transparency, best execution and systemic internalisation.

The European Commission published a consultation document on MiFID II in September 2010 with a draft directive being produced in October 2011 for an MiFID II Directive and Markets in Financial Instruments Regulation (MiFIR) to amend the European Market Infrastructure Regulation (EMIR) which came into effect in August 2012. EMIR contains specific provisions imposing reporting obligations on OTC derivatives, clearing obligations for eligible OTC derivatives and common rules for central counterparties (CCPs) and trade repositories (TRs).

The European Parliament adopted MiFID II (2014/65/EU) in April 2014 that would come into effect in January 2017 with the MiFIR (EU/600/2014).

The FCA issued a Discussion Paper and Consultation Paper in May 2014 covering such issues as authorisation, passporting and best execution, equity transparency and equities trading, non-equity transparency and derivatives trading, high frequency and algorithmic trading and other market microstructural issues, data reporting service providers and data dissemination, access to CCPs, trading venues (including Regulated Markets (CMs), Multilateral Trading Facilities (MTFs), and Organised Trading Facilities (OTFs) as well as Systemic Internalises (SIs)) and benchmarks, commodities and transaction reporting and retention of order data.

The FCA has summarised the principal changes in terms of scope and commodity derivatives, transparency, high frequency trading, market structure, organisational requirements, trade reporting, conduct of business rules revision and transaction reporting. Financial Services and Markets Act 2000 (Markets in Financial Instruments) Regulations (MiFIR) were published in 2017 (SI 2017/701).

The general objectives of MiFID II were to make financial markets safer, more transparent and more efficient with increased investor confidence and competition. It specifically extends earlier provisions to deal with new market structures, transparency, research and inducements and governance with additional price transparency, volume limits on dark pools, separation of analysis and commission payments and higher standards on investment products. Algorithmic and high frequency trading must be registered and the use of circuit breakers with capital adequacy being extended to commodity traders. MiFID II can be considered to have been effective to the extent that it introduces new requirements in these areas. Against this, it imposed substantial new obligations and costs on firms and has arguably fragmented rather than integrated markets across the EU. Trading will be removed from telephone to electronic markets with less analysis being produced. Data production and data transfer and storage costs have also been increased substantially.

Candidates should have commented on the value and purpose of the revisions made under MiFID II and the MiFIR as referred to in the question. No specific answer is expected here.

C54. Candidates had to assess the effectiveness of the recent changes brought into place in connection with strengthening capital and liquidity standards. Higher capital, liquidity and leverage standards were imposed at the international level under the Basel Committee on Banking Supervision's Basel III documentation with these being implemented within the EU under the Capital Requirements Directive (CRD) IV package of measures which consists of the Capital Requirements Directive 2013/36/EU and Regulation EU575/2013.

Basel III was finalised in 2010 with capital adequacy generally being increased from 2% to 4.5% and with additional capital buffers been provided for including a conservation buffer (2.5%), countercyclical buffer (0-2.5%) and systemic risk buffer (1-3.5%). The new liquidity requirements include a short Liquidity Coverage Ratio (LCR) and Longer Term Net Stable Funding Ratio (NSFR). A separate leverage ratio was imposed made up of a 3% of own funds limit on total debt exposure.

Basel III followed the earlier Basel 1 standards in 1988, which established the minimum 8% ratio of capital to risk-adjusted assets for all internationally active banks, and Basel 2, which established the three pillars of minimum capital requirements (including credit risk

(standardised, foundation and advanced internal ratings-based (IRB) approaches), market risk (standardised and models) and operational risk), supervisory review and market disclosure. These were revised following the global financial crisis to create the Basel III amendments.

Basel III is implemented in the EU under the CRD and CRR with provisions involving national implementation being set out in the CRD and the more detailed common provisions, which require no domestic adjustment, contained in the CRR. These are being expanded through European Banking Authority (EBA) implementing measures. The CRD measures require separate UK implementation under the PRA Rulebook (with separate measures for CRR and non-CRR firms) and FCA Handbook (BIPRU) with the CRR being directly applicable as UK law and simply implemented on a copy out basis.

Candidates could also have commented on the value of the new increased capital and liquidity standards and separately referred to the new supporting leverage measures. The purpose of capital is to provide a means of loss absorption for firms to prevent them from becoming insolvent. Liquidity ensures that firms maintain sufficient cash or readily realisable assets on an ongoing basis to cover ongoing liabilities. Leverage limits total debt exposure, which was a significant factor in the global financial crisis. The effect of these requirements is substantially to improve the stability of financial firms and prevent contagion. This regulatory adjustment is supported by enhanced supervision with new resolution procedures, emergency support facilities and wider macro prudential oversight. All of this should limit the possibility of a future crisis arising or, at minimum, the more stable and effective management of the crisis.

C55. Candidates were asked to comment on the effectiveness of the new Banking Standards Board (BSB) in increasing ethical standards in the banking and financial area within the UK following the production of its Annual Report for 2016-2017 and other documents.

The BSB assumed the functions of the Banking Standards Review Council (BSRC), which was set up following the review conducted by Sir Richard Lambert with a consultation document being issued in February 2014, and final report in May 2014. This had been referred to in the Parliamentary Commission on Banking Standards (PCBS) final report on Changing Banking for Good (12 June 2013) with higher professional standards to be promoted in the banking area including through the development of a new set of core

standards. The BSRC was not to act as a lobby body and would be funded by the industry while acting in an independent manner.

Sir Richard Lambert recommended that participating institutions commit to a programme of continuous improvement of culture, competence and customer outcomes with various recommendations being made with regard to the BSRC (and later BSB) specifically. It should establish standards of good practice, report annually, meet with non-executive directors and risk or reputation committee chairs, work with industry and stakeholders to develop a new code of practice, identify and encourage good practice and learning, development and leadership, assist compliance and work with professional bodies to improve training and qualifications. Nine specific recommendations were made with regard to purpose, governance, funding and reporting, arrangements, engagement, institutional relations, regulatory cooperation, raising standards of conduct over time, stakeholder involvement, training and avoidance of duplication of function.

The principal advantage of the BSB is that it would operate on a self-regulatory basis and benefit from industry experience, engagement, commitment, funding and voluntary enforcements which may promote public trust and confidence and placate media and political criticism. Some concerns nevertheless arose in terms of additional cost, regulatory overlap, standards conflict, consistency, weak enforcement and limited overall effectiveness.

The BSB specifically operates through research, action proposals and the production of good practice guidelines in the form of Statements of Good Practice and supplementary Supporting Guidance. The BSB has released a Statement of Good Practice on fitness and proprietary with further guidance to follow on Certification and Regulatory References.

The 2016-2017 was the first Annual Report produced by the BSB and was based on the responses received to the BSB 28,000 Employee Survey and other comments made. The Review confirms that a large number of good practices had been adopted and positive developments had occurred in raising standards of behaviour and competence although changes were required in attitudes and behaviour that were detrimental to the interests of customers and clients. Progress was required in the areas of responsiveness, accountability, personal resilience and openness. The BSB confirmed that the review was not a single event with annual reviews to be conducted to ensure that culture operated in

the interests of consumers. A number of specific priority themes were identified, in particular, with regard to alignment between values and businesses, creating a culture of responsibility and accountability and promoting personal resilience and well-being among employees.

The BSB has separately provided reports to 22-member banks on their internal performances with the results being discussed with the specific firms. The firms were asked to demonstrate the extent to which they implemented the BSB's Assessment Framework, which was based on nine principles (consisting of honesty, respect, openness, accountability, competence, reliability, responsiveness, personal and organisational resilience and shared purpose). Assessments would be carried out annually.

The BSB delivered earlier provisional comments (report cards) for the seven founding members (Barclays, HSBC, Lloyds Banking Group, Royal Bank of Scotland, Santander, Standard Chartered and the Nationwide Building Society) and three other banks sitting on its board. These constituted provisional assessments of behaviour and culture within the major banks. The institutions were asked to explain their goals and ambitions and specifically the purpose, objectives, methods of achieving the objectives and means of assessing these achievements. The BSB has accordingly made an important provisional attempt to assess the extent to which the banks achieve their own internal objects rather to set separate single common standards of behaviour.

The question asked for comment on the ability of the BSB to increase ethical standards. A substantial body of ethical provisions already having been provided for under FCA PRIN, PRA Fundamental Rules, SYSC and COND, COCON and FIT, COBS, BCOBS and MCOB as well as with the statutory prohibitions imposed on market abuse, misleading statements and impressions and insider trading and general criminal and civil law. Many of the regulatory obligations imposed are principally based on integrity that is concerned with complying with expected high standards of professional conduct in any particular situation. Separate codes of ethics and standards are also applied by, for example, the CISI, Chartered Financial Analyst (CFA) and Association for Financial Professionals (AFP) and other professional bodies.

The FCA had earlier stated in its 2015 Business Plan that it would conduct an internal review into banking culture and specifically whether a, promotion and centres have

contributed to scandals within the UK and abroad. The FCA later announced on 31 December 2015 that this review would be abandoned with two separate reviews of incentive structures in financial products sales and the use of customer information by insurance companies. The FCA stated that a traditional thematic review would not achieve its desired outcomes with the FCA focusing on encouraging the delivery of cultural change within individual institutions. The Treasury denied involvement although the Government had appeared to have adopted a more supportive approach to the banking industry with the earlier reduction in the bank levy.

The development of a new ethical standards framework remains a difficult issue in the UK and elsewhere. A substantial amount of work has been carried out although it is arguable that a clear framework has yet emerged. The new BSB may be able to make a further more substantial contribution over time although it is too early to judge.

Candidates could specifically have commented on the extent which the BSB can supplement this other work and assist promote appropriate standards across the banking area. No specific answers were expected with candidates only having to outline the various issues and arguments involved.

C56. Candidates were required to explain the principal changes brought into effect under the Bank of England and Financial Services Act (BEFSA) 2016 and comment on their need and value in improving financial regulation. The purpose of the BEFSA 2016 Act was generally to strengthen governance and accountability, update resolution planning and crisis management and extend the new Senior Managers and Certification Regimes to all authorised persons within the financial services area. A number of specific amendments were adopted in this regard.

The Treasury is given specific power to alter the title or add or remove Deputy Governors of the Bank under s1A Bank of England Act 1998 (s1). A new Deputy Governor for Banking and Markets is created as a member of the Court and of the FPC. The term of office of non-executive directors may be extended by up to six months (s2) with the Oversight Committee being abolished (s3) and with oversight functions being transferred to the Court. A new Prudential Regulation Committee (PRC) is created within the Bank and the status of the PRA as a subsidiary of the Bank abolished (s12). The Comptroller and Auditor General can carry out examinations of the economy, efficiency and effectiveness with which the Bank

uses its resources (s9). The FPC is made a committee of the Bank rather than a sub-committee of the Court with the number of annual MPC meetings being reduced to eight.

FCA Chief Executives are required to appear before the Treasury Select Committee before appointment (s18). The Treasury may make recommendations to the FCA concerning aspects of economic policy that the FCA should consider in implementing its objectives (s19). The regulatory principles are amended to include a reference to diversity (s20). Provision is made in Schedule 4 to extend the Senior Managers and Certification Regimes to all authorised persons under Part 5 FSMA (s21). The definition of misconduct is revised to require that the regulators prove that the senior manager has not taken reasonable steps reversing the earlier burden of proof (s25). Provisions governing the enforceability of credit agreements are amended (ss27-28) with the Treasury being given power to provide financial assistance to take action against illegal money laundering with the cost being covered by a new industry levy and other money laundering disclosures to be made (ss29-30).

The Treasury may make regulations relating to transformer vehicles that are used in connection with insurance linked securities (s31). The Pension Wise service is extended to include the sale of annuities with the FCA issuing new rules on transfers (ss32-35). The Bank is to inform the Treasury where firms' resolution strategies have been developed or updated with the Treasury being able to request information on the Bank's assessment of public fund risks with regard to potential firm failure (36). The Treasury may make regulations with the consent of the Bank allowing banks within the same group as an existing issuer to issue banknotes in Scotland and Northern Ireland (s38).

While a number of these revisions are more technical, the most significant change was to confirm the PRA as an internal division within the Bank of England rather than as a separate subsidiary. This is supported by the creation of a Prudential Regulation Committee (PRC) within the Bank and a Deputy Governor for Banking and Markets. The subsidiary PRA’s status was always anomalous and possibly based on the need to transfer its functions again if the institutional structure adopted under the FSA 2012 did not operate successfully. As the PRA has been effectively absorbed into the Bank’s other operations, there was no need to continue its separate subsidiary position. The other most significant change was to extend the Senior Managers and Certification Regimes to all authorised

persons that would otherwise have created an unlevel playing field between banks and other financial institutions.

C57. The ring-fencing requirement arose from the great financial crisis (GFC) of 2007–08 and as a response to the threat of contagion in the UK and internationally. Concerns had arisen in the GFC that risk could easily spread from institution to institution and between different financial sectors and national financial sectors. Furthermore, there were concerns before the GFC that many financial institutions were allowed to undertake a very wide range of financial activities rather than being restricted to undertake a number of restricted activities associated with a particular type of institution (banking, insurance, trading etc.): i.e., many institutions were allowed to undertake a wide range of different activities some of which may have increased the individual risks to institutions. To limit this contagion after the GFC it was proposed to split the retail operations including taking deposits away from trading activities in many banks. This was termed ring fencing in the UK whereby different activities could exist in the same institution yet would be ring fenced from each other. Different approaches to address this problem were also seen in the USA and the EU and were often further reaching than ring fencing seen in the UK. In the UK this policy was forwarded by the Independent Commission on Banking (Vickers report) and implemented by the Financial Services (Banking Reform) Act 2013.

Removing the ring fence can have many outcomes. It will allow banks to reduce the expense of complying with these regulations. There may also be considerable commercial benefits of undertaking trading activities and retail activities in tandem. Of course, these benefits need to be tempered by the concern that ring fencing was introduced to reduce systemic risk seen in the UK and the world financial system. Removing ring fencing may increase the risk of individual financial institutions failing and the risks to the financial system. Lastly, removing the system of ring fencing or similar arrangements is only currently being discussed in the UK. This removal may make the UK relatively less regulated internationally, with both benefits and drawbacks to this move.

C58. There is a long-standing concern in all areas of regulation that enforcement actions may not always deter and limit the level of offending or breach of regulations. Fines are a particular area of concern with examples where fines may be seen as a cost of doing business in some regulated areas. In the responses, we would like to see a general discussion of the

costs of non-compliance and the use of fines in the UK financial system. An initial point is that fines are one of many regulatory punishments. These punishments are diverse and influence the firms' or individuals' ability to work in the financial services industry.

Considering some of these punishments and other costs of non-compliance is useful. For example, it would be helpful to detail outcomes such as prohibition or variation of regulatory permissions. Similarly, the focus of punishment has also shifted towards individuals such as senior managers and compliance staff. This is undertaken to alter corporate viewpoints of non-compliance, from considering the cost of the fine to considering personal and career influencing outcomes of non-compliance.

The scale of financial regulation fines in the UK has also increased over time and reflects the concern that the cost of the offending and the probability of being caught for a breach of regulation should be matched by the scale of fines levied. This increase in the level of fines is aimed at enhancing what might be viewed as an effective deterrent. These fines are levied using a range of different criteria yet should reflect the profits or benefits of the offending firm/individual from the offending through a process of disgorgement. Such fines also reflect other contributory factors and the seriousness of the breach of regulation. There are also penalty discounts which may be applied, for example, for settling the dispute with the regulator in a timely manner and conceding liability. For example, in the associated text for the workbook it outlines the level of fines and includes the following level of fines in recent years. This reflects a movement in regulatory punishments:

- 2017 – £229,515,303 (13 fines)
- 2018 – £60,467,212 (15 fines)
- 2019 – £392,303,087 (21 fines)
- 2020 – £192,570,018 (11 fines)
- 2021 – £567,765,219 (10 fines)

C59. The Takeover Panel was established in 1968 as a private and voluntary body to ensure takeovers, mergers and associated transactions occurring between firms from the UK and associated areas were undertaken in an appropriate manner. This voluntary panel developed issuing a code outlining the procedures and how such transactions should be

undertaken. Critical in this role was the concern that only some shareholders may benefit from a takeover action. The Panel and the associated code were enacted to limit these concerns and enable all shareholders to have a say in the proposed transaction, be offered broadly equal treatment, and generally be treated fairly. The treatment of minority shareholders in takeover/merger transactions was a particular concern to be tackled by this code. Lastly, the code established procedures to ensure that such a takeover or merger transaction is undertaken following an appropriate administrative process and can be completed in a timely and legal manner. The panel can also signal if a particular transaction has wider economic and societal concern such as those related to competition. This would result in the transaction being referenced to the antitrust/competition regulator or another appropriate regulator.

Since the establishment of the panel its role has expanded and been formalised. To date, the actions and the role of the Panel have been formalised together with the expectations of the takeover code and have been provided with legal backing, for example in Chapter 1 of Part 28 of the Companies Act 2006. This role is also supported by the European Directive on Takeover Bids.

As detailed in the workbook text the role of the panel is to:

- provide advice and guidance on the application and interpretation of the relevant rules to offerors, offerees, advisers and, where relevant, market participants
- monitor the progress of an actual or contemplated takeover bid, for breaches of compliance with the relevant rules, and
- enforce the code, by reaching decisions on issues arising, or seeking enforcement through the courts.

C60. UK financial regulation has long focused on the requirement for a person acting in a regulated role to have the required competence and honesty and integrity to undertake the role appropriately.

For example, under the Approved Persons (APER) regime the financial regulator approves individuals to undertake specified controlled functions. Part of this form of

regulation is a requirement to adhere to the FCA's Statements of Principle for Approved Persons and Code of Practice for Approved Persons.

For instance, the four general principles for approved persons expect an individual to:

1. act with integrity in carrying out his controlled function
2. act with due skill, care and diligence in carrying out his controlled function
3. observe proper standards of market conduct in carrying out his controlled function
4. deal with the FCA and other regulators in an open and cooperative way and disclose appropriately any information which the FCA would reasonably expect.

[Tutor note: The examiner's reference to APER is curious, to say the least, given the fact that APER is now obsolete for all but a handful of appointed representatives of authorised firms. APER has been replaced by SMCR for all authorised firms from 2019. Note that the question requirement did not require reference to APER, but suggested that you could have referred to APER if you so chose].

The Conduct rules (COCON) are expected levels of behaviour seen across the financial industry by all relevant employees. These five rules, termed first tier rules, are applied to all employees of firms regulated by the financial regulator. The first three rules also apply to firms regulated by the prudential regulator:

Rule 1 You must act with integrity.

Rule 2 You must act with due skill, care and diligence.

Rule 3 You must be open and cooperative with the FCA, the PRA and other regulators.

Rule 4 You must pay due regard to the interests of customers and treat them fairly.

Rule 5 You must observe proper standards of market conduct.

This requirement was established in the Approved Persons Regime and continued in the Senior Managers Regime. These requirements outline that a person undertaking a regulated or controlled function needs to demonstrate a range of personal criteria to be suitable and acceptable for such a role. A person with acceptable criteria would be fit and proper for the role. Such personal criteria would include but are not limited to:

- honesty, integrity and reputation
- competence and capability
- financial soundness

These characteristics can be wide-ranging. For instance, honesty, integrity, and reputation would include checks as to whether the person has past convictions, is subject to any past or ongoing complaints, has been or is insolvent or has breached legal or regulatory norms in the past. Competence and capability would relate to whether the person has appropriate qualifications, training, and work history to be allowed to undertake a regulated role. This would also include the personal suitability and the potential medical lifestyle concerns which may limit the competence of an individual to undertake a regulated role. Lastly financial soundness would indicate if someone is solvent or subject to a debt order or similar. These financial criteria are important as the financial condition of an individual can influence decision making in some circumstances and situations.

In assessing the utility of this criteria, it is useful to consider examples; for instance, Paul Flowers working as the chairman at the Cooperative Bank is a suitable example. This appointment breached fit and proper person requirements in terms of the level of training (which was insufficient) and also in terms of lifestyle whereby Mr Flowers had troublesome drug addiction issues which might have been expected to impair his decision making.

Discussion of the process and procedures through which fit and proper status may be attributed is also useful to discuss.

C61.

The main obligations imposed on internal management should be discussed and contrasted with the external powers of supervision available to the FCA under the FSMA and Handbook of Rules and Guidance.

The main obligations applicable with regard to management are set out in the Block 1 High Level Standards including the requirements with regard to principles for businesses (PRIN), systems and controls (SYSC), code of conduct (COCON) and fit and proper test for approved persons (FIT). Each of the relevant requirements should have been outlined and discussed. General issues of liability and sanction should have been referred to including potential personal liability (s138D).

The importance of internal management should then be contrasted with the external supervisory powers available to the FCA. The powers of the FCA should be referred to (including information gathering and investigatory powers, reports by skilled persons, authorisation and permission, redress, disciplinary action and private warnings, public statements of misconduct, fines, variation or cancellation of permission and approval).Relevant decision-taking procedures and requirements could also have been referred to.

There is no need to come to any specific conclusion but only to identify the relevant provisions that apply with regard to both internal management and external supervision and sanctions.

C62.

This question asked candidates to evaluate the role of the Financial Conduct Authority (FCA) in using enforcement actions to deter financial misconduct and uphold market integrity. Candidates are expected to assess the effectiveness of fines and regulatory interventions in changing corporate behaviour, and to consider whether there are areas where the FCA's enforcement approach could be improved. Answers missed marks by failing to evaluate the effectiveness of enforcement critically; particularly the debate over whether fines alone change corporate culture or simply serve as a cost of doing business.

The FCA plays an important role in maintaining market integrity through enforcement actions. These include investigating misconduct, imposing fines, banning individuals from financial services, and taking criminal enforcement action when necessary. Such interventions are intended not only to punish wrongdoing but also to act as a deterrent to future misconduct by firms and individuals. There have been high-profile cases where enforcement has proven effective, such as significant fines issued for market manipulation, mis-selling of financial

products, or AML failings. These outcomes signal that the FCA is willing to act decisively, reinforcing its commitment to protecting consumers and ensuring fair, transparent markets. Enforcement also provides redress where appropriate, which can help restore consumer confidence.

However, critics argue that for large firms, fines may be viewed as a cost of doing business. This raises questions about whether enforcement leads to genuine cultural change. The Senior Managers and Certification Regime (SMCR) was introduced partly in response to this, aiming to improve personal accountability. But questions remain over whether senior individuals are routinely held accountable when systemic failings occur. The FCA has recognised the need to improve in this area. In 2024, it announced plans to increase the speed and transparency of enforcement cases. This includes streamlining investigation processes, publishing more updates on ongoing cases, and ensuring decisions are communicated clearly. These reforms are intended to bolster public trust and reinforce the credibility of enforcement actions.

A further proposal that has drawn public attention is the idea of 'naming and shaming' firms under investigation before a final outcome has been reached. While this proposal has been controversial and may not be in place when the exam is taken, it reflects broader concerns about how effective enforcement is in influencing firm behaviour. Should candidates raise this point, they should consider arguments on both sides, including its potential to improve transparency versus the risk of reputational damage prior to due process. FCA enforcement is a vital regulatory tool but is not without limitations. While it does deter some misconduct, enforcement alone may not bring about lasting cultural change unless supported by proactive supervision, clear accountability, and meaningful individual consequences.

Improvements in transparency and speed, alongside further debate around initiatives like naming and shaming, suggest enforcement is evolving to meet public and regulatory expectations.

C63.

This question asked candidates to discuss how financial firms are being affected by the growing regulatory focus on Environmental, Social, and Governance (ESG) issues in the UK. It requires an evaluation of whether the current regulatory framework effectively promotes

transparency, accountability, and long-term sustainability, as well as an analysis of the challenges firms face in implementing ESG policies. Candidates were also expected to consider how ESG regulation may develop in the future. While responses showed a good understanding of the growing importance of ESG in financial services, marks were missed by failing to reference specific regulatory initiatives such as TCFD, SDR, or the ISSB framework.

ESG considerations are playing an increasingly prominent role in the UK financial sector. Regulatory initiatives aim to improve transparency, accountability, and promote sustainable investing. The Financial Conduct Authority (FCA) and other regulators are introducing requirements for climate-related disclosures, enhanced governance standards, and rules around greenwashing. These changes are designed to help investors make informed decisions and to support the UK's transition to a more sustainable economy. Firms are being impacted through the need to update internal systems, gather reliable ESG data, and improve disclosures.

The FCA's requirements under Task Force on Climate-related Financial Disclosures (TCFD) apply to many listed companies and asset managers, who must report on governance, strategy, risk management, and metrics related to climate risks. The introduction of the Sustainability Disclosure Requirements (SDR) will further raise the bar, introducing labels for sustainable investment products to prevent misleading claims. Challenges for firms include data availability, the cost of compliance, and aligning global ESG standards. Many firms struggle to obtain consistent and reliable ESG data from third-party providers, and there is a lack of standardisation across jurisdictions. Implementation requires investment in staff training, systems development, and integrating ESG factors into investment and risk management frameworks.

On the international stage, there is increasing momentum towards a harmonised global framework. At COP29, global leaders reaffirmed their commitment to the work of the International Sustainability Standards Board (ISSB), which is working to develop consistent global sustainability disclosure standards. The UK has endorsed this direction, which may help reduce fragmentation and make ESG reporting more consistent across borders. However, the geopolitics of ESG remain complex. In the United States, there has been some backtracking on ESG commitments, particularly in politically conservative states where ESG

investing is viewed with scepticism. This divergence can create uncertainty for multinational firms and underscores the importance of clear UK guidance and leadership in this space. Looking ahead, the UK's regulatory framework is expected to evolve in alignment with international standards, while continuing to address domestic priorities around climate risk, biodiversity, and social responsibility. Regulators will likely require more granular disclosures, and firms must demonstrate not just intent, but measurable ESG outcomes. A well-regulated ESG environment will improve investor confidence and help mobilise capital towards long-term, sustainable economic goals.